

CASES DECIDED

IN THE

COURT OF APPEALS

OF THE

STATE OF NEW YORK

[169 NE3d 912, 146 NYS3d 542]

FREEDOM MORTGAGE CORPORATION, Appellant, v HERSCHEL ENGEL, Respondent, et al., Defendants.

DITECH FINANCIAL LLC, Formerly Known as GREEN TREE SERVICING LLC, Appellant, v SANTHANA KUMAR NATARAJA NAIDU, Respondent, et al., Defendants.

JUAN VARGAS, Respondent, v DEUTSCHE BANK NATIONAL TRUST COMPANY, Appellant.

WELLS FARGO BANK, N.A., as Trustee for OPTION ONE MORTGAGE LOAN TRUST 2007-5, ASSET-BACKED CERTIFICATES, SERIES 2007-5, Appellant, v DONNA FERRATO, Respondent, et al., Defendants.

WELLS FARGO BANK, N.A., as Trustee for OPTION ONE MORTGAGE LOAN TRUST 2007-5, ASSET-BACKED CERTIFICATES, SERIES 2007-5, Appellant, v DONNA FERRATO, Respondent, et al., Defendants.

Argued January 5, 2021; decided February 18, 2021

SUMMARY

APPEAL, in the first above-entitled action, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered July 11, 2018. The Appellate Division (1) reversed, insofar as appealed from, on the law, so much of an order of the Supreme Court, Orange County (Sandra Sciortino, J.), as had denied defendant Herschel Engel's motion for summary judgment

dismissing the complaint insofar as asserted against him and granted those branches of plaintiff's cross motion which were for summary judgment on the complaint insofar as asserted against that defendant, to strike his answer and affirmative defenses, and to appoint a referee; (2) granted defendant Herschel Engel's motion for summary judgment dismissing the complaint insofar as asserted against him; and (3) denied those branches of plaintiff's cross motion which were for summary judgment on the complaint insofar as asserted against that defendant, to strike his answer and affirmative defenses, and to appoint a referee.

APPEAL, in the second above-entitled action, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered September 18, 2019. The Appellate Division (1) reversed, insofar as appealed from, on the law, so much of two orders of the Supreme Court, Queens County (Robert J. McDonald, J.; op 2016 NY Slip Op 32110[U] [2016]), issued the same day, as had granted those branches of plaintiff's cross motion which were for summary judgment on the complaint insofar as asserted against defendant Santhana Kumar Nataraja Naidu and for an order of reference, and denied that defendant's motion pursuant to CPLR 3211 (a) (5) to dismiss the complaint insofar as asserted against him as time-barred; (2) granted defendant Santhana Kumar Nataraja Naidu's motion pursuant to CPLR 3211 (a) (5) to dismiss the complaint insofar as asserted against him as time-barred; and (3) denied as academic those branches of plaintiff's cross motion which were for summary judgment on the complaint insofar as asserted against that defendant and for an order of reference.

APPEAL, in the third above-entitled action, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 31, 2019. The Appellate Division affirmed an order of the Supreme Court, Bronx County (Julia I. Rodriguez, J.; op 2017 NY Slip Op 33266[U] [2017]), which had, upon renewal, denied defendant's motion to dismiss the complaint and granted plaintiff's cross motion for summary judgment declaring plaintiff's property free and clear of all liens and encumbrances by defendant.

APPEAL, in the fourth above-entitled action, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered May 28, 2020. The Appellate Division (1) affirmed so much of an or-

der of the Supreme Court, New York County (Judith N. McMahon, J.), entered March 6, 2018, as, to the extent appealed from, had denied plaintiff's motion to revoke acceleration of a mortgage loan made to defendant Donna Ferrato; (2) reversed, on the law, an order of that Supreme Court (op 2018 NY Slip Op 31867[U] [2018]), which had denied defendant Donna Ferrato's motion to dismiss plaintiff's foreclosure action on the basis of CPLR 3211 (a) (4) and (5); and (3) granted the motion. The following question was certified by the Appellate Division: "Was the order of this Court, which affirmed the order of the Supreme Court, entered March 6, 2018 and reversed the order of the Supreme Court, entered August 7, 2018, properly made?"

Freedom Mtge. Corp. v Engel, 163 AD3d 631, reversed.

Ditech Fin., LLC v Naidu, 175 AD3d 1387, reversed.

Vargas v Deutsche Bank Natl. Trust Co., 168 AD3d 630, reversed.

Wells Fargo Bank, N.A. v Ferrato, 183 AD3d 529, reversed.

HEADNOTES

Mortgages — Foreclosure — Acceleration of Modified Mortgage Debt by Commencement of Prior Foreclosure Actions

1. Plaintiff bank's mortgage foreclosure action in which the parties had modified the original loan after defendant borrower's initial default was not time-barred, where plaintiff's commencement of two prior foreclosure actions more than six years earlier which were ultimately dismissed based on the complaints' apparent attempts to foreclose upon the original note and mortgage without acknowledging the modification agreement did not constitute a valid acceleration of the modified loan. The filing of a verified foreclosure complaint may evince an election to accelerate, but here the filings did not accelerate the modified loan (underlying the current foreclosure action) because the bank failed to attach the modified agreements or otherwise acknowledge those documents, which had materially distinct terms. Under such circumstances, where the deficiencies in the complaints were not merely technical or de minimis and rendered it unclear what debt was being accelerated, the commencement of the actions did not validly accelerate the modified loan.

Mortgages — Foreclosure — Acceleration of Modified Mortgage Debt — Issuance of Default Letter

2. In plaintiff borrower's action under RPAPL 1501 (4) to discharge a mortgage on real property on the ground that the statute of limitations for any claim to foreclose on the mortgage had expired, the default letter sent by defendant bank's predecessor-in-interest advising plaintiff that he could cure his default by paying a portion of the required payments within a designated period, and that, should he fail to cure his default, the noteholder would "accelerate [his] mortgage . . . and foreclosure proceedings [would] be initiated" did not effectuate a clear and unequivocal acceleration of the debt so as to commence the statute of limitations period. The letter did not seek immedi-

ate payment of the entire, outstanding loan, but referred to acceleration only as a future event, indicating the debt was not accelerated at the time the letter was written. Nor was the letter a pledge that acceleration would immediately or automatically occur upon expiration of the cure period. Although the letter stated that the debt would be accelerated if plaintiff failed to cure the default within the cure period, it subsequently made clear that the failure to cure “may” result in the foreclosure of the property, indicating that it was far from certain that either the acceleration or foreclosure action would follow, let alone ensue immediately at the close of the cure period.

Mortgages — Foreclosure — Acceleration of Debt by Commencement of Foreclosure Action — Revocation by Voluntary Discontinuance

3. Where acceleration of a mortgage debt occurred by virtue of the filing of a complaint in a foreclosure action, the noteholder’s voluntary discontinuance of that action constitutes an affirmative act of revocation of that acceleration as a matter of law, absent an express, contemporaneous statement to the contrary by the noteholder. A rule that requires post hoc evaluation of events occurring after the voluntary discontinuance in order to determine whether a revocation previously occurred leaves the parties without concrete contemporaneous guidance as to their current contractual obligations, resulting in confusion that is likely to lead to a breach. This approach is incompatible with the policy underlying the statute of limitations because the timeliness of a foreclosure action cannot be ascertained with any degree of certainty. Rather, when a bank effectuated an acceleration via the commencement of a foreclosure action, a voluntary discontinuance of that action constitutes a revocation of that acceleration. In such a circumstance, the noteholder’s withdrawal of its only demand for immediate payment of the full outstanding debt, made by the unequivocal overt act of filing a foreclosure complaint, destroys the effect of the election. The impact of the noteholder’s voluntary discontinuance of the action should be evident at the moment it occurs.

Mortgages — Foreclosure — Revocation of Acceleration of Debt — Voluntary Discontinuance of Prior Foreclosure Action

4. In a mortgage foreclosure action, the Appellate Division erred in granting defendant borrower’s motion to dismiss on the ground that plaintiff bank’s acceleration of the mortgage debt effectuated by a prior foreclosure action had never been revoked and the statute of limitations period had since expired, as plaintiff validly revoked the acceleration when it voluntarily withdrew its prior foreclosure action and the present action was commenced within six years of any subsequent acceleration. Defendant did not identify any contemporaneous statement by plaintiff that it was not de-accelerating the debt or would not accept monthly installment payments. Further, that the discontinuance was effectuated by a stipulation between the parties did not mean that the borrower and noteholder were required to expressly agree on the effect of the discontinuance; whether to exercise the contractual right to accelerate, and de-accelerate, remained within the discretion of plaintiff.

Mortgages — Foreclosure — Revocation of Acceleration of Debt — Voluntary Discontinuance of Prior Foreclosure Action

5. Plaintiff bank’s mortgage foreclosure action commenced more than six years after plaintiff’s prior foreclosure action which it voluntarily discontinued was not time-barred, where the stipulation discontinuing the prior foreclosure action revoked the debt acceleration effectuated by the commence-

ment of that action, and the record contained no contemporaneous statement by plaintiff to the contrary. That plaintiff sent defendant a payoff letter more than a year later communicating the amount in default did not alter that result. Defendant had not alleged that any other unrevoked acceleration occurred more than six years before the commencement of the action that would have rendered it untimely and raised no other argument in defense of plaintiff's summary judgment motion.

Mortgages — Foreclosure — Revocation of Acceleration of Debt to Avoid Statute of Limitations Bar

6. In a mortgage foreclosure action, the lower courts erred in denying plaintiff bank's motion to revoke its election to accelerate the mortgage debt because plaintiff's stated reason for revoking acceleration was to avoid the statute of limitations bar. While a noteholder may be equitably estopped from revoking its election to accelerate, defendant did not allege that she materially changed her position in detrimental reliance on the loan acceleration, and the courts conducted no equitable estoppel analysis. A lender should not be barred from revoking acceleration if the motive of revocation was to avoid the expiration of the statute of limitations on the accelerated debt. A noteholder's motivation for exercising a contractual right is generally irrelevant.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Mortgages §§ 421–422, 440, 530–531, 536, 548–549, 550, 554–556.

CARMODY-WAIT 2d Limitation of Actions § 13:268; CARMODY-WAIT 2d Foreclosure of Mortgages on Real Estate §§ 92:49, 92:53–92:55, 92:198; CARMODY-WAIT 2d Action to Compel Determination of Claims to Real Property § 101:15.

McKINNEY'S, RPAPL 1501 (4).

MORTGAGE LIENS IN NEW YORK (2020-2021 ed), ch 18, Statute of Limitations.

NY JUR 2d Mortgages and Deeds of Trust §§ 115–116, 396, 469, 477, 505, 527, 535, 629; NY JUR 2d Real Property—Possessory and Related Actions § 453.

ANNOTATION REFERENCE

See ALR Index under Foreclosure; Limitation of Actions; Mortgages; Notice or Knowledge.

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POINTS OF COUNSEL

Reed Smith LLP, New York City (*Brian A. Sutherland* of counsel), for appellant in the first above-entitled action. I.

Freedom Mortgage Corporation's foreclosure action was timely. (*Ely-Cruikshank Co. v Bank of Montreal*, 81 NY2d 399; *Ajdler v Province of Mendoza*, 33 NY3d 120; *Phoenix Acquisition Corp. v Campcore, Inc.*, 81 NY2d 138; *Adler v Berkowitz*, 254 NY 433; *Graf v Hope Bldg. Corp.*, 254 NY 1; *Odell v Hoyt*, 73 NY 343; *Kilpatrick v Germania Life Ins. Co.*, 183 NY 163; *Albertina Realty Co. v Rosbro Realty Corp.*, 258 NY 472; *Loeb v Willis*, 100 NY 231; *Brown v Cleveland Trust Co.*, 233 NY 399.) II. This Court's ruling that a voluntary discontinuance revokes an election to accelerate will promote settlement and serve the public interest.

Rosenberg Fortuna & Laitman, LLP, Garden City (Anthony R. Filosa, David Lapa and Solomon Rosengarten of counsel), for respondent in the first above-entitled action. I. Freedom Mortgage Corporation has no contractual or statutory right to decelerate the mortgage without the consent of Herschel Engel, which is absent here. (*Uribe v Merchants Bank of N.Y.*, 91 NY2d 336; *Two Guys from Harrison-N.Y. v S.F.R. Realty Assoc.*, 63 NY2d 396; *Bank of N.Y. Mellon v Dieudonne*, 171 AD3d 34; *Collard v Incorporated Vil. of Flower Hill*, 52 NY2d 594; *Rowe v Great Atl. & Pac. Tea Co.*, 46 NY2d 62; *United States Fid. & Guar. Co. v Annunziata*, 67 NY2d 229; *Quadrant Structured Prods. Co., Ltd. v Vertin*, 23 NY3d 549; *Albertina Realty Co. v Rosbro Realty Corp.*, 258 NY 472; *Pacheco v Heussler*, 56 AD2d 85; *151 W. Assoc. v Printsiples Fabric Corp.*, 61 NY2d 732.) II. The 2013 stipulation discontinuing the 2008 foreclosure action did not decelerate the debt and did not waive, extend or postpone the accrual of the statute of limitations for a foreclosure action. (*Petito v Piffath*, 85 NY2d 1; *Bergenfeld v Midas Collections*, 38 AD2d 939; *Matter of National Energy Marketers Assn. v New York State Pub. Serv. Commn.*, 33 NY3d 336; *Cimo v State of New York*, 306 NY 143; *Matter of Richardson v Fiedler Roofing*, 67 NY2d 246; *Brad H. v City of New York*, 17 NY3d 180; *Yonkers Fur Dressing Co. v Royal Ins. Co.*, 247 NY 435; *Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470; *Milone v US Bank N.A.*, 164 AD3d 145; *Matter of Waldron [Goddess]*, 61 NY2d 181.) III. A stipulation of discontinuance does not waive or extend the foreclosure statute of limitations by operation of law. (*Loeb v Willis*, 100 NY 231; *Brown v Cleveland Trust Co.*, 233 NY 399; *Mahon v Remington*, 256 App Div 889; *Matter of Union Indem. Ins. Co. of N.Y.*, 89 NY2d 94; *Cook v Barr*, 44 NY 156; *Beneficial Homeowner Serv. Corp. v Tovar*, 150 AD3d 657; *Gold v Vanden Brul*, 28 Misc 2d 644; *Gaines v City of New York*, 215 NY 533; *Conrow v Little*, 115

NY 387; *Bank of N.Y. Mellon v Alli*, 175 AD3d 1472.) IV. “Deceleration” does not waive, extend or postpone the statute of limitations. (*Sotheby’s, Inc. v Mao*, 173 AD3d 72; *State of New York v Seventh Regiment Fund*, 98 NY2d 249; *McCoy v Feinman*, 99 NY2d 295; *Ely-Cruikshank Co. v Bank of Montreal*, 81 NY2d 399; *Ackerman v Price Waterhouse*, 84 NY2d 535; *Fourth Ocean Putnam Corp. v Interstate Wrecking Co.*, 66 NY2d 38; *McCoy v Feinman*, 99 NY2d 295; *Arnold v Mayal Realty Co.*, 299 NY 57; *Peoples Trust Co. v O’Neil*, 273 NY 312; *George v Mt. Sinai Hosp.*, 47 NY2d 170.) V. Prohibiting lenders from evading or unilaterally manipulating the statute of limitations is consistent with the public policy of New York. (*ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581; *Flanagan v Mount Eden Gen. Hosp.*, 24 NY2d 427; *Matter of Wallace v 600 Partners Co.*, 86 NY2d 543; *Roth v Michelson*, 55 NY2d 278; *Deutsche Bank Natl. Trust Co. Ams. v Bernal*, 56 Misc 3d 915; *U.S. Bank N.A. v Balderston*, 163 AD3d 1482.)

Legal Services NYC, New York City (*Jacob Inwald* and *Christopher Newton* of counsel), *DC37 Municipal Employees Legal Services*, New York City (*Carrie Miller* of counsel), *Legal Aid Society of Rockland County, Inc.*, New City (*Derek Tarson* of counsel), *Mobilization for Justice, Inc.*, New York City (*Jeanette Zelhof*, *Joseph Rebella* and *Belinda Luu* of counsel), and *Western New York Law Center*, Buffalo (*Keisha A. Williams* of counsel), for *Legal Services NYC* and others, amici curiae in the first above-entitled action. I. Statutes of limitations apply to everyone. (*Board of Regents of Univ. of State of N. Y. v Tomanio*, 446 US 478; *John J. Kassner & Co. v City of New York*, 46 NY2d 544; *Flanagan v Mount Eden Gen. Hosp.*, 24 NY2d 427; *Deutsche Bank Natl. Trust Co. v Flagstar Capital Mkts.*, 32 NY3d 139.) I. Discontinuance of a foreclosure action, either by stipulation or by application to a court, does not constitute revocation of acceleration of the debt without an express agreement to revoke or an express court order. (*Bank of N.Y. Mellon v Craig*, 169 AD3d 627; *U.S. Bank N.A. v Charles*, 173 AD3d 564; *Federal Natl. Mtge. Assn. v Schmitt*, 172 AD3d 1324; *21st Mtge. Corp. v Nweke*, 165 AD3d 616; *HSBC Bank, N.A. v Vaswani*, 174 AD3d 514; *Matter of Shlakman v Board of Higher Educ. of City of N.Y.*, 5 Misc 2d 901; *Matter of Terminal Auxiliary Maritima, S. A. [Winkler Credit Corp.]*, 6 NY2d 294; *Tucker v Tucker*, 55 NY2d 378.) III. Discontinuance of a foreclosure action does not render appellant’s election to accelerate the loan a nullity. (*Loeb v Willis*, 100 NY 231; *Mosey v Erie County Med.*

Ctr. Corp., 32 Misc 3d 240; *Milone v US Bank N.A.*, 164 AD3d 145; *Cresco Realty Co. v Clark*, 128 App Div 144; *Walsh v Henel*, 226 App Div 198.) IV. Reversal of the Appellate Division's decision will not promote settlements. V. Borrowers do not benefit from extended periods in default, but mortgage servicers do.

Woods Oviatt Gilman LLP, Rochester (Natalie A. Grigg of counsel), *Gross Polowy, LLC*, Westbury (Stephan Vargas of counsel), and *Schiller, Knapp, Lefkowitz & Hertzell LLP*, Latham (Ryan E. Hertzell of counsel), for American Legal and Financial Network, amicus curiae in the first above-entitled action. I. The borrower is not prejudiced by the interpretation sought by plaintiff-appellant. (*Flanagan v Mount Eden Gen. Hosp.*, 24 NY2d 427; *Deutsche Bank Natl. Trust Co. v Flagstar Capital Mkts.*, 32 NY3d 139; *ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581; *Blanco v American Tel. & Tel. Co.*, 90 NY2d 757; *Lyles v State of New York*, 3 NY3d 396.) II. The statute of limitations applies to everyone and the lender is still unfairly prejudiced. (*Citibank, N.A. v Barclay*, 124 AD3d 174; *Wells Fargo Bank, N.A. v Van Dyke*, 101 AD3d 638; *US Bank N.A. v Sarmiento*, 121 AD3d 187; *M & T Bank v Improta*, 61 Misc 3d 746; *Costa v Deutsche Bank Natl. Trust Co.*, 247 F Supp 3d 329.) III. The revocation of the election to accelerate the debt through voluntary discontinuance does not prejudice the borrower. (*Federal Natl. Mtge. Assn. v Mebane*, 208 AD2d 892; *NMNT Realty Corp. v Knoxville 2012 Trust*, 151 AD3d 1068; *Matter of Gembarosky*, 214 AD2d 209; *Trustco Bank N.Y. v S/N Precision Enters.*, 234 AD2d 665; *Kondaur Capital Corp. v Reilly*, 162 AD3d 998; *Costa v Deutsche Bank Natl. Trust Co.*, 247 F Supp 3d 329; *Bosco Credit V Trust Series 2012-1 v Johnson*, 177 AD3d 561; *Emigrant Bank v Drimmer*, 171 AD3d 1132; *Sharova v Wells Fargo Bank, N.A.*, 62 Misc 3d 925.) IV. The mortgage lenders relied on *Federal Natl. Mtge. Assn. v Mebane* (208 AD2d 892 [1994]) and the intermediate appellate courts's retroactive nullification of *Mebane* was inconsistent with decisional law concerning discontinuance. (*NMNT Realty Corp. v Knoxville 2012 Trust*, 151 AD3d 1068; *Newman v Newman*, 245 AD2d 353; *Weldotron Corp. v Arbee Scales, Inc.*, 161 AD2d 708; *Stone Mtn. Holdings, LLC v Spitzer*, 119 AD3d 548; *Harris v Ward Greenberg Heller & Reidy LLP*, 151 AD3d 1808.) V. Lenders and mortgage servicers should be afforded the same procedural protections as plaintiffs in other civil litigation. (*Housberg v Baker*, 146 Misc 2d 960; *Weldotron Corp. v Arbee*

Scales, Inc., 161 AD2d 708; *Stone Mtn. Holdings, LLC v Spitzer*, 119 AD3d 548; *Harris v Ward Greenberg Heller & Reidy LLP*, 151 AD3d 1808; *QK Healthcare, Inc. v InSource, Inc.*, 108 AD3d 56; *Thornton v Roosevelt Hosp.*, 47 NY2d 780; *Pravato v M.E.F. Bldrs.*, 217 AD2d 654; *Milone v US Bank NA*, 164 AD3d 145; *Golden v Ramapo Improvement Corp.*, 78 AD2d 648; *Bank of N.Y. Mellon v Slavin*, 156 AD3d 1073.) VI. The statewide impact could be detrimental to the economy.

Young Law Group, PLLC, Bohemia (*Justin F. Pane* of counsel), for New York State Foreclosure Defense Bar, amicus curiae in the first above-entitled action. I. The applicable limitations period to commence an action to foreclose a Form 3033 mortgage for nonpayment accrues when the noteholder has the lawful right and ability to demand immediate payment in full, and the Form 3033 mortgage does not grant a noteholder or the court the right to unilaterally decelerate the mortgage debt or the unilateral ability to “de-accrue” the running or expiration of a limitations period. (*ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581; *Ajdler v Province of Mendoza*, 33 NY3d 120; *Ost v Mindlin*, 170 App Div 558, 224 NY 668; *City of Buffalo v Maggio*, 27 AD2d 635; *Saliani v Amrhein*, 141 Misc 2d 5; *Baur v Amrhein*, 138 Misc 2d 926; *Blanco v American Tel. & Tel. Co.*, 90 NY2d 757; *Snyder v Town Insulation*, 81 NY2d 429; *Firth v State of New York*, 98 NY2d 365; *Long v State of New York*, 7 NY3d 269.) II. The appendix underlying this appeal fails to include a copy of the consolidated Form 3033 mortgage instrument being foreclosed.

McCarter & English, LLP, New York City (*Adam M. Swanson* and *Sharix A. Alicea* of counsel), and *J. Robbin Law, PLLC*, Armonk (*Jonathan M. Robbin* and *Jacquelyn A. DiCicco* of counsel), for New York Mortgage Bankers Association and another, amici curiae in the first above-entitled action. I. The Court of Appeals should reverse the Appellate Division decision to maintain consistency in New York law. (*Weldotron Corp. v Arbee Scales*, 161 AD2d 708; *Newman v Newman*, 245 AD2d 353; *Onewest Bank, FSB v McKay*, 172 AD3d 887; *Matter of HSBC Bank USA, NA [Makowski]*, 72 AD3d 1515; *Mahon v Remington*, 256 App Div 889; *Foster v New York Cent. & Hudson Riv. R.R. Co.*, 118 App Div 143; *Christiana Trust v Barua*, 184 AD3d 140; *NMNT Realty Corp. v Knoxville 2012 Trust*, 151 AD3d 1068; *Federal Natl. Mtge. Assn. v Mebane*, 208 AD2d 892; *Phoenix Acquisition Corp. v Campcore, Inc.*, 81 NY2d 138.) II. Unwinding or nullifying acceleration upon a voluntary dis-

continuance is consistent with the residential mortgage industry custom to treat the mortgage as an installment contract. (*Edison v Viva Intl.*, 70 AD2d 379; 407 E. 61st Garage v Savoy Fifth Ave. Corp., 23 NY2d 275; *Nationstar Mtge., LLC v MacPherson*, 56 Misc 3d 339; *Ajdler v Province of Mendoza*, 33 NY3d 120; *Wells Fargo Bank, N.A. v Burke*, 94 AD3d 980.)

III. The Appellate Division decision does not benefit New York homeowners or support New York State policies.

McCalla Raymer Leibert Pierce, LLC, New York City (*Richard P. Haber* and *Brian P. Scibetta* of counsel), *Schiller, Knapp, Lefkowitz & Hertzell, LLP*, Latham (*Ryan E. Hertzell* and *Daniel N. Young* of counsel), and *Aldridge Pite, LLP*, Melville (*Christopher E. Medina* and *Susan West* of counsel), for USFN-America's Mortgage Banking Attorneys, amicus curiae in the first above-entitled action. I. The Court should reverse the decision below as contrary to its long-standing precedent. (*Christiana Trust v Barua*, 184 AD3d 140; *Loiacono v Goldberg*, 240 AD2d 476; *U.S. Bank N.A. v Charles*, 173 AD3d 564; *Deutsche Bank Natl. Trust Co. v DeGiorgio*, 171 AD3d 1267; *Albertina Realty Co. v Rosbro Realty Corp.*, 258 NY 472; *Q & O Estates Corp. v US Bank Trust Nat'l Assoc.*, 175 AD3d 1337; *Deutsche Bank Natl. Trust Co. v Board of Mgrs. of the E. 86th St. Condominium*, 162 AD3d 547; *Bank of N.Y. Mellon v Dieudonne*, 171 AD3d 34; *Freedom Mtge. Corp. v Engel*, 163 AD3d 631; *Loeb v Willis*, 100 NY 231.) II. CPLR 204 (a) warrants statute of limitations tolling during the pendency of a prior foreclosure action. (*Phalen-Sobolevsky v Mullin*, 26 AD3d 806; *Torsoe Bros. Constr. Corp. v McKenzie*, 271 AD2d 682; *Costa v Deutsche Bank Natl. Trust Co.*, 247 F Supp 3d 329; *Deutsche Bank Natl. Trust Co. v McGann*, 183 AD3d 700; *HSBC Bank USA v Rice*, 155 AD3d 443.)

Berg & David, PLLC, Brooklyn (*David Berg* of counsel), for United Jewish Organizations of Williamsburg, Inc., amicus curiae in the first above-entitled action. I. The issue of whether a lender may unilaterally de-accelerate a debt is properly before this Court. (*Matter of Niagara Wheatfield Adm'rs Assn. [Niagara Wheatfield Cent. School Dist.]*, 44 NY2d 68; *Massachusetts Natl. Bank v Shinn*, 163 NY 360; *Ajdler v Province of Mendoza*, 33 NY3d 120; *ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581.) II. The sole purpose of de-accelerating mortgage loans is to avoid the effect of the statute of limitations. (*Milone v US Bank N.A.*, 164 AD3d 145; *Matter of Olga L.M.A. v Ronald A.B.M.*, 135 AD3d 741; *Matter of Winona Pi. [Winona Pa.]*, 86 AD3d

542; *People ex rel. Nichols v Board of County Canvassers of Onondaga County*, 129 NY 395; *Wells Fargo Bank, N.A. v Portu*, 179 AD3d 1204.) III. The standard practice of lenders and mortgage servicers of de-accelerating loans immediately prior to the expiration of the statute of limitations proves that their intent is solely to avoid the effect of the statute of limitations. IV. The judiciary has expressed its concerns about de-acceleration letters. (*Deutsche Bank Natl. Trust Co. Ams. v Bernal*, 56 Misc 3d 915.)

Day Pitney LLP, New York City (*Christina A. Livorsi* and *Alfred W.J. Marks* of counsel), for appellant in the second above-entitled action. I. The Court should hold that a voluntary discontinuance of a foreclosure action without prejudice automatically nullifies and/or revokes acceleration of the mortgage debt. (*EMC Mtge. Corp. v Patella*, 279 AD2d 604; *Capital One, N.A. v Saglimbeni*, 170 AD3d 508; *Lavin v Elmakiss*, 302 AD2d 638; *Ditech Fin., LLC v Corbett*, 166 AD3d 1568; *Sharova v Wells Fargo Bank, N.A.*, 62 Misc 3d 925; *MSMJ Realty, LLC v DLJ Mtge. Capital, Inc.*, 157 AD3d 885; *Newman v Newman*, 245 AD2d 353; *Brown v Cleveland Trust Co.*, 233 NY 399; *Weldotron Corp. v Arbee Scales*, 161 AD2d 708; *Matter of HSBC Bank USA, NA [Makowski]*, 72 AD3d 1515.) II. The voluntary discontinuance of the 2009 foreclosure action nullified and/or revoked the acceleration of the debt.

Law Office of Maggio & Meyer, PLLC, Bohemia (*Holly C. Meyer* of counsel), for respondent in the second above-entitled action. I. A voluntary discontinuance of a foreclosure action, in and of itself, is neither a nullification of an election to accelerate nor an affirmative act effectuating a revocation of acceleration of a mortgage debt. (*Brown v Cleveland Trust Co.*, 233 NY 399; *Yonkers Fur Dressing Co. v Standard Fire Ins. Co.*, 247 NY 435; *Newman v Newman*, 245 AD2d 353; *Brown v Cleveland Trust Co.*, 233 NY 399; *Weldotron Corp. v Arbee Scales*, 161 AD2d 708; *Miehle Print. Press & Mfg. Co. v Amtorg Trading Corp.*, 278 App Div 682; *Anostario v Anostario*, 255 AD2d 777; *Mahon v Remington*, 256 App Div 889; *Wallace v McConnell*, 38 US 136; *Haimes v Schonwit*, 268 App Div 652.) II. Constituting a voluntary discontinuance of a foreclosure action as an automatic revocation of acceleration is inequitable, against public policy and contradicts well-established law. (*Albertina Realty Co. v Rosbro Realty Corp.*, 258 NY 472; *Graf v Hope Bldg. Corp.*, 254 NY 1; *Milone v US Bank N.A.*, 164 AD3d 145; *Albany Sav. Bank v Seventy-Nine Columbia St.*, 197 AD2d 816;

Home Sav. of Am. v Isaacson, 240 AD2d 633; *National Bank of N. Am. v Cohen*, 89 AD2d 725; *Wells Fargo Bank, N.A. v Burke*, 94 AD3d 980; *Federal Natl. Mtge. Assn. v Mebane*, 208 AD2d 892; *Golden v Ramapo Improvement Corp.*, 78 AD2d 648; *Wells Fargo Bank, N.A. v Fisch*, 103 AD3d 622.)

Young Law Group, PLLC, Bohemia (*Justin F. Pane* of counsel), for New York State Foreclosure Defense Bar, amicus curiae in the second above-entitled action. I. The applicable limitations period to commence an action to foreclose a Form 3033 mortgage for nonpayment accrues when the noteholder has the lawful right and ability to demand immediate payment in full, and the Form 3033 mortgage does not grant a noteholder or the court the right to unilaterally decelerate the mortgage debt or the unilateral ability to “de-accrue” the running or expiration of a limitations period. (*ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581; *Ajdler v Province of Mendoza*, 33 NY3d 120; *Ost v Mindlin*, 170 App Div 558, 224 NY 668; *City of Buffalo v Maggio*, 27 AD2d 635; *Saliani v Amrhein*, 141 Misc 2d 501; *Baur v Amrhein*, 138 Misc 2d 926; *Blanco v American Tel. & Tel. Co.*, 90 NY2d 757; *Snyder v Town Insulation*, 81 NY2d 429; *Firth v State of New York*, 98 NY2d 365; *Long v State of New York*, 7 NY3d 269.) II. Santhana Kumar Nataraja Naidu was entitled to summary judgment dismissal because Ditech Financial LLC’s 2016 foreclosure complaint was filed more than four years after the cause of action to foreclose accrued under the subject Form 3033 mortgage. (*Capital One, N.A. v Saglimbeni*, 170 AD3d 508; *Lubonty v U.S. Bank N.A.*, 34 NY3d 250; *Wilmington Trust, N.A. v Dawson*, 174 AD3d 673.)

Villanti Law Group PLLC, Brooklyn (*Christopher Villanti* of counsel), for United Jewish Organizations of Williamsburg, Inc., amicus curiae in the second above-entitled action. I. The “practical implications” proffered by appellant in support of its contention that acceleration cannot be measured from pre-commencement acts of the lender fail to articulate legitimate concerns. (*Puzzuoli v JPMorgan Chase Bank, N.A.*, 55 Misc 3d 417; *Albertina Realty Co. v Rosbro Realty Corp.*, 258 NY 472; *Hirsch v Badler*, 3 AD2d 921; *Allen v Crowell-Collier Publ. Co.*, 21 NY2d 403; *DDJ Mgt., LLC v Rhone Group L.L.C.*, 15 NY3d 147; *MAFG Art Fund, LLC v Gagosian*, 123 AD3d 458; *Deutsche Bank Natl. Trust Co. v Flagstar Capital Mkts.*, 32 NY3d 139; *ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v*

DB Structured Prods., Inc., 25 NY3d 581.) II. The rationale of Justice Miller's dissent in *Christiana Trust v Barua* (184 AD3d 140 [2020]) is unsound. (*Golden v Ramapo Improvement Corp.*, 78 AD2d 648; *Matter of Chemical Specialties Mfrs. Assn. v Jorling*, 85 NY2d 382; *Two Guys from Harrison-N.Y. v S.F.R. Realty Assoc.*, 63 NY2d 396; *Milone v US Bank N.A.*, 164 AD3d 145; *Kilpatrick v Germania Life Ins. Co.*, 183 NY 163; *NMNT Realty Corp. v Knoxville 2012 Trust*, 151 AD3d 1068; *Beneficial Homeowner Serv. Corp. v Tovar*, 150 AD3d 657; *Wells Fargo Bank, N.A. v Burke*, 94 AD3d 980; *Nassau Trust Co. v Montrose Concrete Prods. Corp.*, 56 NY2d 175.)

Adam Plotch, amicus curiae pro se in the second above-entitled action. I. New York's jurisprudence on unilateral de-acceleration is based on a clear misreading of precedent that has been blindly followed for decades. (*Golden v Ramapo Improvement Corp.*, 78 AD2d 648; *U.S. Bank Trust, N.A. v Deceus*, 186 AD3d 1450; *Ost v Mindlin*, 170 App Div 558, 224 NY 668; *Kilpatrick v Germania Life Ins. Co.*, 183 NY 163; *U.S. Bank N.A. v Balderston*, 163 AD3d 1482; *HSBC Bank, USA, NA v Margineanu*, 61 Misc 3d 973; *Lavin v Elmakiss*, 302 AD2d 638; *Capital One, N.A. v Saglimbeni*, 170 AD3d 508; *Wells Fargo Bank, N.A. v Portu*, 179 AD3d 1204; *U.S. Bank N.A. v Brown*, 186 AD3d 1038.) II. Neither the contract, nor any statute, authorizes unilateral de-acceleration. (*U.S. Bank N.A. v McCaffery*, 186 AD3d 897; *NML Capital v Republic of Argentina*, 17 NY3d 250; *Bank of N.Y. Mellon v Dieudonne*, 171 AD3d 34; *Columbia Banking Fed. Sav. & Loan Assn. v Tumminelli*, 122 AD2d 550; *Quadrant Structured Prods. Co., Ltd. v Vertin*, 23 NY3d 549; *Matter of Avella v City of New York*, 29 NY3d 425; *Brayton v Pappas*, 52 AD2d 187; *ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581; *Graf v Hope Bldg. Corp.*, 254 NY 1; *Parker v Booker*, 33 AD3d 602.) III. Appellant erroneously relies on *Loeb v Willis* (100 NY 231 [1885]). (*Wells Fargo Bank, N.A. v Liburd*, 176 AD3d 464; *City Sts. Realty Corp. v Jan Jay Constr. Enters. Corp.*, 88 AD2d 558; *McRorie v Monroe*, 203 NY 426; *People v Rosner*, 67 NY2d 290; *MTGLQ Invs., LLP v Lunder*, 183 AD3d 967; *Deutsche Bank Natl. Trust Co. v Royal Blue Realty Holdings, Inc.*, 148 AD3d 529; *United Cos. Lending Corp. v Candela*, 292 AD2d 800.) IV. A statute of limitations runs notwithstanding a plaintiff's election to sleep on its rights. (*Hahn Automotive Warehouse, Inc. v American Zurich Ins. Co.*, 18 NY3d 765; *Fairlane Fin. Corp. v Scipione*, 174 AD3d 577; *Elie Intl., Inc. v Macy's W. Inc.*, 106 AD3d 442; *Mutual Life Ins.*

Co. of N.Y. v Barca Realty Corp., 294 NY 925; *Martin v Stoddard*, 127 NY 61; *Bank of Am., N.A. v Gulnick*, 170 AD3d 1365; *Sotheby's, Inc. v Mao*, 173 AD3d 72, 34 NY3d 902; *McNeary v Charlebois*, 169 AD3d 1295; *Zinker v Makler*, 298 AD2d 516; *Gorgas v Perito*, 299 NY 265.) V. De-acceleration does not satisfy the General Obligations Law means by which a statute of limitations on an action to foreclose a mortgage can be extended. (*Portfolio Recovery Assoc., LLC v King*, 14 NY3d 410; *State of New York v Seventh Regiment Fund*, 98 NY2d 249; *Petito v Piffath*, 85 NY2d 1; *Sterling Natl. Bank v Travelers Cas. & Sur. Co. of Am.*, 93 AD3d 543; *Yang v Lehman Bros.*, 269 AD2d 160; *Chase Manhattan Bank v Polimeni*, 244 AD2d 220; *Nationstar Mtge., LLC v Dorsin*, 180 AD3d 1054; *Skaneateles Sav. Bank v Modi Assoc.*, 239 AD2d 40.)

Greenberg Traurig, LLP, New York City (*Patrick Broderick, Brian Pantaleo and Leah Jacob* of counsel), for appellant in the third above-entitled action. I. IndyMac Bank, FSB's 2008 letter referring to a potential future event is not a clear and unequivocal act accelerating a loan. (*Albertina Realty Co. v Rosbro Realty Corp.*, 258 NY 472; *Wells Fargo Bank, N.A. v Burke*, 94 AD3d 980; *Clayton Natl. v Guldi*, 307 AD2d 982; *Federal Natl. Mtge. Assn. v Mebane*, 208 AD2d 892; *U.S. Bank N.A. v Martin*, 144 AD3d 891; *PSP-NC, LLC v Raudkivi*, 138 AD3d 709; *People v Aleynikov*, 148 AD3d 77; *Matter of Avella v City of New York*, 29 NY3d 425; *Nehmadi v Davis*, 63 AD3d 1125; *Guippone v Gaias*, 13 AD3d 339.) II. The Court should end the confusion created by the First Department's holding that default letters trigger acceleration. (*Matter of Civil Serv. Bar Assn., Local 237, Intl. Bhd. of Teamsters v City of New York*, 64 NY2d 188; *Hallock v State of New York*, 64 NY2d 224; *Blanco v American Tel. & Tel. Co.*, 90 NY2d 757; *Covington v Walker*, 3 NY3d 287; *21st Mtge. Corp. v Adames*, 153 AD3d 474.) III. IndyMac Bank, FSB's voluntary discontinuance nullified and revoked any purported acceleration. (*Loeb v Willis*, 100 NY 231; *Newman v Newman*, 245 AD2d 353; *NMNT Realty Corp. v Knoxville 2012 Trust*, 151 AD3d 1068; *Capital One, N.A. v Saglimbeni*, 170 AD3d 508.)

Justin F. Pane and Steinberg & Associates, Kew Gardens (*Herbert N. Steinberg* of counsel), for respondent in the third above-entitled action. I. The August 5, 2008 letter sent by IndyMac Bank, FSB to Juan Vargas was clear and unequivocal and resulted in acceleration of the mortgage and the running of the statute of limitations. (*Bank of N.Y. Mellon v Dieudonne*, 171

AD3d 34, 34 NY3d 910; *Lavin v Elmakiss*, 302 AD2d 638; *Nationstar Mtge., LLC v Weisblum*, 143 AD3d 866; *Snug Harbor Sq. Venture v Never Home Laundry*, 252 AD2d 520; *Wells Fargo Bank, N.A. v Portu*, 179 AD3d 1204; *Nehmadi v Davis*, 63 AD3d 1125; *Matter of Avella v City of New York*, 29 NY3d 425; *Deutsche Bank Natl. Trust Co. v Royal Blue Realty Holdings, Inc.*, 148 AD3d 529; *Goldman Sachs Mtge. Co. v Mares*, 135 AD3d 1121.) II. Appellant's actions subsequent to the August 5, 2008 acceleration letter provide indisputable evidence that appellant had accelerated the mortgage. (*MTGLQ Invs., LLP v Lunder*, 183 AD3d 967; *Federal Natl. Mtge. Assn. v Mebane*, 208 AD2d 892; *Federal Natl. Mtge. Assn. v Rosenberg*, 180 AD3d 401.) III. The discontinuance issue is unpreserved.

Francis M. Caesar, Chappaqua, amicus curiae pro se in the third above-entitled action. I. This Court in *Albertina Realty Co. v Rosbro Realty Corp.* (258 NY 472 [1932]) used the doctrine of election of remedies to analyze a mortgage with a Real Property Law § 254 (2) covenant. II. The unequivocal terms of the mortgage give the mortgagee the right to convert the term loan into a demand loan. (*Matter of Wallace v 600 Partners Co.*, 86 NY2d 543; *Hahn Automotive Warehouse, Inc. v American Zurich Ins. Co.*, 18 NY3d 765; *Milone v US Bank N.A.*, 164 AD3d 145; *Ditech Fin., LLC v Corbett*, 166 AD3d 1568; *Morris v Rexford*, 18 NY 552.) III. The doctrine of election of remedies bars the right of the appellant mortgagee to unilaterally revoke its election. (*Morris v Rexford*, 18 NY 552; *Golden v Ramapo Improvement Corp.*, 78 AD2d 648; *Gilbert Frank Corp. v Federal Ins. Co.*, 70 NY2d 966.) IV. The restriction of CPLR 201 is not precatory. (*Arnold v Mayal Realty Co.*, 299 NY 57.) V. A mortgagee has adequate means at law to address loss. (*Graf v Hope Bldg. Corp.*, 254 NY 1; *Morris v Rexford*, 18 NY 552.)

Young Law Group, PLLC, Bohemia (*Justin F. Pane* of counsel), for New York State Foreclosure Defense Bar, amicus curiae in the third above-entitled action. I. The applicable limitations period to commence an action to foreclose a Form 3033 mortgage for nonpayment accrues when the noteholder has the lawful right and ability to demand immediate payment in full, and the Form 3033 mortgage does not grant a noteholder or the court the right to unilaterally decelerate the mortgage debt or the unilateral ability to “de-accrue” the running or expiration of a limitations period. (*ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25

NY3d 581; *Ajdler v Province of Mendoza*, 33 NY3d 120; *Ost v Mindlin*, 170 App Div 558, 224 NY 668; *City of Buffalo v Maggio*, 27 AD2d 635; *Saliani v Amrhein*, 141 Misc 2d 501; *Baur v Amrhein*, 138 Misc 2d 926; *Blanco v American Tel. & Tel. Co.*, 90 NY2d 757; *Snyder v Town Insulation*, 81 NY2d 429; *Firth v State of New York*, 98 NY2d 365; *Long v State of New York*, 7 NY3d 269.) II. Juan Vargas was entitled to judgment discharging the underlying Form 3033 mortgage as time-barred since more than five years after accrual, the only foreclosure action commenced had been voluntarily discontinued. (*Deutsche Bank Natl. Trust Co. v Barclays Bank PLC*, 34 NY3d 327; *Kimso Apts., LLC v Gandhi*, 24 NY3d 403.)

The Silber Law Firm, LLC, New York City (Meyer Y. Silber of counsel), for United Jewish Organizations of Williamsburg, Inc., amicus curiae in the third above-entitled action. I. A notice which declares the loan “will be accelerated” on a specified date is a clear and unequivocal act of acceleration. (*MTGLQ Invs., LLP v Lunder*, 183 AD3d 967; *NML Capital v Republic of Argentina*, 17 NY3d 250; *Albertina Realty Co. v Rosbro Realty Corp.*, 258 NY 472; *Wilson v Galicia Contr. & Restoration Corp.*, 10 NY3d 827; *Zuckerman v City of New York*, 49 NY2d 557; *Pennymac Holdings, LLC v Tomanelli*, 139 AD3d 688; *Mada-wick Contr. Co. v Travelers Ins. Co.*, 307 NY 111; *Fox Film Corp. v Springer*, 273 NY 434; *Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470; *159 MP Corp. v Redbridge Bedford, LLC*, 33 NY3d 353.) II. A cause of action for mortgage foreclosure accrues when the mortgagee has a right to demand payment. (*Lubonty v U.S. Bank N.A.*, 34 NY3d 250; *Phoenix Acquisition Corp. v Campcore, Inc.*, 81 NY2d 138; *Hulbert v Clark*, 128 NY 295.)

Adam Plotch, amicus curiae pro se in the third above-entitled action. I. The statute of limitations begins to run prior to acceleration. (*Ditech Fin., LLC v Corbett*, 166 AD3d 1568; *MTGLQ Invs., LLP v Lunder*, 183 AD3d 967; *Deutsche Bank Natl. Trust Co. v Royal Blue Realty Holdings, Inc.*, 148 AD3d 529; *Bank of N.Y. Mellon v Viola*, 181 AD3d 767; *Goldman Sachs Mtge. Co. v Mares*, 135 AD3d 1121; *United Cos. Lending Corp. v Candela*, 292 AD2d 800; *Roth v Michelson*, 55 NY2d 278; *Ernst v Schaack*, 271 App Div 1012, 297 NY 566; *Chapin v Posner*, 299 NY 31; *LePore v Shaheen*, 32 AD3d 1330.) II. A court has no power to extend a statute of limitations. (*Tucker v Tucker*, 55 NY2d 378; *Lubonty v U.S. Bank N.A.*, 34 NY3d 250; *McCoy v Feinman*, 99 NY2d 295; *Continental Bank & Trust Co. v*

Tanager Constr. Corp., 276 App Div 988, 302 NY 663; *Arnold v Mayal Realty Co.*, 299 NY 57; *Matter of Brusco v Braun*, 84 NY2d 674; *ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2*, 25 NY3d 581; *Perez v Paramount Communications*, 92 NY2d 749; *Vastola v Maer*, 48 AD2d 561, 39 NY2d 1019; *Manhattan Telecom. Corp. v H & A Locksmith, Inc.*, 21 NY3d 200.)

Greenberg Traurig, LLP, New York City (Brian Pantaleo and Patrick G. Broderick of counsel), for appellant in the fourth above-entitled action. I. The foreclosure complaints in the 2009 and 2011 actions were based on the wrong instrument, and therefore did not accelerate the loan. (*CDR Créances S.A. v Euro-American Lodging Corp.*, 43 AD3d 45; *Albertina Realty Co. v Rosbro Realty Corp.*, 258 NY 472; *Clayton Natl. v Guldi*, 307 AD2d 982; *Norwest Bank Minn. v Sabloff*, 297 AD2d 722; *Deutsche Bank Natl. Trust Co. v Board of Mgrs. of the E. 86th St. Condominium*, 162 AD3d 547; *EMC Mtge. Corp. v Suarez*, 49 AD3d 592; *Wells Fargo Bank, N.A. v Burke*, 94 AD3d 980; *J & JT Holding Corp. v Deutsche Bank Natl. Trust Co.*, 173 AD3d 704; *Milone v US Bank N.A.*, 164 AD3d 145.) II. Wells Fargo Bank, N.A. clearly and unequivocally revoked acceleration, or was at least entitled to present a factual record supporting revocation to the Supreme Court. (*Golden v Ramapo Improvement Corp.*, 78 AD2d 648; *EMC Mtge. Corp. v Patella*, 279 AD2d 604; *Lavin v Elmakiss*, 302 AD2d 638; *Federal Natl. Mtge. Assn. v Mebane*, 208 AD2d 892; *Milone v US Bank N.A.*, 164 AD3d 145; *People v Payne*, 88 NY2d 172; *Forrest v Jewish Guild for the Blind*, 3 NY3d 295; *People v Reid*, 24 NY3d 615.) III. Donna Ferrato should not be able to employ delay and litigation tactics to implicate the statute of limitations. (*Blanco v American Tel. & Tel. Co.*, 90 NY2d 757; *Railroad Telegraphers v Railway Express Agency, Inc.*, 321 US 342.)

Wrobel Markham LLP, New York City (M. Katherine Sherman and David C. Wrobel of counsel), for respondent in the fourth above-entitled action. I. Wells Fargo Bank, N.A. incorrectly asserts that it did not have the “authority” to foreclosure on the premises in the second and third foreclosure actions. (*EMC Mtge. Corp. v Suarez*, 49 AD3d 592; *Deutsche Bank Natl. Trust Co. v Board of Mgrs. of the E. 86th St. Condominium*, 162 AD3d 547; *Wells Fargo Bank, N.A. v Burke*, 94 AD3d 980; *HSBC Bank USA, N.A. v Spitzer*, 131 AD3d 1206.) II. Wells Fargo Bank, N.A.’s commencement of both the second and third foreclosure actions constituted clear and unequivocal notice

that the bank was accelerating the mortgage debt. (*EMC Mtge. Corp. v Patella*, 279 AD2d 604; *Arbisser v Gelbelman*, 286 AD2d 693, 97 NY2d 612; *Costa v Deutsche Bank Natl. Trust Co.*, 247 F Supp 3d 329.) III. Wells Fargo Bank, N.A. has not and cannot present any evidence that it clearly and unequivocally revoked the acceleration of the loan prior to the expiration of the statute of limitations. (*NMNT Realty Corp. v Knoxville 2012 Trust*, 151 AD3d 1068; *U.S. Bank N.A. v Charles*, 173 AD3d 564; *U.S. Bank Trust, N.A. v Aorta*, 167 AD3d 807; *HSBC Bank USA v Kirschenbaum*, 159 AD3d 506.) IV. Wells Fargo Bank, N.A.'s attempt to blame Donna Ferrato for its own incompetence must be rejected by this Court. (*ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581; *John J. Kassner & Co. v City of New York*, 46 NY2d 544; *Ferlazzo v Riley*, 278 NY 289; *Triple Cities Constr. Co. v Maryland Cas. Co.*, 4 NY2d 443; *Metropolitan Life Ins. Co. v Childs Co.*, 230 NY 285; *Nassau Trust Co. v Montrose Concrete Prods. Corp.*, 56 NY2d 175.)

Francis M. Caesar, Chappaqua, amicus curiae pro se in the fourth above-entitled action. The lower courts failed to apply well-settled contract construction principles or the doctrine of election of remedies to resolve the issues in this case. (*Fifty States Mgt. Corp. v Pioneer Auto Parks*, 46 NY2d 573; *Conditioner Leasing Corp. v Sternmor Realty Corp.*, 17 NY2d 1; *Ellington v EMI Music, Inc.*, 24 NY3d 239; *Beal Sav. Bank v Sommer*, 8 NY3d 318; *Matter of Wallace v 600 Partners Co.*, 86 NY2d 543; *Lexow & Jenkins v Hertz Commercial Leasing Corp.*, 122 AD2d 25; *Robb v Vos*, 155 US 13; *Albertina Realty Co. v Rosbro Realty Corp.*, 258 NY 472; *Schenck v State Line Tel. Co.*, 238 NY 308; *Conrow v Little*, 115 NY 387.)

Young Law Group, PLLC, Bohemia (*Justin F. Pane* of counsel), for New York State Foreclosure Defense Bar, amicus curiae in the fourth above-entitled action. I. The applicable limitations period to commence an action to foreclose upon the entirety of all sums so-secured by a nonuniform mortgage for nonpayment accrues when the instrument first provides the noteholder with the lawful right and ability to demand the entire loan balance immediately due and payable in full, and New York law permits neither noteholders nor the courts the right to contract, judicially declare, or otherwise effectuate a "deaccrual" of the statute of limitations to foreclose a mortgage outside operation of statute. (*ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25

NY3d 581; *Ajdler v Province of Mendoza*, 33 NY3d 120; *Ost v Mindlin*, 170 App Div 558, 224 NY 668; *Long v State of New York*, 7 NY3d 269.) II. The applicable limitations period expired March 2, 2015, rendering the foreclosure action commenced by Wells Fargo Bank, N.A. on February 11, 2015, timely; however, the 2015 action was voluntarily discontinued upon jurisdictional concerns and, as a consequence, the subsequent foreclosure action commenced by Wells Fargo on December 13, 2017, was untimely. (*Global Fin. Corp. v Triarc Corp.*, 93 NY2d 525.)

OPINION OF THE COURT

Chief Judge DiFiore.

These appeals—each turning on the timeliness of a mortgage foreclosure claim—involve the intersection of two areas of law where the need for clarity and consistency are at their zenith: contracts affecting real property ownership and the application of the statute of limitations. In *Vargas v Deutsche Bank Natl. Trust Co.* and *Wells Fargo Bank, N.A. v Ferrato*, the primary issue is when the maturity of the debt was accelerated, commencing the six-year statute of limitations period. Applying the long-standing rule derived from *Albertina Realty Co. v Rosbro Realty Corp.* (258 NY 472, 476 [1932]) that a noteholder must effect an “unequivocal overt act” to accomplish such a substantial change in the parties’ contractual relationship, we reject the argument in *Vargas* that the default letter in question accelerated the debt, and similarly conclude in *Wells Fargo* that two complaints in prior discontinued foreclosure actions that each failed to reference the pertinent modified loan likewise were not sufficient to constitute a valid acceleration. The remaining cases turn on whether the noteholder’s voluntary discontinuance of a prior foreclosure action revoked acceleration of the debt, reinstating the borrower’s contractual right to repay the loan over time in installments. Adopting a clear rule that will be easily understood by the parties and can be consistently applied by the courts, we hold that where the maturity of the debt has been validly accelerated by commencement of a foreclosure action, the noteholder’s voluntary withdrawal of that action revokes the election to accelerate, absent the noteholder’s contemporaneous statement to the contrary. These conclusions compel a reversal of the Appellate Division order in each case.

The parties do not dispute that under CPLR 213 (4), a mortgage foreclosure claim is governed by a six-year statute of limitations (see *Lubonty v U.S. Bank N.A.*, 34 NY3d 250, 261

[2019])—in each case, the timeliness dispute turns on whether or when the noteholders exercised certain rights under the relevant contracts, impacting when each claim accrued and whether the limitations period expired, barring the noteholders’ foreclosure claims. Because these cases involve the operation of the statute of limitations, we begin with some general principles. We have repeatedly recognized the important objectives of certainty and predictability served by our statutes of limitations and endorsed by our principles of contract law, particularly where the bargain struck between the parties involves real property (see *ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581, 593 [2015]). Statutes of limitations advance our society’s interest in “giving repose to human affairs” (*John J. Kassner & Co. v City of New York*, 46 NY2d 544, 550 [1979] [citations omitted]). Our rules governing contract interpretation—the principle that agreements should be enforced pursuant to their clear terms—similarly promotes stability and predictability according to the expectations of the parties (see *159 MP Corp. v Redbridge Bedford, LLC*, 33 NY3d 353, 358 [2019]). This Court has emphasized the need for reliable and objective rules permitting consistent application of the statute of limitations to claims arising from commercial relationships (see *ACE Sec. Corp.*, 25 NY3d at 593-594, citing *Ely-Cruikshank Co. v Bank of Montreal*, 81 NY2d 399, 403 [1993]; *Ajdler v Province of Mendoza*, 33 NY3d 120, 130 n 6 [2019]).

Whether a foreclosure claim is timely cannot be ascertained without an understanding of the parties’ respective rights and obligations under the operative contracts: the note and the mortgage. The noteholder’s ability to foreclose on the property securing the debt depends on the language in these documents (see *Nomura Home Equity Loan, Inc., Series 2006-FM2 v Nomura Credit & Capital, Inc.*, 30 NY3d 572, 581 [2017]; *W.W.W. Assoc. v Giancontieri*, 77 NY2d 157, 162-163 [1990]). In the residential mortgage industry, the use of standardized instruments is common, as reflected here where the relevant terms of the operative agreements are alike,¹ facilitating a general discussion of the operation of the statute of limitations with re-

1. The agreements at issue in three of the cases before us are uniform instruments issued by Fannie Mae for use in New York (mortgage [Form 3033]; note [Form 3233; Form 3518]). The note and mortgage executed in *Wells Fargo* do not appear to be Fannie Mae or Freddie Mac standardized instruments.

spect to claims arising from agreements of this nature. In each case before us, the note and mortgage create a relationship typical in the residential mortgage foreclosure context: in exchange for the opportunity to purchase a home, the borrower promised to repay a loan in favor of the noteholder, secured by a lien on that real property, over a 30-year extended term through a series of monthly installment payments. As prescribed in the agreements, the borrower's failure to timely make monthly installment payments constituted a default. For over a century, residential mortgage contracts have typically provided noteholders the right to accelerate the maturity date of the loan upon the borrower's default, thereby demanding immediate repayment of the entire outstanding debt (*see e.g. Odell v Hoyt*, 73 NY 343, 345 [1878]). In these cases, the mortgages provide that the noteholder “*may*” require immediate payment of the outstanding debt—i.e., accelerate the maturity of the loan—upon the borrower's default.² It is plain from this language that whether to exercise this contractual right is a matter within the noteholder's discretion—the noteholder is not obliged to accelerate the loan upon a default (*Adler v Berkowitz*, 254 NY 433, 436 [1930]). The extended contractual relationship explains why residential mortgage agreements are generally structured in this way. Noteholders can—and often do—anticipate and tolerate defaults relating to timely payment, permitting the borrower to correct such deficiencies without a significant disturbance in the contractual relationship. Precipitous acceleration of the debt serves neither party as it works a fundamental alteration of the status quo.

Indeed, a noteholder's election to accelerate the entire debt has multiple, significant effects. Particularly relevant to these appeals, under the typical contract, acceleration permits the noteholder to commence an action seeking the remedy of full foreclosure (*see Odell*, 73 NY at 345)—an equitable tool permitting the noteholder to take possession of the real property securing the debt (*Copp v Sands Point Mar.*, 17 NY2d 291, 293 [1966]). Accordingly, a cause of action to recover the entire balance of the debt accrues at the time the loan is accelerated, triggering the six-year statute of limitations to commence a foreclosure action (*see CPLR* 203 [a]; 213 [4]; *Phoenix Acquisi-*

2. In addition, the Fannie Mae Form 3033 mortgage provides that the option to accelerate may be exercised only upon satisfaction of certain conditions, including notice and an opportunity for the borrower to correct the default.

tion Corp. v Campcore, Inc., 81 NY2d 138, 143 [1993]; *Lubonty*, 34 NY3d at 261; *see also CDR Créances S.A. v Euro-American Lodging Corp.*, 43 AD3d 45, 51 [1st Dept 2007]; *EMC Mtge. Corp. v Patella*, 279 AD2d 604, 605 [2d Dept 2001]; *Lavin v Elmakiss*, 302 AD2d 638, 639 [3d Dept 2003]; *Business Loan Ctr., Inc. v Wagner*, 31 AD3d 1122, 1123 [4th Dept 2006]).³ Acceleration is therefore a significant event for statute of limitations purposes and, in two of these appeals, the timeliness dispute turns on whether certain acts—in *Wells Fargo*, the filing of complaints in prior foreclosure actions and, in *Vargas*, the issuance of a default letter—effectuated an acceleration of the indebtedness, starting the clock on the noteholders’ claims.

I.

We have had few occasions to address how a lender may effectuate an acceleration of the maturity of a debt secured on real property. However, in *Albertina Realty Co.*, we made clear that any election to accelerate must be made in accordance with the terms of the note and mortgage and that the parties are free to include provisions detailing what the noteholder must do to accelerate the debt (258 NY at 475-476). We further held that, to be valid, an election to accelerate must be made by an “unequivocal overt act” that discloses the noteholder’s choice, such as the filing of a verified complaint seeking foreclosure and containing a sworn statement that the noteholder is demanding repayment of the entire outstanding debt (*id.* at 476). Although the Court did not otherwise decide “just what a holder of a mortgage must do to exercise the right of election, under an acceleration clause,” it did clarify that “[t]he fact of election should not be confused with the notice or manifestation of such election” (*id.*). While the act evincing the noteholder’s election must be sufficient to “constitute[] notice to all third parties of such [a] choice,” a borrower’s lack of actual notice “d[oes] not as a matter of law destroy” the effect of the election (*id.*). Put another way, the point at which a borrower has actual notice of an election to accelerate is not the opera-

3. Prior to acceleration, upon a default on the obligation to timely make an installment payment, a cause of action accrues to recover that installment payment, triggering the six-year statute of limitations for an action to recover that payment (*see Hahn Automotive Warehouse, Inc. v American Zurich Ins. Co.*, 18 NY3d 765, 770 [2012]; *e.g. Loiacono v Goldberg*, 240 AD2d 476, 477 [2d Dept 1997]; *Pagano v Smith*, 201 AD2d 632, 633-634 [2d Dept 1994]) but a default alone does not trigger the statute of limitations relating to a foreclosure action (*see Phoenix Acquisition Corp.*, 81 NY2d at 143).

tive event for purposes of determining when the statute of limitations begins to run. Indeed, in *Albertina*, we held that the debt was accelerated when the verified complaint and lis pendens were filed, even though the papers had not yet been served on the borrower (*id.*). The determinative question is not what the noteholder intended or the borrower perceived, but whether the contractual election was effectively invoked.

There are sound policy reasons to require that an acceleration be accomplished by an “unequivocal overt act.” Acceleration in this context is a demand for payment of the outstanding loan in full that terminates the borrower’s right to repay the debt over time through the vehicle of monthly installment payments (although the contracts may provide the borrower the right to cure) (*see Federal Natl. Mtge. Assn. v Mebane*, 208 AD2d 892, 894 [2d Dept 1994]). Such a significant alteration of the borrower’s obligations under the contract—replacing the right to make recurring payments of perhaps a few thousand dollars a month or less with a demand for immediate payment of a lump sum of hundreds of thousands of dollars—should not be presumed or inferred; noteholders must unequivocally and overtly exercise an election to accelerate. With these principles in mind, we turn to the two appeals before us in which the parties dispute whether, and when, a valid acceleration of the debt occurred, triggering the six-year limitations period to commence a foreclosure claim.

Wells Fargo

The central issue in *Wells Fargo* is whether the commencement of either of two prior, dismissed foreclosure actions constituted a valid acceleration, impacting the timeliness of this foreclosure action (the fifth involving this property),⁴ which was commenced in December 2017. Over 10 years ago, bor-

4. As these cases reflect, for many reasons, including the extraordinary length of the contractual relationship—frequently spanning decades—multiple foreclosure actions involving the same borrower are not unusual. This type of contractual relationship is not static. Not only might a borrower’s circumstances and payment practices vary over the course of three decades (a default may lead to a foreclosure action that is ultimately resolved through payment of arrears), but the party entitled to enforce the note is similarly variable because notes secured by residential mortgages are typically negotiable instruments, meant to be transferred and assigned. Moreover, the legislature has imposed exacting standards for bringing a foreclosure claim—e.g., prescribing the precise method of providing pre-suit notice to the borrower (*see* RPAPL 1304) and detailing what must be included in a

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rower Donna Ferrato allegedly defaulted on a \$900,000 loan secured by a mortgage on her Manhattan condominium unit. Upon Wells Fargo's initiation of this foreclosure action, Ferrato moved to dismiss, arguing that the debt was accelerated in September 2009 by the commencement of the second foreclosure action and the limitations period therefore expired six years later, in September 2015. Supreme Court denied Ferrato's motion (2018 NY Slip Op 31867[U] [Sup Ct, NY County 2018]), concluding that neither the second nor the third foreclosure actions—commenced in 2009 and 2011, respectively—validly accelerated the debt because, as Ferrato had successfully argued in Supreme Court in those actions, the complaints reflected an attempt to foreclose upon the original note and mortgage even though the terms of that note had been modified (increasing the debt and changing the interest rate) in 2008. On Ferrato's appeal, the Appellate Division (among other things) reversed and granted her motion to dismiss (183 AD3d 529 [1st Dept 2020]), reasoning that the September 2009 complaint effected a valid acceleration of the modified loan despite the failure to reference the correct loan documents.⁵ The Appellate Division granted Wells Fargo leave to appeal to this Court and, because we agree with Wells Fargo that the modified loan debt which it now seeks to enforce could not have been accelerated by the complaints filed in the second (or, for that matter, third) foreclosure action which failed to reference the modified note, we reverse the portion of the Appellate Division order granting Ferrato's motion to dismiss the complaint in the fifth foreclosure action and deny that motion.

[1] It is undisputed that the parties modified the original loan in 2008 after Ferrato's initial default, changing the terms by altering the interest rate and increasing the principal amount of the loan by more than \$60,000. Nevertheless, in the second foreclosure action on which Ferrato relies, Wells Fargo attached only the original note and mortgage (stating a principal amount of \$900,000) to the complaint and failed to acknowledge that the parties entered into a modification agreement altering the amount and terms of the loans (the only oblique evidence of a modification was in an attached schedule stating a principal dollar amount consistent with the modified

foreclosure complaint (*see e.g.* CPLR 3012-b)—and an action may be dismissed for failure to adhere to those requirements.

5. The bank's appeal from another portion of the Appellate Division order relating to the fourth action between the parties is addressed in section II.

debt). Although Ferrato successfully moved to dismiss both prior actions on the basis that these deficiencies precluded Wells Fargo from foreclosing on her property, she now asserts that the filing of those complaints validly accelerated the debt. It is well-settled that the filing of a verified foreclosure complaint may evince an election to accelerate (*see Albertina*, 258 NY at 476), but here the filings did not accelerate the modified loan (underlying the current foreclosure action) because the bank failed to attach the modified agreements or otherwise acknowledge those documents, which had materially distinct terms. Under these circumstances—where the deficiencies in the complaints were not merely technical or de minimis and rendered it unclear what debt was being accelerated—the commencement of these actions did not validly accelerate the modified loan (*Albertina Realty Co.*, 258 NY2d at 476).⁶ Because Ferrato did not identify any other acceleration event occurring more than six years prior to the commencement of the fifth foreclosure action, the Appellate Division erred in granting her motion to dismiss that action as untimely.

Vargas

In *Vargas*, an action under RPAPL 1501 (4) to discharge a mortgage on real property commenced by borrower Juan Vargas against noteholder Deutsche Bank,⁷ the parties dispute whether a default letter issued by the bank’s predecessor-in-interest validly accelerated the debt. New York courts have observed, consistent with *Albertina*, that the acceleration of a mortgage debt may occur by means other than the commencement of a foreclosure action, such as through an unequivocal acceleration notice transmitted to the borrower (*see Mejias v Wells Fargo N.A.*, 186 AD3d 472, 474 [2d Dept 2020]; *Lavin*, 302 AD2d at 638-639). However, the Appellate Division departments disagree on the language necessary to render a letter

6. Notably, in the third foreclosure action, not only was the complaint plagued by the same defects as the second action, but Wells Fargo also asserted in response to the motion to dismiss that it was proceeding on the original, unmodified loan. The court dismissed the action, reasoning that Wells Fargo had commenced the action on the wrong debt.

7. Under section 1501 of the Real Property Actions and Proceedings Law, a person with an interest in the property may commence an action “to secure the cancellation and discharge of record of such encumbrance, and to adjudge the estate or interest of the plaintiff in such real property to be free therefrom” “[w]here the period allowed by the applicable statute of limitation for the commencement of an action to foreclose a mortgage . . . has expired” (RPAPL 1501 [4]).

sufficiently unequivocal to constitute a valid election to accelerate. In *Deutsche Bank Natl. Trust Co. v Royal Blue Realty Holdings, Inc.* (148 AD3d 529, 529 [1st Dept 2017]), the First Department concluded that a letter stating that the noteholder “will” accelerate upon the borrower’s failure to cure the default constituted clear and unequivocal notice of an acceleration that became effective upon the expiration of the cure period. But the Second Department has rejected that view (see e.g. *Milone v US Bank N.A.*, 164 AD3d 145 [2d Dept 2018]; *21st Mtge. Corp. v Adames*, 153 AD3d 474 [2d Dept 2017]), reasoning that comparable language did not accelerate the debt and was “merely an expression of future intent that fell short of an actual acceleration,” which could “be changed in the interim” (*Milone*, 164 AD3d at 152). This disagreement is at the heart of the parties’ dispute in *Vargas*.

Vargas commenced this quiet title action against Deutsche Bank in July 2016, seeking to cancel a \$308,000 mortgage on residential property in the Bronx, contending the statute of limitations for any claim to foreclose on the mortgage had expired. Deutsche Bank moved to dismiss and, in opposition, Vargas argued that an August 2008 default letter sent by the bank’s predecessor-in-interest⁸ had accelerated the debt and that the limitations period had expired before commencement of the quiet title action. Supreme Court initially rejected that contention (2017 NY Slip Op 30948[U] [Sup Ct, Bronx County 2017]), reasoning that the default letter was insufficient in itself to constitute an election to accelerate. However, on renewal, the court reversed course, denied Deutsche Bank’s motion to dismiss and granted summary judgment to Vargas (2017 NY Slip Op 33266[U] [Sup Ct, Bronx County 2017]), declaring the mortgage unenforceable and the property free from any encumbrances. The Appellate Division affirmed (168 AD3d 630 [1st Dept 2019]), deeming the letter a valid acceleration pursuant to *Royal Blue Realty*, and we granted Deutsche Bank leave to appeal (34 NY3d 910 [2020]). It is undisputed that the August 2008 default letter was sent to Vargas—the only question is whether it effectuated a clear and unequivocal acceleration of the debt, an issue of law. The default letter informed Vargas that his loan was in “serious default” because he had not made his “required payments,” but that he could cure the

8. No argument is made here that the predecessor-in-interest lacked the authority to accelerate the maturity of the debt and we therefore do not address that question.

default by paying approximately \$8,000 “on or before 32 days from the date of [the] letter.” It further advised that, should he fail to cure his default, the noteholder “will accelerate [his] mortgage with the full amount remaining accelerated and becoming due and payable in full, and foreclosure proceedings will be initiated at that time.” The letter warned: “[f]ailure to cure your default may result in the foreclosure and sale of your property.”

[2] We reject Vargas’s contention that the August 2008 letter accelerated the debt and we therefore reverse the Appellate Division order, deny plaintiff’s motion for summary judgment and grant Deutsche Bank’s motion to dismiss. First and foremost, the letter did not seek immediate payment of the entire, outstanding loan, but referred to acceleration only as a future event, indicating the debt was not accelerated at the time the letter was written. Nor was this letter a pledge that acceleration would immediately or automatically occur upon expiration of the 32-day cure period. Indeed, an automatic acceleration upon expiration of the cure period could be considered inconsistent with the terms of the parties’ contract, which gave the noteholder an optional, discretionary right to accelerate upon a default and satisfaction of certain conditions enumerated in the agreement. Although the letter states that the debt “will [be] accelerate[d]” if Vargas failed to cure the default within the cure period, it subsequently makes clear that the failure to cure “may” result in the foreclosure of the property, indicating that it was far from certain that either the acceleration or foreclosure action would follow, let alone ensue immediately at the close of the 32-day period.

This case demonstrates why acceleration should not be deemed to occur absent an overt, unequivocal act. Noteholders should be free to accurately inform borrowers of their default, the steps required for a cure and the practical consequences if the borrower fails to act, without running the risk of being deemed to have taken the drastic step of accelerating the loan. Even in the event of a continuing default, default notices provide an opportunity for pre-acceleration negotiation—giving both parties the breathing room to discuss loan modification or otherwise devise a plan to help the borrower achieve payment currency, without diminishing the noteholder’s time to commence an action to foreclose on the real property, which should be a last resort.

II.

In *Freedom Mtge. and Ditech*, the issue is not whether or when the debt was accelerated but whether a valid election to accelerate, effectuated by the commencement of a prior foreclosure action, was revoked upon the noteholder's voluntary discontinuance of that action. More than a century ago, in *Kilpatrick v Germania Life Ins. Co.* (183 NY 163, 168 [1905]), this Court addressed whether a noteholder who had exercised its discretionary option to accelerate the maturity of a debt pursuant to the terms of a mortgage could revoke that acceleration. We held that the noteholder's acceleration "became final and irrevocable" only *after* the borrower changed his position in reliance on that election by executing a new mortgage, applying an equitable estoppel analysis (*id.*).

Practically, the noteholder's act of revocation (also referred to as a de-acceleration) returns the parties to their pre-acceleration rights and obligations—reinstating the borrowers' right to repay any arrears and resume satisfaction of the loan over time via installments, i.e., removing the obligation to immediately repay the total outstanding balance due on the loan, and provides borrowers a renewed opportunity to remain in their homes, despite a prior default. Thus, following a de-acceleration, a payment default could give rise to an action on the note to collect missed installments (an action with a six-year statute of limitations that runs on each installment from the date it was due). Or the noteholder might again accelerate the maturity of the then-outstanding debt, at which point a new foreclosure claim on that outstanding debt would accrue with a six-year limitations period. Determining whether, and when, a noteholder revoked an election to accelerate can be critical to determining whether a foreclosure action commenced more than six years after acceleration is time-barred. In opposition to motions to dismiss, *Freedom Mtge. and Ditech* asserted that their foreclosure actions were timely because they had revoked prior elections to accelerate by voluntarily withdrawing those actions. In response, the borrowers did not dispute the noteholders' right to revoke but contended a voluntary discontinuance does not revoke an acceleration.

Although this Court has never addressed what constitutes a revocation in this context, the Appellate Division departments have consistently held that, absent a provision in the operative agreements setting forth precisely what a noteholder must do to revoke an election to accelerate, revocation can be ac-

complished by an “affirmative act” of the noteholder within six years of the election to accelerate (*NMNT Realty Corp. v Knoxville 2012 Trust*, 151 AD3d 1068, 1069 [2d Dept 2017]; *Lavin*, 302 AD2d at 639; *Federal Natl. Mtge. Assn. v Rosenberg*, 180 AD3d 401, 402 [1st Dept 2020]). For example, an express statement in a forbearance agreement that the noteholder is revoking its prior acceleration and reinstating the borrower’s right to pay in monthly installments has been deemed an “affirmative act” of de-acceleration (see *U.S. Bank Trust, N.A. v Rudick*, 172 AD3d 1430, 1430-1431 [2d Dept 2019]). However, no clear rule has emerged with respect to the issue raised here—whether a noteholder’s voluntary motion or stipulation to discontinue a mortgage foreclosure action, which does not expressly mention de-acceleration or a willingness to accept installment payments, constitutes a sufficiently “affirmative act.” Prior to 2017, without guidance from the Appellate Division, multiple trial courts had concluded that a noteholder’s voluntary withdrawal of its foreclosure action was an affirmative act of revocation as a matter of law (see e.g. *4 Cosgrove 950 Corp. v Deutsche Bank Natl. Trust Co.*, 2016 NY Slip Op 32854[U], *1-3 [Sup Ct, NY County, May 10, 2016]; see also *U.S. Bank Trust, N.A. v Adhami*, 2019 WL 486086, *5-6 and n 7, 2019 US Dist LEXIS 19599, *12-13 and n 7 [ED NY, Feb. 6, 2019, No. 18-CV-530 (PKC) (AKT)] [collecting cases]).

In 2017, the Second Department first addressed this issue in *NMNT Realty* (151 AD3d 1068), denying a borrower’s summary judgment motion to quiet title on the rationale that the noteholder’s motion to discontinue a prior foreclosure action raised a “triable issue of fact” as to whether the prior acceleration had been revoked (*id.* at 1070).⁹ The First Department has, at times, articulated the same rule (see *Capital One, N.A.*

9. In these four cases, the relevant facts—e.g., whether or not a voluntary discontinuance occurred or whether a default letter was sent—are not disputed and thus, whether acceleration was or was not revoked does not present a question of fact in the context of these appeals. Instead, the parties dispute the legal significance of events they acknowledge occurred—whether the voluntary discontinuance constituted a revocation of an acceleration that was accomplished by commencement of a prior action—a question that we determine as a matter of law. To be sure, there may be cases in which the question of whether an acceleration was validly revoked involves an “issue of fact,” such as where the operative facts surrounding a purported acceleration or revocation are disputed, and the court may be unable to decide whether the statute of limitations had run as a matter of law. But that is not the situation in these appeals. Likewise, different notes and mortgage instruments may incorporate their own rules for acceleration or revocation thereof.

v Saglimbeni, 170 AD3d 508, 509 [1st Dept 2019]; *U.S. Bank N.A. v Charles*, 173 AD3d 564, 565 [1st Dept 2019]). However, more recently, as reflected in the Second Department's decisions in *Freedom Mtge.* and *Ditech* (among other cases), a different rule has emerged—that a noteholder's motion or stipulation to withdraw a foreclosure action, "in itself," is *not* an affirmative act of revocation of the acceleration effectuated via the complaint (see *Freedom Mtge. Corp. v Engel*, 163 AD3d 631, 633 [2d Dept 2018]; *Ditech Fin., LLC v Naidu*, 175 AD3d 1387, 1389 [2d Dept 2019]; *Wells Fargo Bank, N.A. v Liburd*, 176 AD3d 464, 464-465 [1st Dept 2019]). Both approaches require courts to scrutinize the course of the parties' post-discontinuance conduct and correspondence, to the extent raised, to determine whether a noteholder meant to revoke the acceleration when it discontinued the action (see e.g. *Vargas v Deutsche Bank Natl. Trust Co.*, 168 AD3d 630, 630 [1st Dept 2019]). For example, in *Christiana Trust v Barua* (184 AD3d 140, 149 [2d Dept 2020])—after determining that the voluntary discontinuance was of no effect under the more recent approach described above—the Court faulted the bank for failing to come forward with evidence that, after the discontinuance, it demanded resumption of monthly payments, invoiced the borrower for such payments, or otherwise demonstrated "it was truly seeking to de-accelerate the debt." Thus, the Court suggested that the revocation inquiry turns on an exploration into the bank's intent, accomplished through an exhaustive examination of post-discontinuance acts.

This approach is both analytically unsound as a matter of contract law and unworkable from a practical standpoint. As is true with respect to the invocation of other contractual rights, either the noteholder's act constituted a valid revocation or it did not; what occurred thereafter may shed some light on the parties' perception of the event but it cannot retroactively alter the character or efficacy of the prior act. Indeed, where the contract requires a pre-acceleration default notice with an opportunity to cure, a post-discontinuance letter sent by the noteholder that references the then-outstanding total debt and seeks immediate repayment of the loan is not necessarily evidence that the prior voluntary discontinuance did not revoke acceleration—it is just as likely an indication that it did and the noteholder is again electing to accelerate due to the borrower's failure to cure a default. The impetus behind the requirements that an action be unequivocal and overt in order

to constitute a valid acceleration and sufficiently affirmative to effectuate a revocation is that these events significantly impact the nature of the parties' respective performance obligations. A rule that requires post hoc evaluation of events occurring after the voluntary discontinuance—correspondence between the parties, payment practices and the like—in order to determine whether a revocation previously occurred leaves the parties without concrete contemporaneous guidance as to their current contractual obligations, resulting in confusion that is likely to lead (perhaps inadvertently) to a breach, either because the borrower does not know that the obligation to make installment payments has resumed or the noteholder is unaware that it must accept a timely installment if tendered.

Indeed, if the effect of a voluntary discontinuance of a mortgage foreclosure action depended solely on the significance of noteholders' actions taking place months (if not years) later, parties might not have clarity with respect to their post-discontinuance contractual obligations until the issue was adjudicated in a subsequent foreclosure action (which is what occurred here); in both *Freedom Mtge.* and *Ditech*, the Appellate Division disagreed with Supreme Court's determinations that the prior accelerations had been revoked by the voluntary discontinuance. Not only is this approach harmful to the parties but it is incompatible with the policy underlying the statute of limitations because—under the post hoc, case-by-case approach adopted by the Appellate Division—the timeliness of a foreclosure action “cannot be ascertained with any degree of certainty,” an outcome which this Court has repeatedly disfavored (*ACE Sec. Corp.*, 25 NY3d at 593-594). Further, the Appellate Division's recent approach suggests that a noteholder can retroactively control the effect of a voluntary discontinuance through correspondence it sends to the borrower after the case is withdrawn (which injects an opportunity for gamesmanship). We decline to adopt such a rule.

[3] Rather, we are persuaded that, when a bank effectuated an acceleration via the commencement of a foreclosure action, a voluntary discontinuance of that action—i.e., the withdrawal of the complaint—constitutes a revocation of that acceleration. In such a circumstance, the noteholder's withdrawal of its only demand for immediate payment of the full outstanding debt, made by the “unequivocal overt act” of filing a foreclosure complaint, “destroy[s] the effect” of the election (see *Albertina*, 258 NY at 476). We disagree with the Appellate Division's

characterization of such a stipulation as “silent” with respect to revocation (*Freedom Mtge. Corp.*, 163 AD3d at 633). A voluntary discontinuance withdraws the complaint and, when the complaint is the only expression of a demand for immediate payment of the entire debt, this is the functional equivalent of a statement by the lender that the acceleration is being revoked. Accordingly, we conclude that where acceleration occurred by virtue of the filing of a complaint in a foreclosure action, the noteholder’s voluntary discontinuance of that action constitutes an affirmative act of revocation of that acceleration as a matter of law, absent an express, contemporaneous statement to the contrary by the noteholder.

This approach comports with our precedent favoring consistent, straightforward application of the statute of limitations which serves the objectives of “finality, certainty and predictability,” to the benefit of both borrowers and noteholders (*ACE Sec. Corp.*, 25 NY3d at 593; see also *Matter of Regina Metro. Co., LLC v New York State Div. of Hous. & Community Renewal*, 35 NY3d 332, 372 [2020] [noting New York’s “strong public policy favoring finality, predictability, fairness and repose served by statutes of limitations”]; *Deutsche Bank Natl. Trust Co. v Flagstar Capital Mkts.*, 32 NY3d 139, 151 [2018]). The effect of a voluntary discontinuance should not turn on courts’ after-the-fact analysis of the significance of subsequent conduct and correspondence between the parties, occurring months, if not years, after the action is withdrawn. Such an approach leads to inconsistent and unpredictable results and, critically, renders it impossible for parties to know whether, or when, a valid revocation has occurred, inviting costly and time-consuming litigation to determine timeliness.

The impact of the noteholder’s voluntary discontinuance of the action should be evident at the moment it occurs. A clear rule that a voluntary discontinuance evinces revocation of acceleration (absent a noteholder’s contemporaneous statement to the contrary) makes it possible for attorneys to counsel their clients accordingly, allowing borrowers to take advantage of the opportunity afforded by the de-acceleration—reinstatement of the right to pay arrears and make installment payments, eliminating the obligation to immediately pay the entire outstanding principal amount in order to avoid losing their

homes.¹⁰ A return to the installment plan also makes it more likely that borrowers can benefit from the various public and private programs that exist to help borrowers work out of a default. Given the advantages of a clear default rule reinstating the pre-accelerated terms of the loan, the onus is on noteholders to inform the borrower at the time of the discontinuance if acceleration has not been revoked and it will not accept installment payments.

Freedom Mtge. and Ditech

[4] The appeals in *Freedom Mtge.* and *Ditech* are easily resolved by application of this rule. In both cases, the borrowers' motions to dismiss on statute of limitations grounds were predicated on the argument that an acceleration effectuated by a prior foreclosure action had never been revoked and the six-year limitations period expired prior to commencement of the instant action. In both cases, Supreme Court essentially applied the rule we adopt today—the acceleration was revoked by a voluntary discontinuance of the prior action—but the Appellate Division reversed in each case, dismissing the actions as time-barred. In *Freedom Mtge.*, the Appellate Division reasoned that the acceleration was not revoked because the stipulation was “silent” as to revocation. Applying the rule articulated above, Freedom Mortgage validly revoked the prior acceleration, evinced by the commencement of the July 2008 foreclosure action, when it voluntarily withdrew that action in January 2013.¹¹ Engel, the borrower, does not identify any contemporaneous statement by Freedom Mortgage (in the stip-

10. Moreover, this clarity also benefits those seeking to purchase notes secured by residential mortgages—negotiable instruments that are intended to be bought and sold, often changing hands repeatedly during their duration. Unlike the current Second Department approach, a clear rule on the effect of a voluntary discontinuance provides potential noteholders the opportunity to assess, based on clear, objective indicia and without the aid of an appellate court, the nature and status of the instrument they look to buy (e.g., whether the note is accelerated) and value it accordingly.

11. In *Freedom Mtge.*, after sending Engel, the borrower, an August 2013 letter notifying him of its election to accelerate the debt secured by a mortgage on his property, the bank commenced the instant foreclosure action in February 2015. Engel answered and moved to dismiss the complaint as time-barred, asserting that the debt was accelerated in July 2008 upon the filing of a prior foreclosure action and, as such, the six-year limitations period expired several months before the instant action was commenced. Freedom opposed Engel's motion to dismiss and cross-moved for summary judgment, arguing as relevant here that its voluntary discontinuance of the prior claim revoked that acceleration and the statute of limitations for this

(n. cont'd)

ulation or otherwise) that it was not de-accelerating the debt or would not accept monthly installment payments. There is no need to analyze the parties' subsequent conduct and correspondence to determine the effect of the 2013 stipulation. Further, that the discontinuance was effectuated by a stipulation between the parties does not mean that the borrower and the noteholder were required to expressly agree on the effect of the discontinuance—whether to exercise the contractual right to accelerate, and de-accelerate, remained within the discretion of Freedom Mortgage. Because the July 2008 election had been revoked and the present action was commenced within six years of any subsequent acceleration, the Appellate Division erred in granting Engel's motion to dismiss on statute of limitations grounds. Accordingly, we reverse the Appellate Division order and remit the case for consideration of issues raised but not determined on the appeal to that Court.

[5] A reversal is also warranted in *Ditech*, where the Appellate Division reasoned that the voluntary withdrawal of the prior action “did not, in itself, constitute an affirmative act” of revocation (175 AD3d 1387, 1389 [2d Dept 2019]).¹² The February 2014 stipulation discontinuing the prior foreclosure action

action was not triggered until its August 2013 acceleration letter. Supreme Court granted Freedom's cross motion for summary judgment, struck Engel's statute of limitations affirmative defense and implicitly denied his motion. On Engel's appeal, the Appellate Division reversed and determined the action was time-barred, reasoning that the acceleration was not revoked when the prior action was discontinued because the stipulation was “silent” as to revocation (163 AD3d at 633). We granted Freedom Mortgage leave to appeal (33 NY3d 1039 [2019]).

12. *Ditech* commenced this foreclosure action against Naidu in January 2016 by filing a verified complaint stating that it was accelerating the mortgage and declaring the entire outstanding loan immediately due and payable, including recovery of unpaid installment payments. Naidu answered, raising the statute of limitations as an affirmative defense, and subsequently moved to dismiss the action as time-barred, arguing that a prior foreclosure action commenced in 2009 had accelerated the debt and was not revoked when that action was voluntarily discontinued by the noteholder. *Ditech* opposed the motion to dismiss and cross-moved for summary judgment on the complaint as against Naidu. In two orders, Supreme Court denied Naidu's motion to dismiss, concluding that the stipulation discontinuing the prior action without prejudice was an “affirmative act of revocation” and thus, the statute of limitations had not run, and granted *Ditech*'s motion for summary judgment, determining that it had established its prima facie entitlement to judgment of foreclosure and Naidu failed to raise a question of fact in response (2016 NY Slip Op 32110[U], *3 [Sup Ct, Queens County 2016]). On Naidu's appeal, the Appellate Division reversed the orders insofar as appealed from, granted Naidu's motion to dismiss the complaint insofar as asserted against him as time-barred, and denied as academic plaintiff's cross

(n. cont'd)

revoked the acceleration effectuated by the commencement of that action, and the record contains no contemporaneous statement by Ditech to the contrary. That Ditech sent Naidu, the borrower, a payoff letter in March 2015—more than a year later—communicating the amount in default does not alter that result. Naidu has not alleged that any other unrevoked acceleration occurred more than six years before the January 2016 commencement of this action that would render it untimely. We therefore reverse the Appellate Division order and remit the case for consideration of issues raised but not determined on the appeal to that Court.

Wells Fargo

Finally, we return to Wells Fargo to address an additional issue relating to de-acceleration that arose in a prior foreclosure action, the fourth action. Although Wells Fargo properly referenced the modified loan in that complaint, Ferrato moved to dismiss that action, alleging a lack of proper service. Supreme Court denied the motion but, on Ferrato's appeal, the Appellate Division determined a question of fact was raised and remitted for a traverse hearing (150 AD3d 546 [1st Dept 2017]). Wells Fargo then moved both to voluntarily discontinue that action and to revoke acceleration of the loan. Supreme Court granted the motion to discontinue but stated, without explanation, that "the acceleration of the subject loan is NOT revoked." On the bank's appeal of that portion of the order, the Appellate Division affirmed, indicating that Wells Fargo could not de-accelerate because it "admitted that its primary reason for revoking acceleration of the mortgage debt was to avoid the statute of limitations bar" (183 AD3d at 530).¹³

[6] The lower courts erred in denying Wells Fargo's motion to revoke and we therefore reverse that portion of the Appellate Division order as well. As stated above, while a noteholder

motion for summary judgment insofar as asserted against Naidu. The Court held that Ditech failed to demonstrate that the acceleration of the debt, effectuated by the filing of the July 2009 foreclosure action, was revoked within six years, reasoning that the February 2014 discontinuance of the action "did not, in itself" constitute an affirmative act of de-acceleration (175 AD3d at 1389). Thus, the Court concluded, the action before it—commenced in January 2016—was untimely. We granted the bank leave to appeal (34 NY3d 910 [2020]).

13. As indicated above, the Appellate Division addressed both the fourth and fifth foreclosure actions in one order and subsequently granted Wells Fargo's motion for leave to appeal to this Court.

may be equitably estopped from revoking its election to accelerate (*see Kilpatrick*, 183 NY at 168), defendant Ferrato did not allege that she materially changed her position in detrimental reliance on the loan acceleration, and the courts conducted no equitable estoppel analysis. We reject the theory, argued by Ferrato and reflected in several decisions (*see e.g. Wells Fargo Bank, N.A. v Portu*, 179 AD3d 1204, 1207 [3d Dept 2020]; *Christiana Trust*, 184 AD3d at 146; *Milone*, 164 AD3d at 154; *Deutsche Bank Natl. Trust Co. Ams. v Bernal*, 56 Misc 3d 915, 924 [Sup Ct, Westchester County 2017]), that a lender should be barred from revoking acceleration if the motive of the revocation was to avoid the expiration of the statute of limitations on the accelerated debt. A noteholder's motivation for exercising a contractual right is generally irrelevant (*see generally Metropolitan Life Ins. Co. v Noble Lowndes Intl.*, 84 NY2d 430, 435 [1994])—but it bears noting that a noteholder has little incentive to repeatedly accelerate and then revoke its election because foreclosure is simply a vehicle to collect a debt and postponement of the claim delays recovery.

Accordingly, in *Freedom Mtge.* and *Ditech*, the orders of the Appellate Division should be reversed, with costs, and the cases remitted to the Appellate Division for consideration of issues raised but not determined on the appeals to that Court; in *Vargas*, the order of the Appellate Division should be reversed, with costs, defendant's motion to dismiss the complaint granted and plaintiff's cross motion for summary judgment denied; and in *Wells Fargo*, the order of the Appellate Division should be reversed, with costs, defendant Ferrato's motion to dismiss denied, plaintiff's motion to revoke acceleration of the mortgage loan granted and the certified question not answered as unnecessary.

WILSON, J. (concurring). I fully concur in the majority opinion but write to make one caveat clear. We have not decided whether the notes and mortgages at issue here permit a lender to revoke an acceleration.* In three of the four cases before us, the issue was not in dispute: the borrowers did not contend that the noteholders lack the contractual right to revoke an acceleration. Ms. Ferrato stated that it is “well-established that a lender may revoke its election to accelerate the mortgage.” Similarly, Mr. Naidu noted that the “[l]ender maintains the

* Three of those are the standard Fannie Mae forms for notes and mortgages (majority op at 20 n 1).

discretionary right to later revoke the acceleration.” Neither party in *Vargas* mentioned the issue. In contrast, Mr. Engel argued at length that the note and mortgage grant the noteholder the contractual right to accelerate the loan but lack any contractual authorization to revoke that election (absent consent of the borrower). However, Mr. Engel raised that issue for the first time on appeal. Thus, it was not properly preserved for our review (see e.g. *Feigelson v Allstate Ins. Co.*, 31 NY2d 913, 916 [1972]; Arthur Karger, Powers of the New York Court of Appeals § 17:1 [Sept. 2020 Update]).

RIVERA, J. (dissenting in part). For the reasons discussed by the majority, I agree that there was no effective acceleration in *Vargas v Deutsche Bank Natl. Trust Co. and Wells Fargo Bank, N.A. v Ferrato*. I am also in agreement that it was error for the lower courts to deny Wells Fargo’s motion to revoke. Accordingly, I concur in the majority’s resolution of *Vargas* and *Wells Fargo*.

The question of whether the noteholders effectively revoked acceleration in *Freedom Mtge. Corp. v Engel* and *Ditech Fin. LLC v Naidu*—an issue of material significance in both appeals—is another matter.

As Judge Wilson notes, only the borrower in *Freedom Mtge.* has challenged the revocation on the ground that the noteholder does not have a contractual right to unilaterally revoke an acceleration (concurring op at 37). I agree with my colleague that because the borrower raises this challenge for the first time on appeal, it is unpreserved for our review (see *Bingham v New York City Tr. Auth.*, 99 NY2d 355, 359 [2003]).

Depending on whether and when we resolve that question, the rule adopted by the majority in these appeals may stand without further consideration, or be affirmed, modified, or discarded in the future. Nevertheless, if we are going to impose a “deceleration” rule based on the noteholder’s voluntary withdrawal of a foreclosure action (majority op at 19), I would require that the noteholder provide express notice to the borrower regarding the effect of that withdrawal. I see no reason why an acceleration requires an unequivocal overt act—one that leaves no doubt as to the noteholder’s intent—but revocation may be assumed by implication, requiring only that the noteholder affirmatively disavow an intention to revoke (*id.*). As the Second Department has recognized, there are many reasons for a noteholder to voluntarily withdraw an action (see

Christiana Trust v Barua, 184 AD3d 140, 147 [2d Dept 2020], *lv denied* 35 NY3d 916 [2020]). Application of the rule requiring notice is simple and not at all burdensome. The noteholder need only inform the borrower in the stipulation or a letter that withdrawal constitutes a revocation of the acceleration. Such notice ensures transparency in a high-stakes relationship.

Because appellants provided no evidence of notice, I would affirm the Appellate Division in *Freedom Mtge.* and *Ditech*.

In *Freedom Mtge. Corp. v Engel*: Order reversed, with costs, and case remitted to the Appellate Division, Second Department, for consideration of issues raised but not determined on the appeal to that Court.

Opinion by Chief Judge DiFIORE. Judges STEIN, FAHEY, GARCIA, WILSON and FEINMAN concur, Judge WILSON in a concurring opinion. Judge RIVERA dissents and votes to affirm in an opinion.

In *Ditech Fin., LLC v Naidu*: Order reversed, with costs, and case remitted to the Appellate Division, Second Department, for consideration of issues raised but not determined on the appeal to that Court.

Opinion by Chief Judge DiFIORE. Judges STEIN, FAHEY, GARCIA, WILSON and FEINMAN concur, Judge WILSON in a concurring opinion. Judge RIVERA dissents and votes to affirm in an opinion.

In *Vargas v Deutsche Bank Natl. Trust Co.*: Order reversed, with costs, defendant's motion to dismiss the complaint granted and plaintiff's cross motion for summary judgment denied.

Opinion by Chief Judge DiFIORE. Judges RIVERA, STEIN, FAHEY, GARCIA, WILSON and FEINMAN concur, Judge RIVERA in a concurring opinion and Judge WILSON in a separate concurring opinion.

In *Wells Fargo Bank, N.A. v Ferrato*: Order reversed, with costs, defendant Ferrato's motion to dismiss denied, plaintiff's motion to revoke acceleration of the mortgage loan granted and certified question not answered as unnecessary.

Opinion by Chief Judge DiFIORE. Judges RIVERA, STEIN, FAHEY, GARCIA, WILSON and FEINMAN concur, Judge RIVERA in a concurring opinion and Judge WILSON in a separate concurring opinion.

[169 NE3d 931, 146 NYS3d 561]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v DARIA N.
EPAKCHI, Respondent.

Argued February 11, 2021; decided April 1, 2021

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Term of the Supreme Court in the Second Judicial Department, Ninth and Tenth Judicial Districts, entered June 6, 2019. The Appellate Term (1) reversed, as a matter of discretion in the interest of justice, a judgment of the District Court of Suffolk County, Suffolk County Traffic and Parking Violations Agency (Paul Senzer, J.H.O.), which had convicted defendant, after a nonjury trial, of failing to stop at a stop sign; (2) vacated an order of that District Court (Allen S. Mathers, J.H.O.), brought up for review on the appeal to the Appellate Term, which had denied defendant's motion to dismiss the simplified traffic information; (3) granted defendant's motion; (4) dismissed the simplified traffic information; and (5) ordered the fine to be remitted if already paid.

People v Epakchi, 63 Misc 3d 161(A), 2019 NY Slip Op 50913(U), reversed.

HEADNOTES

Crimes — Appeal — Court of Appeals — Question of Law

1. The Court of Appeals had jurisdiction to review the People's appeal from an Appellate Term order dismissing a simplified traffic information filed after the original information was dismissed for facial insufficiency for failure to provide a requested supporting deposition in a timely manner, as the issue of whether the Appellate Term's rule barring reprosecution upon a facially sufficient accusatory instrument after such a dismissal except under special circumstances was consistent with the Criminal Procedure Law and Court of Appeals precedent was a question of law. Although the Appellate Term characterized its ruling as an exercise of discretion in the interest of justice, the Court of Appeals is not bound by an intermediate appellate court's characterization of its own order, and the Court must determine for itself whether reversal of a judgment of conviction presents a question of law for its review. The issue of the validity of a procedural rule fashioned by the Appellate Term and invoked by defendant in the trial court to dismiss the criminal action was fully litigated in the court of first instance. The presumptive bar to a prosecution that does not meet the Appellate Term's special-circumstances requirement constituted a legal standard designed to govern the disposition of motions to dismiss accusatory instruments in situations presenting the specified procedural posture.

Motor Vehicles — Traffic Infractions — Simplified Traffic Infraction — Appellate Term's Procedural Rule Barring Reprosecution of Traffic Offense after Dismissal of First Simplified Traffic Information

2. The Appellate Term lacked authority to create a procedural rule, requiring special circumstances for the renewed prosecution of a traffic offense after a previous dismissal for failure to provide a requested supporting deposition, that was inconsistent with Court of Appeals precedent and the courts' authority under the Criminal Procedure Law. Accordingly, the People were entitled to re prosecute defendant's traffic violation after dismissal of the first simplified traffic information under CPL 100.40 (2) for failure to provide a requested supporting deposition in a timely manner. Although the Criminal Procedure Law requires a prosecutor to seek permission from the court to resubmit evidence and charges to a grand jury after dismissal of a defective or legally insufficient indictment, there is no similar statutory requirement for filing a new accusatory instrument after dismissal of a facially insufficient simplified information. The different treatment accorded indictments and informations in the statute manifests the legislature's intention to permit reprosecution for nonfelony charges when the information is dismissed for legal insufficiency. Allowing dismissals without a basis in the Criminal Procedure Law would not only be an abdication of the judiciary's responsibility to safeguard the public and promote respect for the law, but would also create a situation whereby a trial court's dismissal, rendered without consideration of any established guidelines, would be incapable of meaningful appellate review.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Automobiles and Highway Traffic §§ 921, 923.
CARMODY-WAIT 2d Appeals in General §§ 70:368–70:369;
CARMODY-WAIT 2d Appeals to the Court of Appeals
§ 71:115; CARMODY-WAIT 2d Commencing the Prosecution;
Grand Jury §§ 178:8, 178:41–178:42, 178:67–178:68;
CARMODY-WAIT 2d Courts and Their Jurisdiction
§ 2:122.
LAFAVE, ET AL., CRIMINAL PROCEDURE (4th ed) § 1.4.
MCKINNEY'S, CPL 100.40 (2).
NY JUR 2d Appellate Review § 182; NY JUR 2d Automobiles
and Other Vehicles § 963; NY JUR 2d Criminal Law: Procedure
§§ 987, 1013, 1018, 1027, 1029, 1060.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Appellate Procedure Rules; Automobiles and Highway Traffic; Criminal Law; Indictments and Informations; Jurisdiction; Traffic Offenses and Violations.

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POINTS OF COUNSEL

Suffolk County Traffic and Parking Violations Agency, Hauppauge (*Justin W. Smiloff* of counsel), for appellant. Pursuant to *People v Nuccio* (78 NY2d 102 [1991]), the People may refile an information against a defendant when a previous simplified traffic information alleging the same charge based upon the same incident against that defendant was previously dismissed where a supporting deposition was not timely served without having to show “special circumstances.” (*People v Aucello*, 146 Misc 2d 417; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Pultz v Economakis*, 10 NY3d 542; *MacFawn v Kresler*, 88 NY2d 859; *People v Rossi*, 54 Misc 2d 616; *People v Suarez*, 167 Misc 2d 189; *People v Holden*, 44 Misc 3d 746; *People v Rosenfeld*, 163 Misc 2d 982.)

Law Offices of David A. Day, P.C., Glen Cove (*David A. Day* of counsel), for respondent. I. The Court of Appeals lacks jurisdiction to review the Appellate Term’s order reversing the judgment of conviction and dismissing the subject simplified traffic information, since such reversal was made “as a matter of discretion in the interest of justice.” (*People v Baker*, 64 NY2d 1027; *Matter of Von Bulow*, 63 NY2d 221; *People v Belge*, 41 NY2d 60; *People v Fava*, 58 NY2d 807.) II. The Appellate Term correctly reversed the trial court and dismissed the subject simplified traffic information where a prior simplified traffic information for the same alleged traffic infraction had earlier been dismissed by the trial court due to the complainant police officer’s failure to serve a supporting deposition, in violation of CPL 100.25 (2) and 100.40 (2), rendering the original simplified traffic information insufficient on its face. (*People v Titus*, 178 Misc 2d 687; *People v De Feo*, 77 Misc 2d 523; *People v Pivovonsky*, 165 Misc 2d 1021; *People v Nuccio*, 78 NY2d 102; *People v Green*, 192 Misc 2d 296; *People v Quarles*, 168 Misc 2d 638; *People v Aucello*, 146 Misc 2d 417; *People v Rosenfeld*, 163 Misc 2d 982; *People v Dodt*, 61 NY2d 408; *People v Thompson*, 118 AD3d 922.)

OPINION OF THE COURT

Chief Judge DiFiore.

The Appellate Term for the Ninth and Tenth Judicial Districts has adopted a rule of criminal procedure under which,

absent special circumstances, the People cannot re prosecute a defendant by filing a new simplified traffic information after the original simplified traffic information was dismissed for facial insufficiency under CPL 100.40 (2) for failure to provide a requested supporting deposition in a timely manner. Because that rule has no basis in the Criminal Procedure Law and contravenes our holding in *People v Nuccio* (78 NY2d 102 [1991]), we reverse.

In September 2013, a police officer issued a uniform traffic ticket (a type of simplified traffic information)¹ to defendant for failing to stop at a stop sign in violation of Vehicle and Traffic Law § 1172 (a). Defendant returned a plea of not guilty on the back of the ticket and requested a supporting deposition of the police officer setting forth factual allegations providing reasonable cause to believe that defendant committed the charged offense (*see* CPL 100.25 [2]). Not having received the supporting deposition within the time prescribed by law, defendant moved to dismiss the simplified traffic information for facial insufficiency as defined by CPL 100.20, 100.25, and 100.40 (2).

In December 2013, the parties appeared before a judicial hearing officer (JHO) assigned to the Suffolk County Traffic and Parking Violations Agency.² In accordance with the JHO's instructions, the prosecutor mailed defendant the supporting deposition of the police officer who ticketed her, along with a "superseding" simplified traffic information. The parties reappeared in court two weeks later, at which point a different JHO dismissed the original simplified traffic information. Immediately afterwards, in the hallway of the courthouse, the prosecutor personally served defendant with the police officer's supporting deposition and the new simplified traffic information; these documents were then filed with the local court.

Defendant moved to dismiss the new simplified information, citing, among other statutes, CPL 170.30 and 170.40, as well as case law from the Appellate Term for the Ninth and Tenth

1. A simplified traffic information "is a statutory creation designed to provide an uncomplicated form for handling the large volume of traffic infractions and petty offenses" (*Nuccio*, 78 NY2d at 104). As relevant here, "a simplified traffic information is sufficient if it complies with the form required by the Commissioner of Motor Vehicles" (*id.*). A uniform traffic ticket complies with the form (*see* Vehicle and Traffic Law § 207; 15 NYCRR part 91).

2. The Suffolk County Traffic and Parking Violations Agency assists the Suffolk County District Court in the disposition of traffic violations (*see* General Municipal Law §§ 370-371). A JHO may adjudicate low-level traffic violations (*see* Vehicle and Traffic Law § 1690 [1]).

Judicial Districts. Defendant submitted that the Appellate Term “considers it an abuse of discretion when a trial court permits a motorist to be tried based upon a new simplified information and supporting deposition after an original information has been dismissed for failure to timely serve and file a supporting deposition.” The People opposed the motion, arguing that our decision in *Nuccio*, which permits a new prosecution after the dismissal of a simplified information for facial insufficiency, was the controlling law, and that the Appellate Term was not following the rule set forth in that case. Defendant’s motion was denied in a written decision on the ground that the Appellate Term’s procedural rule, formulated in part before *Nuccio* was decided, contravened this Court’s holding that the Criminal Procedure Law does not prohibit reprosecution on a new, facially sufficient information after a dismissal for failure to comply with CPL 100.40.

The matter proceeded to trial. The police officer testified that he observed defendant driving her car at approximately 35 miles per hour across an intersection without stopping at the stop sign posted there. After hearing this testimony and defendant’s contradicting testimony that she made a complete stop for two seconds, the trial JHO found defendant guilty of violating Vehicle and Traffic Law § 1172 (a) and sentenced her to pay a fine, fees, and a surcharge.

The Appellate Term for the Ninth and Tenth Judicial Districts reversed the judgment of conviction, professedly “as a matter of discretion in the interest of justice”; vacated the order denying defendant’s motion to dismiss; granted the motion; and ordered the fine to be remitted if already paid (63 Misc 3d 161[A], 2019 NY Slip Op 50913[U], *1 [App Term, 2d Dept, 9th & 10th Jud Dists 2019]). The court rested its ruling on a line of its own cases requiring special circumstances for the People to prosecute a new simplified information after the original accusatory instrument was dismissed for failure to serve a requested supporting deposition under CPL 100.40 (2) (2019 NY Slip Op 50913[U], *2). The court noted that it “consistently” dismissed judgments of conviction under such circumstances, reasoning that a “ruling to the contrary would defeat the very purpose of CPL 100.40 (2), disregard the interest of judicial economy, and erode the confidence of the public in the criminal justice system” (*id.* [internal quotation marks omitted]). In the Appellate Term’s view, no special circumstances were shown to exist in this case, and therefore the People could not repros-

ecute defendant (*id.*). In light of its conclusion, the court did not “reach defendant’s remaining contentions” (*id.*). A Judge of this Court granted leave to appeal (34 NY3d 1016 [2019]).

[1] As a threshold matter, defendant contends that we do not have jurisdiction to entertain this appeal because the Appellate Term characterized its ruling as an exercise of discretion in the interest of justice. But we are not bound by an intermediate appellate court’s characterization of its own order, and we must determine for ourselves whether its reversal of the judgment of conviction presents a question of law for our review (*see People v D’Alessandro*, 13 NY3d 216, 219 [2009]; *People v Giles*, 73 NY2d 666, 668, 670 [1989]). First, there can be no dispute that the issue before us—the validity of a procedural rule fashioned by the Appellate Term and invoked by defendant in the trial court to dismiss the criminal action—was fully litigated in the court of first instance (*see* CPL 470.05 [2]). Second, the Appellate Term has created a rule of criminal procedure requiring a trial court, in the absence of special circumstances, to dismiss a new simplified traffic information after a previous simplified traffic information was dismissed as insufficient on its face for failure to timely serve a requested supporting deposition under CPL 100.25 and 100.40.³ This presumptive bar to a prosecution that does not meet the special-circumstances requirement con-

3. Failure to provide a requested supporting deposition, after a defendant’s timely request, renders a simplified information insufficient on its face, but it is not a determination of the facts of the underlying charges (*see* CPL 100.40 [2]; 100.25 [2]). Dismissal of a legally defective simplified information under CPL 170.30 (1) (a) and 170.35 (1) (a) is based on a different ground than dismissal “in furtherance of justice” under CPL 170.30 (1) (g) and 170.40. A local criminal court, in considering a motion to dismiss the accusatory instrument in the interest of justice, must not only examine a nonexhaustive list of 10 factors to determine whether compelling circumstances for dismissal exist, but also set forth its reasons for dismissal on the record (*see* CPL 170.40). In this respect, and contrary to the dissent’s apparent belief, we have previously recognized that a court’s authority to grant a motion to dismiss on this basis is not unbridled (*see e.g. People v Berrus*, 1 NY3d 535, 536 [2003]); there is no inherent authority to dismiss a criminal prosecution outside of the parameters authorized by the Criminal Procedure Law (*see People v Douglass*, 60 NY2d 194, 204 [1983]); and a court’s exercise of its discretionary authority under the statute is reviewable for an abuse of that discretion—a question of law. In this Court, the parties did not address the propriety of a dismissal under CPL 170.30 (1) (g) and 170.40. We therefore express no opinion on this issue and leave it for consideration by the courts below upon remittal. Unlike the dissent, we see no reason to discuss the reviewability of intermediate appellate courts’ exercise of their interest-of-justice jurisdiction, as here the Appellate Term did not engage in any such exercise. Instead, the Appellate Term engrafted its own procedural rule onto

stitutes a legal standard designed to govern the disposition of motions to dismiss accusatory instruments in situations presenting the specified procedural posture. Whether the procedural rule imposed by the Appellate Term is consistent with the Criminal Procedure Law and this Court's precedent is a question of law appealable and reviewable by this Court (*see Giles*, 73 NY2d at 671; *Douglass*, 60 NY2d at 205). Thus, we have jurisdiction over this appeal.⁴

A simplified traffic information is a written accusation by a police officer or other authorized public servant, filed with a local criminal court, charging a person with committing a non-felony traffic offense (infraction or misdemeanor); although it need not contain factual allegations of an evidentiary nature to support the charge, it can serve as a basis for commencing—and, under specified circumstances, prosecuting—a criminal action (*see* CPL 1.20 [5] [b]; 100.10 [2] [a]; *People v Beattie*, 80 NY2d 840, 841 [1992]). The simplified traffic information must satisfy the prescriptions of CPL 100.25, including the requirement that, upon timely request by the defendant, the complainant police officer or public servant serve on the defendant or defense counsel, within a specified time frame, a supporting deposition containing factual allegations of reasonable cause; the supporting deposition must then be filed with the court (*see* CPL 100.25 [1], [2]; 15 NYCRR 91.7). If the police officer or public servant fails to comply with this requirement, the simplified traffic information is rendered “insufficient on its face” (CPL 100.40 [2]) and, as such, subject to dismissal upon the defendant's motion (*see* CPL 170.30 [1] [a] [providing that a court may dismiss a simplified information on the ground that it is “defective, within the meaning of section 170.35”]; 170.35 [1] [a] [providing that a simplified information is “defective” when

the Criminal Procedure Law's dismissal scheme and relied in part on prior decisions holding that a trial court “abuse[s] its discretion” by permitting a defendant to be prosecuted on a new simplified information and supporting deposition (*People v Rosenfeld*, 163 Misc 2d 982, 983 [App Term, 2d Dept, 9th & 10th Jud Dists 1994]; *see People v Rathgeber*, 23 Misc 3d 130[A], 2009 NY Slip Op 50653[U], *2 [App Term, 2d Dept, 9th & 10th Jud Dists 2009]; *People v Aucello*, 146 Misc 2d 417, 420 [App Term, 2d Dept, 9th & 10th Jud Dists 1990])—again, a question of law within the scope of our review.

4. Under the State Constitution, this Court's jurisdiction is limited to questions of law in noncapital criminal cases (*see* NY Const, art VI, § 3). Importantly, the constitutional grant of authority was designed to give this Court “supreme power to authoritatively declare and settle the law uniformly throughout the state” (*Reed v McCord*, 160 NY 330, 335 [1899]).

it is not “sufficient on its face pursuant to the requirements of section 100.40”]).

In *Nuccio*, this Court considered “whether charges in a local criminal court may be prosecuted by a sufficient long-form information after a prior simplified information, charging the same offenses, has been dismissed for failure to supply the supporting depositions required by CPL 100.25 (2)” (78 NY2d at 103). Our “short answer” was that “prosecution can be renewed on a facially sufficient information following such a dismissal” for the simple reason that “the Criminal Procedure Law does not prohibit it” (*id.* at 104 [citing practice commentaries on CPL 100.25 (2) and 170.30]). Further, the Court noted that the “history on the subject” supported the conclusion that “reprosecution of nonfelony charges” was permissible: not only did the common law permit “resubmitting charges against a defendant,” but the legislature, when it enacted the Criminal Procedure Law in 1970, “chose to treat dismissals of indictments separate from dismissal of informations and misdemeanor complaints” (*id.* at 104-105).

[2] Comparing the respective dismissal provisions, the Court pointed out that the legislature “expressly barred” reprosecution, without court authorization, of indictments dismissed for legal insufficiency, but “failed to include a similar bar for informations dismissed on those same grounds” (*id.* at 105 [comparing CPL 210.20 (4) with 170.30 (1) (a)]). Indeed, a court may dismiss an indictment if it is “defective,” and, “[i]n the absence of authorization to submit or resubmit, the order of dismissal constitutes a bar to any further prosecution of such charge or charges, by indictment or otherwise, in any criminal court within the county” (CPL 210.20 [1] [a]; [4]). By contrast, a court may dismiss a “defective” information, simplified information, prosecutor’s information, or misdemeanor complaint, but there is no provision barring further prosecution of the charges so dismissed (*see* CPL 170.30 [1] [a]). Stated otherwise, although the Criminal Procedure Law requires a prosecutor to seek permission from the court to resubmit evidence and charges to a grand jury after dismissal of a defective or legally insufficient indictment, there is no similar statutory requirement for filing a new accusatory instrument after dismissal of a facially insufficient simplified information. In *Nuccio*, we concluded that “the different treatment accorded indictments and informations in the statute manifests the Legislature’s intention to permit reprosecution for nonfelony charges when

the information is dismissed for legal insufficiency” (*Nuccio*, 78 NY2d at 105).

As expressly recognized by the court of first instance in denying defendant’s motion to dismiss, *Nuccio* governs where, as here, a simplified traffic information is dismissed for facial insufficiency. The Appellate Term’s formulation of a procedural rule contrary to the Criminal Procedure Law is without force or effect. Defendant’s attempt to distinguish the newly filed accusatory instrument in *Nuccio* (a “long-form” information)⁵ from the newly filed accusatory instrument at issue here (a simplified traffic information accompanied by a supporting deposition with sufficient factual allegations) is unavailing. *Nuccio* did not hinge its analysis on the nature of the subsequently filed instrument. Instead, as discussed above, it focused on the Criminal Procedure Law’s distinction between dismissals of indictments and dismissals of local-court accusatory instruments. As in *Nuccio*, the original accusatory instrument here was a local-court accusatory instrument subject to dismissal as facially insufficient because the People failed to timely provide the supporting deposition requested by defendant. The Criminal Procedure Law does not prohibit reprosecution upon a facially sufficient accusatory instrument after such a dismissal, whether by information or by simplified traffic information with a supporting deposition. Accordingly, the People were entitled to reprosecute the traffic violation after dismissal of the first simplified traffic information. The Appellate Term’s special-circumstances requirement erects an extrastatutory barrier to reprosecution that contravenes the Criminal Procedure Law as clarified by *Nuccio*. As we have previously held, lower courts are not free to dismiss criminal actions based on

5. A “long-form” information is not one of the accusatory instruments defined in the Criminal Procedure Law (*see* CPL 100.55 [4], [5]). This qualifier is a shorthand to distinguish informations that contain legally sufficient sworn factual allegations in support of the charges (*see* CPL 1.20 [4]; 110.10 [1]; 100.15 [1], [3]) from simplified informations, which do not (*see* CPL 1.20 [5], 110.10 [2]). To be facially sufficient, an information—supplemented, as the case may be, by a supporting deposition—must contain nonhearsay allegations in support of the charges (*see* CPL 100.40 [1] [c]). On the other hand, where a defendant has timely requested a supporting deposition, a simplified information is facially sufficient only if the supporting deposition is provided within the time prescribed by law (*see* CPL 100.40 [2]). As observed by the motion court, the accusatory instrument used in the subsequent filing here—a simplified traffic information accompanied by a nonhearsay supporting deposition—was equivalent to a long-form information.

considerations falling outside the several grounds set forth in CPL 170.30 (*see Douglass*, 60 NY2d at 200 [rejecting the proposition that lower courts had authority to dismiss for “calendar control”]). Allowing dismissals without a basis in the Criminal Procedure Law “would not only be an abdication of the judiciary’s responsibility to safeguard the public and promote respect for the law, but would also create a situation whereby a trial court’s dismissal, rendered without consideration of any established guidelines, would be incapable of meaningful appellate review” (*id.* at 205).

In sum, the Appellate Term lacks authority to create a procedural rule, requiring special circumstances for the renewed prosecution of a traffic offense after a previous dismissal for failure to provide a requested supporting deposition, that is inconsistent with *Nuccio* and the courts’ authority under the Criminal Procedure Law.

Accordingly, the order of the Appellate Term should be reversed and the case remitted to the Appellate Term for consideration of issues raised but not determined on the appeal to that court.

WILSON, J. (dissenting). Quite understandably, the majority of our Court is concerned about equal justice for all. So am I. Criminal defendants—indeed, parties generally—should not receive differential treatment based on the geography of the court system. When the People fail to comply with a statute requiring that a simplified traffic information be supplemented with a supporting sworn statement, whether to permit or forbid re-prosecution for that violation is debatable as a policy matter. However, the ability to re-prosecute the offense of running a stop sign should be the same in Long Island as in Buffalo (or vice versa).

Though I fully concur in the majority’s ends, I cannot agree to its means. A century of our settled jurisprudence bars us from the majority’s course. The intermediate appellate courts are statutorily empowered to alter or abandon results that are technically permissible but nonetheless incompatible with the ultimate aim of the judicial system: advancing the interests of justice (CPL 470.15 [3] [c]). We are not, nor can we review such exercises by the intermediate appellate courts (*see People v Fava*, 58 NY2d 807, 808 [1983]).

The mismatch between our statutory powers of review and those of the intermediate appellate courts unquestionably

hobbles the Court of Appeals from ensuring uniformity in the law. The majority recognizes that problem. The straightforward solution lies in the hands of the legislature, which should harmonize our powers of review with those of the intermediate appellate courts.

Instead, to address the immediate problem, the majority attempts to cram the Appellate Term's decision into our present statutory authority by proposing that the Appellate Term has not really used its interest-of-justice powers, but rather has created a rule of law reviewable by our Court. However, the purported rule of law is, as I explain below, not. The majority would have no quarrel with an appellate court announcing that, in the ordinary course, it will not exercise its interest-of-justice power to bar re-prosecution unless the defendant can show exceptional circumstances. Indeed, it would be fair to say that for most types of circumstances in which the intermediate appellate courts are asked to take an action in the interest of justice (or do so *sua sponte*), they apply a strong presumption against doing so, and exercise that power only when the defendant has proved "special circumstances deserving of recognition" (*People v Marshall*, 106 AD3d 1, 11 [1st Dept 2013], quoting *People v Chambers*, 123 AD2d 270, 270 [1st Dept 1986]; see also *People v Hudson*, 217 AD2d 53, 55 [2d Dept 1995]; *Marshall*, 106 AD3d at 11 ["Ordinarily, this Court will not exercise its interest of justice jurisdiction absent 'extraordinary circumstances'"]). We have long held that those determinations are unreviewable by us. Here, all the Appellate Term has done is to reverse the presumption, requiring the People, instead of the defendant, to show special circumstances. If the majority has an explanation of why placing the burden on the People to show "special circumstances" creates a rule of law, but placing that same burden on defendants does not, it escapes me.

The good news is that, if a strong presumption converts interest-of-justice decisions by the lower courts into rules reviewable by us, today's decision should make a vast array of heretofore unreviewable exercises of discretion reviewable by our Court. Whenever we can detect a pattern or presumption in the lower courts' exercise of their interest-of-justice power, we now have a reviewable rule.

The better news is that today's decision should cause us to revisit why our court system is established so that the lower courts may deviate from legislatively-prescribed rules in the interest of justice, but its highest court cannot.

I.

The power of a court to dismiss an accusatory instrument in the interest of justice

“has ancient roots. Its New York legislative antecedents alone go back more than a century to the adoption, in 1881, of sections 663, 664 and 671 of the former Code of Criminal Procedure. . . . Throughout this history, and no less today, its thrust, even to the disregard of legal or factual merit, has been ‘to allow the letter of the law gracefully and charitably to succumb to the spirit of justice’ (*People v Davis*, 55 Misc 2d 656, 659)” (*People v Rickert*, 58 NY2d 122, 126 [1983]).

In his commentaries on the Criminal Procedure Law, Judge Bellacosa described this power as “evok[ing] the true and unfortunately perceived of as old-fashioned, sometimes courageous ‘judging’ ” in which it is “the spirit of the law that is alive in this section, rather than the mere letter” (Joseph W. Bellacosa, Practice Commentary, McKinney’s Cons Laws of NY, Book 11A, CPL 210.40 at 155 [1982 ed]).

The power of courts to make decisions in the interest of justice is woven into the fabric of New York’s judicial system and extends far beyond the power to dismiss accusatory instruments (*see People v Williams*, 97 Misc 2d 24, 31 [Dutchess County Ct 1978] [“Legislative enactments permitting courts to make a variety of determinations ‘in the interests of justice’ or ‘in furtherance of justice,’ are not new to our State These enactments have been an integral part of the criminal procedural process for many years, and appear throughout the CPL”]). In dozens of areas of the law, the legislature has supplemented statutory rules regarding civil and criminal procedure with instructions for lower courts to deviate from those rules when necessary to ensure a just result—a recognition of the need for flexibility in carrying out their statutory duties (*see People v Belge*, 41 NY2d 60, 62-63 [1976, Fuchsberg, J., concurring] [noting that CPL 210.40 “constitutes the current codification of earlier enactments which expressed the need for a residuum of inherent discretion to act in the unusual case that cries out for fundamental justice beyond the confines of conventional considerations of ‘legal or factual merits of the charge or even on the guilt or innocence of the defendant’ ”], quoting *People v Clayton*, 41 AD2d 204, 206 [1973]; *People v Davis*, 55 Misc 2d 656, 659 [Sup Ct, NY County 1967] [“The

criminal law is at best an imperfect instrument. Necessarily, it speaks in absolute terms and occasionally catches in its net one who, should he be convicted of an offense would suffer more grievously than justice would require”)].

As a modest sample, trial courts may, in the interest of justice, dismiss the charges filed against a criminal defendant (*e.g.* CPL 210.40 [dismissal of an indictment]; CPL 170.40 [dismissal of informations]); reduce felony charges to non-felony charges (CPL 180.50); extend statutory deadlines (*e.g.* CPL 30.30 [4] [b] [speedy trial]; CPL 100.25 [3] [supporting depositions]); remove juvenile cases to Family Court (CPL 330.25 [1]); and relieve youthful offenders “from the onus of a criminal record” (CPL 720.20 [1] [a]). On the civil side, the legislature has given trial courts similar powers with regards to vacating default judgments (CPLR 2005 [default as a result of attorney error]), extending time for service of process (CPLR 306-b), and granting trial preferences to litigants when “the interests of justice will be served by an early trial” (CPLR 3403 [a] [3]). The list goes on.¹

However, the broadest interest-of-justice powers rest with the Appellate Division and Appellate Term, a product of legislative expansion over time (*see* Jill Paradise Botler et al., *The Appellate Division of the Supreme Court of New York: An Empirical Study of its Powers and Functions as an Intermediate State Court*, 46 Fordham L Rev 929, 950 [1979] [“The Ap-

1. *E.g.* CPL 60.42 (5) (admissibility of evidence of victim’s prior sexual conduct); CPL 170.25 (4) (b) (release of defendant during the pendency of grand jury proceedings); CPL 170.55 (1)-(2) (adjournment of proceedings and release of defendant in contemplation of dismissal); CPL 170.56 (adjournment in contemplation of dismissal in cases involving marijuana); CPL 180.40 (remand of cases from superior court to local criminal court); CPL 180.80 (3) (release of defendant held pending disposition of felony complaint); CPL 190.80 (extension of statutory period to hold a defendant prior to the issuance of an indictment); CPL 200.20 (3) (separate trials for multiple offenses charged in the same indictment); CPL 250.10 (2) (late filing of psychiatric evidence used to demonstrate a mental disease or defect); CPL 260.30 (7) (admissibility of new, non-rebuttal evidence after presentation of principal cases); CPL 390.50 (2) (disclosure of presentence report); CPL 420.35 (2-a) (c) (waiver of mandatory fees); CPL 440.20 (3) (reconsideration of motions to set aside verdicts); CPL 610.25 (2) (costs for procuring witnesses or physical evidence); CPL 630.20 (4) (securing attendance of witnesses confined in institutions within New York State); CPL 680.20 (1) (issuance of commissions for the examination of out-of-state witnesses); CPL 700.50 (notice and disclosure of eavesdropping and video surveillance to subjects of warrants); CPLR 103 (c) (conversion of motions into special proceedings); CPLR 2305 (c) (waiver of costs incurred to reproduce and transport records); CPLR 3117 (a) (3) (v) (admission of prior depositions in evidence at trial).

pellate Division's power has grown to enable it to perform those functions that it was designed, and later modified, to serve: the supervision of the lower courts; the screening of cases for the court of appeals; and the promotion of substantial justice . . . The chief source of the Appellate Division's power, however, has been New York's tradition of allowing litigants the widest possible review in the interests of justice"). As early as 1855, intermediate appellate courts had the legislative authority to overturn criminal convictions, even when the verdict was supported by both statutory law and the weight of the evidence, if "justice require[d] a new trial" (L 1855, ch 337, § 3). In its original form, that power was limited to certain remedies (ordering a new trial) and certain offenses (convictions for capital offenses and those with a minimum punishment of imprisonment for life) (*id.*).

Since the mid-nineteenth century, the legislature has steadily expanded the powers of New York's intermediate appellate courts to act in the interest of justice. By 1882, those courts were permitted to order a new trial in all criminal convictions, not just capital cases (L 1882, ch 360, § 1 [amending section 527 of the Code of Criminal Procedure]). In 1919, the legislature granted the Appellate Division the power to review and reduce sentences imposed by trial courts (L 1919, ch 282, § 1), a predecessor to the Appellate Division's present authority to modify sentences that are "unduly harsh or severe" (CPL 470.15 [6] [b]). Finally, when the legislature enacted the modern Criminal Procedure Law in 1970, it set forth three bases upon which an intermediate appellate court could reverse a lower court decision, and in doing so, created the broadest standard to date concerning the power of our intermediate appellate courts to ensure a just result in each case. Section 470.15 of the CPL provides that

"3. A reversal or a modification of a judgment, sentence or order must be based upon a determination made:

"(a) Upon the law; or

"(b) Upon the facts; or

"(c) As a matter of discretion in the interest of justice; or

"(d) Upon any two or all three of the bases specified in paragraphs (a), (b) and (c)" (CPL 470.15 [3]).

The power of intermediate appellate courts to modify or reverse a judgment “as a matter of discretion in the interest of justice” includes the ability to dismiss or reduce charges, order a new trial, revise criminal sentences, and consider questions of law regardless of whether those questions were addressed in the court of first instance (CPL 470.15 [6]).

While the powers of intermediate appellate courts to decide issues in the interest of justice has evolved over time, the Court of Appeals’ authority and jurisprudence regarding the interests of justice have remained remarkably static. Neither CPL 450.90, which defines the scope of orders appealable to our Court, nor any of its predecessor statutes has granted the Court of Appeals the ability to review decisions made by intermediate appellate courts “as a matter of discretion in the interest of justice.” Unlike the intermediate appellate courts, the Court of Appeals lacks the authority to reverse or modify a decision below even if, without disturbing the facts as found below, the interest of justice so requires. One wonders why.

In light of that statutory background, we have consistently held that when an intermediate appellate court exercises its discretion to modify or reverse a trial court decision in the interest of justice, that discretionary act is not reviewable by our Court (*see People v O’Brien*, 164 NY 57, 58 [1900] [“We have no power to review a judgment of reversal in a criminal case unless it appears affirmatively in the body of the order that . . . the reversal was ordered for error of law only. Inasmuch as the order in this case does not, upon its face, exclude the possibility that it was based upon an examination of the facts, or made as matter of discretion, no question of law is presented by the appeal”]; *see also Elezaj v Carlin Constr. Co.*, 89 NY2d 992, 994 [1997]; *Brown v City of New York*, 60 NY2d 893, 894 [1983]).

In our 1884 case of *People v D’Argencour* (95 NY 624 [1884]), we intimated that our Court might be able to review decisions granting a new trial in the interest of justice to determine if the appellate court abused its discretion (*see id.* at 631 [“the power conferred upon the Supreme Court (by the Code of Criminal Procedure) to grant a new trial . . . when justice requires a new trial . . . is a discretionary one, and as it cannot be said that the discretion has been abused by the General Term of the Supreme Court the decision is not reviewable upon appeal to this court”]). However, 20 years later we confined those intimations to dicta in *People v Calabur* (178 NY 463 [1904]):

“Although a previous motion to dismiss the appeal in this case was denied upon the theory intimated, but not decided, in *People v. D’Argencour* (95 N. Y. 624), to the effect that if it appeared that the discretion of the Appellate Division had been abused . . . when we examine other decisions where that question was actually involved, we find that it has been uniformly held that an order of reversal in a criminal case that does not, upon its face, exclude the possibility that it was based upon an examination of the facts or made as a matter of discretion, presents no question of law reviewable by the Court of Appeals” (*id.* at 463-464).

Since *Calabur*, we have invariably held that our Court lacks the power to review exercises of the intermediate appellate courts’ interest-of-justice powers on the theory that the legislature has committed that power solely to those courts and removed such decisions from the class of cases amenable to Court of Appeals review (*see e.g. People v Kibbe*, 35 NY2d 407, 414 [1974] [(A)ppellants’ contention that the Appellate Division should have reversed for its claimed inadequacy in the interests of justice may not be here reviewed, for the intermediate appellate court’s refusal to so reverse was exclusively within its discretion” (citation omitted)]). We may only review such decisions if the lower court’s opinion excludes entirely the possibility that the decision was made as a matter of discretion in the interest of justice (*see People v Thomas*, 44 NY2d 759, 760 [1978] [(S)ince the possibility that the Appellate Division’s decision was premised on an exercise of discretion cannot be excluded, the appeal must be dismissed”]).²

A simple application of our precedent requires a dismissal of the People’s appeal. The Appellate Term reversed Ms. Epakchi’s conviction “as a matter of discretion in the interest of justice.” The Appellate Term’s express characterization of the basis for its decision accords with the substance of its holding. The Appellate Term’s decision embodies the court’s understanding of what justice requires. The Appellate Term has concluded that, absent special circumstances, re-prosecution of traffic

2. As an example, if the parties have properly preserved an issue in the court of instance, and the Appellate Division erroneously concludes the issue was not preserved, but purportedly reaches it in the interest of justice, we may review the issue, because the issue was in fact preserved (and the Appellate Division’s contrary holding is an error of law).

tickets is inappropriate when a defendant requested but did not receive a supporting deposition explaining the charges against her, and thereby had the charges dismissed. In the view of the Appellate Term, re-prosecutions in those instances would “erode the confidence of the public in the criminal justice system” and fail to serve the interests of judicial economy (63 Misc 3d 161[A], 2019 NY Slip Op 50913[U], *2 [App Term, 2d Dept, 9th & 10th Jud Dists 2019]). That the Appellate Term is exercising its discretion in the interest of justice is evident in its discretionary allowance of re-prosecution of the same defendant, based on the same charges as filed in the original traffic ticket, when special circumstances exist. One could disagree with the substance of the Appellate Term’s conclusions regarding what actions or omissions of the prosecution unfairly prejudice the defendant and erode public confidence in the judicial system, but that is true of all lower court exercises of the interest-of-justice power. A century of precedent bars our Court from second guessing the Appellate Term’s exercise of its interest-of-justice powers, putting an end to our review.

To circumvent our precedent, the majority recasts the Appellate Term’s decision as being based “upon the law” and not, as the Appellate Term explained, as a matter of discretion in the interest of justice. The majority’s reading of the Appellate Term’s orders might have some force if the Appellate Term had created an absolute bar to re-prosecution, but it has not. The Appellate Term has upheld the filing of a subsequent accusatory instrument, charging the same defendant with the same offense as the originally-dismissed information, when the People demonstrate that special circumstances exist warranting re-prosecution (*see People v Alexander*, 31 Misc 3d 145[A], 2011 NY Slip Op 50942[U] [App Term, 2d Dept, 9th & 10th Jud Dists 2011]).

The Appellate Term has not adopted a rule as the majority claims (majority op at 44), but rather a presumption to guide the exercise of discretion for when it will permit or deny a second prosecution of a Uniform Traffic Ticket when the original prosecution was dismissed for want of a supporting deposition. The use of presumptions by lower courts is a common feature of the interest of justice, born of experience gained over time and informed by the court’s substantive understanding of what justice requires (*see e.g. Davis*, 55 Misc 2d at 659 [explaining that the court would exercise its power to dismiss an indict-

ment only in “appropriate but rare circumstances”). Such presumptions do not erase the discretion that lies at the heart of the Appellate Term or Appellate Division’s interest-of-justice power.

I do not perceive a conflict between the interest of justice and the use of presumptions, nor do the intermediate appellate courts, and nor—until today—has our Court. If the Appellate Term’s practice is a rule, so is every circumstance in which our intermediate appellate courts have stated that they will “rarely” act in the interest of justice or do so only when the defendant has shown “special” or “extraordinary circumstances” (e.g. *People v Giglione*, 34 Misc 3d 72, 75 [App Term, 2d Dept, 9th & 10th Jud Dists 2011] [“As defendant has not shown that any extraordinary circumstances exist, we decline to modify the sentence”]; *People v Hodges*, 13 AD3d 979, 980 [3d Dept 2004] [declining to modify a defendant’s sentence in the interest of justice “due to the absence of extraordinary circumstances”]).

Compare, for example, the reviewable “rule” of the Appellate Term here with the First Department’s “rule” for vacating convictions in the interest of justice:

“In order to exercise our interest of justice jurisdiction, there must exist ‘special circumstances deserving of recognition’ (*People v Chambers*, 123 AD2d 270, 270 [1st Dept 1986]). In other words, this Court will not exercise its interest of justice jurisdiction absent ‘extraordinary circumstances’ (*People v Marshall*, 106 AD3d 1, 11 [1st Dept 2013] [internal quotation marks omitted], *lv denied* 21 NY3d 1006 [2013]).

“This case and this defendant do not present special or extraordinary circumstances that would warrant exercising our interest of justice review power” (*People v Williams*, 145 AD3d 100, 108 [1st Dept 2016]).

If the People do not comply with the statutory requirement to provide a supporting declaration within 30 days of a request, the Appellate Term will, in the interest of justice, bar re-prosecution unless the People demonstrate “special circumstances.” If a defendant has failed to preserve a claim of error, the First Department will not exercise its interest-of-justice power to decide the issue and vacate a conviction unless the

defendant demonstrates “special circumstances.”³ Sauce for the goose is sauce for the gander: either both or neither constitutes a reviewable rule.

I share the goal the majority seeks to achieve—harmony in criminal justice—but its approach mischaracterizes the nature of the interest-of-justice power and is foreclosed by our precedent. Even if I could reconcile the majority’s decision with our precedent or the lower courts’ persistent practice of employing interest-of-justice presumptions that rely upon “special,” “unusual,” or “extraordinary” circumstances, the majority’s approach lacks basic efficacy and the ability to serve as a consistent standard going forward. Note, for example, how the results would change if the Appellate Term had reversed the trial court in this case but stated only that it did so “as a matter of discretion and in the interest of justice,” without further elaboration. The New York Law Reports are replete with decisions in which an appellate court reverses or modifies an order in the interest of justice without any explanation (e.g. *People v Reyes*, 210 AD2d 68, 68 [1st Dept 1994]; *People v Senghor D.*, 240 AD2d 589, 589 [2d Dept 1997]; *People v Hirsh*, 106 AD3d 1546, 1548 [4th Dept 2013]; *People v Johnson*, 58 AD2d 1029, 1029 [4th Dept 1977]), or, conversely, declines to exercise its discretion in the interest of justice without informing the parties why (e.g. *People v Secrest*, 236 AD2d 839, 839 [4th Dept 1997]; *People v Jemes*, 132 AD3d 1361, 1362 [4th Dept 2015]). Those decisions raise the same concerns that the majority grapples with today (i.e., arbitrary and under-explained decisions; geographic disparities in the administration of justice). In some ways, they are worse—the majority disagrees with the substance of the

3. As a further example, the Second Department will not exercise its interest-of-justice power to review unpreserved challenges to the sufficiency of plea allocutions “[i]n the absence of unusual circumstances” (*People v Fudge*, 113 AD2d 900, 900 [2d Dept 1985]; *People v Taylor*, 111 AD2d 836 [2d Dept 1985]). The rationale of today’s decision would permit us to review such discretionary refusals and effect our own judgment about what the interest of justice requires. This rule constitutes a broad expansion of our powers of review, because, as described above, the interest-of-justice power is found throughout the civil and criminal codes (see *Ruben v American & Foreign Ins. Co.*, 185 AD2d 63, 67 [4th Dept 1992] [“It is well established that a court maintains inherent power to vacate a judgment in the interest of justice The enumerated grounds in CPLR 5015 are neither preemptive nor exhaustive and were not intended to limit that power (see, *Government Empls. Ins. Co. v Employers Commercial Union Ins. Co.*, 62 AD2d 123, 127; Siegel, Practice Commentaries, McKinney’s Cons Laws of NY, Book 7B, CPLR C5015:11, at 476”]).

Appellate Term's presumption, but it can at least discern its contours.

The majority's newly-created reviewability doctrine cannot reach this vast substrate of lower court decisions to harmonize them. Moreover, its selective approach to reviewing decisions made in the interest of justice will only exacerbate the problems it seeks to resolve. For an appellate court to safeguard its determination of what justice requires, all it must do is reverse or modify a decision in the interest of justice without any explanation. Absent an explicit presumption or other statement of a general practice for the majority to transmute into a rule of law, such holdings would once again become unreviewable.⁴ We should encourage the lower courts to engage in reason-giving, but the majority's lopsided treatment of lower court decisions does the opposite.

Our decision today is an implicit acknowledgement of a much broader issue: the Court of Appeals' lack of interest-of-justice powers impedes our ability to carry out our essential functions (see Larry Cunningham, *Appellate Review of Unpreserved Questions in Criminal Cases: An Attempt to Define the "Interest of Justice,"* 11 J App Prac & Process 285, 313 [2010] ["There is no standard other than the 'interest of justice.' This 'standard' gives no guidance to the courts that have to apply it on a daily basis. Worse, since only the intermediate appellate courts have this discretion, there is no guidance from the State's highest court, the Court of Appeals, let alone a check from that court on the improper exercise of interest-of-justice discretion"]).

A most peculiar oddity of our judicial system is that only the state's highest court has no ability to make decisions that are necessary to further the interest of justice when the strict interpretation of substantive or procedural rules says otherwise.

4. In this case for example, the Appellate Term on remand is free to exercise its interest-of-justice power once again and conclude that a second prosecution of Ms. Epakchi is unwarranted. That ruling could rest explicitly on such considerations as Ms. Epakchi's age at the time of the offense (just past her 17th birthday) or the minor nature of the violation (running a stop sign) or the absence of any explanation for the People's noncompliance with the statute, but it could also be made without any written explanation or only with a passing nod to the familiar and opaque refrain "[u]nder the circumstances of this case, and in the interest of justice" (*Roberts v State of New York*, 23 AD2d 615, 615 [3d Dept 1965]) the prosecution should be dismissed. That the same result could arise, albeit with less illumination as to the court's reasoning, suggests that the majority's doctrine is concerned solely with the appearance of differential treatment and not its actual occurrence.

As discussed below, the historical reasons for granting the intermediate courts, but not the state's high court, the power to make rulings necessitated by the interest of justice are irrelevant today. Meanwhile, the absence of interest-of-justice powers interferes with the fulfillment of our basic mandate to foster the development of the law, ensure statewide harmony in the administration of justice, and do substantial justice in each case. I applaud the majority for recognizing the Court's need to ensure that the lower courts meet the terms of that mandate, but pretending that the Appellate Term's decision to flip the presumption turns unreviewable discretionary decisions into a reviewable rule of law is neither consistent with our precedent and the existing legislative design, nor a thoughtful way to address a much more fundamental problem than prosecutions for traffic infractions.

II.

I cannot conclude that placing the burden on the People to disprove the need for justice is any more or less of a rule than placing the burden on defendants to prove it. The majority's approach contravenes our settled precedent and the legislature's decision that such rulings are unreviewable by our Court. It also offers no coherent rule going forward, and encourages the intermediate appellate courts, when they wish to act in the interest of justice, to offer no explanation for their decisions, ensuring that we will not meddle with the power granted them but withheld from us. Therefore, I follow the "time-honored tradition for courts or their members to suggest legislative change when the cases before them seem to so require" (*People v Mackell*, 40 NY2d 59, 64-65 [1976, Breitel, Ch. J., concurring]) and describe how this appeal highlights the need for the legislature to grant interest-of-justice powers to the Court of Appeals.

As I noted at the outset, the legislature has steadily expanded the interest-of-justice powers of the trial and intermediate appellate courts, although it has yet to grant the Court of Appeals such abilities. The peculiar result is that the interest of justice is a defining feature of civil and criminal justice in every New York court but ours.

The historical reasons for limiting the Court of Appeals' powers of review, relative to the intermediate appellate courts, primarily involved managing caseloads (*see* Arthur Karger, Pow-

ers of the New York Court of Appeals § 2:1 at 19 [3d ed rev 2005] [“From the time of its inception in 1847 until comparatively recently, the history of the jurisdiction of the Court of Appeals revolved around its struggle to cope with the demands of a volume of business exceeding its capacity”]). In the late nineteenth century, at a time when the interest-of-justice powers of the intermediate appellate courts were ascendant, the Court of Appeals struggled with a four-year backlog of undecided cases (Arthur Karger, *The New York Court of Appeals: Some Aspects of the Limitations on its Jurisdiction*, 27 Rec of Assn of Bar of City of NY 370, 371 [1972]). The overwhelming backlog faced by the Court of Appeals was a perennial problem: in 1862, the Court had a staggering 1,378 pending undetermined cases (Francis Bergan, *The History of the New York Court of Appeals, 1847-1932*, 47 [1985]). To give the Court of Appeals a fresh start, the Constitutional Convention of 1867-1868 created the “Commission of Appeals” (*id.* at 92-93), staffed by a combination of outgoing Judges of the Court of Appeals and fresh gubernatorial appointments. The Commission was assigned the yeoman’s work of paring down the Court’s backlog, a task it undertook in parallel with the official Court of Appeals, which continued to forge ahead with new appeals (*id.* at 93, 120-128). By constitutional amendment, the original Commission was renewed for three years and then lapsed in 1875 after clearing the Court’s backlog (*id.* at 122). Despite the fresh start, the Court of Appeals was again besieged by so great a backlog that the voters amended the Constitution, in 1889, to create an entire second division of the Court of Appeals, staffed by Supreme Court justices, to once more work through the accumulation of high court appeals (*see generally id.* at 132-136; Karger, *Powers of the New York Court of Appeals* § 2:1 at 22).

The historical backlogs explain to a substantial extent the discrepancies between our powers of review and those of the intermediate appellate courts. When the Appellate Division was created in the Constitutional Convention of 1894, it was endowed with the power to review nonfinal orders and, if necessary, reweigh findings of fact made at the trial court level (Bergan, *History of the New York Court of Appeals* at 202). We were not given such broad powers of review, although the legislature (via statute) and the people (via constitutional

amendment) have over the years expanded our powers as needs have arisen.⁵

Three points are worth noting with respect to the interest of justice. First, a century of jurisdictional innovation, including the constitutional amendments of 1985, have substantially assuaged the concerns of an unmanageable backlog. In recent years, the Court of Appeals docket has fallen to historic lows.⁶

Second and more importantly, the interest of justice is a power exercised at the discretion of the court (*see* Botler, *The Appellate Division of the Supreme Court of New York* at 970-971 [describing the Appellate Division's restraint in exercising its power to reach unpreserved issues of law in the interest of justice]). In selecting when to invoke that discretionary power, we would be guided by the lodestar of whether the issue presented is leaveworthy and of statewide importance. The discretionary nature of the interest-of-justice power substantially alleviates concerns of undue caseloads. Indeed, as explained below, discretion to decide issues as necessary in the interest of justice will often be a boon to judicial efficiency.⁷

5. For example, as the role of administrative agencies broadened over the twentieth century, voters approved a constitutional amendment permitting our Court to hear appeals from nonfinal orders of the Appellate Division affecting administrative proceedings (NY Const, art VI, § 3 [b] [5]; *see generally* Bernard S. Meyer et al., *The History of the New York Court of Appeals, 1932-2003*, 38 [2006]; Harold L. Korn, *Civil Jurisdiction of the New York Court of Appeals and Appellate Divisions*, 16 *Buff L Rev* 307, 322 [1967]).

6. In 2019, the Court heard 108 appeals, a number that is one quarter of the size of the average across the preceding 70 years. The reforms of the 1980s mark a clear turning point. Since 1990, the Court of Appeals has decided on average 209 appeals per year as compared with 580 appeals per year for the three decades prior to the 1985 constitutional amendment (*see* New York Court of Appeals, *Annual Reports*, <https://www.nycourts.gov/ctapps/annrpt.htm> [last accessed Mar. 15, 2021] [collecting statistics by year]). The legislative changes did not convert the Court of Appeals into a purely certiorari court like the United States Supreme Court, but moved it substantially in that direction. The caseload of the Court of Appeals is now only slightly greater than that of the U.S. Supreme Court.

7. We should also not view the efficiency of the judicial system solely from the perspective of the Court of Appeals. Query whether judicial economy is best served by the need to remit this case back to the Appellate Term, a result mandated by the current statutory framework. In a different legislative world, we could have reached the interest-of-justice question ourselves and conclusively resolved the current litigation. Instead, we must remit to the Appellate Term for that court to make yet another determination as to the interest of justice, based upon the same record we have before us today. (For anyone keeping score at home, that marks the fifth time this case will appear before an appellate court, quite a run for a \$100 traffic ticket.)

Finally, our inability to make decisions as necessary in the interest of justice is an impediment to advancing each of our principal goals: developing statewide uniform legal standards, doing justice in the cases before us, and fostering public confidence in the judicial system.

Take, for example, the ability of appellate courts to decide issues that were not originally argued before the court of first instance and therefore have not been preserved for appellate review. The power to reach unpreserved issues in the interest of justice is one of two examples that the legislature specifically cites in the CPL as a core interest-of-justice power of the intermediate appellate courts (*see* CPL 470.15 [6] [a]). Our Court has no comparable statutory authorization; as a partial judicial fix, we have developed a narrow doctrine for reaching unpreserved issues of law.⁸ Our adherence to a strict view of preservation regularly leads to a waste of judicial resources—appeals are accepted, briefed and argued, only for important issues to escape review when it turns out that an argument was not fully presented in the court of first instance. Frequently, there is disagreement within the Court about whether an issue was sufficiently preserved, leading to a cottage industry of opinions focused on the niceties of preservation instead of the substantive question of statewide importance that brought the appeal to the Court in the first place (*compare Jin Ming Chen v Insurance Co. of the State of Pa.*, 36 NY3d 133, 139 n 2 [2020] [holding that the parties did not preserve an argument that the defendant owed some, but not all, of the postjudgment interest at stake in the case], *with Chen*, 36 NY3d 133, 149, 154 n 5 [Wilson, J., dissenting] [concluding

8. The first category of cases involves what we have termed “mode of proceeding errors” (*People v Agramonte*, 87 NY2d 765, 769 [1996]). Where “‘the error complained of goes to the essential validity of the proceedings conducted below’ such that ‘the entire trial is irreparably tainted,’ it need not be preserved to present a question of law reviewable by this Court” (*id.* at 770, quoting *People v Patterson*, 39 NY2d 288, 296 [1976], *affd* 432 US 197 [1977]). However, “[o]nly fundamental defects in judicial proceedings . . . fall within this very narrow category of so-called ‘mode of proceedings’ errors” (*id.* [emphasis omitted]). Second, we have at times claimed that we could review an unpreserved issue “if it could not have been avoided by factual showings or legal countersteps had it been raised below” (*Bingham v New York City Tr. Auth.*, 99 NY2d 355, 359 [2003]; *see also Telaro v Telaro*, 25 NY2d 433, 438 [1969] [“If the exception presents clear error, and one of materiality, which may have influenced the fate of the trial, an appellant may be indulged in bringing it to notice on his final appeal”]). Although promising in theory, the times when we have actually found that an unpreserved issue met this exception are rare, rendering it mere milquetoast in application.

that the issue of dividing postjudgment interest was properly preserved because it had been raised and argued before the trial court]).

Perhaps the most unsettling aspect of our preservation jurisprudence is its effect on the development of the law. To give a recent example: there are approximately 33,000 foreclosure actions currently pending in the New York court system.⁹ Many of these foreclosure actions were initiated pursuant to uniform lending instruments issued by Fannie Mae; others make use of similar standard-form provisions that govern the rights of borrowers and lenders under the mortgage (*see Freedom Mtge. Corp. v Engel*, 37 NY3d 1, 20 n 1 [Feb. 18, 2021]). In January, we heard argument in four consolidated appeals, each involving a variant of the same issue: whether the unilateral decision by a lender to discontinue a foreclosure action is sufficient to “de-accelerate” a previously accelerated loan, even if the lender does not otherwise communicate its intent to return a loan to its pre-accelerated state. Before our Court, one of the litigants argued for the first time that we had missed a fundamental question: do lenders even have the contractual authority to de-accelerate a loan unilaterally? However, because that issue was raised for the first time on appeal, it fell beyond our powers of review (*see Freedom Mortgage*, 37 NY3d at 28 [noting that before the trial court “the borrowers did not dispute the noteholders’ right to revoke”]; *id.* at 36-37 [Wilson, J., concurring]; *id.* at 37 [Rivera, J., dissenting]).

This is not a rare occurrence. Legal issues interlock; the importance of some sub-issues becomes more apparent as litigation progresses, and not every issue is invariably preserved. For decades, members of this Court and legal commentators have sought judicial reform of the Court’s strict preservation doctrine to address these and other scenarios that impede our ability to declare what the law is (*see e.g.* Brian J. Shoot, *The Legislature’s Power to Correct the Anomaly of Benefitting from A Failure to Preserve an Argument for Appellate Review*, 80 Alb

9. This figure was the total reported at the end of 2019, shortly before the COVID-19 related restrictions on residential mortgage foreclosure actions took effect (*see* Lawrence K. Marks, 2019 Report of the Chief Administrator of the Courts on the Status of Foreclosure Cases Pursuant to Chapter 507 of the Laws of 2009 at 2 [2019], available at <http://ww2.nycourts.gov/sites/default/files/document/files/2019-12/ForeclosureAnnualReport2019.pdf> [last accessed Mar. 15, 2021], cached at <http://www.nycourts.gov/reporter/webdocs/ForeclosureAnnualReport2019.pdf>).

L Rev 1323 [2017]; Matthew Bova, *A Sufficiency-of-the-Evidence Exception to the New York Appellate Preservation Rule*, 19 CUNY L Rev 1 [2015]). In *Misicki v Caradonna* (12 NY3d 511 [2009]), Judge Smith memorably encapsulated the inanity that can arise from assuming away half of a whole case when a crucial legal issue has not been properly presented or preserved. In that case, interpreting a regulation concerning “heavy equipment” as if it pertained to the hand tools used by one of the litigants was “an exercise akin to deciding whether I would be a bicycle if I had wheels” (*id.* at 524 [Smith, J., dissenting]).

The mismatch between the Appellate Division’s power to hear unpreserved arguments and our own, more limited power, results in other bizarre contortions. For example, we have repeatedly held that when the Appellate Division exercises its interest-of-justice power to reach an unpreserved issue of law, our Court is powerless to review the Appellate Division’s rule of law even though its decision constitutes binding precedent in the department in which it was decided (*see Feinberg v Saks & Co.*, 56 NY2d 206, 210-211 [1982]). In successive years, Judges Pigott and Smith both critiqued that doctrinal oddity in writings that are logical, compelling, and remain as yet unadopted by our Court. In *People v Riley* (19 NY3d 944 [2012]), Judge Pigott correctly noted that

“[t]here is nothing in CPL 470.05 that prohibits this Court from reviewing a legal issue . . . where . . . the question was reached by the Appellate Division in the exercise of its discretionary power to reach an unpreserved legal issue . . . The fact that the nisi prius court did not rule on an important question of law does not . . . give the Appellate Division license to decide the issue of law without fear of review, as the Appellate Division has done here. Indeed, I doubt very much that the Appellate Division would generally seek such authority, being far more comfortable knowing that this Court will be the final arbiter. I cannot accept that the Legislature intended to bring about the unfortunate procedural circumstance in which the Appellate Division decides a legal issue for the State, yet we are powerless to reach it” (*id.* at 948-949 [Pigott, J., dissenting]).

Echoing Judge Pigott, Judge Smith described the following

year how our adherence to the “fiction that we are jurisdictionally barred from reviewing unpreserved issues”—even when the Appellate Division has created binding legal precedent by reaching those issues in the interest of justice—“does not follow from any statute, does not make sense, and sometimes—as in this case—rewards a party for failing to preserve a legal issue” (*Hecker v State of New York*, 20 NY3d 1087, 1088 [2013, Smith, J., concurring]).

Of course, there are good reasons not to reach every unpreserved issue, but the distinguishing feature of the Appellate Division’s statutory authority is that the legislature has entrusted the Appellate Division with discretion to determine whether in the interest of justice it should reach an unpreserved issue of law. Despite our cardinal role in developing and harmonizing the law, we have no such explicit statutory power, and have shied away from creating a judicial workaround to what our Court has perceived as a lack of legislative authorization to reach unpreserved issues of law.

Development of the law and judicial economy would both be better served by an interest-of-justice power that gave our Court the discretion to decide issues as needed in the interest of justice. So too would the important end of reducing geographic disparities in the administration of justice. As this case highlights, the intermediate appellate courts develop different practices for whether and how to exercise their interest-of-justice powers in various recurring circumstances.

The disparate results that follow disparate standards have for decades been a focus of reform by experts in appellate justice. As one example: in 1981, our Court asked the American Judicature Society to conduct a thorough study of the operations and efficacy of New York’s appellate justice system. Its final assessment concluded:

“The Study Group has given particular attention to the area of review of the exercise of discretion, because of a growing concern among both the bar and the judiciary that the Court’s current approach to ‘discretionary’ rulings results in inadequate supervision of the lower courts and inconsistent outcomes in different Departments of the Appellate Division. . . .

“The theory behind the Court of Appeals’ general reluctance to become involved in discretionary mat-

ters is that in contrast to the Appellate Division, the Court of Appeals does not possess all the discretionary powers of a *nisi prius* court and should limit its involvement in discretionary rulings to those few matters presenting reviewable issues of law. Superficially, this approach to review of discretion seems consistent with the Court's principal function as a law-declaring body.

"On close analysis, however, the 'abuse' standard seems ill-equipped to enable the Court of Appeals to discharge its other important functions of providing guidance to the lower courts and harmonizing inconsistent trends among the Departments of the Appellate Division. The problems become particularly apparent where two Departments have evolved different standards to guide the exercise of *nisi prius* discretion, or where recurring fact patterns continued to be handled on an unguided *ad hoc* basis . . .

"[An] example comes from a recent application for leave to appeal in a criminal case. The Appellate Division, Second Department, reversed a criminal conviction 'as a matter of discretion in the interest of justice,' on the ground that the jury had not been given cautionary instructions concerning note-taking. The People's application for leave to appeal noted the vast diversity of opinion around the State as to whether any note-taking by jurors should be allowed in criminal cases as a matter of law or policy. Yet the application acknowledged some uncertainty concerning the Court's power to review the purportedly discretionary ruling of the Appellate Division" (Robert MacCrate et al., Appellate Justice in New York at 82-83 [American Judicature Society 1982], citing *People v DiLuca*, 85 AD2d 439, 446 [2d Dept 1982]).

Reacting to the *DiLuca* decision and the divergent rulings made in the interest of justice, the American Judicature Society recommend that

"the Court give favorable consideration to applications for leave to appeal in cases where the Departments of the Appellate Division have adopted

divergent standards for the exercise of discretion This change would serve the important objectives of promoting uniformity in the administration of justice throughout the State” (*id.* at 84).

As a state high court with a smaller docket than that of our intermediate appellate courts, our Court is well placed to survey the landscape of different uses of the interest-of-justice power and, when appropriate—and as the majority has done today—exercise our judgment of what the interests of justice requires in light of the lessons learned from the different departments. In doing so, we would be fulfilling an essential purpose, one entrusted to us by the drafters of the 1894 constitutional amendments who emphasized the importance of ensuring a “consistent and harmonious system” of justice in which the law would be “the same for the whole State” (Explanatory Statement of the Judiciary Committee, 2 Rev Rec, 1894 NY Constitutional Convention at 464).

Finally, the power to review orders and judgments in the interest of justice is a vital means of promoting the ends of substantial justice that our legal system is meant to serve. Ensuring that individual litigants and communities receive a fair and just resolution is a vital concern, both in its own right and for its effects on public faith in the judicial system. In New York, the interests of justice serve those ends (*see Williams*, 97 Misc 2d at 33 [“Adjudications made ‘in the interests of justice’ have not been limited to trivial points of pleading or procedure, but have occasioned the most far-reaching consequences, including, as we have seen, such profound determinations as whether a person remains a defendant or not, and whether his conviction should be reversed”]).

Often, the decisions of the lower courts made in the interest of justice reveal a deep sense of humanity and care for the parties before them; they are among our courts’ finest decisions. When HIV and AIDS decimated New York in the 1980s and 1990s, it profoundly changed what a punishment could mean for someone living with the virus. Some lower courts in this state responded. Herman L.—homeless, impoverished, and with a history of addiction—was arraigned on minor drug charges. He was released pending trial so that he could seek drug counseling and participate in a clinical trial for people living with HIV (*People v Herman L.*, 198 AD2d 71, 71-72 [1st Dept 1993], *affd* 83 NY2d 958 [1994]). Over 21 months, he participated in both programs, sticking with his drug treat-

ment plan. Over those same 21 months, the trial court observed Mr. L.'s physical condition deteriorate until he became "as thin as a rail" and "could hardly stand" (*id.* at 72). In the court's view, a trial and incarceration of Mr. L. for minor drug charges would achieve little. He was winning his battle against drug addiction but losing the battle against HIV. Over the People's objection, the trial court dismissed the charges against him. The Appellate Division affirmed, reasoning that

"there are times when the ordinary processes by which justice is dispensed must be laid aside if justice is to be done. Indeed, justice in its truest aspect neither trivializes the offense nor the situation of the alleged offender. This, it would seem to us, is such a time, for the prosecution of Herman L. while accomplishing little if anything to promote in any real way either public safety or the rule of law, will predictably succeed only in blighting what remains of Mr. L.'s drastically abbreviated existence. Such a pointlessly harsh result is, we think, precisely what the discretion afforded pursuant to CPL 210.40 was designed to avoid" (*id.* at 74).

Our Court performs weighty tasks. We aim to promote the development of thoughtful legal standards, while minimizing arbitrary disparities in the outcomes of lawsuits and prosecutions. Like any court, we also decide the fates of individual litigants. We determine whether a criminal defendant will receive a new trial, whether families can stay together or come apart, and whether access to the ballot has been improperly denied. As the history of the power in New York State has shown, the interest of justice serves all of those aims.

III.

The majority's response, buried in a footnote, that "a court's authority to grant a motion to dismiss on this basis is not unbridled" (majority op at 44 n 3) rests on a fundamental misunderstanding of our jurisprudence and the legislature's action. The two cases cited, *People v Berrus* (1 NY3d 535 [2003]) and *People v Douglass* (60 NY2d 194 [1983]), concern legislative limitations on the authority of *trial courts*, not appellate courts, found in CPL 170.30 and 170.40. Indeed, the legislature enacted those standards in response to a direct suggestion by our Court (*see Belge*, 41 NY2d at 62 ["To the extent that the section now fails to prescribe specific criteria . . . it is open to

misuse and effective appellate review is made difficult, if not impossible. . . . We invite the attention of the Legislature to this predicament”). However, the legislature placed no such restrictions on the appellate courts’ interest-of-justice power. The Appellate Term’s statutory authority to reverse lower court decisions “as a matter of discretion in the interest of justice” mirrors the discretionary standard that in *Belge* (and in every other case in our Court’s history) we have held to be unreviewable.

Were we to take the majority’s footnote at face value—to mean that even the interest-of-justice power of the intermediate appellate courts is subject to review by our Court for abuse of discretion (“a question of law” as the majority writes)—we would have drastically expanded our ability to review a host of decisions heretofore decidedly unreviewable, including the review of unpreserved issues of law (if, for example, we concluded that an appellate court had abused its discretion in failing to entertain an unpreserved question of law or in failing to reduce a sentence).

Perhaps the majority means what it has tucked into its footnote, and is moving towards the adoption of the views of commentators and past Judges of this Court who have believed that, for example, the ability to reach unpreserved issues of law surely falls within our powers (*see Hecker*, 20 NY3d at 1088 [Smith, J., concurring]; Shoot, *The Legislature’s Power to Correct the Anomaly of Benefitting from a Failure to Preserve an Argument for Appellate Review* at 1335 [(T)here is nothing in the Constitution or even in the statutes governing the Court of Appeals’s jurisdiction that even arguably limits the court to preserved issues of law”]; MacCrate et al., *Appellate Justice in New York* at 83-84 [“Since standards for the exercise of discretion can be properly viewed as ‘questions of law,’ no constitutional change is necessary”]).

Such a move, whether judicial or legislative, would be welcome. The purpose of the interest of justice is “to allow the letter of the law gracefully and charitably to succumb to the spirit of justice” (*Rickert*, 58 NY2d at 126, quoting *Davis*, 55 Misc 2d at 659; *see also* John F. Wirenius, *A Model of Discretion: New York’s “Interests of Justice” Dismissal Statute*, 58 Alb L Rev 175, 176 [1994] [“Justice is, however, an elusive quality, one which is not always served even by the neutral application of detailed criminal codes promulgated by legislatures”]).

Deciding when the details of the law should give way to its broader purposes is an essential legal question. When to apply the law strictly matters just as much as what its technical terms mean; both involve quintessential legal questions of who will come within the ambit of the law and how to accomplish the legislature's aims in different contexts (*see Belge*, 41 NY2d at 64 [Jasen, J., dissenting] [(T)he Legislature specifically left the justice standards open-ended, recognizing the futility of developing all-encompassing rules to cover all situations of injustice"]; *Martel v Clair*, 565 US 648, 663 [2012] ["As its name betrays, the 'interests of justice' standard contemplates a peculiarly context-specific inquiry"]).

Other jurisdictions do not seem to perceive that courts, when they act in the "interest of justice," are engaging in anything extra-legal (*see United States v National City Lines*, 7 FRD 393, 397 [SD Cal 1947] ["The phrase 'in the interest of justice,' like the analogous one which occurs often in statutory enactments, 'in the furtherance of justice,' has a broad meaning. . . . *Both call for the doing of things which bring about the type of justice which results when law is correctly applied and administered.* They import the exercise of discretion which considers both the interests of the defendant and those of society. When commanded by a statute, they do not attempt to determine, in advance, the type of judicial action to be taken" (emphasis added)]; *see also State v Kucharski*, 363 Wis 2d 658, 670, 866 NW2d 697, 703 [2015] [reviewing trial court decision in the interest of justice while mindful that "the ultimate question of whether the evidentiary burden was met would be one for the trier of fact and not for the reviewing court"]).

Nor is there reason to think that the distinction in the State Constitution between issues of law and issues of fact was intended to place interest-of-justice rulings on the "fact" side of the line. The dichotomy of "law" and "fact," reflected in the language of the Judiciary Article (*see NY Const*, art VI, §§ 3 [a]; 22 [d]), is expressed as well in the history of the 1894 Constitutional Convention in which our powers of review were limited to questions of law, and to the Appellate Division were left questions of fact (*see Explanatory Statement of the Judiciary Committee*, 2 Rev Rec, 1894 NY Constitutional Convention at 462 ["The Court of Appeals is to be strictly limited to its proper province of reviewing questions of law (except in capital cases), leaving the judgments of the Appellate Division final upon all questions of fact"]).

The interest of justice, as a statutory device for tailoring legal codes to the contextual needs of a case, would not need to tread upon the factual findings of the courts below. That is why the Appellate Division’s “weight of the evidence” review is distinct from its review of a judgment in the interest of justice (*compare* CPL 470.15 [5], *with* [6]). In a similar fashion, we have noted that the interest of justice in criminal cases is not concerned with such essential factual determinations as whether the defendant is guilty or innocent (*see Belge*, 41 NY2d at 62-63 [Fuchsberg, J., concurring] [(CPL 210.40) constitutes the current codification of earlier enactments which expressed the need for a residuum of inherent discretion to act in the unusual case that cries out for fundamental justice beyond the confines of conventional considerations of ‘legal or factual merits of the charge or even on the guilt or innocence of the defendant’], quoting *Clayton*, 41 AD2d at 206). The foremost example of the lack of congruence between questions of fact and the interest of justice is in the review of unpreserved questions of law—which the Appellate Division may reach pursuant to its interest-of-justice power, but which necessarily are pure questions of law.

If neither the textual nor conceptual bases for limiting our review of factual findings applies to the interest of justice, what about the purposes behind the constitutional division of law and fact? Here too, the relevant considerations support extending a discretionary interest-of-justice power to our Court. Doing so would not run afoul of the concerns for managing caseloads that motivated the constitutional distinction between law and fact.¹⁰ Quite the opposite: it can assist judicial efficiency by avoiding redundancy of litigation. Furthermore, as discussed above, settling the law and ensuring its uniformity

10. Even the case cited by the majority for the proposition that the Court of Appeals’ grant of constitutional “authority was designed to give this Court ‘supreme power to authoritatively declare and settle the law uniformly throughout the state’” (majority op at 45 n 4) emphasizes that the limitation of our Court’s jurisdiction to questions of law was established because “the calendar of the Court of Appeals was then overloaded with work, much of which was unnecessary to settle the law. . . . It was by thus limiting the jurisdiction of this court that it sought to reduce the volume of its business” (*Reed v McCord*, 160 NY 330, 335 [1899]). For the reasons explained above, the interest-of-justice power would aid the Court in settling the law and, because it is discretionary, support rather than hamper judicial economy. In any event, granting the Court of Appeals an interest-of-justice power does not require any change to the prohibition that the Court cannot, except in very limited circumstances, review questions of fact.

have been at the forefront of constitutional debates concerning our powers of review (*see* Explanatory Statement of the Judiciary Committee, 2 Rev Rec, 1894 NY Constitutional Convention at 464 [“The public interests demand that the law should be settled; that it should be the same for the whole State; that it should be a consistent and harmonious system; that it should be declared clearly and authoritatively by some supreme power, in order not merely that litigants may have their right, but that the whole people may know what is the law”]). The ability to reach unpreserved issues of law and to harmonize disparate lower court practices concerning when to relax the letter of the law in favor of its broader purposes are essential for advancing those constitutional objectives.

IV.

The majority abandons our prior precedent, albeit for a laudable purpose. I dissent because, under our existing statutory powers, I must. However, the majority has put its finger on issues of geographic disparity, stunted development of the law, and inadequate justice in individual cases. The proper answer is for the legislature to bring our Court in line with the other appellate courts and enable us to employ our discretion as needed to make decisions in the interest of justice. No reason now exists to relegate justice to the lower courts only; is justice not our paramount role?

Judges RIVERA, STEIN, FAHEY and GARCIA concur; Judge WILSON dissents and votes to dismiss the appeal in an opinion.

Order reversed and case remitted to the Appellate Term for the Ninth and Tenth Judicial Districts for consideration of issues raised but not determined on the appeal to that court.

[170 NE3d 424, 147 NYS3d 550]

PROTECT THE ADIRONDACKS! INC., Respondent-Appellant, v NEW
YORK STATE DEPARTMENT OF ENVIRONMENTAL CONSERVA-
TION et al., Appellants-Respondents.

Argued March 23, 2021; decided May 4, 2021

SUMMARY

CROSS APPEALS, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered July 3, 2019. The Appellate Division (1) “reversed,” on the law, a judgment (denominated decision and order) of the Supreme Court, Albany County (Gerald W. Connolly, J.), entered following a nonjury trial, which had (a) denied plaintiff the declaratory and injunctive relief requested in its first cause of action; and (b) declared that construction in the Forest Preserve of the Class II Community Connector trails “that were planned and approved as of October 15, 201[4],” does not violate NY Constitution, article XIV, § 1; and (2) declared that construction in the Forest Preserve of the Class II Community Connector trails that were planned and approved as of October 15, 2014, violates NY Constitution, article XIV, § 1.

Protect the Adirondacks! Inc. v New York State Dept. of Envtl. Conservation, 175 AD3d 24, affirmed.

HEADNOTE

Constitutional Law — State Constitutional Law — Forever Wild Clause — Construction of Class II Community Connector Trails in Forest Preserve

Defendant state agency’s planned construction of approximately 27 miles of Class II community connector trails designed for snowmobile use, which would require the cutting and removal of thousands of trees, grading and leveling, and the removal of rocks and other natural components from the Forest Preserve to create snowmobile paths that are 9 to 12 feet in width, violates the “forever wild” provision of the New York State Constitution (art XIV, § 1) and therefore cannot be accomplished other than by constitutional amendment. The construction of the Class II trails would work a substantial change to the Forest Preserve. Those trails require greater interference with the natural development of the Forest Preserve than is necessary to accommodate hikers. The Constitution provides for access and enjoyment of the Forest Preserve as a wild forest, and the proposed project is impermissible simply and solely for the reason that the Constitution says that it cannot be done.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Parks, Squares, and Playgrounds §§ 4, 10, 13, 20.

McKINNEY'S, NY Const, art XIV, § 1.

NY JUR 2d Environmental Rights and Remedies §§ 362, 363; NY JUR 2d Public Lands § 58.

ANNOTATION REFERENCE

See ALR Index under Parks and Playgrounds.

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POINTS OF COUNSEL

Letitia James, Attorney General, Albany (Jennifer L. Clark, Barbara D. Underwood, Andrea Oser and Julie M. Sheridan of counsel), for appellants-respondents. I. "Timber" as used in the Forever Wild provision does not include seedlings, saplings, and trees smaller than three inches diameter at breast height. (Association for Protection of Adirondacks v Macdonald, 228 App Div 73.) II. The timber cut for the Class II community connector trails' construction did not impair the wild forest nature of the Forest Preserve. (Ohio ex rel. Popovici v Agler, 280 US 379; Matter of Balsam Lake Anglers Club v Department of Env'tl. Conservation, 199 AD2d 852; Humphrey v State of New York, 60 NY2d 742; Parochial Bus Sys. v Board of Educ. of City of N.Y., 60 NY2d 539; T.D. v New York State Off. of Mental Health, 91 NY2d 860; Matter of Adirondack Wild Friends of the Forest Preserve v New York State Adirondack Park Agency, 34 NY3d 184.)

Caffry & Flower, Glens Falls (John W. Caffry and Amanda J. Kukle of counsel), and Braymer Law, PLLC, Glens Falls (Claudia K. Braymer of counsel), for respondent-appellant. I. Defendants' appeal should be denied because they violated the New York Constitution by destroying a substantial number of trees in the Forest Preserve. (People v Adirondack Ry. Co., 160 NY 225; Association for Protection of Adirondacks v MacDonald, 253 NY 234; Kenwell v Lee, 261 NY 113; Balsam Lake Anglers Club v Department of Env'tl. Conservation, 199 AD2d

852; *Affronti v Crosson*, 95 NY2d 713; *Kingsbrook Jewish Med. Ctr. v Allstate Ins. Co.*, 61 AD3d 13; *Matter of Adirondack Wild Friends of the Forest Preserve v New York State Adirondack Park Agency*, 34 NY3d 184.) II. Under article XIV of the New York Constitution all trees are “timber.” (*L. Smirlock Realty Corp. v Title Guar. Co.*, 63 NY2d 955; *Matter of Tucker v Board of Educ., Community School Dist. No. 10*, 82 NY2d 274; *Jensen v General Elec. Co.*, 82 NY2d 77; *Oneida Indian Nation of N.Y. v State of New York*, 691 F2d 1070; *Anderson v Regan*, 53 NY2d 356; *People v Adirondack Ry. Co.*, 160 NY 225; *Association for Protection of Adirondacks v MacDonald*, 253 NY 234; *Balsam Lake Anglers Club v Department of Envtl. Conservation*, 199 AD2d 852; *Matter of D.B.S. Realty v New York State Dept. of Envtl. Conservation*, 201 AD2d 168.) III. In article XIV of the New York Constitution, forbidding cutting trees, and forbidding damaging the wild forest nature of the land, are separate restrictions on the executive branch’s actions in the Forest Preserve. (*Association for Protection of Adirondacks v MacDonald*, 253 NY 234; *People v Adirondack Ry. Co.*, 160 NY 225; *Balsam Lake Anglers Club v Department of Envtl. Conservation*, 199 AD2d 852.) IV. The Appellate Division erred as a matter of law when it disregarded the parties’ stipulation and relied upon defendants’ policy documents in finding that the wild forest nature of the land had not been impaired. (*Matter of Trustees of Union Coll. v Board of Assessment Review of City of Schenectady*, 91 AD2d 713; *Ardrey v 12 W. 27th St. Assoc.*, 117 AD2d 538; *Cullen v Naples*, 31 NY2d 818; *Biener v Hystron Fibers*, 78 AD2d 162; *Orlich v Helm Bros.*, 160 AD2d 135; *Matter of FMC Corp. v New York State Dept. of Envtl. Conservation*, 31 NY3d 332; *Campaign for Fiscal Equity v State of New York*, 100 NY2d 893.) V. The Class II community connector trails are inconsistent with the wild forest nature of the Forest Preserve. (*Association for Protection of Adirondacks v MacDonald*, 253 NY 234; *Getty Oil Co. v State of New York*, 33 AD2d 705.) VI. The Court owes no deference to defendants’ interpretation of article XIV of the New York Constitution. (*Association for Protection of Adirondacks v MacDonald*, 253 NY 234; *Campaign for Fiscal Equity v State of New York*, 100 NY2d 893; *Board of Educ., Levittown Union Free School Dist. v Nyquist*, 57 NY2d 27; *Paynter v State of New York*, 290 AD2d 95; *Brownley v Doar*, 12 NY3d 33; *Kenwell v Lee*, 261 NY 113.)

Pace Environmental Litigation Clinic, Inc., White Plains (Todd D. Ommen and Karl S. Coplan of counsel), for Sierra Club Atlantic Chapter, amicus curiae. I. This Court should af-

firm the Appellate Division's ruling that construction of the Class II community connector snowmobile trails is an unconstitutional destruction of timber in the Forest Preserve. (*Association for Protection of Adirondacks v MacDonald*, 253 NY 234.) II. The Class II community connector snowmobile trails are inconsistent with the "Forever Wild" clause of article XIV of the New York Constitution. (*Matter of Adirondack Wild Friends of the Forest Preserve v New York State Adirondack Park Agency*, 34 NY3d 184.)

Miller, Mannix, Schachner & Hafner, LLC, Glens Falls (*Mark Schachner* and *Jacquelyn P. White* of counsel), for Adirondack Association of Towns and Villages and another, amici curiae. The State's construction of 27 miles of Class II community connector trails in the State's Forest Preserve does not violate article XIV, § 1 of the State Constitution. (*Association for Protection of Adirondacks v MacDonald*, 253 NY 234.)

McPhillips, Fitzgerald & Cullum LLP, Glens Falls (*Dennis J. Phillips* and *Eric C. Schwenker* of counsel), for Empire State Forest Products Association, Inc., amicus curiae. I. Dr. Philip G. Terrie's testimony and writings prove that the 1895 meaning of timber fits within a commercial meaning but does not prove that all trees are timber. II. The delegates to the 1894 Constitutional Convention knew the meaning of timber.

Patterson Belknap Webb & Tyler LLP, New York City (*Lisa E. Cleary* and *Jacob I. Chefitz* of counsel), for Open Space Institute and another, amici curiae. I. Any interpretation of article XIV of the New York Constitution must balance forest preservation with public access. (*Association for Protection of Adirondacks v MacDonald*, 253 NY 234; *Matter of Adirondack Wild Friends of the Forest Preserve v New York State Adirondack Park Agency*, 34 NY3d 184.) II. The Third Department's holding erroneously casts a legal shadow over future efforts to improve public access to the Forest Preserve.

Whiteman Osterman & Hanna LLP, Albany (*Philip H. Gitlen* and *Robert S. Rosborough IV* of counsel), for Adirondack Council, Inc. and another, amici curiae. I. The Forever Wild clause of the New York Constitution does not permit a balancing of policy interests to determine whether it has been violated. (*Matter of Helms v Diamond*, 76 Misc 2d 253; *Matter of Tishman v Sprague*, 293 NY 42; *People v DeJesus*, 21 AD2d 236; *Association for Protection of Adirondacks v MacDonald*, 253 NY 234; *Matter of Adirondack Wild Friends of the Forest*

Preserve v New York State Adirondack Park Agency, 34 NY3d 184; *People v Santa Clara Lbr. Co.*, 213 NY 61; *McKechnie v Ortiz*, 132 AD2d 472, 72 NY2d 969; *Matter of Mestecky v City of New York*, 30 NY3d 239; *Matter of Balsam Lake Anglers Club v Department of Env'tl. Conservation*, 199 AD2d 852.) II. The Appellate Division majority erroneously considered clauses of the Forever Wild provision of the New York Constitution separately. (*People v Mobil Oil Corp.*, 48 NY2d 192; *Chittenden Lbr. Co. v Silberblatt & Lasker*, 288 NY 396.)

Morrison & Foerster LLP, New York City (*Haimavathi V. Marlier, Sheryl Janet George, Mikaela L. Ediger and Bozena Sarzynska* of counsel), for The Nature Conservancy, amicus curiae. I. The multipurpose community connector trails do not require the removal of timber to a substantial extent or to any material degree and, accordingly, were properly permitted. (*Balsam Lake Anglers Club v Department of Env'tl. Conservation*, 199 AD2d 852.) II. Failing to permit the multipurpose community connector trails will undermine the preservation of the Forest Preserve for the people and discourage collaborative approaches to maximize sustainable use and enjoyment. (*Matter of Adirondack Wild Friends of the Forest Preserve v New York State Adirondack Park Agency*, 34 NY3d 184.)

OPINION OF THE COURT

RIVERA, J.

On this appeal, we must determine whether the State's plan for the construction of approximately 27 miles of Class II community connector trails designed for snowmobile use in the Forest Preserve is permissible under the New York Constitution. The plan requires the cutting and removal of thousands of trees, grading and leveling, and the removal of rocks and other natural components from the Forest Preserve to create snowmobile paths that are 9 to 12 feet in width. We conclude that construction of these trails violates the "forever wild" provision of the New York State Constitution (art XIV, § 1) and therefore cannot be accomplished other than by constitutional amendment.

I.

The Adirondack Park currently encompasses approximately six million acres of public and private lands. The Forest Preserve encompasses 2.5 million acres of state-owned land within the Park. Defendant New York State Department of

Environmental Conservation (DEC) was established in 1970, with a mandate to “[p]rovide for the care, custody, and control of the forest preserve” (ECL 3-0301 [1] [d]; 3-0101; *accord* 9-0105 [1] [granting DEC authority and duty to take “care, custody and control of the several preserves, parks and other state lands described in this article”]). Defendant Adirondack Park Agency (APA) is concerned with “developing long-range park policy” to advance “optimum overall conservation, protection, preservation, development and use of the unique scenic, aesthetic, wildlife, recreational, open space, historic, ecological and natural resources of the Adirondack park” (Executive Law § 801). The DEC, in consultation with APA, develops individual management plans for units of land classified in a master plan, which “shall guide the development and management of state lands in the Adirondack park” (*id.* § 816 [1]).

In 2006, the Department of Environmental Conservation and the New York State Office of Parks, Recreation and Historic Preservation prepared a “conceptual snowmobile plan” with the goal of creating a system of snowmobile trails between communities in the Adirondack Park. In 2009, DEC developed a guidance document, entitled “Management Guidance: Snowmobile Trail Siting, Construction and Maintenance on Forest Preserve Lands in the Adirondack Park,” to implement the concepts outlined in the plan. Under the guidance, the “multi-use” snowmobile trails are meant to improve community connections, but are also intended for more “passive recreational uses,” including hiking, mountain biking and other “non-motorized recreational pursuits in spring, summer and fall.” Trails in the park that are open to snowmobiles are classified as either Class I secondary snowmobile trails or Class II trails, the type at issue in this appeal. Class II trails are “trail segments that serve to connect communities and provide the main travel routes for snowmobiles.”

Protect the Adirondacks! Inc. commenced this combined declaratory judgment action and CPLR article 78 proceeding, alleging, in relevant part, that construction of the Class II trails violated article XIV, § 1 of the New York Constitution. Plaintiff alleged that the construction of the trails is impermissible because it required cutting and destruction of a substantial amount of timber, would create an “artificial, man-made setting” in the Forest Preserve and was inconsistent with the Preserve’s wild forest nature. After a bench trial Supreme Court held that the construction was not unconstitutional.

The Appellate Division reversed with one Justice dissenting (175 AD3d 24 [3d Dept 2019]). The majority adopted a bifurcated analysis of the constitutional provision and held that construction in the Forest Preserve of the Class II trails did not violate the “forever wild” clause because the qualities of the trails—“which have similar aspects to foot trails and ski trails and have less impact than roads or parking lots”—do not “impair[]” the wild forest nature of the Forest Preserve (*id.* at 29). Nevertheless, the Appellate Division held that the trail construction constitutes an unconstitutional destruction of timber (*id.* at 29-31). The dissent would have held that the construction of the Class II trails “effect a reasoned balance between protecting the Forest Preserve and allowing year-round public access” (*id.* at 32 [Lynch, J., dissenting]).

Defendants appeal, and plaintiff cross-appeals, as of right (*see* CPLR 5601 [b]).¹ We now affirm and hold that the planned construction of the Class II community connector trails would violate the Constitution.

II.

The Forest Preserve is a publicly owned wilderness of incomparable beauty. Located in two regions of the Adirondack and Catskill Mountains, the Forest Preserve—with its trees, rivers, wetlands, mountain landscape, and rugged terrain—is a respite from the demands of daily life and the encroachment of commercial development. It has been this way for over a century because our State Constitution mandates:

“The lands of the state, now owned or hereafter acquired, constituting the forest preserve as now fixed by law, shall be forever kept as wild forest lands. They shall not be leased, sold or exchanged, or be taken by any corporation, public or private, nor shall the timber thereon be sold, removed or destroyed.”²

This unique “forever wild” provision was deemed necessary by its drafters and the people of the State of New York to end the commercial destruction and despoliation of the soil and trees

1. Following a jurisdictional inquiry, we retained both the appeal and cross appeal.

2. The provision was originally codified as article VII, § 7 of the 1894 Constitution, and recodified as article XIV, § 1 in the Constitution of 1938.

that jeopardized the state's forests and, perhaps most importantly, the state watershed.³

In 1873, in response to widespread concern about the visible and potentially irrevocable depredation of the Adirondacks, the State appointed a commission of "trained forest experts" to "investigate and report a system of forest preservation" (Rep of Comm on Forest Preserves, 1885 NY Assembly Doc No. 36 at 3, 39). The commission's final report urged the creation of a forest preserve to "be forever kept as wild forest lands" (*id.*).

In 1885, the legislature passed a statute providing that "[a]ll the lands now owned or which may hereafter be acquired by the state of New York" within certain counties, "shall constitute and be known as the forest preserve" (L 1885, ch 283, § 7). In accordance with the recommendations of the report, the statute further provided that "[t]he lands now or hereafter constituting the forest preserve shall be forever kept as wild forest lands. They shall not be sold, nor shall they be leased or taken by any person or corporation, public or private" (*id.* § 8).

The original statutory and administrative efforts to protect the wild forest proved ineffective. Just two years after the Forest Preserve was created, the legislature afforded the Comptroller the authority to sell, upon the recommendation of the Forest Commission, timber and land located on the boundaries of the Preserve (*see* L 1887, ch 475, § 8, amending L 1885, ch 283, § 8). In 1893, the legislature conferred upon the Forest Commission "greatly enlarged powers" to sell timber, lease camp sites, and build roads and paths in the Forest Preserve (*Association for Protection of Adirondacks v Macdonald*, 228 App Div 73, 77-78 [3d Dept 1930], citing L 1893, ch 332).

The Constitutional Convention of 1894 assembled in response to widespread discontent with the destruction of the Adirondack forest.⁴ The convention delegates were determined to maintain the wild forest nature of the Preserve—"these

3. A report to the legislature in 1873 cautioned that "within one hundred years the cold, healthful, living waters of the [Adirondack] wilderness . . . will be required for the domestic water supply of the cities of the Hudson River valley" (Verplanck Colvin, Rep on Topographical Survey of Adirondack Wilderness of NY, 1873 NY Senate Doc No. 53 at 41, 42; *see e.g.* Rep of Comm on Forest Preserves, 1885 NY Assembly Doc No. 36 at 6).

4. The Forest Commission's annual report for the year 1893 noted the extent to which these policies had exacerbated the problem of exploitation: "[f]ully two-fifths of the great forest has already been cut over by lumbermen, who have removed the spruce and pine, leaving a forest in which there is little or no merchantable timber that can be floated down the streams" (*An-*

(n. cont'd)

wide-spread evergreen woods”—both because of their value as a “great resort for the people of this State” and as a singular “capacious cistern, extending over this region” (4 Rev Rec, 1894 NY Constitutional Convention at 130-131). David McClure, a New York City lawyer and delegate, sponsored an amendment that would protect the Forest Preserve. McClure described how the failure to preserve the forest had already resulted in environmental distress: “Bars have risen in the Hudson on account of the washing down from these mountains, from which trees have been taken, and everywhere we have seen the falling of the waters to an extent that has been dangerous” (*id.* at 132). Thus, one delegate exclaimed, “you must shut the door” to commercial interests, “and you must close it tight, and close it right away; and not only that, you must keep it closed” (*id.* at 156).

The proposal was revised to ban the leasing of the land and the removal or destruction of timber. As revised, the amendment garnered unanimous support from the 1894 Constitutional Convention delegates and was submitted to a vote of the electorate and approved by the people of the State of New York. The drafters conceived that any use of the Forest Preserve contrary to the constitutional mandate may only be accomplished by an amendment approved by the electorate. The legislature, by more than a century of popular referenda proposing constitutional amendments for projects large and small within the Forest Preserve, confirmed and honored the Convention’s solution. Thus, since becoming law in 1895, the people of New York have voted to amend article XIV, § 1, a total of 19 times to permit specific encroachments on the Forest Preserve.⁵

nual Consumption of Timber, 1893 Ann Rep of Forest Commn, vol 1 at 207; see also *Railroads in the Adirondacks*, NY Times, May 19, 1891 at 4 [“Commissioner Basselin has had every appearance of being on the side of those who desired to get possession of timber lands belonging to the State, and there was reason to believe that he might be in favor of running railroads through the forests to facilitate the work of stripping them of timber and to add to the profits of his private business”]).

5. For example, amendments in 1918 and 1927 respectively provided for the construction of a state highway from Saranac Lake to Old Forge and another from Wilmington to the top of Whiteface Mountain. Amendments in 1941 and 1947 permitted construction of ski trails on Whiteface Mountain, Belleayre, Gore, South, and Pete Gay Mountains. A 1987 amendment allowed for the extension and widening of these ski paths. In 1957, an amendment authorized the relocation, reconstruction, and maintenance of existing

(n. cont’d)

III.

Only once before has this Court considered the meaning of the constitutional provision at issue here. In *Association for Protection of Adirondacks v MacDonald* (253 NY 234 [1930]), the Court held that a statute authorizing the construction of a bobsleigh run, requiring the destruction of 2,500 trees, for the 1932 Winter Olympics in Lake Placid was unconstitutional (*id.* at 242).

As the Court noted, the proposed project was miniscule in comparison to the great expanse of the Preserve, requiring only 4.5 acres of land out of a total of 1,941,403 (*id.* at 236). Unquestionably, the value to the public of hosting the Olympic Games and bobsledding in the years thereafter was high. Nonetheless, we held that the bobsleigh run could not be built, despite its attractions, because the Constitution forbade it:

“However tempting it may be to yield to the seductive influences of outdoor sports and international contests, we must not overlook the fact that constitutional provisions cannot always adjust themselves to the nice relationships of life. The framers of the Constitution, as before stated, intended to stop the willful destruction of trees upon the forest lands, and to preserve these in the wild state now existing; they adopted a measure forbidding the cutting down of these trees to any substantial extent for any purpose” (*id.* at 241-242).

Applying *MacDonald* to the appeal before us, we conclude that the planned 27 miles of snowmobile trails may not be built without constitutional amendment.⁶ Contrary to the Appellate Division, we do not interpret the provision as a bifurcated clause. All members of the Court agree that the constitutional protection is unitary (*see* dissenting op at 89). The forever wild provision ensures the preservation of state-owned land within the Adirondack Park (and Catskills) in its wild state (*see MacDonald*, 253 NY at 241). The destruction or removal of trees represented a principal threat recognized by the 1894 Convention delegates, and violation of the prohibition against the destruction of timber is a violation of the “forever

state highways to eliminate dangerous curves and grades, and, in 1959, the same authority was extended to the existing interstate highway 502.

6. Given our decision that the planned construction of the Class II trails is unconstitutional, plaintiff is not entitled to any additional relief on its cross appeal.

wild” clause, because that prohibition was a means to the ultimate objective of protecting the forest as wilderness.

The construction of the Class II trails is, for constitutional purposes, no different than the construction of the bobsleigh run. Both would work a substantial change to the Forest Preserve. Both were explained as having a specific purpose that did not benefit the overall public interest (the Olympics and connecting local communities) and both were additionally justified as having a broader purpose that benefitted all the people of New York (opening the bobsleigh run and snowmobile trails for general public use).⁷ The Class II connector trails require the clearing of approximately 27 miles of trail (the total land area cleared or to be cleared is approximately one acre per mile of trail) resulting in the destruction of 6,184 trees of at least three inches diameter at breast height and 25,000 trees total, removal of rock and grading of the wild forest. By comparison, in *MacDonald*, the bobsleigh run and appurtenant facilities would have required the clearing of over four acres of the Forest Preserve and the destruction of many fewer trees, the blasting and removal of 50 cubic yards of rock and the construction of the bobsleigh track structure (228 App Div at 82).

Further, the Class II trails require greater interference with the natural development of the Forest Preserve than is necessary to accommodate hikers. Their construction is based on the travel path and speed of a motorized vehicle used solely during the snow season. The trails may not be built like roads for automobiles or trucks, but neither are they constructed as typical hiking trails.⁸ Under DEC’s 2009 guidance document, the Class II trails are not to exceed nine feet in width except on sharp curves, steep slopes, and bridges, where a 12-foot width is allowed—the same width as an interstate highway lane and

7. The impetus for the bobsleigh run was to facilitate the 1932 Winter Olympic Games, but it was thereafter to be “maintained, during the winter season, for the use and pleasure of the public” (L 1929, ch 417, § 1).

8. The dissent elides the distinction between a factual finding by the courts below that the Class II trails in issue here are “more similar to hiking trails than to roads” (dissenting op at 95 n 4, quoting 175 AD3d 24, 28 [3d Dept 2019]) with a finding that they *are* hiking trails. How these trails are constructed is uncontested. Thus, whether these trails are more akin to hiking trails than to roads is relevant to determining DEC’s compliance with its policies and procedures, but it does not resolve the issue here, for we are concerned with whether the construction of these trails violate the Constitution.

enough to accommodate two SUVs, side-to-side. The proposed bench cuts—cuts into sloped ground and removal of the cut soil, rock and trees to create a “bench” upon which a trail can be placed—require clearing the land on the up- and downslopes of the trail, resulting in the clearing of the forest floor up to 20 feet in width in certain areas—a span wide enough to site a two-car garage.

Defendants and the dissent offer two principal arguments in response. The first is that we should not view the destruction of trees as significant because the number is comparatively small per mile of trail (*see* dissenting op at 95). We rejected a similar argument in *MacDonald* when we declined to minimize the impact of the project by viewing it as a small percentage of the overall Forest Preserve (*see MacDonald*, 253 NY at 236-237 [rejecting the argument that “(t)he Forest Preserve within the Adirondacks consists of 1,941,403 acres” and “(t)he taking of four acres out of this vast acreage for this international sports’ meet seems a very slight inroad upon the preserve for a matter of such public interest and benefit to the people of the State of New York”]).

Second, defendants and the dissent contend that the project’s impacts are justified because it enhances access to the Preserve and provides a variety of recreational opportunities. That analysis proceeds from a fundamental misunderstanding. The Constitution provides for access and enjoyment of the Forest Preserve as a wild forest: “very considerable use may be made by campers and others without in any way interfering with this purpose of preserving them as wild forest lands” (*MacDonald*, 253 NY at 241, citing Robert Marshall, *The Problem of the Wilderness*, 30 *Sci Monthly* 141, 141 [1930]). The project proposed here, like that proposed in *MacDonald*, is impermissible “simply and solely for the reason that . . . the Constitution says that it cannot be done” (*id.* at 242). Improving recreation and the use and enjoyment of the Preserve are laudable aims, but they were insufficient in *MacDonald* to obviate the need for a constitutional amendment.

The fact that defendants may be doing everything they believe feasible to minimize the destruction of the Forest Preserve in the construction of the Class II trails, by, for example, reducing the number of trees cut, routing the trails as close to the periphery or highway as possible, and implementing erosion control measures, does not support a different conclusion. The issue is simply whether the project, as proposed, complies with the constitutional provision.

If the people of the State of New York decide that these Class II community connector trails are sufficiently beneficial, despite their impact on the Forest Preserve, then that determination may be realized through constitutional amendment. Indeed, other projects to enhance recreation or provide access by motorized transport have required constitutional amendment. Since its enactment in 1894, the forever wild provision has been amended 19 times; four of those amendments have come in the past 15 years. Those constitutional amendments have authorized, among other initiatives, the construction and maintenance of specific highways, ski trails, and bike lanes in the Forest Preserve. If a constitutional amendment is required for projects that enhance recreation (bobsleigh runs; ski trails) or improve mobility (roads) or do both (bike lanes within preexisting roads), then a constitutional amendment is also required to construct rights-of-way for a different form of motorized transportation (snowmobiles).⁹

If the trails at issue here are equally important to New York as those projects were, then the people can express their will accordingly through the democratic process. Until they say otherwise, however, the door is closed because the planned Class II trails are constitutionally forbidden.

The order of the Appellate Division should be affirmed, without costs.

STEIN, J. (dissenting). For well over 100 years, the leaders and citizens of this State have strived to protect one of its most precious resources, the Adirondack Forest Preserve, consistent with the public policy that “[w]hatever the advantages may be of having wild forest lands preserved in their natural state, the advantages are for every one within the State and *for the use of the people of the State*” (*Association for Protection of Adiron-*

9. The 2017 amendment to article XIV, § 1, provided a simplified method of advancing a limited set of projects in the public interest, by adding 250 acres to the Forest Preserve and creating a “health and safety land account” of 250 acres of Forest Preserve land. The drafters of this amendment recognized that, under article XIV, it was “overly cumbersome, time consuming and expensive” for small communities to amend the Constitution for every modest public project they wished to execute (Senate Introducer’s Mem in Support, 2016 NY Senate Bill S8026-A). Accordingly, with the land account established, a town, village, or county may be granted Forest Preserve land to address a limited set of public projects as long as no other alternative exists (*see* 2016 NY Assembly Bill A10721-A, available at https://nyassembly.gov/leg/?default_fld=&leg_video=&bn=A10721&term=2015&Summary=Y&Text=Y).

dacks v MacDonald, 253 NY 234, 238-239 [1930] [emphasis added]). To that end, the Forever Wild provision states that

“[t]he lands of the state, now owned or hereafter acquired, constituting the forest preserve as now fixed by law, shall be forever kept as wild forest lands. They shall not be leased, sold or exchanged, or be taken by any corporation, public or private, nor shall the timber thereon be sold, removed or destroyed” (NY Const, art XIV, § 1).

This Court has long rejected an interpretation of the Forever Wild provision as mandating that, in order to keep the Forest Preserve “as wild forest lands,” we must endeavor to “preserve it from the interference in any way by the hand of man” (*MacDonald*, 253 NY at 238). That interpretation is contrary to the guiding principle that “[t]he Forest Preserve and the Adirondack Park . . . are for the reasonable use and benefit of the public” (*id.* at 240-241). Rather, we recognized that “[a] *very considerable use* may be made by campers and others without in any way interfering with th[e] purpose of preserving them as wild forest lands” (*id.* at 241 [emphasis added]).

The project at issue in this appeal—initiated by respondent New York State Department of Environmental Conservation (DEC) after a multiyear planning, public comment, and review process in conjunction with the Adirondack Park Agency (APA)—involves the construction in the Forest Preserve of segments of trails totaling approximately 27 miles to be used by hikers and, during the winter, snowmobilers. I disagree with the majority’s conclusion that the project “would work a substantial change to the Forest Preserve” (majority op at 83). The majority misreads our State Constitution to arrive at the mistaken conclusion that the people of this state must undertake the arduous process of constitutional amendment to enable a long-standing public use of the Preserve to continue in a manner that is both safe for, and designed to protect, the Preserve’s most sensitive resources. Because the majority’s holding thwarts the intention of the drafters of the Forever Wild provision (NY Const, art XIV, § 1) and manifestly contradicts this Court’s precedent, I dissent.

I.

The six-million-acre Adirondack Park is currently visited by approximately 12.4 million people annually (*see* Adirondack Council, *State of the Park, Landscape of Hope 2020-2021* at 4,

https://www.adirondackcouncil.org/vs-uploads/sop_archive/1599077695_SOP_2020_FINAL.pdf [accessed Apr. 9, 2021]), and the 2.6 million acres of state-owned Forest Preserve within the Adirondack Park contain nearly 2,000 miles of trails (New York State Department of Environmental Conservation, Welcome to the Adirondacks, <https://www.dec.ny.gov/outdoor/119734.html> [accessed Apr. 9, 2021]). The state-owned land within the Park is classified into several basic categories (see *Matter of Adirondack Wild: Friends of the Forest Preserve v New York State Adirondack Park Agency*, 34 NY3d 184, 192 [2019]; Adirondack Park State Land Master Plan at 16 [Aug. 2019]), with most of the land in the Forest Preserve classified as wild forest (see Adirondack Council, State of the Park, Landscape of Hope 2020-2021 at 4). Under the Master Plan, “[m]otor vehicle use, including snowmobile use, is expressly authorized in wild forest areas” (*Adirondack Wild*, 34 NY3d at 193; see Master Plan at 34-39). In fact, even in the absence of a single constitutional amendment authorizing snowmobile trails, there are nearly 800 miles of trails in the Forest Preserve that can accommodate snowmobiles. Despite the existence of these trails, the majority deems unconstitutional the construction of 27 miles of new trails that are suitable for use by snowmobiles—but will serve multiple purposes year-round—on the ground that the new trails will lead to “a substantial change to the Forest Preserve” (majority op at 83). It is unclear how the continuation of a long-standing public use by means of a project that reduces the total number of trails in the Preserve and protects its most ecologically sensitive areas constitutes a substantial change or impacts the wild forest nature of the Preserve.

By way of background, in 2006, DEC and the Office of Parks, Recreation and Historic Preservation adopted the Snowmobile Plan for the Adirondack Park/Final Generic Environmental Impact Statement. The plan anticipated a new trail system with no material increase in miles, but with the development and creation of trails to connect communities located within the Park, as well as the redesignation of existing trails within the forest interior as nonmotorized trails (see *Matter of Adirondack Council, Inc. v Adirondack Park Agency*, 92 AD3d 188, 189 [3d Dept 2012]). Under the plan, the new trails would be open year-round for recreational use by, not just snowmobilers, but also hikers, cyclists and cross-country skiers. The proposed placement of trail segments at the periphery of Forest Preserve

areas—near existing roads—and the closure of multiple preexisting snowmobile trails located in the interior of the Preserve was for the purpose of “ensur[ing] protection of sensitive resources on both public and private land” and achieving a “net benefit to the Forest Preserve lands” themselves (New York State Department of Environmental Conservation & Office of Parks, Recreation and Historic Preservation, Snowmobile Plan for the Adirondack Park/Final Generic Environmental Impact Statement at 4 [Oct. 2006]; see *Adirondack Council, Inc.*, 92 AD3d at 190).

In 2009, to implement the plan, DEC and respondent APA adopted the “Management Guidance: Snowmobile Trail Siting, Construction and Maintenance on Forest Preserve Lands in the Adirondack Park.” The Guidance provides for a two-tiered classification system for snowmobile trails, consisting of Class II, community connector trails and Class I, secondary trails that are spur trails or ungroomed (see *Adirondack Council, Inc.*, 92 AD3d at 189-190). This appeal involves only the Class II trails.

Like the snowmobile plan, the Guidance called for the closure of trails to motorized vehicle use in interior areas of the Preserve and the placement of new trails along the periphery of the forest to the extent possible to “shift[] the highest snowmobile use to the outer periphery of Forest Preserve lands” and lead to “lower noise levels, lower exhaust emission levels, decreased impacts on wildlife and reduced user conflicts between users participating in motorized and non-motorized forms of recreation” in “the wilder, more remote areas of the Forest Preserve.” The Guidance further provided that the cutting of “overstory” trees was to be avoided in order to maintain a closed forest canopy, and that old growth and large trees should be protected. Thereafter, DEC constructed 11 noncontiguous Class II trails or trail segments on Forest Preserve land. The 27 miles of new trails constructed between January 1, 2012, and October 15, 2014, required that a total of 6,184 trees measuring at least three inches or larger in diameter at breast height (DBH) be cut.

Following a trial on plaintiff’s claims in this declaratory judgment action, the courts below determined that the term “timber” in the Forever Wild provision “is not limited to marketable logs or wood products, but refers to all trees, regardless of size” (175 AD3d 24, 31 [3d Dept 2019]); thus, “approximately 25,000 trees,” including seedlings and saplings,

“either had been or would be cut to construct the trails” (*id.*). Supreme Court—relying on the evidence that the tree cutting was not for commercial purposes, involved no clear-cutting, and was in the nature of “the creation of a narrow trail through a wooded area” for use by the public—held that “the number of trees cut herein is not so ‘substantial’ under the within circumstances as to render the actions violative of the Constitution.” In contrast, the Appellate Division held that the construction of the Class II trails would result in an unconstitutional destruction of timber in the Forest Preserve “‘to a substantial extent’ or ‘to [a] material degree’” (175 AD3d at 31-32, quoting *MacDonald*, 253 NY at 238). Nevertheless, despite declaring that “construction in the Forest Preserve of the Class II Community Connector trails that were planned and approved as of October 15, 2014, violates NY Constitution, article XIV, § 1” (*id.* at 33), the Appellate Division—like Supreme Court—concluded that “plaintiff failed to demonstrate how the construction of Class II trails, which have similar aspects to foot trails and ski trails and have less impact than roads or parking lots, impairs the wild forest qualities of the Forest Preserve” (*id.* at 29).

II.

As noted by the majority, all members of the Court disagree with the Appellate Division’s bifurcated analysis of article XIV, § 1 (majority op at 79, 82). The two sentences of this provision are interrelated such that the destruction of timber to a substantial or material degree necessarily violates the “forever wild” prescription of article XIV and, concomitantly, the removal of timber that is not sufficiently substantial to impact the wild forest nature of the Preserve will not be unconstitutional. Although the amount of timber cut is central to the inquiry, the *MacDonald* “substantial extent” or “material degree” standard cannot be reduced to merely an exercise in tree counting, but requires consideration of the scope, nature, purpose and impact of the project on the affected area and on the Forest Preserve as a whole.

Turning to the legal issues disputed by the parties, the construction of the trails at issue here—involving the removal of 6,184 trees three inches DBH or larger—took place over 27 miles of noncontiguous, multiuse trails that did not adversely affect old-growth trees, retained a closed canopy, provided for erosion control, involved no infiltration of invasive species, and

resulted in the closure to motorized use of 46 miles of preexisting snowmobile trails in sensitive interior areas. Under these circumstances, the subject timber cut is not sufficiently substantial or material, in itself, to impair the wild forest nature of the 2.6-million-acre Preserve within the meaning of the Forever Wild provision, particularly inasmuch as this Court has long recognized the primary importance of the public's right to access the Preserve (*see MacDonald*, 253 NY at 238-239).

In discussing the history of the 1894 amendment that first added the Forever Wild provision, the majority correctly observes that the Forever Wild provision had its genesis in widespread public concern over the depredation of timber by industrial logging interests and the impact of commercial exploitation on the forest and watershed (*see* majority op at 79-81). The 1885 statute that created the Preserve mandated that the "forest preserve shall be forever kept as wild forest lands" and could not be sold, leased or "taken by any person or corporation, public or private" (L 1885, ch 283, § 8). At trial, plaintiff provided undisputed testimony that the statute was enacted in response to the "[w]idespread belief that commercial logging was destroying the Adirondacks and all its values."

Nevertheless, the Forest Commission, which was tasked with maintaining and protecting the Preserve (*see* L 1885, ch 283, §§ 1, 9), continued to sell both land and timber in the Forest Preserve (*see* L 1893, ch 332, §§ 103, 121). Thus, at the 1894 Constitutional Convention, the Committee on the Forest Preserve was animated by a concern that a forest "form[ed] during the lapse of uncounted ages can be swept away in a few years by the acts of the lumbermen and the fires that follow in his path" (4 Rev Rec, 1894 NY Constitutional Convention at 130). The delegates recognized the value of the wild forest as a watershed (*id.* at 130-132), "as a great resort for the people of this State . . . for seeking, finding and preserving health" (*id.* at 131-132), and as "a symbol of sport, of recreation and pleasure-seeking" (*id.* at 133). With respect to timber, the proposed constitutional amendment initially provided only that the timber on Forest Preserve lands could not be "sold" (*id.* at 124), but ultimately was revised to include the additional restriction that timber cannot be "removed or destroyed" (*id.* at 158). "Destruction of trees by flooding, through the erection of dams, was decried and was one of the reasons suggested for adding the word 'destroyed' to the amendment" (*Association for*

Protection of Adirondacks v Macdonald, 228 App Div 73, 79 [3d Dept 1930]). In that vein, the Chairperson of the Committee on the Forest Preserve, David McClure, expressed dismay at the “selling to lumbermen some of the trees, regardless of the devastation, the burnings and the stealing[] that follow in the lumberman’s track” and at “the notion of the lumbermen cutting the woods and taking out the best trees and destroying, with every tree he takes, [50] in addition” (4 Rev Rec, 1894 NY Constitutional Convention at 139).

As the foregoing demonstrates, defendants are correct that the primary aim of the drafters was the prevention of commercial logging or the sale of land for that purpose, in order to preserve it for “the great number of pleasure seekers, [and] the great number of invalids that annually visit that territory” (*id.* at 156). Thus, while the delegates intended to protect the Preserve from commercial exploitation, they did not intend to create a purely isolated and untouched forest haven; rather, they preserved the forest for the use and enjoyment of the people of the State of New York. That is, the delegates considered the protection *and the use* of the Preserve to be interlocking goals, not mutually exclusive or incompatible interests.

Our cases have consistently recognized that these are interlocking goals—preservation *for the purpose* of enabling recreational use of the wild forest land in the Preserve by the people. In 1899, just five years after the Forever Wild provision was added to the Constitution, this Court recognized that the “primary object of the . . . forest preserve . . . was to save the trees for the threefold purpose of promoting the health and pleasure of the people, protecting the water supply as an aid to commerce and preserving timber for use in the future” (*People v Adirondack Ry. Co.*, 160 NY 225, 248 [1899] [holding that a railroad operated by steam in the Park was not a permissible use of the land given “the well-known danger of destruction of forest lands by fires communicated by locomotives”]).¹ We further explained that, in making the Forest Preserve lands “absolutely inalienable,” their “*use* is not restricted, either by legislation or circumstances, to a special locality, or to a limited

1. The majority errs in stating that this Court has considered the meaning of the Forever Wild provision only once before, in *MacDonald* (see majority op at 82). In fact, we first considered the meaning of the provision and explained its purpose in *People v Adirondack Ry. Co.* (160 NY 225, 248 [1899]), shortly after it was enacted.

number of inhabitants, but *is extended to all the people*" (*id.* at 247-248 [emphasis added]).

Approximately 30 years later, in *MacDonald*, the Court stated that

“[t]he purpose of the constitutional provision, as indicated by the debates in the Convention of 1894, was to prevent the cutting or destruction of the timber or the sale thereof, as had theretofore been permitted by legislation, to the injury and ruin of the Forest Preserve. To accomplish the end in view, it was thought necessary to close all gaps and openings in the law, and to prohibit any cutting or any removal of the trees and timber *to a substantial extent*” (*MacDonald*, 253 NY at 238 [emphasis added]).

The Court reaffirmed its understanding that “the advantages” of preserving the “wild forest lands . . . in their natural state . . . are for everyone within the State and for the *use* of the people of the State” (*id.* at 238-239 [emphasis added]). In other words, we have long considered the recreational use of the wild forest lands to be constitutional, so long as such use does not impair the wild nature thereof.

MacDonald is especially instructive here. The *MacDonald* Court noted that

“[s]ome opinions, notably those of the Attorneys-General of the State . . . have even gone so far as to state that a single tree, and even fallen timber and dead wood, cannot be removed; that to preserve the property as wild forest lands means to preserve it from the interference in any way by the hand of man” (253 NY at 238).

However, *MacDonald* rejected that strict reading of the constitutional provision, stating:

“The words of the Constitution, like those of any other law, *must receive a reasonable interpretation*, considering the purpose and the object in view. . . . The Adirondack Park was to be preserved, not destroyed. Therefore, *all things necessary were permitted*, such as measures to prevent forest fires, the repairs to roads and proper inspection, or *the erection and maintenance of proper facilities for the use by the public which did not call for the removal*

of the timber to any material degree. The Forest Preserve is preserved *for the public*; its benefits are for the people of the State as a whole” (*id.* [emphasis added and citations omitted]).

It bears emphasis that *MacDonald* recognized that the maintenance of proper facilities for public use and access are among the “things necessary” that are permitted, so long as they do not result in “the removal of the timber to any material degree” (*id.*). As noted above, we also explained that “[a] very considerable use may be made by campers and others without in any way interfering with this purpose of preserving them as wild forest lands” (*id.* at 241).

Under *MacDonald*, *insubstantial* cutting to allow public use of the forest consistent with its character as a wilderness is constitutional. That rule follows from our recognition that the cutting of “timber” to provide for public use of the Preserve in a manner that maintains the Preserve’s wild forest nature is not a competing policy interest to be balanced against preservation of the wilderness; rather, both concerns are central to the purpose of the Forever Wild provision. In any event, it was settled by *MacDonald* over 90 years ago that there is no absolute bar on cutting “timber” to enable the public to use and enjoy the Preserve as a wild forest, provided that such cutting is not to a “substantial extent” or to “any material degree” (253 NY at 238, 242). Thus, two of the questions before us on this appeal are what is “timber” and what is cutting of it to a “substantial extent” or “material degree.”²

With respect to the understanding of the term “timber” around the turn of the last century, contemporaneous statutes distinguished between the terms “tree” and “timber” or defined timber as trees of a certain size (*see* former Fisheries, Game

2. To the extent that plaintiff and the courts below read the word “timber” in the constitutional provision as referring to seedlings and saplings, that reading is contrary to the facts of *MacDonald*, as well as to the instruction therein that the Forever Wild provision “must receive a reasonable interpretation, considering the purpose and the object in view” (253 NY at 238). Regarding the facts, the record on appeal in *MacDonald* makes clear that the smallest “tree” considered in that case was still at least three inches DBH. Moreover, it is not reasonable to interpret the term “timber” in the constitutional provision to include seedlings and saplings because only a few seedlings will grow into saplings and only a few of those saplings will grow into trees. Nevertheless, while seedlings and saplings may not be “timber,” defendants properly concede that a project’s effect on *all* vegetation, including small trees and new growth, must be considered in determining a project’s effects on the wild forest nature of the Preserve.

and Forest Law § 280 [enacted in 1895 and prohibiting trespass on Forest Preserve land and “cutting or carrying away or causing to be cut or assisting to cut or carry away, any tree, bark or timber within the forest preserve”]; L 1892, ch 707, § 3 [permitting the Forest Commission to purchase lands subject to the right of the owner to remove timber provided that it was not hard wood or “soft wood with a diameter of less than ten inches at the height of three feet”]; L 1894, ch 317, § 84 [permitting those who discovered mines on state lands to cut timber necessary to make a road and requiring reimbursement to the state only for trees measuring four inches or more at a height of one foot from the ground]). There is no reason to believe that the drafters of the Forever Wild provision read the term differently.³

On a more pragmatic note, there are approximately 2,000 miles of hiking trails in the Preserve. Because maintenance of those trails requires the clearing of seedlings and saplings, as well as side cutting (*see* United States Department of Agriculture, United States Forest Service, Trail Construction & Maintenance Notebook, Clearing and Brushing; Removing Trees, <https://www.fs.fed.us/t-d/pubs/htmlpubs/htm07232806/page07.htm> [accessed Apr. 9, 2021]), adoption of plaintiff’s interpretation of the term “timber” to include seedlings and saplings would disincentivize trail maintenance and thereby unreasonably increase the risk to the millions of people who use the Preserve each year. Any interpretation of the constitutional provision that would discourage the maintenance of existing facilities for the public would be contrary to our recognition in *MacDonald* that the “Forest Preserve and the Adirondack Park within it are for the reasonable use and benefit of the public” and that “the use of the park by campers and those who seek . . . solitude of the north woods” is entirely appropriate (253 NY at 240-241).

3. During the 1915 Constitutional Convention, the delegates proposed that the words “timber thereon” be changed to “trees and timber thereon” in order to “mak[e] more inclusive the scope of the provision” (2 Rev Rec, 1915 NY Constitutional Convention at 1340)—reflecting the delegates’ understanding that “trees” and “timber” were not interchangeable terms. Ultimately, the proposed 1915 Constitution was voted down in its entirety and the provision remained unchanged, but the proposed amendment indicates that the delegates in 1915 rejected the interpretation of the original Forever Wild provision that plaintiff now urges and the courts below adopted, namely that trees of all sizes are “timber.”

In my view, under *MacDonald*, the timber cutting at issue here was not to such a substantial extent or material degree that it violated the Forever Wild provision. The purpose of the cutting is to open safe, year-round trails geared toward keeping users on the trails and out of sensitive areas. Unlike in *MacDonald*, where the cutting of 2,500 trees three inches DBH or larger was concentrated across a 1¼ mile long path, the trail construction at issue here does not involve a clear-cut, but the creation of narrow trails that run a total of 27 miles in segments throughout the vast Forest Preserve. Moreover, the construction at issue in *MacDonald*, which the Court deemed unconstitutional, involved “blast[ing] away about fifteen large boulders and the ends of three or four ledges of rock, entailing the removal by blasting of about 50 cubic yards of rock” (228 App Div at 76) to make way for the construction of a bobsled run plus the return route, altering the vista of the Sentinel Range and changing the character of the area. Although the total number of trees over three inches DBH to be cut is significant at 6,184 trees, the timber cut in the construction of the Class II trails is not substantial or material when spread out over the course of 27 miles and given that their purpose is to allow access to and public use of the Preserve in a manner which is fully harmonious with the natural surroundings; nor does the cut alter the wild forest nature of the Preserve.

Creating hiking trails for year-round use is entirely consistent with the purpose underlying the constitutional protection of the Forest Preserve, and the construction at issue here involves trails that the courts below found to be more in the nature of hiking trails than roads.⁴ Such construction does not work a substantial change to the Forest Preserve within the

4. The majority notes that “projects to enhance recreation or provide access by motorized transport” in the Forest Preserve have been authorized by constitutional amendment, including the construction and maintenance of specific state highways (majority op at 85). To the extent the majority suggests that snowmobile trails are akin to state highways, rather than hiking trails (*see id.* at 83 n 8), such a determination would be contrary to the affirmed findings of fact of the courts below, which we are “without power to review . . . if such findings are supported by evidence in the record” (*Congel v Malfitano*, 31 NY3d 272, 294 [2018], quoting *Humphrey v State of New York*, 60 NY2d 742, 743 [1983]). Specifically, the courts below found that the trails are “more similar to hiking trails than to roads” (175 AD3d 24, 28 [3d Dept 2019]). That finding is supported by evidence in the record; as the Appellate Division explained, “[a]lthough the width of Class II trails falls between the width of foot trails (which vary from two to eight feet wide) and forest roads (which are typically between 12 and 20 feet wide), the trails are

(n. cont’d)

meaning of *MacDonald*, particularly given that the construction of the Class II trails furthers the purpose of the Forever Wild provision. Specifically, as proposed, the construction at issue resulted in the rerouting of 46 miles of preexisting trails that ran through sensitive interior areas of the Preserve in order to close them to motorized use, which serves to protect the wild forest nature of the Preserve. Given the undisputed net benefit to the Preserve itself, the courts below correctly concluded that “construction of the Class II trails did not violate” the first sentence of “the ‘forever wild’ clause” (175 AD3d at 28). Apart from the construction techniques and ecological purpose of these trails, consideration of the use to which they will be put is also proper under *MacDonald*. *MacDonald* involved not just blasting, but also the clearing of thousands of trees for a “[s]port[] which require[s] a setting that is man-made [and] unmistakably inconsistent with the preservation of these forest lands in the[ir] wild and natural state” (228 App Div at 82). The Court explained that

“[t]he same plea made for the toboggan slide in winter might be made for the golf course in summer, or for other sports requiring the use or the removal of timber. In other words, this plea in behalf of sport is a plea for an open door through which abuses as well as benefits may pass” (253 NY at 242).

Those concerns are not present here because, as Supreme Court stated, “trails for access would appear to be the quintessential example of an appropriate use of the Preserve.” The trails do not irrevocably change the wild nature of the land affected, commoditize it in the manner of a “golf course” or “toboggan slide,” or encourage large, concentrated gatherings of sporting participants and spectators. Given the purpose and nature of these trails, together with the affirmed findings of fact that the trail construction techniques minimized adverse environmental impacts, it cannot be said the construction of the trails impaired the wild forest nature of the Preserve.

The majority’s conclusion to the contrary ignores the nearly 800 miles of similar trails already existing in the Preserve, the constitutionality of which is not disputed. Limiting public access to the Preserve on trails such as these, which are akin to

not paved or covered in gravel and are not crowned to divert water” (*id.* at 28).

hiking trails, defeats this Court's instruction in *MacDonald* that the Forever Wild provision "must receive a reasonable interpretation, considering the purpose and the object in view" (253 NY at 238). Because the majority's decision misapplies our precedent and undermines the very purpose of protecting the Forest Preserve for the benefit of the public seeking to access it in its wild forest state, I am compelled to dissent.

Judges FAHEY, GARCIA and WILSON concur; Judge STEIN dissents in an opinion, in which Chief Judge DiFIORE concurs.

Order affirmed, without costs.

[170 NE3d 728, 148 NYS3d 173]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v ERIC J. IVERSON, Respondent.

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v JACK J. CUCCERALDO, Respondent.

Argued and submitted May 4, 2021; decided May 27, 2021

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Term of the Supreme Court in the Second Judicial Department, Ninth and Tenth Judicial Districts, entered June 6, 2019. The Appellate Term (1) reversed, on the law, judgments of the District Court of Suffolk County, Suffolk County Traffic and Parking Violations Agency (Lewis Silverman, J.H.O.), which had convicted defendant, upon his failure to appear at trial, of uninsured operation of a motor vehicle and operating a motor vehicle upon a public highway while using a mobile telephone; (2) remitted any paid fines and surcharges; and (3) remitted the matters to District Court for further proceedings.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Term of the Supreme Court in the Second Judicial Department, Ninth and Tenth Judicial Districts, entered May 23, 2019. The Appellate Term (1) reversed, on the law, judgments of the District Court of Suffolk County, Suffolk County Traffic and Parking Violations Agency (Martin J. Kerins, J.H.O.), which had convicted defendant, upon his failure to appear at trial, of operating a motor vehicle without insurance, unlicensed operation of a motor vehicle, operating a motor vehicle upon a public highway while using a mobile telephone, and operating a motor vehicle without distinctive number license plates; (2) remitted any paid fines and surcharges; and (3) remitted the matters to District Court for further proceedings.

People v Iverson, 63 Misc 3d 163(A), 2019 NY Slip Op 50930(U), affirmed.

People v Cucceraldo, 64 Misc 3d 30, affirmed.

HEADNOTE

Motor Vehicles — Traffic Infractions — Default Judgment

A Traffic and Parking Violations Agency (TPVA) judicial hearing officer is not authorized under the Vehicle and Traffic Law to render a default judgment against a defendant charged with a traffic infraction who first enters a timely not guilty plea but then fails to appear for trial. A TPVA is a criminal court that operates as an arm or a branch of the district court of the county in which it is situated. As such, a TPVA has the same judicial authority as the district court to conduct trials, which are presided over by a judicial hearing officer. The text of Vehicle and Traffic Law § 1806-a (1) sets forth a straightforward rule regarding a court's authority to enter a default judgment in a traffic infraction prosecution: a "court having jurisdiction" may "enter a plea of guilty on behalf of the defendant and render a default judgment," which will be "civil in nature," only where that defendant "does not answer within the time specified"—that is, when the defendant fails to enter a plea on the charge by the date specified in the uniform traffic ticket. Conversely, then, the court having jurisdiction may not render a default judgment where the defendant timely answers the charge by entering a plea. As the statute expressly provides that, if the defendant "has entered a plea of not guilty and has demanded a hearing, no fine or penalty shall be imposed for any reason" prior to holding that hearing, a default judgment after a plea is prohibited. Accordingly, the Suffolk County TPVA did not have the statutory authority to render a default judgment against defendants, who were charged with certain traffic infractions, answered as required, pleaded not guilty to those charges, and demanded a trial, but then failed to timely appear for trial.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Automobiles and Highway Traffic § 923; AM
JUR 2d Judgments §§ 232, 261.
CARMODY-WAIT 2d Commencing the Prosecution; Grand
Jury §§ 178:1, 178:8.
McKINNEY'S, Vehicle and Traffic Law § 1806-a (1).
NY JUR 2d Automobiles and Other Vehicles §§ 972, 975;
NY JUR 2d Judgments § 120.

ANNOTATION REFERENCE

See ALR Index under Default Judgments; Traffic Offenses and Violations.

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POINTS OF COUNSEL

Suffolk County Traffic and Parking Violations Agency, Hauppauge (*Justin W. Smiloff* of counsel), for appellant in the first

above-entitled action. I. The Appellate Term misinterpreted Vehicle and Traffic Law § 1806-a (1) by concluding that the provisions thereof that require a city, village or town court to hold a hearing prior to imposing a fine or penalty after a defendant has pleaded not guilty and requested a hearing applies to a traffic and parking violations agency. (*Matter of Dolce v Nassau County Traffic & Parking Violations Agency*, 7 NY3d 492; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Pultz v Economakis*, 10 NY3d 542.) II. The Appellate Term incorrectly held that article 2-A of the Vehicle and Traffic Law only applies to traffic violations bureaus and is not applicable to traffic and parking violations agencies (TPVAs). Vehicle and Traffic Law §§ 225 and 227, which are contained in article 2-A, provide statutory authority for both traffic violations bureaus and TPVAs to enter a default conviction when a defendant fails to appear for trial. (*Matter of Dolce v Nassau County Traffic & Parking Violations Agency*, 7 NY3d 492.) III. In the event the Appellate Term's ruling is allowed to stand such will have a substantial negative impact on all involved in the criminal justice process as well as the general public.

Scott Lockwood, Deer Park, for defendant in the first above-entitled action. I. The law does not recognize the power of a local criminal court to enter a trial default. (*People v Epps*, 37 NY2d 343; *People v Bradner*, 107 NY 1; *People v Brooks*, 75 NY2d 898; *People v Parker*, 57 NY2d 136.) II. The reference to a city, village or town court in Vehicle and Traffic Law § 1806-a only regulates the timing of the hearing. III. Article 2-A of the Vehicle and Traffic Law is not applicable to a traffic and parking violations agency. IV. The use of the phrase "civil in nature" does not relate to the form of the action, but acts as a limitation on what sentences are permissible. (*People v Epps*, 37 NY2d 343; *People v Epakchi*, 31 NY3d 1007.) V. Policy determinations are for the legislature not the courts. (*People v Davidson*, 27 NY3d 1083.)

Suffolk County Traffic and Parking Violations Agency, Hauppauge (*Justin W. Smiloff* of counsel), for appellant in the second above-entitled action. I. The Appellate Term misinterpreted Vehicle and Traffic Law § 1806-a (1) by concluding that the provisions thereof that require a city, village or town court to hold a hearing prior to imposing a fine or penalty after a defendant has pleaded not guilty and requested a hearing applies to a traffic and parking violations agency. (*Matter of Dolce v Nassau*

County Traffic & Parking Violations Agency, 7 NY3d 492; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Pultz v Economakis*, 10 NY3d 542.) II. The Appellate Term incorrectly held that article 2-A of the Vehicle and Traffic Law only applies to traffic violations bureaus and is not applicable to traffic and parking violations agencies (TPVAs). Vehicle and Traffic Law §§ 225 and 227, which are contained in article 2-A, provide statutory authority for both traffic violations bureaus and TPVAs to enter a default conviction when a defendant fails to appear for trial. (*Matter of Dolce v Nassau County Traffic & Parking Violations Agency*, 7 NY3d 492.) III. In the event the Appellate Term's ruling is allowed to stand such will have a substantial negative impact on all involved in the criminal justice process as well as the general public.

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OPINION OF THE COURT

GARCIA, J.

Defendants in these two appeals were charged with certain traffic infractions. Each defendant answered as required, pleaded not guilty to those charges, and demanded a trial. Both defendants, however, failed to timely appear for trial. As a result, a judicial hearing officer with the Suffolk County Traffic and Parking Violations Agency rendered default judgments against each of them. We agree with the Appellate Term that entry of a default judgment was not authorized under these circumstances and, therefore, affirm.

The uniform traffic tickets issued to each defendant here instructed the recipient to appear before the District Court of Suffolk County, Suffolk County Traffic and Parking Violations

Agency (TPVA), on a specific date and time.¹ A TPVA, as we have said, is “a hybrid agency that exercises both prosecutorial and adjudicatory responsibilities” (*Matter of Dolce v Nassau County Traffic & Parking Violations Agency*, 7 NY3d 492, 498 [2006]). These agencies were created by the legislature with authority to handle routine traffic and parking violations, thereby reducing the caseload of the overburdened local courts (see L 1990, ch 496, § 1, as amended by L 2012, ch 388, § 1; General Municipal Law § 370; CPL 350.20 [5]; Vehicle and Traffic Law § 1690 [1]; *Matter of Dolce*, 7 NY3d at 495-498). A TPVA is a criminal court (see CPL 10.10) that operates as an “arm” or a “branch” of the district court of the county in which it is situated (*Matter of Dolce*, 7 NY3d at 495-498; see General Municipal Law § 371 [2]; CPL 350.20 [5]; Vehicle and Traffic Law § 1690 [1], [3]). As such, a TPVA has the same judicial authority as the district court to conduct trials, which are presided over by a judicial hearing officer (see Vehicle and Traffic Law § 1690 [1]-[3]). The rules of evidence apply; the People have the burden of proving guilt beyond a reasonable doubt; and any appeals go to the Appellate Term (see *id.*; *Matter of Dolce*, 7 NY3d at 495).

Defendants in these cases were prosecuted in district court.² Each defendant timely appeared before the TPVA, pleaded not guilty, and requested a trial. They were each given a document indicating the date and time of the trial with a warning of the repercussions for failure to appear: “THE COURT MAY ISSUE A WARRANT FOR YOUR ARREST OR PROCEED IN YOUR ABSENCE AND YOU WILL BE LIABLE FOR ANY SENTENCE AND/OR FEES IMPOSED, INCLUDING INCARCERATION, AND other penalties permitted by law.” Despite

1. In *Iverson*, defendant was issued two tickets charging him with uninsured operation of a motor vehicle and operating a motor vehicle upon a public highway while using a mobile telephone. In *Cucceraldo*, defendant was issued four tickets charging him with uninsured operation of a motor vehicle, unlicensed operation of a motor vehicle, operating a motor vehicle upon a public highway while using a mobile telephone, and operating a motor vehicle without distinctive number license plates.

2. Several towns on Long Island are governed by district courts, including the towns in which defendants were ticketed—Huntington and Islip (see Uniform Dist Ct Act §§ 102, 2401, 2501, 2611; Nassau County Charter §§ 2401, 2402, 2405; Suffolk County Charter § C25-1, C25-2, C25-3). Traffic infractions prosecuted in those towns therefore fall within the local TPVA’s jurisdiction—here, the Suffolk County TPVA (see General Municipal Law § 370 [3]; Vehicle and Traffic Law § 1690 [1]; Suffolk County Charter § C37-1).

the warning notice, defendants failed to timely appear on their respective trial dates. No attempt was made by the People to try defendants in absentia. Rather, a judicial hearing officer of the TPVA rendered default judgments against them and imposed fines.³

Each defendant appealed, arguing that, under Vehicle and Traffic Law § 1806-a, once defendant answered and pleaded not guilty, the TPVA did not have the authority to render a default judgment upon that defendant's failure to timely appear for trial. The Appellate Term agreed and reversed in each case (*see People v Iverson*, 63 Misc 3d 163[A], 2019 NY Slip Op 50930[U], *1-2 [App Term, 2d Dept, 9th & 10th Jud Dists 2019]; *People v Cucceraldo*, 64 Misc 3d 30, 31-32 [App Term, 2d Dept, 9th & 10th Jud Dists 2019]). In *Cucceraldo*, the Appellate Term also expressly rejected the People's argument that article 2-A of the Vehicle and Traffic Law authorized the TPVA to enter the default judgment, holding that article 2-A applies only to traffic violations bureaus, not to TPVAs (*Cucceraldo*, 64 Misc 3d at 32).

A Judge of this Court granted leave to appeal in each case.

The issue before us is whether a TPVA judicial hearing officer is authorized under the Vehicle and Traffic Law to render a default judgment against a defendant charged with a traffic infraction who first enters a timely not guilty plea but then fails to appear for trial. We answer that question in the negative.

"It is fundamental that a court, in interpreting a statute, should attempt to effectuate the intent of the Legislature" (*Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205, 208 [1976]). Accordingly, courts "look first to the statutory text, which is 'the clearest indicator of legislative intent'" (*Matter of New York County Lawyers' Assn. v Bloomberg*, 19 NY3d 712, 721 [2012]). In a manner consistent with the statutory text, this Court, in interpreting a statute, may also look to the "purpose of the legislation, which requires examination of the statutory context of the provision as well as its legislative history" (*Town of Aurora v Village of E. Aurora*, 32 NY3d 366, 372 [2018] [internal quotation marks omitted]). Ultimately, this Court should "give the statute a sensible and

3. Defendant, in *Iverson*, filed a CPL 440.10 motion seeking vacatur of his conviction for uninsured operation of a motor vehicle. The motion was granted on consent.

practical over-all construction, which is consistent with and furthers its scheme and purpose and which harmonizes all its interlocking provisions” (*Matter of Long v Adirondack Park Agency*, 76 NY2d 416, 420 [1990]).

The relevant section of the Vehicle and Traffic Law, titled “Default judgment in cases of failure to answer,” reads, in pertinent part, as follows:

“In the event a person charged with a traffic infraction does not answer within the time specified, the court having jurisdiction, other than a court in a city over one million population may, in addition to any other action authorized by law, enter a plea of guilty on behalf of the defendant and render a default judgment of a fine determined by the court within the amount authorized by law. Any judgment entered pursuant to default shall be civil in nature When a person has entered a plea of not guilty and has demanded a hearing, no fine or penalty shall be imposed for any reason, prior to the holding of the hearing which shall be scheduled by the court of such city, village or town within thirty days of such demand” (Vehicle and Traffic Law § 1806-a [1]).

The text of the statute sets forth a straightforward rule regarding a court’s authority to enter a default judgment: a “court having jurisdiction” may “enter a plea of guilty on behalf of the defendant and render a default judgment,” which will be “civil in nature,” only where that defendant “does not answer within the time specified”—that is, when the defendant fails to enter a plea on the charge by the date specified in the uniform traffic ticket (*id.*). Conversely, then, the court having jurisdiction may not render a default judgment where the defendant timely answers the charge by entering a plea (*see id.*). Indeed, the statute expressly provides that, if the defendant “has entered a plea of not guilty and has demanded a hearing, no fine or penalty shall be imposed for any reason” prior to holding that hearing—a default judgment after a plea is therefore prohibited (*id.*). The statute’s legislative history reinforces the rule articulated in the plain language of the text, making clear that the purpose of the statute was to “motivate an appearance and entry of a plea on the original charge” (Mem of Assn of Towns, July 3, 1984 at 2, Bill Jacket, L 1984, ch 841 at 36) and to allow a court “to obtain a judgment against a person who re-

fuses to answer a charge of a traffic violation” (Mem in Support of Legislation, Bill Jacket, L 1984, ch 841 at 5, 1984 NY Legis Ann at 276).

In each case before us, there is no dispute that defendant timely answered the charges by entering a plea of not guilty and demanding a trial. Therefore, contrary to the People’s claim, the unambiguous language of the statute makes clear that the TPVA—“the court having jurisdiction”—was prohibited from entering a default judgment against defendant.

Equally unavailing is the People’s reliance on article 2-A of the Vehicle and Traffic Law. Article 2-A, unlike Vehicle and Traffic Law § 1806-a, authorizes the entry of a default judgment against a defendant for failure to appear for trial (*see* Vehicle and Traffic Law §§ 226 [3]; 227 [4] [a]). However, article 2-A applies to the Traffic Violations Bureau (TVB), not to TPVAs.

The TVB was created by the legislature for a similar purpose as the TPVAs, namely to assist the overburdened criminal courts of New York City with the disposition of routine traffic and parking violations (*see* L 1969, ch 1074, §§ 1, 2). Unlike TPVAs, however, the TVB is not a criminal court (*see* CPL 10.10). It is instead an administrative tribunal where, in cities having a population of one million or more, traffic infractions may be disposed of in an administrative hearing held before a hearing officer appointed by the Commissioner of Motor Vehicles (*see* Vehicle and Traffic Law §§ 225 [1]; 227 [1]; *Matter of Rosenthal v Hartnett*, 36 NY2d 269, 271-272 [1975]; *see also* General Municipal Law § 371 [1]; 15 NYCRR 121.1-121.4). In contrast to trials conducted before TPVAs, hearings before the TVB are not governed by the CPL (*see* 15 NYCRR 121.2, 123.1). Moreover, the burden of proof for establishing a charge before the TVB is clear and convincing evidence (*see* Vehicle and Traffic Law § 227 [1]; 15 NYCRR 124.4)—rather than proof beyond a reasonable doubt—and the TVB’s determination is not subject to direct review by an appellate court, but rather is reviewed by an administrative appeals board, whose determination is then subject to judicial review only by way of a CPLR article 78 proceeding (*see* Vehicle and Traffic Law §§ 228, 260, 263; 15 NYCRR 126.1, 126.5).

Article 2-A expressly provides that the procedures set forth therein apply only “within a city having a population of one million or more *in which administrative tribunals have hereto-*

fore, been established” (Vehicle and Traffic Law § 225 [1] [emphasis added]). Accordingly, article 2-A, including the provision that authorizes the entry of an “order” against a defendant who requests a trial but then fails to appear (*see* Vehicle and Traffic Law §§ 226 [3]; 227 [4] [a]; 15 NYCRR 123.7 [d]), applies to only the TVB, an administrative tribunal, not to a TPVA, a criminal court.

The history of the legislature’s amendment of article 2-A reinforces this conclusion. The statute formerly provided that traffic violations occurring in either “a city having a population of two hundred thousand or more in which administrative tribunals have heretofore been established,” or within the “portion of Suffolk county for which a district court has been established, . . . may be heard and determined pursuant to the regulations of the commissioner as provided in this article” (former Vehicle and Traffic Law § 225 [1]). This version of the statute reflected the fact that, at the time, there was a TVB in Suffolk County (*see* Mem of Div of Budget, Bill Jacket, L 2012, ch 388 at 26; Letter from St of NY Dept of Motor Vehicles, Aug. 15, 2012, Bill Jacket, L 2012, ch 388 at 30). Later legislation created the TPVA, a criminal court that would serve as an arm of the Suffolk County District Court and replace the existing TVB (*see* General Municipal Law § 370 [3]; Suffolk County Charter § C37-1). In response to the creation of the TPVA in Suffolk County—the court at issue in the cases before us—the legislature amended article 2-A by deleting the language pertaining to the district court in Suffolk County (*see* L 2012, ch 388, § 8), indicating that the article was not intended to apply to the Suffolk County TPVA (*see Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55, 61 [2013] [“The Legislature, by enacting an amendment of a statute changing the language thereof, is deemed to have intended a material change in the law” (brackets and internal quotation marks omitted)]).

In sum, we hold that the TPVA did not have the statutory authority to render a default judgment against defendants. Accordingly, in each case, the order of the Appellate Term should be affirmed.

Chief Judge DiFiore and Judges Rivera, Stein, Fahey and Wilson concur.

In each case: Order affirmed.

[170 NE3d 733, 148 NYS3d 178]

CHARLENE SIMMONS, Appellant, v TRANS EXPRESS INC., Respondent.

Argued April 28, 2021; decided June 3, 2021

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review a question certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following question was certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “Under New York City Civil Court Act § 1808, what issue preclusion, claim preclusion, and/or res judicata effects, if any, does a small claims court’s prior judgment have on subsequent actions brought in other courts involving the same facts, issues, and/or parties? In particular, where a small claims court has rendered a judgment on a claim, does Section 1808 preclude a subsequent action involving a claim arising from the same transaction, occurrence, or employment relationship?”

HEADNOTE

Judgments — Res Judicata — Small Claims Judgment

Under NY City Civ Ct Act § 1808, small claims judgments do not have collateral estoppel or issue preclusive effect (with one exception), but such judgments may have the traditional res judicata or claim preclusive effect in a subsequent action involving a claim between the same adversaries arising out of the same transaction or series of transactions at issue in a prior small claims court action. The first clause of section 1808 states that “[a] judgment obtained [from small claims court] shall not be deemed an adjudication of any fact at issue or found therein in any other action or court.” Inasmuch as that provision refers narrowly and specifically to “an adjudication of any fact,” it is best interpreted as addressing only collateral estoppel. The second clause of section 1808, which mandates that the judgment in the second action “be reduced by the amount of [the small claims] judgment,” does introduce some ambiguity. However, the legislative history of the 2005 amendment to that statute, which removed the term “res judicata,” explained that the intent of section 1808 was to make clear that a small claims judgment has no collateral estoppel or issue preclusion effect in a subsequent proceeding so as to protect parties from any unforeseen consequences of the small claims proceeding. Given the equivocal text of NY City Civ Ct Act § 1808 and the legislative history of the 2005 amendment, it could not be concluded that the legislature intended to replace traditional claim preclusion analysis with a narrower form of the doctrine that would apply only where a plaintiff attempted to relitigate the exact same claim previously decided in small claims court.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Judgments §§ 492–496.
CARMODY-WAIT 2d Courts and Their Jurisdiction § 2:180;
CARMODY-WAIT 2d Judgments § 63:510.
MCKINNEY'S, New York City Civil Court Act § 1808.
NY JUR 2d Courts and Judges § 817; NY JUR 2d Judgments § 431.
SIEGEL, NY PRAC §§ 469, 585.

ANNOTATION REFERENCES

Res judicata as affected by limitation of jurisdiction of court which rendered judgment. 147 ALR 196.
Res judicata as affected by limitation of jurisdiction of court which rendered judgment. 83 ALR2d 977.

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POINTS OF COUNSEL

Abdul Hassan Law Group, PLLC, Queens Village (*Abdul K. Hassan* of counsel), for appellant. I. Appellant's interpretation of CCA 1808 is correct because as the Second Circuit observed, the statutory “text's plain meaning thus *strongly supports* [Charlene] Simmons's interpretation” (955 F3d 325, 329 [2020] [emphasis added]) and as this Court has repeatedly held, courts are bound by clear statutory text. (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Kimmel v State of New York*, 29 NY3d 386; *People v Williams*, 19 NY3d 100; *Matter of County of Chemung v Shah*, 28 NY3d 244.) II. Contrary to defendant's interpretation, even the title of CCA 1808 states that “res judicata” applies only in “certain cases”—not all cases—as further confirmed by several federal and state court decisions limiting res judicata to only situations involving the same claims as in small claims court. (*Katzab v Chaudhry*, 48 AD3d 428; *Merrimack Mut. Fire Ins. Co. v Alan Feldman Plumbing & Heating Corp.*, 102 AD3d 754; *McGee v J. Dunn Constr. Corp.*, 54 AD3d 1010; *Farbstein v Hicksville Pub. Lib.*, 323 F Supp 2d 414.) III. The bill jacket quoted by the District Court itself confirms that CCA 1808 only precludes the same claim as the one in small claims court—not related, separate and different

claims “involving the same facts, issues and parties.” (*McGee v J. Dunn Constr. Corp.*, 54 AD3d 1010.) IV. The structure and purpose of small claims court support plaintiff’s interpretation of CCA 1808.

McDermott Will & Emery LLP, Chicago (*Emory D. Moore, Jr.* of the Illinois bar, admitted pro hac vice, of counsel), for respondent. I. Post-2005, CCA 1808 imposes no limits on res judicata. (*New York Trust Co. v Eisner*, 256 US 345.) II. Authorities concur that today’s CCA 1808 imposes no limits on res judicata. (*Platon v Linden-Marshall Contr. Inc.*, 176 AD3d 409; *Chapman v Faustin*, 150 AD3d 647; *Katzab v Chaudhry*, 48 AD3d 428; *Merrimack Mut. Fire Ins. Co. v Alan Feldman Plumbing & Heating Corp.*, 102 AD3d 754; *Paramount Pictures Corp. v Allianz Risk Transfer AG*, 31 NY3d 64; *Clark v Haas Group, Inc.*, 953 F2d 1235, 506 US 832; *Cieszkowska v Gray Line N.Y.*, 295 F3d 204.) III. Today’s CCA 1808 bars Charlene Simmons’s claim without legislative amendment. (*Bright Homes v Wright*, 8 NY2d 157; *People v Boothe*, 16 NY3d 195; *Matter of New York State Ch., Inc., Associated Gen. Contrs. of Am. v New York State Thruway Auth.*, 88 NY2d 56; *De Angelis v Lutheran Med. Ctr.*, 58 NY2d 1053.) IV. Charlene Simmons misconstrues CCA 1808’s offset provision. V. Charlene Simmons misconstrues CCA 1808’s legislative history. (*People v Taylor*, 42 AD3d 13; *B & F Bldg. Corp. v Liebig*, 76 NY2d 689; *Kuzmich v 50 Murray St. Acquisition LLC*, 34 NY3d 84.)

OPINION OF THE COURT

STEIN, J.

Plaintiff commenced an action against defendant, her former employer, in a small claims part of Civil Court, seeking money damages arising out of the purported nonpayment of wages. Following a trial before a small claims arbitrator, the court awarded plaintiff \$1,000 “for unpd. OT,” plus \$20 in disbursements.¹ After defendant satisfied the small claims judgment, plaintiff commenced this action in the United States District Court for the Eastern District of New York, seeking additional damages based on defendant’s failure to pay her overtime wages in violation of federal and state law. Defendant moved to dismiss the complaint, asserting that the prior small claims

1. The record does not provide any additional information about the specific nature of the allegations or proof supporting plaintiff’s claim, or the reason(s) why she opted to commence a small claims action.

judgment barred the federal litigation under the doctrine of claim preclusion, also known as *res judicata*. As relevant here, plaintiff argued that NY City Civ Ct Act § 1808 rendered claim preclusion inapplicable to small claims judgments unless the subsequent action raised exactly the same claim or theory as the earlier action. The District Court rejected plaintiff's argument based in part on the legislative history of section 1808 (*see* 355 F Supp 3d 165, 169 [ED NY 2019]), and plaintiff appealed. Recognizing that this Court has never provided an interpretation of section 1808, the Second Circuit certified the following question: "Under New York City Civil Court Act § 1808, what issue preclusion, claim preclusion, and/or *res judicata* effects, if any, does a small claims court's prior judgment have on subsequent actions brought in other courts involving the same facts, issues, and/or parties? In particular, where a small claims court has rendered a judgment on a claim, does [s]ection 1808 preclude a subsequent action involving a claim arising from the same transaction, occurrence, or employment relationship?" (955 F3d 325, 331 [2d Cir 2020]).

This Court accepted the certified question pursuant to section 500.27 of our Rules of Practice (22 NYCRR 500.27) (35 NY3d 966 [2020]). We now conclude that, under NY City Civ Ct Act § 1808, small claims judgments do not have collateral estoppel or issue preclusive effect (with one exception), but such judgments may have the traditional *res judicata* or claim preclusive effect in a subsequent action involving a claim between the same adversaries arising out of the same transaction or series of transactions at issue in a prior small claims court action.

NY City Civ Ct Act article 18 governs small claims parts in New York City courts. Section 1808 provides that a judgment of the small claims part "shall not be deemed an adjudication of any fact at issue or found therein in any other action or court; except that a subsequent judgment obtained in another action or court involving the same facts, issues and parties shall be reduced by the amount" of the small claims judgment.² Plaintiff argues that NY City Civ Ct Act § 1808 limits the preclusive effect of small claims judgments; in plaintiff's view,

2. Identical language appears in each of the provisions governing small claims court in other Uniform Court Acts (*see* Uniform Justice Ct Act § 1808; Uniform Dist Ct Act § 1808; Uniform City Ct Act § 1808) and also in separate statutes governing commercial small claims (*see* NY City Civ Ct Act § 1808-A; Uniform Dist Ct Act § 1808-A; Uniform City Ct Act § 1808-A).

only those judgments resolving *the precise same claim or claims* raised in a later action may be given preclusive effect under the statute. In that regard, plaintiff contends that, by enacting section 1808, the legislature intended to abandon our transactional approach to claim preclusion as applied to small claims judgments. We disagree.

“Under *res judicata*, or claim preclusion, a valid final judgment bars future actions between the same parties on the same cause of action” (*Parker v Blauvelt Volunteer Fire Co.*, 93 NY2d 343, 347 [1999]; see *Matter of Reilly v Reid*, 45 NY2d 24, 28 [1978]). “One linchpin of *res judicata* is an identity of parties actually litigating successive actions against each other: the doctrine applies only when a claim *between* the parties has been previously ‘brought to a final conclusion’” (*City of New York v Welsbach Elec. Corp.*, 9 NY3d 124, 127 [2007], quoting *Parker*, 93 NY2d at 347). Importantly, the claim preclusion rule extends beyond attempts to relitigate identical claims. We have consistently applied a “transactional analysis approach” in determining whether an earlier judgment has claim preclusive effect, such that “once a claim is brought to a final conclusion, *all other claims arising out of the same transaction or series of transactions* are barred, even if based upon different theories or if seeking a different remedy” (*O’Brien v City of Syracuse*, 54 NY2d 353, 357 [1981] [emphasis added]; see e.g. *Matter of Hunter*, 4 NY3d 260, 269 [2005]; *Schuylkill Fuel Corp. v Nieberg Realty Corp.*, 250 NY 304, 306-307 [1929]). This rule is grounded in public policy concerns, including fairness to the parties, and is “intended to ensure finality, prevent vexatious litigation and promote judicial economy” (*Xiao Yang Chen v Fischer*, 6 NY3d 94, 100 [2005]; see e.g. *Matter of Hunter*, 4 NY3d at 269-270; *Matter of Hodes v Axelrod*, 70 NY2d 364, 372-373 [1987]).

Although the transactional approach casts a facially broad preclusive net, this Court has taken a pragmatic and flexible attitude toward claim preclusion, recognizing that the doctrine, “if applied too rigidly, could work considerable injustice” (*Matter of Reilly*, 45 NY2d at 28). Thus, to determine whether two claims arise out of the same transaction or series of transactions, we have held that courts should analyze whether the claims turn on facts that “‘are related in time, space, origin, or motivation, whether they form a convenient trial unit, and whether their treatment as a unit conforms to the parties’ expectations or business understanding or usage’” (*Xiao Yang*

Chen, 6 NY3d at 100-101, quoting Restatement [Second] of Judgments § 24 [2]; see e.g. *Smith v Russell Sage Coll.*, 54 NY2d 185, 192 [1981]). Ultimately, the application of the transactional approach to claim preclusion seeks to prevent litigants from taking two bites at the apple; however, “[i]n properly seeking to deny [litigants] two days in court, [we] must be careful not to deprive [them] of one” (*Matter of Reilly*, 45 NY2d at 28 [internal quotation marks and citation omitted]).

Collateral estoppel, or issue preclusion, is related to, but distinct from, the doctrine of res judicata. Collateral estoppel prevents “‘a party from relitigating in a subsequent action or proceeding an *issue* clearly raised in a prior action or proceeding and decided against that party . . . whether or not the . . . causes of action are the same’” (*Parker*, 93 NY2d at 349 [emphasis added], quoting *Ryan v New York Tel. Co.*, 62 NY2d 494, 500 [1984]; see *Schuylkill Fuel Corp.*, 250 NY at 306-307). The doctrine applies only where “the issue in the second action is identical to an issue which was raised, necessarily decided and material in the first action,” and the party who is being estopped “had a full and fair opportunity to litigate the issue in the earlier action” (*Parker*, 93 NY2d at 349; see e.g. *ABN AMRO Bank, N.V. v MBIA Inc.*, 17 NY3d 208, 226 [2011]; *Schwartz v Public Adm’r of County of Bronx*, 24 NY2d 65, 69-70 [1969]). As with claim preclusion, we have similarly cautioned against the mechanical application of issue preclusion (see e.g. *Jeffreys v Griffin*, 1 NY3d 34, 41 [2003]). Considering the facts of each case, a court must examine “‘the realities of litigation,’ such as recognition that if the first proceeding involved trivial stakes, it may not have been litigated vigorously” (*Staatsburg Water Co. v Staatsburg Fire Dist.*, 72 NY2d 147, 153 [1988], quoting *Gilberg v Barbieri*, 53 NY2d 285, 292 [1981]). We have explained that “the fundamental inquiry is whether relitigation should be permitted in a particular case in light of what are often competing policy considerations, including fairness to the parties, conservation of the resources of the court and the litigants, and the societal interests in consistent and accurate results” (*id.* at 153; accord *Buechel v Bain*, 97 NY2d 295, 304 [2001], *cert denied* 535 US 1096 [2002]).

With these well-established principles in mind, our analysis of NY City Civ Ct Act § 1808 begins with the statutory language itself because “[i]t is fundamental that a court, in interpreting a statute, should attempt to effectuate the intent

of the [l]egislature, and where the statutory language is clear and unambiguous, the court should construe it so as to give effect to the plain meaning of the words used” (*Patrolmen’s Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205, 208 [1976] [citations omitted]; see *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]). The first clause of section 1808 states that “[a] judgment obtained [from small claims court] shall not be deemed an adjudication of any fact at issue or found therein in any other action or court” (emphasis added). Inasmuch as this provision refers narrowly and specifically to “an adjudication of any fact,” it is best interpreted as addressing only collateral estoppel, which—as noted above—applies to bar relitigation of facts and identical issues that were decided in earlier actions and fully and fairly litigated by the estopped party, but may not preclude relitigation of related claims (see *Ryan*, 62 NY2d at 500).

However, the remaining language of the statute introduces some ambiguity. Specifically, the second clause of section 1808 expressly provides an exception to the first clause where “a subsequent judgment obtained in another action or court involv[es] the same facts, issues and parties” as a prior small claims court action (NY City Civ Ct Act § 1808). In that circumstance, the second clause mandates that the judgment in the second action “be reduced by the amount of [the small claims] judgment” (NY City Civ Ct Act § 1808), thereby incorporating a set-off provision that would, for example, preclude plaintiffs from obtaining a double recovery in an action against one defendant for the identical damages recovered in a prior small claims action against another defendant. Plaintiff points to the reference in the second clause to “facts, issues and parties” for the proposition that this broader language implies that section 1808 may address claim preclusion as well as issue preclusion. Stated differently, section 1808 is not a paragon of clarity.

In order to resolve ambiguity, we inquire into “the spirit and purpose of the legislation” by examining “the statutory context of the provision as well as its legislative history” (*Matter of Sutka v Conners*, 73 NY2d 395, 403 [1989]; see *New York State Bankers Assn. v Albright*, 38 NY2d 430, 434 [1975]). Prior to its amendment in 2005, former NY City Civ Ct Act § 1808 provided that “[a] judgment obtained under this article may be pleaded as *res judicata* only as to the amount involved in the

particular action and shall not otherwise be deemed an adjudication of any fact at issue or found therein in any other action or court” (emphasis added). Despite the reference to “res judicata,” some lower courts have read the former version of section 1808 “to divest the small claims judgment of its . . . collateral estoppel or issue preclusion use” only, not its claim preclusion effect (*Omara v Polise*, 163 Misc 2d 989, 990 [App Term, 2d Dept 1995] [internal quotation marks omitted]; see *Royster v Consolidated Edison*, 114 Misc 2d 529, 531-532 [Civ Ct, NY County 1982]; see also Siegel, New York Practice § 585 at 926 [2d ed 1991]).

Citing to these and other cases, the sponsor’s memorandum in support of the 2005 amendment codifying the current version of section 1808 commented that the term *res judicata* was removed from the statute because it was “inapposite,” inasmuch as that term “refer[red] to ‘claim preclusion,’ which is necessary to ensure finality of the proceeding” (see Sponsor’s Mem, Bill Jacket, L 2005, ch 443 at 3). Instead, “[t]he true intent of section 1808 [was] to make clear that a small claims judgment has *no collateral estoppel* or ‘*issue preclusion*’ effect in a subsequent proceeding so as to protect parties from any unforeseen consequences of the small claims proceeding,” and the dual purposes of the 2005 amendment to section 1808 were to “make[] that [intent] clear and harmonize[] the statutory provisions with case law” (*id.* [emphasis added]). Although there are other statements in the sponsor’s memo that, taken out of context, might be read to imply that the legislature also intended to clarify that a small claims judgment is to have limited *res judicata* effect, the statutory language does not clearly reflect such an intent. Critically, “[t]he [l]egislature is . . . presumed to be aware of the decisional . . . law in existence at the time of an enactment, and to have abrogated the common law only to the extent that the clear import of the language used in the statute requires” (*Arbegast v Board of Educ. of S. New Berlin Cent. School*, 65 NY2d 161, 169 [1985] [citation omitted]). Given the equivocal text of NY City Civ Ct Act § 1808 and the legislative history of the 2005 amendment, we simply cannot conclude that the legislature intended to replace traditional claim preclusion analysis with a narrower form of the doctrine that would apply only where a plaintiff at-

tempted to relitigate the exact same claim previously decided in small claims court.³

We are mindful that, for many citizens of New York, proceedings in small claims court—a legislatively-created subpart of courts that otherwise possess broader jurisdiction—will be their sole interaction with the judicial system, often without the advantage of legal representation. This underscores the necessity for easily comprehensible procedural rules. Although there may well be reasonable policy arguments in favor of further limiting the preclusive effect of small claims judgments beyond the express limitations imposed by NY City Civ Ct Act § 1808, those arguments—some of which are advanced by plaintiff and accepted by the dissent—are best made to the legislature, not the courts. As presently formulated, section 1808 abrogates only the common-law issue preclusive effect of small claims judgments (subject to the set-off provision); it does not limit the effect of claim preclusion, as we have traditionally applied that doctrine in other contexts. Consequently, a small claims judgment may preclude a subsequent claim between the same adversaries arising out of the same transaction or series of transactions as the prior action.

On this certified question, we do not resolve the question of whether the federal claims brought by this plaintiff are precluded by the prior small claims judgment. We leave that query to the federal courts, to be determined through application of our well-established, practical, and flexible transactional approach to claim preclusion.

Accordingly, the certified question should be answered in accordance with this opinion.

RIVERA, J. (dissenting). The Second Circuit has certified, and we have accepted, a question which asks us to elucidate the preclusive effect of a small claims court judgment under New York City Civil Court Act § 1808 on a subsequent action

3. Significantly, we do not hold, as the dissent claims, that section 1808 bars “all subsequent claims arising out of the same transaction or series of transactions that were or could have been raised in the small claims action” (dissenting op at 119). We conclude only that a small claims judgment may preclude a subsequent claim arising out of the same transaction or series of transactions as the prior action because section 1808 does not displace the common-law transactional approach to claim preclusion. In addition, we have no occasion on this appeal to pass upon the interrelationship between claim preclusion and this State’s permissive counterclaim rule (*see* dissenting op at 126 n 2).

brought in another court “involving the same facts, issues, and/or parties” (955 F3d 325, 331 [2d Cir 2020]). The section’s text, legislative history, and statutory purpose, and the small claims framework (intended for quick resolution of modest claims by pro se litigants) generally make clear that section 1808: (1) bars litigation in another court or action of an identical claim rejected on the merits in small claims court; and (2) permits subsequent litigation of a claim involving the same facts, issues, and parties which resulted in a judgment in favor of the prevailing party in the first action, but reduces any award in the second action by the amount of the small claims judgment. Preclusion is otherwise strictly prohibited.

I write separately because the majority interpretation is contrary to the legislative will, wrong on the law, and inevitably imposes a severe hardship on small claims pro se claimants—who, because they are unaware of their rights and in urgent need of money to meet their basic needs, or because they cannot afford lengthy and costly litigation, accept a quick and modest small claims payout rather than initially pursuing a larger award in another court.

I.

A.

Small claims court was designed for persons “who do[] not have an attorney and cannot afford to get involved in a long drawn-out confrontation” (*Hayden v L.I.L. Co.*, 116 Misc 2d 445, 447 [Nassau Dist Ct 1982]). Even in their earliest manifestations, New York’s small claims courts have required that “the practice and procedure . . . be simple, informal and inexpensive, for the prompt determination of” small claims (*Liberman v American Lumbermans Mut. Cas. Co.*, 203 Misc 816, 819 [Mun Ct, NY County 1953]). The purpose of the statutes that provide for small claims proceedings is, therefore, “to spare all sides the expense of an attorney” (Siegel & Connors, NY Prac § 581 [6th ed 2018]) by “operat[ing] on the basis of simplified practice . . . to do ‘substantial justice’” (*Royster v Consolidated Edison*, 114 Misc 2d 529, 533 [Civ Ct, NY County 1982] [citation omitted]; see also *Levins v Bucholtz*, 208 Misc 597, 599 [App Term, 1st Dept 1955] [“It is thus abundantly clear that the small claims court was devised to meet courageously and effectively the challenge of the small claim. Its history manifests its underlying philosophy—quick, simple and inexpensive justice”]).

In furtherance of this purpose, article 18 of the New York City Civil Court Act provides a forum for quick resolution of claims in a small claims part of the court, with jurisdiction limited to claims involving only modest amounts of money,¹ designed for unrepresented parties with limited resources, who have the option to proceed with binding and non-appealable arbitration before a court-appointed arbitrator (*see e.g.* NY City Civ Ct Act § 1801 [defining jurisdictional amount]; *id.* § 1802 [providing for the establishment of small claims parts and requiring that they serve as “a simple, informal and inexpensive procedure for the prompt determination of such claims in accordance with the rules and principles of substantive law”]). To ensure that unrepresented lay persons understand the proceedings, the court clerk must provide “information written in clear and coherent language” concerning small claims court procedures as well as an explanation of relevant terms and procedures (*see id.* § 1803 [b]). Significantly, the court is charged with “conduct[ing] hearings upon small claims in such manner as to do substantial justice between the parties according to the rules of substantive law and shall not be bound by statutory provisions or rules of practice, procedure, pleading or evidence” (*id.* § 1804).

Section 1808 balances the concerns of ensuring that legally unsophisticated, pro se litigants have adequate access to justice with the general need for finality in legal proceedings. Thus, section 1808 does not bar a prevailing party from seeking additional relief on the same claims resolved on the merits in the small claims action. However, the section does prevent that party from obtaining a financial windfall by “double dipping.” Moreover, as explicitly contemplated by section 1808, the prevailing party may pursue in a subsequent action those claims not previously litigated, even if arising from the same transaction or series of transactions involving “the same facts, issues and parties”—albeit subject to a reduction by the amount of the small claims judgment. This ensures that the prevailing party may seek their full remedy above the jurisdictional limits of small claims court, while preventing an unfair double recovery.

1. At the time plaintiff filed her small claims complaint, the court’s jurisdiction was limited to claims of \$5,000 or less. The jurisdictional maximum amount for small claims court in New York City was later raised to \$10,000 (*see* NY City Civ Ct Act § 1801).

B.

Plaintiff Charlene Simmons worked for defendant Trans Express Inc. as a driver in Queens, New York from 2012 to 2013 and again from 2016 to 2018, when defendant terminated her employment. She alleges that she worked for \$12.50 an hour, for 60-to-84 hours per week, five-to-seven days per week, without additional payment for overtime, as required by state and federal law. Shortly after she was fired, plaintiff filed a pro se complaint in small claims court against defendant for nonpayment of wages, requesting the \$5,000 maximum jurisdictional amount. The parties appeared before a small claims arbitrator, who awarded plaintiff \$1,000, without interest, and an additional \$20.00 in disbursements. The amount is approximately one to two weeks' pay at her regular \$12.50 hourly rate, without an overtime differential.

As plaintiff argued in her brief to the Second Circuit, when “faced with the . . . immediate and complete loss of her regular . . . wages, [she] filed an action in New York City Small Claims Court.” At oral argument before our Court, plaintiff’s counsel confirmed that plaintiff needed the money as quickly as possible and brought the small claims action for her prospective wages—what she would have earned if she had not been fired—to address her pressing financial needs. This is, presumably, the situation facing many claimants seeking relief in small claims court and is the scenario the legislature sought to address by providing for quick, inexpensive resolution of claims for damages that, while commonly considered modest in amount, are potentially of great significance to the claimant. Indeed, it was only six weeks from the time plaintiff filed her small claims action to when she received defendant’s \$1,020 check. If plaintiff had proceeded in the regular part of the court, she would likely have waited much longer to resolve the dispute, at a cost potentially higher than what the claim is worth. The legislature understood that costly proceedings discourage individuals from asserting their rights and, if the parties litigate, the actions consume judicial resources in excess of the small money awards.

Plaintiff, represented by counsel, subsequently filed this action against defendant in federal district court under the federal Fair Labor Standards Act and New York’s Labor Law for back pay and overtime for the hours she worked prior to her termination from employment. Defendant moved to dismiss, arguing that the small claims judgment is *res judicata* and

bars the claims asserted in the federal complaint. The District Court granted the motion, concluding that plaintiff's claims arise from the same or related facts as those in the small claims action and, therefore, could have been raised in the prior proceeding (*Simmons v Trans Express Inc.*, 355 F Supp 3d 165, 171 [ED NY 2019]).

Upon plaintiff's appeal, the Second Circuit noted that her "textual contentions have persuasive force" because section 1808 appears to contemplate plaintiff's subsequent litigation (955 F3d at 329). However, as our Court had not addressed the issue, the Second Circuit certified the question as to the preclusive effect, if any, of a small claims judgment on a subsequent action involving the same facts, issues and/or parties, especially the effect of section 1808 on a claim involving the same transaction, occurrence or employment relationship as the prior small claims judgment.

The majority correctly states that a small claims judgment has no collateral estoppel effect (majority op at 110). However, like the District Court below, the majority misinterprets section 1808 as a bar on all subsequent claims arising out of the same transaction or series of transactions that were or could have been raised in the small claims action (*id.* at 114-115). That conclusion is contrary to the text of section 1808, its statutory context, the statute's purpose, and the very legislative history that the majority relies on (*id.* at 113-114).

II.

As the majority acknowledges, the legislature can—and in fact did—abrogate the application of common-law preclusion principles to small claims judgments (*see id.* at 114, citing Sponsor's Mem, Bill Jacket, L 2005, ch 443 at 3). Section 1808 mandates that

"[a] judgment obtained under this article shall not be deemed an adjudication of any fact at issue or found therein in any other action or court; except that a subsequent judgment obtained in another action or court involving the same facts, issues and parties shall be reduced by the amount of a judgment awarded under this article."

The text thus makes clear that the legislature did not codify New York's transactional *res judicata* doctrine but instead adopted a narrower rule designed to serve the legislature's

goal of achieving substantial justice through the small claims adjudicatory framework.

The first sentence of section 1808 explicitly contemplates future litigation arising out of the same factual transactions and deprives factual adjudications in small claims court of preclusive effect in those subsequent actions. Thus, by its terms, section 1808 rejects traditional principles barring relitigation of an action arising out of the same transaction or series of transactions. The second sentence provides an exception but only as to the effect of a small claims judgment on a prevailing party's subsequent award in litigation involving the same facts, issues, and parties. Therefore, section 1808 bars only relitigation of an unsuccessful claim. A small claims adjudication has no effect on any other claim, except by way of a monetary set-off against the prevailing small claimant's future award.

Nowhere does the text of section 1808 indicate that the transactional approach to *res judicata* applies. To the contrary, as the majority acknowledges, section 1808 is designed to ensure that parties are not subject to unforeseen consequences of a small claims proceeding (majority op at 114, citing Sponsor's Mem, Bill Jacket, L 2005, ch 443 at 3). If, as the majority asserts, the legislature meant for traditional *res judicata* rules to apply to small claims court judgments, it would have said so explicitly (*see Cruz v TD Bank, N.A.*, 22 NY3d 61, 72 [2013] ["Put another way, if the legislature had intended to impose" a particular limitation, "it would have said so in the statute"]).

Although the majority invokes "statutory context" (majority op at 113), its analysis of that context is mistaken. The statutory framework provides that the small claims court "shall not be bound by statutory provisions or rules of practice, procedure, pleading or evidence" and that, instead, the small claims court "shall conduct hearings upon small claims in such manner as to do substantial justice between the parties according to the rules of substantive law" (NY City Civ Ct Act § 1804). Thus, the majority's assertion that the legislature did not "intend[] to replace traditional claim preclusion analysis" (majority op at 114) is a non sequitur, as that analysis has simply never been imported into the statutory framework of article 18. Instead, the legislature adopted a limited preclusion rule designed to further the substantial justice goals of small claims proceedings.

Additionally, section 1808 works in tandem with section 1810 and together they define the contours of a severely limited

statutory restriction on future litigation, a fact unaddressed by the majority. Section 1810 provides,

“If the clerk shall find that the procedures of the small claims part are sought to be utilized by a claimant for purposes of oppression or harassment, as where a claimant has previously resorted to such procedures on the same claim and has been unsuccessful after the hearing thereon, the clerk may in [their] discretion compel the claimant to make application to the court for leave to prosecute the claim in the small claims part. The court upon such application may inquire into the circumstances and, if it shall find that the claim has already been adjudicated, or that the claim is sought to be brought on solely for purposes of oppression or harassment and not under color of right, it may make an order denying the claimant the use of the small claims part to prosecute the claim.”

This language confirms that the legislature was concerned with the relitigation of unsuccessful claims and the misuse of the small claims forum for purposes of harassment, not with barring litigation of claims that were never asserted in small claims court or with relitigation of claims to obtain compensation up to the full measure provided by law (*see* Siegel & Connors, NY Prac § 585 [6th ed 2018] [“The small claims part has from time to time been used to harass a defendant with repetitious suits on the same dispute despite the claimant’s prior losses . . . A statute, section 1810 in the lower court acts, was passed to meet the problem”]).

The legislative history supports this interpretation. Prior to 2005, section 1808 provided, “A judgment obtained under this article may be pleaded as *res judicata* only as to the amount involved in the particular action and shall not otherwise be deemed an adjudication of any fact at issue or found therein in any other action or court.” In 2005, the legislature amended section 1808 to clarify that small claims judgments have limited preclusive effect. The memorandum in support of the amendment explains,

“Section 1808 of the New York City Civil Court Act and the other Uniform Court Acts currently provides that a small claims judgment may be pleaded as *res judicata* only as to the amount involved in the particular action and is not otherwise an

adjudication of any fact at issue or found in the small claims proceeding in any other action or court. The use of the term ‘res judicata’ is, however, inapposite. That term refers to ‘claim preclusion,’ which is necessary to ensure finality of the proceeding. The courts have consistently held that a small claims judgment is res judicata when the same claim is filed in another court. The true intent of section 1808 is to make clear that a small claims judgment has no collateral estoppel or ‘issue preclusion’ effect in a subsequent proceeding so as to protect the parties from any unforeseen consequences of the small claims proceeding. This amendment to section 1808 makes that clear and harmonizes the statutory provision with case law” (Sponsor’s Mem, Bill Jacket, L 2005, ch 443 at 3 [citations omitted]).

The supporting memorandum makes clear that the term “res judicata” was “inapposite,” not for the reasons suggested by the majority, but because the prior version of the statute unartfully used the term to refer to issue preclusion. The memorandum explains that the amendment corrects that misuse and clarifies that a small claims court judgment has no issue preclusive (or collateral estoppel) effect.

The memorandum also demonstrates that the amendment “harmonizes the statutory provision with the case law.” The cases cited in the memorandum make plain what the legislature understood the courts to have “consistently held” concerning the claim preclusive effect of a small claims judgment. For instance, in *64 W. Park Ave. Corp. v Parlong Realty Corp.* (77 Misc 2d 1019 [Sup Ct, Nassau County 1974]), Supreme Court held that the small claims judgment dismissing a counterclaim was a bar only to the *same* claims asserted in a subsequent action. “There being . . . a lack of identity in causes of action,” the small claims judgment “dismissing the counterclaim is not a *res judicata* bar to the first cause of action here. In contradistinction, the second and third causes of action here are virtual carbon copies of the [small claims court] counterclaim” (*id.* at 1022 [citations omitted]; *see also* NY Prac § 585 at 926 [2d ed 1991] [citing *64 W. Park* for the proposition that “res judicata . . . is the relevant doctrine . . . when the claim is the same” (emphasis added)]).

The holding in *64 W. Park* clarifies that the form of res judicata applicable to small claims court judgments is simply

not the traditional variant advocated by the majority. The court there expressly permitted litigation of claims in a subsequent action— notwithstanding that those claims arose out of the same transaction as the claims brought in the first action—for the sole reason that the claims were not identical (*id.*). As the majority recognizes, the legislature is presumed to be aware of the decisional law in existence at the time of enactment (*see* majority op at 114, citing *Arbegast v Board of Educ. of S. New Berlin Cent. School*, 65 NY2d 161, 169 [1985]). Indeed, here, there is no need to presume, as the legislature’s explicit citation to 64 *W. Park* as an example of what the courts had “consistently held” reveals that the legislature understood the res judicata effect of small claims judgments far more narrowly than the majority does, as do the rest of the legislature’s citations (*see e.g. Omara v Polise*, 163 Misc 2d 989, 990 [App Term, 2d Dept 1995] [“If plaintiff loses the small claims suit to defendant, the loss precludes plaintiff from suing defendant for the same cause again even in the regular part of the court. The attempt to duplicate the claim in full made it a ‘res judicata’ (‘claim preclusion’) situation, and the second action would be barred”]; *Hayden*, 116 Misc 2d at 451-452 [characterizing res judicata as “the well-settled doctrine of law that a judgment acts to bar a subsequent action raising the same cause of action” and noting that, under section 1808, “the small claims action is an adjudication as to the amount, not of any facts at issue”]; *Royster*, 114 Misc 2d at 532 [former Appellate Division Justice David B. Saxe, then a Civil Court Judge, holding that, because the small claims plaintiff sought “to duplicate the claim in full and therefore its relitigation” in Civil Court, the claim was barred by res judicata in accordance with section 1808]; *Rosen v Parking Garage*, 40 Misc 2d 178, 179 [Civ Ct, Bronx County 1963] [holding that a small claims judgment in favor of the defendant is a res judicata bar to the small claims plaintiff’s subsequent action on the same claim in the regular division of the Civil Court]).

Moreover, apart from 64 *W. Park*, the legislature’s citations are to cases in which plaintiffs *lost* in small claims court before attempting to bring the *same* claim in a subsequent action. In those cases, the courts determined that res judicata barred the subsequent suit. The legislature’s approving citation to these cases as the consistent holding of the New York courts underscores that, irrespective of the majority’s view of those cases, the legislature understood res judicata—both before and

after the 2005 amendment—to preclude only those claims identical to the ones that plaintiffs lost in small claims court (*see Omara*, 163 Misc 2d at 990 [“If plaintiff loses the small claims suit to defendant, the loss precludes plaintiff from suing defendant for the same cause again even in the regular part of the court”]; *Royster*, 114 Misc 2d 529, 531 [Civ Ct, NY County 1982] [“(I)f a plaintiff loses a small claims suit to a defendant, that loss precludes the plaintiff from suing the defendant for the same thing again even in the regular day session of the court”]; *Rosen*, 40 Misc 2d at 178-179 [holding that *res judicata* applied because “in the Small Claims Part of this court, the defendant was awarded judgment after trial before a Judge of this court”]).

The amendment thus left intact the consistent holding of the New York courts that, in the context of small claims actions, *res judicata* applies only “when the *same* claim is filed in another court” by the losing small claimant (Sponsor’s Mem, Bill Jacket, L 2005, ch 443 at 3 [emphasis added]). The majority displaces the legislative understanding of this case law in favor of its own.

III.

Notwithstanding the majority’s selective references to the legislative history and the unsupported spin on the legislature’s intent, it is clear that a small claims judgment has very limited preclusive effect in a subsequent action. That narrow bar makes perfect sense because, as discussed, the small claims statutory framework provides an easy and quick resolution of claims involving relatively small amounts of money for pro se claimants with limited resources, without foreclosing access to the courts to seek additional monetary and equitable relief.

The majority’s interpretation ignores this protective aspect of the small claims framework. Under the majority’s reading of section 1808, the small claims judgment is a pyrrhic victory, as the prevailing party, like plaintiff here, secures an immediate small award but forfeits a larger remedy. This is a particularly troubling result given that the small claims court could not have awarded the larger sum sought by plaintiff in her federal action. It is no answer that a party can simply pursue all claims in another court and thereby avoid the preclusive effect of a small claims judgment. That presumes that the party knows their options and is aware that they have claims for larger

amounts of money—unlikely if they are unrepresented and, due to exigency, have resorted to small claims court.

Notably, under the majority's interpretation, defendant (and other similarly positioned parties) escapes liability for alleged federal and state labor law violations. A thousand dollars is a small price to pay to avoid two years of unpaid overtime at time and a half. In contrast, the majority's rule deprives plaintiff of the full worth of her legal claims simply because she took advantage of a legal mechanism intended to benefit pro se litigants like her. The legislature certainly did not intend to set such a trap for the unwary nor to penalize a party with limited resources in dire need of the funds allegedly owed, all while allowing a defendant to avoid the full cost of its alleged violations.

IV.

Based on the text, purpose, and legislative history, section 1808 is properly understood to provide that a claim is precluded in a subsequent action when that claim is identical to the one asserted in the first action and was actually resolved against the plaintiff on the merits. With that exception, the parties are not barred from litigating other claims arising from the same facts in another court or action, but any future award is reduced by the amount of the small claims judgment. For example, if *P* sues *D* in small claims court and obtains a \$2,000 judgment, and thereafter *P* sues *D* in federal court on the same cause of action but for \$100,000, the potential recovery in the latter action would be limited to \$98,000 (i.e., \$100,000 - \$2,000). However, if *P* lost the small claims action, *P* cannot recover in federal court. This prevents *P* from getting two bites at the apple while also allowing *P* to seek monetary recovery to the full extent provided by law. And *D* is exposed to no greater legal liability than if *P* had initially commenced an action in a court without a jurisdictional dollar limit. Nor is *D* disadvantaged in pursuing its own claims. Thus, if *D* sues *P* in federal court for what would have been a counterclaim arising from the same facts as *P*'s small claims action, any facts adjudicated in the small claims proceeding are not given issue preclusive effect in federal court, and *D* is not subject to a reduction in any federal judgment awarded in *D*'s favor. Also, if *P* successfully counterclaims in *D*'s action, based on the same claim

adjudicated in the small claims action, *P*'s award will be reduced by \$2,000.²

That is what the legislature intended. The majority has disrupted that carefully balanced approach by misinterpreting section 1808. Now, it is for the legislature to take corrective action. Otherwise, individuals like plaintiff will find little substantial justice in small claims—or any other court.

Chief Judge DiFIORE and Judges FAHEY and GARCIA concur; Judge RIVERA dissents in an opinion, in which Judge WILSON concurs.

Following certification of a question by the United States Court of Appeals for the Second Circuit and acceptance of the question by the Court pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.27), certified question answered in accordance with the opinion herein.

2. Although a corporate defendant like Trans Express, Inc. could not assert a counterclaim in small claims court, the majority's interpretation of section 1808 appears to impose a mandatory counterclaim requirement on other defendants, in contravention of section 1805 (c), which allows but does not require the opposing party to file a counterclaim.

[170 NE3d 1189, 148 NYS3d 413]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v KENNETH SLADE, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v KIETH BROOKS, Also Known as KEITH BROOKS, Respondent.

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v CHARO N. ALLEN, Respondent.

Argued March 25, 2021; decided May 6, 2021

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Term of the Supreme Court in the First Judicial Department, entered June 6, 2019. The Appellate Term affirmed a judgment of the Criminal Court of the City of New York, Bronx County (Steven Hornstein, J., on motion to dismiss; Linda Poust Lopez, J., at trial and sentencing), which had convicted defendant, after a nonjury trial, of attempted assault in the third degree and harassment in the second degree.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Term of the Supreme Court in the First Judicial Department, entered June 3, 2019. The Appellate Term affirmed an order of the Criminal Court of the City of New York, Bronx County (Armando Montano, Jr., J.), which had granted defendant's motion to dismiss the accusatory instrument pursuant to CPL 30.30.

APPEAL, in the third above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Term of the Supreme Court in the Second Judicial Department, Ninth and Tenth Judicial Districts, entered May 30, 2019. The Appellate Term affirmed an order of the District Court of Suffolk County, First District (Toni A. Bean, J.), which had granted the branch of defendant's motion seeking to dismiss the accusatory instrument.

People v Slade, 63 Misc 3d 161(A), 2019 NY Slip Op 50893(U), affirmed.

People v Brooks, 63 Misc 3d 158(A), 2019 NY Slip Op 50859(U), reversed.

People v Allen, 63 Misc 3d 159(A), 2019 NY Slip Op 50869(U), reversed.

HEADNOTES**Crimes — Accusatory Instrument — Facial Sufficiency — Participation of Translator**

1. In the prosecution of defendant for assaulting his wife, the English-language misdemeanor complaint filed against defendant, which was signed by the victim after it was translated for her in Spanish, was facially sufficient because there was no hearsay defect apparent on the face of the document. There was no indication on the face of the first-party complaint that the victim had not read and understood it or was incapable of doing so. Although a certificate of translation was created at the same time as the complaint, it was not referenced or incorporated in that document and therefore the certificate could not be used to create a facial defect otherwise undetectable on the face of the accusatory instrument. No inquiry beyond the instrument's face was required or appropriate. Whether the allegation of an element of an offense is hearsay, rendering the information defective, is to be determined on a facial reading of the accusatory instrument. Moreover, the CPL does not require a certificate of translation, let alone a certificate in any particular form, to create a facially sufficient instrument. As the information was facially sufficient, the courts below properly denied defendant's CPL 30.30 motion.

Crimes — Accusatory Instrument — Facial Sufficiency — Participation of Translator

2. In the prosecution of defendant for driving while intoxicated, a misdemeanor, and other Vehicle and Traffic Law offenses after defendant rear-ended the witness's vehicle and fled without providing any identifying information, the English-language misdemeanor complaint filed against defendant, which had a supporting deposition signed by the witness after it was translated for him in Spanish, was facially sufficient because there was no hearsay defect apparent on the face of the document. The face of the complaint and the witness's supporting deposition gave no indication that the documents were translated for the witness or that he failed to read, have read to him, or understand the English-language documents. The four corners of the complaint, including the witness's accompanying supporting deposition, contained no indication of any translation or other potential hearsay defect. Although a certificate of translation was filed at the same time as the witness's supporting deposition, and was found by Criminal Court to be defective because it failed to state the translator's qualifications, it was not part of that supporting deposition or the complaint. Moreover, the CPL does not require a certificate of translation, let alone a certificate in any particular form, to create a facially sufficient instrument. As the information was facially sufficient, the courts below erroneously granted defendant's statutory speedy trial motion.

Crimes — Accusatory Instrument — Facial Sufficiency — Participation of Translator

3. In the prosecution of defendant for menacing in the second degree, a class A misdemeanor, after she allegedly threatened the complainant with a knife, the English-language misdemeanor information, which had a supporting deposition that included a representation that the complainant "had this statement consisting of [one] page read to [her] in Spanish" by a police officer and that she swore that it was the truth, was facially sufficient because there was no hearsay defect apparent on the face of the document. When evaluating the facial sufficiency of an accusatory instrument, no hearsay

defect exists where, as here, the four corners of the instrument indicate only that an accurate, verbatim translation occurred, and the witness or complainant adopted the statement as their own by signing the instrument after the translation. The complainant's deposition stated facts supporting the information in a first-person narrative and nothing on the face of the deposition provided any reason to doubt that a precise translation occurred. Therefore, the police officer's translation of the complainant's first-hand account did not create a level of hearsay for pleading purposes. Rather, the officer merely acted as a language conduit for the complainant's factual assertions. As the information was facially sufficient and no further documentation, including a certificate of translation, was necessary for conversion, defendant's motion to dismiss was therefore erroneously granted.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Indictments and Informations §§ 86, 93, 95.
CARMODY-WAIT 2d Commencing the Prosecution; Grand
Jury §§ 178:19, 178:27, 178:33.
LAFAYE, ET AL., CRIMINAL PROCEDURE (4th ed) § 19.3.
NY JUR 2d Criminal Law: Procedure §§ 994, 995, 1010.

ANNOTATION REFERENCE

See ALR Index under Indictments and Informations;
Translations.

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POINTS OF COUNSEL

Robert S. Dean, Center for Appellate Litigation, New York City (John L. Palmer of counsel), for appellant in the first above-entitled action. The court erred in denying Kenneth Slade's motion to dismiss under CPL 30.30 where the prosecution knew the complaint contained hearsay but failed to file a certificate of translation to convert the accusatory instrument for 2½ years. (People v England, 84 NY2d 1; People v Colon, 110 Misc 2d 917, 59 NY2d 921; People v Cortes, 80 NY2d 201; People v Weinberg, 34 NY2d 429; People v Worley, 66 NY2d 523; Matter of Edward B., 80 NY2d 458; People v Hernandez, 47 Misc 3d 51, 25 NY3d 1073; People v Maslowski, 58 Misc 3d 592; People v Rodriguez-Alas, 65 Misc 3d 914; People v Reyes, 60 Misc 3d 245.)

Darcel D. Clark, District Attorney, Bronx (Paul A. Andersen and Nancy D. Killian of counsel), for respondent in the first above-entitled action. The use of an interpreter when a deponent verifies an accusatory instrument does not add a layer of hearsay to that instrument, latent or otherwise. In any event, by only reviewing the face of the accusatory instrument for defects, the Appellate Term and motion court comported with explicit legislative mandate. (*People v Jeffries*, 19 NY2d 564; *People v James*, 4 NY2d 482; *United States v Lopez*, 937 F2d 716; *United States v Koskerides*, 877 F2d 1129; *People v Romero*, 78 NY2d 355; *United States v Da Silva*, 725 F2d 828; *United States v Ushakow*, 474 F2d 1244; *Matter of Edward B.*, 80 NY2d 458; *People v Casey*, 95 NY2d 354; *People v Konieczny*, 2 NY3d 569.)

Darcel D. Clark, District Attorney, Bronx (Paul A. Andersen, Nancy D. Killian and Peter D. Coddington of counsel), for appellant in the second above-entitled action. I. The legislature and this Court have continuously instructed reviewing courts to evaluate only facial defects at the pleading stage. Given that there was no defect apparent on the face of the instrument, it should have been deemed an information as a matter of law. (*People v Casey*, 95 NY2d 354; *Matter of Edward B.*, 80 NY2d 458; *People v Konieczny*, 2 NY3d 569; *People v Thomas*, 4 NY3d 143; *People v Hernandez*, 47 Misc 3d 51; *People v Romero*, 78 NY2d 355; *United States v Ushakow*, 474 F2d 1244; *People v Quan Hong Ye*, 67 AD3d 473; *United States v Da Silva*, 725 F2d 828; *Matter of Shaquana S.*, 9 AD3d 466.) II. Assuming, arguendo, that the lower court had the discretion to evaluate a facially sufficient instrument in order to address a perceived latent defect, the court's method here was unauthorized, unreasonable, and ultimately unwarranted. (*People v Parks*, 41 NY2d 36; *People v Towns*, 33 NY3d 326; *People v Arnold*, 98 NY2d 63; *People v Tapia*, 33 NY3d 257; *People v Douglas*, 162 AD3d 1212, 31 NY3d 1147; *People v Feingold*, 7 NY3d 288; *People v Prado*, 4 NY3d 725; *People v Grimes*, 32 NY3d 302; *People v Smith*, 27 NY3d 643; *People v Ramos*, 85 NY2d 678.)

Janet E. Sabel, The Legal Aid Society, New York City (Elizabeth Isaacs and Jonathan Garelick of counsel), for respondent in the second above-entitled action. Where it was readily apparent from the prosecutor's own filings that a witness required English to Spanish translation to understand the contents of a misdemeanor complaint and verify the supporting deposition, the court correctly required an affidavit stating the qualifica-

tions of the person who provided that translation, and when the prosecutor refused to comply and instead allowed speedy trial time to elapse, the court properly granted the motion to dismiss. (*People v Colon*, 59 NY2d 921; *People v Alejandro*, 70 NY2d 133; *Matter of Neftali D.*, 85 NY2d 631; *People v Hernandez*, 47 Misc 3d 51; *People v Maslowski*, 58 Misc 3d 592; *People v Banchs*, 173 Misc 2d 415; *Matter of Edward B.*, 80 NY2d 458; *Matter of Shirley v Schulman*, 78 NY2d 915; *People v Sullivan*, 56 NY2d 378; *People v Rodriguez-Alas*, 65 Misc 3d 914.)

Timothy D. Sini, District Attorney, Riverhead (*Lauren Tan* of counsel), for appellant in the third above-entitled action. There is no statutory basis for requiring affidavits of translation for supporting statements provided by non-English literate witnesses to support facially sufficient accusatory instruments. (*People v Hernandez*, 47 Misc 3d 51; *People v Alejandro*, 70 NY2d 133; *People v Casey*, 95 NY2d 354; *People v James*, 4 NY2d 482; *Andre v Pomeroy*, 35 NY2d 361; *People v Thomas*, 4 NY3d 143; *People v Konieczny*, 2 NY3d 569; *Matter of Nelson R.*, 90 NY2d 359; *People v Carpenter*, 65 Misc 3d 132; *People v Gordon*, 88 NY2d 92.)

Laurette D. Mulry, *The Legal Aid Society of Suffolk County*, Riverhead (*Felice Milani* and *Edward E. Smith* of counsel), for respondent in the third above-entitled action. I. Absent a valid certificate of translation, the accusatory instrument was insufficient because it relied exclusively on a statement which, on its face, revealed that it was hearsay. (*People v Casey*, 95 NY2d 354; *Matter of Edward B.*, 80 NY2d 458; *People v Austin*, 30 NY3d 98; *Matter of Rodney J.*, 83 NY2d 503; *People v Alejandro*, 70 NY2d 133; *People v Hernandez*, 47 Misc 3d 51; *People ex rel. Livingston v Wyatt*, 186 NY 383.) II. Whether or not the police-transcribed statement is hearsay, the District Court correctly dismissed the accusatory instrument because the prosecution also violated CPLR 2101 (b). (*People v White*, 73 NY2d 468; *People v Santi*, 3 NY3d 234; *People v Pabon*, 28 NY3d 147; *Matter of New York State Assn. of Criminal Defense Lawyers v Kaye*, 96 NY2d 512; *People v Ryan*, 274 NY 149; *Bob Jones Univ. v United States*, 461 US 574; *National Puerto Rican Day Parade, Inc. v Casa Pubs., Inc.*, 79 AD3d 592; *Polish Am. Immigration Relief Comm. v Relax*, 172 AD2d 374; *People v Keschner*, 25 NY3d 704; *Ivey v State of New York*, 80 NY2d 474.) III. The prosecution's belated annexation of the certificate of translation to its opposition papers violated CPL 100.50 (3) and 170.65 (1) and therefore failed to cure the defect. (*People v*

Warren, 17 Misc 3d 27; *People v Hardy*, 63 Misc 3d 6, 33 NY3d 976; *Town of Aurora v Village of E. Aurora*, 32 NY3d 366; *People v Harper*, 37 NY2d 96; *People v Weinberg*, 34 NY2d 429; *People v Thomas*, 4 NY3d 143; *People v Perry*, 87 NY2d 353.)

OPINION OF THE COURT

GARCIA, J.

In these three appeals, defendants challenge the facial sufficiency of the accusatory instrument filed against them, arguing that participation of a translator in the process of documenting the information from first-party witnesses with limited-English proficiency created a hearsay defect requiring dismissal of the instrument. In the first two cases, applying our well-settled precedent, we hold that no facial defect was evident within the four corners of the accusatory instrument. Moreover, even in the third case where the participation of a translator was documented within the witness's supporting affidavit, we conclude that no additional layer of hearsay was created by the use of a translator and therefore that accusatory instrument too was facially sufficient. Defendants have a right to be prosecuted by an information that meets all statutory requirements, as was the case here, but we decline to impose additional barriers to participation in the process for victims with limited-English proficiency.

I.

a. Kenneth Slade

Slade assaulted his wife (the victim) at the home they shared and was charged in a misdemeanor complaint with assault in the third degree, a class A misdemeanor, and harassment in the second degree, a violation. The victim, as the deponent, asserted the following in the complaint:

“at the above time and place, while she was seated in a chair [Slade] grabbed her by both her arms and lifted her off of the chair then threw her back onto the chair. . . .

“[A]s a result of [Slade's] aforementioned actions she experienced bruising, swelling, and substantial pain to both arms and lower back and experienced annoyance, alarm, and fear for her physical safety.”

The victim verified the complaint by signing it beneath the

form notice stating that false statements made therein were punishable as a class A misdemeanor (*see* CPL 100.30 [1] [d]). In a certificate of translation, prepared on the same day as the complaint, a translator stated that she translated the English-language complaint to the victim, including the form notice, in Spanish and that the victim confirmed to the translator that she understood what was translated.

At Slade’s arraignment, the People announced that they were ready for trial, relying on the first-party complaint. However, the People did not file or serve the certificate of translation at that time, only doing so more than two years later upon Slade’s request for the document. Slade thereafter moved to dismiss the accusatory instrument on statutory speedy trial grounds, arguing that the People’s statements of readiness were illusory because the filing of the certificate was necessary to convert the complaint into an information (*see People v Colon*, 110 Misc 2d 917, 920 [Crim Ct, NY County 1981] [“the People cannot be ready for trial . . . if they have not converted the complaint() to (a) jurisdictionally sufficient information()”], *revd* 112 Misc 2d 790 [App Term, 1st Dept 1982], *revd and Crim Ct order reinstated for reasons stated therein* 59 NY2d 921 [1983]). Criminal Court denied the motion and, following a bench trial, found Slade guilty of attempted assault in the third degree and harassment in the second degree and imposed sentence.

The Appellate Term affirmed, concluding, as relevant here, that “the first-party complaint signed by” the victim “needed no certificate of translation for conversion to an information, since there was no indication on the face of the instrument that [she] had not read and understood it or was incapable of doing so” (63 Misc 3d 161[A], 2019 NY Slip Op 50893[U], *1 [App Term, 1st Dept 2019]). A Judge of this Court granted Slade leave to appeal (*see* 34 NY3d 984 [2019]).

b. Kieth Brooks (also known as Keith Brooks)

The People filed an English-language misdemeanor complaint charging Brooks with driving while intoxicated, a misdemeanor, and other Vehicle and Traffic Law offenses. The deponent, a police officer, stated that a witness related the following: that he saw Brooks operating a van, that the van rear-ended the witness’s vehicle, and that Brooks fled without providing any identifying information. The deponent police officer claimed, based on his own observation, that Brooks exhibited signs of intoxication and that he was present when Brooks refused a breathalyzer test.

The People were not ready at arraignment because they lacked supporting depositions from the witness and another police officer. Later, the People simultaneously filed an off-calendar statement of readiness, the two outstanding supporting depositions, and a certificate of translation. The witness's supporting deposition stated that he had "read the complaint" and that the facts attributed to him in that document pertaining to Brooks's operation of the van and actions after the crash were "true upon [his] personal knowledge." The witness signed the deposition under a form notice stating that false statements made therein were punishable as a class A misdemeanor, as required for verification (*see* CPL 100.30 [1] [d]). In the certificate, a translator said that she translated the English-language "accusatory instrument" to the witness, including the form notice, in Spanish and that the witness confirmed to the translator that he understood what was translated.

At a subsequent calendar call, Criminal Court determined that the certificate of translation was defective because it failed to state the translator's qualifications. As a result, the court concluded that the complaint was not converted to an information and that the People would be charged speedy trial time until they filed a proper affidavit of translation. After the People refused to take any additional steps to convert the complaint on the ground that no further action was required by the CPL to effectuate conversion, the court granted Brooks's motion to dismiss the accusatory instrument on statutory speedy trial grounds.

The Appellate Term affirmed, concluding that Criminal Court "providently exercised its discretion in requiring a proper certificate of translation to be produced in order to convert the complaint into an information" because the People "provided sufficient indicia" of the witness's inability to understand English when they filed the translator's statement with the supporting deposition (63 Misc 3d 158[A], 2019 NY Slip Op 50859[U], *1 [App Term, 1st Dept 2019]). The court further determined that the certificate of translation filed by the People failed to convert the complaint within the speedy trial period because the certificate "did not comply with CPLR 2101(b)" (*id.*, citing Uniform Rules for Trial Cts [22 NYCRR] § 200.3). A Judge of this Court granted the People leave to appeal (*see* 34 NY3d 979 [2019]).

c. Charo N. Allen

Allen was charged with menacing in the second degree, a class A misdemeanor, after she allegedly threatened a restaurant worker (the complainant) with a knife. A police officer drafted the English-language misdemeanor information, which stated that the charge was based on the complainant's sworn statement to the effect that Allen, a customer at the restaurant where the complainant was working, became angry because the complainant informed her that she could not leave the establishment with an alcoholic beverage. The situation escalated, and Allen allegedly threatened the complainant with a steak knife. The deposition includes a representation that the complainant "had this statement consisting of [one] page read to [her] in Spanish" by a police officer and that she swore that it was the truth. The complainant verified the deposition by signing it under a form notice stating that false statements made therein were punishable as a class A misdemeanor (*see* CPL 100.30 [1] [d]).

Allen moved to dismiss the accusatory instrument as facially insufficient, contending that the translation created a layer of hearsay that the People failed to appropriately remedy. In opposition, the People filed an affidavit of translation executed by the officer who translated the deposition. He swore that he understood English and Spanish and that the complainant's statement was a true and accurate translation by him of the complainant's spoken Spanish statement. The officer averred that he translated the written English statement into Spanish for the complainant and she signed the deposition after confirming its accuracy.

The District Court adjourned Allen's motion and directed the People to file a superseding information that included: (1) a verified affidavit from the complainant "in the language of said individual," including a verification in that language; (2) an English translation of that document; and (3) an affidavit by the translator stating his qualifications and attesting to the accuracy of the translation, as purportedly required by CPLR 2101 (b). The People ultimately declined to do so, and the court dismissed the matter on facial sufficiency grounds.

The Appellate Term affirmed (*see* 63 Misc 3d 159[A], 2019 NY Slip Op 50869[U], *3 [App Term, 2d Dept, 9th & 10th Jud Dists 2019]). The court explained that there was no evidence that the complainant "had reviewed her written English state-

ment for its truth and accuracy” and, therefore, “a certificate of translation was required to cure the hearsay defect, since the written English statement was being used to support the accusatory instrument” (*id.* at *2 [internal quotation marks and citation omitted]). A Judge of this Court granted the People leave to appeal (*see* 34 NY3d 978 [2019]).

II.

A misdemeanor complaint “serves merely as the basis for commencement of a criminal action, permitting court arraignment and temporary control over the defendant’s person where there is as yet no *prima facie* case” (*People v Weinberg*, 34 NY2d 429, 431 [1974]). To proceed with a prosecution, however, a misdemeanor complaint must be replaced by an information. Simply stated, the requirements for the factual portion of a local criminal court information are:

“that it state facts of an evidentiary character supporting or tending to support the charges; that the allegations of the factual part . . . together with those of any supporting depositions . . . provide reasonable cause to believe that the defendant committed the offense charged; and that the non-hearsay allegations of the information and supporting depositions establish, if true, every element of the offense charged and the defendant’s commission thereof” (*People v Casey*, 95 NY2d 354, 360 [2000] [internal quotation marks, citations, and brackets omitted]).

At issue in these appeals is the last of the listed requirements, namely that nonhearsay allegations, if true, support a *prima facie* case. This requirement is meant to “protect a defendant against groundless criminal proceedings by providing reasonable guarantees against baseless prosecutions not predicated on probable cause” (*id.* at 363 [internal quotation marks and citation omitted]). That protection was amply afforded by the first-person allegations made in each of the accusatory instruments at issue here.

a. Slade and Brooks

We can resolve the challenges to the accusatory instruments in *Slade* and *Brooks* by applying our well-settled rules regarding facial sufficiency. As we recently reiterated, “in evaluating the sufficiency of an accusatory instrument,” a court does “not

look beyond its four corners (including supporting declarations appended thereto)” (*People v Hardy*, 35 NY3d 466, 475 [2020]; see CPL 100.15 [3]; 100.40 [1] [c]; *People v Thomas*, 4 NY3d 143, 146 [2005]). Courts must “not rely on external factors to create jurisdictional defects not evident from the face of the” accusatory instrument (*People v Konieczny*, 2 NY3d 569, 576 [2004]). Instead, “[w]hether the allegation of an element of an offense is hearsay, rendering the information defective, is to be determined on a facial reading of the accusatory instrument” (*Casey*, 95 NY2d at 361).

Defects that do not appear on “the face of the” accusatory instrument are “latent deficienc[ies]” that do not require dismissal (*Matter of Edward B.*, 80 NY2d 458, 463 [1992]; see *Matter of Nelson R.*, 90 NY2d 359, 363 [1997]). In *Matter of Edward B.*, we considered whether an accusatory instrument that was “supported in relevant part only by hearsay [was] jurisdictionally defective and must be dismissed . . . when the hearsay character of the facts alleged in the supporting deposition [was] not facially apparent but [was] discovered at some point in the course of the proceeding” (80 NY2d at 460-461). The hearsay defect, an assistant corporation counsel’s unconfirmed summary of the complainant’s statement, was first discovered by the respondent during the fact-finding hearing on the juvenile delinquency petition. We concluded that, although there was indeed a hearsay defect in light of the assistant’s actions “in editing and revising the complainant’s version of events before transcribing it,” the defect was properly classified as a latent deficiency because “the claimed flaw” was “not apparent from the face of the instrument itself” (*id.* at 462-463). Explaining that the relevant Family Court Act provisions were analogous to the provisions of the CPL governing facial sufficiency, which permit dismissal only if the error is apparent from the face of the accusatory instrument (see CPL 100.40), we held that “latent deficiencies in the accusatory instrument that are revealed during the trial or hearing do not provide a ground for mandatory dismissal” (see *Matter of Edward B.*, 80 NY2d at 465). *Matter of Edward B.* therefore specifically rejected the notion that a latent deficiency renders a facially sufficient accusatory instrument a nullity. We later made clear that the holding in *Matter of Edward B.* was not limited to latent deficiencies discovered during a trial or fact-finding hearing (see *Matter of Nelson R.*, 90 NY2d at 361-363 [latent deficiency identified prior to the fact-finding hearing did

not render the petition facially insufficient and, therefore, did not mandate prehearing dismissal]), nor was it limited to Family Court proceedings (see *Casey*, 95 NY2d at 361 [applying *Matter of Edward B.* to criminal proceedings]).¹ In sum, “[n]either the statutes establishing the criteria for accusatory instruments . . . nor the policies underlying those statutes suggest that an inquiry beyond the facial validity” of the accusatory instrument “is necessary or even appropriate” (*Matter of Edward B.*, 80 NY2d at 465).

[1] Slade argues that the English-language misdemeanor complaint filed against him contained hearsay because the complaint did not set forth the victim’s personal knowledge and observations, but rather was merely the translator’s interpretation of her statement. Even assuming that an accurate translation creates a layer of hearsay for pleading purposes, a contention we reject in the next section, the accusatory instrument here is facially sufficient because, as in *Matter of Edward B.*, there is no hearsay defect apparent on the face of the document. As the Appellate Term concluded, “there was no indication on the face of the” first-party complaint that the victim “had not read and understood it or was incapable of doing so” (2019 NY Slip Op 50893[U], *1; see *Matter of Shaquana S.*, 9 AD3d 466, 466 [2d Dept 2004]). Although a certificate of translation was created at the same time as the complaint, it was not referenced or incorporated in that document and therefore the certificate cannot be used to create a “facial defect” otherwise undetectable on the face of the accusatory instrument. No inquiry beyond the instrument’s face is required or appropriate.

[2] Brooks alleged a latent deficiency—and made his speedy trial motion—earlier in the pretrial proceedings than Slade. Irrespective of the timing of its discovery, however, a latent deficiency in a facially sufficient accusatory instrument does not mandate dismissal (see *Matter of Nelson R.*, 90 NY2d at 361-363). As in *Slade*, the face of the complaint and the witness’s supporting deposition in *Brooks* give no indication that the documents were translated for the witness or that he failed to read, have read to him, or understand the English-language documents. And, as with *Slade*, the four corners of the

1. Our dissenting colleague is incorrect in his assertion that we rely on “a couple of cases decided under the Family Court Act” in articulating this rule (Wilson, J., dissenting op at 162).

complaint, including the witness's accompanying supporting deposition, contain no indication of any translation or other potential hearsay defect.

Although the certificate of translation was filed at the same time as the witness's supporting deposition, it is not part of that document. Nor is it part of the complaint.² Brooks's attempt to use an external factor, the certificate, to establish a hearsay defect not evident on the face of the complaint and supporting depositions fails to raise any facial deficiency and must therefore be rejected.

Moreover, the CPL does not require a certificate of translation, let alone a certificate in any particular form, to create a facially sufficient instrument (*see* CPL 100.15; 100.40 [1]). The Uniform Rules for Trial Courts generally direct courts exercising criminal jurisdiction to “comply[] with the applicable provisions of CPLR 2101” (22 NYCRR 200.3; *see* CPLR 2101 [b] [“Where an affidavit or exhibit annexed to a paper served or filed is in a foreign language, it shall be accompanied by an English translation and an affidavit by the translator stating (their) qualifications and that the translation is accurate”]). However, the specific rules applicable to facial sufficiency of misdemeanor informations are found in the CPL and the governing provisions do not require a certificate of translation or the affidavit of a translator. CPLR 2101 (b) cannot be used to override those specific requirements (*see People v Douglas*, 162 AD3d 1212, 1214 [3d Dept 2018], *lv denied* 31 NY3d 1147 [2018]), and we decline to effect that result by judicial fiat (*see* Rivera, J., dissenting op at 157-158; *but see* Wilson, J., dissenting op at 161 n 2).³

As both informations were facially sufficient, we hold that the courts below properly denied Slade's CPL 30.30 motion, but erroneously granted Brooks's statutory speedy trial motion.

b. Allen

[3] While the accusatory instruments in *Slade* and *Brooks* contain no facial indication that a translation occurred, in *Al-*

2. The certificate of translation is not a supporting deposition. It was not verified by the translator and, in any event, it does not contain factual allegations of an evidentiary character that support the complaint's charges (*see* CPL 100.20).

3. Given our conclusion, we need not address the reviewability or merits of the People's argument that Uniform Rules for Trial Courts (22 NYCRR) § 200.3 violates the New York Constitution.

len, the complainant stated in her supporting deposition that she had the one-page English-language statement read to her in Spanish by a police officer. Allen argues that this creates an additional layer of hearsay, and that the hearsay character of the facts alleged in the supporting deposition is therefore facially apparent. We disagree.

Hearsay, of course, is “an out-of-court statement admitted for the truth of the matter asserted” (*People v Buie*, 86 NY2d 501, 505 [1995]), and the hearsay rule generally prohibits the introduction of such statements at trial (see *People v Salko*, 47 NY2d 230, 239 [1979]). In the accusatory instrument context, the focus is on whether the person making the statement had firsthand personal knowledge of the events described or whether the third-party statement falls within a hearsay exception (see *Casey*, 95 NY2d at 361; *Matter of Edward B.*, 80 NY2d at 462-463). The issue here is whether a witness’s use of a translator creates a layer of hearsay that runs afoul of the CPL’s facial sufficiency requirements for misdemeanor informations.

Other courts have grappled with the applicability of the hearsay rule to testimony related through an interpreter. In the context of trial testimony by a witness relating to statements that were interpreted to him, the Second Circuit concluded that, “[e]xcept in unusual circumstances, an interpreter is ‘no more than a language conduit and therefore [the interpreter’s] translation [does] not create an additional [layer] of hearsay’ ” (*United States v Lopez*, 937 F2d 716, 724 [2d Cir 1991], quoting *United States v Koskerides*, 877 F2d 1129, 1135 [2d Cir 1989]; see *United States v Martinez-Gaytan*, 213 F3d 890, 892 [5th Cir 2000]). Courts have applied this rule to declarants when “[t]here is nothing in the record to suggest that the interpreter had any motive to mislead or distort, and there is no indication that the translation was inaccurate” (*Koskerides*, 877 F2d at 1135). Put another way, in those circumstances, the interpreter is treated as the declarant’s agent (see *Lopez*, 937 F2d at 724; *United States v Da Silva*, 725 F2d 828, 831-832 [2d Cir 1983]; see also *People v Quan Hong Ye*, 67 AD3d 473, 473 [1st Dept 2009], *lv denied* 14 NY3d 804 [2010]). This Court has signaled that the “agency rationale” is a “tenable theory for admitting interpreted testimony” (*People v Romero*, 78 NY2d 355, 362 [1991]).

We conclude that, when evaluating the facial sufficiency of an accusatory instrument, no hearsay defect exists where, as

here, the four corners of the instrument indicate only that an accurate, verbatim translation occurred, and the witness or complainant adopted the statement as their own by signing the instrument after the translation (*see Matter of Shaquana S.*, 9 AD3d at 466-467; *People v Ventura*, 250 AD2d 403, 404 [1st Dept 1998], *lv denied* 92 NY2d 931 [1998]; *cf. Matter of Edward B.*, 80 NY2d at 463 [supporting deposition contained latent hearsay defect even though the complainant signed the document because the complainant “had never read—nor been read—its contents”]). In *Allen*, the complainant’s deposition states facts supporting the information in a first-person narrative and nothing on the face of the deposition provides any reason to doubt that a precise translation occurred. Therefore, the police officer’s translation of the complainant’s firsthand account did not create a level of hearsay for pleading purposes. Rather, the officer merely acted as a language conduit for the complainant’s factual assertions.

In sum, the information in *Allen* contained no hearsay defect for pleading purposes. It was facially sufficient and no further documentation, including a certificate of translation, was necessary for conversion. Allen’s motion to dismiss was therefore erroneously granted.

III.

In an effort to make the hearsay rules for misdemeanor informations somehow sacrosanct, the dissents distort the CPL’s statutory framework and ignore the purpose of the procedural requirements for the factual portion of those informations—which is to give a defendant “notice sufficient to prepare a defense” and “to prevent a defendant from being tried twice for the same offense” (*Casey*, 95 NY2d at 360). As an initial matter, an accusatory instrument does not “establish the truth” (Wilson, J., dissenting op at 161). Rather, the CPL requires, for a prima facie case, nonhearsay allegations that “establish, *if true*, every element of the offense charged and the defendant’s commission thereof” (*Casey*, 95 NY2d at 360 [emphasis added and internal quotation marks and citation omitted]). The truth-seeking function is for the factfinder at trial. Nor does the nonhearsay pleading requirement protect against arrest (*see id.* at 364 [“a misdemeanor complaint, which may include hearsay, (may) serve not only as the basis for initiating a criminal action, but also for issuance of an arrest warrant”]; CPL 120.20 [1]; *but see* Wilson, J., dissenting op at 160). Likewise, a viola-

tion of the nonhearsay rule is both curable and waivable (*see Casey*, 95 NY2d at 362), yet our dissenting colleagues conclude that a violation somehow rises to the level of rendering a misdemeanor information “a legal nullity” and “void ab initio,”—a drastic remedy⁴ that is invoked without any foundation or indeed citation (Rivera, J., dissenting op at 144; *see id.* at 155; Wilson, J., dissenting op at 167 [joining Judge Rivera’s dissent]).

As we made clear in *Casey*, “[p]leading errors involving omission of elements of the charged crime are fundamental” because they “impair a defendant’s basic rights to fair notice sufficient to enable preparation of a defense and to prevent double jeopardy” (95 NY2d at 366). By contrast:

“Hearsay pleading defects do not implicate any of those basic rights of an accused. Indeed, . . . both statutory and decisional law have recognized that a criminal prosecution can validly proceed on a hearsay-based accusatory instrument. We have even held that the statutory right to be prosecuted on a non-hearsay accusatory instrument can be waived by implication” (*id.*).

Proper application of the CPL’s nonhearsay pleading requirement simply does not support a conclusion that any involvement by a translator or interpreter to facilitate the recording of a first-party witness statement at the pleading stage mandates some complex authentication method such as the layers of additional steps imposed by the motion court in *Allen* (*see Rivera*, J., dissenting op at 157-158; Wilson, J., dissenting op at 161

4. For example, this Court has concluded that an accusatory instrument is void when the prosecutor knew “that the only evidence supporting the accusatory instrument was false” (*People v Hansen*, 95 NY2d 227, 232 [2000]). Similarly, in *People v Leto* the indictment was declared void ab initio where defendant’s constitutional privilege against self-incrimination was violated at the grand jury stage (*see* 70 Misc 2d 218, 220 [Albany County Ct 1972], *affd* 41 AD2d 877 [3d Dept 1973]; *compare People v Mayes*, 19 Misc 3d 48, 51 [App Term, 2d Dept, 9th & 10th Jud Dists 2008], *lv denied* 10 NY3d 936 [2008] [“consideration of hearsay allegations for the purpose of ascertaining the sufficiency of a pleading would in no event constitute a violation of the Confrontation Clause, since ‘the right to confrontation is a *trial* right available against witnesses *at trial*’ ”], quoting *People v Hameed*, 88 NY2d 232, 239 [1996], *cert denied* 519 US 1065 [1997]). Defendants make no constitutional arguments, and, of course, whether a defendant, or even most defendants, facing misdemeanor charges ultimately opt to plead guilty (*see Rivera*, J., dissenting op at 156; Wilson, J., dissenting op at 163-164) does not add a constitutional dimension to a pleading requirement.

and n 2, 167). Although endorsed by the dissents, that process of translating and re-translating the affidavit, and certifying and qualifying the translator (*see id.*), is neither required nor envisioned by the CPL. Instead, the dissents would have the Court graft this impractical procedure onto the statute (*see id.*). In the end, we will have to respectfully disagree with our dissenting colleagues as to what constitutes a “commonsense” and “straightforward” approach to the filing of an affidavit in support of a misdemeanor information (Wilson, J., dissenting op at 161; Rivera, J., dissenting op at 158).

IV.

Our holding with respect to translators and interpreters and hearsay, limited to the context of drafting accusatory instruments at the pleading stage, is consistent not only with our precedent but with sound policy. As of 2011, approximately 2.5 million New York residents had limited-English proficiency, “which means they do not speak English as their primary language and have limited ability to read, speak, write[,] or understand English” (Executive Order [A. Cuomo] No. 26 [9 NYCRR 8.26]). Limited-English proficiency presents “potential barriers to accessing important government programs or services” (*id.*), including police protection. As one study noted, limited-English proficiency may “prevent many individuals from approaching police for assistance or to report victimization” or, if they do come forward, those victims “may be turned away when trying to report a crime in a language other than English” (Vera Institute of Justice et al., *Translating Justice: A Unified Language Access Blueprint to Accessing Justice* at 4-5, <https://reachingvictims.org/wp-content/uploads/2019/09/Translating-Justice-Introduction.pdf> [last accessed Apr. 28, 2021]). Moreover, “New York State residents speak 168 distinct languages and countless dialects” (*People v Aviles*, 28 NY3d 497, 504 [2016]). New York’s language diversity may lead to greater challenges for those who speak a language or dialect for which interpreters are difficult to locate, or who attempt to report a crime in a county without “a professionalized class of interpreters” (Rivera, J., dissenting op at 148).

While rejecting judicially-created barriers to reporting crime for persons with limited-English proficiency, our conclusion that a certificate of translation is not required to convert a complaint into an information does not prejudice a defendant’s statutory right to be prosecuted by a facially sufficient information that “contains allegations establishing a legally suf-

ficient case” (*People v Alejandro*, 70 NY2d 133, 139 [1987]; see *Matter of Edward B.*, 80 NY2d at 464) or to vigorously challenge at trial the allegations asserted in the accusatory instrument. Nor do our holdings addressing an accusatory instrument’s facial sufficiency preclude a defendant who discovers such a specific translation-related latent hearsay defect in the accusatory instrument before trial from using other options available under the CPL, if the circumstances warrant, to ensure that the supporting deposition meets statutory requirements (see e.g. CPL 170.30). Here, however, no defendant raised credible and particularized allegations of a translation-related latent hearsay defect, whether stemming from an inaccurate translation, a misunderstanding in the verification process, or some other flaw.

Accordingly, in *Slade*, the order of the Appellate Term should be affirmed. In *Brooks* and *Allen*, each order of the Appellate Term should be reversed and the case remitted to the respective motion court for further proceedings in accordance with this opinion.

RIVERA, J. (dissenting). These appeals present a systemic problem arising in prosecutions where the sufficiency of the accusatory instrument depends on supporting depositions by persons who lack English-language proficiency. In such a case, the prosecution must timely file supporting documentation that the deponent’s statement was accurately translated, otherwise the accusatory instrument is based on hearsay in contravention of the Criminal Procedure Law. The accusatory instrument is a legal nullity without proof that the deponent understood and adopted the allegations ascribed to them. This fundamental flaw is not subject to our prior “latent defects” analysis because the instrument is void ab initio.

There are two ways to ensure proper translation for a complainant or witness who does not understand spoken or written English. Law enforcement officials could follow the approach of the Civil Practice Law and Rules and secure a written verified statement under oath in the complainant’s or witness’s primary language. That statement would then be translated into a written English version and filed along with the translator’s affidavit asserting the translator’s qualifications and affirming the accuracy of the translation (CPLR 2101 [b]).

Another method would be for the translator to read the English-language complaint to the deponent in a language

they understand. But this course requires that the interpreter affirm, in writing, their qualifications, as well as affirm that they provided an accurate oral translation and that the deponent confirmed that what the translator read to them truthfully communicated the deponent's version of events. In other words, the deponent must adopt the translated content as their own, which requires a showing that the translator could, and did, accurately convey that content to the deponent.

Law enforcement officials in these appeals followed neither course. Therefore, I would reverse the Appellate Term and grant defendant Kenneth Slade's CPL 30.30 motion to dismiss, as the prosecution's failure to timely file documents adequately setting forth the accuracy of the translation of the complainant's allegations rendered the prosecution's assertion that it was trial-ready illusory. For the same reason, I would affirm the Appellate Term's dismissal of the misdemeanor complaint against defendant Kieth Brooks (also known as Keith Brooks). I would also affirm its dismissal of the accusatory instrument charging defendant Charo N. Allen as facially insufficient because the translator's statement failed to set forth his qualifications or affirm that the translation was accurate.

I.

A.

New York is home to one of the most linguistically diverse populations in the country, with nearly a third of New Yorkers speaking a language other than English at home.¹ Indeed, Queens County in New York City has perhaps the most linguistically diverse population in the world, with several hundred languages spoken throughout the borough.² After English, Spanish is by far the most common language spoken in New York; nonetheless, approximately one in six New Yorkers speaks a language other than English or Spanish at home (United States Census Bureau, *Types of Language Spoken at*

1. United States Census Bureau, *Types of Language Spoken at Home in New York*, 2019 American Community Survey 1-Year Estimates, <https://data.census.gov/cedsci/profilechartwidget?geoID=0400000US36&metricFormat=percent&topic=Language%20Spoken%20at%20Home&type=bar> (last accessed Apr. 7, 2021).

2. Emily Davenport, *Queens is the language capital of not just NYC, but also Earth*: World Economic Forum, QNS, Mar. 24, 2017, <https://qns.com/2017/03/queens-language-capital-not-just-nyc-also-earth-world-economic-forum/> (last accessed Apr. 7, 2021).

Home in New York).³ Concomitant with this dazzling linguistic diversity is the reality that many of the speakers of those languages are not fully, or at all, proficient in the English language. In 2011, for instance, around 2.5 million New Yorkers had limited ability to speak, read, write, or understand English (Executive Order [A. Cuomo] No. 26 [9 NYCRR 8.26]), which amounts to around one in eight people in the state having limited English proficiency.⁴

Limited English proficiency “present[s] potential barriers to accessing important government programs or services” (9 NYCRR 8.26). Recognizing that “the public safety, health, economic prosperity, and general welfare of all New York residents is furthered by increasing language access to [s]tate programs and services,” New York State has “committed to ensuring that language access services are implemented in a cost effective and efficient manner” (*id.*).⁵ In particular, absent qualified interpreters and translators, the inability to speak, read, or understand English can constitute a significant stumbling block to accessing justice (*see e.g.* Vera Institute of Justice et al., *Translating Justice: A Unified Language Access Blueprint to Accessing Justice* at 2 [(“A)ll too often, these victims (who have limited English proficiency or are deaf or hard of hearing) are denied access to critical services and supports because . . . justice-related systems do not understand how to provide comprehensive language access, including their legal and ethical obligations to do so for all crime victims”]). As one report has noted, in some cases, “law enforcement officials may speak too fast, or use unfamiliar terminology, increasing the possibility of losing meaning in interpretation or translation, and making an already tense and traumatic situation even more stressful for the victim” (*id.* at 5).

3. The 10 most commonly spoken languages in New York among those with limited English proficiency, in descending order by number of speakers, are Spanish, Chinese, Russian, Yiddish, Bengali, Korean, Haitian Creole, Italian, Arabic, and Polish (*see* State of New York, *Language Access Policy*, <https://www.ny.gov/language-access-policy> [last accessed Apr. 8, 2021]).

4. Jie Zong & Jeanne Batalova, *The Limited English Proficient Population in the United States in 2013*, Migration Policy Institute, July 8, 2015, <https://www.migrationpolicy.org/article/limited-english-proficient-population-united-states-2013#Distribution%20by%20State> (last accessed Apr. 7, 2021).

5. Defendants make no claim that the actions here violate Executive Order (A. Cuomo) No. 26.1 (9 NYCRR 8.26.1), which requires executive state agencies that provide direct public services to offer interpretation and translation services for speakers of the 10 most common languages spoken in the state by those with limited English proficiency.

B.

Translation is no simple task.⁶ Rather, it is a professional discipline that requires training, certification, and continued practice. According to the National Center for State Courts, interpreters for legal proceedings must “possess an educated, native-like mastery of both English and another language” and “display wide general knowledge, characteristic of what a minimum of two years of general education at a college or university would provide” (National Center for State Courts, *Court Interpreter Resources*, <https://www.ncsc.org/education-and-careers/state-interpreter-certification> [last accessed Apr. 7, 2021]). New York State’s Unified Court System requires court interpreters to “possess native-like mastery of both English and the target language,” and demonstrated qualifications, evaluated by written and on occasion oral examination.⁷ In addition to establishing that they possess the requisite skill to work as an interpreter within the legal system, court interpreters must also execute and file a constitutional oath of office to faithfully discharge the duties of their position. Providing high-quality translation and interpretation services is an essential component of ensuring access to justice for all New Yorkers, irrespective of the languages they do (or do not) speak fluently. Indeed, the State has a legal obligation to provide language access services in both criminal and civil matters, for *all* participants in the judicial process, including defendants, parties, witnesses, victims, and those who utilize non-courtroom ser-

6. “Translation” conveys the meaning of a written document from one language to another, while “interpretation” conveys the meaning of either spoken or signed language into another spoken or signed language (see Merriam-Webster Online Dictionary, translation [<https://www.merriam-webster.com/dictionary/translation>] (last accessed Apr. 8, 2021)); *id.*, interpret [<https://www.merriam-webster.com/dictionary/interpret>] (last accessed Apr. 8, 2021)). These methods of communication are different but often mischaracterized as interchangeable. For purposes of my analysis, I apply the federal Department of Justice’s definition that “[i]nterpretation is the act of listening to something in one language (source language) and orally translating it into another language (target language)” (67 Fed Reg 41461 [2002]) and that translating includes the act of conveying a written document’s meaning by spoken word or sign language.

7. See State of New York Unified Court System, Written Test of English Language Proficiency and Legal Terminology For Per Diem Court Interpreters in Languages Other than Spanish, General Information, <http://ww2.nycourts.gov/sites/default/files/document/files/2018-05/English%20Language%20Proficiency%20Sample%20Questions.pdf> (last accessed Apr. 7, 2021).

vices provided by the courts (*see* Uniform Rules for Trial Cts [22 NYCRR] §§ 217.1 [a]; 217.2).

Given the important interests at stake when non-English-speakers seek to access court services, the state court system relies on a cadre of trained and certified professionals. Such an approach is in keeping with best practices for safeguarding the rights of individuals with limited English proficiency. As a general rule, merely “[b]eing bilingual does not mean someone is able to interpret”; rather, “[i]nterpreters need to be trained on different methods of interpreting and terminology” (Vera Institute for Justice, *Bridging the Language Divide: Promising Practices for Law Enforcement* at 8 [Feb. 2009]).

The federal Department of Justice and the American Bar Association similarly recommend the use of a formal certification process to ensure the adequacy of interpreters, as “(c)ompetency requires more than self-identification as bilingual” (ABA Standards for Language Access in Courts standard 8, Commentary, quoting Department of Justice, *Guidance to Federal Financial Assistance Recipients Regarding Title VI Prohibition against National Origin Discrimination Affecting Limited English Proficient Persons*, 67 Fed Reg 41455, 41461 [2002]; *see also* Legal Services NYC, Civil Rights Justice Initiative, *Interpreting Justice: Language Access in the New York Courts* at 13 [2016] [“(L)itigants should never have to rely on non-professional interpreters. A bilingual person without proper training or a legal background is simply not equipped to provide the kind of precise interpretation that a legal setting requires” (emphasis omitted)]). Indeed, a bilingual person “may be able to communicate effectively in a different language when communicating information directly in that language, but not be competent to interpret in and out of English” or “do written translations” (67 Fed Reg 41461 [2002]).

The use of a professionalized class of interpreters guarantees that any individual engaging the legal system may rest assured that they are receiving interpretation services of the highest caliber. As the Vera Institute of Justice and other organizations have found, when law enforcement fails to provide competent interpreters and translators, victims of crime are often forced to rely on impromptu translation and interpretation provided by untrained individuals—including those who know the victim (*see Translating Justice* at 5 [“In other cases, an LEP victim’s privacy is commonly compromised because police officers, unable to understand that victim’s na-

tive language, often include neighbors, intimate partners, or family members to interpret the victim's case"). By contrast, New York's *Court Interpreter Manual and Code of Ethics* makes clear that interpreters shall "avoid even the appearance of impropriety" by disclosing "any prior contact the interpreter has had with any of the parties or jurors, as soon as [they are] aware of it," including even "seemingly unimportant [contacts, such] as merely recognizing someone in the courtroom from the interpreter's neighborhood, who the interpreter does not actually know" (New York State Unified Court System, *Court Interpreter Manual and Code of Ethics* at 8 [2018]). Thus, providing appropriate language access services demands that interpreters and translators be proven competent in both the technical requirements of the role as well as the broader ethical concerns inherent in their office. An individual's mere assertion that they are bilingual is far from sufficient to establish that they can undertake the exacting task of translating in situations where faulty interpretation may lead to severe adverse consequences.

II.

In each of these appeals, the prosecution filed misdemeanor complaints without sufficient documentation of the nonhearsay factual allegations necessary to convert the complaints to informations in accordance with the CPL (*see* CPL 100.40 [1]; 100.15). Specifically, the prosecutors failed to timely submit documentation asserting the qualifications of the translators and the accuracy of their translations. Without that documentation, the accusatory instruments' factual allegations consisted of law enforcement officers' hearsay descriptions of the deponents' assertions. In each case, because of this lack of proper documentation, the prosecution failed to convert the accusatory instruments to informations before expiration of the CPL 30.30 speedy trial deadline.

In defendant Slade's case, the victim signed a complaint, written in English, which was filed as a supporting deposition attached to the accusatory instrument. At arraignment, the prosecution announced that it was ready for trial based on the complaint.

Although a certificate of translation was prepared along with the complaint, it was not served on defendant or filed until two years later, in response to defendant's request that the prosecution produce the document. The certificate states,

“I, [NM], state that on 01/09/2014, I translated the contents of the accusatory instrument against the above named defendant to [defendant’s wife] in the Spanish language and also translated the fact that false statements made therein are punishable as a Class A misdemeanor pursuant to section 210.45 of the Penal Law. After translating the accusatory instrument to [defendant’s wife] he/she indicated to me that he/she understood what was translated.”

The court denied defendant’s CPL 30.30 motion to dismiss, rejecting defendant’s argument that the prosecution had failed to convert the accusatory instrument and that its declaration that it was ready for trial was illusory. The Appellate Term affirmed, concluding that the certification was unnecessary because the accusatory instrument did not reveal that the complainant was unable to understand the English-language factual allegations attributed to her.

In contrast, the prosecutor in defendant Brooks’s case filed an off-calendar readiness statement along with two supporting depositions in English and a certificate of translation before the CPL 30.30 time period expired. The witness’s deposition states, “I, [C.A.] say that I have read the complaint filed in the above-entitled action and attached hereto and that the facts stated in that complaint to be on information furnished by me are true upon my personal knowledge.” As the certificate makes clear, the witness’s deposition statement is inaccurate because the witness did not and could not read the complaint in English. The certificate states,

“I, [V.S.], state that on 4/26/2016, I translated the contents of the accusatory instrument against the above named defendant to [C.A.] in the Spanish language and also translated the fact that false statements made therein are punishable as a Class A misdemeanor pursuant to section 210.45 of the Penal Law. After translating the accusatory instrument to [C.A.], he/she indicated to me that he/she understood what was translated.”

Criminal Court held that the filing was deficient because the certificate failed to set forth the translator’s qualifications. The court informed the prosecutor that the People would be charged with time under CPL 30.30 until they submitted the proper documentation because, without it, the accusatory instrument could not be converted to an information. The prosecutor never

submitted the requested documentation, the statutory speedy trial period elapsed, and the court granted defendant's motion to dismiss the accusatory instrument.

The Appellate Term affirmed, concluding that the witness's inability to understand English was apparent from the filing of the translator's statement. The court found that the translator's statement, however, was insufficient to convert the instrument to an information because it did not comply with CPLR 2101 (b), and the prosecution failed to provide adequate documentation before expiration of the maximum time allowed under CPL 30.30.

Unlike the certificates filed against Slade and Brooks, which make no reference to the respective translator's ability, the affidavit of translation filed with the accusatory instrument in defendant Allen's case asserts that the translator "understand[s]" the source and target languages. The accusatory instrument indicates that defendant's arrest was "based on the sworn statement taken by" the complainant. The prosecutor attached to the instrument a handwritten deposition prepared by someone other than the deponent, which states, "I have had this statement consisting of 1 page read to me in Spanish by P.O. [A.M.] and I swear [sic] that this is the truth." In response to defendant's motion to dismiss the accusatory instrument on the grounds that it contained hearsay and was therefore facially insufficient, the prosecution filed an affidavit of translation from the officer who purportedly interpreted for the complainant, stating,

"I, [A.M.], swear that I understand the English language and the Spanish language.

"On 11/01/17, I acted as a translator for [R.V.].

"The attached English written statement of [R.V.], dated 11/01/17, is a true and accurate translation by me of the Spanish spoken statement taken from [R.V.].

"I reviewed the written English statement with [R.V.] by translating the written English statement into Spanish.

"[R.V.] indicated that the English statement was accurate and signed the English statement in my presence."

The court directed the prosecutor to file a superseding information that included the original statement from the complainant, with both its substance and verification in Spanish; an English-language translation of that affidavit; and another affidavit from Police Officer A.M. detailing his qualifications to translate and swearing to the accuracy of his translation. The prosecution twice refused to file the requested documents, instead moving to reargue. After the court denied the prosecution's motion to reargue and instructed it to comply with the process the court had set forth for properly converting the complaint, the prosecution again refused to comply with the judicial order. The court then granted defendant's motion to dismiss. The Appellate Term affirmed, holding that a certificate of translation was required to cure the hearsay defect and that the prosecution's submission was insufficient.

III.

In *Matter of Edward B.*, this Court concluded that an accusatory instrument contains hearsay when a law enforcement official "edit[ed] and revis[ed] the complainant's version of events before transcribing it" (80 NY2d 458, 462-463 [1992]). The deposition contained "the [official's] interpretation of what the complainant had told her. Thus, . . . the deposition . . . was in truth nothing more than a statement written by a law enforcement officer reporting what [they] ha[d] been told by an eyewitness—in other words, hearsay" (*id.* at 463). Without the complainant having "read—nor been read" the document, "she never learned what the document actually said" (*id.*). Thus, her signature did not transform the official's interpretation into a nonhearsay statement. This reasoning applies with equal force here.

As the Court in *Matter of Edward B.* further explained, by analogy to CPL 100.40, which requires that the accusatory instrument be facially sufficient, "[t]he purpose of requiring nonhearsay allegations establishing every element of the charged crimes is to assure that there exists a sound and supportable basis for subjecting the accused to a trial" (*id.* at 464 [citation omitted]). The Court's recognition of the importance of that assurance in a juvenile delinquency proceeding is no less true for the adult proceedings at issue in these appeals: "The need for such assurance is particularly acute at the outset . . . where there is no independent Grand Jury-like body to review the evidence and the petition is often the sole instrument upon

which the [accused] is prosecuted” (*id.* at 464-465 [internal quotation marks omitted and alteration in original]).

Although the Court ultimately concluded that the hearsay in the accusatory instrument was a “latent defect” because it was not obvious from the face of the complaint, that part of the holding has no application to these appeals. In contrast to *Matter of Edward B.*, the fatal deficiencies here were discovered *before* trial, not in the middle of fact-finding when a witness could adopt the hearsay allegations as their own while testifying. This Court’s subsequent holding in *Matter of Nelson R.* (90 NY2d 359 [1997]) does not alter this analysis because the defective accusatory instruments here are deficient in two regards: first, like the accusatory instruments in *Matter of Edward B.*, the misdemeanor complaints contained hearsay allegations that would ordinarily preclude conversion; second, as I discuss, the failure to establish—even minimally—the qualifications of the translators casts doubt on whether the instruments were *ever* verified pursuant to CPL 100.15 and 100.30. Thus, here, the accusatory instruments may have been insufficient from the very outset. In contrast, there was no doubt that the accusatory instrument in *Matter of Nelson R.* had been verified by the complaining witness; rather, the dispute turned on whether the complainant was competent to undertake that verification. Given these legally significant differences, there is simply no merit to the majority’s contention that my analysis was “specifically rejected” by *Matter of Edward B.* and *Matter of Nelson R.* (majority op at 137-138).

Nevertheless, the majority adopts the prosecutors’ argument that they complied with the CPL because the translators affirmed that they translated the English-language written statements in the depositions into Spanish for the complainants in *Slade* and *Allen* and the witness in *Brooks*. The speakers then signed documents confirming that they agreed with the translated versions. The documentation, however, is insufficient to support conversion of the accusatory instruments to valid informations.

While it is true that the certificates of translation in *Slade*’s and *Brooks*’s prosecutions say that, “[a]fter translating the accusatory instrument to [the Spanish-speaking complainant] he/she indicated to me that he/she understood what was translated,” the certificates do not include any assertion of the translator’s qualifications. This absence is fatal, as it means that there is simply no way to know whether the translators

even had the linguistic skills to accurately translate the statement in the first place or whether they correctly interpreted the speakers' responses to the translation as an indication that they "understood what was translated." Without a basis for evaluating each of these translators' ability to accurately communicate the contents of the document, there is no way of knowing whether the speaker "learned what the document actually said" (*Matter of Edward B.*, 80 NY2d at 463). The signatures are not attestations to the accuracy of the translations—nor could they be, as the signed complaints were in a language that the complainants and witness concededly did not understand.

While the translator in Allen's case asserts that he "understand[s] the English language and the Spanish language," he makes no assertion as to the basis for his understanding of both languages, nor does he assert that he possesses the skills required to translate between the two. As I have discussed, translation takes skill, and because self-identification as bilingual is insufficient (*see* 67 Fed Reg 41461 [2002]), a vague assertion of some unknown level of "understanding" is similarly inadequate. It may be that a person "understands" a language because they grew up speaking it with family and friends but received no formal training in the language; or perhaps they have only taken one or more introductory language courses but lack the specialized vocabulary required to translate sophisticated legal concepts;⁸ or, even if they understand the language, they may not know the basic principles of proper interpretation and translation.

The certificates in these appeals fail to illuminate the translators' capacity to correctly translate the written English statements into Spanish or their ability to understand the Spanish speakers' responses. For all we know, the translators' renditions of the English-language allegations diverged

8. For instance, the CPL requires that, in order for conversion to be properly effectuated, a supporting deposition must convey to the witness a form notice indicating that "false statements made therein are punishable as a class A misdemeanor" (CPL 100.30 [1] [d]). This essential element of the conversion process must be comprehended by the witness, otherwise no proper verification has occurred. But even this short statement contains legal jargon that may be beyond the ken of an untrained speaker of a language attempting to interpret on the fly (*see e.g.* Vera Institute of Justice, *Translating Justice: A Spanish Glossary for New York City* [2007] [providing translations of various legal terms from English into Spanish, including "Misdemeanor" and "Falsely reporting an incident"]).

significantly from their written form—discrepancies that would never have become apparent to a monolingual, Spanish-speaking complainant or witness. Therefore, the accusatory instruments are based on hearsay, as there is nothing in the record establishing the competency of the translators and, consequently, no basis for believing that the witnesses ever “learned what the document actually said” (*Matter of Edward B.*, 80 NY2d at 462-463).

The accusatory instrument in *Brooks* is also insufficient because the witness swore that he read the English-language complaint—a patently untrue statement in light of the certificate of translation stating that the accusatory instrument was translated into Spanish for him. Nevertheless, the majority suggests that it is possible that the witness could read the complaint. The record is to the contrary. Unlike in *Slade*, the prosecutor here makes no assertion that the witness was competent to read and understand the English-language version of the complaint, and the drafting of the certificate of translation—let alone filing it—would have been wholly unnecessary if he actually did read and comprehend the allegations written in English.

Additionally, none of the supporting documents in these appeals contain any assertions as to the translator’s impartiality or lack of relationship to the victim or defendant. Although the translator in Allen’s case appears to have been a police officer, we know nothing but the names of the translators in Slade’s and Brooks’s cases. It is thus unclear whether these translators were competent professionals or merely relatives, neighbors, or friends of the deponent. The majority’s assumption that the translators are unbiased has no support in the record (majority op at 140-141).

Our jurisprudence that a court assess the sufficiency of an accusatory instrument by reference to the face of the document, relying only on what is set forth within its four corners, has no application to these appeals, where the accusatory instruments are void from their inception. The widespread use of interpreters and translators in the criminal justice system, along with the difficulties in ensuring the skill and accuracy of those translators, is not a “latent defect,” one that need only be addressed on a case-by-case basis due to the unique circumstances of the defect, in light of the totality of the circumstances. Instead, proper translation of a complainant’s or witness’s statement from its written English version to an ac-

curate oral version in a language understood by the complainant or witness requires a general rule that addresses this widespread problem with common elements.

I can find no reason why a court faced with these deficiencies—noting this systemic problem—cannot request submission of an accusatory instrument with an assertion of the translator’s qualifications attached. Although the *Edward B.* Court declared that the complainant’s signing of a supporting deposition under oath that she “had never read or been read its exact contents . . . [is] not to be endorsed or condoned” (80 NY2d at 465 n 2 [emphasis added]), the majority does exactly that here. The majority concludes that the CPL does not require a statement of the translator’s qualifications, and then goes further and holds that the CPL requires no certificate of translation at all (majority op at 143-144). In other words, even though an accusatory instrument’s English-language allegations exist *solely* because of the work of a translator, the majority today permits the prosecution to completely hide the fact of the translator’s existence from the defendant. In so doing, the majority incentivizes the actions the *Matter of Edward B.* Court sought to eliminate by its rebuke.

Moreover, the majority’s assurance that nothing in its opinion “prejudice[s] a defendant’s statutory right to be prosecuted by a facially sufficient information . . . or to vigorously challenge at trial the allegations asserted in the accusatory instrument” rings hollow (majority op at 143-144). Criminal justice today “is for the most part a system of pleas, not a system of trials” (*Missouri v Frye*, 566 US 134, 143-144 [2012] [citation and internal quotation marks omitted]). Because a defendant facing a misdemeanor prosecution is overwhelmingly more likely to resolve the case by plea than by trial, the majority’s tolerance of accusatory instruments that are utterly silent as to the fact that the allegations contained therein were translated by some unknown individual of unknown skill is especially troubling. And the majority’s assertion that there are pretrial remedies for a defendant who “discovers such a specific . . . defect” in the translation (majority op at 144), is little comfort given that the majority’s approach undermines such discovery. A defendant is unlikely to “discover” the inadequacy of the translation or the translator’s skills when, according to

the majority, the prosecutor is under no obligation to provide a certificate of translation or any statement of accuracy.⁹

The majority attempts to sidestep the inherent problem with these accusatory instruments, characterizing the translators in these appeals as mere “language conduit[s]” who pose no hearsay complications due to the accuracy of their translations (majority op at 140). The majority’s reliance on non-binding federal case law to advance this argument is unpersuasive. First, a number of the cases cited by the majority involve interpreters whose qualifications were demonstrated before the trial court (*see e.g. United States v Koskerides*, 877 F2d 1129, 1135 [2d Cir 1989] [describing the official who interpreted as an “employee at the American Embassy in Athens”]; *United States v Martinez-Gaytan*, 213 F3d 890, 892 [5th Cir 2000]). In any event, as the Fifth Circuit recognized in *United States v Martinez-Gaytan*, “[i]n determining whether to treat a translator as a mere language conduit,” a court will take into account, among other considerations, “the interpreter’s qualifications and language skill” (213 F3d at 892). The majority’s further reliance on New York cases that hold a translator is “the declarant’s agent” is similarly misplaced. There is simply nothing that establishes the translators’ qualifications in these appeals and thus their ability to fulfill their sole responsibility as agents: accurately conveying the complainant’s or witness’s factual allegations from one language into another (*see People v Quan Hong Ye*, 67 AD3d 473, 473 [1st Dept 2009] [explaining that “the interpreting officer testified as to the truthfulness and accuracy of his translation”]; *cf. People v Randazzio*, 194 NY 147, 157 [1909] [“Of course, if there has been an error in correctly interpreting (the defendant’s) statement (the defendant) is not bound thereby”]). And, as our case law establishes, the deponents’ signatures do not rectify this fatal flaw in the accusatory instrument nor the majority’s analysis (*see Matter of Edward B.*, 80 NY2d at 463).

IV.

The systemic problem highlighted in these appeals can be avoided by application of protocols that further the purpose of the CPL “to assure that there exists a sound and supportable basis for subjecting the accused to a trial” and also comport

9. Certainly, we do not want defendants to make groundless demands when there is no basis to suspect a prosecutor’s filing is insufficient.

with best practices in the field of translation (*Matter of Edward B.*, 80 NY2d at 464). One approach requires that the complainant or witness prepare and affirm a written statement in their native language, with a verification of its accuracy under penalty of perjury pursuant to CPL 100.30 (1) (d). The document must then be translated into a written English affidavit by a person qualified to translate from the witness's native language into English. Both documents must then be filed with the accusatory instrument, along with a verified written statement by the translator asserting their qualifications and affirming that the translation is accurate. This process is well known by the bench and bar, as it is codified in CPLR 2101 (b).

Alternatively, because the Criminal Procedure Law, unlike the CPLR, merely requires that the complainant or witness verify under oath the statements ascribed to them, and our Court has accepted statements in accusatory instruments that are read by or read to the deponent who then swears that the statement is accurate, officials may apply the same approach to a non- or limited-English proficient deponent (*Matter of Edward B.*, 80 NY2d 458, 461 [1992]). This requires that a qualified translator memorialize the witness's statement in a written English-language document, which must then be read back to the witness in a language they understand by the same or another qualified translator, making any corrections as noted by the witness. In a written statement, the witness then affirms, under penalty of perjury, the accuracy of the statement read to them in their native language. This written statement must then be filed with the accusatory instrument, along with the translator's written, verified statement describing their qualifications and the accuracy of the translation and affirming that the witness confirmed that the translated statement accurately represents their allegations.

The majority derides these straightforward approaches to ensuring the reliable translation of non-English allegations that form the basis of an accusatory instrument as "layers of additional steps" that would "graft [an] impractical procedure onto the statute" (majority op at 142-143). In stark contrast to the majority's characterization of certificates of translation as "judicially-created barriers to reporting crime" (*id.* at 143-144), police and prosecutors *already* utilize the services of translators and interpreters every day, and, as these appeals demonstrate, certificates of translation are *already* being drafted to

memorialize their work.¹⁰ And yet the majority confusingly claims that requiring slight modifications to these certificates to ensure their accuracy would transform them into a “complex authentication method . . . [with] layers of additional steps” (*id.* at 142-143). That these translators should be required to include in their certificates and affidavits a few additional sentences affirming both the accuracy of their translations and their competency to translate hardly constitutes some insuperable hurdle.¹¹

In any event, law enforcement officials did not employ either of these approaches in the appeals before us. Nor do the prosecutors argue that they were *unable* to comply with either approach in the time allotted under CPL 30.30; instead, they simply chose not to do so—even, as in *Brooks* and *Allen*, when directed to do so by the court. Consequently, in each case, the supporting documentation fails to demonstrate that a qualified person accurately translated the deponents’ factual allegations. As such, the deponent could not adopt as their own the English-language statements in the misdemeanor complaint. Therefore, the accusatory instruments contained hearsay and the prosecution failed to timely convert them into informations.

I dissent.

WILSON, J. (dissenting). Justice depends on truth. The hearsay rule is one of the many ways in which the judicial system attempts to prevent shaky “facts”—like those in a child’s game of telephone—from distorting the truth. A witness’s sworn oath to tell the truth is another; the oath

10. Moreover, the majority’s perplexing claim that incentivizing accurate translation somehow *inhibits* the reporting of crimes by individuals with limited-English proficiency is entirely backwards (majority op at 143). The majority concedes that linguistic barriers prevent such individuals from seeking police assistance (*id.*), while simultaneously adopting a rule that would tolerate interpretation or translation by anyone, without even the slightest guarantee that they are at all qualified.

11. The majority claims that its approach “does not prejudice a defendant’s statutory right to be prosecuted by a facially sufficient information” (majority op at 143-144). But, as I have explained (*supra* at 152-153), a misdemeanor prosecution may proceed against a defendant only upon the elimination of hearsay allegations in the complaint, accomplished by strict compliance with the CPL. Requiring there to be some discernible basis for the accuracy of a translation—itself necessary for compliance with the CPL—protects the rights of the accused by ensuring that a witness’s limited English proficiency does not undermine the procedural safeguards governing misdemeanor prosecutions. Secondly, these approaches ensure that victims have the benefit of knowing that their words and experiences are being fully understood by law enforcement.

reminds witnesses of the gravity of false testimony and the need for the whole truth, and nothing but. The Criminal Procedure Law employs those and other methods to ensure that innocent individuals are not subject to unjust prosecution. Before a prosecution begins, trial courts must verify that the factual allegations in a complaint fit the crimes as charged (CPL 100.40 [1] [b]). Those allegations in turn cannot be based on hearsay or unsworn facts (CPL 100.15 [1]; 100.40 [1] [c]). Only statements given with an awareness of the consequences of perjury, either based on personal knowledge or falling within an established exception to hearsay, meet the statutory requirements for reliability (*see Matter of Neftali D.*, 85 NY2d 631, 636 [1995]).¹

Those protections are essential. People are routinely arrested and deprived of liberty based solely on the allegations in a complaint or information. Eventual acquittal cannot undo time spent in pretrial detention, the stress of prosecution or the attendant costs. Prosecutions initiated by indictment are tested by a grand jury or other independent arbiter; prosecutions initiated by a complaint or information are not (*People v Alejandro*, 70 NY2d 133, 138 [1987]). Because those untested accusatory instruments are deemed true for the purposes of initiating a prosecution, they must accurately reflect a witness's or victim's personal knowledge of the events in question (*see id.* at 138-139 [reviewing the legislature's intent to create a "demanding standard" for the sufficiency of informations (emphasis omitted)]).

The issue here is, in some sense, simple. We live in a multilingual society: our judicial system functions in English. Our ordinary process, requiring a witness or victim to read, review, correct (if necessary) and verify under oath the truth of facts initiating a criminal prosecution, works well for those fluent in English. But when the declarant does not understand English well or at all, our ordinary process cannot safeguard the truth.

1. Exceptions to the general prohibition against hearsay grow out of "considerations of necessity and trustworthiness" (*People v Kennedy*, 68 NY2d 569, 579 [1986]). As discussed below, the majority's rule meets neither criterion. Translations made by unqualified or unknown translators do not demonstrate the trustworthiness needed to deprive a person of liberty. No compelling necessity excuses the People from providing reasonable assurances that the translation of an accusatory instrument is accurate. Indeed, the People agree that documenting the translation process has been routine for decades and imposes no real burden.

The solution is simpler still. In trials and other circumstances when a victim, defendant or witness has limited English proficiency, the judicial system provides qualified translators. The importance of interpretation in the search for truth is evident not only in the substantial resources the judicial system devotes to providing language access, but also in the CPL's treatment of interpreters, who must swear an oath before assisting a court or grand jury (*see e.g.* CPL 190.25 [3] [d]). Lacking instruction from the legislature or our Court, the trial courts have developed a simple, practical solution: requiring a minimally sufficient certificate of translation. They have not arrived at a uniform set of rules for the qualifications of translators, the contents and timing of such certificates or the consequences of the failure to provide one, which is where this Court might provide some assistance.²

Instead, the majority rejects the trial courts' commonsense solution, preferring a rule at odds with the truth: no certificate of translation is required, even for witnesses who do not understand English at all. The witness's signature is sufficient to establish the truth, even if the witness has no idea what the document says, so long as a reader cannot tell that from the document itself. Even if other evidence available to the court or parties conclusively shows that the witness does not understand English, or that the translator was inept or unable, it is of no moment. Indeed, the prosecution is not required to show that the translator interpreted for the witness the affirmations regarding perjury and false statements that are critical to the sufficiency of an information or complaint (*see* CPL 100.15 [1]; *Neftali D.*, 85 NY2d at 636). In short, the CPL's procedural safeguards for truth now exist only when the victim or witness is fluent in English. The majority has missed the point of these essential procedural safeguards. The majority asserts that the "purpose of the [CPL's] procedural requirements" is not to enhance the trustworthiness of the accusatory

2. I agree with the majority that the CPL does not require the procedures used in civil litigation (*see generally* CPLR 2101 [b]). The CPL does require that an information be supported by verified, nonhearsay allegations. Those requirements dictate that when a translator assists in drafting and verifying a complaint or deposition, the translator must attest to fluency in the relevant languages, and affirm under penalty of perjury that he or she translated the allegations accurately and read them back to the witness along with the warning that false statements are punishable by law. That requirement constitutes the basic proof needed to ensure that the document has been properly drafted and verified, as required by the CPL.

instrument but rather to “give a defendant notice sufficient to prepare a defense and to prevent a defendant from being tried twice for the same offense” (majority op at 141 [internal quotation marks omitted]). If those were the only purposes an accusatory instrument was meant to serve, the verification and nonhearsay requirements would be irrelevant. Unverified rumor or completely fabricated accusations would satisfy those ends, as long as the false accusation was specific enough to put the defendant on notice of the baseless crimes charged. According to the majority, that’s perfectly fine because eventually the truth will be divined at trial—at least in the 1% of cases that go to trial. That is just not the way the criminal justice system works: the point of the verification and nonhearsay requirements is to prevent the initiation of a criminal prosecution unless it is based on allegations with some guarantee of trustworthiness, even if it is just one side of the story that may be controverted later.³

The majority’s rule has no basis in the CPL. The term “latent deficiency” cannot be found in it. It is a judicial carveout found in a couple of cases decided under the Family Court Act (*see Matter of Edward B.*, 80 NY2d 458 [1992]; *Matter of Nelson R.*, 90 NY2d 359 [1997]) to the general requirement that the People bear the vital burden of drafting a proper accusatory instrument (*see People v Colon*, 110 Misc 2d 917, 920 [Crim Ct, NY County 1981] [“Responsibility to confer upon the Criminal Court jurisdiction to try misdemeanor cases rests squarely upon the shoulders of the District Attorney. Like any other prosecuting litigant in an action of any nature (civil as well as criminal) he must file an accusatory instrument sufficient in its allegations to give the court reason to exercise its jurisdiction” (emphasis omitted)], *revd* 112 Misc 2d 790 [App Term, 1st Dept 1982], *revd and Crim Ct order reinstated for reasons stated therein* 59 NY2d 921 [1983]). Those Family Court cases

3. In a similar misunderstanding of the CPL’s safeguards, the majority claims that the hearsay rule is not meant to protect a person’s liberty because arrest warrants can be issued based upon complaints that include hearsay (*see* majority op at 141). But the CPL instructs that a defendant must be *released* from custody if the People then cannot obtain the requisite nonhearsay evidence needed to proceed with the prosecution (*see* CPL 170.70 [“Release of defendant upon failure to replace misdemeanor complaint by information”]; CPL 100.40 [1] [c] [information must be supported by nonhearsay allegations]). In other words, the hearsay rule demands the exact protection that the majority attempts to write out of the CPL: freedom from confinement and unjust prosecution.

did not involve the systemic problem arising out of the court system's need to take evidence from the multitude of people not fluent in English.⁴

Undoubtedly, accurate translation is vital for each of the CPL's protections. The prohibition on hearsay requires direct translation of a witness's or victim's story, not a mere summary (*see Edward B.*, 80 NY2d at 461). The line between mischaracterization and translation rests entirely on the skill of the translator. Similarly, to meet the verification requirement, a translator must read the allegations back to the victim or witness verbatim, along with the accompanying caution against perjury. Without proof of translation and reason to be confident in its accuracy, there is little reason to trust the soundness of the accusatory instrument.⁵ The consequences of mistranslation can be dire, not just for defendants, but for victims as well.

The factual allegations in an information or complaint determine whether a person who is presumed innocent is subjected to prosecution and what crimes are charged. Contrary to the majority's intimations, those factual allegations are almost never tested at trial (*see* majority op at 143-144)—99% of misdemeanor charges are resolved by guilty plea (*see* National Association of Criminal Defense Lawyers & New York State Association of Criminal Defense Lawyers, *The New York*

4. What is more, *Edward B.* strongly supports the need to cure hearsay defects when they are noted before trial, as was the case here (*see Edward B.*, 80 NY2d at 464-465 [“The purpose of requiring nonhearsay allegations establishing every element of the charged crimes is to assure that there exists a sound and supportable basis for subjecting the accused to a trial. The need for such assurance is particularly acute at the outset of a juvenile delinquency proceeding, where there is no independent Grand Jury-like body to review the evidence and the petition is often the sole instrument upon which the (accused) is prosecuted. On the other hand, once the pretrial stages of the proceeding have passed and the fact-finding stage has begun, there is no longer a pressing need for an accusatory instrument that complies with Family Court Act § 311.2 (3)’s requirements, since the accused has already been brought before the court and the witnesses are available to describe the case against the accused” (citations and internal quotation marks omitted)]).

5. When the verification of an information occurs in open court, the CPL permits a trial court to seek assurances that interpreters are skilled. By holding that courts are powerless to seek similar assurances when translations occur out of court, the majority introduces a novel incongruity between in-court and out-of-court verification. That incongruity has no basis in the text or legislative history of the CPL. Why should an out-of-court piece of paper produced under unknown circumstances be more trustworthy than a witness who personally testifies before a judge?

State Trial Penalty: The Constitutional Right to Trial under Attack at 3 [Mar. 2021], available at https://www.nacdl.org/getattachment/1d691419-3dda-4058-bea0-bf7c88d654ee/new_york_state_trial_penalty_report_final_03262021.pdf [last accessed May 3, 2021]). A mistranslated complaint can add unwarranted counts to the charges against a defendant or make the prosecution's case appear stronger than it is, leading defendants to accept a deal rather than gamble with their lives.

Mistranslation also affects the pursuit of justice for victims, such as when police or prosecutors fail to investigate an incident or a court dismisses for lack of factual support the charges against a defendant, based solely on the miscommunications between investigators and a witness or victim (see Ashley Southall, *Police Must Tackle Language Barrier in Domestic Abuse Cases*, NY Times, May 25, 2017, <https://www.nytimes.com/2017/05/25/nyregion/police-tackle-language-barrier-in-domestic-abuse-cases.html> [last accessed May 3, 2021] [relating the stories of numerous “women in New York who say they have tried to report (domestic) abuse to the police only to be foiled by a persistent language barrier that critics say has devastating consequences for victims of domestic violence”]; see also Leslye E. Orloff et al., *Battered Immigrant Women's Willingness to Call for Help and Police Response*, 13 UCLA Women's LJ 43, 74 [2003] [reporting that two thirds of Spanish-speaking domestic violence victims surveyed reported that when police responded to a report of domestic violence they did not attempt to communicate with them in Spanish either directly or through an interpreter]; Karin Wang, Comment, *Battered Asian American Women: Community Responses from the Battered Women's Movement and the Asian American Community*, 3 Asian LJ 151, 164 [1996] [explaining that the lack of language services contributes to underreporting and hesitancy in seeking assistance among domestic violence victims]). In the rare cases when defendants proceed to trial, the victims' credibility can be destroyed by cross-examination with their mistranslated statements. Only a competent interpreter can ensure that the account of the crime laid out in the initial complaint is complete and accurate.

The Unified Court System's own website announces: “New York is a diverse community of 62 counties with unique linguistic challenges. Aware of this reality, the NYS Unified Court System (UCS) remains committed to improve access to justice for Limited English Proficient (LEP) individuals” (New

York State Unified Court System, *Language Access and Court Interpreters*, <http://ww2.nycourts.gov/COURTINTERPRETER/index.shtml> [last accessed May 3, 2021]).⁶ But instead of establishing rules to ensure the accuracy of complaints or informations based on statements from persons with limited English proficiency, the majority chooses to minimize any inquiry into the truth.

The majority’s application of our case law demonstrates how far it has strayed from the principle that the judicial process should be guided by the search for truth. The majority cites *People v Hardy* (35 NY3d 466 [2020]) for the proposition that a court should not look beyond the “four corners” of an accusatory instrument when evaluating its sufficiency. In *Hardy*, we held that the CPL does not permit the prosecution to amend the factual allegations made by an out-of-court witness in order to fix a perceived factual error. We explained the legislature’s rationale as follows:

“An information or a complaint—unlike an indictment or superior court information—commences a criminal action based on the allegations of someone who is not an officer of the court, and whose testimony has not been vetted by a grand jury. Under those circumstances, it was reasonable for the legislature to decide that no one but an affiant should be permitted to alter the factual allegations previously sworn to by [that] affiant . . .

“The CPL does provide its own pathway for correcting factual errors in complaints and informations, through the filing of a superseding accusatory instrument (CPL 100.50), not through a prosecutor’s amendment of facts averred by someone else” (*id.* at 472-475).

6. The majority’s view of the language rights of victims is strikingly outdated. The “new national consensus” is to ensure that the courts provide language services (U.S. Department of Justice, Civil Rights Division, *Language Access in State Courts* at 14 [Sept. 2016], available at <https://www.justice.gov/crt/file/892036/download> [last accessed May 3, 2021]). In keeping with that imperative, Governor Cuomo recently issued the latest in a series of executive orders directing state agencies to expand language access services. Executive Order (A. Cuomo) No. 26.1 (9 NYCRR 8.26.1) requires “[e]ach executive state agency that provides direct public services . . . to offer interpretation services to individuals in their primary language with respect to the provision of services or benefits” (New York State Unified Court System, *Language Access Policy*, <https://www.ny.gov/language-access-policy>).

Hardy does not stand for the proposition that a court can never look beyond the four corners of the accusatory instrument to determine the truth. It stands for a very different proposition, clear from the legislature's insistence that accusatory instruments be supported by facts known to a witness with personal knowledge, sworn to under penalty of perjury: the State controls the preparation and content of an accusatory instrument, and when the State uses its awesome power to initiate a criminal prosecution, we will not tolerate a flawed accusatory instrument, but will require a do-over with any correction to a sworn statement made under oath by the person with firsthand knowledge, even when the correction is as meek as a typographical error. Of course, the risk of error is far higher in the case of an out-of-court translation—conducted by an individual whose skill and identity are entirely unknown—than it is when the court oversees and approves the correction of a typographical error by a court officer.⁷

In keeping with the truth-seeking function of courts, deficiencies in accusatory instruments should be identified and fixed (*id.* at 475 [noting that it is “the People’s responsibility to obtain a sworn statement with the correct factual allegations and proceed on a superseding instrument”]). It is the rare deficiency in an accusatory instrument that we should find irrelevant, given the CPL’s essential safeguards against improper prosecution.⁸

7. The majority relies heavily upon *People v Casey* (95 NY2d 354 [2000]) to claim that I have “distort[ed] the CPL’s statutory framework” (majority op at 141). In *Casey*, we held that a criminal defendant must object to a hearsay defect in an information before trial, or else any objection will be deemed waived. Contrary to the majority’s misreading of *Casey*, we reached that ruling not because hearsay defects are unimportant, but because they are *curable* if a defendant objects (95 NY2d at 367 [noting that our “case law has emphasized the importance of the *curability* of a particular procedural defect as a factor weighing in favor of requiring preservation” (emphasis added)]). *Casey* reached that decision by distinguishing juvenile delinquency petitions which “cannot be cured by amendment” under the Family Court Act (*id.*). Today, the majority holds that trial courts are powerless to cure deficiencies in the CPL’s verification and nonhearsay requirements. The majority has left *Casey* far behind.

8. The majority correctly notes that defendants have raised no constitutional argument (and neither do I), but then inexplicably observes that the fact that most defendants plead guilty “does not add a constitutional dimension to a pleading requirement” (majority opinion at 142 n 4). One can certainly imagine a pleading requirement that would coerce guilty pleas and violate due process; the point of the majority’s dicta is opaque.

In these cases, the People concede that the creation of a certificate of translation is not burdensome.⁹ In each of these three cases, they were actually prepared, in one form or another. As the People noted at argument, documenting the translation process has been routine practice for decades—it is a basic component of good police work. The contemporaneous filing of a certificate of translation, in which a translator attests to his or her fluency in the relevant languages and affirms the accuracy of the translation under penalty of perjury, would provide a degree of confidence in the translation that is akin to the in-court procedures mandated by the CPL (*see* CPL 190.25 [3] [d]).

So we have a simple problem and a simple solution, about which the Court does simply nothing. It is now simply up to the legislature. The majority deprives defendants of the CPL's core procedural protections. It eviscerates the efforts of our trial courts to require some minimal assurance that statements verified in a language unintelligible to the affiant are true, knowing that those statements will, in almost every case, never be tested for veracity. And it does so based upon a skewed vision of victim's rights in which inadequate or unknown translation is preferred to the truth. In the search for justice, an endless game of telephone is no mere child's play.

For the foregoing reasons and those set forth in Judge Rivera's dissent, I respectfully dissent.

In *People v Slade*: Order affirmed.

Opinion by Judge GARCIA. Chief Judge DiFIORE and Judges STEIN and FAHEY concur. Judge RIVERA dissents in an opinion,

9. Laudably, the NYPD provides all officers with cell phones to connect to Language Line while in the field, trains officers on how to recognize when an interpreter is required, and certifies bilingual officers to “provide[] an objective barometer of individuals’ fluency levels and help[] officers gauge when they need to seek assistance from a professional interpreter” (*NYPD and Legal Services NYC Announce New Language Access Policies*, NYPD Newsroom, May 24, 2017, <https://www1.nyc.gov/site/nypd/news/article.page?id=pr0524&permalinkName=nypd-legal-services-nyc-new-language-access-policies> [last accessed May 3, 2021]; *see also* City of Buffalo, Office of New Americans Initiatives, <https://www.buffalony.gov/423/Office-of-New-Americans-Initiatives> [last accessed May 3, 2021] [noting that the Buffalo Police Department language access plan includes Language Line telephone service, bilingual Buffalo Police Department members, civilian interpreters, and professional contract services, including in-person interpretation]). The resources to provide competent certificates of translation are already in place.

in which Judge WILSON concurs in a separate dissenting opinion.

In *People v Brooks*: Order reversed and case remitted to Criminal Court of the City of New York, Bronx County, for further proceedings in accordance with the opinion herein.

Opinion by Judge GARCIA. Chief Judge DiFIORE and Judges STEIN and FAHEY concur. Judge RIVERA dissents in an opinion, in which Judge WILSON concurs in a separate dissenting opinion.

In *People v Allen*: Order reversed and case remitted to District Court, Suffolk County, First District, for further proceedings in accordance with the opinion herein.

Opinion by Judge GARCIA. Chief Judge DiFIORE and Judges STEIN and FAHEY concur. Judge RIVERA dissents in an opinion, in which Judge WILSON concurs in a separate dissenting opinion.

[171 NE3d 1192, 150 NYS3d 79]

HIMMELSTEIN, McCONNELL, GRIBBEN, DONOGHUE & JOSEPH,
LLP, et al., Appellants, v MATTHEW BENDER & COMPANY,
INC., a Member of LEXISNEXIS GROUP, INC., Respondent.

Argued May 5, 2021; decided June 3, 2021

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered May 2, 2019. The Appellate Division affirmed an order of the Supreme Court, New York County (Charles E. Ramos, J.; op 2018 NY Slip Op 30294[U] [2018]), which had granted defendant's motion to dismiss the amended complaint pursuant to CPLR 3211 (a).

Himmelstein, McConnell, Gribben, Donoghue & Joseph, LLP v Matthew Bender & Company, Inc., 172 AD3d 405, affirmed.

HEADNOTES

Consumer Protection — Deceptive Acts and Practices — Consumer-Oriented Conduct — Omissions in Annual Edition of Legal Resource Manual

1. In an action alleging that defendant publisher engaged in deceptive business practices in violation of General Business Law § 349 in its marketing and sale of certain annual editions of a legal resource manual, plaintiffs sufficiently alleged that defendant's conduct was consumer-oriented. Supreme Court's determination that General Business Law § 349 was inapplicable to defendant's marketing and sale of the legal resource manual because the product was not directed at consumers at large for personal, family, or household use, but rather to legal professionals, was error. There is no textual support in General Business Law § 349 for a limitation on the definition of "consumer" based on use, and any such narrowing of the term "consumer" would be contrary to the legislative intent to protect the public against all forms of deceptive business practices (*see* General Business Law § 349 [a]). To the extent the First Department's analysis has relied on other statutory definitions of "consumer" or "consumer good" (*see Cruz v NYNEX Info. Resources*, 263 AD2d 285, 289 [1st Dept 2000]), such reliance is misplaced. The text and purpose of General Business Law § 349 do not support the importation of other statutory definitions because, unlike other provisions, section 349 broadly prohibits "[d]eceptive acts or practices in the conduct of any business, trade or commerce or in the furnishing of any service in this state" (General Business Law § 349 [a]). The fact that persons and businesses working in the legal field purchased defendant's legal resource manual did not mean that defendant's conduct was not consumer-oriented. Legal professionals are merely a subclass of consumers and consumer-oriented conduct need not be directed to all members of the public.

Consumer Protection — Deceptive Acts and Practices — Materially Misleading Acts — Omissions in Annual Edition of Legal Resource Manual

2. In an action alleging that defendant publisher engaged in deceptive business practices in violation of General Business Law § 349 in its market-

ing and sale of certain annual editions of a legal resource manual, the amended complaint was properly dismissed because plaintiffs could not plead the materially misleading element of a General Business Law § 349 cause of action. The amended complaint alleged that defendant misled plaintiffs to believe that the statutes and regulations contained in a certain part of the legal resource manual were full and accurate reproductions of the New York City and New York State rent control and stabilization laws and regulations. Defendant's conduct could not materially mislead a consumer into believing that defendant guaranteed the accuracy or currentness of the publication under the circumstances presented here. The legal materials contained in that part of the manual were subject to legislative amendment at any time, seriously undermining plaintiffs' contention that yearly publication was a representation that the manual was complete and accurate. The parties' agreement made clear that updates might be forthcoming during the edition year but were not guaranteed, and it fell to plaintiffs to confirm the manual's contents pending arrival of those updates. The disclaimer set forth in the parties' agreement stated that defendant did not warrant "the accuracy, reliability or currentness" of the manual's contents. The manual's susceptibility to revision at any time, coupled with the fact that the disclaimer addressed the precise deception alleged in plaintiffs' complaint, left no possibility that a reasonable consumer would have been misled about the contents of the manual.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Consumer and Borrower Protection §§ 274, 280, 284, 299.

McKINNEY'S, General Business Law § 349.

NY JUR 2d Consumer and Borrower Protection §§ 6–8, 16.

ANNOTATION REFERENCE

See ALR Index under Consumer Protection.

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POINTS OF COUNSEL

Fishmanlaw, PC, New York City (*James B. Fishman* of counsel), and *Anderson Kill P.C.*, New York City (*Jeffrey E. Glen* of counsel), for appellants. I. The first amended complaint amply states a claim that Matthew Bender & Company, Inc. engaged in deceptive business practices in violation of General Business Law § 349. (*Karlin v IVF Am.*, 93 NY2d 282; *Small v Lorillard Tobacco Co.*, 94 NY2d 43; *Goshen v Mutual Life Ins.*

Co. of N.Y., 98 NY2d 314; *Blue Cross & Blue Shield of N.J., Inc. v Philip Morris USA Inc.*, 3 NY3d 200; *Matter of Food Parade, Inc. v Office of Consumer Affairs of County of Nassau*, 7 NY3d 568; *Oswego Laborers' Local 214 Pension Fund v Marine Midland Bank*, 85 NY2d 20; *Varela v Investors Ins. Holding Corp.*, 81 NY2d 958; *Pelman ex rel. Pelman v McDonald's Corp.*, 396 F3d 508; *Koenig v Boulder Brands, Inc.*, 995 F Supp 2d 274; *M & T Mtge. Corp. v White*, 736 F Supp 2d 538.) II. The representations of completeness, accuracy and authoritative-ness that form an integral part of the Tanbook and its marketing are binding on Matthew Bender & Company, Inc. (*Joseph Martin, Jr., Delicatessen v Schumacher*, 52 NY2d 105; *Gillis v QRX Pharma Ltd.*, 197 F Supp 3d 557; *Imperia v Marvin Windows of N.Y.*, 297 AD2d 621; *Milau Assoc. v North Ave. Dev. Corp.*, 42 NY2d 482; *Jesmer v Retail Magic, Inc.*, 55 AD3d 171; *Deven Lithographers v Eastman Kodak Co.*, 199 AD2d 9; *CBS Inc. v Ziff-Davis Publ. Co.*, 75 NY2d 496; *Klein v Robert's Am. Gourmet Food, Inc.*, 28 AD3d 63; *Goldemberg v Johnson & Johnson Consumer Cos.*, 8 F Supp 3d 467; *Uniflex, Inc. v Olivetti Corp. of Am.*, 86 AD2d 538; *Wintel Serv. Corp. v MSW Elecs. Corp.*, 161 AD2d 764.) III. Matthew Bender & Company, Inc.'s failure to promptly notify its customers who had purchased the 2016 Tanbook that it had omitted, or incorrectly published, numerous significant portions of New York's rent regulations constituted a breach of contract and an ongoing fraudulent misrepresentation. (*Taormina v Hibsher*, 215 AD2d 549; *Union Ave Estates, LLC v Garsan Realty Inc.*, 170 AD3d 498.) IV. The Appellate Division incorrectly disregarded Matthew Bender & Company, Inc.'s breach of the implied covenant of good faith and fair dealing. (*Rowe v Great Atl. & Pac. Tea Co.*, 46 NY2d 62; *Smith v General Acc. Ins. Co.*, 91 NY2d 648; *Dalton v Educational Testing Serv.*, 87 NY2d 384; *Van Valkenburgh, Nooger & Neville v Hayden Publ. Co.*, 30 NY2d 34; *Kirke La Shelle Co. v Armstrong Co.*, 263 NY 79; *511 W. 232nd Owners Corp. v Jennifer Realty Co.*, 98 NY2d 144; *Peter R. Friedman, Ltd. v Tishman Speyer Hudson L.P.*, 107 AD3d 569.)

Skadden, Arps, Slate, Meagher & Flom LLP, New York City (Anthony J. Dreyer, Susan L. Saltzstein and Jordan A. Feirman of counsel), for respondent. I. Claims and legal theories raised for the first time on appeal are unpreserved and merely academic issues unnecessary to the disposition of the appeal are inappropriate for review. (*Elezaj v Carlin Constr. Co.*, 89 NY2d 992; *Bingham v New York City Tr. Auth.*, 99 NY2d 355; *U.S. Bank N.A. v DLJ Mtge. Capital, Inc.*, 33 NY3d 84; *Gaines*

v City of New York, 29 NY3d 1003; *JF Capital Advisors, LLC v Lightstone Group, LLC*, 25 NY3d 759; *Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801; *Matter of Hearst Corp. v Clyne*, 50 NY2d 707; *People v Carvajal*, 6 NY3d 305; *Lunney v Prodigy Servs. Co.*, 94 NY2d 242; *New York Pub. Interest Research Group v Carey*, 42 NY2d 527.) II. The General Business Law § 349 claim was properly dismissed and appellants' latest arguments (point I) are unpreserved, academic, and meritless. (*Stutman v Chemical Bank*, 95 NY2d 24; *Oswego Laborers' Local 214 Pension Fund v Marine Midland Bank*, 85 NY2d 20; *Gale v International Bus. Machines Corp.*, 9 AD3d 446; *Plavin v Group Health Inc.*, 35 NY3d 1; *Ballas v Virgin Media, Inc.*, 60 AD3d 712; *Ludl Elecs. Prods. v Wells Fargo Fin. Leasing*, 6 AD3d 397; *Against Gravity Apparel v Quarterdeck Corp.*, 267 AD2d 44; *Small v Lorillard Tobacco Co.*, 94 NY2d 43; *Baron v Pfizer, Inc.*, 42 AD3d 627; *Donahue v Ferolito, Vultaggio & Sons*, 13 AD3d 77.) III. The implied covenant claim was properly dismissed, and appellants' latest argument (point IV) is unpreserved, academic, and meritless. (*Murphy v American Home Prods. Corp.*, 58 NY2d 293; *Moran v Erk*, 11 NY3d 452; *Apogee Handcraft, Inc. v Verragio, Ltd.*, 155 AD3d 494; *TAG 380, LLC v ComMet 380, Inc.*, 10 NY3d 507.) IV. Points II and III of appellants' brief should be stricken because they concern claims that appellants did not seek to appeal to the Court of Appeals. (*Arrowhead Capital Fin., Ltd. v Cheyne Specialty Fin. Fund L.P.*, 32 NY3d 645; *Quain v Buzzetta Constr. Corp.*, 69 NY2d 376.) V. Even if the Court of Appeals could review the claim for breach of express warranty (point II), that claim was properly dismissed on multiple grounds. (*American Mfg. Co. v United States Shipping Bd. Emergency Fleet Corp.*, 7 F2d 565; *Joseph Martin, Jr., Delicatessen v Schumacher*, 52 NY2d 105; *Von Ancken v 7 E. 14 L.L.C.*, 171 AD3d 440, 33 NY3d 912; *Simone v Homecheck Real Estate Servs., Inc.*, 42 AD3d 518; *Brampton Textiles v Argenti, Inc.*, 162 AD2d 314; *Aracena v BMW of N. Am., LLC*, 159 AD3d 664; *CBS Inc. v Ziff-Davis Publ. Co.*, 75 NY2d 496; *Meyer v Alex Lyon & Son Sales Mgrs. & Auctioneers, Inc.*, 67 AD3d 547; *J.C. Constr. Mgt. Corp. v Nassau-Suffolk Lbr. & Supply Corp.*, 15 AD3d 623; *Schimmenti v Ply Gem Indus.*, 156 AD2d 658.) VI. Even if the Court of Appeals could consider the unpreserved contract and fraud claims based on an alleged "failure to promptly notify" (point III), those claims were properly dismissed on multiple grounds. (*Mandarin Trading Ltd. v Wildenstein*, 16 NY3d 173; *Credit Alliance Corp. v Arthur An-*

dersen & Co., 65 NY2d 536; *Eitan Ventures, LLC v Peeled, Inc.*, 94 AD3d 614; *RGH Liquidating Trust v Deloitte & Touche LLP*, 47 AD3d 516; *Havell Capital Enhanced Mun. Income Fund, L.P. v Citibank, N.A.*, 84 AD3d 588.) VII. Appellants should not be permitted to file a third pleading in this action.

Letitia James, Attorney General, New York City (Mark S. Grube, Barbara D. Underwood and Steven C. Wu of counsel), for State of New York, amicus curiae. General Business Law § 349 applies broadly to deceptive acts and practices aimed at consumers, and is not limited to purchases made for personal, family, or household purposes. (*Plavin v Group Health Inc.*, 35 NY3d 1; *Karlin v IVF Am.*, 93 NY2d 282; *Wilner v Allstate Ins. Co.*, 71 AD3d 155; *United States v Gonzales*, 520 US 1; *Lewis v United States*, 445 US 55; *Central Bank of Denver, N. A. v First Interstate Bank of Denver, N. A.*, 511 US 164; *Walker v Town of Hempstead*, 84 NY2d 360; *City of New York v Smokes-Spirits.Com, Inc.*, 12 NY3d 616; *Matter of State of New York v Colorado State Christian Coll. of Church of Inner Power*, 76 Misc 2d 50; *Statler v Dell, Inc.*, 775 F Supp 2d 474.)

OPINION OF THE COURT

RIVERA, J.

For several consecutive years, plaintiffs bought the annual edition of a legal resource manual published and sold by defendant. The main issue on this appeal is whether plaintiffs' complaint adequately pleaded a deceptive act or practice prohibited by General Business Law § 349, based on defendant's alleged misrepresentations about the completeness of the laws reproduced in one section of its publication. Although defendant's acts are consumer-oriented—as the alleged misrepresentations are contained in a manual that was then marketed to and available for purchase by consumers—defendant's acts were not materially misleading. Contrary to plaintiffs' argument, a consumer acting reasonably under the circumstances here would not have believed that defendant represented that the section at issue, containing rent control statutes and regulations, was current and accurate for its one-year shelf life.

I.

Plaintiffs Himmelstein, McConnell, Gribben, Donoghue & Joseph, LLP, Housing Court Answers, Inc., and Michael McKee are, respectively, a law firm that handles landlord-tenant ac-

tions, a nonprofit corporation that assists pro se litigants in housing court matters, and a tenant advocate and organizer. Plaintiffs brought this action on behalf of themselves and a putative class of purchasers of certain annual editions of New York Landlord-Tenant Law (the Tanbook), a compilation of New York legal materials on landlord-tenant law, against defendant Matthew Bender & Company Inc., the publisher of the Tanbook. The amended complaint alleges, inter alia, that defendant engaged in deceptive business practices in violation of General Business Law § 349 in its marketing and sale of the 2016 and prior editions of the Tanbook. Specifically, plaintiffs claim that defendant materially misrepresented that part III of the Tanbook contained a complete and accurate compilation of the statutes and regulations applicable to rent-controlled and rent-stabilized apartments in New York City, when, in fact, key portions were omitted or inaccurately presented. Plaintiffs contend that these omissions and inaccuracies rendered the Tanbook of no value to its users. Plaintiffs further allege that, after receiving complaints, defendant included the omitted statutes and regulations in the 2017 edition, which, although published late in the calendar year, was sold to plaintiffs and other subscribers at full price.

Defendant moved to dismiss the amended complaint under CPLR 3211 (a). Among other assertions, defendant argued that plaintiffs failed to plead the necessary elements of a General Business Law § 349 cause of action. In support, defendants submitted the affidavit of an Operations Director of Lexis-Nexis, a division of one of defendant's affiliates. The Operations Director provided a general overview of the Tanbook's contents and described the standard practices and contractual terms governing its sale and purchase. The Operations Director also described plaintiffs' respective purchases of the Tanbook and the lack of any complaints from them regarding the manual's contents. The agreement and order forms for each plaintiff's purchase of the Tanbook were attached to the affidavit.

Plaintiffs opposed the motion and responded, in part, that they had adequately alleged the elements of a General Business Law § 349 claim, specifically arguing that their pleading established that the sale of the Tanbook was "consumer oriented" under the Court's precedents, that the purported representations of completeness in the Tanbook were materially misleading, and that they were harmed by that deception

because they received a product that was seriously diminished in value. Supreme Court granted defendant’s motion and dismissed the complaint in its entirety.

The Appellate Division affirmed the order of dismissal, in part on different grounds (172 AD3d 405 [2019]). We granted plaintiffs leave to appeal (34 NY3d 908 [2020]).

II.

On a motion to dismiss a complaint pursuant to CPLR 3211, we must liberally construe the pleading and “accept the facts as alleged in the complaint as true, accord plaintiffs the benefit of every possible favorable inference, and determine only whether the facts as alleged fit within any cognizable legal theory” (*Leon v Martinez*, 84 NY2d 83, 87-88 [1994]; *Connaughton v Chipotle Mexican Grill, Inc.*, 29 NY3d 137, 141 [2017]). When, as here, a defendant moves for dismissal of a cause of action under CPLR 3211 (a) (1), their documentary evidence must “utterly refute[] plaintiff’s factual allegations, conclusively establishing a defense as a matter of law” (*Goshen v Mutual Life Ins. Co. of N.Y.*, 98 NY2d 314, 326 [2002]). Dismissal under CPLR 3211 (a) (7) “is warranted if the plaintiff fails to assert facts in support of an element of the claim, or if the factual allegations and inferences to be drawn from them do not allow for an enforceable right of recovery” (*Connaughton*, 29 NY3d at 142).

Plaintiffs allege that defendant’s characterization of the Tanbook’s contents deceptively indicated that part III contained a complete compilation of the rent control and stabilization laws and regulations applicable to New York City. Specifically, plaintiffs contrast the description of the Tanbook’s contents in the book’s “Overview” section, which, in describing other sections of the book, indicates that those sections consisted of “selected” laws and regulations or were merely “excerpts” thereof. In contrast, the Overview describes part III of the Tanbook as containing “*the* laws and regulations covering rent stabilization” (emphasis added). As conceded by defendant, part III omitted significant portions of the relevant laws and regulations. Plaintiffs claim that lawyers practicing landlord tenant law in New York City and the Housing Court judiciary use the Tanbook as a primary reference for the rent regulation laws and rules. They further claim that defendant’s conduct is a classic “bait and switch” and that they would not have purchased the Tanbook absent defendant’s alleged misrepre-

sensation of part III's completeness. Defendant responds that the omissions were an unfortunate mistake but not actionable misconduct. Defendant asserts that plaintiffs have failed to make out the elements of a General Business Law § 349 claim, in part because plaintiffs cannot plausibly argue that a reasonable consumer would have been misled by the alleged misrepresentation, given the nature of the misrepresentation, the product involved, and because the sales contracts expressly disclaimed the accuracy, reliability, and currentness of the Tanbook.

General Business Law § 349 (a) declares unlawful all “[d]eceptive acts or practices in the conduct of any business, trade or commerce or in the furnishing of any service in this state.” Section 349, “on [its] face[,] appl[ies] to virtually all economic activity” (*Karlin v IVF Am.*, 93 NY2d 282, 290 [1999]). Because the legislature was concerned with the impact of deceptive conduct on consumer purchases, General Business Law § 349 prohibits deceptive acts and practices that misrepresent the nature or quality of products and services (*see Teller v Bill Hayes, Ltd.*, 213 AD2d 141, 146 [2d Dept 1995]). Put simply, “[t]he statute seeks to secure ‘an honest market place’ where ‘trust,’ and not deception, prevails” (*Goshen v Mutual Life Ins. Co. of N.Y.*, 98 NY2d 314, 324 [2002], citing *Oswego Laborers’ Local 214 Pension Fund v Marine Midland Bank*, 85 NY2d 20, 25 [1995]). To ensure the broadest enforcement of the statute, the legislature added a private right of action for injunctive and monetary relief (General Business Law § 349 [h]). Thus, in addition to the Attorney General, individuals and businesses may bring an action under General Business Law § 349 (*id.*).

The requisite elements of the cause of action are well established. A plaintiff must allege that: (1) the defendant’s conduct was consumer-oriented; (2) the defendant’s act or practice was deceptive or misleading in a material way; and (3) the plaintiff suffered an injury as a result of the deception (General Business Law § 349 [h]; *Plavin v Group Health Inc.*, 35 NY3d 1, 10 [2020]). Thus, to avoid dismissal, plaintiffs must adequately plead each of these elements.

[1] Supreme Court determined that plaintiffs failed to demonstrate that the allegedly deceptive conduct was consumer-oriented. The court relied on First Department case law holding that consumers are those “who purchase goods and services for personal, family, or household use” (2018 NY Slip Op

30294[U], *15 [Sup Ct, NY County 2018], quoting *Medical Socy. of State of N.Y. v Oxford Health Plans, Inc.*, 15 AD3d 206, 207 [1st Dept 2005]), and that General Business Law § 349 does not apply to a business's purchase of "a widely sold service that can only be used by businesses" (*id.*, quoting *Cruz v NYNEX Info. Resources*, 263 AD2d 285, 286, 290 [1st Dept 2000]). Thus, the court determined that General Business Law § 349 is inapplicable to defendant's marketing and sale of the Tanbook because the product is not directed at consumers at large for personal, family, or household use, but rather to legal professionals. This was error.

First, there is no textual support in General Business Law § 349 for a limitation on the definition of "consumer" based on use. Indeed, any such narrowing of the term "consumer" would be contrary to the legislative intent to protect the public against all forms of deceptive business practices (*see* General Business Law § 349 [a]; *Karlin*, 93 NY2d at 290). To the extent the First Department's analysis has relied on other statutory definitions of "consumer" or "consumer good" (*see Cruz v NYNEX Info. Resources*, 263 AD2d 285, 289 [1st Dept 2000]), such reliance is misplaced. The text and purpose of General Business Law § 349 do not support the importation of other statutory definitions because, unlike other provisions, section 349 broadly prohibits "[d]eceptive acts or practices in the conduct of any business, trade or commerce or in the furnishing of any service in this state" (General Business Law § 349 [a]).

Second, given the text and purpose of General Business Law § 349, the Court has explained that an act or practice is consumer-oriented when it has "a broader impact on consumers at large" (*Oswego Laborers' Local 214 Pension Fund v Marine Midland Bank*, 85 NY2d 20, 25-27 [1995]; *New York Univ. v Continental Ins. Co.*, 87 NY2d 308, 320 [1995]). For example, the consumer-oriented element precludes a General Business Law § 349 claim based on "[p]rivate contract disputes, unique to the parties" (*Oswego*, 85 NY2d at 25). Nor does the consumer-oriented element depend on the use to be made of the product, as what matters is whether the defendant's allegedly deceptive act or practice is directed to the consuming public and the marketplace. In other words, General Business Law § 349 is focused on the seller's deception and its subsequent impact on consumer decision-making, not on the consumer's ultimate use of a product.

Plaintiffs allege that defendant advertised the Tanbook and made it available for sale to the general public, including through its website and a public, online shopping service. Defendant does not contend otherwise. Instead, it claims that the complaint is deficient because it alleges that the Tanbook is oriented towards legal professionals (i.e., lawyers, judges, and tenant advocates) rather than consumers. We are unpersuaded by defendant's attempt to limit the reach of General Business Law § 349.

The fact that persons and businesses working in the legal field purchase the Tanbook to assist in their professional endeavors is unsurprising given that the Tanbook is a legal resource manual, but that does not mean that the defendant's conduct was not consumer-oriented. Legal professionals are merely a subclass of consumers and, as we recently clarified, "consumer-oriented conduct" need not "be directed to *all* members of the public" (*Plavin*, 35 NY3d at 13).

Significantly, defendant's conduct is not unique to the parties before us. The marketing and sale of the Tanbook is not limited to a single transaction, as defendant sold it to a robust consumer base, including through a subscription plan whereby purchasers (including plaintiffs) automatically received new annual editions and updates. Nor is the sales agreement designed to the specifications of a particular buyer; defendant relies on a form contract with its customers. Thus, we conclude that plaintiffs sufficiently allege that defendant's conduct is consumer-oriented.

[2] However, the amended complaint was properly dismissed because plaintiffs cannot plead the materially misleading element of a General Business Law § 349 cause of action. A defendant's actions are materially misleading when they are "likely to mislead a reasonable consumer acting reasonably under the circumstances" (*Gaidon v Guardian Life Ins. Co. of Am.*, 94 NY2d 330, 344 [1999]). What is objectively reasonable depends on the facts and context of the alleged misrepresentations and "may be determined as a matter of law or fact (as individual cases require)" (*Oswego*, 85 NY2d at 26).

The amended complaint alleges that defendant misled plaintiffs to believe that the statutes and regulations contained in part III of the Tanbook were full and accurate reproductions of the New York City and State rent control and stabilization

laws and regulations.¹ Plaintiffs' allegations are based on various statements in the Tanbook, its advertisements, and the fact that the Tanbook is published annually. For the reasons we discuss below, defendant's conduct could not materially mislead a consumer into believing that defendant guaranteed the accuracy or currentness of the publication under the circumstances presented here. As even plaintiffs concede, the legal materials contained in part III are subject to legislative amendment at any time,² seriously undermining plaintiffs' contention that yearly publication was a representation that the Tanbook was complete and accurate. Similarly, to the extent that defendant's statements misrepresented the contents of the Tanbook, such purported misrepresentations are not materially misleading under all the circumstances, including defendant's disclaimer.

Plaintiffs' claims are significantly undercut by defendant's supporting documentary evidence, including the undisputed terms and conditions of the contract for purchase, which constitutes the entire agreement between defendant and each plaintiff. Plaintiffs contracted for editions of the Tanbook under a "[n]on-[s]ervice [s]ubscription whose price does not include [u]pdates." Thus, in addition to the Tanbook, plaintiffs would automatically receive "any supplementation, releases, replacement volumes, new editions and revisions . . . made available during the annual subscription period" along with invoices for the additional cost of any updated materials. Therefore, defendant expressly offered, and plaintiffs chose to receive, automatic serial mailings of the year's Tanbook edition upon its publication, with any updates to that edition—if and when they became available—at an additional and separate cost charged by invoice and sent with the update. As the agreement makes clear, updates might be forthcoming during the edition year but were not guaranteed, and it fell to plaintiffs to confirm

1. In our assessment of plaintiffs' amended complaint, we are cognizant of our obligation to read the pleadings liberally, affording plaintiffs the benefit of every possible favorable inference (*Leon*, 84 NY2d at 87-88). Contrary to the dissent's assertion (dissenting op at 184), we reach our conclusion based on this standard for a motion to dismiss, not summary judgment. That standard requires, on a motion to dismiss under CPLR 3211 (a) (1), that we consider, in addition to the amended complaint, plaintiffs' affidavits and defendant's documentary evidence.

2. In fact, as plaintiffs point out, the legislature significantly altered the laws contained in part III after the publication of the 2019 edition, thereby rendering the Tanbook out of date once those amendments became law.

the Tanbook's contents pending arrival of those updates. It is therefore clear to a consumer that the Tanbook is not a completely accurate compilation of the law.

Defendant also relies on the express disclaimer included in the terms and conditions. A disclaimer may not bar a General Business Law § 349 claim at the pleading stage unless it utterly refutes plaintiff's allegations, and thus establishes a defense as a matter of law (*see Goshen*, 98 NY2d at 326; *Fink v Time Warner Cable*, 714 F3d 739, 742 [2d Cir 2013]). The defendant must do more than disclaim liability generally; instead, a disclaimer must address the alleged deceptive conduct precisely, so as to eliminate any possibility that a reasonable consumer would be misled (*id.*; *see also Gaidon*, 94 NY2d at 345).³ Furthermore, where the overall impression of the representations is misleading (notwithstanding the disclaimer), the disclaimer is not a defense as a matter of law (*see Goshen*, 98 NY2d at 326; *Delgado v Ocwen Loan Servicing, LLC*, 2014 WL 4773991, *9, 2014 US Dist LEXIS 135758, *25-28 [ED NY, Sept. 24, 2014, No. 13-CV-4427 (NGG)(RML)]). For example, in *Gaidon*, where plaintiffs claimed the defendant life insurance companies' alleged "vanishing premium" scheme was a deceptive practice in violation of General Business Law § 349, the Court held that the defendants' disclaimer that future dividends and values were not guaranteed did not preclude the claim because those representations did not "speak to the true, unrevealed relationship between dividend/interest rates and the vanishing dates as represented" (94 NY2d at 339, 341, 345).

The disclaimer set forth in the parties' agreement states, "WE DISCLAIM ALL WARRANTIES WITH RESPECT TO PUBLICATIONS, EXPRESS OR IMPLIED . . . WE DO NOT WARRANT THE ACCURACY, RELIABILITY OR CURRENTNESS OF THE MATERIALS CONTAINED IN THE PUBLICATIONS." Plaintiffs do not dispute that the disclaimer was included in at least one invoice sent to each of them. Yet plaintiffs nonetheless allege that defendant misled them based on omissions in part III of the Tanbook—a section that plaintiffs knew was subject to revision and whose accuracy defendant could not ensure, since the statutes and regulations

3. In the cases cited by the dissent (dissenting op at 184), the Court concluded that, on the unique facts of those cases, the respective disclaimer did not utterly refute the plaintiff's allegations.

are subject to revision. The Tanbook’s susceptibility to revision at any time, coupled with the fact that the disclaimer addresses the precise deception alleged in plaintiffs’ complaint, leaves no possibility that a reasonable consumer would have been misled about the contents of the Tanbook.

That plaintiffs characterize defendant’s alleged deception as an attempt to hide the Tanbook’s lack of “completeness” (as opposed to “accuracy” or “currentness”) does not affect our analysis. The disclaimer states that defendant does not warrant “the accuracy, reliability or currentness” of the Tanbook’s contents. This phrase is equivalent to a disclaimer of completeness. Indeed, plaintiffs’ allegation that the Tanbook is incomplete turns entirely on whether the content is accurate, reliable, and current.

The fact that a purchaser might not buy the Tanbook without an accurate and complete reproduction of the statutes and regulations—because, as plaintiffs allege, that would render the Tanbook unreliable—goes to whether defendant is offering an item worth buying, not whether defendant has deceived consumers about the nature of its product. General Business Law § 349 is concerned only with the latter conduct.

In sum, plaintiffs’ cause of action is based on purchases of yearly editions of the Tanbook, under a sales agreement that charged extra for any updates of the year’s materials contained in the corresponding edition. Plaintiffs’ allegations are limited to omissions and inaccuracies in a section of the Tanbook they knew was subject to legislative amendment, which they concede were corrected in the 2017 edition after the errors were brought to defendant’s attention, and which were specifically contemplated by defendant’s express disclaimer of the currentness of the Tanbook’s contents. Under the circumstances, plaintiffs, or any reasonable consumer, could not have been materially misled to believe that defendant guaranteed part III of the Tanbook was complete and accurate at any given time. Thus, because plaintiffs failed to adequately plead this element, their General Business Law § 349 cause of action was properly dismissed.⁴

4. Given our conclusion, we have no occasion to address whether the Appellate Division correctly determined that plaintiffs failed to adequately allege injury under the statute and this Court’s holding in *Small v Lorillard Tobacco Co.* (94 NY2d 43 [1999]).

III.

Plaintiffs' remaining arguments challenging the dismissal of their other causes of action are either without merit or are not properly before us. Accordingly, the order of the Appellate Division should be affirmed, with costs.

FAHEY, J. (dissenting in part). I respectfully dissent. Plaintiffs sufficiently pleaded all elements of a cause of action based on General Business Law § 349, and that cause of action in the amended complaint should be reinstated.

To adequately state a claim under General Business Law § 349, “a plaintiff must allege that a defendant has engaged in (1) consumer-oriented conduct that is (2) materially misleading and that (3) plaintiff suffered injury as a result of the allegedly deceptive act or practice” (*Plavin v Group Health Inc.*, 35 NY3d 1, 10 [2020], quoting *Koch v Acker, Merrall & Condit Co.*, 18 NY3d 940, 941 [2012]). I agree with my colleagues in the majority that plaintiffs have sufficiently alleged consumer-oriented conduct, and that the First Department’s case law requiring the good or service to be purchased for personal, family, or household use in order to satisfy the consumer-oriented element is incorrect. As the majority explains (*see* majority op at 177-178), the First Department’s standard is not supported by the text of the statute, its legislative purpose, or this Court’s precedent.

Moreover, in *Cruz v NYNEX Info. Resources* (263 AD2d 285 [1st Dept 2000]), the First Department erred in relying upon other statutes contained within the General Business Law that define the term “consumer” or “consumer goods” to pertain to goods or services purchased for personal, family, or household use (*see Cruz*, 263 AD2d at 289; General Business Law §§ 399-c [1] [b]; 399-p [1] [c]). The legislature included no such language in General Business Law § 349 and is therefore presumed to have intentionally omitted it (*see Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55, 60-61 [2013]). Instead, the legislature prohibited deceptive acts or practices “in the conduct of *any* business, trade or commerce or in the furnishing of *any* service in this state” (General Business Law § 349 [a] [emphasis added]; *see Polonetsky v Better Homes Depot*, 97 NY2d 46, 53 [2001]). Our precedent requires the plaintiff to “demonstrate that the acts or practices have a broader impact on consumers at large,” as distinguished from “[p]rivate contract disputes, unique to the parties” in or

der for the alleged conduct to be consumer-oriented (*Oswego Laborers' Local 214 Pension Fund v Marine Midland Bank*, 85 NY2d 20, 25 [1995]; see *Plavin*, 35 NY3d at 10-13). That standard was met here. It is irrelevant that the Tanbook was primarily marketed to and purchased by businesses and professionals. A business may be a consumer.

I cannot agree with the majority, however, that plaintiffs failed to sufficiently allege conduct that was materially misleading. Plaintiffs have essentially articulated two theories of alleged deceptive conduct: (1) that defendant's statements on its online store and in the Tanbook itself would lead a reasonable consumer to believe that the Tanbook contained all the updated laws regarding rent regulation and stabilization; and (2) the fact that the Tanbook is updated and purchased by customers annually would lead a reasonable consumer to believe that the Tanbook was updated on an annual basis with the changes to the law that were made the previous year, i.e., that consumers were not merely purchasing another copy of the same book each year.¹

This is a motion to dismiss. The latter theory is not well articulated in the amended complaint but was expressly stated in plaintiffs' affidavits in opposition to the motion. On a motion to dismiss, plaintiffs must be given "the benefit of every possible favorable inference" and we must "determine only whether the facts as alleged fit within any cognizable legal theory" (*Leon v Martinez*, 84 NY2d 83, 87-88 [1994]). The question "is whether the proponent of the pleading has a cause of action, not whether he has stated one," and the Court should "freely consider affidavits submitted by the plaintiff to remedy any defects in the complaint" (*id.* at 88 [internal quotation marks omitted]).

Defendant argues that the amended complaint fails to allege that plaintiffs actually saw the allegedly deceptive statements

1. Adopting defendant's baseless theory that plaintiffs have alleged that the Tanbook must be accurate "up-to-the-minute," the majority incorrectly concludes that plaintiffs' claims are seriously undermined by the fact that the legislative materials contained within the Tanbook are subject to amendment at any time (majority op at 178-180). Plaintiffs have contended only that "it is more than reasonable to believe that an annually issued book, which prominently bears the current year on its cover, is complete and accurate 'up-to-the-year' and that it contains all amendments and modifications occurring during the prior year." Plaintiffs' amended complaint alleges, for example, that the 2016 edition of the Tanbook failed to include legislative amendments to statutes contained within the text even though those amendments had taken place years, even a decade, earlier.

upon which they rely before they purchased the Tanbook. Defendant concedes that reliance is not an element of a General Business Law § 349 claim but asserts that causation is required (see *Koch*, 18 NY3d at 941; *Stutman v Chemical Bank*, 95 NY2d 24, 29-30 [2000]; *Oswego*, 85 NY2d at 26). Affording the amended complaint a liberal construction and extending plaintiffs every possible favorable inference, I would conclude that causation with respect to the allegedly deceptive statements may be adequately inferred from the allegations in the amended complaint and plaintiffs' affidavits. Even if that theory were insufficiently pleaded, however, plaintiffs' theory based on the annual update of the Tanbook would remain.

Defendant's disclaimer does not establish a defense as a matter of law pursuant to CPLR 3211 (a) (1). This Court has repeatedly rejected the assertion that a disclaimer establishes a defense as a matter of law to a General Business Law § 349 claim at the pleading stage (see *Koch*, 18 NY3d at 941, citing *Goshen v Mutual Life Ins. Co. of N.Y.*, 98 NY2d 314, 326-327 [2002]; see *Gaidon v Guardian Life Ins. Co. of Am.*, 94 NY2d 330, 345 [1999]). A disclaimer is not a per se bar to a General Business Law § 349 cause of action, even when it is specific. This theory would allow routine disclaimers to render the consumer protections, codified by the statute, meaningless. Rather, defendant's disclaimer must be considered as one part of the overall analysis in determining whether the alleged deceptive conduct was "likely to mislead a reasonable consumer acting reasonably under the circumstances" (*Oswego*, 85 NY2d at 26). Plaintiffs have adequately pleaded that element, which is not amenable to resolution at the motion to dismiss stage. In concluding otherwise, the majority has treated defendant's motion to dismiss as a motion for summary judgment.

Finally, because I conclude that the first two elements of the cause of action were adequately pleaded, I address the third element: whether plaintiffs alleged a cognizable injury. Relying on our decision in *Small v Lorillard Tobacco Co.* (94 NY2d 43 [1999]), the First Department concluded that this element was not satisfied "because the only injury alleged to have resulted from defendant's allegedly deceptive business practices is the amount that plaintiffs paid for the book, which does not constitute an injury cognizable under the statute" (172 AD3d 405, 406 [1st Dept 2019]). In *Small*, this Court "disagree[d]" with the plaintiffs' contention that "consumers who buy a product that they would not have purchased, absent a manufacturer's

deceptive commercial practices, have suffered an injury under General Business Law § 349” (*Small*, 94 NY2d at 56).

Although there may be different ways to interpret *Small*, this broad statement at face value was incorrect. It is unsupported by the text of the statute or its legislative history and purpose. The Court did not explain in *Small* why the cost of a product that the plaintiff would not have purchased but for the seller’s deceptive practices does not constitute a cognizable injury. The underlying legislative purpose behind General Business Law § 349, as well as common sense, requires the conclusion that when a consumer would not have purchased a product but for the defendant’s deceptive conduct, that consumer has suffered a cognizable injury, i.e., the price that the consumer paid for the product. In that scenario, the money the consumer paid for the product would still be in the consumer’s possession but for the defendant’s deceptive practices. The use of deception to induce a consumer to buy a product is precisely the kind of conduct the legislature sought to prohibit with General Business Law § 349.²

For example, if one purchases a novel for \$20 because it advertises on its cover that it was written by a famous author, but in reality, the book was written by an unknown author, the consumer has suffered a cognizable injury: the \$20 paid for the book. Of course, the parties could litigate whether the book had some value even without the involvement of the famous author (*cf. Rice v Penguin Putnam*, 289 AD2d 318, 318-319 [2d Dept 2001], *lv dismissed and denied* 98 NY2d 635 [2002]). That, however, pertains to the *measure* of damages; it does not mean

2. Further support for this commonsense view of consumer protection comes from the federal context. Sections 349 and 350 of the General Business Law were modeled upon the Federal Trade Commission Act (*see Oswego*, 85 NY2d at 26; *Matter of People v Applied Card Sys., Inc.*, 11 NY3d 105, 121 n 14 [2008]). The FTC Act does not bar recovery of the price a consumer pays for a deceptively sold good. Far from it. “[B]ecause the FTC Act is designed to protect consumers from economic injuries, courts have often awarded the full amount lost by consumers” (*Federal Trade Commn. v Stefanchik*, 559 F3d 924, 931 [9th Cir 2009]). Nothing in the text or history of section 349 reveals any intent by the legislature to bar consumers from recovering money spent as a result of a seller’s deception, an essential and long-standing protection under the FTC Act (*see Federal Trade Commn. v Figgie Intl., Inc.*, 994 F2d 595, 606 [9th Cir 1993] [interpreting “injury to consumers” under the FTC Act as encompassing “the amount consumers spent on (a product) that would not have been spent absent (the seller’s) dishonest practices”], *cert denied* 510 US 1110 [1994]).

that the consumer has failed to allege a cognizable injury in the first instance.³

Small should be corrected by this Court at the appropriate opportunity, or, alternatively, by the legislature.

I agree with the majority that plaintiffs' remaining contentions are without merit. Accordingly, I would modify the order of the Appellate Division by reversing that part affirming the dismissal of the General Business Law § 349 cause of action.

Chief Judge DiFIORE and Judges STEIN, GARCIA and WILSON concur; Judge FAHEY dissents in part in an opinion.

Order affirmed, with costs.

3. Even then, the buyers may be able to recover the full purchase price. Federal courts interpreting the FTC Act have often allowed recovery of the full purchase price of a good, even if the product had some residual value to purchasers (see *Figgie Intl.*, 994 F2d at 606 [declining to offset damages for deceptively-marketed heat detectors based on the value retained by consumers because "(t)he fraud in the selling, not the value of the thing sold, is what entitles consumers in this case to full refunds"]; *Federal Trade Commn. v Kuykendall*, 371 F3d 745, 766 [10th Cir 2004] [adopting the 9th Circuit's analysis in *Figgie Intl.* and concluding that the court "need not offset (damages by) the value of any product the defrauded consumers received"]).

[173 NE3d 61, 151 NYS3d 1]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JOSEPH SCHNEIDER, Appellant.

Argued May 5, 2021; decided June 3, 2021

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered October 16, 2019. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (Danny K. Chun, J.), which had convicted defendant, upon a plea of guilty, of enterprise corruption, promoting gambling in the first degree, possession of gambling records in the first degree, and conspiracy in the fifth degree. The appeal to the Appellate Division brought up for review the denial, without a hearing, of that branch of defendant's omnibus motion which was to suppress evidence obtained pursuant to eavesdropping warrants.

People v Schneider, 176 AD3d 979, affirmed.

HEADNOTE

Crimes — Eavesdropping Warrants — Jurisdiction

Eavesdropping warrants are executed in the geographical jurisdiction where the communications are intentionally intercepted by authorized law enforcement officers within the meaning of CPL article 700. Accordingly, a Kings County Supreme Court Justice had jurisdiction to issue eavesdropping warrants for defendant's cell phones, which were not physically present in New York, for the purpose of gathering evidence in an investigation of enterprise corruption and gambling offenses committed in Kings County. CPL 700.05 (4) provides that "any justice of the supreme court of the judicial district in which the eavesdropping warrant is to be executed" is authorized to issue an eavesdropping warrant. When that section is read as an integrated whole and in a commonsense manner along with other sections of the CPL and correlative Penal Law definitions, the statute makes plain that a warrant is "executed" at the time when and at the location where a law enforcement officer intentionally records or overhears telephonic communications and accesses electronic communications targeted by the warrant. Execution of a warrant depends on the action of authorized law enforcement officers vis-à-vis the communications and does not depend on the location of a target, the target's communication devices, or the participants engaged in the call.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Searches and Seizures §§ 391, 395, 413.

CARMODY-WAIT 2d Search and Seizure §§ 173:195, 173:196, 173:200, 173:205, 173:213.

LaFAVE, ET AL., CRIMINAL PROCEDURE (4th ed) § 4.3.

McKINNEY'S, CPL 700.05 (4); 700.30 (9).

NY JUR 2d Criminal Law: Procedure §§ 372, 379, 381, 390.

ANNOTATION REFERENCE

See ALR Index under Eavesdropping and Wiretapping; Warrants.

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POINTS OF COUNSEL

Stephen N. Preziosi P.C., New York City (*Stephen N. Preziosi* of counsel), for appellant. I. The lower court erred and acted beyond the scope of its authority when it authorized eavesdropping warrants for a California resident who never set foot in New York and never made calls to or received calls from New York and committed no crimes in New York. (*People v Shapiro*, 50 NY2d 747; *United States v Rodriguez*, 968 F2d 130; *People v Delacruz*, 156 Misc 2d 284; *People v Perez*, 18 Misc 3d 582; *People v Capolongo*, 85 NY2d 151; *Stegemann v Rensselaer County Sheriff's Off.*, 155 AD3d 1455.) II. The lower court violated the Due Process Clause, the Privileges and Immunities Clause, and the Full Faith and Credit Clause of the US Constitution, and the separate sovereign doctrine when it authorized an eavesdropping warrant on a cell phone in a state that does not permit electronic eavesdropping for gambling related offenses and does not permit eavesdropping from another state absent a joint state investigation. (*People v LaFontaine*, 92 NY2d 470; *Padula v Lilarn Props. Corp.*, 84 NY2d 519; *Global Reins. Corp.-U.S. Branch v Equitas Ltd.*, 18 NY3d 722; *Miller v Miller*, 22 NY2d 12; *Carroll v Lanza*, 349 US 408; *Matter of Luna v Dobson*, 97 NY2d 178; *Heath v Alabama*, 474 US 82; *Nielsen v Oregon*, 212 US 315; *Sandberg v McDonald*, 248 US 185; *Katz v United States*, 389 US 347.)

Eric Gonzalez, District Attorney, Brooklyn (*Morgan J. Dennehy* and *Leonard Joblove* of counsel), for respondent. I. Supreme Court, Kings County, had jurisdiction to issue the

eavesdropping warrants that authorized the monitoring of defendant's cell phone, because the warrants were executed in Kings County. (*Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653; *People v Andujar*, 30 NY3d 160; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *People v Roberts*, 31 NY3d 406; *Matter of Avella v City of New York*, 29 NY3d 425; *People v Perez*, 18 Misc 3d 582; *People v Delacruz*, 156 Misc 2d 284; *Stegemann v Rensselaer County Sheriff's Off.*, 155 AD3d 1455; *United States v Rodriguez*, 968 F2d 130; *United States v Henley*, 766 F3d 893.) II. The issuance of the eavesdropping warrants by a New York court did not violate defendant's constitutional rights. (*People v Hlatky*, 153 AD3d 1538; *Matter of Doe v O'Donnell*, 86 AD3d 238; *Matter of Gordon*, 48 NY2d 266; *Hicklin v Orbeck*, 437 US 518; *Matter of Luna v Dobson*, 97 NY2d 178; *Matter of Whitney*, 57 AD3d 1142; *Nielsen v Oregon*, 212 US 315.)

Sandra Doorley, District Attorneys Association of the State of New York (*Susan Axelrod* and *Alan Gadline* of counsel), for District Attorneys Association of the State of New York, amicus curiae. New York's Penal Law and Criminal Procedure Law permit courts to issue eavesdropping warrants even when certain intercepted conversations will be between cell phone users who are not in New York State, so long as the issuing court has jurisdiction over the investigation and the listening post is within that jurisdiction. (*United States v Rodriguez*, 968 F2d 130; *United States v Jackson*, 849 F3d 540; *United States v Vega*, 826 F3d 514; *United States v Cano-Flores*, 796 F3d 83; *United States v Henley*, 766 F3d 893; *United States v Luong*, 471 F3d 1107; *United States v Denman*, 100 F3d 399; *Riley v California*, 573 US 373; *People v Capolongo*, 85 NY2d 151; *People v Perez*, 18 Misc 3d 582.)

OPINION OF THE COURT

Chief Judge DiFiore.

The issue raised on defendant's appeal is whether a Kings County Supreme Court Justice had jurisdiction to issue eavesdropping warrants for defendant's cell phones, which were not physically present in New York, for the purpose of gathering evidence in an investigation of enterprise corruption and gambling offenses committed in Kings County. To resolve defendant's jurisdictional challenge, we must decide whether the eavesdropping warrants were "executed" in Kings County within the meaning of Criminal Procedure Law § 700.05 (4).

We hold that eavesdropping warrants are executed in the geographical jurisdiction where the communications are intentionally intercepted by authorized law enforcement officers within the meaning of CPL article 700. Accordingly, the order of the Appellate Division should be affirmed.

I.

Law enforcement officers in Kings County conducted a two-year investigation into an illegal gambling enterprise. In the early stages of the investigation, an undercover agent met with defendant's accomplice, PD, and placed bets at a location in Kings County. A variety of investigative tools were used to identify coconspirators and gather evidence, including physical surveillance and the installation of a bugging device and video surveillance at the Kings County location. Investigators obtained eavesdropping warrants on the cell phones of multiple targets, including targets physically present in New York. Defendant's participation in the illegal gambling enterprise was uncovered when his telephonic communications were intercepted pursuant to a warrant authorizing eavesdropping on the cell phone of PD, who regularly came to Kings County in furtherance of the gambling enterprise. In the intercepted calls, defendant and PD were overheard discussing password-protected Internet accounts on sports gambling websites, through which defendant controlled the usernames, passwords, betting limits, gambling lines and spreads for all his gambling clients.

The Kings County District Attorney applied for 11 successive eavesdropping warrants to intercept communications on three cell phones linked to defendant, at least two of which did not have subscriber information but were connected to defendant by voice identification. A Kings County Supreme Court Justice issued the warrants after finding probable cause to believe that defendant was engaging in designated gambling offenses in Kings County, mainly through his website "thewagerspot.com," and that "normal investigative procedures . . . reasonably appear[ed] to be unlikely to succeed" (CPL 700.15 [4]), justifying the use of eavesdropping. The warrants, as provided by statute, directed the particular communications service providers that controlled and operated the telephone wires and other digital and computer systems that transferred the telephonic and electronic communications to "provide all information, facilities, and technical assistance" to law enforcement to execute the warrants in Kings County.

Defendant was subsequently indicted in Kings County, along with seven others, for enterprise corruption, promoting gambling and related crimes. Among other acts attributed to defendant, the indictment alleged that on 17 specific dates between September 13, 2015, and January 3, 2016, in Kings County, defendant and his accomplices received or accepted five or more illegal sports wagers on each date through defendant's gambling website, totaling more than five thousand dollars on each occasion. Defendant moved to suppress the evidence obtained pursuant to the warrants.¹ He did not assert that the government interception of his communications violated his constitutional privacy interests. Nor did he dispute that the charges were properly brought in Kings County based on the commission of designated crimes in that location. Instead, as relevant here, defendant claimed that the Kings County Supreme Court Justice lacked the authority to issue the eavesdropping warrants because defendant and his cell phones were not located in New York and his intercepted communications involved call participants who were not physically present in New York and therefore execution of the warrants did not occur in Kings County. He also claimed that the People violated his due process rights, the separate sovereign doctrine and other constitutional limitations because California law does not include gambling offenses as designated crimes for eavesdropping.

The suppression court denied the motion, concluding that there was probable cause to believe that defendant committed the designated gambling crimes (CPL 700.05 [8]) in Kings County, that the warrant was executed at a facility in Kings County where the communications were overheard and accessed by authorized law enforcement, and the warrants were properly issued by a justice in Kings County. The court further rejected defendant's claim that, under this approach, a judicial warrant allows law enforcement to "re-route phone calls being made anywhere in the country to Kings County and thereby have nation-wide jurisdiction." The court concluded that since the crimes were allegedly committed in Kings County, there was jurisdiction to prosecute the crimes and a sufficient nexus for the issuance of the eavesdropping warrants in that county.

Defendant entered a guilty plea to all counts of the indictment against him. The Appellate Division affirmed the judg-

1. Defendant's suppression motion addressed only one of the three intercepted phone numbers attributed to him.

ment, holding that the suppression court properly denied defendant's motion to suppress the eavesdropping evidence because CPL article 700 authorized the Supreme Court Justice in Kings County to issue warrants that would be "executed" in that court's judicial district, meaning where the communications would be "intentionally overheard or recorded" (176 AD3d 979, 980 [2d Dept 2019], quoting CPL 700.05 [3] [a]). The Court also rejected defendant's claim that the warrants represented an unconstitutional extraterritorial application of New York State law. A Judge of this Court granted defendant leave to appeal (34 NY3d 1132 [2020]).

II.

There is no dispute here that law enforcement agents must obtain a judicial warrant to intercept real-time cell phone communications. Historically, the Fourth Amendment guarantee against unreasonable searches and seizures (US Const Amend IV) focused on whether the government obtained information by physical intrusions on constitutionally protected areas (*see Carpenter v United States*, 585 US —, —, 138 S Ct 2206, 2213 [2018]; *Olmstead v United States*, 277 US 438 [1928]). However, over 50 years ago, it was established that " 'the Fourth Amendment protects people, not places,' [which] expanded [the] conception of the Amendment to protect certain expectations of privacy" (*Carpenter*, 585 US at —, 138 S Ct at 2213, quoting *Katz v United States*, 389 US 347, 351 [1967]). Given the more modern appreciation "that property rights are not the sole measure of Fourth Amendment violations," a person's right to privacy has become the paramount concern in assessing the reasonableness of government intrusions, especially as "innovations in surveillance tools . . . ha[ve] enhanced the Government's capacity to encroach upon areas normally guarded from inquisitive eyes," and courts must continue to "secure the privacies of life against arbitrary power" (*Carpenter*, 585 US at —, 138 S Ct at 2213-2214 [internal quotation marks omitted]; *see also Katz*, 389 US at 351-352; *Riley v California*, 573 US 373, 381-382 [2014]).

In New York, article I, § 12 of the New York State Constitution authorizes the issuance of eavesdropping warrants as a law enforcement investigative tool to overhear and intercept telephonic communications, provided that certain safeguards against unreasonable privacy invasions are met. "[I]n addition to tracking the language of the Fourth Amendment" (*People v*

Weaver, 12 NY3d 433, 438-439 [2009]), article I, § 12, adopted in 1938, provides in relevant part that

“[t]he right of the people to be secure against unreasonable interception of telephone and telegraph communications shall not be violated, and ex parte orders or warrants shall issue only upon oath or affirmation that there is reasonable ground to believe that evidence of crime may be thus obtained, and identifying the particular means of communication, and particularly describing the person or persons whose communications are to be intercepted and the purpose thereof.”

New York State’s express constitutional privacy protections for telephonic communications predated the United States Supreme Court’s recognition of the Fourth Amendment protection against eavesdropping (*see Katz*, 389 US at 351-353; *see also People v Capolongo*, 85 NY2d 151, 158 [1995]). Yet, our early statutory procedure for obtaining evidence by wiretap order was struck down as unconstitutional under the Fourth Amendment due to the absence of additional protections, given the gravity of the privacy invasion in overhearing the content of the communications (*see Berger v New York*, 388 US 41 [1967]).²

In response to United States Supreme Court decisions in *Katz* and *Berger*, which invalidated government eavesdropping operations based on their failure to employ adequate privacy protections (*see Capolongo*, 85 NY2d at 159), Congress enacted title III of the Omnibus Crime Control and Safe Streets Act of 1968 (Pub L 90-351, tit III, 82 US Stat 211, codified at 18 USC § 2510 *et seq.*), “imposing upon the States minimum standards for electronic surveillance” (*Capolongo*, 85 NY2d at 159; *see also* L 1969, ch 1147). States were permitted to adopt procedures and standards that were more restrictive than those imposed by federal law or to prohibit wiretapping completely (*see id.*; *see also* 18 USC § 2516).

Soon after title III was enacted, our state legislature enacted CPL article 700, which sets forth the procedural mechanism

2. The federal exclusionary rule recognized in *Weeks v United States* (232 US 383 [1914]), prohibiting the use in federal court of any evidence seized in violation of the Fourth Amendment, was extended to illegally seized wiretap evidence (*see Nardone v United States*, 302 US 379 [1937]). New York followed suit in 1962, enacting CPLR 4506, which barred admission of any eavesdropping evidence that was unlawfully obtained (*see Capolongo*, 85 NY2d at 158, citing L 1962, ch 308).

for securing a court-ordered eavesdropping warrant (*see Capolongo*, 85 NY2d at 159). In enacting article 700, the state legislature sought to “afford law enforcement ‘greater flexibility in the employment of eavesdropping as an effective weapon against crime’ and, in particular, organized crime, ‘where the obtaining of evidence for successful prosecutions is often extremely difficult’ ” (*People v Rabb*, 16 NY3d 145, 151 [2011], quoting Governor’s Approval Mem, Bill Jacket, L 1969, ch 1147, 1969 NY Legis Ann at 586). Complying with federal law, New York also gave effect to our “strong public policy of protecting citizens against the insidiousness of electronic surveillance” by requiring strict compliance with CPL article 700 (*see Capolongo*, 85 NY2d at 159-160). Issuance of the eavesdropping warrants based on demonstrated probable cause, which is not challenged here, satisfied the overarching constitutional privacy protections.

Before discussing the relevant statutory language as to what constitutes the point of execution of the warrant for the purpose of jurisdiction under CPL 700.05, some context with regard to the geographical predicates to conduct eavesdropping investigations and issue eavesdropping warrants is instructive. As a first principle, the court’s jurisdiction to issue eavesdropping warrants is not boundless, but is limited by the rules of geographical jurisdiction set forth in our State Constitution and CPL article 20. Under our State Constitution, a defendant generally has a right to be tried in the county where the crime was committed (*see People v Greenberg*, 89 NY2d 553, 555 [1997]; NY Const, art I, § 2). A person may be prosecuted in a particular county where conduct occurred establishing an element of an offense or an attempt or a conspiracy to commit such offense (*see* CPL 20.40 [1]). Even where no conduct was committed within the county, a person may be prosecuted there under certain circumstances, such as where the result of an offense “occurred in such county” (CPL 20.40 [2] [a], [b]; *see also* CPL 20.60 [3] [causing the use of a computer service in one jurisdiction from another jurisdiction is deemed a use in both jurisdictions]).

Once the jurisdictional predicate to prosecute the crime in a particular county is established, as it was here, then, under CPL 700.10 (1), “a justice may issue an eavesdropping warrant . . . upon ex parte application of an applicant who is authorized by law to investigate, prosecute or participate in the prosecution of the particular designated offense which is the

subject of the application.” Because this was a county-based prosecution (*see* CPL 20.40), the prosecutor authorized to prosecute the designated crimes in that jurisdiction—the Kings County District Attorney—was the proper warrant applicant (*see* CPL 700.05 [5]).

Turning next to the operative statutory language governing the “manner and time of execution,” CPL 700.35 (1) provides that “[a]n eavesdropping . . . warrant must be executed according to its terms by a law enforcement officer who is a member of the law enforcement agency authorized in the warrant to intercept the communications” The law enforcement officers here were competent to execute the warrants because they were authorized to investigate and arrest defendant in the jurisdiction where the interception occurred (*see* CPL 700.05 [6]). Notwithstanding the dissent’s suggestion that defendant had no connection to New York (dissenting op at 208), the investigation and prosecution of defendant and his accomplices based on their participation in the gambling enterprise that operated in Kings County are not challenged and were jurisdictionally sound (*see People v Di Pasquale*, 47 NY2d 764, 765 [1979]; CPL 20.40; *see also People v Carvajal*, 6 NY3d 305, 312 [2005]).

Despite the satisfaction of the jurisdictional and probable cause predicates in this case as mandated by our Constitution and CPL articles 20 and 700, defendant challenges the jurisdiction of a Supreme Court Justice presiding in Kings County to issue the eavesdropping warrants on the theory that the court acted extraterritorially. Specifically, defendant claims that the warrants were not “executed” in Kings County as required by CPL 700.05 (4) because his cell phones were not physically located in New York and his communications occurred outside of New York.³ Resolution of this discrete challenge depends on the statutory interpretation of the word “executed” as used in CPL 700.05 (4), a term that is not defined in CPL article 700. CPL article 700, which sets forth the procedural mechanism of securing a court-ordered eavesdropping warrant, and Penal Law § 250.00, which contains definitions used in article 700, provide the framework to determine where

3. Although defendant claims that his calls were not made to parties in New York, the suppression court specifically found in denying defendant’s suppression motion that “defendants were calling people in New York state from California and as such, a clear connection is established with New York state and Kings County.”

the warrants targeting defendant's communications were executed.

When resolving a question of statutory interpretation, the primary consideration is to ascertain and give effect to the legislature's intent (*see Matter of Marian T. [Lauren R.]*, 36 NY3d 44, 49 [2020]). The starting point in determining legislative intent is to give effect to the plain language of the statute itself—"the clearest indicator of legislative intent" (*id.*, quoting *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]). Additionally, when the language at issue is a component part of a larger statutory scheme, the language must be analyzed in context and the related provisions must be harmonized and rendered compatible (*see id.* at 49). We are also "governed by the principle that we must interpret a statute so as to avoid an unreasonable or absurd application of the law" (*People v Garson*, 6 NY3d 604, 614 [2006] [internal quotation marks and citations omitted]).

To begin, under CPL 700.05 (4), "any justice of the supreme court of the judicial district *in which the eavesdropping warrant is to be executed*" (emphasis added) is authorized to issue an eavesdropping warrant. When section 700.05 (4) is read as an integrated whole and in a commonsense manner along with other sections of the CPL and correlative Penal Law definitions, the statute makes plain that a warrant is "executed" at the time when and at the location where a law enforcement officer intentionally records or overhears telephonic communications and accesses electronic communications targeted by the warrant. Contrary to defendant's theory, a plain reading of CPL article 700 demonstrates that "execution" of a warrant depends on the action of authorized law enforcement officers vis-à-vis the communications and does not depend on the location of a target, the target's communication devices or the participants engaged in the call. Indeed, wiretapping occurs upon "the intentional overhearing or recording of . . . telephonic . . . communication[s]" and that statutory definition expressly excludes the actions of telecommunications providers in their normal operations (Penal Law § 250.00 [1]).

"Eavesdropping" contemplates the performance of specific acts by government actors in three ways—wiretapping, mechanical overhearing of a conversation, or intercepting or accessing of an electronic communication (*see* CPL 700.05 [1]). The judicial warrants here authorized interception of both telephonic and electronic communications. Telephonic com-

munications, when “intentionally overheard or recorded . . . by means of any instrument, device or equipment,” are “[i]ntercepted communication[s]”—as are electronic communications that are “intentionally intercepted or accessed” (CPL 700.05 [3]; Penal Law § 250.00 [6]). Given the inclusion of telephonic communications in the definition of “intercepted communication,” the dissent’s view that the legislature inexplicably failed to authorize interception and “wiretapping” of telephonic communications occurring on cellular phones is meritless (*see* dissenting op at 209-210). Notably, under the dissent’s rather absurd hypothesis, the government apparently could not eavesdrop on cellular communications even where a cell phone or call participant is located within New York’s borders.

Mirroring the federal definition of a wire communication, this state defines telephonic communication as “*any aural transfer made in whole or in part through the use of facilities for the transmission of communications by the aid of wire, cable or other like connection between the point of origin and the point of reception (including the use of such connection in a switching station)*” (Penal Law § 250.00 [3] [emphasis added]; *see also* 18 USC § 2510 [1]). An “aural transfer” means “a transfer containing the human voice at any point between and including the point of origin and the point of reception” (Penal Law § 250.00 [4]; *see also* 18 USC § 2510 [18]). In contrast, “electronic communication” includes the transfer of various signals and data transmitted by wire (Penal Law § 250.00 [5]). Based on these definitions, execution of the warrants occurs at the point where authorized law enforcement intentionally overhears or records the human voice contained in telephonic communications and intentionally accesses the transferred signals or data in the electronic communications.

The legislative history accompanying substantive amendments made to CPL article 700 and Penal Law § 250.00 in 1988 demonstrates that the revisions were designed to keep pace with emerging technologies “as well as to bring New York law into conformity with the then-existing federal law [18 U.S.C.A. § 2510, et seq.]” (William C. Donnino, Practice Commentaries, McKinney’s Cons Laws of NY, Book 11A, Penal Law § 250.05; *see also* Senate Introducer’s Mem in Support, Bill Jacket, L 1988, ch 744 at 8-9). Through the 1988 amendments, the legislature clearly intended to continue the availability of wiretapping to be accomplished by the overhearing of “cellular and cordless telephonic communications” (William C. Donnino,

Practice Commentaries, McKinney's Cons Laws of NY, Book 11A, Penal Law § 250.05), and to add the ability to capture communications involving "various new forms of electronic communications" (Governor's Approval Mem, Bill Jacket, L 1988, ch 744 at 6, 1988 NY Legis Ann at 299). The statutory definitions of "eavesdropping and wiretapping" were revised at that time "to distinguish . . . the tapping of telephone and telegraph communications, the mechanical overhearing of conversations or discussion, and the interception of data transmission" based on emerging electronic technologies (Senate Introducer's Mem in Support, Bill Jacket, L 1988, ch 744 at 8). These amendments were enacted well after the Federal Communications Commission approved the use of cellular telephone services in 1981 (*see* Rep of Senate Judiciary Commn at 9, S Rep 99-541, 99th Cong, 2d Sess, reprinted in 1986 US Code Cong & Admin News at 3555). Acknowledging that law enforcement would require technical assistance in executing warrants involving modern modalities for both telephonic and electronic communication, the legislature's 1988 amendments "authorize[d] courts to direct that providers of *wire or electronic communication* services furnish the applicant with necessary assistance to accomplish unobtrusi[ve] interception," which was codified in CPL 700.30 (9) (Mem of Div of Crim Justice Servs, Dec. 23, 1988, Bill Jacket, L 1988, ch 744 at 12 [emphasis added]).⁴

To be sure, the rerouting of cell phone communications by third-party service providers to the point of execution by authorized law enforcement officers enables "interception" as authorized by the warrant to occur, but is not itself the court-

4. As previously stated, the notion raised by the dissent that the statute, as written, does not authorize eavesdropping on cellular communications is meritless. Defendant never identified any distinctions in the types of technology used in wiretapping or in rerouting or redirecting communications as a basis for his jurisdictional challenges. Nor did defendant make any claim that he had a reasonable expectation of privacy in the telecommunications providers' use of their own technology in transferring the communications point to point. The dissent's extended discussion of these unpreserved issues comparing early landline phones and digital and wireless methods of transfers of telephonic communications and the resulting analysis based on those distinctions (*see* dissenting op at 209-212) is flawed. The definition of telephonic communications under both state and federal law has remained the same because the transfer of the human voice still remains the communication to be intercepted. While both federal and state statutes account for the evolving technology used by the providers to transfer the communications, that evolving technology does not alter the essence of an aural communication, which is clearly subject to interception by eavesdropping.

ordered interception. Federal and state statutes expressly recognize that telephonic communications are aural transfers, in part, and are controlled by service providers between two points (*see e.g.* Penal Law § 250.00 [3]). Anticipating the use of emerging technologies in the commission of crime, both federal and state statutes have recognized for decades the necessity of third-party communications carriers to facilitate court-ordered interception through switching technology that enables the rerouting of calls. To that end, in 1994, Congress enacted the Communications Assistance for Law Enforcement Act (CALEA) to preserve the government's ability, pursuant to court order, to intercept communications involving technologies such as digital and wireless transmission modes (*see United States Telecom Assn. v Federal Communications Commn.*, 227 F3d 450, 454 [2000]). Most significantly, the act "[d]id not alter the existing legal framework for obtaining wiretap . . . authorization," as CALEA was intended to "preserve the status quo" (*id.* at 455). Similarly, in New York, pursuant to CPL 700.30 (9), an eavesdropping order may direct communications service providers to "furnish the applicant information, facilities, or technical assistance necessary to accomplish the interception unobtrusively and with a minimum of interference" to the service customer. Contrary to the dissent's conclusion, private communication carriers do not "execute" the warrant (dissenting op at 214). Indeed, our state statute mandates that the court "*shall not direct the service providers to perform the intercept or use the premises of the service provider for such activity*" (CPL 700.30 [9] [emphasis added]). Plainly, under CALEA and CPL 700.30 (9), an order directing the telecommunications carrier, which alone controls the transfer of communications, to provide technical assistance to investigators is not the equivalent of an interception; rather, these statutes anticipate the rerouting of digital communications by third parties employing their up-to-date technology as a preparatory step to effectuate the execution of eavesdropping warrants by government agents.

When read in the context of this legislative history, the statutory scheme supports our holding: the Kings County Supreme Court Justice presiding in the jurisdiction where defendant's communications were overheard and accessed and therefore intercepted by authorized law enforcement agents had the authority to issue the warrants. No language in the statutory scheme equates the place of interception with the variable points where cell phones or call participants are located.

Defendant nonetheless claims that a Kings County Supreme Court Justice's authority to grant eavesdropping warrants is, at best, limited to "anywhere in the state," citing CPL 700.05 (4)'s definition of a "justice" who may issue a warrant "to authorize the interception of oral communications occurring in a vehicle or wire communications occurring over a telephone located in a vehicle." However, that part of CPL 700.05 (4) has no application to this case. CPL 700.05 (4) mandates that when interception of communications in a vehicle or over a telephone located in a vehicle is to be made through a listening device that is "installed or connected" in the vehicle, the eavesdropping "warrant may be executed and such . . . communications may be intercepted anywhere in the state." Under this section, it is only when communications occurring in a vehicle are intercepted by an eavesdropping "device" that physically moves out of New York along with the vehicle that the justice is without authority to order extraterritorial interception (*see* Peter Preiser, Practice Commentaries, McKinney's Cons Laws of NY, Book 11A, CPL 700.05). That portion of section 700.05 (4) does not relate to the place of execution of a warrant involving the rerouting of communications of a cell phone to a fixed wire room, nor does it conflict with our conclusion that jurisdiction in this case is tied to the place of authorized call interception. No devices were physically connected or implanted in a phone or vehicle in this case and no physical listening device employed by the law enforcement officers traveled outside Kings County. Thus, the vehicle-related language of CPL 700.05 (4) is inapposite to the resolution of this appeal.

III.

Because "[t]he New York eavesdropping statute was intended to conform 'State standards for court authorized eavesdropping warrants with federal standards' " (*People v McGrath*, 46 NY2d 12, 26 [1978], quoting Governor's Mem approving L 1969, ch 1147, 1969 NY Legis Ann at 586), federal court decisions interpreting the federal eavesdropping statute are useful as an aid in interpreting provisions of the New York statute that are patterned after the federal counterpart. However, as we explained in *People v Gallina* (66 NY2d 52, 56 [1985]), when the language of our state statute differs from the federal statute, the distinction is considered "purposeful" and the plain language of CPL article 700 controls.

The jurisdiction of federal courts to issue eavesdropping warrants is defined in 18 USC § 2518. The federal statute—like

our state statute—authorizes federal judges of “competent jurisdiction” to issue such an order “authorizing or approving *interception* of wire, oral, or electronic communications *within the territorial jurisdiction of the court in which the judge is sitting*” (18 USC § 2518 [1], [3] [emphasis added]). Beginning with *United States v Rodriguez* (968 F2d 130 [2d Cir 1992]), every federal circuit court interpreting the language of section 2518 (3) has endorsed a “listening post” rule, which focuses on the point of “interception” in analyzing a court’s jurisdiction to issue such warrants (see *United States v Jackson*, 849 F3d 540, 551-552 [3d Cir 2017] [collecting federal circuit court cases]). In *Rodriguez*, the Second Circuit concluded that “interception” occurred at both the site of the target phone in New Jersey *and* at the “place where the redirected contents [were] first heard” in the Southern District of New York (968 F2d at 136). The *Rodriguez* court thus employed “the listening post rule” in holding that a warrant for such interception was properly issued by a judge of the Southern District of New York because the communications were overheard at a location “within the territorial jurisdiction” of that court. The Second Circuit concluded that the listening post rule served the key goal of the eavesdropping statute, which was to protect constitutional privacy interests from law enforcement abuse while providing technological tools to advance designated criminal investigations when normal investigative procedures are insufficient (*id.* at 136).⁵ Other high courts have also followed the federal “listening post rule,” concluding that, under their respective state statutes modeled upon title III, the location of cell phones

5. 18 USC § 2518 (3) permits a federal judge to issue an eavesdropping warrant for interception “outside” the territorial jurisdiction of the court “but within the United States in the case of a mobile interception device authorized by a Federal court within such jurisdiction.” Defendant claims here that this section provides federal judges, not state judges, with “express authority to issue eavesdropping orders outside of their geographic jurisdiction,” and concludes that this means that a state judge can administer eavesdropping orders only “within its borders.” Determinatively, defendant failed to preserve any issue of law for our review as to whether the eavesdropping orders issued here involved installation of a “mobile interception device” as defined in section 2518 (3). Thus, while there is an apparent split in the federal circuit courts as to the meaning of a “mobile interception device” (compare *United States v Ramirez*, 112 F3d 849, 853 [7th Cir 1997] [“mobile interception device” means “a device for intercepting mobile communications”], with *United States v Dahda*, 853 F3d 1101, 1112-1113 [10th Cir 2017] [“mobile interception device” means “(a) listening device that is mobile”], *affd on other grounds* 584 US —, 138 S Ct 1491 [2018]), we do not consider whether the cell phone fits the definition of a mobile interception device.

or call recipients does not drive the analysis, and execution of a warrant occurs at the place of interception—even where both parties to the calls or communications are not within the state (see e.g. *State v Ates*, 217 NJ 253, 273, 86 A3d 710, 722 [2014]; see also *Davis v State*, 426 Md 211, 226-227, 43 A3d 1044, 1052-1053 [2012] [collecting cases]).⁶ Because both the federal and state statutes link a court’s jurisdiction to issue warrants to the point of interception, the decisions of federal and state courts interpreting their similar statutory provisions support our conclusion here.

Given the ubiquity of cell phones and widespread use of the Internet, this interpretation of our statutory scheme, one in line with the federal “listening post rule,” reaffirms that eavesdropping warrants are a critical tool in investigating large-scale crime syndicates operating in our state. Defendant’s “multiple plant” theory, pursuant to which a court’s authority to issue a warrant is dependent upon the location of targeted cell phones or call participants, is not workable. Nor does defendant’s proposal for interagency “cooperation” provide a solution. Linking jurisdiction to the undetectable locations of cell phones and creating dependence on outside law enforcement agencies to investigate and prosecute very serious crimes committed in this state is unreasonable. It would result in a logistical scheme that leaves jurisdiction in flux, creates multistate wire rooms with diffuse oversight responsibility and in many cases would eliminate eavesdropping as an investigative tool. More importantly, centralized oversight by a single issuing court of competent jurisdiction over the eavesdropping investigation of designated New York crimes is critical to protect against abuses in the invasion of an individual’s privacy in the communications—the paramount constitutional concern—and to ensure that any interception is necessary, properly minimized, and promptly terminated in accordance with constitu-

6. In *Ates*, the New Jersey Supreme Court rejected the defendant’s arguments that New Jersey law enforcement officers exceeded their jurisdiction in intercepting communications in cell phone calls among participants that were out of state, “creat[ing] an ‘artificial connection’ to New Jersey” and that only a judge from the defendant’s state of residence could authorize a wiretap. The court explained that those arguments disregarded the fact that the New Jersey Wiretap Act requires an actual nexus to the state before an eavesdropping order can be issued, which is met by a predicate finding of probable cause to believe that a designated offense under New Jersey law is being committed and that communications about criminal offenses occurring in that state may be obtained through eavesdropping (217 NJ at 268, 86 A3d at 719).

tional safeguards (see *People v Rodriguez y Paz*, 58 NY2d 327, 335-336 [1983]). That crucial oversight is impossible under defendant's proposed construct, which was certainly not the legislature's intent in carefully designing this State's eavesdropping statutes.

Defendant's remaining claims that the warrants at issue violated his constitutional rights as a California resident, the separate sovereignty doctrine and other constitutional rights of the State of California are without merit.

Accordingly, the order of the Appellate Division should be affirmed.

WILSON, J. (dissenting). I agree with the majority that the issue is "discrete": does Criminal Procedure Law § 700.05 authorize a New York court to issue a warrant commanding the diversion into New York of a cellular telephone call between a California resident who has never been to New York and persons not resident or present in New York, so that New York officers may listen to it in New York? I conclude that the statute does not.¹

I.

Joseph Schneider is a lifelong resident of California who—prior to his arrest and extradition in June 2016—had never set foot in New York. At one time, Mr. Schneider operated his own gambling website. But beginning in April 2015 he began using facilities provided by a competitor (and fellow Southern California resident) Gordon Mitchnick, for which Mr. Schneider paid Mr. Mitchnick \$30,000 per month. Mr. Mitchnick managed a network of "Master Agents" and "Agents" across the country and supported the websites those agents used to place bets on professional and collegiate sporting events. A team in San Jose, Costa Rica provided technical support. The operation required that Mr. Mitchnick and his associates employ a range

1. As the majority notes, Mr. Schneider advanced no claim under the Fourth Amendment of the US Constitution or article I, § 12 of the New York Constitution. Further, I agree with the majority that Mr. Schneider failed to challenge the jurisdiction of the Kings County court to prosecute him, though we must be careful not to confuse the question of the court's jurisdiction to prosecute Mr. Schneider based on evidence turned up through the wiretaps with the court's statutory authority to issue the wiretapping warrants in the first place. Finally, I would also reject Mr. Schneider's claims framed under the Full Faith and Credit Clause and his explication of California's public policy, at least in the manner in which he has presented those arguments.

of strategies to conceal payments made by customers and launder their profits.

The principal evidence against Mr. Schneider consisted of conversations recorded over the course of a six-month wiretap investigation beginning in December 2015. But in the initial warrant application, the People did not allege that Mr. Schneider had any contact with the State of New York or that he had any customers located in New York. Instead, they summarized four conversations between Mr. Schneider and a New Jersey-based bookmaker, Patrick Deluise, as evidence that Mr. Schneider operated a gambling website used by Mr. Deluise. During one of the calls, Mr. Deluise informed Mr. Schneider that he was in Florida; he did not mention his location in the remaining three, and the warrant application did not assert that Mr. Deluise was in New York when any of those calls took place. The application went on to describe Mr. Schneider's business as "national in scope," noting that he had placed calls to numbers in California, Arkansas, Colorado, Florida, Michigan, Hawaii and Nevada and pointing to three incoming calls from Costa Rica, where online gambling is legal. New York was not among the states listed, and the warrant application contained no suggestion that Mr. Schneider had communicated by phone with anyone located in New York. Nevertheless, Supreme Court issued the warrant and the wiretap commenced.

Over the course of six months, investigators extensively documented Mr. Schneider's conversations with agents and customers in California, Nevada, Michigan and Costa Rica. But they failed to turn up any evidence that Mr. Schneider made or received calls to or from anyone located in Kings County. Indeed, during that period Mr. Schneider made no calls to anyone in New York, and received just one, from a number registered to an address in Kingston.² The People do not assert that any other evidence uncovered during their lengthy investigation demonstrated that Mr. Schneider had contacts with persons located in New York.

II.

Although Mr. Schneider advances no argument under article I, § 12 of the New York Constitution, its explicit protections

2. Although the majority highlights the suppression court's finding that *other* defendants made calls to New York from California (majority op at 195 n 3), the prosecution's warrant applications failed to demonstrate that Mr. Schneider was communicating with individuals in New York.

against unreasonable interception of telephone communication—absent from the Fourth Amendment—are important in interpreting article 700 of the Criminal Procedure Law. The majority apparently agrees, by acknowledging that New York’s constitutional protections for the privacy of electronic communications exceed what the Fourth Amendment provides, but draws from that acknowledgement the odd conclusion that New York’s Constitution was amended in 1938 to “authorize[]” eavesdropping as an investigative tool (majority op at 192-193). That claim mischaracterizes the explicit language of article I, § 12 and misinterprets the intention of the delegates who authored it.

In 1928, the constitutionality of wiretapping was presented to the U.S. Supreme Court, which held that the Fourth Amendment did not prohibit or constrain wiretapping so long as the wiretapping was performed outside of the target’s home (*Olmstead v United States*, 277 US 438, 465 [1928]). Thus, with no reason to suspect anyone of a crime, the police could climb a telephone pole, install a wiretap, listen, and use the evidence in criminal prosecutions. Or, if allowed by the telephone company, they could sit in a chair at the company’s offices and do the same. *Olmstead* was met with swift public condemnation (see e.g. Forrest Revere Black, *An Ill-Starred Prohibition Case*, 18 Geo LJ 120 [1930]; Osmond K. Fraenkel, *Recent Developments in the Law of Search and Seizure*, 13 Minn L Rev 1 [1928]; Editorial, *Government Lawbreaking*, NY Times, June 6, 1928 at 24 [“Prohibition, having bred crimes innumerable, has succeeded in making the Government the instigator, abettor and accomplice of crime. It has now made universal snooping possible”]).³

3. In an about-face, the U.S. Supreme Court thereafter held that the Communication Act of 1934, which provided that “no person” may divulge an intercepted telephone communication to “any person,” prohibited the use of wiretapped information in both federal (*Nardone v United States*, 302 US 379 [1937]) and state (*Weiss v United States*, 308 US 321 [1939]) prosecutions. The managers of the bill that became the 1934 Communications Act “repeatedly declared that it was designed solely to transfer jurisdiction over radio, telegraph, and telephone to a new agency, the Federal Communications Commission, and that ‘the bill as a whole does not change existing law’” (Alan F. Westin, *The Wire-Tapping Problem: An Analysis and a Legislative Proposal*, 52 Colum L Rev 165, 174 [1952]). Thus, “the *Nardone* decision was generally regarded as a bit of judicial legislation, a policy decision by the Court that the increased need to curb a dangerously prevalent practice justified a somewhat liberal remolding of a statutory section” (*id.* at 175).

At the New York Constitutional Convention of 1938, the delegates added article I, § 12 to the Constitution. Its first paragraph copies the US Constitution's Fourth Amendment verbatim, but the amendment added a second paragraph not found in the Federal Constitution:

“The right of the people to be secure against unreasonable interception of telephone and telegraph communications shall not be violated, and ex parte orders or warrants shall issue only upon oath or affirmation that there is reasonable ground to believe that evidence of crime may be thus obtained, and identifying the particular means of communication, and particularly describing the person or persons whose communications are to be intercepted and the purpose thereof.”

This second paragraph was a direct response to *Olmstead*. In a message to the convention, Governor Lehman emphasized the need to protect scrupulously against wiretapping, citing to Justice Brandeis' dissent in *Olmstead* for the proposition that “writs of assistance and general warrants are but puny instruments of tyranny oppression when compared with wire tapping” (Message of Governor Lehman, 1 Rev Rec, 1938 NY Constitutional Convention at 339, quoting 277 US at 476 [Brandeis, J., dissenting]; see also Speech of Delegate Thomas B. Dyett, 1 Rev Rec, 1938 NY Constitutional Convention at 505, quoting 277 US at 474-475; Speech of Delegate Philip Halpern, 1 Rev Rec, 1938 NY Constitutional Convention at 550). Article I, § 12 of the New York Constitution does not “authorize” wiretapping: rather, it expresses our State’s fundamental distrust of the use of wiretapping and intention strictly to limit its availability.

The scope of article 700 must be understood with that background in mind. In 1967, the Supreme Court overruled *Olmstead* (see *Katz v United States*, 389 US 347, 353 [1967]), and held that New York’s eavesdropping statute failed to require that warrants “particularly [describe] the place to be searched, and the persons or things to be seized” as required by the Fourth Amendment (*Berger v New York*, 388 US 41, 55 [1967]). In response, Congress passed title III of the Omnibus Crime Control and Safe Streets Act of 1968 (OCCSSA), which established minimum federal statutory requirements for applications for eavesdropping warrants and the orders themselves (see 18 USC § 2518). Title III requires states to provide

at least the protections it specifies but does permit states to adopt more restrictive measures. As Chief Judge Kaye explained:

“Beyond the question of authority, however, stands our strong public policy of protecting citizens against the insidiousness of electronic surveillance by both governmental agents and private individuals.

“New York State has, therefore, responded to the problems raised by electronic surveillance with greater protection than is conferred under Federal law, and continues to assert this strong public policy, through evolving legislation, as technology advances” (*People v Capolongo*, 85 NY2d 151, 160 [1995] [citations omitted]).

Given the protections enshrined in the Constitution and enacted by statute, our “strong public policy” requires that we interpret our eavesdropping statutes narrowly especially where—as here—the statute is silent on the question before us (*id.* at 162-163 [applying notice provisions of article 700 to introduction of foreign wiretap evidence where statutory scheme is silent on the rules governing the admission of such evidence]). Likewise, nothing in article 700’s legislative history suggests any contemplation of the narrow issue presented here: whether a New York court can issue a warrant requiring a telephone company to divert a signal into New York when neither party to the call is located in New York or resides in New York. Contrary to the majority’s assertion (majority op at 198 n 4), I completely agree that CPL article 700 authorizes a New York court to issue an eavesdropping warrant when the warrant application shows that a cellular telephone line is being used to communicate to or from New York; I am puzzled by what portion of my “rather absurd hypothesis” (majority op at 197) would have caused the majority to think otherwise.

III.

The easiest way to expose the majority’s error is to remove the verbiage and line up the opinion’s substantive points: (1) New York has long-standing constitutional protections specifically for telephone communications absent in the Federal Constitution (majority op at 192-193); (2) because of New York’s “strong public policy” in protecting privacy, “strict compliance

with CPL article 700” is required (*id.* at 193-194); (3) resolution of Mr. Schneider’s claim turns on the word “executed,” “a term that is not defined” (*id.* at 195); and (4) “the court’s jurisdiction to issue eavesdropping warrants is not boundless, but is limited by the rules of geographical jurisdiction set forth in our State Constitution and CPL article 20” (*id.* at 194). Stripped bare, the majority claims that because New York has a long history of protecting privacy rights in telephone communications and the legislature did not say what it meant by “executed,” the legislature meant to grant New York courts the ability to issue warrants to listen in on any cell phone calls between anyone in the United States, or perhaps in the world, so long as a U.S. telephone carrier can divert the call to New York. To the contrary, the obvious conclusion from those points is that we should not interpret an undefined term to permit New York courts to authorize the issuance of warrants requiring the diversion into New York of telephone calls between people with no connection to New York and which calls neither originated nor terminated in New York.

The history of New York’s protections of privacy, both constitutional and statutory, establishes the desire to afford electronic communication at least as much protection as is provided for searches and seizures of tangible objects. Instead, the majority grants law enforcement an unlimited geographic reach not available for searches and seizures of physical property. For example, police officers must execute warrants in “the county of issuance or an adjoining county” or in another county within the state “if (a) his geographical area of employment embraces the entire county of issuance or (b) he is a member of the police department or force of a city located in such county of issuance” (CPL 690.25 [2]). Similarly, police officers may not make arrests outside their geographic jurisdiction unless assisted by officers in the jurisdiction where the arrest is made (CPL 120.60; *see also People v Johnson*, 303 AD2d 903, 905-906 [3d Dept 2003]). Nor does our law permit law enforcement agents from another state to conduct a search under either a federal or out-of-state warrant (*see People v LaFontaine*, 92 NY2d 470 [1998]). Those rules reflect the fundamental importance of territoriality in the authorization of searches and seizures. If New York officers have probable cause to believe that the home of a Californian contains evidence relevant to the prosecution of New York crimes, they must—and do—obtain a warrant from a California court. How can we

infer such a dramatic change from a word the legislature did not define?

IV.

Even were we to ignore New York's long-standing commitment to the privacy of electronic communications and look at the statute in a vacuum (which is not what the majority advocates [*see* majority op at 192-193]), I could not arrive at the majority's conclusion. I start, as does the majority, with the fact that the statute is silent on the meaning of "executed" (*id.* at 195). CPL 700.05 (4) authorizes the issuance of an "eavesdropping warrant" by supreme court justices "of the judicial district in which the eavesdropping warrant is to be executed." An "[e]avesdropping warrant" means an order of a justice authorizing or approving eavesdropping" (CPL 700.05 [2]), and "[e]avesdropping" means 'wiretapping', 'mechanical overhearing of conversation,' or the 'intercepting or accessing of an electronic communication', as those terms are defined in section 250.00 of the penal law" (CPL 700.05 [1]). Thus, CPL 700.05 permits the issuance of an eavesdropping warrant for three different types of surveillance.

Penal Law § 250.00 carefully differentiates between "wiretapping" and "intercepting or accessing of an electronic communication" in a way that is crucial to understanding what "execution" of a warrant means.⁴ Telephonic communications are "wiretapped," defined as the "intentional overhearing or recording of a telephonic or telegraphic communication by a person other than a sender or receiver thereof, without the consent of either the sender or receiver, by means of any instrument, device or equipment" (Penal Law § 250.00 [1]). In contrast, electronic communications are "intercepted" or "ac-

4. "Wiretapping" is "the intentional overhearing or recording of a telephonic or telegraphic communication by a person other than a sender or receiver thereof . . . by means of any instrument, device or equipment" (Penal Law § 250.00 [1]). A "telephonic communication" means "any aural transfer made in whole or in part through the use of facilities for the transmission of communications by the aid of wire, cable or other like connection between the point of origin and the point of reception (including the use of such connection in a switching station)" (Penal Law § 250.00 [3]). "Aural transfer" is in turn defined as "a transfer containing the human voice at any point between and including the point of origin and the point of reception" (Penal Law § 250.00 [4]). "Electronic communication" is defined as "any transfer of signs, signals, writing, images, sounds, data, or intelligence of any nature transmitted in whole or in part by a wire, radio, electromagnetic, photoelectronic or photo-optical system" (Penal Law § 250.00 [5]).

cessed” through the “intentional acquiring, receiving, collecting, overhearing, or recording . . . by means of any instrument, device or equipment” (Penal Law § 250.00 [6]). Thus, the legislature authorized eavesdropping warrants that “intercepted or accessed” electronic communications but did not use those words when authorizing eavesdropping warrants of telephonic communications.⁵ Telephonic communications are explicitly excluded from the definition of electronic communication (Penal Law § 250.00 [5] [a]), further evidencing the legislature’s determination to treat those two forms of communication differently. The bill jacket for the 1988 amendments to CPL article 700 confirms the legislature’s explicit differentiation between wiretaps of telephonic communication and the surveillance of other types of communications (Senate Introducer’s Mem in Support, Bill Jacket, L 1988, ch 744 at 8).

5. The majority contends that this argument is “meritless,” pointing to CPL 700.05 (3)’s definition of “intercepted communication,” which includes (a) telephonic or telegraphic communications, (b) conversations or discussions intentionally overheard and recorded, and (c) “an electronic communication which was intentionally intercepted or accessed.” However, “intercepted communication” does not bear on the meaning of “executed” in CPL 700.05 (4). Rather, it is an omnibus term used throughout article 700 to refer to all three types of communications that may be the targets of eavesdropping warrants (see CPL 700.35 [4] [“In the event an *intercepted communication* is in a code or foreign language, and the services of an expert in that foreign language or code cannot reasonably be obtained during the interception period, where the warrant so authorizes and in a manner specified therein, the minimization required by subdivision seven of section 700.30 of this article may be accomplished as soon as practicable after such interception” (emphasis added)]; CPL 700.50 [3] [“Within a reasonable time . . . written notice of the fact and date of the issuance of the eavesdropping or video surveillance warrant . . . must be served upon the person named in the warrant and such other parties to the *intercepted communications* or subjects of the video surveillance as the justice may determine in his discretion is in the interest of justice. . . . The justice . . . may in his discretion make available to such person or his counsel for inspection such portions of the *intercepted communications* or video surveillance” (emphasis added)]; CPL 700.65 [1] [“Any law enforcement officer who, by any means authorized by this article, has obtained knowledge of the contents of any *intercepted communication* or video surveillance, or evidence derived therefrom, may disclose such contents to another law enforcement officer to the extent that such disclosure is appropriate to the proper performance of the official duties of the officer making or receiving the disclosure” (emphasis added)]; CPL 700.70 [“The contents of any *intercepted communication*, or evidence derived therefrom, may not be received in evidence or otherwise disclosed upon a trial of a defendant unless the people, within fifteen days after arraignment and before the commencement of the trial, furnish the defendant with a copy of the eavesdropping warrant” (emphasis added)]).

Those distinctions reflect the manner in which wiretaps were carried out prior to the advent of cell phones. Historically, telephonic communication—and hence wiretapping—traveled point-to-point through vast networks of wires or cables. Law enforcement could simply splice the wire servicing the phone to be monitored with a wire terminating at the law enforcement agency (Micah Sherr et al., *Signaling Vulnerabilities in Wiretapping Systems*, 3 IEEE Security & Privacy 13, 14 [2005]). The wires could be joined either between the telephone and the first junction box or at a local telephone exchange (James G. Carr et al., *Law of Electronic Surveillance* § 1.2 [Oct. 2020 Update]). Thus, wiretaps were carried out in close geographic proximity to the intended target. The definition of telephonic communication provided in Penal Law § 250.00 (3), which emphasizes the transmission of communication over wires, cables or other similar connections, indicates that the legislature expected that overhearing or recording telephone calls would require accessing wires, regardless of the device used. It follows that the legislature would have assumed that wiretaps—the physical accessing of the signal—would be carried out within the jurisdiction of the law enforcement agency executing the warrant, because a New York officer could not obtain a warrant from a New York court to travel to California and splice a wire there.

However, intercepting a call placed from a cell phone requires very different technology. Cell phones do not operate solely through the use of wires. Although wires and cables carry the cellular signal through some points of its travel, substantial portions of the transmission—including the initial transmission by the caller and the final receipt by the recipient—are wireless. A cell phone converts the voice of the caller into an encoded electrical signal and transmits it to a local cell phone tower via the electromagnetic spectrum (Rich Mazzola, *How Do Cell Phones Work? A Story of Physics, Towers, and the Government*, Medium, Oct. 7, 2015, <https://medium.com/swlh/richmazzola-how-do-cellphones-work-a-story-of-physics-towers-and-the-government-8369aa7226b1>). The tower then directs the signal to its intended destination, where the receiving cell phone decodes the signal, allowing the receiver to hear the sender's voice (*id.*). Wiretaps of cellular phone calls are now carried out by telephone companies rather than law enforcement: the company decodes the signaling information and separates out the call audio to a new channel, which is then

transmitted to the law enforcement agency (Sherr et al. at 15). That process does not require a physical connection to the tapped line (*id.*). Therefore, as a technological matter, a wiretap of a call made to or from a cell phone need not occur in territorial proximity to the intended target.

The majority claims that the legislature's 1988 amendments to article 700 anticipated the rise of new technology (majority op at 197-198). That is correct. The legislature made an explicit definitional choice, by which all "telephonic communications"—both conventional and cellular—were expressly excluded from the definition of "electronic communication." Because even calls placed to and from a cellular telephone contain aural transfers "made in whole or part through the use of facilities for the transmission of communications by the aid of wire, cable or other like connection" and "[e]lectronic communication . . . does not include" "any telephonic or telegraphic communication" (Penal Law § 250.00 [3], [5] [a] [internal quotation marks omitted]), the majority's reliance on citations to the legislative history and commentators relating to the 1988 amendments is not illuminating. Indisputably, the legislature added a definition of "electronic communication" distinct from telephonic communication—for example, to capture "various new forms of electronic communications" (Governor's Approval Mem, Bill Jacket, L 1988, ch 744 at 6, 1988 NY Legis Ann at 299) (e.g., emails, FTP transfers, short message service messages) that are not "aural"—but its intention to permit eavesdropping of those "electronic communications" does not bear on the territorial limitations for the execution of wiretapping warrants.⁶

6. The majority cites McKinney's Practice Commentaries for Penal Law § 250.05 to support its view that "the legislature clearly intended to continue the availability of wiretapping to be accomplished by the overhearing of 'cellular and cordless communications'" (majority op at 197-198). However, the quoted language refers to the fact that under New York law "people are entitled to privacy in their telephonic communications, even if a portion of the conversation is transmitted by radio" (William C. Donnino, Practice Commentaries, McKinney's Cons Laws of NY, Book 11A, Penal Law § 250.05). McKinney's, in turn, cites to *People v Fata*, a 1990 case in which the Second Department concluded that the warrantless surveillance of cordless telephone conversations was illegal (159 AD2d 180, 185 [2d Dept 1990]). *Fata* references the 1988 amendments to distinguish between federal law (which explicitly excludes cordless telephones from its definition of wire communications that may not be intentionally intercepted without a warrant) and state law (which does not) (*id.*). From that fact—and the broader protections afforded New York State citizens under our Constitution—*Fata* concluded that "the Legislature intended to provide greater protection for the privacy of

(n. cont'd)

The only new *telephone* technology expressly addressed by the 1988 amendments was car phones, not the handheld mobile phones ubiquitous today.⁷ The legislature's treatment of car phones in the 1988 amendments cannot be reconciled with the majority's position. According to the majority, the 1988 amendments permit any court in New York State to authorize the wiretap of a telephone call, diverted from anywhere in the country, so long as the police listen to the call somewhere within the court's judicial district. If that were so, the legislature would have had no need to provide that, for "wire communications occurring over a telephone located in a vehicle . . . such warrant may be executed and such oral or wire communications may be intercepted anywhere in the state" (CPL 700.05 [4]). The legislature's specific statewide expansion of the interception of telephone calls made over car phones only is nonsensical under the majority's interpretation, because under the majority's reading of the statute, calls from car phones could be diverted to anywhere in the state even without the car phone provision. Thus, the majority's interpretation of the statute should be rejected under our settled rules of construction (see *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 587 [1998]; *Matter of OnBank & Trust Co.*, 90 NY2d 725, 731 [1997]; *Matter of Roosevelt Raceway v Monaghan*, 9 NY2d 293, 305-306 [1961]).⁸

Furthermore, simply as a matter of common sense, when a signal is diverted to bring it into New York, it is done so by command of a warrant. If the warrant is never executed, the signal will not be diverted; if the signal is diverted, it is

telephone communications than that available under the Federal eavesdropping statute" (*id.*).

7. The legislature's focus on car phones is understandable. In the late 1980s, handheld mobile phones were a high-end luxury good used by less than one percent of Americans (see Michael deCourcy Hinds, *Consumer's World, Mobile Phones, as Prices Drop, Aren't Just for Work Anymore*, NY Times, June 10, 1989 at 33, available at <https://www.nytimes.com/1989/06/10/style/consumer-s-world-mobile-phones-as-prices-drop-aren-t-just-for-work-anymore.html>). In contrast, car phones were an increasingly common consumer good (*id.*).

8. Although I place little or no weight on failed legislative attempts, I note that in the 2001-2002 legislative term, NY Senate Bill S5793 was introduced; it would have authorized "roving interceptions" of telephone communications by eliminating the "specification of the facilities from which, or the place where, the communication is to be intercepted" in cases where the People could show that those limitations were "not practical." Had that bill's sponsor shared the majority's view, the bill would never have been introduced.

diverted solely by execution of the warrant. The fact that the telephone company, rather than the police, conduct the physical diversion is of no legal importance. Private actors working at the behest of law enforcement are treated as law enforcement (see *People v Esposito*, 37 NY2d 156, 160 [1975]). Where a telephone company acting pursuant to a warrant diverts an out-of-jurisdiction telephone call, it has executed the warrant at a point outside the judicial district in which the issuing court sits, which article 700 does not allow. The fact that it is later listened to within the judicial district of the issuing court does not erase the warrant's initial out-of-jurisdiction execution (cf. *United States v Rodriguez*, 968 F2d 130, 144 [2d Cir 1992, Meskill, J., concurring] ["The contents of the Imperio Cafe communications were *acquired* by law enforcement officials when they were diverted in New Jersey. In Manhattan the *previously acquired* contents were transformed into sound, but, because they were already within the control of the law enforcement agents, they were not newly 'acquired.' I do not believe that the contents of a communication become acquired anew each time they are transformed into a different medium"]).

In sum, the meaning of the term "execute" in CPL 700.05 (4) must be understood in the relevant historical context. At the time of the statute's enactment, wiretaps on telephonic communications would have been carried out by law enforcement physically tapping lines in close geographical proximity to the targeted subject. The legislature could not have imagined that a warrant could be "executed" simply by instructing a nationwide cellular phone company to redirect into New York an out-of-state electronic signal that never would have entered New York, containing conversation between two people not located in New York. The majority can point to nothing in the legislative history that suggests the legislature intended to grant New York courts the ability to divert purely out-of-state voice calls into New York State by issuance of a warrant.

The scattershot of arguments offered by the majority for its expansive interpretation of "execute" do not bear on the proper interpretation of the term. The various citations to the legislative history of the 1988 amendments and commentators' views thereof stand for the unremarkable proposition that, by defining "electronic communication" and subjecting such communications to eavesdropping, the legislature took steps "designed to keep pace with emerging technologies" (majority

op at 197-198). That is precisely the point: the legislature understood that new technologies, such as email or FTP transfers, could be subjected to warranted surveillance. It permitted those defined “electronic communications” to be “intercepted or accessed,” but purposefully excluded “telephonic communications” from that provision. The statute does not authorize courts to issue warrants that “intercept” or “access” telephone calls. Instead, it used a word with a settled territorial component—“execution”: of a warrant—to limit a court’s authority to seize telephone calls.

V.

Neither the federal nor foreign state case law relied on by the majority supports its position. I discuss each in turn.

A.

The majority’s reliance on the federal “listening post” rule says nothing about how to interpret the CPL. There is no suggestion that the CPL’s definition of wiretapping or rules relating to wiretapping are derived from federal law, or that the choice of the word “execute”—which the majority contends is the key to New York’s statute—was derived in any way from a federal statute or case law. Indeed, the federal statutory scheme is quite different. The federal statute, 18 USC § 2518 (3), does not use the word “execute” at all. Instead, it provides that a “judge may enter an ex parte order . . . authorizing or approving interception of wire, oral, or electronic communications within the territorial jurisdiction of the court in which the judge is sitting.” Interception is defined as “the aural or other acquisition of the contents of any wire, electronic, or oral communication through the use of any electronic, mechanical, or other device” (18 USC § 2510 [4]). Thus, the federal statute lumps together, without distinction, voice and all other electronic communication regardless of the type of means used to transmit the signal, and authorizes the “interception” of all such information through the use of any type of device, whereas New York differentiates between voice communications that use wire or cable for any part of the transmission (which includes cellular phone calls) from the transmission of other types of electronic communication, with different rules applying to each, as explained (*supra* at 209-210).

Moreover, when it comes to the ability of a court to issue a warrant to divert an out-of-jurisdiction call into a jurisdiction,

federal and state courts are quite different. Because use of wires (or radio frequencies allocated by the federal government) necessarily implicates interstate commerce, federal courts have nationwide jurisdiction. It is perfectly understandable that federal statutes, and federal courts' interpretation of those statutes, may have fewer concerns about the ability of a federal court to issue an order diverting a call using facilities of interstate commerce to a listening post anywhere in the United States. Not so with state courts: query whether New Yorkers would be content if a Mississippi court authorized the wiretapping of calls purely between New York residents who have never set foot in Mississippi.⁹

Furthermore, there is no view of the OCCSSA under which state courts may authorize more expansive eavesdropping than federal courts. Whether a federal district court could authorize the wiretapping of a cellular phone conversation that neither originated nor terminated within the judicial district in which the issuing federal court sits is unsettled, as I explain below. For that reason alone, we should be hesitant to grant New York courts the authority to grant wiretapping warrants for telephone conversations that neither originate nor terminate in New York.

The majority's reliance on *United States v Rodriguez* (968 F2d 130 [2d Cir 1992]) is misplaced, because it did not involve the wiretapping of purely extraterritorial phone calls nor the wiretapping of cellular phone calls. In *Rodriguez*, law enforcement in the Southern District of New York obtained the wiretap warrant in question in connection with an investigation of a crack organization based in the Hunts Point section of the Bronx (*id.* at 133). The organization's operations extended to a restaurant in New Jersey (*id.* at 133-134). In connection with the investigation, wiretaps were placed on four telephones at the New Jersey restaurant and the apartment of one of the conspirators in the Bronx (*id.* at 134). The calls were monitored at the Drug Enforcement Administration headquarters in the Southern District (*id.* at 135). The warrant application thus facially established that calls made from the New Jersey phone

9. The majority's reliance on the Communications Assistance for Law Enforcement Act (CALEA) and CPL 700.30 (9) is misplaced (majority op at 198-199). Both CALEA and CPL 700.30 (9) require telecommunications carriers to assist in the seizure of telephonic and electronic communications authorized by a proper warrant, but neither statute expands or contracts the territorial jurisdiction of courts, whether state or federal, to issue warrants.

numbers were being made to a telephone in New York, and a telephone in New York was being used in furtherance of the crack operation. Those calls were between conventional landlines, carried by wire or cable, which necessarily physically traversed New York. Here, in contrast, the warrant application did not establish probable cause (or, indeed, any reason to believe) that Mr. Schneider's phone was making or receiving calls to or from New York, and the calls would not have entered New York but for their seizure pursuant to the warrant.¹⁰ It is also important to note that in *Rodriguez*, Judge Meskill separately concurred. He emphasized his disagreement "with the majority's treatment of the wiretap issue, which effectively repeals 18 U.S.C. § 2518(3)'s requirement that a judge may only enter an order authorizing the interception of communications 'within the territorial jurisdiction of the court in which the judge is sitting'" (*id.* at 143-144). As he explained:

"I cannot join the majority in holding that the unilateral decision of law enforcement agents as to where to set up their listening post can grant authority to a judge in any jurisdiction to authorize a phone tap in any other jurisdiction. . . .

"The heart of the definition of 'intercept' in 18 U.S.C. § 2510(4) is the 'acquisition of the contents' of a communication. The contents of the Imperio Cafe communications were *acquired* by law enforcement officials when they were diverted in New Jersey" (*id.* at 144).

In *United States v Ramirez* (112 F3d 849 [7th Cir 1997]), the Seventh Circuit considered whether a federal district court could issue an eavesdropping warrant for a cellular phone call where the communication neither originated nor terminated within the judicial district of the issuing court. It concluded that the 1986 Electronics Communications Privacy Act (ECPA), which authorized federal—but not state—courts to intercept

10. The Second Circuit interpreted the federal definition of "interception" to mean both the location where "the contents of a wire communication are captured or redirected" and "where the redirected contents are first heard" (968 F2d at 135-136). Thus, it read the federal statute to authorize the diversion of the signal "through the use of any electronic, mechanical or other device" as explicit statutory authority to order the out-of-state wiretaps on the New Jersey phones. New York law contains no analogous provision for telephone wiretapping and, indeed, uses "interception" when authorizing eavesdropping of electronic communications only, not telephonic communications.

“wire, oral, or electronic communications . . . outside [the district court’s] jurisdiction but within the United States in the case of a mobile interception device” (18 USC § 2518 [3]) allowed a federal district court to intercept cellular telephone signals anywhere in the United States (*id.* at 852). It interpreted the phrase “mobile communication device” to mean “a device for intercepting mobile communications,” not “the irrelevant mobility or stationarity of the device” (*id.*). By relying on the “mobile communication device” provision, which applies only to federal courts, the Seventh Circuit implicitly decided that without that provision, a federal court could not issue eavesdropping warrants for communications occurring solely outside its judicial district. Indeed, the “mobile communication device” amendment expanding jurisdiction beyond the federal court’s judicial district would be meaningless if courts could issue extra-jurisdictional warrants without it. Because that “mobile communication device” expansion was provided for federal courts only, both *Ramirez* and the ECPA suggest that state courts do not have the ability to issue eavesdropping warrants for wholly out-of-state communications.

More recently, the Fifth Circuit, in *United States v North* (728 F3d 429 [5th Cir 2013]) issued a decision holding that federal district courts may not divert cellular telephone calls into their jurisdictions and establish listening posts there, but then withdrew the decision and substituted it with a decision suppressing the wiretap on the ground of lack of minimization (735 F3d 212, 216 [5th Cir 2013]). However, the concurring opinion of Judge DeMoss sets out the rationale of the withdrawn opinion, which rejects the Seventh Circuit’s construction of “mobile communication device,” concluding that it refers to interception devices that themselves are mobile—not the interception of mobile phone communications (*id.* at 217-218).

Subsequently, in *United States v Glover* (736 F3d 509 [DC Cir 2013]), the court rejected the Seventh Circuit’s interpretation of “mobile communication device,” noting that “[a]ccording to a Senate Judiciary Committee report, the objective of the language was to ensure that warrants remain effective in the event a target vehicle is moved out of the issuing judge’s jurisdiction *after* a warrant is issued, but before a surveillance device can be placed in the vehicle” (*id.* at 514). Most recently, in *United States v Dahda* (853 F3d 1101 [10th Cir 2017], *affd on other grounds* 584 US —, 138 S Ct 1491 [2018]), the Tenth Circuit likewise concluded that “mobile communication device”

meant a device that itself was mobile (*id.* at 1114, 1113 n 4 [“For example, some scholars point to small mobile devices such as ‘IMSI catchers,’ which are capable of intercepting the content from cell phone calls”]).

My point is not that the law is settled as to whether a federal court could issue an eavesdropping warrant to divert a purely out-of-state conversation into the judicial district in which the court sits, where the warrant fails to establish that the warrant’s target had ever made calls to that district or set foot in that district. To the contrary, my point is that the federal law is unsettled and, however great the federal jurisdiction might be, the jurisdiction of a state to authorize eavesdropping of purely out-of-state phone conversations can be no greater, and is likely lesser.

B.

Additionally, the majority points to the adoption of the listening post rule by two other states’ high courts. Those states, however, have markedly different statutory provisions from New York’s and different state constitutional backdrops against which both legislative and judicial decisions should be framed. The majority cites to the New Jersey high court’s decision in *State v Ates* (217 NJ 253, 271, 86 A3d 710, 721 [2014]) and that of Maryland in *Davis v State* (426 Md 211, 218, 43 A3d 1044, 1048 [2012]). The New Jersey wiretapping statute provides “[a]n order authorizing the interception of a wire, electronic or oral communication may be executed at any point of interception within the jurisdiction of an investigative or law enforcement officer executing the order,” and defines the “point of interception” as “the site at which the investigative or law enforcement officer is located at the time the interception is made” (NJ Stat Ann §§ 2A:156A-12, 2A:156A-2 [v]). New York uses “execution” of the warrant instead of “interception” of the signal and lacks New Jersey’s statutory direction that the point of interception is where the listening officer is located.

Maryland’s wiretapping law supports my position, not the majority’s. Until Maryland’s legislature amended its wiretapping law in 1991, eavesdropping warrants were limited to calls occurring “within the jurisdiction of a particular circuit court”; the 1991 amendment “obviated the need for law enforcement agents to obtain multiple ex parte orders for each jurisdiction where a mobile phone might be located and allowed them to apply for one ex parte order in the jurisdiction where the ‘base

station' was located" (*Davis*, 426 Md at 222, 43 A3d at 1050). Even so, in *Perry v State* (357 Md 37, 741 A2d 1162 [1999]) and *Mustafa v State* (323 Md 65, 591 A2d 481 [1991]), Maryland's Court of Appeals held that communications intercepted in another state are inadmissible at trial if they would violate the Maryland wiretap statute had they been intercepted in Maryland. In response, the legislature amended its law once again to authorize "certain out-of-state interceptions" (426 Md at 222, 43 A3d at 1050, citing 2001 Md Laws 370). Then, in 2002, the legislature again amended Maryland's wiretapping statute to broaden its reach. Only in view of the repeated legislative efforts to expand the reach of its courts, and Maryland's use of the word "interception" which copied the federal statutory authorization, did the Maryland Court of Appeals conclude that its statute should be read to reach extraterritorially. In contrast, New York's statutory scheme is different and evidences neither the words nor the legislative history that would render comparison to New Jersey or Maryland apposite.

VI.

Last, in a pronouncement having nothing to do with the statutory language or legislative intent, the majority proposes a fusillade of policy justifications in support of its position. It is worth quoting them just to have them in mind:

- It is "not workable" if "a court's authority to issue a warrant is dependent upon the location of targeted cell phones or call participants" (majority op at 202);
- "Linking jurisdiction to the undetectable locations of cell phones and creating dependence on outside law enforcement agencies to investigate and prosecute very serious crimes committed in this state is unreasonable" and "would result in a logistical scheme that leaves jurisdiction in flux, creates multi-state wire rooms with diffuse oversight responsibility and in many cases would eliminate eavesdropping as an investigative tool" (*id.*);
- "More importantly, centralized oversight by a single issuing court of competent jurisdiction over the eavesdropping investigation of designated New York crimes is critical to protect against abuses in the invasion of an individual's privacy in the communications—the paramount constitu-

tional concern—and to ensure that any interception is necessary, properly minimized, and promptly terminated in accordance with constitutional safeguards” (*id.* at 202-203);

- “That crucial oversight is impossible under defendant’s proposed construct, which was certainly not the legislature’s intent in carefully designing this State’s eavesdropping statutes” (*id.* at 203).

The astonishing feature of the majority’s policy arguments is that they are pure conjecture. These policy arguments are based on nothing—not facts found below, not facts in the record, not even facts found by the majority from extra-record sources.

Here, instead, are some facts that render the majority’s policy arguments untenable. First, both state and federal courts are required to report to the Administrative Office of the United States Courts all wiretaps sought, granted and denied (*see* 18 USC § 2519). For the 11 years from 2009-2019, state and federal courts together received 36,127 wiretap applications (United States Courts, *Wiretap Report 2019—Wiretap Table Wire 7: Authorized Intercepts Granted* [Dec. 31, 2019], <https://www.uscourts.gov/statistics/table/wire-7/wiretap/2019/12/31>). Thirty-six thousand, one-hundred eighteen applications were granted: only nine were denied (*id.*). Not a single state or federal wiretap request was denied in 2017, 2018 or 2019 (*id.*). So the idea that crucial, strict oversight of wiretaps would be eroded if, for example, an officer from New York had to go to a California court to seek authorization for this very wiretap, is wholly fictional: there is no oversight to erode, because 99.975% of wiretap applications are granted.

Likewise, the idea that law enforcement would be drastically impaired if officers from one jurisdiction had to cooperate with those in another—for example, if the officers here had to seek a warrant from the federal district court or a California state court instead of a New York state court—has no support in fact. Federal law enforcement agents frequently seek warrants in state courts. As an example, by 2014, the DEA was sending more than 60% of its wiretap applications to state courts, including a DEA operation with California state prosecutors that “built a wiretapping program that secretly intercepted millions of calls and text messages based on the approval of a single state-court judge” (Brad Heath, *DEA Changes Wiretap Procedure after Questionable Eavesdropping Cases*, USA Today,

July 7, 2016, <https://www.usatoday.com/story/news/2016/07/07/dea-changes-wiretap-procedure-after-questionable-eavesdropping-cases/86802508/>).

As Mr. Schneider points out, the People readily sought and obtained warrants in California state court for his arrest and a search of his home. Perhaps doing so was not quite as rapid as it would have been if a New York court could have issued the warrant for his arrest, but no facts support the majority's doomsday pronouncements, which should be viewed with great skepticism, as the U.S. Supreme Court has admonished:

“[W]e have found no empirical statistics on the use of electronic devices (bugging) in the fight against organized crime. Indeed, there are even figures available in the wiretap category which indicate to the contrary. . . .

“Some may claim that without the use of such devices crime detection in certain areas may suffer some delays since eavesdropping is quicker, easier, and more certain. However, techniques and practices may well be developed that will operate just as speedily and certainly and—what is more important—without attending illegality” (*Berger*, 388 US at 60-63).

The proposition that the majority's holding will better ensure that “the invasion of an individual's privacy . . .—the paramount constitutional concern” is “properly minimized” runs headlong into a different set of facts (majority op at 202). New York accounts for a little less than 6% of the total United States population, yet in 2019, New York State courts accounted for 28% of all wiretap applications granted by all state courts (United States Courts, *Wiretap Report 2019* [Dec. 31, 2019], <https://www.uscourts.gov/statistics-reports/wiretap-report-2019>, cached at <http://www.nycourts.gov/reporter/webdocs/USCourtsWiretapReport2019.pdf>). In contrast, the United States District Court for the Southern District of New York, which granted the greatest number of federal wiretap applications of any federal district court, accounted for just 5% of the federal total (see United States Courts, *Wiretap Table 2—Intercept Orders Issued by Judges During Calendar Year 2019* [Dec. 31, 2019], <https://www.uscourts.gov/statistics/table/wire-2/wiretap/2019/12/31>). Adding in the other New York federal district courts brings the New York federal court total

to just 6% of all federally-issued warrants nationwide (see United States Courts, *Wiretap Report 2019—Appendix Table A1: Intercepts of Wire, Oral, or Electronic Communications Authorized by U.S. District Courts and Terminated* [Dec. 31, 2019], <https://www.uscourts.gov/statistics/table/wire-a1/wiretap/2019/12/31>). Thus, compared either to the rest of the nation or the federal courts in New York, New York’s prosecutors, aided by the New York State courts, are wiretap-happy—hardly fulfilling the Constitution’s paramount concern to protect the privacy of New Yorkers touted by the majority. One should not expect the majority’s grant of nationwide wiretapping authority to New York courts to provide enhanced protection of the right to privacy given the above data.

Yet one bit of truth in the majority’s policy pronouncements is borne out by the facts: requiring New York law enforcement officials who desire to wiretap conversations not originating or terminating in New York, and not from or to a New York resident, to obtain authorization from either a federal court or the court of some other appropriate state may occasionally “eliminate eavesdropping as an investigative tool” (majority op at 202). In dissent in *Olmstead*, Justice Brandeis rejected the worth of that complaint in words of unequalled elegance:

“Our Government is the potent, the omnipresent teacher. For good or for ill, it teaches the whole people by its example. Crime is contagious. If the Government becomes a lawbreaker, it breeds contempt for law; it invites every man to become a law unto himself; it invites anarchy. To declare that in the administration of the criminal law the end justifies the means—to declare that the Government may commit crimes in order to secure the conviction of a private criminal—would bring terrible retribution. Against that pernicious doctrine this Court should resolutely set its face” (277 US at 485).

Wiretapping is a crime under our Penal Law. Neither the text nor the legislative history of CPL article 700 suggests that the legislature authorized our courts to issue warrants commanding the diversion of purely out-of-state telephone calls between nonresidents so that they could be listened to by New York law enforcement agents. Firmly convinced thereof, I respectfully dissent.

Judges STEIN, FAHEY and GARCIA concur; Judge WILSON dissents in an opinion, in which Judge RIVERA concurs.

Order affirmed.

[175 NE3d 915, 154 NYS3d 33]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v RICHARD
B. GAWORECKI, Appellant.

Argued August 31, 2021; decided October 7, 2021

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Third Judicial Department, from an order of that Court, entered July 18, 2019. The Appellate Division (1) modified, on the law, an order of the Broome County Court (Kevin P. Dooley, J.), which had partially granted defendant's motion to dismiss the indictment to the extent of dismissing the count of the indictment charging defendant with manslaughter in the second degree; and (2) denied defendant's motion in its entirety. The modification consisted of reversing so much of the order as had partially granted defendant's motion. The Appellate Division affirmed the order as modified.

People v Gaworecki, 174 AD3d 1143, reversed.

HEADNOTES

Crimes — Manslaughter — Sufficiency of Evidence of Recklessness — Provider of Controlled Substances Resulting in Overdose Death

1. In a prosecution arising from the acute heroin overdose death of the decedent within two days after defendant sold him heroin, the People failed to establish a prima facie case before the grand jury that defendant possessed the requisite mens rea of recklessness to support the charge of second-degree manslaughter. A defendant acts recklessly in this context if the defendant "is aware of and consciously disregards a substantial and unjustifiable risk" that death will result (Penal Law § 15.05 [3]). A person who engages in conduct through the sale or provision of dangerous drugs that directly causes the death of a person may not be prosecuted for manslaughter in the second degree or the lesser included offense criminally negligent homicide without evidence of the requisite mens rea. Here, while defendant knew that the heroin he sold to the decedent was strong and required caution, the fact that the heroin was potent did not equate to a substantial and unjustifiable risk that death would result from its use. Evidence indicated that it was common knowledge among users that the strength of heroin could vary among samples and that the decedent and two others each used the same sample of heroin purchased from defendant before the day of decedent's death and survived those encounters. Moreover, the People presented insufficient evidence that defendant was aware of or failed to perceive a substantial and unjustifiable risk. There was no evidence that defendant had been told that other people had overdosed or died after using heroin he sold them or, while one of multiple empty, unmarked blue bags found in defendant's vehicle tested positive for heroin and fentanyl, that the

heroin sold to the decedent also contained fentanyl or that defendant had cut or packaged the drugs or was otherwise aware that they may have contained fentanyl.

Crimes — Criminally Negligent Homicide — Sufficiency of Evidence of Criminal Negligence — Provider of Controlled Substances Resulting in Overdose Death

2. In a prosecution arising from the acute heroin overdose death of the decedent within two days after defendant sold him heroin, the People failed to establish a prima facie case before the grand jury that defendant possessed the requisite mens rea of criminally negligent homicide to support criminally negligent homicide, a lesser included offense of the charge of second-degree manslaughter. A defendant acts with criminal negligence in this context when the defendant “fails to perceive a substantial and unjustifiable risk” that death will result (Penal Law § 15.05 [4]). A person who engages in conduct through the sale or provision of dangerous drugs that directly causes the death of a person may not be prosecuted for manslaughter in the second degree or criminally negligent homicide without evidence of the requisite mens rea. Here, while defendant knew that the heroin he sold to the decedent was strong and required caution, the fact that the heroin was potent did not equate to a substantial and unjustifiable risk that death would result from its use. Evidence indicated that it was common knowledge among users that the strength of heroin could vary among samples and that the decedent and two others each used the same sample of heroin purchased from defendant before the day of decedent’s death and survived those encounters. Moreover, the People presented insufficient evidence that defendant was aware of or failed to perceive a substantial and unjustifiable risk. There was no evidence that defendant had been told that other people had overdosed or died after using heroin he sold them or, while one of multiple empty, unmarked blue bags found in defendant’s vehicle tested positive for heroin and fentanyl, that the heroin sold to the decedent also contained fentanyl or that defendant had cut or packaged the drugs or was otherwise aware that they may have contained fentanyl.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d Homicide §§ 44, 74, 80, 121–122, 414; AM JUR 2d Indictments and Informations §§ 30, 209.
CARMODY-WAIT 2d Pretrial Motions §§ 189:119–189:121.
LAFAYE, ET AL., CRIMINAL PROCEDURE (4th ed) § 15.5.
MCKINNEY’S, Penal Law §§ 15.05 (3), (4); 125.10; 125.15 (1)
NY JUR 2d Criminal Law: Procedure § 1604; NY JUR 2d Criminal Law: Substantive Principles and Offenses §§ 29–31, 541, 543–544, 548, 550, 561, 578.

ANNOTATION REFERENCE

Test or criterion of term “culpable negligence,” “criminal negligence,” or “gross negligence,” appearing in statute defining or governing manslaughter. 161 ALR 10.

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Query: overdose /p reckless! or (criminal! /3 negligen!)

POINTS OF COUNSEL

Veronica M. Gorman, Gorman Law, PLLC, Binghamton, for appellant. I. The evidence before the grand jury was legally insufficient to support the crime of manslaughter in the second degree or the lesser crime of criminally negligent homicide. (*People v Jensen*, 86 NY2d 248; *People v Asaro*, 21 NY3d 677; *People v Pinckney*, 38 AD2d 217; *People v Galle*, 77 NY2d 953; *People v Li*, 155 AD3d 571; *People v Roth*, 141 AD3d 1090; *People v Cruciani*, 44 AD2d 684, 36 NY2d 304.) II. The People improperly instructed the grand jury on the charges of manslaughter in the second degree and criminally negligent homicide. (*People v Mayo*, 36 NY2d 1002; *People v Pinckney*, 38 AD2d 217; *People v Calbud, Inc.*, 49 NY2d 389; *People v Tunit*, 149 AD3d 1110; *People v Santiago*, 103 Misc 2d 915.)

Michael A. Korchak, District Attorney, Binghamton (*Rita M. Basile* of counsel), for respondent. I. The evidence before the grand jury was legally sufficient to establish each and every element of manslaughter in the second degree or the lesser included crime of criminally negligent homicide. The trial court erred in dismissing the manslaughter in the second degree count of the indictment. (*People v Jennings*, 69 NY2d 103; *People v Mills*, 1 NY3d 269; *People v Deegan*, 69 NY2d 976; *People v Jensen*, 86 NY2d 248; *People v Licitra*, 47 NY2d 554; *People v Boutin*, 75 NY2d 692; *People v Haney*, 30 NY2d 328; *People v Stanfield*, 36 NY2d 467; *People v Pinckney*, 38 AD2d 217, 32 NY2d 749; *People v Li*, 34 NY3d 357.) II. The legal instructions provided to the grand jury informed them of all of the essential elements of the crimes they were being asked to consider. The trial court erred in dismissing the manslaughter in the second degree count of the indictment on this basis. (*People v Calbud, Inc.*, 49 NY2d 389; *People v Valles*, 62 NY2d 36; *People v Li*, 34 NY3d 357.)

OPINION OF THE COURT

FAHEY, J.

The phrase “mens rea” is fraught with definitional difficulties. It permeates the law along with

“ ‘nonlegal disciplines such as philosophy and psychology, perhaps because it captures in a single phrase criminal law’s focus on personal culpability. The modern meaning of mens rea, and the one common in legal usage today, is more narrow: Mens rea describes the state of mind or inattention that, together with its accompanying conduct, the criminal law defines as an offense’ ” (Black’s Law Dictionary 1181 [11th ed 2019], quoting Paul H. Robinson, “Mens Rea,” in *Encyclopedia of Crime & Justice* 995, 995-996 [Joshua Dressler ed, 2d ed 2002]).

In this case, we are concerned with two culpable mental states defined in the Penal Law: recklessness and criminal negligence (*see* Penal Law § 15.05). Recklessness is the mens rea necessary for manslaughter in the second degree (*see* Penal Law § 125.15 [1]). Criminal negligence is the mental state necessary to support a charge of criminally negligent homicide (*see id.* § 125.10). “It is undisputed here that criminally negligent homicide is a lesser included offense of manslaughter in the second degree” (*People v Heide*, 84 NY2d 943, 944 [1994]).

I.

Here, the evidence presented to the grand jury established that defendant sold the decedent five bags of heroin on July 20, 2017, and that the decedent died of a heroin overdose on July 22, 2017. The bags were blue with no markings. Shortly after the sale on July 20, defendant sent the decedent a text message in which defendant told the decedent to “be careful.” Later in the day, the decedent gave one of the blue bags of heroin that he purchased from defendant to his ex-girlfriend, who consumed some of it shortly thereafter and opined that it was “really strong and potent.” She did not communicate any of this information to defendant. The decedent also used some of the heroin he purchased from defendant on July 20. The decedent’s ex-girlfriend testified that she was with the decedent on July 21 until approximately 8:30 p.m., during which time he was alive and well, and that she did not see him consume any drugs on July 21. At approximately 2:30 a.m. on July 22, police were called to the decedent’s home and found him unresponsive. The coroner who was present at the autopsy testified that the decedent was pronounced dead at the scene and that the cause of death was acute heroin toxicity. The toxicology report indicated that in addition to opiates, codeine and

benzodiazepines were found in the decedent's blood. The coroner testified that, although the other drugs could contribute to respiratory depression, their presence did not change the cause of death.

Empty green and blue glassine bags of unspecified quantity were found in the trash can of the decedent's bedroom at the time he died. Approximately one month later, another two empty blue bags were found on a nightstand in the decedent's bedroom. Empty blue glassine bags with no markings were recovered from defendant's vehicle, and residue from one of those bags tested positive for heroin and fentanyl. Residue from one of the empty blue bags taken from the decedent's nightstand tested positive for heroin, but not fentanyl. There was no evidence presented to the grand jury tying defendant to the green bags, nor any proof that defendant was the decedent's only heroin supplier.

Another person who purchased heroin from defendant on July 14, also in blue bags, testified that defendant warned him that the heroin was strong. That individual consumed some of the heroin on July 14 and had a typical reaction. On July 16, however, he had a strongly negative reaction when he consumed some of the same heroin. That individual later told defendant on July 21 that the heroin had "almost killed" him, but this was after defendant's sale of heroin to the decedent on July 20. Police later met with defendant, who acknowledged being a fellow drug user. Defendant admitted to police that he had sold the decedent five bags of heroin for \$100 and had told decedent to be careful.

Defendant was indicted on charges of manslaughter in the second degree, criminal sale of a controlled substance in the third degree, criminal possession of a controlled substance in the seventh degree, and criminal possession of a hypodermic instrument.* Defendant moved to dismiss the indictment, contending that the evidence presented to the grand jury was legally insufficient. County Court granted defendant's motion in part, dismissing that count of the indictment charging defendant with manslaughter in the second degree. On the People's appeal, the Appellate Division reversed and denied defendant's motion in its entirety, with two Justices dissenting

* The prosecutor had instructed the grand jury to consider criminally negligent homicide separately, rather than a lesser included offense of manslaughter in the second degree, and the grand jury "no-billed" the charge of criminally negligent homicide.

(*People v Gaworecki*, 174 AD3d 1143 [3d Dept 2019]). A dissenting Justice granted defendant leave to appeal to this Court (34 NY3d 940 [2019]). We now reverse.

II.

A.

“To dismiss [or reduce] an indictment on the basis of insufficient evidence before a Grand Jury, a reviewing court must consider whether the evidence viewed in the light most favorable to the People, if unexplained and uncontradicted, would warrant conviction by a petit jury” (*People v Grant*, 17 NY3d 613, 616 [2011] [internal quotation marks omitted]). “In the context of a Grand Jury proceeding, legal sufficiency means prima facie proof of the crimes charged, not proof beyond a reasonable doubt” (*id.* [internal quotation marks omitted]).

The standard, while deferential, is not meaningless. “The Legislature has defined legally sufficient evidence as ‘competent evidence which, if accepted as true, would establish every element of an offense charged’ ” (*id.*, quoting CPL 70.10 [1]). Upon review, we must determine “whether the facts, if proven, and the inferences that logically flow from those facts supply proof of every element of the charged crimes, and whether the Grand Jury could rationally have drawn the guilty inference” (*id.* [internal quotation marks omitted]).

With respect to manslaughter in the second degree, the People were required to present competent evidence establishing that defendant “recklessly cause[d] the death” of the decedent (Penal Law § 125.15 [1]). A defendant acts recklessly in this context if the defendant “is aware of and consciously disregards a substantial and unjustifiable risk” that death will result (Penal Law § 15.05 [3]; see *People v Li*, 34 NY3d 357, 368 [2019]). “The risk must be of such nature and degree that disregard thereof constitutes a gross deviation from the standard of conduct that a reasonable person would observe in the situation” (Penal Law § 15.05 [3]). With respect to the lesser included offense of criminally negligent homicide, the People must demonstrate that defendant, acting with “criminal negligence,” caused the decedent’s death (Penal Law § 125.10). A defendant acts with criminal negligence in this context when the defendant “fails to perceive a substantial and unjustifiable risk” that death will result (*id.* § 15.05 [4]). Criminal negligence also requires the defendant’s conduct to be “a gross deviation

from the standard of care that a reasonable person would observe in the situation” (*id.*).

Both recklessness and criminal negligence “require that there be a ‘substantial and unjustifiable risk’ that death or injury will occur; that the defendant engage in some blameworthy conduct contributing to that risk; and that the defendant’s conduct amount to a ‘gross deviation’ from how a reasonable person would act” (*People v Asaro*, 21 NY3d 677, 684 [2013], quoting Penal Law § 15.05). “The only distinction between the two mental states is that recklessness requires that the defendant be ‘aware of’ and ‘consciously disregard’ the risk while criminal negligence is met when the defendant negligently fails to perceive the risk” (*id.*). As we have recognized, the underlying conduct for both offenses is the same and involves some degree of risk creation (*see People v Boutin*, 75 NY2d 692, 696 [1990]). In this regard, we have observed that the “‘non-perception’ of a risk, even if death results, is not enough”—rather, the defendant must have “engaged in some blameworthy conduct creating or contributing to a substantial and unjustifiable risk of death” (*id.*).

Our case law involving criminal liability for overdose deaths informs the application of these standards. We have explained that a person who, “with the requisite mens rea, engages in conduct through the sale or provision of dangerous drugs that directly causes the death of a person” may be prosecuted for manslaughter in the second degree or criminally negligent homicide (*Li*, 34 NY3d at 363). For example, in *People v Cruciani* (36 NY2d 304 [1975]), we affirmed the defendant’s conviction of manslaughter in the second degree, concluding that he “recklessly” caused the death of the victim (*see id.* at 305). There, the defendant injected the decedent with heroin when he knew that she was already “completely bombed out” and had “lost the capacity to walk or talk straight,” and he had admitted his awareness that there was a “substantial possibility” that the heroin with which he injected her would cause her to “fall out” (that is, die) (*id.* at 305 [internal quotation marks omitted]; *see also People v Galle*, 77 NY2d 953, 955-956 [1991]).

In cases without such evidence of “the requisite mens rea” (*Li*, 34 NY3d at 363), however, the defendant may not be prosecuted for a homicide offense. For instance, in *People v Pinckney* (38 AD2d 217 [2d Dept 1972], *affd without op* 32 NY2d 749 [1973]), we upheld the Appellate Division’s decision holding that an indictment alleging a one-time sale of heroin and the

provision of needles was insufficient to support a charge of second-degree manslaughter or criminally negligent homicide (see 38 AD2d at 218-221; see also *Cruciani*, 36 NY2d at 305-306 [distinguishing *Pinckney*]).

B.

[1, 2] We conclude that the evidence presented to the grand jury failed to establish a prima facie case that defendant acted either with the recklessness required to sustain the charge of second-degree manslaughter or the criminal negligence required to sustain the lesser included offense of criminally negligent homicide.

The evidence demonstrated that defendant knew that the heroin he sold the decedent was strong and required caution. That the heroin was potent, however, does not equate to a substantial and unjustifiable risk that death would result from the use of the heroin. The coroner, the decedent's ex-girlfriend, and the other individual who purchased heroin from defendant all testified that it was common knowledge among heroin users that different samples or preparations of heroin had different potencies and that the strength of heroin could vary a great deal among samples. The People's evidence demonstrated that the decedent, his ex-girlfriend, and the other individual all used the same sample of heroin purchased from defendant before July 22 and survived those encounters.

More importantly, the People presented insufficient evidence that defendant was aware of, or failed to perceive, a substantial and unjustifiable risk of death from the heroin he was selling before July 20, when he sold heroin to the decedent. The People presented no evidence that defendant had been told that other people had overdosed or died after using the heroin he had sold them. Although one of the bags of heroin recovered from defendant's vehicle tested positive for heroin and fentanyl, there was no evidence that the heroin defendant sold to the decedent also contained fentanyl, or, if it did, that defendant had cut or packaged the drugs himself or that he was otherwise aware that the heroin he sold may have contained fentanyl. Although another person who purchased heroin from defendant told defendant that the heroin had "almost killed" him, he did not inform defendant of this fact until July 21, after defendant had sold the heroin to the decedent.

In sum, defendant's knowledge that the heroin was strong and required caution, if unexplained and uncontradicted at

trial and viewed in the light most favorable to the People, would not warrant conviction by a petit jury because it does not lead to a rational inference that defendant was aware that the potency of the heroin was such that its sale posed a substantial and unjustifiable risk of death, or that defendant failed to perceive that it did (*see* Penal Law § 15.05 [3], [4]; *cf. Galle*, 77 NY2d at 955-956; *Cruciani*, 36 NY2d at 305). The People failed to present any evidence of defendant's awareness of any real threat to the decedent's life "beyond the general knowledge of the injuriousness of drug-taking" (*Cruciani*, 36 NY2d at 305-306). For the same reason, the People failed to establish that defendant's conduct was a "gross deviation from the standard of care that a reasonable person would observe in the situation," as required for both second-degree manslaughter and criminally negligent homicide (Penal Law § 15.05 [4]; *see id.* § 15.05 [3]).

C.

Contrary to the People's assertion, this case is readily distinguishable from *People v Li* (34 NY3d 357 [2019]). There, we upheld the defendant's conviction of two counts of manslaughter in the second degree after two of his patients at a "pill mill" overdosed and died as a result of ingesting controlled substances that the defendant had prescribed to them. The defendant in *Li* was a medical doctor board-certified in anesthesiology and pain management, with ample knowledge of the effects of opioids and other drugs (*see id.* at 360-361). Despite this knowledge, the defendant typically "prescribed medically unnecessary high doses of opioids, alprazolam, and other controlled substances as a first resort," without verifying patients' complaints of pain, ordering diagnostic tests, or considering other options for pain management (*see id.*). The defendant was specifically "advised by other medical practitioners and patients' family members that several of his patients were addicted to opioids and at risk of dying from opioid abuse" (*see id.* at 361).

With respect to the defendant's two patients who died, the evidence presented at trial established that the defendant prescribed Xanax to the decedents without any documented medical basis, despite his knowledge that Xanax taken in combination with high doses of opioids could depress respiratory function and increase the likelihood of overdose death (*see id.* at 365-367). The defendant performed little to no diagnostic

workup for the decedents and did not consider any non-opioid pain management treatment options (*see id.* at 366-367). The defendant prescribed the decedents high and increasing doses of opioids and Xanax, despite his awareness of their synergistic respiratory depression effects (*see id.* at 366-368). The defendant continued to write prescriptions for the decedents that the People's expert testified was designed to create a "cycle of craving and withdrawal," even after both decedents returned early for their medications, which should have alerted the defendant that they were not taking their medications as prescribed (*id.*). The People's expert further testified that the prescription the defendant wrote for each decedent a few days before their respective overdose deaths created a high probability of overdose and death (*see id.* at 367-368).

In *Li*, the People presented ample evidence that the defendant was aware of and consciously disregarded a substantial and unjustifiable risk that the decedents would die from abusing the medications he prescribed them (*see id.* at 368). We further concluded that, "given defendant's position as their medical doctor," the defendant's conduct constituted a gross deviation from the standard of care that a reasonable person would observe in the situation (*see id.*). Here, by contrast, although the People presented evidence that defendant sold heroin to the decedent, they failed to present prima facie proof, "beyond the general knowledge of the injuriousness of drug-taking" (*Cruciani*, 36 NY2d at 305), of additional circumstances that would warrant the conclusion that defendant was aware of and consciously disregarded that his conduct posed a substantial and unjustifiable risk of death, or that defendant failed to perceive such a substantial and unjustifiable risk.

III.

Inasmuch as we have concluded that the evidence presented to the grand jury was legally insufficient to establish the requisite mens rea for second-degree manslaughter or the lesser included offense of criminally negligent homicide, we do not address the separate question of whether the People's evidence was legally sufficient to establish that defendant caused the decedent's death, another necessary element of both crimes. We also do not address defendant's contention that the prosecutor's instructions to the grand jury with respect to those counts were so incomplete or misleading that they undermined the essential function of the grand jury (*see People v Calbud*,

Inc., 49 NY2d 389, 396 [1980]). Defendant's remaining contentions are either unpreserved or rendered academic by our determination.

Accordingly, the order of the Appellate Division should be reversed, and defendant's motion insofar as it sought to dismiss the count in the indictment charging manslaughter in the second degree granted.

Chief Judge DiFiore and Judges Rivera, Garcia, Wilson, Singas and Cannataro concur.

Order reversed and defendant's motion insofar as it sought to dismiss the count in the indictment charging manslaughter in the second degree granted.

[175 NE3d 1246, 154 NYS3d 290]

RICHARD J. SASSI II, Appellant, v MOBILE LIFE SUPPORT SERVICES, INC., Respondent.

Argued September 1, 2021; decided October 12, 2021

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered October 9, 2019. The Appellate Division affirmed an order of the Supreme Court, Dutchess County (James V. Brands, J.; op 2016 NY Slip Op 33143[U] [2016]), which had granted defendant's motion pursuant to CPLR 3211 (a) (7) to dismiss the complaint.

Sassi v Mobile Life Support Servs., Inc., 176 AD3d 886, reversed.

HEADNOTE

Civil Rights — Discrimination Based on Previous Criminal Prosecution — Sufficiency of Pleading

The lower courts erred in granting defendant former employer's pre-answer motion to dismiss plaintiff's employment discrimination complaint for failure to state a cause of action, as plaintiff adequately alleged that defendant violated Correction Law article 23-A and Executive Law § 296 (15) based on the denial of plaintiff's application for employment following the completion of his criminal sentence. While the legislative history suggests that the legislature may not have considered the specific scenario here—a request for reemployment with a pre-incarceration employer—the factual allegations were sufficient to survive defendant's pre-answer motion to dismiss. Nothing in the statutory language, scheme, or legislative history indicates that the legislature intended for Correction Law article 23-A or Executive Law § 296 (15) to exempt a previous employer from the reach of those statutes. Instead, the statutes broadly refer to “any application by any person for . . . employment at any public or private employer, who has previously been convicted of one or more criminal offenses” (Correction Law § 751). Plaintiff alleged that he was terminated for job abandonment soon after he was incarcerated. Applying the liberal standard required for review of a pre-answer motion to dismiss a complaint for failure to state a cause of action, the complaint further may be read to allege that, after plaintiff completed his sentence, he applied for reemployment in the position that he previously held, and defendant denied the application solely because of the prior conviction. A plaintiff's complaint must allege facts supporting the inference that an application for employment was made and denied—and not merely that there was protest of a termination decision—because those statutes do not preclude an employer from lawfully terminating an employee such as plaintiff who by virtue of his conviction and sentence could not report to work. At the pre-answer stage of the litigation, plaintiff's allegations in that regard were adequate.

RESEARCH REFERENCES

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AM JUR 2d Job Discrimination § 452.

McKINNEY'S, Correction Law §§ 751, 752; Executive Law § 296 (15).

NY JUR 2d Businesses and Occupations §§ 35, 36, 40; NY JUR 2d Civil Rights § 137.

ANNOTATION REFERENCE

See ALR Index under Civil Rights and Discrimination.

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Query: employment /3 discrimination /s convicted /5 criminal

POINTS OF COUNSEL

Sussman and Associates, Goshen (Jonathan R. Goldman of counsel), for appellant. I. Correction Law article 23-a and Executive Law § 296 (15) apply where a former employee, whose conviction occurs during the term of his employment, is fired and then later seeks reemployment with the same employer. (*Price v Price*, 69 NY2d 8; *Zion v Kurtz*, 50 NY2d 92; *Randall v Bailey*, 288 NY 280; *Matter of Beach*, 154 NY 242; *Matter of Bonacorsa v Van Lindt*, 71 NY2d 605; *Matter of Acosta v New York City Dept. of Educ.*, 16 NY3d 309; *Matter of Mlodozienec v Worthington Corp.*, 9 AD2d 21; *Kimmel v State of New York*, 29 NY3d 386; *City of Schenectady v State Div. of Human Rights*, 37 NY2d 421.) II. Plaintiff's verified complaint amply alleges his causes of action under Correction Law article 23-a and Executive Law § 296 (15). (*Martino v Consolidated Edison Co. of N.Y., Inc.*, 105 AD3d 575.)

Kaufman Dolowich & Voluck, LLP, Woodbury (Matthew Cohen and Keith Gustein of counsel), for respondent. Plaintiff failed to state a claim pursuant to Correction Law article 23-a and Executive Law § 296 (15). (*Kimmel v State of New York*, 29 NY3d 386; *Matter of Bonacorsa v Van Lindt*, 71 NY2d 605; *Matter of Acosta v New York City Dept. of Educ.*, 16 NY3d 309; *Martino v Consolidated Edison Co. of N.Y., Inc.*, 105 AD3d 575; *Matter of Hodge v New York City Tr. Auth.*, 180 AD3d 490.)

OPINION OF THE COURT

Chief Judge DiFiore.

Correction Law article 23-A and Executive Law § 296 (15) protect certain individuals convicted of criminal offenses from unlawful discrimination in employment and licensing. In this appeal, the issue is whether plaintiff adequately alleged that defendant, plaintiff's former employer, violated the antidiscrimination statutes based on the denial of plaintiff's application for employment following the completion of his criminal sentence. Applying our liberal pleading standard for a pre-answer motion to dismiss pursuant to CPLR 3211 (a) (7), and giving plaintiff the benefit of every favorable inference, we conclude that the courts below erred in concluding the complaint failed to state a cause of action. We therefore reverse the Appellate Division order and deny the motion to dismiss.

Assuming the allegations in plaintiff's verified complaint to be true as we must in this procedural context, between 2014 and 2016 plaintiff Richard J. Sassi II, a former police officer, was employed by defendant Mobile Life Support Services, Inc., an ambulance service. When plaintiff applied to work for Mobile Life in 2014, he disclosed that he "was facing a misdemeanor charge relating to allegedly calling in a false emergency to 911" as a police officer in 2012. Defendant hired plaintiff and soon promoted him to a full-time dispatcher position. In early 2016, plaintiff informed his supervisors that his "retrial"¹ on the misdemeanor charge was imminent, and he was subsequently convicted. Throughout, plaintiff kept defendant apprised of the status of his trial, his conviction, and the results of a presentence investigation report that recommended against incarceration.

In the complaint, plaintiff averred that, during the period between his conviction and sentencing, he was told by both Mobile Life's chief operating officer (COO) and its human resources director that he was a "good employee" and, in the "unlikely event he was sentenced to jail time," they would allow him to use accrued benefit time and "re-instate him upon his release." On May 18, 2016, plaintiff was "sentenced to 60 days' incarceration" and immediately remanded to custody. When his wife promptly informed defendant about the sentence, she was told that plaintiff could use accrued benefit time until

1. The record does not indicate when the first trial occurred, how it was resolved, or why a retrial was necessary.

he “came back” to work. Soon thereafter, however, while plaintiff was incarcerated, defendant terminated him for “job abandonment.” Following his release from jail, plaintiff contacted a Mobile Life employee “who advised that he wanted plaintiff to return to work,” but indicated “the supervisors were divided” on the issue. “[U]nable to regain his job” through that contact, plaintiff subsequently met with the COO and the human resources director who advised him that because Mobile Life “had previously terminated others who had been incarcerated, they had to be consistent and terminate plaintiff.” Plaintiff then commenced this action contending that defendant violated Correction Law article 23-A and Executive Law § 296 (15) by refusing to “re-employ” him, seeking damages and reinstatement to his former position.

Mobile Life moved to dismiss the complaint for failure to state a claim under CPLR 3211 (a) (7), generally asserting, among other things, that Executive Law § 296 (15) and Correction Law article 23-A—which prohibit discrimination based on a previous conviction—were inapplicable because plaintiff was convicted during his employment. Supreme Court granted the motion and dismissed the complaint and, on plaintiff’s appeal, the Appellate Division affirmed (176 AD3d 886 [2d Dept 2019]). This Court granted leave to appeal (34 NY3d 913 [2020]).

When reviewing a pre-answer motion “to dismiss the complaint for failure to state a cause of action, we must give the pleadings a liberal construction, accept the allegations as true and accord the plaintiff[] every possible favorable inference” (*Chanko v American Broadcasting Cos. Inc.*, 27 NY3d 46, 52 [2016], citing *Goshen v Mutual Life Ins. Co. of N.Y.*, 98 NY2d 314, 326 [2002]). Giving plaintiff “the benefit of all favorable inferences which may be drawn from [the] pleading,” this Court determines only whether the alleged facts “‘fit within any cognizable legal theory’ ” (*Campaign for Fiscal Equity v State of New York*, 86 NY2d 307, 318 [1995], quoting *Leon v Martinez*, 84 NY2d 83, 87-88 [1994]). The question is whether the complaint adequately alleged facts giving rise to a cause of action, “not whether [it] properly labeled or artfully stated one” (*Chanko*, 27 NY3d at 52, citing *Leon*, 84 NY2d at 88).

Where applicable, the Correction Law and the Human Rights Law protect individuals convicted of criminal offenses from

discrimination in the context of applications for employment or licensing, subject to certain exceptions. In 1976, the legislature enacted Correction Law article 23-A and Executive Law § 296 (15) in furtherance of “the ‘general purposes’ of the Penal Law,” including “ ‘the rehabilitation of those convicted’ and ‘the promotion of their successful and productive reentry and reintegration into society’ ” (*Matter of Acosta v New York City Dept. of Educ.*, 16 NY3d 309, 314 [2011], quoting Penal Law § 1.05 [6]; see *Matter of Bonacorsa v Van Lindt*, 71 NY2d 605 [1988]). Correction Law § 751 broadly states that article 23-A applies to “any application by any person for a license or employment at any public or private employer, who has previously been convicted of one or more criminal offenses in this state or in any other jurisdiction.” Correction Law § 752 contains similar language, stating that “[n]o application for any license or employment, and no employment or license held by an individual, to which the provisions of this article are applicable, shall be denied or acted upon adversely by reason of the individual’s having been previously convicted of one or more criminal offenses.” Executive Law § 296 (15), the Human Rights Law, incorporates article 23-A, making it “an unlawful discriminatory practice for any person . . . to deny any license or employment to any individual by reason of [that individual] having been convicted of one or more criminal offenses . . . when such denial is in violation of [Correction Law article 23-A].”

The statutes do not categorically preclude consideration of a prospective employee’s criminal history and expressly permit the denial of employment or licensing if there is (1) a “direct relationship” between the previous criminal offense and the specific employment or license, or (2) if granting the request for employment or a license “would involve an unreasonable risk” to the property, safety, or welfare “of specific individuals or the general public” (Correction Law § 752). Thus, under the statutory scheme, reliance on a previous criminal offense when denying an application for employment or a license is not necessarily unlawful (see e.g. *Bonacorsa*, 71 NY2d at 614-615). Whether an exception applies depends on factors identified in Correction Law § 753 such as, among other things, the relationship between the specific employment duties and the criminal offense as well as the amount of time that has elapsed

since the offense occurred (Correction Law § 753 [1] [b], [c], [d]).² Under these provisions, when filling positions, public and private employers must treat job applicants with prior convictions equitably “while also protecting society’s interest in assuring performance [of job duties] by reliable and trustworthy persons” (*Bonacorsa*, 71 NY2d at 611).

On this appeal, based on the arguments preserved by the parties, the only question before us is whether plaintiff adequately alleged a violation of the antidiscrimination statutes. While the legislative history suggests that the legislature may not have considered this specific scenario—a request for reemployment with a pre-incarceration employer—we conclude that the factual allegations are sufficient to survive defendant’s pre-answer motion to dismiss. Nothing in the statutory language, scheme, or legislative history indicates that the legislature intended for article 23-A or Executive Law § 296 (15) to exempt a previous employer from the reach of those statutes. Instead, the statutes broadly refer to “any application by any person for . . . employment at any public or private employer, who has previously been convicted of one or more criminal offenses” (Correction Law § 751). Thus, this case does not fall outside the scope of the antidiscrimination statutes merely because plaintiff previously worked for Mobile Life.

Moreover, we disagree with defendant’s contention that, even read liberally, the complaint fails to adequately allege a post-conviction “application” by plaintiff. The term “application” is not defined in the pertinent statutes but, read in the context of employment and given its ordinary meaning, the word is reasonably interpreted to refer to a request for employment. Employment applications may take various forms in different contexts depending on, among other things, the nature of the relevant industry, the manner in which new employees are solicited or open positions advertised, application protocols implemented by the employer, and the relationship, if any, between a prospective employer and employee. The application requirement is met if, viewed in context and from an objective

2. Because this appeal arises in the context of a pre-answer motion to dismiss, the record does not reveal the role, if any, such considerations played here in the decision to deny employment. In a case involving a former employee, the individual’s record with that employer and the circumstances surrounding the prior separation from employment would also be relevant. Our conclusion that defendant’s motion to dismiss should have been denied concerns no more than that procedural question and should not be interpreted as expressing a view on the merits of plaintiff’s claim.

standpoint, the employer would have reasonably understood the communications from the prospective employee to be a request for employment.

In this case, plaintiff alleged that he was terminated for job abandonment soon after he was incarcerated. Applying our liberal standard, the complaint further may be read to allege that, after he completed his sentence, he applied for reemployment in the dispatcher position that he previously held, and Mobile Life denied the application solely because of the prior conviction. Plaintiff alleged that he was advised that, although some supervisors wanted him to return, defendant's policy was to terminate employees who had been incarcerated. Plaintiff's allegation that he was told that his request was being denied due solely to his conviction supports the inference that he was not denied employment for some other reason (for example, because the position had been filled during his incarceration).

Defendant offered an alternate interpretation of the allegations in the complaint, contending they allege a "discriminatory termination" and do not reflect a post-conviction application for employment. To that end, defendant asserts that plaintiff's post-incarceration meeting with the COO and the human resources director was a "termination meeting" intended to explain why he was fired—not a discussion between an applicant and prospective employer. Viewed in this light, defendant argues that the statutes were never triggered because there was no "application" by a person who was "previously convicted" of a criminal offense; there was, in essence, only one employment determination—a termination—that was concededly lawful and did not implicate the antidiscrimination statutes as it arose from a conviction during employment.

To be sure, throughout this litigation plaintiff acknowledged that, upon his incarceration, he could be lawfully terminated by Mobile Life. In a scenario like this, a plaintiff's complaint must allege facts supporting the inference that an application for employment was made and denied—and not merely that there was protest of a termination decision—because these statutes do not preclude an employer from lawfully terminating an employee such as plaintiff who by virtue of his conviction and sentence could not report to work. At this pre-answer stage of the litigation, we conclude only that plaintiff's allegations in that regard were adequate. Whether Mobile Life may ultimately establish that a reasonable employer would not have understood plaintiff's request as an application triggering

the statutory protections is not the question before us; to answer that question at this pre-answer stage of litigation, we would have to view the complaint in the light most favorable to defendant—an approach antithetical to the governing standard of review on this motion to dismiss.

Accordingly, the order of the Appellate Division should be reversed, with costs, and defendant’s motion to dismiss the complaint pursuant to CPLR 3211 (a) (7) denied.

GARCIA, J. (concurring). I join the majority opinion but write separately to make clear my understanding of the guidelines for assessing claims based on the relevant antidiscrimination statutes. First, Executive Law § 296 (15) and Correction Law article 23-A—which prohibit discrimination based on a “previous” conviction—do not apply to plaintiff’s termination based on conviction during employment (*see Matter of Hodge v New York City Tr. Auth.*, 180 AD3d 490 [1st Dept 2020]). Second, it is necessary for the plaintiff to allege that he was applying for an open position. It is not sufficient that plaintiff sought reinstatement or merely requested that he be rehired into his prior position. An existing position must be available at the time of the “application.” Lastly, prior employment history—here, termination for “job abandonment”—may indeed be relevant in any later hiring decision (*see* majority op at 241 n 2). With that understanding, I agree that, applying our most forgiving of standards, the motion to dismiss the complaint at this stage of the litigation was properly denied.

Judges RIVERA, FAHEY, GARCIA, WILSON, SINGAS and CANNATARO concur; Judge GARCIA in a concurring opinion.

Order reversed, with costs, and defendant’s motion to dismiss the complaint pursuant to CPLR 3211 (a) (7) denied.

[176 NE3d 682, 154 NYS3d 646]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v BRADFORD L. SHANKS, Appellant.

Argued September 2, 2021; decided October 12, 2021

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered July 18, 2019. The Appellate Division affirmed a judgment of the Otsego County Court (Brian D. Burns, J.), which had convicted defendant, upon a jury verdict, of grand larceny in the third degree.

People v Shanks, 174 AD3d 1142, reversed.

HEADNOTES

Crimes — Appeal — Oral and Written Waiver of Right to Appeal

1. In a criminal prosecution, defendant's appeal waiver was unenforceable because it did not contain clarifying language that appellate review remained available for certain issues. A waiver of the right to appeal is not an absolute bar to the taking of a first-tier direct appeal. Appellate review is not waivable, despite a guilty plea, for issues involving jurisdictional matters or rights of a constitutional dimension that go to the very heart of the process of criminal prosecution. The written appeal waiver and the colloquy failed to indicate that some rights to appeal would survive the waiver. Moreover, the written waiver implied that defendant was completely waiving his right "to prosecute [an] appeal as a poor person, and to have an attorney assigned" if indigent. Defendant's appeal waiver thus mischaracterized the nature of the waiver of appeal by suggesting that the waiver included an absolute bar to the taking of a first-tier direct appeal and the loss of attendant rights to counsel and poor person relief.

Crimes — Right to Counsel — Forfeiture of Right to Counsel

2. In a criminal prosecution, County Court violated defendant's right to counsel by refusing to assign an attorney to represent defendant on the basis that he had been abusive toward six prior attorneys who had all been relieved from representation, where defendant's conduct with successive assigned counsel was not so egregious as to constitute forfeiture of the right to counsel. A defendant may forfeit the right to counsel because of a persistent course of egregious conduct toward successive assigned counsel, consisting of threats and other abusive behavior. Mere raised voices, vociferous disagreement with an attorney over strategy, or accusations of incompetence do not rise to the level of egregious conduct constituting forfeiture of the right to counsel, especially when the defendant does not seek to dismiss the attorney. A defendant does not forfeit the right to counsel simply by being argumentative or uncooperative with counsel or by moving to reassign counsel as a mere dilatory tactic. There was record evidence of only two attorneys who asked to be relieved due to difficulties with defendant. Those attorneys complained of de-

defendant's raised voice and lack of cooperation, but provided no evidence of threats or other abusive conduct. County Court's own orders relieving the four other attorneys cited conflict of interest, illness, or departure from the state, not attorney-client animosity. Such factors were beyond defendant's control.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Appellate Review §§ 537–538; AM JUR 2d Criminal Law §§ 608, 1085.

CARMODY-WAIT 2d Pleas and Plea Bargaining §§ 182:46–182:49, 182:51; CARMODY-WAIT 2d Right to Counsel § 184:55; CARMODY-WAIT 2d Appeals in Criminal Cases §§ 207:14–207:16, 207:19.

LAFAVE, ET AL., CRIMINAL PROCEDURE (4th ed) §§ 11.1–11.4, 21.6, 27.5.

NY JUR 2d Criminal Law: Procedure §§ 764, 1531–1532, 3581–3584.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Attorneys; Constitutional Law; Criminal Law; Estoppel and Waiver.

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Query: appeal /3 waiver /p “absolute bar”

POINTS OF COUNSEL

Kathy Manley, Selkirk, for appellant. I. The purported waiver of the right to appeal was invalid. (*People v Seaberg*, 74 NY2d 1; *People v Holman*, 89 NY2d 876.) II. The Third Department erred in holding that appellant's right to counsel was properly forfeited. (*People v Whitfield*, 52 AD3d 748; *People v Griffin*, 20 NY3d 626; *People v Richardson*, 173 AD3d 1859; *People v Trapani*, 162 AD3d 1121; *People v Smith*, 143 AD3d 31, 30 NY3d 626; *People v Morales*, 68 AD3d 1356; *People v Cipriani*, 61 AD3d 1214; *People v Callahan*, 80 NY2d 273; *Hurrell-Harring v State of New York*, 15 NY3d 8; *People v Issac*, 121 AD3d 816.) III. The Third Department erred in holding that the issue of judicial bias was precluded by the appeal waiver. (*People v Danielson*, 170 AD3d 1430; *People v McCafferty*, 1 AD3d 799; *People v Heinig*, 21 AD3d 1297; *People v Rennie-Russell*, 176 AD3d 1315; *People v Towns*, 33 NY3d 326; *People v Novak*, 30 NY3d 222.)

John M. Muehl, District Attorney, Cooperstown (Christopher James Di Donna and Michael F. Getman of counsel), for respondent. The Third Department properly found that appellant knowingly, voluntarily and intelligently waived his right to appeal, thereby precluding him from arguing that the trial court improperly found him to have forfeited his right to assigned counsel. (*People v Richardson*, 173 AD3d 1859; *People v Rohadfox*, 175 AD3d 1813; *People v Segrue*, 274 AD2d 671.)

White & Case, LLP, New York City (Colin Ceriello, Lily [Haeun] Kim and David Hille of counsel), Robert S. Dean, Center for Appellate Litigation, New York City (Matthew Bova of counsel), New York State Association of Criminal Defense Lawyers, Amicus Curiae Committee (Richard D. Willstatter of counsel), Caprice R. Jenerson, Office of the Appellate Defender, New York City, and Leanne G. Lapp, Chief Defenders Association of New York, for Center for Appellate Litigation and others, amici curiae. I. The fundamental rights to counsel and a neutral judge go to the very heart of the process and are thus non-waivable. (*People v Hansen*, 95 NY2d 227; *People v Jacobs*, 6 NY3d 188; *Gideon v Wainwright*, 372 US 335; *United States v Cronin*, 466 US 648; *People v Griffin*, 20 NY3d 626; *People v Best*, 186 AD3d 845; *People v Trapani*, 162 AD3d 1121; *People v Bisono*, 36 NY3d 1013; *United States v Story*, 439 F3d 226; *People v Richardson*, 173 AD3d 1859.) II. This Court should overturn *People v Seaberg* (74 NY2d 1 [1989]) and abolish appeal waivers. (*People v Pollenz*, 67 NY2d 264; *People v Thomas*, 34 NY3d 545; *People v Grimes*, 32 NY3d 302; *People v Hobson*, 39 NY2d 479; *People v Hollman*, 79 NY2d 181; *People v Berrios*, 28 NY2d 361; *People v Suite*, 90 AD2d 80; *People v Pride*, 3 NY2d 545; *Matter of Windsor Park Tenants' Assn. v New York City Conciliation & Appeals Bd.*, 59 AD2d 121; *People v White*, 32 NY2d 393.) III. This Court should hold that the trial court violated Bradford Shanks's right to counsel and, in doing so, develop categorical rules that protect this fundamental right. (*People v Smith*, 92 NY2d 516; *People v Gilchrist*, 239 AD2d 306; *Giles v California*, 554 US 353; *People v Geraci*, 85 NY2d 359.)

OPINION OF THE COURT

FAHEY, J.

The right to be represented by counsel, guaranteed by the Sixth Amendment to the United States Constitution, is deeply intertwined with the integrity of the process of criminal prose-

cution. It is an essential constitutional right; without it all other constitutional trial rights are threatened.

“[R]eason and reflection require us to recognize that in our adversary system of criminal justice, any person haled into court, who is too poor to hire a lawyer, cannot be assured a fair trial unless counsel is provided for [that person]. This seems to us to be an obvious truth.” (*Gideon v Wainwright*, 372 US 335, 344 [1963].)

Only in rare circumstances may a defendant be deemed to have forfeited the right to counsel. On the record before us, we conclude that defendant neither forfeited his right to counsel nor validly waived his right to appeal.

I.

Defendant Bradford Shanks, accused of wrongfully obtaining insurance payments, was charged by indictment with grand larceny in the third degree. The prosecutor’s theory was that defendant, seeking to receive lost wage compensation after an accident, submitted a tax return to his insurance carrier that he had not filed with the Internal Revenue Service, showing past income he had not received.

On June 25, 2015, defendant appeared in Otsego County Court. Defendant wished to retain counsel and the matter was adjourned for him to do so. The prosecutor, citing defendant’s failure to appear in court in prior criminal matters, requested that bail be set. County Court agreed and remanded defendant. A few days later, defendant made bail and was released. On July 10, County Court increased defendant’s bail and again remanded him, after defendant arrived 45 minutes late for an appearance that morning. Defendant requested an “afternoon appointment” in the future, and County Court responded that the court did not “cut hair or clean teeth.” Defendant posted the increased bail a few days later and was released.

On September 25, defendant appeared in County Court, accompanied by his attorney, Assistant Public Defender Ryan Miosek, who entered a plea of not guilty on defendant’s behalf. The Public Defender’s Office had written to alert the court of a conflict of interest, in that the office had previously represented defendant’s wife, who was a potential prosecution witness in defendant’s case. Citing that conflict, County Court relieved Miosek and the entire Public Defender’s Office from repre-

senting defendant. The court placed on the record no other ground for relieving Miosek.

For several months, defendant was represented by attorney David K. Taylor, who, among other things, filed an omnibus motion to dismiss on defendant's behalf. After County Court denied that motion, Taylor filed a motion requesting that the County Court Judge recuse himself. Taylor alluded to the July 10, 2015 appearance at which County Court had responded with "an atypically sarcastic response" to defendant's request for "afternoon appointment[s]." Taylor also alleged that during an unrecorded conference on December 2, 2015, "the district attorney . . . announc[ed] he was going to move to dismiss the case," but "[i]n response, the judge expounded on the number of ways he could see that the case could still be successfully prosecuted" and the following day "the People announced they had decided to go forward." County Court denied the recusal motion.

Taylor sought to withdraw from representing defendant due to an illness, for which the attorney was hospitalized from March 6 through March 16, 2016. On March 21, Taylor wrote to County Court, requesting that all of his pending assigned cases be reassigned to other counsel due to his inability to work during convalescence.

County Court relieved Taylor on April 1, and appointed Lauren Cady Carlson to represent defendant. The record reveals that the court relieved Carlson on April 13, "[u]pon being notified that the assigned attorney [could not] accept the assignment based upon a conflict." A subsequently assigned counsel, Joseph Scott, informed County Court that he could not represent defendant because he was leaving New York and would no longer be practicing law in the state.

County Court relieved Scott on June 16, and appointed Diane DiStefano as defendant's attorney. On August 3, DiStefano requested by letter that she be relieved. The attorney described a telephone conversation in which defendant had "holler[ed] at" her and other conversations with him that "did not go well." DiStefano insisted that she could not "communicate with [defendant]" or "even discuss the case with him, let alone prepare him for trial," while she also emphasized that defendant would "not entertain any type of offer to settle." She posited "a complete and total breakdown of the attorney/client relationship."

During an August 5 appearance, County Court confirmed with DiStefano that she thought there was an irretrievable breakdown. After defendant indicated that he agreed with “[p]art of” that assessment and that he did not think he could continue to work with DiStefano as his attorney, counsel was relieved. County Court accused defendant of “be[ing] abusive to [his] attorneys” and “purposely or inadvertently” causing delays in the proceedings. For his part, defendant denied that he had been rude or belligerent to DiStefano. He also reminded the court that Taylor had been relieved because of illness and insisted that there had been no animosity between them. Although the court told defendant that DiStefano was the third attorney who had asked to be relieved because of defendant’s behavior, the record reflects that Miosek and Carlson were relieved due to conflicts of interest, Scott because he was leaving New York, and Taylor because of his illness.

On September 23, County Court appointed Lee C. Hartjen to represent defendant. In October, Hartjen filed a new motion to dismiss, which County Court denied. By letter dated January 4, 2017, Hartjen sought permission to be relieved based on defendant’s behavior and unwillingness to prepare for trial. In an appearance on January 13, Hartjen explained that, although he and defendant “g[o]t along okay,” defendant expected his case to be successfully resolved by a motion to dismiss, and had been uncooperative with respect to trial preparation. Hartjen added that defendant had become agitated with staff and had accused Hartjen of incompetence and malpractice. Defendant agreed with Hartjen’s request to be relieved. County Court relieved Hartjen and refused to assign another attorney to represent defendant. Instead, a week later, the court assigned Dennis B. Laughlin as defendant’s “legal advisor” or standby counsel.

Forced to represent himself, defendant told County Court that he was “not capable of defending [him]self in this case.” County Court informed defendant that matters had “c[o]me to this point” after attorneys had advised the court that they could not represent defendant “because [he] told them how [he] wanted [his] defense to be presented” and yet defendant had not changed his behavior. The court warned defendant that, if he told the jury that he desired an attorney, the court would be “forced to explain to the jury exactly why [defendant did not] have one,” which could be prejudicial to defendant.

Defendant declined to question prospective jurors, and informed them that he was “definitely not qualified to try this

case.” Such remarks prompted the promised curative instruction from County Court, which described defendant as uncooperative and “unwilling[] to assist in his defense.”

The jury found defendant guilty as charged. County Court remanded defendant without bail, contrary to the recommendation of the prosecutor.

A new attorney retained by defendant filed a second motion for the County Court Judge’s recusal, alleging bias by the court, and a motion to set aside the verdict pursuant to CPL 330.30, which included an argument based on alleged violation of defendant’s right to counsel.

At sentencing on April 21, 2017, the People indicated that if defendant would withdraw the motions, which had not yet been decided, they would recommend a sentence of time served. Defendant discussed the proposed agreement with his attorney. County Court explained that defendant “would be withdrawing [the] motions in their entirety,” and would be giving up “the right to appeal any issue relating to [his] conviction and ultimately [his] sentence.” Defendant replied that he understood.

County Court described the right to appeal that defendant would purportedly waive as follows:

“[Y]our right to appeal is your right after today’s proceedings to . . . challeng[e] them with . . . a higher court . . . It’s your right to claim that errors were made either by the Court, the District Attorney, the police officers, whoever it may be, to claim that somehow your rights were violated and to ask . . . a higher court to review this case with your request that your conviction be vacated or your sentence be changed.

“The District Attorney had indicated he’s willing to go along with this proposal in part to put finality to this matter, to not go through any of that process. So he’s making a condition of his consent, [that] you’re agreeing that this will close out this matter. You’re agreeing to waive your right to appeal your conviction and sentence.”

In language that would be appropriate in the more usual setting of a plea agreement avoiding trial, County Court added that the appeal waiver was “separate and distinct and apart from any trial rights [defendant] may have.” Again defendant said that he understood.

Defendant also signed a written waiver of the right to appeal, in which he “waive[d] any and all rights to appeal from the judgment of conviction and sentence.” The appeal waiver stated that defendant had “been advised of the right to take an appeal . . . , to prosecute the appeal as a poor person, and to have an attorney assigned . . . , and to submit a brief, and/or argue before the appellate court on any issues relating to the conviction or sentence.” However, the appeal waiver did not clarify that these were rights defendant would to a certain extent retain, as opposed to rights he had waived. Indeed, the written waiver stated that defendant had “waive[d] [his] rights to appeal voluntarily and knowingly after being fully apprised of [these] appellate rights.” The appeal waiver also stated that it was executed “in consideration of and as part of the plea agreement being entered into,” even though defendant had not pleaded guilty.

County Court sentenced defendant to time served.

On appeal, defendant contended, as a threshold matter, that the appeal waiver was invalid and, alternatively, that his claim that his Sixth Amendment right to counsel had been violated survived a valid waiver. Defendant then argued, among other things, that County Court had violated his constitutional right to counsel by requiring him to represent himself at trial, that he had not forfeited his right to counsel, that the curative instruction concerning his refusal to cooperate with counsel constituted reversible error, and that County Court was impermissibly biased.

In a decision that predated our opinion on appeal waivers in *People v Thomas* (34 NY3d 545 [2019]; see also *People v Bisono*, 36 NY3d 1013 [2020]), the Appellate Division ruled that defendant’s appeal waiver was valid and affirmed the judgment (174 AD3d 1142, 1142-1143 [3d Dept 2019]). The Appellate Division assumed, without deciding, that defendant’s constitutional right to counsel argument survived his appeal waiver, but held that defendant had, by his behavior with successive assigned counsel, forfeited his right to counsel (see *id.* at 1143). The Court did not reach defendant’s remaining contentions, treating them as precluded by his appeal waiver (see *id.*).

A Judge of this Court granted defendant leave to appeal and we now reverse.

II.

We first consider whether defendant’s appeal waiver was valid. In *People v Thomas*, we resolved three consolidated ap-

peals, in which the defendants' waivers of the right to appeal contained mischaracterizations of the scope of the appellate rights each defendant had purportedly waived as a condition of their plea bargain. The Court reinforced the principle that "a waiver of the right to appeal is not an absolute bar to the taking of a first-tier direct appeal" (*Thomas*, 34 NY3d at 558, citing *People v Seaberg*, 74 NY2d 1, 11 [1989], *People v Callahan*, 80 NY2d 273, 280 [1992], and *People v Hansen*, 95 NY2d 227, 230-231 [2000]; accord *Garza v Idaho*, 586 US —, —, 139 S Ct 738, 744-745 [2019]). "[A]ppellate review is not waivable, despite a guilty plea, for issues involving jurisdictional matters or 'rights of a constitutional dimension that go to the very heart of the process' " of criminal prosecution (*Thomas*, 34 NY3d at 559 n 2, quoting *Hansen*, 95 NY2d at 230).

In two of the consolidated appeals, *People v Green* and *People v Lang*, we invalidated appeal waivers because in each case the County Court had mischaracterized the appellate rights waived as encompassing an absolute bar to a direct appeal and collateral relief, as well as loss of attendant rights to counsel and poor person relief (see *Thomas*, 34 NY3d at 565-566). For example, the written appeal waiver forms signed by Green and her attorneys stated that the defendant was waiving "all rights to appeal," including her rights to take an appeal, file a brief, have counsel appointed if she could not afford one, argue the appeal before an appellate court, and seek CPL article 440 relief to vacate the conviction or sentence (see *id.* at 554). Given the mischaracterizations of the appellate rights waived, we could not be certain that the defendants understood the nature of the waivers and therefore determined that the appeal waivers were involuntarily made and not enforceable (see *id.* at 565-566).

On the other hand, in the *Thomas* appeal, we upheld an appeal waiver, despite some imprecise, misleading language in the waiver suggesting a bar to all appellate rights, because it also contained "clarifying language in the same form that appellate review remained available for certain issues, . . . indicating, therefore, that the right to take an appeal was retained" (*id.* at 564). The written waiver form that Thomas and his attorney signed, after consultation, stated, incorrectly, that Thomas "waive[d] any and all rights to appeal including the right to file a notice of appeal from the judgment of conviction," yet expressly excepted any constitutional speedy trial claim as well as challenges to the legality of sentence,

competency to stand trial, and “the voluntariness of this plea and [appeal] waiver” (*id.* at 553). The appeal waiver was enforceable because “the totality of the circumstances reveals that the defendant understood the nature of the appellate rights being waived” (*id.* at 559).

[1] Unlike Thomas’s appeal waiver, and akin to those in *Green* and *Lang*, defendant’s waiver in the case before us did not contain “clarifying language . . . that appellate review remained available for certain issues” (*id.* at 564). Indeed, the written appeal waiver and the colloquy utterly failed to indicate that some rights to appeal would survive the waiver. Moreover, the written waiver implied that defendant was completely waiving his right “to prosecute [an] appeal as a poor person, and to have an attorney assigned” if indigent.*

Defendant’s appeal waiver thus mischaracterized the nature of the waiver of appeal by suggesting that the waiver included an absolute bar to the taking of a first-tier direct appeal and the loss of attendant rights to counsel and poor person relief (*see Bisono*, 36 NY3d at 1017-1018; *see generally People v Grimes*, 32 NY3d 302, 311-312 [2018]). Under the circumstances we cannot be certain that defendant understood the nature of the appeal waiver, and therefore the appeal waiver is not enforceable (*see Thomas*, 34 NY3d at 565-566).

Our conclusion that defendant’s appeal waiver is invalid obviates the need to decide whether a valid appeal waiver would have extinguished defendant’s claim that his right to counsel was violated at trial. We take no position on that question and proceed to consider whether, on the record before us, defendant forfeited his right to counsel.

III.

We have recognized that “egregious conduct by [a] defendant[] can lead to a deemed forfeiture of the fundamental right to counsel,” but only as a matter of “extreme, last-resort . . . analysis” (*People v Smith*, 92 NY2d 516, 521 [1998]). The record here falls short of establishing “egregious conduct” by defendant.

* It is true that County Court belatedly told defendant that if he still wished to appeal, then he had 30 days to do so and his attorney would help him “with that paperwork,” or alternatively County Court would assign an attorney to file the notice of appeal. However, these instructions to defendant were given only *after* defendant had executed the deficient appeal waiver.

This Court has not addressed the level of misconduct by a defendant that warrants the drastic measure of forfeiture of the right to counsel, but forfeiture has been upheld by intermediate appellate courts where the record demonstrated physically abusive and threatening acts by the defendants towards their counsel. For example, “by brutally assaulting his attorney, the fourth one appointed by the court, . . . [the] defendant forfeited his right to counsel” in *People v Gilchrist* (239 AD2d 306, 307 [1st Dept 1997], *lv denied* 91 NY2d 834 [1997]). Similarly, in *People v Wilkerson* (294 AD2d 298, 298 [1st Dept 2002], *lv denied* 98 NY2d 772 [2002]), the defendant forfeited his right to counsel “by spitting at and threatening his last attorney, after threatening prior attorneys and having attacked one of them.”

There can also be forfeiture of the right to counsel without assault or other physical aggression. Threatening or verbally abusive conduct may be sufficient. A defendant may forfeit the right to counsel because of a “persistent course of egregious conduct toward successive assigned counsel, consisting of threats and other abusive behavior” (*People v Cooper*, 128 AD3d 1431, 1433 [4th Dept 2015], *lv denied* 26 NY3d 966 [2015]; *see also e.g. People v Sloane*, 262 AD2d 431, 432 [2d Dept 1999], *lv denied* 93 NY2d 1027 [1999]).

On the other hand, mere raised voices, vociferous disagreement with an attorney over strategy, or accusations of incompetence do not rise to the level of egregious conduct constituting forfeiture of the right to counsel, especially when the defendant himself does not seek to dismiss the attorney (*compare People v McElveen*, 234 AD2d 228, 230 [1st Dept 1996], *lv denied* 89 NY2d 1097 [1997]). A defendant does not forfeit the right to counsel simply by being argumentative or uncooperative with counsel or by moving to reassign counsel “as a mere dilatory tactic” (*People v Issac*, 121 AD3d 816, 817-818 [2d Dept 2014], *lv denied* 24 NY3d 1220 [2015]). The right to counsel would be almost meaningless if every defendant who quarreled with their attorney about their defense or attempted to delay the proceedings forfeited the right to counsel.

[2] There may be circumstances where a defendant who refuses to cooperate with successive assigned attorneys is ultimately deemed to have forfeited the right to assigned counsel, although such an individual must be afforded the opportunity to retain counsel. The record on appeal, however, does not permit the conclusion that this is such a case. There

is record evidence of only two attorneys who asked to be relieved due to difficulties with defendant. Those were DiStefano and Hartjen, who complained of defendant's raised voice and lack of cooperation, but provided no evidence of threats or other abusive conduct. County Court's own orders relieving Miasek, Taylor, Carlson, and Scott cited conflict of interest, illness, or departure from the state, not attorney-client animosity. Such factors were beyond defendant's control.

We conclude that there is no support in the record for the lower courts' determination that defendant's conduct with successive assigned counsel was so egregious as to constitute forfeiture of the right to counsel.

IV.

"That is the wonder of the law: that it moves case by case, seeking justice for each individual, but that any single case may be part of some larger movement" (Anthony Lewis, Gideon's Trumpet 219 [1989] [first published 1964]). Defendant was forced to undergo a criminal trial without counsel (*see generally People v Silburn*, 31 NY3d 144, 152 [2018] [noting that a standby or advisory counsel is not a cocounsel]). The law of criminal procedure has left a process like this far behind. The proper remedy is a new trial.

In light of our holdings, there is no need for us to reach any issue related to defendant's allegations of judicial bias.

Accordingly, the order of the Appellate Division should be reversed and a new trial ordered.

Chief Judge DiFiore and Judges Rivera, Garcia, Wilson, Singas and Cannataro concur.

Order reversed and a new trial ordered.

[177 NE3d 973, 155 NYS3d 548]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v CARLOS TORRES, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DAVE LEWIS, Appellant.

Argued August 31, 2021; decided October 12, 2021

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Term of the Supreme Court in the First Judicial Department, entered September 23, 2019. The Appellate Term affirmed a judgment of the Criminal Court of the City of New York, New York County (Steven M. Statsinger, J., at motion to dismiss; Joanne B. Watters, J., at plea and sentencing), which had convicted defendant, upon his plea of guilty, of failure to exercise due care to avoid collision with a pedestrian and failure to yield to a pedestrian.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Term of the Supreme Court in the First Judicial Department, entered October 24, 2019. The Appellate Term affirmed a judgment of the Criminal Court of the City of New York, New York County (Heidi C. Cesare, J.), which had convicted defendant, after a nonjury trial, of failure to exercise due care to avoid collision with a bicyclist and failure to yield to a bicyclist.

People v Torres, 65 Misc 3d 19, affirmed.

People v Lewis, 65 Misc 3d 141(A), 2019 NY Slip Op 51711(U), affirmed.

HEADNOTES

Constitutional Law — Validity of Statute — Local Law Using Ordinary Negligence Mens Rea to Impose Criminal Liability

1. The ordinary negligence mens rea of Administrative Code of the City of New York § 19-190 (the Right of Way Law), which makes it a misdemeanor for a driver, while “fail[ing] to exercise due care,” to make “contact with” a pedestrian or bicyclist who has the “right of way” and thereby cause “physical injury” (Administrative Code of City of NY § 19-190 [a]-[c]), does not violate due process. The United States Supreme Court has never articulated a general constitutional doctrine of mens rea, or held that an ordinary negligence mens rea may never be used as a basis for criminal liability. Moreover, the test for determining if a law possesses the certainty and definiteness

mandated by due process is whether the language of the statute would indicate to reasonable persons the nature of the conduct it proscribes. As the path along which a person must proceed to avoid the charge of negligence is clear, the mens rea standard is not void for vagueness.

Statutes — Preemption by State — Local Law Using Ordinary Negligence Mens Rea to Impose Criminal Liability

2. Administrative Code of the City of New York § 19-190 (the Right of Way Law), which makes it a misdemeanor for a driver, while “fail[ing] to exercise due care,” to make “contact with” a pedestrian or bicyclist who has the “right of way” and thereby cause “physical injury” (Administrative Code of City of NY § 19-190 [a]-[c]), is not preempted, either on a field or conflict basis, by the Penal Law. The provisions of the Penal Law “govern the construction of and punishment for any offense defined outside” of the Penal Law, “[u]nless otherwise expressly provided, or unless the context otherwise requires” (Penal Law § 5.05 [2]). Penal Law §§ 15.00 and 15.05, which list and define four “culpable mental states,” expressly provide otherwise by making clear that they are “applicable to this chapter” only. Further, the legislature has used an ordinary negligence mens rea for offenses defined outside the Penal Law, and has neither expressly nor by implication articulated its intent to occupy the field. Moreover, Penal Law § 15.15 sets forth the rule of statutory construction that, unless the legislature has clearly indicated its intent to make a statutory offense one of strict liability, a court should read a culpable mental state into a statute that is silent on mens rea. The Right of Way Law is not silent on mens rea; instead, it specifies a mens rea of ordinary negligence. The rule of construction contained in Penal Law § 15.15 (2), governing statutes that omit any mens rea, cannot be used to override that designation, and, therefore, there is no conflict with the local law.

Statutes — Preemption by State — Local Law Imposing Stricter Penalty for Same Conduct

3. Administrative Code of the City of New York § 19-190 (the Right of Way Law), which makes it a misdemeanor for a driver, while “fail[ing] to exercise due care,” to make “contact with” a pedestrian or bicyclist who has the “right of way” and thereby cause “physical injury” (Administrative Code of City of NY § 19-190 [a]-[c]), does not conflict with state law by punishing more severely the same conduct as proscribed by Vehicle and Traffic Law § 1146. The Vehicle and Traffic Law authorizes New York City to pass laws relating to “traffic on or pedestrian use of any highway,” including “[r]ight of way of vehicles and pedestrians” (Vehicle and Traffic Law § 1642 [a] [10]). Moreover, the mere fact that a local law may deal with some of the same matters touched upon by state law does not render the local law invalid. For a local law to be invalid pursuant to the conflict preemption doctrine, the state must specifically permit the conduct the local law prohibits or provide some other indication that deviation from state law is prohibited. The Right of Way Law imposes liability on a driver who causes physical injury to a pedestrian or bicyclist while failing to exercise due care. The state law does not permit this conduct, nor is there any indication that the City is somehow constrained in prohibiting it. Although the Right of Way Law creates a misdemeanor offense for a first-time offender whereas Vehicle and Traffic Law § 1146 creates only a traffic infraction for such an offender, a local law’s imposition of a stricter penalty than a state law does not amount to a conflict for preemption purposes.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Automobiles and Highway Traffic §§ 301, 321;
AM JUR 2d Criminal Law §§ 112, 116, 121; AM JUR 2d
Municipal Corporations, Counties, and Other Political
Subdivisions §§ 299, 300, 305–307, 364–367.
McKINNEY'S, Penal Law §§ 5.05 (2); 15.00, 15.05, 15.15;
Vehicle and Traffic Law §§ 1146, 1642 (a) (10).
NY JUR 2d Automobiles and Other Vehicles §§ 721, 802,
812, 854, 1079; NY JUR 2d Counties, Towns, and Munic-
ipal Corporations §§ 344–347; NY JUR 2d Criminal Law:
Substantive Principles and Offenses §§ 4, 20, 26, 31.

ANNOTATION REFERENCE

See ALR Index under Automobiles and Highway Traffic;
Bicycles; Certainty and Definiteness; Due Process; Mens
Rea; Municipal Corporations; Pedestrians; Preemption.

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POINTS OF COUNSEL

Robert S. Dean, Center for Appellate Litigation, New York City (Katharine Skolnick of counsel), for appellant in the first above-entitled action. I. Administrative Code of the City of New York § 19-190 (b) is (A) preempted by both the Penal Law and Vehicle and Traffic Law; and (B) unconstitutional because it criminalizes an act committed without due care, a civil negligence standard involving a significantly lower degree of culpability than the traditional categories of criminal mens rea. (*People v Angelo*, 246 NY 451; *People v Paris*, 138 AD2d 534; *Staples v United States*, 511 US 600; *People v Rosenheimer*, 209 NY 115; *People v Boutin*, 75 NY2d 692; *People v Ladd*, 89 NY2d 893; *People v Montanez*, 41 NY2d 53; *People v M&H Used Auto Parts & Cars, Inc.*, 22 AD3d 135; *People v Diack*, 24 NY3d 674; *Incorporated Vil. of Nyack v Daytop Vil.*, 78 NY2d 500.) II. By not advising Carlos Torres of the length of the term of his conditional discharge, the court violated his right to due process. (*People v Burwell*, 53 NY2d 849; *People v Peque*, 22 NY3d 168; *People v Harnett*, 16 NY3d 200; *People v*

Ford, 86 NY2d 397; *People v Oduro*, 126 AD3d 523; *People v Tyrell*, 22 NY3d 359; *People v Conceicao*, 26 NY3d 375; *People v Louree*, 8 NY3d 541; *People v Scala*, 26 NY2d 753.)

Cyrus R. Vance, Jr., District Attorney, New York City (Samuel Z. Goldfine and Christopher P. Marinelli of counsel), for respondent in the first above-entitled action. I. The Appellate Term properly determined that Administrative Code of the City of New York § 19-190 was constitutional and was not preempted by the Vehicle and Traffic Law or the Penal Law. (*People v Lee*, 58 NY2d 491; *People v Levin*, 57 NY2d 1008; *County Court of Ulster County v Allen*, 442 US 140; *Matter of Sarah K*, 66 NY2d 223; *People v Di Raffaele*, 55 NY2d 234; *People v Tichenor*, 89 NY2d 769; *People v Pagnotta*, 25 NY2d 333; *People v Feingold*, 7 NY3d 288; *People v Williams*, 24 NY3d 1129; *People v Matos*, 19 NY3d 470.) II. Defendant's guilty plea was knowing, voluntary, and intelligent. (*People v Lopez*, 71 NY2d 662; *People v Conceicao*, 26 NY3d 375; *People v Allen*, 39 NY2d 916; *People v Roopchand*, 107 AD2d 35, 65 NY2d 837; *People v Prescott*, 66 NY2d 216; *Padilla v Kentucky*, 559 US 356; *People v Harris*, 61 NY2d 9; *People v Alexander*, 19 NY3d 203; *People v Tyrell*, 22 NY3d 359; *People v Harnett*, 16 NY3d 200.)

Nathaniel Z. Marmur, *The Law Offices of Nathaniel Z. Marmur, PLLC*, New York City, for appellant in the second above-entitled action. I. The trial court erred in charging a civil standard of negligence rather than the criminal standard required by the Penal Law. (*People v Urena*, 54 Misc 3d 978; *People v Washington*, 54 Misc 3d 802; *Matter of Russell v Adduci*, 140 AD2d 844; *People v Rosenheimer*, 209 NY 115; *People v Angelo*, 246 NY 451; *People v Paris*, 138 AD2d 534; *People v Ladd*, 89 NY2d 893; *People v Conway*, 6 NY3d 869; *People v Montanez*, 41 NY2d 53; *People v Haney*, 30 NY2d 328.) II. The evidence was insufficient to prove criminal negligence. (*People v Hawkins*, 11 NY3d 484; *Matter of Suarez v Byrne*, 10 NY3d 523; *People v Lane*, 7 NY3d 888; *People v Ladd*, 89 NY2d 893; *People v Angelo*, 246 NY 451; *People v Conway*, 6 NY3d 869; *People v Futerterman*, 86 AD2d 70; *People v Cabrera*, 10 NY3d 370; *People v Smith*, 62 Misc 3d 12.)

Cyrus R. Vance, Jr., District Attorney, New York City (Amanda Katherine Regan and Christopher P. Marinelli of counsel), for respondent in the second above-entitled action. I. Defendant's guilt was proved by legally sufficient evidence.

(*People v Gordon*, 23 NY3d 643; *People v Danielson*, 9 NY3d 342; *People v Gray*, 86 NY2d 10; *People v Santos*, 86 NY2d 869; *People v Cabrera*, 10 NY3d 370; *People v Mitchell*, 213 AD2d 562; *People v Senisi*, 196 AD2d 376; *People v Boutin*, 75 NY2d 692; *People v Paul V.S.*, 75 NY2d 944.) II. The court properly charged a civil negligence standard under Administrative Code of the City of New York § 19-190 and Vehicle and Traffic Law § 1146. (*People v Baumann & Sons Buses, Inc.*, 6 NY3d 404; *People v Davidson*, 98 NY2d 738; *People v Iannelli*, 69 NY2d 684; *Matter of Van Berkel v Power*, 16 NY2d 37; *People v Russell*, 71 NY2d 1016; *People v Rodriguez*, 47 AD3d 406; *People v Tichenor*, 89 NY2d 769; *People v Pagnotta*, 25 NY2d 333; *People v Walters*, 64 Misc 3d 862; *People v Urena*, 54 Misc 3d 978.)

James E. Johnson, Corporation Counsel of the City of New York, New York City (*MacKenzie Fallow, Richard Dearing and Devin Slack* of counsel), for City of New York, amicus curiae in the first and second above-entitled actions. I. New York City's Right of Way Law is constitutional. (*People v Grimes*, 32 NY3d 302; *People v Kohl*, 72 NY2d 191; *Martin v Ohio*, 480 US 228; *People v Roberts*, 31 NY3d 406; *Powell v Texas*, 392 US 514; *Copeland v Vance*, 893 F3d 101; *Lambert v California*, 355 US 225; *United States v Balint*, 258 US 250; *People v Grogan*, 260 NY 138; *Staples v United States*, 511 US 600.) II. State law allows New York City to protect vulnerable road users from unsafe drivers. (*Garcia v New York City Dept. of Health & Mental Hygiene*, 31 NY3d 601; *Staples v United States*, 511 US 600; *Elonis v United States*, 575 US 723; *People v M&H Used Auto Parts & Cars, Inc.*, 22 AD3d 135; *People v Sandgren*, 302 NY 331; *Town of Concord v Duwe*, 4 NY3d 870; *Vatore v Commissioner of Consumer Affairs of City of N.Y.*, 83 NY2d 645; *Zakrzewska v New School*, 14 NY3d 469.)

OPINION OF THE COURT

GARCIA, J.

In a 14-year period ending in 2013, New York City recorded more than 4,700 traffic-related fatalities. Many of the victims were pedestrians and bicyclists. In response, the City launched a “Vision Zero”¹ initiative in 2014 that included the enactment of Administrative Code of the City of New York § 19-190, known

1. “Vision Zero” is an approach to road safety, developed in Sweden, based upon the principle that it “can never be ethically acceptable that people are killed or seriously injured when moving within the road transport system” (Claes Tingvall & Narelle Haworth, Monash University Accident Research

(n. cont'd)

as the “Right of Way Law.” That law makes it a misdemeanor for a driver, while “fail[ing] to exercise due care,” to make “contact with” a pedestrian or bicyclist who has the “right of way” and thereby cause “physical injury” (Administrative Code of City of NY § 19-190 [a]-[c]). Defendants, each convicted of violating the Right of Way Law, claim that the statute is unconstitutional, arguing that it violates due process by employing an “ordinary negligence” mens rea and is preempted by state law. We reject those challenges and affirm in each case.

I.

These appeals involve fatal accidents on Manhattan streets. In *Torres*, defendant, driving a truck, made a right turn, striking and killing a pedestrian inside a crosswalk with the “WALK” signal in her favor. In *Lewis*, defendant was at the wheel of a bus that struck and ran over a bicyclist, causing the rider to suffer fatal injuries. Each defendant was charged with violating the Right of Way Law, a misdemeanor, and Vehicle and Traffic Law § 1146 (c) (1), a traffic infraction.²

Both defendants moved on similar grounds to dismiss the count charging a violation of the Right of Way Law. Defendants asserted that the Right of Way Law’s ordinary negligence mens rea violates due process because the standard is both impermissibly vague and legally insufficient for imposing criminal liability. Defendants also made two preemption arguments, asserting that the Right of Way Law impermissibly punishes more severely the same conduct proscribed by Vehicle and Traffic Law § 1146, and that the Right of Way Law’s use of ordinary negligence as a culpable mental state is prohibited by article 15 of the Penal Law. In each case, the court denied defendant’s motion.

Torres, by plea, and Lewis, following a bench trial, were convicted of violating Vehicle and Traffic Law § 1146 (c) (1) and the Right of Way Law. On appeal, both defendants reasserted their challenges to the latter statute’s validity. Adopting the

Centre, *Vision Zero—An Ethical Approach to Safety and Mobility* [1999] [emphasis omitted], available at <https://www.monash.edu/muarc/archive/our-publications/papers/visionzero> [last accessed Sept. 19, 2021]).

2. Vehicle and Traffic Law § 1146 makes it a traffic infraction for a driver, while “failing to exercise due care,” to collide with a pedestrian or bicyclist and cause either “physical injury” (Vehicle and Traffic Law § 1146 [b] [1]) or “serious physical injury” (*id.* § 1146 [c] [1]). Fines are enhanced in the case of serious physical injury (*id.* § 1146 [c] [1]), while recidivists face misdemeanor liability (*id.* § 1146 [d]).

same analysis in each case, the Appellate Term unanimously rejected those arguments and affirmed (*see People v Torres*, 65 Misc 3d 19, 22-23 [App Term, 1st Dept 2019]; *People v Lewis*, 65 Misc 3d 141[A], 2019 NY Slip Op 51711[U], *1 [App Term, 1st Dept 2019]). With respect to the due process claim, the court held that, given that statutes imposing strict liability, “[p]articularly with regard to public welfare offenses,” have passed muster, “there is no constitutional infirmity in an offense that requires proof of defendant’s failure to exercise due care, a more culpable mental state” (*Torres*, 65 Misc 3d at 21-22). The court next rejected the argument that the Right of Way Law is preempted by Vehicle and Traffic Law § 1146, applying the rule that a local law that “merely provides a greater penalty than state law does not run afoul of the conflict preemption doctrine” (*id.* at 22). Lastly, the court held that the list of culpable mental states found in article 15 of the Penal Law is inapplicable to offenses “defined outside the Penal Law” (*id.* at 23).

A Judge of this Court granted leave to appeal in each case.

II.

Defendants raise the same constitutional arguments on appeal to this Court as were raised below: that the Right of Way Law violates due process and is preempted by state law.

A.

We consider first defendants’ due process challenge, namely that the State and Federal Constitutions require more than ordinary negligence as a culpable mental state for imposing criminal liability, relying primarily on the Supreme Court’s decision in *Elonis v United States* (575 US 723 [2015]).³

As an initial matter, the Supreme Court “has never articulated a general constitutional doctrine of *mens rea*” (*Powell v Texas*, 392 US 514, 535 [1968]; *see Copeland v Vance*, 893 F3d 101, 122 [2d Cir 2018] [“the Supreme Court has been at pains not to constitutionalize *mens rea*”], *cert denied* 587 US —, 139 S Ct 2714 [2019]). And even strict liability offenses, which require no culpable mental state, have been held by that Court to pass constitutional muster (*see e.g. United States v United States Gypsum Co.*, 438 US 422, 437 [1978] [explaining that

3. Defendants make no independent argument under the State Constitution (*see People v Hansen*, 99 NY2d 339, 344, 345 n 4 [2003]).

“strict-liability offenses are not unknown to the criminal law and do not invariably offend constitutional requirements”]; see also *Smith v California*, 361 US 147, 150 [1959]).

[1] Over the years, New York has codified a number of strict liability crimes (Penal Law §§ 15.10, 15.15 [2]; see *People v Byrne*, 77 NY2d 460, 463 [1991]). We have long recognized the constitutionality of such strict liability offenses (see e.g. *People v Persce*, 204 NY 397, 402-403 [1912] [holding that a law, making possession of certain “dangerous and foul” weapons criminal “itself,” was “no infringement of the Constitution”]). Indeed, in recognizing the validity of “public welfare offenses” that do not require a showing of any mens rea, the Supreme Court cited a decision by this Court, rejecting the argument that an element of conscious wrongdoing, which is required in the prosecution of “infamous crimes,” was also required to establish minor criminal violations of regulations governing tenement houses or child labor laws (see *Morissette v United States*, 342 US 246, 257-258 [1952], citing *People ex rel. Price v Sheffield Farms-Slawson-Decker Co.*, 225 NY 25, 32-33 [1918]; *Tenement House Dept. of City of N.Y. v McDevitt*, 215 NY 160, 168 [1915]). Our legislature has also enacted laws outside the Penal Law that impose criminal liability based on ordinary negligence (see e.g. Vehicle and Traffic Law § 1146 [imposing criminal liability on a driver who, while failing to exercise due care, collides with a pedestrian or bicyclist and causes either physical injury or serious physical injury]; Agriculture and Markets Law § 370 [imposing criminal liability on an owner of a dangerous animal who fails to exercise due care in protecting the public from such animal]).⁴

We disagree with defendants’ suggestion that the Supreme Court’s decision in *Elonis* somehow requires reconsideration of our prior case law. *Elonis* involved a federal statute that was

4. This Court has also expressly acknowledged, albeit in dictum, that statutes may, in certain circumstances, impose criminal liability based on ordinary negligence (see *People v Haney*, 30 NY2d 328, 334 n 7 [1972] [(c)riminal liability for death caused by ordinary negligence is sometimes imposed by statute” and “most of these statutes are confined to deaths arising out of automobile accidents”]). Moreover, other states have likewise recognized that ordinary negligence can supply the mental state necessary for criminal liability (see e.g. *Hoover v State*, 958 A2d 816, 821 [Del 2008] [noting that “(s)everal state courts have recognized the power of a legislature to define a crime based upon ordinary negligence” (internal quotation marks omitted)]; *State v Hazelwood*, 946 P2d 875, 879 [Alaska 1997] [(“It is firmly established in our jurisprudence that a mental state of simple or ordinary negligence can support a criminal conviction”)]).

silent as to any mens rea (see 575 US at 732-737, citing 18 USC § 875 [c] [sending threatening communications]). That silence led the Court to apply the well-settled rule of statutory construction that “mere omission from a criminal enactment of any mention of criminal intent should not be read as dispensing with it” (*id.* at 734 [internal quotation marks omitted]). The Court declined, as a matter of statutory interpretation, to have liability under the statute at issue turn on whether a “reasonable person” would regard the communication as a threat (*Elonis*, 575 US at 738 [internal quotation marks omitted]). But in doing so, the Court did not hold that an ordinary negligence mens rea may never be used as a basis for criminal liability (see *id.* at 741; see also *United States v Wilson*, 880 F3d 80, 86 [3d Cir 2018] [rejecting an “attempt to extend *Elonis*’s reasoning to” another statute], *cert denied* 584 US —, 138 S Ct 2586 [2018]; *United States v Kirsch*, 903 F3d 213, 232 [2d Cir 2018], *cert denied* 586 US —, 139 S Ct 1272 [2019]). There is no need for us to infer a negligence standard—or indeed supply any standard—in this case. Unlike the statute in *Elonis*, the Right of Way Law explicitly provides the applicable mens rea—ordinary negligence.

We therefore reject defendants’ argument that the Right of Way Law imposes criminal liability based on a mens rea that is insufficient as a matter of law to support criminal liability.

Nor is the mens rea standard void for vagueness. Our well-established test for determining if “a law possesses the certainty and definiteness mandated by due process is whether the language of the statute would indicate to reasonable persons the nature of the conduct it proscribes” (*People v Hardy*, 47 NY2d 500, 505 [1979]). Failure to exercise due care is, of course, firmly established as the standard of ordinary negligence (see *United States v Neustadt*, 366 US 696, 706 [1961] [“the duty to use due care” is “the traditional and commonly understood legal definition of the tort of neglig(en)ce” (internal quotation marks omitted)]; *Saarinén v Kerr*, 84 NY2d 494, 501 [1994] [“a lack of ‘due care under the circumstances’ ” is “the showing typically associated with ordinary negligence”]). As this Court noted in *People v Grogan* (260 NY 138 [1932]):

“The path has been pretty well cut out and emblazoned along which a [person] must proceed to avoid the charge of negligence. A statute, therefore, which made ‘negligent’ driving of an automobile, causing

injury or danger to another, a ‘misdemeanor,’ would, we may assume, be constitutional. But a statute falling short of this definiteness would cross the line as we have tried to draw it, and place the offense among those vague attempts to set up crimes which have resulted in unconstitutional legislation” (*id.* at 146-147).

The path here being clearly marked, defendants’ vagueness challenge fails.

B.

Defendants’ preemption arguments must be examined in the context of our well-established rules regarding constitutional and statutory “home rule” provisions. “Although a local government is constitutionally empowered to enact local laws relating to the welfare of its citizens through its police power, it is prohibited from exercising that power through the adoption of local laws that are inconsistent with the New York State Constitution or any general law of the state” (*People v Diack*, 24 NY3d 674, 678-679 [2015], citing NY Const, art IX, § 2 [c]; Municipal Home Rule Law § 10 [1] [i], [ii] [a] [12]). Accordingly, although broad, the law-making power conferred upon local governments is limited by the “preemption doctrine” (*Albany Area Bldrs. Assn. v Town of Guilderland*, 74 NY2d 372, 377 [1989]). Conflict preemption prohibits a local government from adopting a law that is “inconsistent with” state law (*New York State Club Assn. v City of New York*, 69 NY2d 211, 217 [1987]). Field preemption prohibits a local government from legislating in a field or area of the law where the “[l]egislature has assumed full regulatory responsibility” (*DJL Rest. Corp. v City of New York*, 96 NY2d 91, 95 [2001]).

Defendants do not challenge the general authority of the City to enact local traffic laws or to make the violation of those laws a crime.⁵ Rather, defendants maintain that the City was prohibited by certain provisions in the Penal Law and the Vehicle and Traffic Law from enacting a law that imposes criminal liability based on a mens rea not specifically enumerated in

5. We agree with our concurring colleague that this issue was not raised in this case and that the arguments discussed in the concurrence have not been made by the parties (*see* concurring op at 269-270, 273; *see generally* *Matter of Lewis v Klein*, 45 NY2d 930, 932 [1978] [“In disposing of this appeal the court passes on no issues not raised in the briefs presented to it and is concerned exclusively with (the) issues raised”]).

article 15 of the Penal Law. We conclude that the Right of Way Law does not run afoul of the preemption doctrine.

1.

With respect to the Penal Law, defendants argue that various provisions of article 15, which define four culpable mental states, demonstrate an intent by the legislature to occupy the field of culpable mental states acceptable as a basis for criminal liability. Because the Right of Way Law imposes criminal liability based on a mens rea not listed in article 15—ordinary negligence—defendants maintain that the statute conflicts with the Penal Law and encroaches on an area of law where the legislature has assumed full responsibility. We disagree.

Article 15 of the Penal Law lists and defines four “culpable mental states”—“intentionally,” “knowingly,” “recklessly,” and “criminal negligence” (Penal Law §§ 15.00 [6]; 15.05). However, strict liability is also contemplated by article 15: “[t]he minimal requirement for criminal liability is the performance by a person of conduct which includes a voluntary act or the omission to perform an act which [such person] is physically capable of performing,” and, “[i]f such conduct is all that is required for commission of a particular offense, . . . such offense is one of ‘strict liability’ ” (Penal Law § 15.10).

Based on these provisions, defendants assert that the Penal Law’s list of culpable mental states is exhaustive, and any offense defined within or outside the Penal Law, unless it is one of strict liability, must incorporate one of the four culpable mental states. Assuming, for the sake of argument, that article 15 can be interpreted as limiting the culpable mental states that may be used to impose criminal liability, that purported constraint would apply to only crimes defined within the Penal Law itself.

[2] The provisions of the Penal Law “govern the construction of and punishment for any offense defined outside” of the Penal Law, “[u]nless otherwise expressly provided, or unless the context otherwise requires” (Penal Law § 5.05 [2]). The two key provisions at issue, Penal Law §§ 15.00 (“Culpability; definitions of terms”) and 15.05 (“Culpability; definitions of culpable mental states”), expressly provide otherwise by making clear that they are “applicable to this chapter” only. Further contradicting defendants’ interpretation of article 15 is the legislature’s own use of an ordinary negligence mens rea for offenses defined outside the Penal Law. For example, as dis-

cussed, Vehicle and Traffic Law § 1146 and Agriculture and Markets Law § 370—which were enacted after the relevant provisions in article 15 of the Penal Law—both employ an ordinary negligence standard for imposing criminal liability. Clearly, in defining these offenses, the legislature did not feel itself limited to the culpable mental states enumerated in the Penal Law. Accordingly, the legislature has neither expressly nor by implication articulated its intent to occupy this field (*see Jancyn Mfg. Corp. v County of Suffolk*, 71 NY2d 91, 98 [1987] [“No preemptive intent is evident from either the (l)egislature’s declaration of State policy in (the at-issue statute) or the statutory scheme which has been enacted”]).

Nor does Penal Law § 15.15—which governs “[c]onstruction of statutes with respect to culpability requirements”—in any way prohibit what would otherwise be permitted. Indeed, contrary to defendants’ argument, Penal Law § 15.15 (2) neither evinces the legislature’s intent to occupy the field nor demonstrates that the list of mental states set forth in Penal Law article 15 was meant to be exclusive. As defendants correctly point out, Penal Law § 15.15 (2) applies to offenses “defined both in and outside” the Penal Law. However, that provision does not mandate that the list of culpable mental states designated in article 15 is an exhaustive one that applies to offenses defined outside the Penal Law; rather, it merely sets forth a well-settled rule of statutory construction that reflects the Penal Law’s general approach to strict liability offenses: unless the legislature has clearly indicated its intent to make a statutory offense one of strict liability, a court should read a culpable mental state into a statute that is *silent* on mens rea (*see* William C. Donnino, Practice Commentary, McKinney’s Cons Laws of NY, Penal Law § 15.00 [explaining that the rule codified in Penal Law § 15.15 (2) was enacted because the Penal Law “does not favor” strict liability offenses]; *see generally Elnis*, 575 US at 734-736).⁶ The Right of Way Law is not silent on mens rea; instead, it specifies a mens rea of ordinary negligence. The rule of construction contained in Penal Law § 15.15

6. The provision reads, in relevant part, as follows:

“Although no culpable mental state is expressly designated in a statute defining an offense, a culpable mental state may nevertheless be required for the commission of such offense, or with respect to some or all of the material elements thereof, if the proscribed conduct necessarily involves such culpable mental state. A statute defining a crime, unless clearly indicating a legislative intent to impose strict liability, should be construed

(n. cont’d)

(2), governing statutes that omit any mens rea, cannot be used to override that designation, and, therefore, there is no conflict with the local law.

Contrary to defendants' claim, the Right of Way Law is not preempted, either on a field or conflict basis, by the Penal Law.

2.

Defendants assert that the legislature intended for the Vehicle and Traffic Law to occupy the field of motor vehicle regulation, and that the Right of Way Law conflicts with the state law by punishing more harshly the same conduct as Vehicle and Traffic Law § 1146. Again, we disagree.

[3] The provisions of the Vehicle and Traffic Law are intended to be "uniform throughout this state" (Vehicle and Traffic Law § 1600; *see also* § 1604). And no local government or municipality may "enact or enforce any local law, ordinance, order, rule or regulation in conflict with the provisions" of the Vehicle and Traffic Law unless "expressly authorized" to do so (Vehicle and Traffic Law § 1600). However, the Vehicle and Traffic Law also authorizes New York City to pass laws relating to, among other things, "traffic on or pedestrian use of any highway," including "[r]ight of way of vehicles and pedestrians" (Vehicle and Traffic Law § 1642 [a] [10]). The Right of Way Law falls within this delegation of authority, defeating defendants' field preemption claim.

Defendants' conflict preemption claim fares no better. As we made clear in rejecting a preemption challenge to a city ordinance making it a misdemeanor to possess an imitation pistol, "[t]he mere fact that a local law may deal with some of the same matters touched upon by State law does not render the local law invalid" (*People v Judiz*, 38 NY2d 529, 531-532 [1976] [internal quotation marks omitted]). For a local law to be invalid pursuant to the conflict preemption doctrine, the State must specifically permit the conduct the local law prohibits or provide "some other indication that deviation from state law is prohibited" (*Garcia v New York City Dept. of Health & Mental Hygiene*, 31 NY3d 601, 617-618 [2018]). Such is not the case here. As discussed, the Right of Way Law imposes liability on a driver who causes physical injury to a pedestrian or bicyclist while failing to exercise due care (*see Administra-*

as defining a crime of mental culpability" (Penal Law § 15.15 [2]).

tive Code of City of NY § 19-190 [a]-[c]). The state law does not permit this conduct, nor is there any indication that the City is somehow constrained in prohibiting it (*see* Vehicle and Traffic Law § 1146 [b] [1]).

In any event, even accepting defendants' description of the purported "conflict"—that the Right of Way Law punishes more harshly the same conduct as Vehicle and Traffic Law § 1146—defendants' preemption argument fails. Indeed, although the Right of Way Law creates a misdemeanor offense for a first-time offender (*see* Administrative Code of City of NY § 19-190 [b]), whereas Vehicle and Traffic Law § 1146 creates only a traffic infraction for such an offender (*see* Vehicle and Traffic Law § 1146 [b] [1]; [c] [1]), we have held that a local law's imposition of a stricter penalty than a state law does not amount to a conflict for preemption purposes (*see Zakrzewska v New School*, 14 NY3d 469, 480 [2010] ["A local law may, however, provide a greater penalty than state law"]; *see e.g. People v Lewis*, 295 NY 42, 50-51 [1945] [Administrative Code of the City of New York provision imposing "heavier penalties" than equivalent state law is not a difference "of such a character as to render one inconsistent with the other"])). In sum, the Right of Way Law does not conflict with section 1146.

III.

The City, acting pursuant to a delegation of police power by the State, enacted the Right of Way Law to address "the epidemic of traffic fatalities and injuries on [its] streets" (City of New York, *Vision Zero Action Plan* at 3 [2014], <https://www1.nyc.gov/assets/visionzero/downloads/pdf/nyc-vision-zero-action-plan.pdf>, available at <https://perma.cc/VW4Z-WGJ2> [last accessed Sept. 19, 2021]). We hold that the law is a valid exercise of that delegated power (*see Judiz*, 38 NY2d at 531-532).

Defendants' remaining contentions are unpreserved.

Accordingly, in each case, the order of the Appellate Term should be affirmed.

WILSON, J. (concurring). I join the majority's decision in full. As the majority notes, Mr. Torres and Mr. Lewis "do not challenge the general authority of the City to enact local traffic laws or to make the violation of those laws a crime" (majority op at 265). I write separately because the basis for the City's authority to criminalize traffic infractions is unclear: New

York's Vehicle and Traffic Law may bar cities from attaching criminal sanctions to certain traffic violations.

As an initial observation, although I agree that criminal liability could rest on an ordinary negligence standard instead of one of the traditional types of mens rea, such statutes are exceedingly rare. Further, if New York City intended to impose criminal liability by use of a civil negligence standard, it has not done so in a straightforward way, but instead has articulated a lack of negligence as an exception to liability. The unusualness of the City's action does not render it unauthorized, but it might inform the way in which the relevant state laws should be interpreted.

Two provisions in the state's Vehicle and Traffic Law suggest limits to cities' regulation of traffic through criminal sanctions. Neither appellant raised those provisions as a ground for reversal. First, Vehicle and Traffic Law § 155 defines the term "traffic infraction" as a violation of most provisions of the Vehicle and Traffic Law "or of any law, ordinance, order, rule or regulation regulating traffic" that is "not declared by this chapter or other law of this state to be a misdemeanor or a felony." Section 155 further states that "[a] traffic infraction is not a crime and the punishment imposed therefor shall not be deemed for any purpose a penal or criminal punishment and shall not affect or impair the credibility as a witness or otherwise of any person convicted thereof." Vehicle and Traffic Law § 1800 echoes section 155: "[i]t is a traffic infraction for any person to violate any of the provisions of this chapter or of any local law, ordinance, order, rule or regulation adopted pursuant to this chapter, unless such violation is by this chapter or other law of this state declared to be a misdemeanor or a felony" (Vehicle and Traffic Law § 1800 [a]). A plain reading of Vehicle and Traffic Law §§ 155 and 1800 suggests that unless the State has determined that a particular violation is a misdemeanor or felony, no "local law, ordinance, order, rule or regulation" can transform it into one—it must be classified as a "traffic infraction." Thus, Vehicle and Traffic Law §§ 155 and 1800 may preempt cities from making traffic violations a crime.

Under that reading, the Vehicle and Traffic Law would prohibit New York City from criminalizing the conduct set out in Administrative Code of the City of New York § 19-190, known as the Right of Way Law. Section 19-190 makes it a misdemeanor for a driver to strike and physically injure a pedestrian or bicyclist who has the right of way unless the driver exercised

due care (Administrative Code § 19-190 [a], [b], [c]). The law of New York State, however, does not make that conduct a misdemeanor or a felony. Indeed, Vehicle and Traffic Law § 1146 makes a similar, though not identical, violation a “traffic infraction,” which under Vehicle and Traffic Law § 155 is not a crime (Vehicle and Traffic Law §§ 1146 [a], [b], [c]; 155).

The legislative history suggests that a concern about over-criminalizing traffic violations motivated the legislature to adopt the provisions in Vehicle and Traffic Law §§ 155 and 1800. The relevant provisions were adopted in 1934. Assembly Member James R. Robinson, who introduced the provisions, described the “principal object” of his bill as “the removal of criminal stigma which now attaches to all minor traffic violations” by “set[ting] up a new offense known as ‘traffic infraction’ ” to avoid making individuals who violate traffic regulations guilty of misdemeanors (Letter from James R. Robinson, Assembly Member, to Charles Poletti, Counsel to Governor Herbert H. Lehman, May 7, 1934, Bill Jacket, L 1934, ch 485 at 19). Assembly Member Robinson introduced the bill at the request of the New York State Magistrates Association and requested Judge Francis Bergan, a member of that association,¹ to submit a memorandum in support of the bill to the Governor (*id.*). In his memorandum, Judge Bergan explained that he and many other judges who oversaw traffic violations felt “that a large portion of such violations are not criminal in nature, and that no stigma of crime should be attached to the violation[s] beyond the actual punishment or penalty imposed by the Court” (Letter and Mem from Justice Francis Bergan, Police Court, City of Albany, to Governor Herbert H. Lehman, Apr. 25, 1934, Bill Jacket, L 1934, ch 485 at 6). The bill’s purpose, according to Judge Bergan, was to create “a new offense known as ‘traffic infraction,’ which is specifically non-criminal” in order to “prevent . . . criminal stigma from attaching to persons” convicted of minor traffic violations (*id.* at 7). Judge Bergan listed an array of statistics illustrating the problem the legislation sought to address. In the three prior

1. Judge Bergan remains one of the most respected jurists in New York’s history: a Justice of the Appellate Division, Third Department, then simultaneously a Justice of both the Third and First Departments, and later Presiding Justice of the Third Department; a Judge of this Court; a delegate to the 1938 Constitutional Convention, at which he drafted the county home rule provision; and a delegate to the 1965 Constitutional Convention, at which he served as the Chair of the Committee on Education. He also authored *The History of the New York Court of Appeals, 1847-1932*.

years alone, there were 1.3 million charges of traffic violations, each a misdemeanor, making “it . . . apparent that almost everyone who drives a car has had, or will soon have, a misdemeanor conviction” (*id.* at 7-8). An “overwhelmingly large percentage” of these cases were for “petit and minor infractions” (*id.* at 8). Indeed, Judge Bergan wrote, the Department of Corrections estimated that 75% of all misdemeanor cases were traffic cases (*id.*). The absence of a noncriminal offense for traffic violations thus resulted in “huge accumulations of the names of persons who are not criminals in any sense” in the State’s criminal records (*id.*). Those records were “cumbersome to the State,” as well as “a source of continued embarrassment to the persons convicted,” who would have to disclose their convictions for their traffic violations in a variety of contexts (*id.*). Judge Bergan mused that “[t]he man who parks too far from the curb or commits a similar traffic violation finds himself in the same criminal category as one who commits petit larceny, unlawful entry, assault in the third degree, is a common gambler or operates a house of ill fame” (*id.*). Many individuals in their official capacity echoed these sentiments and urged passage of the bill.²

In passing the provisions now in Vehicle and Traffic Law §§ 155 and 1800, the legislature appears to have reserved to itself the ability to make traffic violations criminal. Before Assembly Member Robinson’s bill passed in 1934, the definition of “crime” in the State’s Penal Law included any act or omission prohibited by law that could be punished by a fine alone (Bender’s Penal Law and the Code of Criminal Procedure of New York [1933], Penal Law, art 1, § 2). In his memorandum to the Governor, Judge Bergan pointed out that in a separate section of the Vehicle and Traffic Law at the time, the legislature appeared to intend that only third or subsequent offenses of a particular kind within a year should be criminalized as a mis-

2. See Letter from Mark Graves, Commissioner of Taxation & Fin, to Governor Herbert H. Lehman, Apr. 26, 1934, Bill Jacket, L 1934, ch 485 at 10; Letter from George W. Woltz, Chief Judge, City Court of Buffalo, to Governor Herbert H. Lehman, Apr. 26, 1934, Bill Jacket, L 1934, ch 485 at 11; Letter from Arthur L. Wilder, Rochester City Judge and President, NY St Assn of Magistrates, to Governor Herbert H. Lehman, Apr. 27, 1934, Bill Jacket, L 1934, ch 485 at 12; Letter from Walter N. Thayer, Jr., Commissioner, St of NY Dept of Corr, to Charles Poletti, Counsel to Governor Herbert H. Lehman, May 5, 1934, Bill Jacket, L 1934, ch 485 at 18; Mem from Timothy F. Cohan, Assistant Atty-Gen, St of NY Dept of Law, to Governor Herbert H. Lehman, May 8, 1934 at 3, Bill Jacket, L 1934, ch 485 at 22.

demeanor (Letter and Mem of Justice Francis Bergan, Bill Jacket, L 1934, ch 485 at 9). Due to the Penal Law’s definition of crime, however, “even the violation of local ordinances adopted in pursuance to the Vehicle and Traffic Law [were] crimes” (*id.*). In other words, to meet the legislature’s apparent intent, the bill needed to amend the Penal Law to account for “traffic infraction” as a noncriminal offense, which it did. Thus, the definition of violations of “any local law, ordinance, order, rule or regulation” as traffic infractions in Vehicle and Traffic Law § 1800 suggests that the legislature intended to bar all political subdivisions of the State from criminalizing traffic infractions unless the legislature itself had designated them as misdemeanors or felonies (Vehicle and Traffic Law § 1800 [a]).

In addition to the statutory language and legislative history, one other set of facts gives me pause. New York City appears to have had some doubt as to its own authority to criminalize the conduct at issue here. Before passing Administrative Code § 19-190, the City actively lobbied the legislature to amend the Vehicle and Traffic Law to make it a misdemeanor for a driver to fail to exercise due care and cause physical injury to a pedestrian or a bicyclist (*see City of New York, Vision Zero Action Plan* at 22 [2014]). The City failed to convince the legislature to do so, after which the City adopted Administrative Code § 19-190, the ordinance under which Mr. Torres and Mr. Lewis were convicted.

Thus, there remains an open question, unresolved by this case, as to whether cities or other political subdivisions of the State can criminalize violations that the State has designated as traffic infractions. Our affirmance of the convictions here should not be understood to have resolved that question, which I also do not see raised or resolved in any of our prior decisions.

Chief Judge DiFiore and Judges Rivera, Fahey, Wilson, Singas and Cannataro concur; Judge Wilson in a concurring opinion.

In each case: Order affirmed.

[177 NE3d 1257, 156 NYS3d 104]

ANNA AYBAR et al., Appellants, v JOSE A. AYBAR, JR., et al., Defendants, and FORD MOTOR COMPANY et al., Respondents. U.S. TIRES AND WHEELS OF QUEENS, LLC, Nonparty Respondent.

Argued September 1, 2021; decided October 7, 2021

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered January 23, 2019. The Appellate Division (1) reversed, on the law, (a) an order of the Supreme Court, Queens County (Thomas D. Raffaele, J.; op 2016 NY Slip Op 31139[U] [2016]), which had denied the motion of defendant Ford Motor Company pursuant to CPLR 3211 (a) (8) to dismiss the complaint insofar as asserted against it for lack of personal jurisdiction; and (b) an order of that Supreme Court (op 2016 NY Slip Op 31138[U] [2016]), which had denied the motion of defendant Goodyear Tire & Rubber Co. pursuant to CPLR 3211 (a) (8) to dismiss the complaint insofar as asserted against it for lack of personal jurisdiction; and (2) granted the separate motions of defendants Ford Motor Company and Goodyear Tire & Rubber Co. pursuant to CPLR 3211 (a) (8) to dismiss the complaint insofar as asserted against them.

Aybar v Aybar, 169 AD3d 137, affirmed.

HEADNOTE

Courts — Jurisdiction — General Jurisdiction over Foreign Corporation — Compliance with Registration Requirements

A foreign corporation does not consent to the exercise of general jurisdiction by New York courts by complying with the Business Corporation Law's registration requirements. Accordingly, in an action arising out of a motor vehicle accident in Virginia, the motions by defendant foreign corporations to dismiss plaintiffs' complaints against them were properly granted, notwithstanding that defendants were registered with the New York Secretary of State as foreign corporations authorized to do business in the state and had appointed in-state agents for service of process in accordance with the Business Corporation Law. Under the Business Corporation Law, in order to do business in New York, a foreign corporation must register and designate an in-state agent for service of process. The statutes do not condition the right to do business on consent to the general jurisdiction of New York courts or otherwise afford general jurisdiction to New York courts over foreign corporations that comply with those conditions. A different reading would improperly amend the statute by adding words that are not there and impermissibly read into the statute a provision which the legislature did not see fit to enact.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Foreign Corporations §§ 414–418.
CARMODY-WAIT 2d Jurisdiction in Personam and in Rem
§ 25:16; CARMODY-WAIT 2d Actions and Proceedings by
and Against Corporations, Their Officers, Directors, and
Shareholders §§ 121:65, 121:74–121:75.
NY JUR 2d Business Relationships §§ 1117, 1119, 1121,
1124.
SIEGEL, NY PRAC §§ 82, 95.

ANNOTATION REFERENCE

See ALR Index under Corporations; Due Process; Foreign
Corporations; Jurisdiction; Long-Arm Statutes; Nonresi-
dents; Process and Service of Process and Papers; Registra-
tion.

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tion

POINTS OF COUNSEL

Parker Waichman LLP, Port Washington (*Jay L. T. Breakstone* of counsel), and *Omrani & Taub, P.C.* for appellants. Consent by registration is a contract question and not subject to the 14th Amendment jurisdictional analysis of *Daimler AG v Bauman* (571 US 117 [2014]). (*Cutter v Wilkinson*, 544 US 709; *SD Protection, Inc. v Del Rio*, 498 F Supp 2d 576; *Uribe v Merchants Bank of N.Y.*, 266 AD2d 21; *Tri-Terminal Corp. v CITC Indus.*, 78 AD2d 609; *Nasso v Seagal*, 263 F Supp 2d 596; *Neirbo Co. v Bethlehem Shipbuilding Corp.*, 308 US 165; *Pennsylvania Fire Ins. Co. of Philadelphia v Gold Issue Mining & Milling Co.*, 243 US 93; *Smolik v Philadelphia & Reading Coal & Iron Co.*, 222 F 148; *Rockefeller Univ. v Ligand Pharms.*, 581 F Supp 2d 461.)

Hogan Lovells US LLP, New York City (*Sean Marotta* of counsel), and *Aaronson Rappaport Feinstein & Deutsch, LLP*, New York City (*Elliot J. Zucker* and *Peter J. Fazio* of counsel), for Ford Motor Company, respondent, and *DLA Piper LLP (US)*, New York City (*Jayne Anderson Risk* and *Neal F. Kronley* of

counsel), for The Goodyear Tire & Rubber Co., respondent. I. The Business Corporation Law does not deem a foreign corporation's registration to do business in New York as consent to be sued in the state for all causes of action. (*Matter of Clara C. v William L.*, 96 NY2d 244; *Matter of Syquia v Board of Educ. of Harpursville Cent. School Dist.*, 80 NY2d 531; *Mendoza v Akerman Senterfitt LLP*, 128 AD3d 480; *Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653; *Riley v County of Broome*, 95 NY2d 455; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Matter of Richmond Constructors v Tishelman*, 61 NY2d 1; *Matter of Palmer v Spaulding*, 299 NY 368; *Chufen Chen v Dunkin' Brands, Inc.*, 954 F3d 492; *World-Wide Volkswagen Corp. v Woodson*, 444 US 286.) II. Consent by registration is unconstitutional under the Due Process Clause. (*Brown v Lockheed Martin Corp.*, 814 F3d 619; *Wilderness USA, Inc. v DeAngelo Bros. LLC*, 265 F Supp 3d 301; *Chatwal Hotels & Resorts LLC v Dollywood Co.*, 90 F Supp 3d 97; *Wenche Siemer v Learjet Acquisition Corp.*, 966 F2d 179; *King v American Family Mut. Ins. Co.*, 632 F3d 570; *Cossaboon v Maine Med. Ctr.*, 600 F3d 25; *Consolidated Dev. Corp. v Sherritt, Inc.*, 216 F3d 1286; *Pittock v Otis El. Co.*, 8 F3d 325.) III. Consent by registration is an unconstitutional condition that burdens interstate commerce. (*Matter of Working Families Party v Fisher*, 23 NY3d 539; *Koontz v St. Johns River Water Management Dist.*, 570 US 595; *Southern Pacific Co. v Denton*, 146 US 202; *United States v Lopez*, 514 US 549; *Bendix Autolite Corp. v Midwesco Enterprises, Inc.*, 486 US 888; *Dolan v City of Tigard*, 512 US 374.) IV. Constitutional concerns counsel in favor of rejecting consent-by-registration as a statutory matter. (*Courtesy Sandwich Shop v Port of N.Y. Auth.*, 12 NY2d 379.)

New York State Trial Lawyers' Association, New York City (Edward A. Steinberg of counsel), for New York State Trial Lawyers' Association, amicus curiae. I. Consent general jurisdiction by registration survives *Daimler AG v Bauman* (571 US 117 [2014]). (*Burger King Corp. v Rudzewicz*, 471 US 462; *Pennsylvania Fire Ins. Co. of Philadelphia v Gold Issue Mining & Milling Co.*, 243 US 93; *Bagdon v Philadelphia & Reading Coal & Iron Co.*, 217 NY 432; *Tauza v Susquehanna Coal Co.*, 220 NY 259; *Elish v St. Louis Southwestern Ry. Co.*, 305 NY 267; *Simonson v International Bank*, 14 NY2d 281; *Bryant v Finnish Natl. Airline*, 15 NY2d 426; *Matter of B&M Kingstone, LLC v Mega Intl. Commercial Bank Co., Ltd.*, 131 AD3d 259; *William L. Bonnell Co. v Katz*, 23 Misc 2d 1028; *Waldman v Palestine Liberation Org.*, 835 F3d 317.) II. The "Daimler" rule

has been misapplied to consent jurisdiction by registration, which was not involved in the *Daimler AG v Bauman* (571 US 117 [2014]) case. (*Pennsylvania Fire Ins. Co. of Philadelphia v Gold Issue Mining & Milling Co.*, 243 US 93; *Neirbo Co. v Bethlehem Shipbuilding Corp.*, 308 US 165; *Sonera Holding B.V. v Cukurova Holding A.S.*, 750 F3d 221; *Chufen Chen v Dunkin Brands, Inc.*, 954 F3d 492; *EMI Christian Music Group, Inc. v MP3tunes, LLC*, 844 F3d 79.)

New York State Bar Association, Albany (Scott M. Karson, Michael J. Hutter, Souren A. Israelyan and Domenick Napolitano of counsel), for New York State Bar Association, amicus curiae. I. Ford Motor Company and The Goodyear Tire & Rubber Co. knowingly and voluntarily consented to general personal jurisdiction in New York by registering to do business in the state. (*Pennoyer v Neff*, 95 US 714; *Bagdon v Philadelphia & Reading Coal & Iron Co.*, 217 NY 432; *Augsbury Corp. v Petrokey Corp.*, 97 AD2d 173; *STX Panocean [UK] Co., Ltd. v Glory Wealth Shipping Pte, Ltd.*, 560 F3d 127; *Rockefeller Univ. v Ligand Pharms.*, 581 F Supp 2d 461; *Neirbo Co. v Bethlehem Shipbuilding Corp.*, 308 US 165; *Pennsylvania Fire Ins. Co. of Philadelphia v Gold Issue Mining & Milling Co.*, 243 US 93; *Robert Mitchell Furniture Co. v Selden Breck Constr. Co.*, 257 US 213; *Von Arx, A.G. v Breitenstein*, 52 AD2d 1049, 41 NY2d 958; *Gibbs v Queen Ins. Co.*, 63 NY 114.) II. New York's consent by registration doctrine, as judicially recognized by construction of New York's registration statute for foreign corporations, is a proper interpretation of state law and no principled basis for rejecting such interpretation has been demonstrated. (*Teel v Yost*, 128 NY 387; *Lafayette Ins. Co. v French*, 59 US 404; *Ex Parte Schollenberger*, 96 US 369; *St. Clair v Cox*, 106 US 350; *Pennsylvania Fire Ins. Co. of Philadelphia v Gold Issue Mining & Milling Co.*, 243 US 93; *Le Vine v Isoserve, Inc.*, 70 Misc 2d 747; *Flame S.A. v Worldlink Intl. [Holding] Ltd.*, 107 AD3d 436; *Robfogel Mill-Andrews Corp. v Cupples Co., Mfrs.*, 67 Misc 2d 623; *Bane v Netlink, Inc.*, 925 F2d 637.) III. New York's consent by registration doctrine survives a due process challenge based on *Daimler AG v Bauman* (571 US 117 [2014]). (*Insurance Corp. of Ireland, Ltd. v Compagnie des Bauxites de Guinee*, 456 US 694; *Burger King Corp. v Rudzewicz*, 471 US 462; *Hess v Pawloski*, 274 US 352; *Acorda Therapeutics Inc. v Mylan Pharms. Inc.*, 817 F3d 755; *International Shoe Co. v Washington*, 326 US 310; *Perkins v Benguet Consol. Mining Co.*, 342 US 437; *Genuine Parts Co. v Cepec*, 137 A3d 123; *Knowlton v Allied Van Lines, Inc.*, 900 F2d 1196.)

Selendy & Gay PLLC, New York City (Caitlin J. Halligan, Amy K. Nemetz and Max H. Siegel of counsel), and George Washington University Law School, Washington D.C. (Alan B. Morrison of the District of Columbia bar, admitted pro hac vice, of counsel), for Alan B. Morrison and others, amici curiae. I. Sections 1301 and 1304 of the Business Corporation Law confer personal jurisdiction over the claims in this case. (*Bagdon v Philadelphia & Reading Coal & Iron Co.*, 217 NY 432; *Tauza v Susquehanna Coal Co.*, 220 NY 259; *Barrow S. S. Co. v Kane*, 170 US 100; *Neirbo Co. v Bethlehem Shipbuilding Corp.*, 308 US 165; *Brown v Lockheed Martin Corp.*, 814 F3d 619; *Gucci America, Inc. v Weixing Li*, 768 F3d 122; *Daimler AG v Bauman*, 571 US 117; *Chufen Chen v Dunkin' Brands, Inc.*, 954 F3d 492; *In re Thelen LLP*, 736 F3d 213.) II. The United States Supreme Court has recognized the constitutionality of registration jurisdiction, and recent case law is not to the contrary. (*Pennoyer v Neff*, 95 US 714; *International Shoe Co. v Washington*, 326 US 310; *Burger King Corp. v Rudzewicz*, 471 US 462; *Insurance Corp. of Ir. v Compagnie des Bauxites de Guinee*, 456 US 694; *Adam v Saenger*, 303 US 59; *Chicago Life Ins. Co. v Cherry*, 244 US 24; *Shaffer v Heitner*, 433 US 186; *Burnham v Superior Ct. of Cal., County of Marin*, 495 US 604; *Carnival Cruise Lines, Inc. v Shute*, 499 US 585; *AT&T Mobility LLC v Concepcion*, 563 US 333.) III. Neither the unconstitutional conditions doctrine nor the Dormant Commerce Clause forecloses New York's exercise of personal jurisdiction in this case. (*Speiser v Randall*, 357 US 513; *Koontz v St. Johns River Water Management Dist.*, 570 US 595; *Pike v Bruce Church, Inc.*, 397 US 137; *Quill Corp. v North Dakota*, 504 US 298; *Bendix Autolite Corp. v Midwesco Enterprises, Inc.*, 486 US 888; *International Textbook Co. v Pigg*, 217 US 91; *Murnan v Wabash Ry. Co.*, 246 NY 244; *Gulf Oil Corp. v Gilbert*, 330 US 501; *Compare Mashreqbank PSC v Ahmed Hamad Al Gosai & Bros. Co.*, 23 NY3d 129; *Banco Ambrosiano v Artoc Bank & Trust*, 62 NY2d 65.)

Weitz & Luxenberg P.C., New York City (Alani Golanski of counsel), and Navan Ward, American Association for Justice, Washington, D.C. (Jeffrey R. White of counsel), for American Association for Justice, amicus curiae. I. Registration to do business and appointment of an agent to receive process is express consent to general jurisdiction that does not violate due process. (*Bagdon v Philadelphia & Reading Coal & Iron Co.*, 217 NY 432; *Pennsylvania Fire Ins. Co. of Philadelphia v Gold Issue Mining & Milling Co.*, 243 US 93; *Neirbo Co. v*

Bethlehem Shipbuilding Corp., 308 US 165; *Acorda Therapeutics, Inc. v Mylan Pharms. Inc.*, 78 F Supp 3d 572; *Moore v East Cleveland*, 431 US 494; *Hurtado v California*, 110 US 516; *Corn Exchange Bank v Coler*, 280 US 218; *Ownbey v Morgan*, 256 US 94; *Snyder v Massachusetts*, 291 US 97; *Duncan v Louisiana*, 391 US 145.) II. The Supreme Court of the United States has not rejected or overruled its prior precedents holding that jurisdiction may be based on consent expressed by registration to do business and appointment of an agent for service. (*International Shoe Co. v Washington*, 326 US 310; *Shaffer v Heitner*, 433 US 186; *Daimler AG v Bauman*, 571 US 117; *Burnham v Superior Court of Cal., County of Marin*, 495 US 604; *J. McIntyre Machinery, Ltd. v Nicastro*, 564 US 873; *Burger King Corp. v Rudzewicz*, 471 US 462; *Perkins v Benguet Consol. Mining Co.*, 342 US 437; *Olberding v Illinois Central R. Co.*, 346 US 338; *Bendix Autolite Corp. v Midwesco Enterprises, Inc.*, 486 US 888; *Goodyear Dunlop Tires Operations, S. A. v Brown*, 564 US 915.) III. The problems raised by defendants are already better addressed by the doctrine of forum non conveniens. (*Piper Aircraft Co. v Reyno*, 454 US 235; *Islamic Republic of Iran v Pahlavi*, 62 NY2d 474.)

Jones Day, New York City (*Lanier Saperstein, Rajeev Mutreja* and *Helen Jiang* of counsel) and Washington, D.C. (*J. Benjamin Aguiñaga* of counsel), and *Council on Judicial Administration, New York City Bar Association*, New York City (*Michael P. Regan* and *Philip V. Tisne* of counsel), for New York City Bar Association, amicus curiae. Appointing the Secretary of State as its agent for service of process does not subject a foreign corporation to general jurisdiction. (*Matter of Syquia v Board of Educ. of Harpursville Cent. School Dist.*, 80 NY2d 531; *Keane v Kamin*, 94 NY2d 263; *Flick v Stewart-Warner Corp.*, 76 NY2d 50; *Stewart v Volkswagen of Am.*, 81 NY2d 203; *Laufer v Ostrow*, 55 NY2d 305; *Pennoyer v Neff*, 95 US 714; *Conley v Mathieson Alkali Works*, 190 US 406; *Kendall v American Automatic Loom Co.*, 198 US 477; *Goldey v Morning News*, 156 US 518; *Barrow S. S. Co. v Kane*, 170 US 100.)

Freshfields Bruckhaus Deringer US LLP, New York City (*Scott A. Eisman*, *Timothy P. Harkness*, *Linda H. Martin*, *David Y. Livshiz*, *Elena Hadjimichael*, *Alistair Blacklock* and *Yulia Dernovsky* of counsel), and *U.S. Chamber Litigation Center*, Washington, D.C. (*Andrew R. Varcoe* and *Jennifer B. Dickey* of counsel), for Chamber of Commerce of the United States of America and another, amici curiae. I. The Business Corpora-

tion Law does not provide for general jurisdiction over foreign corporations when they register to do business in New York. (*Leader v Maroney, Ponzini & Spencer*, 97 NY2d 95; *Flores v Lower E. Side Serv. Ctr., Inc.*, 4 NY3d 363; *Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55; *Keane v Kamin*, 94 NY2d 263; *Matter of National Energy Marketers Assn. v New York State Pub. Serv. Commn.*, 33 NY3d 336; *People v Badji*, 36 NY3d 393; *Miller v Surf Props.*, 4 NY2d 475; *Daimler AG v Bauman*, 571 US 117.) II. Plaintiffs misplace reliance on *Bagdon v Philadelphia & Reading Coal & Iron Co.* (217 NY 432 [1916]). (*Pennoyer v Neff*, 95 US 714; *Shaffer v Heitner*, 433 US 186; *Burnham v Superior Court of Cal., County of Marin*, 495 US 604; *Martinez v Aero Caribbean*, 764 F3d 1062; *Wenche Siemer v Learjet Acquisition Corp.*, 966 F2d 179; *Brown v Lockheed Martin Corp.*, 814 F3d 619; *Simmons v Trans Express Inc.*, 37 NY3d 107; *Wieder v Skala*, 80 NY2d 628; *Senator Linie GmbH & Co. Kg v Sunway Line, Inc.*, 291 F3d 145; *Eagle-Picher Lead Co. v Mansfield Paint Co., Inc.*, 201 App Div 223.) III. Endorsing plaintiffs' jurisdiction-by-registration theory would harm New York State and its corporations. (*Genuine Parts Co. v Cepec*, 137 A3d 123; *Gucci America, Inc. v Weixing Li*, 768 F3d 122; *Motorola Credit Corp. v Uzan*, 132 F Supp 3d 518; *Deutsche Bank Natl. Trust Co. v Barclays Bank PLC*, 34 NY3d 327; *Walden v Fiore*, 571 US 277; *Williams v Beemiller, Inc.*, 33 NY3d 523; *World-Wide Volkswagen Corp. v Woodson*, 444 US 286; *Hertz Corp. v Friend*, 559 US 77.)

OPINION OF THE COURT

SINGAS, J.

The Business Corporation Law requires foreign corporations seeking authorization to do business in New York to register with the New York Secretary of State and designate an in-state agent for service of process. The question before us on this appeal is whether a foreign corporation consents to the exercise of general jurisdiction by New York courts by registering to do business here and designating a local agent for service of process. We conclude that a foreign corporation's compliance with the relevant statutory provisions constitutes consent to accept service of process in New York; that compliance does not constitute consent to general jurisdiction in New York courts.

I.

In July 2012, defendant Jose A. Aybar, Jr., a New York resident, was operating a Ford Explorer on an interstate highway

in Virginia. The vehicle overturned multiple times after its Goodyear tire allegedly failed, resulting in the death of three passengers and injuries to three other passengers. The surviving passengers and the representatives of the deceased passengers' estates (plaintiffs) commenced this action against defendants Aybar, Ford Motor Company (Ford), and The Goodyear Tire & Rubber Co. (Goodyear), asserting, among other things, products liability claims against Ford and Goodyear.

Aybar purchased the vehicle in New York from a third party. Ford did not sell the vehicle in this state in the first instance, nor did Ford design or manufacture the vehicle here. Similarly, Goodyear designed, manufactured, and initially sold the tire in other states. It is undisputed that Ford was incorporated in Delaware and maintains its principal place of business in Michigan and that Goodyear was incorporated and has its principal place of business in Ohio. At all relevant times, Ford and Goodyear were registered with the New York Secretary of State as foreign corporations authorized to do business in this state and had appointed in-state agents for service of process in accordance with the Business Corporation Law.

Ford and Goodyear separately moved to dismiss the complaint against them pursuant to CPLR 3211 (a) (8) on the ground that New York courts lacked personal jurisdiction. Plaintiffs opposed both motions, arguing, as relevant here, that by registering to do business in New York and appointing an in-state agent for service of process, a foreign corporation knowingly consents to general jurisdiction in this state's courts.

Supreme Court denied the motions in separate orders, concluding that New York courts could exercise general jurisdiction over Ford and Goodyear (2016 NY Slip Op 31138[U] [Sup Ct, Queens County 2016]; 2016 NY Slip Op 31139[U] [Sup Ct, Queens County 2016]). Citing *Bagdon v Philadelphia & Reading Coal & Iron Co.* (217 NY 432 [1916]), the court determined that Ford and Goodyear consented to general jurisdiction by registering to do business in New York as a foreign corporation and designating a local agent for service of process.

The Appellate Division reversed the orders and granted the motions of Ford and Goodyear to dismiss the complaint as to them (*see* 169 AD3d 137, 152-153 [2d Dept 2019]). Citing *Bagdon* and other authority, the Court agreed with the motion court that "[t]here has been longstanding judicial construction" that a foreign corporation's registration to do business in New

York and appointment of an in-state agent constituted consent to general jurisdiction (*id.* at 147). The Court determined, however, that “*Bagdon* must be understood within the historical context in which it was decided” and, in light of recent Supreme Court precedent clarifying the permissible grounds for general jurisdiction, the Court concluded that “it cannot be said that a corporation’s compliance with the existing business registration statutes constitutes consent to the general jurisdiction of New York courts” (*id.* at 147-148).

We granted plaintiffs leave to appeal from the Appellate Division order (*see* 34 NY3d 905 [2019]) and now affirm.

II.

To begin, we clarify what issues are—and are not—presented here. Plaintiffs concede that they did not assert below that New York courts had specific jurisdiction over Ford and Goodyear under New York’s long-arm statute, CPLR 302. As a result, that issue is unpreserved for our review. In addition, plaintiffs have abandoned any argument that Ford and Goodyear are essentially at home in New York such that general jurisdiction exists pursuant to *Goodyear Dunlop Tires Operations, S. A. v Brown* (564 US 915 [2011]) and *Daimler AG v Bauman* (571 US 117 [2014]). The sole issue before us, as presented by the parties, is whether Ford and Goodyear consented to general jurisdiction in New York by registering to do business here and appointing a local agent for service of process, in compliance with the Business Corporation Law.¹ For the reasons that follow, we conclude, as a matter of New York law, that Ford and Goodyear did not consent to general jurisdiction in New York courts.²

As relevant here, the Business Corporation Law sets forth the steps a foreign corporation must take to obtain authorization to do business in New York. Business Corporation Law § 1301 (a) provides that a foreign corporation “shall not do

1. Plaintiffs do not argue that defendants consented to jurisdiction by any other available means. For instance, parties may contract or stipulate to submit to personal jurisdiction in a particular court through appropriate forum-selection agreements (*see Insurance Corp. of Ireland v Compagnie des Bauxites de Guinee*, 456 US 694, 703-704 [1982]; *Burger King Corp. v Rudzewicz*, 471 US 462, 472 n 14 [1985]).

2. Contrary to the dissent’s implication, we do not, nor would it be appropriate for us to, opine as to whether the facts of this case would render Ford or Goodyear subject to personal jurisdiction in other states (*see* dissenting op at 291-292).

business in this state until it has been authorized to do so.” As part of the registration process, a foreign corporation’s application for authority to do business in New York must include “[a] designation of the secretary of state as its agent upon whom process against it may be served” (Business Corporation Law § 1304 [a] [6]). Section 304 likewise provides that “[n]o . . . foreign corporation may be . . . authorized to do business in this state . . . unless in its . . . application for authority it designates the secretary of state” as “the agent . . . upon whom process against the corporation may be served” (*id.* § 304 [a], [b]). Further, if a foreign corporation “is to have a registered agent,” it must identify that agent’s “name and address within this state” and declare “that the registered agent is to be its agent upon whom process against it may be served” (*id.* § 1304 [a] [7]).

These statutory provisions plainly require that, in order to do business in New York, a foreign corporation must register and designate an in-state agent for service of process. The statutes do not, however, condition the right to do business on consent to the general jurisdiction of New York courts or otherwise afford general jurisdiction to New York courts over foreign corporations that comply with these conditions. A different reading would improperly “amend [the] statute by adding words that are not there” (*American Tr. Ins. Co. v Sartor*, 3 NY3d 71, 76 [2004]) and would impermissibly “read into a statute a provision which the [l]egislature did not see fit to enact” (*Matter of Chemical Specialties Mfrs. Assn. v Jorling*, 85 NY2d 382, 394 [1995] [internal quotation marks and citation omitted]). Accordingly, a foreign corporation’s registration to do business and designation of an agent for service of process in New York does not constitute consent to general jurisdiction under the Business Corporation Law’s plain terms (*see Kuzmich v 50 Murray St. Acquisition LLC*, 34 NY3d 84, 91 [2019], *cert denied* 589 US —, 140 S Ct 904 [2020] [a court must give effect to the plain meaning of the statute’s language]).³

3. It appears that every state has enacted business registration statutes, though they vary in language and effect (*see e.g.* 42 Pa Cons Stat § 5301 [a] [2] [i] [“qualification as a foreign corporation” under Pennsylvania’s laws “shall constitute a sufficient basis of jurisdiction” for Pennsylvania courts “to exercise general personal jurisdiction”]). Interpreting their own statutes or common law, courts in other states have reached correspondingly diverse conclusions concerning whether registration and designation of an agent for service of process within the state constitutes consent to general jurisdiction

(n. cont’d)

Nevertheless, citing *Bagdon* and other authority, plaintiffs argue that registering to do business in New York and appointing an agent for service of process constitutes consent to general jurisdiction (see 217 NY 432; *Chufen Chen v Dunkin' Brands, Inc.*, 954 F3d 492, 498 [2d Cir 2020]), and that the assertion of general jurisdiction under such a theory is permissible (see *Neirbo Co. v Bethlehem Shipbuilding Corp.*, 308 US 165 [1939]; *Pennsylvania Fire Ins. Co. of Philadelphia v Gold Issue Mining & Milling Co.*, 243 US 93 [1917]). Plaintiffs' interpretation of *Bagdon* is incorrect. Rather, when viewed in the context of the controlling jurisprudence of the time, *Bagdon's* holding was far narrower than plaintiffs urge. Our holding in *Bagdon*, properly understood, was limited to the effect of service of process to which a foreign corporation consented; we did not determine that a foreign corporation consented to general jurisdiction by registering to do business and designating an agent for service of process.

In *Bagdon*, the plaintiff, a New York resident, was injured while working in Pennsylvania for the defendant, a Pennsylvania corporation (see 217 NY at 433). The parties agreed that the defendant would compensate the plaintiff for his injuries, and the plaintiff later commenced the action in New York asserting a breach of that contract. The defendant conceded that it was engaged in unrelated business in New York. It was also registered to do business here and had designated an in-state agent to accept service of process in accordance with the registration statutes in effect at that time (see *id.*; former General Corporation Law § 16).⁴ The plaintiff commenced the action by serving process on the defendant's designated New

(compare *Cooper Tire & Rubber Co. v McCall*, 312 Ga 422, 422, 863 SE2d 81, 83 [2021], with *Thomson v Anderson*, 113 Cal App 4th 258, 268, 6 Cal Rptr 3d 262, 268 [2003]).

4. The General Corporation Law provisions at issue were similar—though not identical—to those in effect today. In 1916, New York's registration statutes said that foreign corporations must procure a certificate to do business that could issue only after the corporation filed a statement with the Secretary of State designating a principal place of business in the state and “a person upon whom process against the corporation may be served within the state,” which person was required to have an office in the corporation's in-state principal place of business (former General Corporation Law § 16; see § 15). Although a foreign corporation was barred from maintaining any actions on its in-state contracts unless it had complied with these requirements (see *id.* § 15), at the time of our decision in *Bagdon*, we concluded that unlicensed business was “not illegal” (217 NY at 436). While that may have been true in 1916, it is not the case anymore. Indeed, contrary to the dissent's statement that an unregistered foreign corporation loses “only the abil-

(n. cont'd)

York agent. The defendant moved to dismiss, arguing that because the plaintiff's "cause of action owe[d] its origin to business transacted in Pennsylvania[,] . . . the service [was] invalid" as the designated agent's authority to accept service in New York "must be limited to actions which arise out of the business transacted in New York" (*Bagdon*, 217 NY at 433-434). The issue presented to this Court was thus limited to whether the effect of the service to which the defendant had consented extended to causes of action unrelated to its business transacted in New York.

Resolving that narrow issue, we held that the service had the effect of conferring jurisdiction over the defendant corporation for any subject matter jurisdiction properly exercised by New York courts. We first determined that the defendant's designation of an in-state agent for service of process, in compliance with the statute, was "a real consent" or "true contract" for the designated person to accept "process against the corporation" (*id.* at 436 [internal quotation marks omitted]). In other words, the designation amounted to consent to in-state service. We did not conclude, however, as the dissent would have it, that the corporation's registration and designation of an agent, by itself, constituted consent to general jurisdiction (*see* dissenting op at 300). If we had, our analysis would have ended with our determination that the defendant's statutory consent to accept service through its designated agent was effective. We continued our analysis, however, separately "ascertain[ing] the meaning and defin[ing] the effect of" the service made in accordance with the defendant's consent to accept service under the statute (*Bagdon*, 217 NY at 436).

We examined this effect-of-service question through the lens of the then-applicable jurisdiction principles and in light of the fact that the defendant's presence in New York was not in dispute. Indeed, the defendant conceded that it was doing business in New York, had registered to do business here, and had consented to service under the then-governing General Corporation Law by designating an in-state agent to accept service (*see id.* at 433). We ultimately held that the effect of the in-state service on the defendant's designated agent was to provide New York courts with what we would now term "gen-

ity to bring suit" in New York courts (dissenting op at 313), today, the Attorney General has power to commence litigation to restrain a foreign corporation from doing unauthorized business in this state (*see* Business Corporation Law §§ 1301, 1303).

eral jurisdiction” or, as Judge Cardozo described it in the parlance of the time, the defendant was “subject to the rule that transitory causes of action are enforceable wherever the defendant may be found” (*id.* at 439). That is, the Court determined that jurisdiction existed not because the corporation “consented” to it, but because then-existing Supreme Court precedent established, consistent with *Pennoyer v Neff*’s territorial approach, that in-state service on a foreign corporation present in the state afforded general jurisdiction (*see* 95 US 714, 720 [1878]; *see also* *St. Louis Southwestern R. Co. of Tex. v Alexander*, 227 US 218, 226 [1913]; *St. Clair v Cox*, 106 US 350, 359-360 [1882]).

Bagdon has been interpreted by others as holding, under the common law, that foreign corporations that have abided by the aforementioned registration and designation statutes have thereby contractually consented not only to service of process on a designated agent, but to general jurisdiction in New York. However, any such interpretation is a misreading of our decision that fails to appreciate the narrow scope of the issue presented in that case and, more critically, its historical context. We determined in *Bagdon* that a foreign corporation’s registration to do business and appointment of a local agent for service of process constituted consent to accept service of process in New York in connection with any matter, and the effect of that service there, where the defendant’s presence in New York was not disputed, was to afford our courts jurisdiction even over claims that did not arise from the corporation’s New York business.

A year after *Bagdon* was decided, we again addressed whether personal jurisdiction existed over a foreign corporation in *Tauza v Susquehanna Coal Co.* (220 NY 259 [1917]). In *Tauza*, the foreign corporation was not registered to do business in New York and had not designated an in-state agent for service of process. The case therefore turned on the propriety of the plaintiff’s in-state service on the foreign corporation’s managing sales agent (*see* former Code Civ Pro § 432 [3]). After reviewing the extent of the defendant corporation’s business activities in New York, we concluded that it was present in New York because it was “engaged in business within this state” to “such a degree as to subject” it “to the jurisdiction of our courts” (*Tauza*, 220 NY at 266, 268). Because the defendant foreign corporation was “here,” we explained that “it may be served” with process (*id.* at 269). Citing *Bagdon*, we

determined that service upon the agent had the effect of conferring New York courts with general jurisdiction over the defendant corporation. The “essential thing” in both *Bagdon* and *Tauza* was that the corporation was present in this state because “[w]hen once it is here, it may be served; and the validity of the service is independent of the origin of the cause of action” (*id.* at 268-269). We therefore reached the same ultimate conclusion in *Tauza* as we had in *Bagdon*—in-state service on a foreign corporation present in New York had the effect of conferring general jurisdiction over that corporation in accord with then-governing federal law.⁵

Neither case “established ‘general’ personal jurisdiction through consent by registration” (dissenting op at 301-302). We never held in *Bagdon* that designation of an agent constituted consent to general jurisdiction. Moreover, the analysis a court would undertake to determine the *effect* of service in New York on a designated agent would be different today than it was at the time of our decision in *Bagdon*.

In that regard, it has consistently been understood that “[t]he Due Process Clause of the Fourteenth Amendment sets the outer boundaries of a state tribunal’s authority to proceed against a defendant” (*Goodyear*, 564 US at 923). “Due process requires that the defendant be given adequate notice of the suit and be subject to the personal jurisdiction of the court” (*World-Wide Volkswagen Corp. v Woodson*, 444 US 286, 291 [1980] [citation omitted]). Consistent with this principle, we have explained that the “constitutional predicates of personal jurisdiction” contain two components (*Keane v Kamin*, 94 NY2d 263, 265 [1999]). The first “component involves service of process, which implicates due process requirements of notice and opportunity to be heard” (*id.*). “The other component of personal jurisdiction involves the power, or reach, of a court over a party,

5. *Tauza* exemplifies the inaccuracy of the dissent’s conclusions that, at the time of *Bagdon*, “presence in New York was legally irrelevant” and “without consent, the fact that a foreign corporation did business in New York would not have allowed for jurisdiction over it for causes of action that did not arise from its operations in New York” (dissenting op at 302, 303-304). Of course, at that time, a foreign corporation could “subject[] itself to . . . jurisdiction” in New York, absent consent, by “doing business within our borders” when service was made upon an appropriate corporate officer or agent (*Gaboury v Central Vt. Ry. Co.*, 250 NY 233, 236 [1929]). And as *Tauza* held, citing *Bagdon*, when “the defendant corporation is engaged in business within this state . . . the jurisdiction does not fail because the cause of action sued upon has no relation in its origin to the business here transacted” (*Tauza*, 220 NY at 268).

so as to enforce judicial decrees” (*id.*; see *Flick v Stewart-Warner Corp.*, 76 NY2d 50, 57 [1990]).

Supreme Court jurisprudence defining the contours of the personal jurisdiction analysis has evolved significantly over time. Shortly after the Fourteenth Amendment was ratified, the Supreme Court determined in *Pennoyer* that “[t]he authority of every tribunal is necessarily restricted by the territorial limits of the [s]tate in which it is established” (95 US at 720). In other words, under *Pennoyer* a defendant had to be present within the court’s territorial jurisdiction before the court could assert personal jurisdiction over that defendant (see *International Shoe Co. v Washington*, 326 US 310, 316 [1945]). *Pennoyer*’s territorial approach governed when we decided *Bagdon*.

Decades later, the Supreme Court decided *International Shoe*, a “transformative decision on personal jurisdiction” (*BNSF R. Co. v Tyrrell*, 581 US —, —, 137 S Ct 1549, 1557 [2017]) and a “momentous departure from *Pennoyer*’s rigidly territorial focus” (*Daimler*, 571 US at 128; see *World-Wide Volkswagen Corp.*, 444 US at 293). There, the Court expanded the states’ permissible exercise of jurisdiction by holding that they could exercise personal jurisdiction over an out-of-state defendant, in accord with the Due Process Clause, if the defendant has “certain minimum contacts with [the state] such that the maintenance of the suit does not offend traditional notions of fair play and substantial justice” (*International Shoe*, 326 US at 316 [internal quotation marks and citation omitted]). “Following *International Shoe*, ‘the relationship among the defendant, the forum, and the litigation, rather than the mutually exclusive sovereignty of the [s]tates on which the rules of *Pennoyer* rest, became the central concern of the inquiry into personal jurisdiction’ ” (*Daimler*, 571 US at 126, quoting *Shaffer v Heitner*, 433 US 186, 204 [1977]; see *Keane*, 94 NY2d at 265 [“To satisfy the jurisdictional basis there must be a constitutionally adequate connection between the defendant, the (s)tate(,) and the action”]).

International Shoe crystallized the two categories of personal jurisdiction that we now recognize, “general or all-purpose jurisdiction . . . and specific or case-linked jurisdiction” (*Good-year*, 564 US at 919). The former permits a court to exercise jurisdiction over a defendant in connection with a suit arising from events occurring anywhere in the world, whereas the latter permits a court to exercise jurisdiction only where the suit arises out of or relates to the defendant’s contacts with the

forum state (see *Bristol-Myers Squibb Co. v Superior Court of Cal., San Francisco Cty.*, 582 US —, —, 137 S Ct 1773, 1780 [2017]). “Since *International Shoe*, ‘specific jurisdiction has become the centerpiece of modern jurisdiction theory, while general jurisdiction [has played] a reduced role’” inasmuch as the Supreme Court has “declined to stretch general jurisdiction beyond limits traditionally recognized” (*Daimler*, 571 US at 128, 132, quoting *Goodyear*, 564 US at 925). Thus, while specific jurisdiction has rapidly expanded (see *id.* at 128; see also *Ford Motor Co. v Montana Eighth Judicial Dist. Court*, 592 US —, —, 141 S Ct 1017, 1024-1025 [2021]), the Supreme Court has limited general jurisdiction’s reach to a narrow class of defendants.

Today, “the exercise of general jurisdiction in every [s]tate in which a corporation engages in a substantial, continuous, and systematic course of business” would be “unacceptably grasping” (*Daimler*, 571 US at 138 [internal quotation marks and citation omitted]; see *Goodyear*, 564 US at 927). Following *Goodyear* and *Daimler*, “[a] court may assert general jurisdiction over foreign (sister-state or foreign-country) corporations to hear any and all claims against them when their affiliations with the [s]tate are so ‘continuous and systematic’ as to render them essentially at home in the forum [s]tate” (*Goodyear*, 564 US at 919; see *Daimler*, 571 US at 122).⁶ “With respect to a corporation, the place of incorporation and principal place of business are paradigm . . . bases for general jurisdiction” because these are places where a corporation “is fairly regarded as at home” (*Daimler*, 571 US at 137 [internal quotation marks, brackets, and citations omitted]). The Court left the door open to “the possibility that . . . a corporation’s operations in a forum other than its formal place of incorporation or principal place of business may be so substantial and of such a nature as to render the corporation at home in that [s]tate,” but characterized such scenario as an “exceptional case” (*id.* at 139 n 19).

6. New York’s statute governing general jurisdiction is CPLR 301, which states that “[a] court may exercise such jurisdiction over persons, property, or status as might have been exercised heretofore.” Prior to *Goodyear* and *Daimler*, this Court held that “[a] foreign corporation is amenable to suit in New York courts under CPLR 301 if it has engaged in such a continuous and systematic course of doing business here that a finding of its presence in this jurisdiction is warranted” (*Landoil Resources Corp. v Alexander & Alexander Servs.*, 77 NY2d 28, 33 [1990] [internal quotation marks and citation omitted]; see also *McGowan v Smith*, 52 NY2d 268, 272-273 [1981]).

III.

As explained, *Bagdon* was decided in 1916 at the time of *Pennoyer*'s territorial approach, long before *International Shoe* and the Supreme Court's subsequent cases on personal jurisdiction.⁷ Thus, despite the trajectory of Supreme Court precedent since *Bagdon*, the decision may still be read to support the Business Corporation Law's general design, requiring a foreign corporation to consent to service of process in New York (see also CPLR 311 [a] [1]). But, as our discussion of the evolution of Supreme Court case law demonstrates, the analysis necessary to determine the *effect* of that service under current precedent is not the same as it was when Judge Cardozo considered the issue. In *Bagdon*, the defendant's consent to service of process had the effect of conferring general jurisdiction because, at that time, in-state service of process on a designated agent of a foreign corporation that was doing business in New York was itself sufficient to permit the exercise of general jurisdiction over the defendant. Thus, there was no need to rely on a consent to jurisdiction rationale in *Bagdon*, and our decision did not include any such analysis. We have never conflated statutory consent to service with consent to general jurisdiction,⁸ and the fact remains that, under existing New York law, a foreign corporation does not consent to general jurisdiction in this state merely by complying with the Business Corporation Law's registration provisions.

7. Notably, we have not cited *Bagdon* since *International Shoe* was decided in 1945. We last cited *Bagdon* in 1944 for the proposition that the "designation of a public officer upon whom *service* may be made has the same effect as a voluntary consent" (*Pohlers v Exeter Mfg. Co.*, 293 NY 274, 280 [1944] [emphasis added]). We continued to speak of "a consent to accept service of process," not a consent to general jurisdiction in our courts (*id.*).

8. We have adhered to our statutory analysis in the general jurisdiction context, while specifically referencing the relevant Business Corporation Law provisions governing registration and appointment of a local agent. For example, we have explained that "service of process on a foreign corporation authorized to do business in the [s]tate is simple" because "[t]here are no theoretical uncertainties concerning the basis for jurisdiction since the foreign corporation is concededly doing business in the [s]tate and, indeed, has applied for authority for the express purpose of doing so" (*Flick*, 76 NY2d at 57 [emphasis omitted], citing Business Corporation Law § 1304 [a]). We separately stated that "there can be no question that service on . . . the foreign corporation's designated agent is the equivalent of actual service on the foreign corporation" (*id.*, citing Business Corporation Law § 1304 [a] [6]). Again, we did not suggest that consent to service of process constituted a consent to general jurisdiction.

Inasmuch as our conclusion rests solely on New York law grounds, we have no occasion to address whether consent-by-registration, if it existed in New York, would comport with federal due process under *Daimler*.⁹ We therefore express no opinion on the federal due process issue presented by the parties. Instead, as we reject the only basis for jurisdiction preserved below and presented here, namely plaintiffs' theory that Ford and Goodyear consented to general jurisdiction under New York law, we conclude that the motions to dismiss were properly granted.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

WILSON, J. (dissenting). Jose Aybar, Jr., a resident of New York, owned a Ford Explorer equipped with Goodyear tires in New York, which was registered to him with the New York Department of Motor Vehicles. He purchased it in New York. On July 1, 2012, he was driving the Explorer, with members of his family as passengers, on a return trip from a vacation in Florida back to New York. All passengers were New York residents. On I-85 in Brunswick County, Virginia, the car crashed and rolled over multiple times. Three passengers, including an eight-year-old girl, died; three others, including a 14-year-old girl, were seriously injured. The six passengers, or their estates, filed this suit in New York against Ford Motor Company, The Goodyear Tire & Rubber Co. and others. The complaint alleged that the accident was caused by Ford and Goodyear's negligence. It is undisputed that both Ford and Goodyear: (a) have registered to do business in New York; (b) conduct a substantial amount of business in New York; and (c) are not incorporated in New York.

Where can the plaintiffs sue Ford and Goodyear? The following points are undisputed. Ford could have been sued in Delaware and Goodyear in Ohio because, under the doctrine of general jurisdiction, those states are their homes, where they can be sued for anything at all. Ford and Goodyear could both have been sued in Virginia, because the doctrine of specific jurisdiction allows them to be sued where the accident occurred.

9. Although the parties cite to proposed legislation that would amend the business registration statutes to expressly state that a foreign corporation consents to general jurisdiction in New York when it registers to do business here, no such language currently exists in the Business Corporation Law. We have no occasion to address the effect of such legislation were it to become law.

Finally, even when neither general nor specific jurisdiction otherwise exists, a defendant may be sued wherever it has consented to be sued.

The majority concludes that Ford and Goodyear did not consent to our courts' general jurisdiction by registering to do business here. The majority rests its conclusion on three propositions, none of which supports it.

First, it conducts a de novo statutory interpretation of the Business Corporation Law. The plain text of the statute, the majority observes, does not "condition the right to do business on consent to the general jurisdiction of New York courts," and any other reading "would improperly amend the statute by adding words that are not there" (majority op at 283 [internal quotation marks and brackets omitted]). Although the majority professes to effectuate the legislature's intent, it eviscerates it. Our Court has repeatedly and consistently interpreted the substantively unchanged provision of the Business Corporation Law beginning 150 years ago, well before *Bagdon v Philadelphia & Reading Coal & Iron Co.* (217 NY 432 [1916]). The immense irony here is that the majority admits, as it must, that the purpose of the statute was to subject foreign corporations to jurisdiction in New York. Yes, the mechanism to do so at that time was through the designation of an agent for service of process, but the unquestioned legislative objective was to grant New York courts jurisdiction over foreign corporations. The majority has confused the means for the end: the history of the statute, as shown through our contemporaneous jurisprudence, shows that the legislature's intent could not be clearer: it achieved the goal of jurisdiction through the means of consent to service.

Second, it explains United States Supreme Court jurisprudence on general and specific jurisdiction, despite noting that neither doctrine is relevant to this case (majority op at 282). The question is whether Ford and Goodyear have consented to New York's exercise of personal jurisdiction over them by registering to do business in New York. The majority's position is obfuscated by its traipse through United States Supreme Court cases concerning personal jurisdiction, but it can be stated quite simply: because the evolution of general and specific jurisdiction has rendered jurisdiction by registration-based consent less essential, it is now unavailable. But just as the invention of air travel has not altered the ability to travel by car, the evolution of general and specific jurisdiction announced

by *International Shoe Co. v Washington* (326 US 310 [1945]) has not altered the ability to obtain jurisdiction by consent. Indeed, the majority's determination that consent-based jurisdiction is no longer necessary is precisely the sort of policy-based statutory revision we have long decried.

Finally, the majority reinterprets *Bagdon*. But its novel reinterpretation of *Bagdon* and the registration statute it construed is incorrect, flying in the face of a century of jurisprudence firmly notifying businesses that registration to do business in our state subjects them to personal jurisdiction here.

The majority does not dispute that a defendant may consent to personal jurisdiction where it otherwise would not exist. The majority also does not dispute that actions, such as registering to do business in a state, could constitute consent to personal jurisdiction if that consequence were established by law. The sole question in this appeal, then, is whether New York law establishes that corporate registration equals consent to personal jurisdiction. It has, for a century and a half.

I.

As the majority observes, the Business Corporation Law, though requiring out-of-state corporations to designate an agent for service when registering to do business in New York, does not say that in doing so, the corporation is agreeing that New York has personal jurisdiction over it (majority op at 282-283). The absence of that language is not meaningful. As the majority recognizes through its discussion of *Bagdon*, judicial decisions have the same effect as statutes: each sets out what the law is (*Robert Mitchell Furniture Co. v Selden Breck Constr. Co.*, 257 US 213, 216 [1921]). More to the point here, *Bagdon* and several of our predecessor cases have construed the relevant statute as conferring personal jurisdiction on corporations because they registered in New York. Statutory interpretation and construction are the province of the courts (*see id.*; *see also People v Knickerbocker Ice Co.*, 99 NY 181, 184 [1885] ["No doubt it is the province of the court to declare what the law is"]).

The majority's decision to interpret the Business Corporation Law anew is confounding. When engaging in statutory interpretation, determining "[l]egislative intent is of course paramount" (*Alweis v Evans*, 69 NY2d 199, 205 [1987]). As the majority concedes, the unequivocal legislative intent behind

the former General Corporation Law was to provide jurisdiction, and *Bagdon* construed the statute precisely as intended (majority op at 285-286). The statutory language has not changed, and recent Supreme Court case law is irrelevant as to our legislature's intent. The majority makes no claim that any Supreme Court law has rendered consent-by-registration unconstitutional; the Supreme Court has several times upheld its constitutionality and, more recently, made sure to disclaim the effects of its decisions on consent-based jurisdiction.

We have interpreted the Business Corporation Law at its inception, when it was amended, and several times thereafter. Our consistent interpretation dates back to the nineteenth century. “[O]nce the courts have interpreted a statute any change in the rule will be left to the Legislature, particularly where the courts’ interpretation is a long standing one” (*Matter of Eckart*, 39 NY2d 493, 499-500 [1976]). “The construction of a statute accepted for over a century without serious challenge should not be changed by the court without compelling reason” (*Matter of Schinasi*, 277 NY 252, 265-266 [1938]). The only hint at any explanation for discarding the settled interpretation is that the majority now deems it less necessary than when it was when enacted. That choice is for the legislature, not us.

II.

Although the majority relies on *International Shoe*, *Daimler AG v Bauman* (571 US 117 [2014]) and *Goodyear Dunlop Tires Operations, S. A. v Brown* (564 US 915 [2011]), those cases do not support the majority's holding; indeed, the cases themselves tell us so. Jurisdiction may be established in three ways: specific jurisdiction (where the claim arose); general jurisdiction (where the defendant is at home); or consent. The majority recognizes that *International Shoe* substantially expanded the places where personal jurisdiction over defendants could be asserted, mainly by differentiating between specific and general jurisdiction and allowing specific jurisdiction to empower courts located where the claim arose, regardless of the extent of the defendant's presence. The majority points to *Daimler* and *Goodyear* as contracting general jurisdiction and emphasizing specific jurisdiction as the principal means by which personal jurisdiction over foreign defendants (whether corporate or natural) has been expanded. True though that may be, it has nothing to do with jurisdiction by consent.

At most, the majority demonstrates that the expansion of specific jurisdiction has in many cases provided an alternative way to address the problem of reaching foreign defendants that have caused injury in a state other than their home. The expanded availability of specific jurisdiction may make resort to consent-based jurisdiction less necessary, but it does not impugn its vitality in the least.

Indeed, the Supreme Court has been careful, in the very decisions relied on by the majority, to wall off consent-based jurisdiction theories from its developments around specific and general jurisdiction. In *International Shoe*, the Court tacitly affirmed the validity of consent-based jurisdiction by registration by noting that “[p]resence in the state in this sense has never been doubted when the activities of the corporation there have not only been continuous and systematic, but also give rise to the liabilities sued on, *even though no consent to be sued or authorization to an agent to accept service of process has been given*” (326 US at 317 [emphasis added]). In *Daimler*, the Court noted that its holding on general jurisdiction applied only when a corporate defendant “has not consented to suit in the forum” (571 US at 129, quoting *Goodyear*, 564 US at 927-928). Likewise, in *BNSF R. Co. v Tyrrell* the Court held that neither general nor specific jurisdiction in that case existed “absent consent”—thus clearly separating its holding from any claim of jurisdiction based on consent (581 US —, —, 137 S Ct 1549, 1556 [2017]). In short, whatever the Supreme Court has done with regard to general and specific jurisdiction, it has been careful not to disturb settled law establishing that a State may demand consent to jurisdiction as a condition of doing business.

III.

For more than a century, courts and commentators have widely understood that by registering to do business in New York, a corporation consents to personal jurisdiction in our courts. The majority asserts that *Bagdon* did not create a common-law consent to general jurisdiction (majority op at 286) but rather is merely a case about service. *Bagdon* is not a case about service, nor is it a common-law rule. It is our interpretation of a statute. It is not even our first interpretation of that statute. Until now, all our interpretations of that statute have been consistent: the legislative purpose in requiring foreign businesses to register was to obtain jurisdiction

over them in our courts. *Bagdon* is a case about consent—specifically, consent through business registration as a valid basis for general jurisdiction in the courts of New York. By glossing over the history of the law of corporations and personal jurisdiction in the decades before *Bagdon*, the majority has constructed an otherworldly view of our jurisprudence.

A.

We must start not with *Bagdon*, not with *Pennoyer v Neff* (95 US 714 [1878]), but instead with *M'Queen v Middletown Mfg. Co.* (16 Johns 5 [NY Sup Ct 1819]). At that time, a corporation was deemed to exist only in its state of incorporation and could be subject to judicial process in that state only, by service on its chief officer (*id.* at 6-7; see generally Edward Quinton Keasbey, *Jurisdiction over Foreign Corporations*, 12 Harv L Rev 1 [1898]). As explained by the United States Supreme Court:

“The principle that a corporation must dwell in the place of its creation, and cannot, as said by Mr. Chief Justice Taney, migrate to another sovereignty, coupled with the doctrine that an officer of the corporation does not carry his functions with him when he leaves his State, prevented the maintenance of personal actions against it. There was no mode of compelling its appearance in the foreign jurisdiction. Legal proceedings there against it were, therefore, necessarily confined to the disposition of such property belonging to it as could be there found; and to authorize them legislation was necessary” (*St. Clair v Cox*, 106 US 350, 354 [1882]).

Thus, the challenge was not one of service—the burden of locating a corporate defendant and physically delivering papers. The issue was personal jurisdiction over the corporation.

The Court next described the pressing need to obtain personal jurisdiction over foreign corporations in America’s burgeoning economy:

“This doctrine of the exemption of a corporation from suit in a State other than that of its creation was the cause of much inconvenience, and often of manifest injustice. The great increase in the number of corporations of late years, and the immense extent of their business, only made this in-

convenience and injustice more frequent and marked. Corporations now enter into all the industries of the country. The business of banking, mining, manufacturing, transportation, and insurance is almost entirely carried on by them, and a large portion of the wealth of the country is in their hands. Incorporated under the laws of one State, they carry on the most extensive operations in other States. To meet and obviate this inconvenience and injustice, the legislatures of several States interposed, and provided for service of process on officers and agents of foreign corporations doing business therein. Whilst the theoretical and legal view, that the domicile of a corporation is only in the State where it is created, was admitted, it was perceived that when a foreign corporation sent its officers and agents into other States and opened offices, and carried on its business there, it was, in effect, as much represented by them there as in the State of its creation. As it was protected by the laws of those States, allowed to carry on its business within their borders, and to sue in their courts, it seemed only right that it *should be held responsible in those courts* to obligations and liabilities there incurred” (*id.* at 355 [emphasis added]; *see also* William Laurens Walker, *Foreign Corporation Laws: The Loss of Reason*, 47 NC L Rev 1, 12 [1968]).

Against that background, to obtain *jurisdiction, not merely service*, over foreign corporations, our legislature first required foreign insurance companies to designate an agent for service of process filed with the Secretary of State (L 1853, ch 463, §§ 14-15; ch 466, § 23) and shortly thereafter expanded that requirement to all foreign corporations (L 1855, ch 279, § 1). The validity of this means of obtaining *jurisdiction* over foreign corporations was repeatedly and conclusively reaffirmed well before *Bagdon*. In *Gibbs v Queen Ins. Co.* (63 NY 114 [1875]), we considered the effect of the aforementioned statutes in connection with two questions:

“1. Has the legislature provided a mode in which a citizen of this State . . . may bring an action against [a foreign] company in some of the courts of record of this State? . . . and in what manner shall service of it be made. 2. Does the method provided,

and the process and mode of service of it prescribed, give some of the courts of record of this State *such jurisdiction of the matter and of the defendant*, as that they can render a personal judgment which will be valid in this State, and enforceable against any property of the defendant found within it?" (*id.* at 116 [emphasis added]).

We answered both in the affirmative, holding that

"the legislature of the State has enacted that the defendant, as a prerequisite to doing business in this State, shall designate an attorney or an agent therein upon whom process in any suit to be commenced against it may be served, and [the defendant] has designated a person as such agent, and that service of process against the defendant has been made upon [the agent.] Is not the enactment of the statute by the legislature, a proffer to the defendant of the power to do business in this State, if it will subject itself to the *jurisdiction of our courts*, and is not the acceptance of that proffer by the defendant a submission to that jurisdiction?" (*id.* at 128 [emphasis added]).

The widely-accepted view was that a "corporation of one State cannot do business in another State without the latter's consent, express or implied, and that consent may be accompanied with such conditions as it may think proper to impose" (*St. Clair*, 106 US at 356; *see also Lafayette Ins. Co. v French*, 18 How [59 US] 404, 407 [1856] ["A corporation created by Indiana can transact business in Ohio only with the consent, express or implied, of the latter State. This consent may be accompanied by such conditions as Ohio may think fit to impose . . . It cannot be deemed unreasonable that the State of Ohio should endeavor to secure to its citizens a remedy, in their domestic forum . . . nor that proper means should be used to compel foreign corporations, transacting this business of insurance within the State, for their benefit and profit, to answer there for the breach of their contracts of insurance there made and to be performed" (citation omitted)]; *Ex parte Schollenberger*, 96 US 369, 376 [1878] ["(T)here cannot be any doubt, as it seems to us, of the jurisdiction of the Circuit Court over these defendant companies. They have in express terms, in consideration of a grant of the privilege of doing business within the State, agreed that they may be sued there; that is

to say, that they may be found there for the purposes of the service of process issued ‘by any court of the Commonwealth having jurisdiction of the subject-matter.’ This was a condition imposed by the State upon the privilege granted, and it was not unreasonable”]; *Douglass v Phenix Ins. Co. of Brooklyn, N. Y.*, 138 NY 209, 220 [1893] [(T)he effect of the act of a foreign corporation constituting an agent in another state, upon whom proceedings may be served, done in compliance with the laws of such state in pursuance of a condition imposed, and to enable the corporation to do business in such state . . . (is) that by such act the corporation . . . becomes bound by judgments rendered upon service on the designated agent, because it has consented so to be bound”).

Responding to our holding in *Demarest v Flack* (128 NY 205, 217 [1891]), which gave effect to a corporation incorporated in West Virginia by New York residents designed to shield themselves from liability for injuries caused by their carnival properties in New York, the legislature took up our hint that “[t]he supervision of a foreign corporation by this state may easily be exercised by imposing terms as a condition of permitting it to do business here.” It amended the General Corporation Law to add sections 15 and 16 (L 1892, ch 687), which provided that foreign corporations could not do business in New York without obtaining a certificate from the Secretary of State, which required the corporation to designate an officer or agent for service of process. The statute further provided that the failure to do so prevented the foreign corporation from accessing our courts for redress (*id.*). From the above history, it is plain that the imposition of a requirement of an agent for service of process was implemented to ensure that New York courts would have *jurisdiction* over foreign corporations. The issue was not one of service per se; service was the means by which jurisdiction could be established.

The General Corporation Law, including the amendments of 1892, was amended in immaterial ways several times (*see* Frank White, *White on New York Corporations* 762 [Matthew Bender, 4th ed 1929]). The revision of 1923 required designation of the Secretary of State, rather than a corporate officer, as the agent for service of process. When the General Corporation Law was merged into the newly created Business Corporations Law, the provisions described above were incorporated with no substantive changes (*see* Seventh Interim Rep of Joint Legis Comm to Study Rev of Corporation Laws, 1963 NY Legis

Doc No. 29 at 170-171). Thus, the legislative intent to render foreign corporations subject to jurisdiction in our courts by virtue of registering to do business here is unquestionable. Though the word the legislature used to effectuate that intent was “service,” under the controlling law consent to “service” meant consent to jurisdiction. The majority’s analytical method is analogous to interpreting “Deck the Halls” to celebrate dressing for Pride Month. Neither defendants, the Appellate Division nor the majority can point to any change of heart by our legislature in the 168 years since it first directed that foreign insurance companies registering to do business here were subjecting themselves to jurisdiction in our courts.

B.

That history lays bare the majority’s reinterpretation of *Bagdon*. In *Bagdon*, a New Yorker sued the Philadelphia & Reading Coal & Iron Company (PRCI), a Pennsylvania corporation, alleging the breach of a contract arising from Mr. Bagdon’s work for PRCI in Pennsylvania (*Bagdon*, 217 NY at 433). PRCI had registered to do business in New York under section 16 of the General Corporation Law, giving it the right to sue in New York in exchange for subjecting itself to suit here. As required, PRCI had designated an agent to receive service in New York (*id.*). But when Mr. Bagdon served the designated agent, PRCI argued that it could not be haled into court in New York because “the plaintiff’s cause of action ha[d] no relation to business transacted in New York” but rather “owe[d] its origin to business transacted in Pennsylvania” (*id.* at 433-434). That is, PRCI did not argue that its registration did not constitute consent to jurisdiction; it argued that its consent to jurisdiction was limited to injuries arising from its operations in New York. Our Court rejected that argument because PRCI had consented to jurisdiction in our courts by registering to do business here.

Writing for a unanimous court, Judge Cardozo held that jurisdiction over PRCI was proper in New York—even though the “cause of action has no relation to business transacted in New York”—because the corporation had registered to do business here (*id.* at 434, 438-439). As had been settled by that point for at least 75 years, the act of designating an agent to receive service, a required part of the business registration process, was an act of “real consent” to litigation in New York such that jurisdiction here was proper and consistent with the Due Process Clause of the United States Constitution (*id.* at 437-438).

Contrary to the majority's assertion (majority op at 284, 286), consent is the analytical lynchpin of *Bagdon*. First, we noted that New York's business registration statute required corporations to designate an agent to receive service in New York:

"The state of New York has said that a foreign stock corporation . . . shall not do business here until it has obtained a certificate from the secretary of state. . . . To obtain such a certificate, however, there are conditions that must be fulfilled. One of them is a stipulation, to be filed in the office of the secretary of state, 'designating a person upon whom process may be served within this state' " (*id.* at 436, quoting General Corporation Law § 16).

The penalty for failing to comply with New York's business registration requirement, we observed, was that the foreign corporation "may not maintain any action in our courts 'upon any contract made by it in this state, unless before the making of the contract it has procured such certificate' " (*id.*, quoting General Corporation Law § 15). We then emphasized the crucial point—that such a penalty was not so burdensome as to undermine consent:

"The business, though unlicensed, is not illegal; the contract is not void; it may be enforced in other jurisdictions; all that is lost is the right to sue in the courts of the state The stipulation is, therefore, a true contract. The person designated is a true agent. The consent that he shall represent the corporation is a real consent" (*id.*).

Because the corporation's consent to receive service in New York was "real," we held that jurisdiction in New York over the defendant was proper even though the subject of the lawsuit was not related to the defendant's business in New York.

Indeed, one year later, we explicitly reaffirmed that portion of *Bagdon*'s holding. Judge Cardozo, again writing for a unanimous Court, announced in *Tauza v Susquehanna Coal Co.*:

"We hold . . . that the jurisdiction does not fail because the cause of action sued upon has no relation in its origin to the business here transacted. That in principle was our ruling in *Bagdon v. Phila. & Reading C. & I. Co.*" (220 NY 259, 268 [1917]).

In other words, as we talk about it today, *Bagdon* established "general" personal jurisdiction through consent by registra-

tion—jurisdiction no different from that over a New York corporation. *Tauza* declared *Bagdon* a holding on jurisdiction: do we today know better what Judge Cardozo said about his own opinion a year later?

Bagdon does employ the language of whether “service [wa]s invalid” in its analysis (*Bagdon*, 217 NY at 434 [emphasis added]). But understanding “service” in that context to mean only what we think of today as “service”—the delivery of papers on the appropriate person so that sufficient notice is provided to a party—can be done only by ignoring history, by taking our modern definition of “service” and superimposing it over the word’s historical meaning. When, over the course of many decades, our Court, the Supreme Court and the courts of many other states discussed imposing on foreign corporations a requirement to designate an agent for “service,” they understood that doing so would subject the corporation to jurisdiction by consent. Corporations understood that too; PRCI’s argument—rejected by our Court—was that its consent to jurisdiction was limited to injuries arising from its operations in New York, not that it hadn’t consented to jurisdiction at all. *Bagdon* did not establish a rule that registration (and with it appointment of an agent for service of process) constituted consent to jurisdiction—that rule was long established by our prior precedents and approved by the Supreme Court. *Bagdon* extended the consent to causes of action unrelated to a defendant’s activities in New York.

The majority rests its misinterpretation of *Bagdon* on the proposition that PRCI’s “presence in New York was not in dispute” and that it had “conceded that it was doing business in New York” (majority op at 285). Thus, the majority explains, our Court in *Bagdon* found jurisdiction not because PRCI had consented to it by registering to do business here, but because PRCI had conceded it was present here and then accepted service of process here. The problem with the majority’s confection is that actual presence in New York was legally irrelevant at the time because consent-by-registration statutes had rendered them so. Nearly 40 years before *Bagdon*, the United States Supreme Court explained:

“It is unnecessary to inquire whether these several companies were inhabitants of the district. . . . [T]hat question, we think, was settled in *Railroad Company v. Harris*, [12 Wall (79 US) 65 (1871)]. . . . The Baltimore and Ohio Railroad Company, a

Maryland corporation, was authorized by Congress to construct and extend its railroad into the District of Columbia. Harris, having been injured while travelling as a passenger upon the railroad outside of the District, sued the company in the Supreme Court of the District, and caused the writ to be served upon the president of the company within the District. The company objected to the jurisdiction of the court, and insisted that it was neither an inhabitant of nor found within the District. In ruling upon this objection, we held that, although the company was a foreign corporation, it was suable in the District, because it had in effect consented to be sued there, in consideration of its being permitted by Congress to exercise therein its corporate powers and privileges” (*Schollenberger*, 96 US at 375-376).

Thus, given the historical legal import of registering to do business and appointing an agent to receive service, *Bagdon*’s holding is in no way dependent on PRCI’s physical presence in New York. Indeed, the majority does not dispute that even today, a corporation with no presence in New York could consent to personal jurisdiction here (majority op at 282 n 1). But this is not that case: like PRCI, Ford and Goodyear admit they are doing business in New York too; Ford and Goodyear concededly have substantial business operations and have deliberately “serve[d] a market for a product in a State” (*Ford Motor Co. v Montana Eighth Judicial Dist. Court*, 592 US —, —, 141 S Ct 1017, 1022 [2021]).

In short, a proper reading of *Bagdon* shows that we were not examining whether papers had been delivered in a manner that gave constitutionally sufficient notice of suit (majority op at 285-286). Rather, in *Bagdon*, we were analyzing whether it was fundamentally fair for a New York court to exercise jurisdiction over a Pennsylvania corporation that had allegedly breached a contract arising from work done in Pennsylvania for that corporation by a New York resident. We emphatically said “yes,” because PRCI had *consented to jurisdiction* in our courts by registering to do business in New York.

When one understands the history of corporate structure and liability predating *Bagdon*, the majority’s attempt to brush it aside as a case about the “effect” of service falls apart. Before *Bagdon*, without consent, the fact that a foreign corporation

did business in New York would not have allowed for jurisdiction over it for causes of action that did not arise from its operations in New York.* Mr. Bagdon could not have argued that New York had jurisdiction over PRCI if PRCI had not consented via registration; PRCI could not have argued that service—the delivery of papers providing sufficient notice—was improper

* The majority badly misconstrues *Gaboury v Central Vt. Ry. Co.* (250 NY 233 [1929]) (majority op at 287 n 5). First, *Gaboury* came to us on a certified question restricted to the identity of the party that had been served: “Was valid service of process in this action made upon the defendant?” (250 NY at 234). Our answer was that, because the railroad corporation was under a receivership ordered by the federal court, service on a corporate officer was ineffective: “an order had been made whereby [the corporate officer] was forbidden to interfere with the receivers who had supplanted him” (*id.* at 237). *Gaboury*, therefore, has no holding related to the sufficiency of doing business in New York as a basis for the assertion of jurisdiction.

Second, as is clear from the Appellate Division decision we reversed, the defendant railroad was deemed to be doing business in the state because a federal statute provided a basis for jurisdiction:

“[T]his action was then brought in Schenectady county, this State, under the Federal Employers’ Liability Act [FELA]. The action could be brought in this State, if defendant was doing business within the State. Defendant railroad is located, mostly, in Vermont, but extends into Clinton county, this State, where it operates engines and trains in yard service and in switching and making up trains and where it owns property and pays taxes” (*Gaboury v Central Vt. Ry. Co.*, 225 App Div 145, 146 [3d Dept 1928] [citation omitted]).

There is no reason to think that the doing-business test under FELA was the same as the doing-business test under New York state law at the time; because railroads are engaged in interstate commerce, the federal government has the power to authorize state court jurisdiction over federal claims even where state court jurisdiction might be lacking absent a federal statute.

Finally, even if the tests were the same, the majority has taken words from our decision in *Gaboury* out of context. We wrote:

“A foreign corporation, to be subject to the service of process in New York, must have so acted as to have subjected itself to the jurisdiction of the State. It does so act when at the time of service it is doing business within our borders *under the protection of our laws. Even then, there are nice distinctions as to the extent of its submission when the cause of action is unrelated to the business here transacted*” (*Gaboury*, 250 NY at 236 [emphasis added], citing *Bagdon* and *Tauza*).

The italicized words, omitted by the majority, disprove its interpretation. “[U]nder the protection of our laws” means that the corporation had registered to do business in New York—otherwise, the corporation could not sue in New York courts and enjoy the protection of our laws. In addition, as Chief Judge Cardozo was careful to point out, when the cause of action was unrelated to a defendant’s business in New York, “nice distinctions” sometimes prevented the assertion of jurisdiction.

once it registered. The dispute was purely one of jurisdiction: Mr. Bagdon argued that jurisdiction existed by virtue of consent even though the work he performed for PRCI took place in Pennsylvania; PRCI argued that its consent to jurisdiction via registration did not extend to a cause of action based on work done solely in Pennsylvania, even though it conducted unrelated business in New York.

C.

The majority's suggestion that *International Shoe*, in liberalizing specific jurisdiction, eliminated the need for jurisdiction through consent is both irrelevant and misleading (majority op at 288-289). It is irrelevant because, while the need for jurisdiction by consent has indeed been reduced, it has not been eliminated by the expansion of specific jurisdiction. For example, had this accident occurred in New York, before *International Shoe* the only way to assert jurisdiction over these defendants would have been by consent through registration. Today, if the accident had occurred in New York, specific jurisdiction over Ford and Goodyear would exist in New York. But reduced need for jurisdiction by consent and legal invalidity of jurisdiction by consent are two wholly different matters. If *Bagdon* were decided today, a court could find neither general nor specific jurisdiction in New York: the defendant was a Pennsylvania company; the contract was to be performed in Pennsylvania; and the fact that the company had business operations in New York would not have been sufficient to confer general jurisdiction on it. Thus, there are classes of cases like *Bagdon*—or this case—as to which jurisdiction by consent remains crucial. Why should these New York plaintiffs be able to sue both Goodyear and Ford in Virginia but not New York? What superior claim to “fair play and substantial justice” (*International Shoe*, 326 US at 316) lies in Virginia?

More troublingly, *International Shoe* simply does not say what the majority claims it says. The Supreme Court said:

“Finally, although the commission of some single or occasional acts of the corporate agent in a state sufficient to impose an obligation or liability on the corporation has not been thought to confer upon the state authority to enforce it, *Rosenberg Bros. & Co. v. Curtis Brown Co.*, 260 U. S. 516, other such acts, because of their nature and quality and the

circumstances of their commission, may be deemed sufficient to render the corporation liable to suit. Cf. *Kane v. New Jersey*, 242 U. S. 160; *Hess v. Pawloski*, *supra*; *Young v. Masci*, *supra*. True, some of the decisions holding the corporation amenable to suit have been supported by resort to the legal fiction that it has given its consent to service and suit, consent being implied from its presence in the state through the acts of its authorized agents. *Lafayette Insurance Co. v. French*, 18 How. 404, 407; *St. Clair v. Cox*, *supra*, 356; *Commercial Mutual Co. v. Davis*, *supra*, 254; *Washington v. Superior Court*, 289 U. S. 361, 364-365. But more realistically it may be said that those authorized acts were of such a nature as to justify the fiction. *Smolik v. Philadelphia & Reading Co.*, 222 F. 148, 151. Henderson, The Position of Foreign Corporations in American Constitutional Law, 94-95” (*International Shoe*, 326 US at 318-319).

A careful study of the paragraph and the authorities it cites demonstrates the opposite of the majority’s conclusion, namely: a state may subject foreign corporations to personal jurisdiction as a condition of doing business within its borders. *First*, the Court contrasted *Rosenberg Bros. & Co. v. Curtis Brown Co.* (260 US 516, 518 [1923]), where the defendant Oklahoma company had “never applied, under the foreign corporation laws, for a license to do business in New York” and therefore was not subject to personal jurisdiction here, with three cases involving out-of-state motorists (not corporations) over whom personal jurisdiction was deemed to exist by virtue of statutes conditioning use of the roads on registration (*Kane v. New Jersey*, 242 US 160 [1916]), or deeming use of the roads as consent (*Hess v. Pawloski*, 274 US 352 [1927]), or holding that consistent with due process, New York could impose liability on the New Jersey owner of a vehicle who loaned it to a New Jersey resident who drove it into New York and injured a New Yorker (*Young v. Masci*, 289 US 253 [1933]). Those cases establish the power of states to impose personal jurisdiction as a condition of use of the state’s facilities, where the absence of a condition (as in *Rosenberg*) would render personal jurisdiction unavailable.

Next, the Court collected several cases (*Lafayette Ins. Co.*, 18 How [59 US] 404; *St. Clair*, 106 US 350; *Commercial Mut. Accident Co. v. Davis*, 213 US 245 [1909]; *Washington ex rel. Bond*

& *Goodwin & Tucker, Inc. v Superior Court of Wash. for Spokane Cty.*, 289 US 361 [1933]) that upheld the assertion of personal jurisdiction over foreign corporations on the basis of the actual or implied appointment of an agent within the state for service of process. Note, importantly, that the Court did not describe consent in those cases as consent to service only, but rather as “consent to service *and suit*” (*International Shoe*, 326 US at 318 [emphasis added]).

Finally, the Court pointedly explained, “those authorized acts were of such a nature as to justify” the finding of jurisdiction (*id.* at 318-319). The two citations following that sentence, one to (then Federal District) Judge Learned Hand’s decision in *Smolik v Philadelphia & Reading Coal & Iron Co.* (222 F 148 [SD NY 1915]), the other to a treatise by Gerald Carl Henderson, offer further insight into the Court’s conclusion. In *Smolik*, the defendant (PRCI again) executed a broad written consent to jurisdiction and argued that it should be limited in the same way New York had limited its implied consent to jurisdiction. Judge Hand rejected that argument, holding that whereas the implied consent, “[b]eing a mere creature of justice . . . will have such consent only as justice requires,” whereas the “actual consent in the cases at bar has no such latitudinarian possibilities” (*id.* at 151). Mr. Henderson’s book, at the pages cited by the Court, contrasts *Smolik* to Judge Cardozo’s decision in *Bagdon*, emphasizing our Court’s holding that “the actual appointment of an agent manifests consent quite independently of any law. In the words of Judge Cardozo, speaking for the Court of Appeals, ‘The stipulation is, therefore, a true contract. The person designated is a true agent. The consent that he shall represent the corporation is a real consent’ ” (Henderson at 94-95). In contrasting Judge Hand’s and Judge Cardozo’s approaches and synthesizing them by stating that the authorized acts of registration realistically justified the exercise of jurisdiction, *International Shoe* reaffirmed the validity and vitality of *Bagdon*’s consent-based jurisdiction.

D.

Courts and scholars have routinely read *Bagdon* as establishing jurisdiction by consent through registration (see e.g. *Serov v Kerzner Intl. Resorts, Inc.*, 52 Misc 3d 1214[A], 2016 NY Slip Op 51150[U] [Sup Ct, NY County 2016] [collecting cases and scholarship]; *Muollo v Crestwood Vil.*, 155 AD2d 420, 421 [2d Dept 1989] [“It is true that a foreign corporation is deemed to

have consented to personal jurisdiction over it when it registers to do business in New York and appoints the Secretary of State to receive process for it pursuant to Business Corporation Law §§ 304 and 1304”]; *Le Vine v Isoserve, Inc.*, 70 Misc 2d 747, 749 [Sup Ct, Albany County 1972] [“When a foreign corporation is licensed to do business in New York, it consents to be sued on causes of action arising within and without the State”], citing *Bagdon; Republique Francaise v Cellosilk Mfg. Co.*, 124 NYS2d 93, 99 [Sup Ct, NY County 1953], *revd on other grounds* 284 App Div 699 [1st Dept 1954], *revd on other grounds* 309 NY 269 [1955] [“(J)urisdiction which cannot be acquired by law may be conferred by consent of the parties; and even where the consent is given because it must be given in order to obtain desired benefits or avoid undesired discomforts, it still is consent and effective as such”], citing *Bagdon; Brown v Lockheed Martin Corp.*, 814 F3d 619, 640 [2d Cir 2016] [“Jurisdictions other than Connecticut have enacted registration statutes that more plainly advise the registrant that enrolling in the state as a foreign corporation and transacting business will vest the local courts with general jurisdiction over the corporation. The registration statute in the state of New York has been definitively construed to accomplish that end” (citations omitted)]; Vincent C. Alexander, 2015 Supp Practice Commentaries, McKinney’s Cons Laws of NY, CPLR C301:8 [“Certainly in New York, foreign corporations have been on notice since 1916 that their registration to do business here constitutes consent to the general jurisdiction of the courts”]; Oscar G. Chase, *Consent to Judicial Jurisdiction: The Foundation of “Registration” Statutes*, 73 NYU Ann Surv Am L 159, 168 [2018] [“New York . . . is one of the states that treats registration as consent to general jurisdiction”]).

On several occasions, the United States Supreme Court has understood *Bagdon* as establishing a consent-based rule for jurisdiction. One year after *Bagdon*, the Court validated general jurisdiction by consent in *Pennsylvania Fire Ins. Co. of Philadelphia v Gold Issue Mining & Milling Co.* (243 US 93, 94 [1917]). In that case, an Arizona corporation filed suit in a Missouri court seeking coverage from a Pennsylvania insurance company that had insured its building in Colorado (*id.*; see also *Gold Issue Min. & Milling Co. v Pennsylvania Fire Ins. Co. of Phila.*, 267 Mo 524, 184 SW 999 [1916]). The Pennsylvania defendant was registered to do business in Missouri (*Pennsylvania Fire*, 243 US at 94). The Court held that jurisdiction in

Missouri was proper because “when a power actually is conferred by a document, the party executing it takes the risk of the interpretation that may be put upon it by the courts. The execution was the defendant’s voluntary act” (*id.* at 96). That “document” was a power of attorney “filed with the superintendent of the insurance department” in compliance with the governing business registration statute “consenting that service of process upon the superintendent should be deemed personal service upon the company” (*id.*).

Two decades later in *Neirbo Co. v Bethlehem Shipbuilding Corp.* (308 US 165 [1939]), the Court considered New York’s business registration statute and reaffirmed that consent through corporate registration is a valid and constitutional basis for general jurisdiction. It reiterated: “A statute calling for such a designation is constitutional, and the designation of the agent ‘a voluntary act’ ” (*id.* at 175, citing *Pennsylvania Fire and Bagdon*). As Justice Frankfurter explained:

“It took half a century of litigation in this Court finally to confer on a corporation, through the use of a fiction, citizenship in the chartering state for jurisdictional purposes. Throughout, the mode of thought was metaphorical. The classic doctrine was that a corporation ‘must dwell in the place of its creation, and cannot migrate to another sovereignty.’ Logically applied, this theory of non-migration prevented suit in a non-chartering state, for the corporation could not be there. And such was the practice of the circuit courts until the opinion of Chief Justice Waite in *Ex parte Schollenberger* displaced metaphor with common sense. The essential difference between the practice which Mr. Justice Nelson initiated at circuit and the decision in *Schollenberger’s* case was not a matter of technical legal construction, but a way of looking at corporations. Men’s minds had become habituated to corporate activities which crossed state lines. The fact that corporations did do business outside their originating bounds made intolerable their immunity from suit in the states of their activities. And so they were required by legislatures to designate agents for service of process in return for the privilege of doing local business. That service upon such an agent, in conformity with a valid state stat-

ute, constituted consent to be sued in the federal court and thereby supplanted the immunity as to venue, was the rationale of *Schollenberger's* case” (*id.* at 169-170 [citations omitted]).

Our legislature has made it clear, starting in 1853 and reiterated several times thereafter, that its purpose in requiring foreign corporations registering to do business here is to subject them to jurisdiction here. Our Court repeatedly construed the statute that way; the Supreme Court acknowledged and supported the theory behind that construction; our lower courts and commentators have understood it that way. Only the majority does not, and to what end? To compel the legislature to reenact the statute using the contemporary word “jurisdiction” because the majority refuses to recognize that, 150 years ago, “service” meant “jurisdiction”? The majority plainly understands that the legislature’s intent when it enacted and reenacted the registration requirement was to establish jurisdiction over foreign corporations, not to save the cost of a process server.

IV.

Contrary to Ford and Goodyear’s arguments, personal jurisdiction conferred through consent by registration is neither coerced nor an impermissible burden on interstate commerce.

As the United States Supreme Court has recently articulated, “unconstitutional conditions” cases are ones in which “someone refuses to cede a constitutional right in the face of coercive pressure” (*Koontz v. St. Johns River Water Management Dist.*, 570 US 595, 607 [2013]). Ford and Goodyear have identified no authority supporting their assertion that they are being forced to cede a constitutional right. Nor do they face coercive pressure. Ford and Goodyear incorrectly frame their choice as “consent to general jurisdiction or stop doing business in New York.” They are correct they have a choice, which itself undermines their coercion argument. But their choice is much less severe: it is to consent to personal jurisdiction or forfeit the ability to initiate an action in New York’s courts if the court finds that the corporation is doing business without having registered (Business Corporation Law § 1312). Indeed, corporations derive the greater benefit in their bargain with the State. A corporation may do business here without registering—thereby rendering itself immune to suit here on causes of action beyond the jurisdiction of our courts—until the moment

it decides it wants to sue in New York, and then it can register. In addition, nothing deprives a corporation from making non-jurisdictional arguments to move a suit out of New York; for example, forum non conveniens remains an available tool to litigants. It is New York State that bears the cost if its residents are unable to recover against an unregistered corporate defendant.

Further, when New York courts have found that a plaintiff foreign corporation is “doing business in New York without having qualified pursuant to section 1312 of the Business Corporation Law,” they have held that the “appropriate remedy was not outright dismissal of the complaint, but a conditional dismissal or a stay affording plaintiff an opportunity to cure this nonjurisdictional defect, i.e., to obtain the requisite authority” (*Tri-Terminal Corp. v CITC Indus.*, 78 AD2d 609, 609 [1st Dept 1980]). Such a consequence does not render their consent coerced. Although the majority is correct that Business Corporation Law § 1303 provides that the Attorney General “may” initiate suit to restrain a foreign corporation from doing business in the state without registering (majority op at 284-285 n 4), the concern is overstated. When the legislature added to Business Corporation Law § 1303 this “[n]ew ground[] for enjoining the corporation,” it noted that “[s]uch action by the attorney-general is permitted where the foreign corporation’s authority was obtained through a fraudulent misrepresentation or a concealment of a material fact, or, where it has done or omitted any act for which a domestic corporation could be dissolved” (see Revised Supp to Fifth Interim Rep of Joint Legis Comm to Study Rev of Corporation Laws, 1961 NY Legis Doc No. 12 at 76-77). In other words, Business Corporation Law § 1303 contemplates the Attorney General’s action when a corporation is engaged in some type of illegal conduct—not merely conducting business in New York without registering. The sole lawsuit in which the Attorney General sought to restrain a foreign corporation under Business Corporation Law § 1303 in the past 50 years confirms that understanding. In that lawsuit, the corporation, in addition to doing business in New York without first registering, was also alleged to have “repeatedly and persistently engaged in conduct amounting to common-law or statutory fraud,” “repeatedly and persistently engaged in deceptive acts or business practices,” and “repeatedly and consistently engaged in false advertising” (*People v Nationwide Asset Servs., Inc.*, 26 Misc 3d 258, 263 [Sup Ct,

Erie County 2009]). For doing business in New York without first registering, the corporation was “permanently enjoined from doing business in New York State unless and until they obtain authorization to do so” (*id.* at 281). Again, such a consequence does not render a corporation’s consent coerced.

Likewise, Ford and Goodyear’s interstate commerce claim is without merit. The governing rule, which Ford and Goodyear do not cite, is that when a “statute regulates even-handedly to effectuate a legitimate local public interest, and its effects on interstate commerce are only incidental, it will be upheld unless the burden imposed on such commerce is clearly excessive in relation to the putative local benefits” (*Pike v Bruce Church, Inc.*, 397 US 137, 142 [1970]). Although New York’s rule of jurisdiction through consent does impose some burden, it conveys a benefit as well: access to New York’s courts. Ford and Goodyear have not shown how their burden of defending this lawsuit in New York, where their products are regularly sold and used, is “clearly excessive” compared to legitimate local interests, which include leveling the playing field among all corporations that do business here, whether they are foreign or domestic.

V.

New York requires that foreign corporations wishing to do business here renew their registrations every two years. Ford first registered here in 1920, Goodyear in 1956. They each renewed their registrations many times; both re-registered in 2014. Plaintiffs filed this lawsuit in 2015. As regards the disposition of this case, the question is not what this Court decides registration means starting today, but rather what registration meant in 2015, when this suit was filed.

Unquestionably, today’s holding puts future registrants on notice that, by registering, they are not consenting to jurisdiction here. But there is nothing to which Ford and Goodyear could point, or have pointed, to show such a position would have been reasonable in 2015. Until today, *Bagdon*’s rule of general jurisdiction by consent through registration was “well settled” (Vincent C. Alexander, Practice Commentaries, McKinney’s Cons Laws of NY, CPLR C301:6 [c]). No intervening Supreme Court case law has overturned it. Ford and Goodyear had been given sufficient notice “to structure their primary conduct with some minimum assurance as to where that conduct will and will not render them liable to suit” (*Daimler*, 571 US at 139, quoting *Burger King Corp. v Rudzewicz*, 471

US 462, 472 [1985]). That is, they could have chosen not to do business in New York, or continued to do business in New York without registering and lost only the ability to bring suit in the courts of New York. For reasons of their own, good or bad, they opted to register in New York. Both employ highly sophisticated counsel, who could have (and perhaps did) advise them in 2014 as to the legal effect of New York's registration statute. It would strain credulity to argue that Ford and Goodyear believed they had not, in fact, consented to jurisdiction in our courts—and they have made no such showing nor even such an argument. What the broader record does suggest, however, is that had these plaintiffs brought this suit in Virginia, where the accident occurred but no plaintiff or defendant resided, Ford and Goodyear likely would have claimed that the Virginia courts lacked personal jurisdiction—the position Ford took in 2018, and the United States Supreme Court rejected this year, in *Ford Motor Co. v Montana Eighth Judicial Dist. Court* (592 US —, 141 S Ct 1017 [2021]).

More than a century ago, our court correctly interpreted our legislature as having ensured that residents of New York, injured by corporations that had registered to do business here and chosen to take advantage of our laws, could seek judicial relief here, even if the injury took place somewhere else. Query what offends fair play and substantial justice.

Chief Judge DiFIORE and Judges FAHEY, GARCIA and CANNATARO concur; Judge WILSON dissents in an opinion, in which Judge RIVERA concurs.

Order affirmed, with costs.

[177 NE3d 1283, 156 NYS3d 129]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DON WILLIAMS, Appellant.

Argued October 5, 2021; decided November 18, 2021

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered June 12, 2020. The Appellate Division affirmed a judgment of the Supreme Court, Monroe County (Alex R. Renzi, J.), which had convicted defendant, upon a jury verdict, of criminal possession of a controlled substance in the third degree and criminal possession of a weapon in the second degree.

People v Williams, 184 AD3d 1125, affirmed.

HEADNOTE

Crimes — Jurors — Deliberation — Request for Supplemental Instructions — Use of Visualizer to Display Statute Text during Readback

In a criminal prosecution, the trial judge did not abuse his discretion when, over defendant's objection and in response to a note from the deliberating jury for the elements and relevant definitions of the charged crimes, he complied with the jury's request to use a visualizer to simultaneously project the relevant statutory text for the jury to see while he read the text aloud. CPL 310.30, which governs requests by a deliberating jury in a criminal trial for further instruction or information with respect to the law, requires consent of the parties before the court may give to the jury copies of the text of any statute. However, the context, plain meaning, and legislative history of CPL 310.30 support the interpretation that use of a visualizer does not require consent of counsel. The judge's use of the visualizer may have been a reproduction or display of the requested legal instructions that included statutory text, but such display did not constitute the giving of copies. The risks associated with the physical presence of the text in the jury room, such as the jury perceiving the writing as embodying the more important instructions or engaging in errant statutory interpretation, are not implicated where the jurors view the projected instructions under the court's supervision, with defense counsel present, in open court. Use of the projector here fell within the trial judge's discretion to provide requested information or instruction.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Trial §§ 893–895, 1282, 1283.

CARMODY-WAIT 2d Jury Conduct and Deliberation
§§ 201:15–201:17.

LAFAVE, ET AL., CRIMINAL PROCEDURE (4th ed) §§ 24.8,
24.9.

McKINNEY's, CPL 310.30.

NY JUR 2d Criminal Law: Procedure §§ 2883, 2884, 2886.

ANNOTATION REFERENCE

See ALR Index under Instructions to Jury.

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Query: jury /3 request /s supplemental /4 instruction &
consent

POINTS OF COUNSEL

Timothy P. Donaher, Public Defender, Rochester (Helen A. Syme of counsel), for appellant. I. The court provided the jurors with a copy of the text of a statute by displaying the jury instructions on the visualizer, in violation of CPL 310.30. (*People v Owens*, 69 NY2d 585; *People v Damiano*, 87 NY2d 477; *People v Pena*, 50 NY2d 400; *People v Johnson*, 81 NY2d 980; *People v Moore*, 71 NY2d 684; *People v Tucker*, 77 NY2d 861; *People v Holz*, 35 NY3d 55; *Matter of Sinker [Sweeney]*, 89 NY2d 485; *People v Elmer*, 19 NY3d 501; *Matter of Raynor v Landmark Chrysler*, 18 NY3d 48.) II. The partial display of the jury instructions deprived defendant of his right to a fair trial. (*People v Owens*, 69 NY2d 585; *People v Patterson*, 39 NY2d 288; *People v McLucas*, 15 NY2d 167; *People v Townsend*, 67 NY2d 815.)

Sandra Doorley, District Attorney, Rochester (Kaylan Porter of counsel), for respondent. I. As the Appellate Division found, the court's contemporaneous oral instruction and visual projection of the requested, agreed-upon statutory elements was a proper exercise of discretion under CPL 310.30. (*People v Taylor*, 26 NY3d 217; *People v Damiano*, 87 NY2d 477; *People v Owens*, 69 NY2d 585; *People v Baker*, 14 NY3d 266; *People v Johnson*, 81 NY2d 980; *People v Gil*, 258 AD2d 595, 93 NY2d 924; *People v Ellis*, 183 AD2d 534, 81 NY2d 854; *People v Jackson*, 150 AD3d 1025, 29 NY3d 1092; *People v Laracuenta*, 21 AD3d 1389; *People v Lopez*, 244 AD2d 196.) II. Defendant received a fair trial. (*People v Morris*, 27 NY3d 1096; *People v Ramirez*, 15 NY3d 824; *People v Velazquez*, 100 AD3d 1504, 20 NY3d 1015; *People v Townsend*, 67 NY2d 815; *People v Owens*, 69 NY2d 585; *People v Moore*, 71 NY2d 684; *People v Pena*, 50 NY2d 400; *People v Santi*, 3 NY3d 234; *People v Kase*, 76 AD2d 532, 53 NY2d 989; *People v Baker*, 14 NY3d 266.)

OPINION OF THE COURT

GARCIA, J.

When a deliberating jury requests supplemental instruction, Criminal Procedure Law § 310.30 requires the court to provide a meaningful response. When the jury's request concerns a relevant criminal statute, the law also permits the court to provide the jury with copies of the statutory text, but only with the consent of both parties. This case asks us to decide whether consent of the parties is required before the court, during a readback of the requested law and relevant definitions, may simultaneously display the corresponding text using a visualizer.* We conclude that consent is not required and affirm.

I.

Based on evidence seized from his home in Rochester, defendant was charged with criminal possession of a controlled substance in the third degree (Penal Law § 220.16 [1]), and two counts of criminal possession of a weapon in the second degree (Penal Law §§ 265.03 [1] [b]; [3]). At the close of trial, the judge instructed the jury on the law, and stated that if the jurors needed a readback on any portion of the law, he could display the text on a visualizer. During deliberations, the jury sent a note asking for "definitions of the law" and later clarified that they were requesting the elements and relevant definitions of the charged crimes. The jury also asked that this information be displayed on the visualizer.

The judge informed counsel that he would comply with this request and project the relevant statutory text so the jury could see it while the judge read the text aloud. Although defense counsel did not object to the material selected for the readback, he did object to the process of displaying the text for the jury, arguing that "placing [the text] on the visualizer is really [no] different from handing them a written copy." He asserted that once jurors are handed "instructions in written form, whether it is visually or physically, that they then start having the ability to interpret based on how they see the words, [and] what punctuation may or may not be there." The judge overruled the objection and proceeded as he had described to the parties. A short time later, the jury convicted defendant on two counts and acquitted him on one count of criminal possession of a weapon.

* The trial court and the parties describe the equipment used as a "visualizer"—likely a document camera that projected an image onto a screen.

On appeal, the Appellate Division held that the trial judge did not err in projecting a portion of the court’s final instructions as requested by the jury because jurors were not supplied with a physical copy of the text, “[t]he projected charge was substantially the same as the oral charge, and the process took place entirely in the courtroom under the court’s supervision and guidance” (184 AD3d 1125, 1126 [4th Dept 2020], quoting *People v Laracuenta*, 21 AD3d 1389, 1392 [4th Dept 2005], *lv denied* 6 NY3d 777 [2006]). Therefore, the Court concluded, “there was no danger that the jurors would be left to interpret the law themselves” (*id.*).

A Judge of this Court granted leave to appeal (35 NY3d 1097 [2020]).

II.

Requests for information by a deliberating jury are governed by CPL 310.30. Juries are permitted to request “further instruction or information with respect to the law, with respect to the content or substance of any trial evidence, or with respect to any other matter pertinent to the jury’s consideration of the case” (CPL 310.30; see *People v Velasco*, 77 NY2d 469, 474 [1991]). Upon such request, the court must first give notice to both the People and defense counsel, return the jury to the courtroom, and give the instruction in the presence of defendant (CPL 310.30). When the jury requests further instruction with respect to a statute, “the court may also give to the jury copies of the text of any statute,” but only with the consent of the parties (*id.*). Giving copies of statutory text to jurors without the agreement of counsel is error that “cannot be deemed harmless” and requires reversal of the conviction (see *People v Sanders*, 70 NY2d 837, 838 [1987]). The jury here requested the text of the criminal charges and relevant definitions, and so this case falls squarely within the purview of CPL 310.30.

Defendant argues that the trial judge’s use of the visualizer, over defense counsel’s objection, violated the consent provision of CPL 310.30. We reject that argument based on the language of the statute, its legislative history, and consideration of the risks the consent requirement was intended to address.

We begin with our governing rule of statutory construction, namely “that courts are obliged to interpret a statute to effectuate the intent of the Legislature, and when the statutory language is clear and unambiguous, it should be construed so

as to give effect to the plain meaning of the words used” (*People v Williams*, 19 NY3d 100, 103 [2012] [internal quotation marks omitted]). When statutory terms are not defined, “dictionary definitions serve as useful guideposts in determining the word’s ordinary and commonly understood meaning” (*People v Holz*, 35 NY3d 55, 59 [2020] [internal quotation marks omitted]).

Neither of the key terms in CPL 310.30—“give” and “copies”—is defined in the statute. As one might expect, definitions of “give” abound. For example, Merriam-Webster’s dictionary lists 37 different definitions of the transitive verb, including “to present to view or observation” but also “to put into the possession of another for his or her use” (Merriam-Webster Online Dictionary, give [<https://www.merriam-webster.com/dictionary/give>]). And “copy” is generally defined as “[a] thing made to be similar or identical to another” (Lexico, US Dictionary, copy [<https://www.lexico.com/en/definition/copy>]). Because the terms “give” and “copy” are so broad, and the meaning of each varies widely by context, they must be considered within the statutory setting to determine their proper use here.

To give a copy of text—rather than, for example, to give a toast—implies the receipt of some material. Even “giving” an electronic copy implies that the recipient can retain that copy and refer back to it. Here, the judge’s use of the visualizer may have been a reproduction or display of the requested legal instructions that included statutory text, but such display did not constitute the giving of copies. Moreover, as this Court has described the process under CPL 310.30, “the court in its discretion may also furnish [jurors] with copies of the actual text, but only with the consent of the parties” (*People v Owens*, 69 NY2d 585, 590 [1987] [internal quotation marks and brackets omitted]). We have thus used “furnish” as a synonym of the term “give” in the statute. To “furnish with copies of the actual text” does not suggest overhead projection simultaneous with a readback (see also *People v Martell*, 91 NY2d 782, 785 [1998]).

The context makes clear the plain meaning of the language of CPL 310.30, and the legislative history surrounding the law’s enactment further supports the interpretation that use of the visualizer did not require consent of counsel in this case. A memorandum from the Office of Court Administration in support of the amendment adding the consent requirement noted that “much time is spent by the court reading and rereading statutory material which could be supplied to the jury for easy reference and which would aid the jury in reaching a verdict”

(Mem of Off of Ct Admin, 1980 McKinney's Session Laws of NY at 1967). This description clearly contemplates a situation in which the jurors would have the text in the jury room for use as they deliberate. And if a goal in amending the statute was to save time by giving the jury copies of the text rather than reading and rereading the statute, that aim would certainly not be furthered by application of the consent rule here, where the court read the text as it was displayed in open court.

Moreover, the process employed here does not involve the harm this Court has previously identified in providing juries with copies of statutory text. As an initial matter, we noted in *People v Owens* that if a court submits written material to a jury of its own accord, it can “create[] a risk that the jury will perceive the writing as embodying the more important instructions” (69 NY2d at 591). The jury here requested this specific information. More to the point, we stressed that the “physical presence” of the particular text in the jury room would be reinforced “as the oral instructions fade from memory” (*id.*; *cf. People v Baker*, 14 NY3d 266, 274 [2010]). We have also warned of the risk that, when a statute is “submitted” to the jury, the jurors may engage in errant statutory interpretation, “taking on the role as Judges of the law as well as Judges of the fact” (*People v Moore*, 71 NY2d 684, 686-688 [1988])—a concern raised by defense counsel below. Here, however, the jurors viewed the projected instructions under the court’s supervision, with defense counsel present, in open court (*cf. People v Tucker*, 77 NY2d 861, 863 [1991]). The risks associated with the physical presence of the text in the jury room were not implicated.

Accordingly, because the judge did not “give” the jurors copies of the relevant text but merely displayed the statutes on the visualizer, consent of the parties was not required and use of the projector falls within the judge’s discretion to provide “requested information or instruction” (*see People v Taylor*, 26 NY3d 217, 224 [2015]). There was no abuse of discretion here.

Defendant’s due process claim is unpreserved for our review (*see e.g. People v Mills*, 11 NY3d 527, 536 [2008]).

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge DiFiore and Judges Rivera, Fahey, Wilson, Singas and Cannataro concur.

Order affirmed.

[179 NE3d 612, 157 NYS3d 800]

ADAR BAYS, LLC, Respondent, v GENE SYS ID, INC., Formerly
Known as RX SAFES, INC., Appellant.

Argued August 31, 2021; decided October 14, 2021

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review two questions certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “1. *Whether a stock conversion option that permits a lender, in its sole discretion, to convert any outstanding balance to shares of stock at a fixed discount should be treated as interest for the purpose of determining whether the transaction violates N.Y. Penal Law § 190.40, the criminal usury law*”; and “2. *If the interest charged on a loan is determined to be criminally usurious under N.Y. Penal Law § 190.40, whether the contract is void ab initio pursuant to N.Y. Gen. Oblig. Law § 5-511.*”

HEADNOTES

Usury — Availability of Defense — Effect of Criminally Usurious Interest in Civil Action with Corporate Borrower

1. If a corporate borrower in a civil action establishes that the interest charged on a loan exceeds the 25% interest rate cap set forth in Penal Law § 190.40 and is therefore criminally usurious, the loan transaction is deemed void and unenforceable pursuant to General Obligations Law § 5-511 notwithstanding that General Obligations Law § 5-521 (1) prohibits corporations from raising a usury defense “in any action.” General Obligations Law § 5-521 (3) provides that corporations cannot raise a defense of usury in any action unless the corporation relies on the defense of criminal usury “as described in” Penal Law § 190.40. General Obligations Law § 5-511 (1) provides that all loans charging an interest rate greater than that permitted in section 5-501 “shall be void.” A criminally usurious rate higher than 25% is an interest rate greater than the civil usury limit of 16% prescribed in section 5-501. The legislature provided no exceptions to the voiding of usurious loans if the borrower is a corporation. Rather, the General Obligations Law treats corporate borrowers differently only to the extent that corporate borrowers may raise criminal usury, but not civil usury, as a defense. The legislature intended for criminally usurious loans made to corporate borrowers to be void when a successful usury defense, based on the criminal usury rate, is raised. The legislature has never addressed complaints by permitting courts to limit a borrower’s remedy for a usurious loan to reduction of the interest rate or loss of interest only. Thus, loans proved to violate the criminal usury statute are subject to the same consequence as any other usurious loans: complete invalidity of the loan instrument.

Usury — Usurious Interest on Promissory Note — Determining Interest — Value of Floating-Price Convertible Options

2. In assessing whether the interest on a loan has exceeded the statutory usury cap set forth in Penal Law § 190.40, the value of floating-price convertible options should be included in the determination of interest for purposes of the usury statutes to the extent such value, when measured at the time of contracting, can be reasonably determined. Because floating-price conversion options have intrinsic value that is bargained for, they should be treated as a component of interest. This remains true even though it is possible that the conversion right may never be exercised because the usury laws are implicated when a lender stipulates for a contingent benefit that, if exercised or triggered, has the potential to cause interest to accrue in amounts greater than the legal limit. The mere fact that a fixed-price future conversion option may be exercised at a future usurious rate does not render the loan usurious on its face. Rather, the value of such an option is a question of fact, and the burden to prove that value is on the borrower.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Interest and Usury §§ 6, 64, 102, 157, 166, 173, 198, 230, 231, 300.

McKINNEY'S, General Obligations Law §§ 5-501, 5-511, 5-521 (1), (3); Penal Law § 190.40.

NY JUR 2d Criminal Law: Substantive Principles and Offenses § 1251; NY JUR 2d Interest and Usury §§ 55-57, 89, 130, 142, 143, 156.

ANNOTATION REFERENCE

See ALR Index under Bills and Notes; Usury.

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POINTS OF COUNSEL

The Basile Law Firm P.C., Jericho (*Marjorie M. Santelli* and *Mark R. Basile* of counsel), and *Phillipson & Uretsky, LLP*, New York City (*Jonathan Uretsky* of counsel), for appellant. I. The value of a stock conversion option that permits a lender, in its sole discretion, to convert any outstanding balance to shares of stock at a fixed discount should be treated as interest for the purpose of determining whether the transaction violates Penal Law § 190.40, the criminal usury law, as the option, having value on the date it is granted, is valuable consideration on the date received and the lender's option to take repayment in

stock instead of cash does not change the transaction's fundamental character as a loan. (*Schermerhorn v Talman*, 14 NY 93; *Boyce v Soundview Tech. Group, Inc.*, 464 F3d 376; *Diehl v Becker*, 227 NY 318; *Moore v Plaza Commercial Corp.*, 9 AD2d 223; *Cusick v Ifshin*, 70 Misc 2d 564; *Quackenbos v Sayer*, 62 NY 344; *Leavitt v De Launy*, 4 NY 363; *Hillair Capital Invs., L.P. v Integrated Frgt. Corp.*, 963 F Supp 2d 336; *United States v Cartwright*, 411 US 546.) II. A loan contract is void ab initio pursuant to General Obligations Law § 5-511 if the interest charged on the loan is determined to be criminally usurious under Penal Law § 190.40. (*In re Venture Mtge. Fund LP*, 282 F3d 185; *Hammelburger v Foursome Inn Corp.*, 54 NY2d 580; *Band Realty Co. v North Brewster, Inc.*, 37 NY2d 460; *Blue Wolf Capital Fund II, L.P. v American Stevedoring, Inc.*, 105 AD3d 178; *Cort v Ash*, 422 US 66.)

Garson, Segal, Steinmetz, Fladgate LLP, New York City (Kevin Kehrli, Michael M. Steinmetz and Maddie Brown of counsel), for respondent. I. A stock conversion option that permits a lender, in its sole discretion, to convert any outstanding balance to shares of stock at a fixed discount should not be treated as interest for the purpose of determining whether the transaction violates Penal Law § 190.40, the criminal usury law, as the conversion right is too speculative to include in an interest calculation and, at the point of conversion and delivery of the shares, the only time at which the speculation is somewhat resolved, the transaction changes from a loan to an equity investment and is no longer subject to a usury defense. (*Lehman v Roseanne Invs. Corp.*, 106 AD2d 617; *Hartley v Eagle Ins. Co. of London, England*, 222 NY 178; *Diehl v Becker*, 227 NY 318; *Moore v Plaza Commercial Corp.*, 9 AD2d 223; *Leavitt v De Launy*, 4 NY 363; *Hillair Capital Invs., L.P. v Integrated Frgt. Corp.*, 963 F Supp 2d 336; *United States v Cartwright*, 411 US 546; *Collins v C.I.R.*, 3 F3d 625; *Commissioner of Internal Revenue v Spreckels*, 120 F2d 517.) II. A loan contract is not void ab initio pursuant to General Obligations Law § 5-511 if the interest charged on the loan is determined to be criminally usurious under Penal Law § 190.40 because the legislature, by contemplating different treatment of individuals and corporations within General Obligations Law § 5-501 *et seq.* and specifically excluding corporations from relying on the civil usury defense, intentionally excluded corporations from the remedy provided in section 5-511. (*Funding Group, Inc. v Water Chef, Inc.*, 19 Misc 3d 483; *Hammelburger v Foursome Inn Corp.*, 54 NY2d 580; *Band Realty Co. v North Brewster*,

Inc., 37 NY2d 460; *Fareri v Rain's Intl.*, 187 AD2d 481; *Szerdahelyi v Harris*, 67 NY2d 42; *Carlone v Lion & the Bull Films, Inc.*, 861 F Supp 2d 312.)

Naidich Wurman, LLP, Great Neck (*Richard S. Naidich, Bernard S. Feldman and Robert P. Johnson* of counsel), for Power Up Lending Group, Ltd., amicus curiae. I. The alleged discount is not interest as the debtor retains the amount received. (*Halsey v Winant*, 258 NY 512; *Stuckey v Online Resources Corp.*, 909 F Supp 2d 912; *Bouffard v Befese, LLC*, 111 AD3d 866; *Lyons v National Sav. Bank of City of Albany*, 280 App Div 339; *Poughkeepsie Galleria Co. v Aetna Life Ins. Co.*, 178 Misc 2d 646; *Feld v Apple Bank for Sav.*, 116 AD3d 549; *Bloom v Trepma Constr. Corp.*, 29 AD2d 951.) II. Appellant's contentions fail to recognize the difference in value between restricted and unrestricted stock. III. The appellant's contentions are unavailing and its authorities distinguishable. (*Diehl v Becker*, 227 NY 318; *Blue Wolf Capital Fund II, L.P. v American Stevedoring, Inc.*, 105 AD3d 178; *Hillair Capital Invs., L.P.*, 963 F Supp 2d 336; *Browne v Vredenburg*, 43 NY 195; *Cusick v Ifshin*, 70 Misc 2d 564.) IV. The contracts should not be void even assuming application of the criminal usury law. (*Goldstein v CIBC World Mkts. Corp.*, 6 AD3d 295; *Rosasco Creameries, Inc. v Cohen*, 276 NY 274; *Holmes v Nationwide Mut. Ins. Co.*, 40 Misc 2d 894, 19 AD2d 947; *National Superlease v Reliance Ins. Co. of N.Y.*, 126 Misc 2d 988; *Hayes v Magnus-Cutler, Inc.*, 41 Misc 2d 420; *In re Venture Mtge. Fund, L.P.*, 282 F3d 185; *Carlone v Lion & the Bull Films, Inc.*, 861 F Supp 2d 312; *Seidel v 18 E. 17th St. Owners*, 79 NY2d 735.)

OPINION OF THE COURT

WILSON, J.

The United States Court of Appeals for the Second Circuit has certified two questions to our Court:

"1. Whether a stock conversion option that permits a lender, in its sole discretion, to convert any outstanding balance to shares of stock at a fixed discount should be treated as interest for the purpose of determining whether the transaction violates N.Y. Penal Law § 190.40, the criminal usury law.

"2. If the interest charged on a loan is determined to be criminally usurious under N.Y. Penal Law § 190.40, whether the contract is void ab initio pur-

suant to N.Y. Gen. Oblig. Law § 5-511." (962 F3d 86, 94 [2d Cir 2020].)

We answer both questions in the affirmative.

GeneSYS ID, Inc. (GeneSYS) is a publicly held corporation that produces various types of medical supplies. Adar Bays, LLC is a limited liability company based in Florida. On May 24, 2016, Adar Bays loaned GeneSYS \$35,000. In exchange, GeneSYS gave Adar Bays a note with eight percent interest that would mature in one year. The note included an option for Adar Bays to convert some or all of the debt into shares of GeneSYS stock at a discount of 35% from the lowest trading price for GeneSYS stock over the 20 days prior to the date on which Adar Bays requested a conversion. Adar Bays could exercise its option starting 180 days after the note was issued and could do so all at once or in separate partial conversions.

The note included additional provisions favorable to Adar Bays. Although GeneSYS could prepay the note within the first 180 days, prepayment would incur significant penalties exceeding 100% of the face of the note and, after Adar Bays's conversion right ripened, prepayment was prohibited. If GeneSYS went bankrupt or failed to maintain current filings with the U.S. Securities and Exchange Commission (SEC), the interest rate would increase to "24% per annum or, if such a rate is usurious . . . then at the highest rate of interest permitted by law." The note further provided for events that would automatically result in an increase in the principal owed. For example, if GeneSYS were delisted from any stock exchange, the principal would increase by 50% and if GeneSYS lost its bid price in a stock market, the principal would increase by 20%.

Six months and four days after the note was issued, on November 28, 2016, Adar Bays requested conversion of \$5,000 of debt into 439,560 shares of stock. GeneSYS refused—canceling its transfer agent and seeking to renegotiate the loan. On November 28, GeneSYS was trading for \$0.024 per share,¹ the conversion price was \$0.011. Adar Bays then sued GeneSYS in the United States District Court for the Southern District of New York for breach of contract. GeneSYS filed a motion to dismiss arguing the contract was void because the loan's rate

1. The Federal District Court appears to have used a November 28 trading price of \$0.03 per share; the two items in the record before us show a trading price of \$0.024 and \$0.02 for that day. The difference in those prices is not material for the purposes of our opinion and we do not purport to resolve it.

of interest, including both the stated interest and conversion option, exceeded the criminal usury rate of 25%. Adar Bays opposed GeneSYS's dismissal motion and filed its own motion for summary judgment.

The Federal District Court held largely in Adar Bays's favor, rejecting the argument that the value of the conversion option should be added to the note's stated interest rate because it "was simply too uncertain at the time of contracting" (341 F Supp 3d 339, 356 [SD NY 2018]). Of particular concern to the district court was the possibility that GeneSYS "could become delinquent in its filings, become delisted, experience sudden decreases in its stock price, experience no demand for its stock, or simply cancel the reserve or refuse a conversion" (*id.*, quoting *Adar Bays, LLC v Aim Exploration, Inc.*, 285 F Supp 3d 698, 702-703 [SD NY 2018]). The court then awarded Adar Bays \$92,308 in expectation damages based on the number of shares Adar Bays would have received had it converted the entirety of the note on the day of the breach, valuing each share at \$0.03.

On appeal, the Second Circuit observed that, for a varied set of reasons, most federal district courts had concluded that similar conversion options did not constitute interest under New York's usury laws (962 F3d 86, 90-91 [2d Cir 2020]). Nonetheless, the Second Circuit recognized that some New York courts, in other contexts, had added the value of future, contingent payments to a note's stated interest rate when evaluating a usury defense (*id.* at 91, citing *Blue Wolf Capital Fund II, L.P. v American Stevedoring, Inc.*, 105 AD3d 178, 182 [1st Dept 2013]). The Second Circuit also discerned ambiguity as to whether a loan made to a corporation, even if determined to exceed the criminal usury rate by a court, was void or subject to reformation in the exercise of equitable jurisdiction (*id.* at 92, citing *Blue Wolf*, 105 AD3d at 182, and *In re Venture Mtge. Fund, L.P.*, 282 F3d 185, 189 [2d Cir 2002]). As a result, the Second Circuit certified two questions to us. Pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.27), we accepted these certified questions (35 NY3d 996 [2020]), and now answer them in the affirmative.

Certified Question No. 2: Whether Criminally Usurious Contracts are Void Ab Initio

[1] We begin with the Second Circuit's second question because the background of New York usury law helps to frame both questions. The text, history, and purpose of New York's

usury laws demonstrate that, if the borrower establishes the defense of usury in a civil action, the usurious loan transaction is deemed void and unenforceable, resulting in the uncollectability of both principal and interest. We now clarify that this same result obtains when the 25% interest rate cap set forth in Penal Law § 190.40—incorporated by reference in General Obligations Law § 5-521 (3)—applies to a loan to a corporation and the interest charged on the loan exceeds that cap.

New York usury law is composed of General Obligations Law §§ 5-501, 5-511, 5-521; Banking Law § 14-a (1); and Penal Law § 190.40. Together, the statutes establish that loans of less than \$250,000 to individuals cannot exceed a 16% annual rate, loans between \$250,000 and \$2.5 million cannot exceed 25% (the criminal usury rate) and loans of \$2.5 million or more are not subject to the usury laws. More specifically, the General Obligations Law and Banking Law provide that the maximum rate of interest upon a “loan or forbearance of any money, goods, or things” shall be 16% per annum unless otherwise provided by law (General Obligations Law § 5-501 [1]; *see* Banking Law § 14-a [1]), and “[n]o person or corporation shall, directly or indirectly, charge, take or receive any money, goods or things in action as interest” at a rate exceeding 16% (General Obligations Law § 5-501 [2]). In addition, a lender commits a class E felony when, without other legal authorization, the lender “knowingly charges, takes or receives any money or other property as interest on the loan or forbearance of any money or other property, at a rate exceeding [25%] per annum or the equivalent rate for a longer or shorter period” (Penal Law § 190.40). Any loan that reserves or takes any greater interest “than is prescribed in section 5-501”—the civil usury prohibition (16%)—“shall be void” (unless the lender is a bank or loan association, which will be held to have forfeited all interest on the loan) (General Obligations Law § 5-511 [1]). Under General Obligations Law § 5-521 (1), the defense of usury is not available to corporations, but this bar does not preclude a corporate borrower from raising the defense of “criminal usury” (i.e., interest over 25%) in a civil action (*see id.* § 5-521 [3]), as occurred here.²

2. The civil statutes governing usury, which is typically a defense raised by a borrower in a civil case to avoid enforcement of a loan, incorporate by reference the interest rate found in the Penal Law statute defining usury as a felony offense, currently 25%. Thus, even when (as here) only civil usury is

(n. cont'd)

A.

To understand New York’s current usury laws, it is important to examine their history. New York’s prohibitions on usury extend back to at least 1717, when the colony adopted an act defining usury as interest charged above six percent per year on a loan (1 Colonial Laws of NY at 909). The legislature amended the law over the years to adjust the interest rate (1 Colonial Laws of NY at 1004-1005; 2 Colonial Laws of NY at 980). Any excess interest rendered the loan agreement “utterly void” (1 Colonial Laws of NY at 909). If found to be usurious, the lender forfeited not just principal and interest, but three times the value of the loan (*Curtiss v Teller*, 157 App Div 804, 810 [4th Dept 1913], *affd* 217 NY 649 [1916]; 1 Colonial Laws of NY at 910).

In 1787 the new State of New York replaced the prior law (L 1787, ch 13). It imposed a seven percent cap and required the complete voiding of the transaction but eliminated the treble damages provision (*id.* [retaining language pronouncing “all deposits (sic) of goods or other things whatsoever for payment of any principal or money to be lent” in usurious contracts “utterly void”]). In addition, the statute exempted holders of negotiable instruments who had purchased the instrument in good faith without knowledge that the original note was usurious (*id.*).

The statute’s strict forfeiture provision engendered conflict. The courts of equity took issue with the forfeiture of principal on moral grounds and began requiring borrowers to “repay or offer to repay the sum, together with interest, in order to obtain relief” (*Curtiss*, 157 App Div at 810).³ In 1827, the commissioners for revising the statutes “proposed to retain in effect the

at issue, the standard is referred to as the “criminal usury” rate and the civil defense is colloquially called “criminal usury.” Owing to, if nothing else, differences in the standard of proof in the criminal context, it does not follow from the fact that a borrower had established the defense of usury to a loan enforcement that the lender has necessarily committed the felony offense of usury.

3. A borrower who was content to walk away from a loan on grounds of usury would have had no need or ability to resort to any court, because the entire loan was deemed void. However, when a borrower had paid usurious interest and sought to recover it, the courts of law were unavailable because the note was deemed void ab initio, requiring the borrower to proceed in a court of equity. Courts of equity, in that circumstance, often required the borrower to repay the principal as a condition to recovering the usurious interest from the lender.

principle which the Court of Chancery had applied, of requiring the borrower to pay back the money which he had received from the lender, as a condition of equitable relief” (*id.* at 811). The legislature squarely rejected that proposal and instead enacted legislation requiring that “no court of equity should require or compel the payment or deposit of the principal or any part thereof as a condition of granting relief to the borrower in the case of a usurious loan” (*id.* at 811-812; 1 Rev Stat of NY, part II, ch IV, tit III, § 8 at 772-773 [1st ed 1829]). Nonetheless, the courts of equity showed continued “reluctance to recede from the equitable rule” (*Curtiss*, 157 App Div at 814; see e.g. *Livingston v Harris*, 11 Wend 329 [1833]).

Dissatisfied with the equity courts’ approach to the usury laws, in 1837 the legislature made the usury laws “more drastic” by passing a bill entitled “An Act to Prevent Usury.” The act continued the seven percent cap and the voiding of all usurious transactions, repealed the previous exclusion for good faith holders in due course and provided that persons receiving more than seven percent were guilty of a misdemeanor, punishable by a fine of up to \$1,000 and imprisonment up to six months (L 1837, ch 430; *Curtiss*, 157 App Div at 814). The act also clarified for the courts of equity that usurious loans were to be declared void and explicitly prohibited requiring payment of the principal sum or interest in order to seek discovery or relief (L 1837, ch 430; see also *Curtiss*, 157 App Div at 814). Thus, by the mid-1800s, prior to our decision in *Dry Dock Bank v American Life Ins. & Trust Co.* (3 NY 344 [1850]), New York usury laws’ primary features—a civil rate around seven percent, misdemeanor penalties for violations, and complete uncollectability of principal and interest—had remained constant for more than 100 years.

B.

In *Dry Dock*, a failing bank contracted to borrow \$250,000 (or £50,000) from the American Life Insurance and Trust Company in exchange for installation payments of the principal, six percent interest and a mortgage of real estate as collateral (*New York Dry Dock Co. v American Life Ins. & Trust Co.*, 3 Sandf Ch 215, 252 [1846]). In addition, the bank promised to pay a discount, or commission, to the vice-president of American Life (*id.* at 252-253). The bank then sued to declare the transaction void for usury (*id.*). The Vice Chancellor determined that the commission should properly be included as a compo-

nent of interest and declared the transaction void as usurious. Supreme Court reversed, but our Court reinstated the Vice Chancellor's decision, voiding the loan—both principal and interest—as usurious (*Dry Dock*, 3 NY at 362). Our decision in *Dry Dock* spurred the legislature to action, but not to removal of the rule that usurious loans were utterly void.⁴ Rather, shortly after *Dry Dock*, the legislature prohibited corporations from raising a usury defense “in any action” (L 1850, ch 172, § 1). Despite persistent attacks launched at the usury laws, the legislature did not alter New York's long-standing rule requiring total voiding of usurious loans. Even after the legislature enacted the 1850 corporation exception, the New York Chamber of Commerce, commercial groups, special legislative committees, and even the Governor made repeated entreaties to the legislature to repeal or amend the usury laws (4 New York Chamber of Commerce Minutes 195-196, 293-294, 295 [1847-1858]; New York Chamber of Commerce Annual Reports, *Reports of the Chamber of Commerce From 1854-1864* at 154-176 [Mar. 17, 1854]; see also John F. Baker, *Usury*, 1 Am Civ LJ 64, 64 [1873]; *Message from the Governor*, NY Times, Jan. 3, 1854 at 1). By 1854, the Chamber reported more than 20 states had more lenient interest limits and penalties for usury, which amplified the worries that New York might lose its burgeoning status as a financial center (New York Chamber of Commerce Annual Reports, *Reports of the Chamber of Commerce From 1854-1864* at 159 [Mar. 17, 1854]). In multiple memorials submitted to the legislature, the Chamber, with thousands of signatories from the business community, asked for a repeal of the usury statute for private parties, while allowing for a default maximum rate of seven percent for banks and parties

4. Public outcry after *Dry Dock* was severe: the New York Journal of Commerce said the case revealed “more impressively than anything which has before come to our knowledge, the abominable injustice of [the usury] law,” which “offers a standing premium for fraud, deception, ingratitude, and downright robbery” (*Great Bank Robbery*, 4 Bankers' Mag & Stat Reg 914, 915 [1850]; see also Franklin Winton Ryan, *Usury and Usury Laws: A Juristic-Economic Study of the Effects of State Statutory Maximums for Loan Charges upon Lending Operations in the United States* 58-60 [1924]). The New York Evening Post similarly wrote: “[w]ell may the business community look upon a law with horror and detestation, which gives such advantages to knavery and dishonesty Such a law offers one of the most powerful temptations to fraud” (*The Usury Question*, NY Evening Post, Feb. 23, 1850). The Post additionally noted that “Maine, Rhode Island, Connecticut, Ohio, and other states” had repealed their usury laws and that a “number of projects for the repeal of the more stringent provisions of the usury laws are now before the Legislature of New York” (*id.*).

lending without contracts (New York Chamber of Commerce Annual Reports, *Reports of the Chamber of Commerce From 1854-1864* at 167, 195-196 [Mar. 17 1854]). Nevertheless, the legislature neither raised the permissible interest rate nor refused to soften the complete forfeiture of principal and interest.

C.

Corporations remained outside the protections of the usury statute for the next 115 years (*Hammelburger v Foursome Inn Corp.*, 54 NY2d 580, 589-590 [1981]). However, the corporate exclusion proved highly exploitable (*id.*). After the Second World War, the United States experienced a “credit explosion” (James M. Ackerman, *Interest Rates and the Law: A History of Usury*, 1981 Ariz St LJ 61, 93 [1981]). Organized criminal groups built large and highly lucrative money lending businesses in which they charged “unconscionable rates of interest” such as 250% or even 2,000% per year (Mem of Administration, L 1965, ch 328, 1965 NY Legis Ann at 47). By requiring borrowers to incorporate as a condition of receiving an otherwise usurious loan, lenders could easily evade the usury laws (*id.* at 48 [referring to this legal loophole as a “vacuum which exists in the usury laws”]). In several cases, our Court upheld otherwise usurious transactions in which the loan sought by an individual was obtained on the condition that a corporation was formed for the sole purpose of avoiding the usury statute (see e.g. *Werger v Haines Corp.*, 302 NY 930 [1951]; *Jenkins v Moyse*, 254 NY 319 [1930]). Insecure businesses that had difficulty finding financing elsewhere naturally also proved an easy target for such predatory lending (Mem of Administration, L 1965, ch 328, 1965 NY Legis Ann at 50; see also *Syndicate Loan-Shark Activities & New York’s Usury Statute*, 66 Colum L Rev 167, 168 [1966]).

To address the situation, in 1965 the New York State Commission of Investigation issued a report strongly recommending the creation of a criminal usury statute and supplementing the new criminal enforcement with additional civil protections (An Investigation of the Loan-Shark Racket: A Report by the New York State Commission of Investigation 80 [Apr. 1965]). The longer memorandum sent to the legislature alongside the bill explained the proposed change to the civil usury law, re-allowing corporations to interpose a defense of usury when interest exceeded the proposed criminal rate:

“This measure is vital in curbing the loan-shark racket as a complement to the basic proposal creating the crime of criminal usury. As noted above, loan-sharks with full knowledge of the present law, make it a policy to loan to corporations. The investigation also disclosed that individual borrowers were required to incorporate before being granted a usurious loan. This is a purely artificial device used by the loan-shark to evade the law—an evasion which this proposal would prevent” (*id.* at 84; *see also* Mem of Administration, L 1965, ch 328, 1965 NY Legis Ann at 50).

The legislature agreed and enacted a new provision of the Penal Law, which made loans charging more than 25% annual interest a felony in the second degree, and which, to combat the misuse of the corporate exemption from usury, restored the defense of usury to corporations in civil actions if the interest rate charged on the loan exceeded the criminal usury rate (*see* L 1965, ch 328; Penal Law § 190.40; General Obligations Law § 5-521 [3]).

In 1980, after corporations, operating in a period of high inflation, cited a disadvantage competing internationally with foreign banks not subject to domestic usury laws, the legislature amended the criminal usury statute to exclude loans greater than \$2.5 million (Letter from NY St Bankers Assn, June 18, 1980, Bill Jacket, L 1980, ch 369; Letter to Richard A. Brown, Counsel to Governor, from John F. Lee, Executive Vice-President, New York Clearing House, June 19, 1980, Bill Jacket, L 1980, ch 369; General Obligations Law § 5-501 [6] [b]). The legislative history of the 1980 amendment also evidences the legislature’s judgment that borrowers of more than \$2.5 million were “capable of protecting their own interests” without the protection of the usury laws (Banking Dept Mem on Bill before Governor for Executive Action at 1-2, Bill Jacket, L 1980, ch 369). Once again, though, the legislature did not alter the 300-year-old rule that, where usury is established, the transaction is entirely void, preventing recovery of both principal and interest.

D.

Although the ancient laws relating to usury had religious and moral underpinnings, some of which may have carried into New York’s original usury law, the modern conception of our

usury laws focuses on the protection of persons in weak bargaining positions from being taken advantage of by those in much stronger bargaining positions (*Schneider v Phelps*, 41 NY2d 238, 243 [1977]). Without doubt, New York's voiding of usurious contracts "can be harsh," perhaps especially in comparison to other states' laws, but the penalty reflects the legislature's consistent condemnation of the "evils of usury" (*Seidel v 18 E. 17th St. Owners*, 79 NY2d 735, 740-741 [1992]). The forfeiture of interest and capital serves a strong deterrent effect—one the legislature has repeatedly affirmed (*id.*).

The foregoing history and purpose of the usury laws makes the interpretation of the modern statutes clear. Section 5-511 (1) of the General Obligations Law voids loans that charge above the rate set out in section 5-501 (the civil usury rate of 16%); that recapitulates the unbroken rule from 1717 forward. Subdivision (1) of section 5-521 prohibits corporations from raising a usury defense "in any action," which reflects the legislative response to *Dry Dock*. That section also states that the prohibition on corporations raising usury as a bar to enforcement of the loan does not apply "to any action in which a corporation interposes a defense of criminal usury as described in section 190.40 of the penal law" (General Obligations Law § 5-521 [3]), which reflects the 1965 legislation's repeal of the corporate bar on raising usury as a defense where the interest rate exceeds 25%. In other words, although section 5-521 (1) "disallows" corporations from raising the defense of usury with respect to a loan charging less than 25% interest (*Fischer v Panasian Communications*, 87 NY2d 958, 960 [1996]), section 5-521 (3) renders section 5-521 (1) inapplicable where the interest rate is greater than 25%, meaning corporations fall within the purview of section 5-501 with respect to those usurious loans.

The fact that Penal Law § 190.40 itself does not void a loan charging more than 25% interest is irrelevant. Penal Law § 190.40 is a penal statute imposing criminal liability and it is not the purview of the Penal Law to define defenses in civil actions. Rather, General Obligations Law § 5-521 provides that corporations cannot raise a defense of usury in any action unless the corporation relies on the defense of criminal usury "as described in section 190.40 of the penal law" (General Obligations Law § 5-521 [3]). As regards civil usury, Penal Law § 190.40 merely specifies the rate of criminally usurious interest. General Obligations Law § 5-511 (1) provides that all loans

charging an interest rate greater than that permitted in section 5-501 “shall be void.” A criminally usurious rate higher than 25% is an interest rate greater than the civil usury limit of 16% prescribed in section 5-501. The legislature provided no exceptions to the voiding of usurious loans if the borrower is a corporation. Rather, the General Obligations Law treats corporate borrowers differently only to the extent that corporate borrowers may raise criminal usury, but not civil usury, as a defense. The statutory authority, coupled with the legislative intent behind the 1965 amendment, requires the conclusion that the legislature intended for criminally usurious loans made to corporate borrowers to be void when a successful usury defense, based on the criminal usury rate, is raised.

Particularly given the legislature’s intention to deter loan-sharking by allowing corporations to raise a criminal usury defense, it would be incongruous to deviate from that rule and conclude that the legislature intended a more forgiving remedy against those who lend at or above the criminal usury rate than those who violate only the civil usury standard. Indeed, the 1965 Commission report, submitted to the legislature alongside the draft legislation that became law, noted: “it would be most inappropriate to permit a usurer to recover on a loan for which he could be prosecuted” (*Hammelburger*, 54 NY2d at 589-590 [emphasis omitted], quoting Mem of Administration, L 1965, ch 328, 1965 NY Legis Ann at 50).

Our conclusion is also supported by the legislature’s enactment of express exceptions where it has found complete invalidity of an otherwise usurious instrument counterproductive. The legislature, for example, expressly provided that savings banks entering into a usurious loan will forfeit interest but not principal (General Obligations Law § 5-511 [1]).⁵ Yet, despite numerous entreaties over many centuries, other than the exception for savings banks, the legislature has never addressed complaints by permitting courts to limit a borrower’s remedy for a usurious loan to reduction of the interest rate or loss of interest only. Thus, loans proved to violate the criminal usury statute are subject to the same consequence as any other usurious loans: complete invalidity of the loan instrument.

5. Historically, the legislature has also excluded bottomry contracts and respondentia bonds from the usury laws (L 1837, ch 430; General Business Law former § 373). As described earlier, for the 50-year period from 1787 to 1837, the legislature excluded good faith holders in due course from the usury laws.

Certified Question No. 1: Floating-Price Convertible Options and Interest

[2] Turning to the Second Circuit's first certified question, we are asked whether a conversion option that permits a lender to convert outstanding balance to shares of stock at a fixed discount should be treated as interest for purposes of a usury determination. We conclude that, in assessing whether the interest on a given loan has exceeded the statutory usury cap, the value of the floating-price⁶ convertible options should be included in the determination of interest. New York law requires that the value of the conversion option, like all other property exchanged in consideration for the loan, should be included in determining the loan's interest rate for purposes of the usury statutes, to the extent such value, when measured at the time of contracting, can be reasonably determined. The hypothetical possibility that a future exercise of a floating-price conversion option may result in a return exceeding 25% does not render a loan usurious on its face. Rather, the value of such an option is a question of fact, and the burden to prove that value is on the borrower.

As a threshold matter, the transaction at issue here is a loan. When determining whether a transaction is a loan, substance—not form—controls (*see Dry Dock*, 3 NY at 354). Several factors help distinguish loans from equity purchases and joint ventures, which are not subject to the usury laws. First, parties who are not directly exposed to market risk in the value of the underlying assets are likely to be lenders, not investors (*see e.g. Hall v Eagle Ins. Co.*, 151 App Div 815 [1st Dept 1912], *aff'd* 211 NY 507 [1914]). Additionally, context, such as whether a party applied to the other for a loan or had outstanding, separate transactions, helps to distinguish between intent to borrow and intent to engage in a joint transaction or exchange money for some other reason (*see e.g. Szerdahelyi v Harris*, 67 NY2d 42, 46 [1986] [holding a transaction was a loan and not a purchase-money mortgage]; *Meaker v Fi-ero*, 145 NY 165, 171 [1895] [considering existing debts between the parties to discern if a payment was interest on a loan or payment of an outstanding debt and finding the latter]). For example, in *Orvis v Curtiss*, where we held that a

6. The type of convertible note at issue here is sometimes referred to as a "fixed discount" (from a variable trading price) or a "floating-price" option (because the conversion ratio is determined by the stock price). We use the latter term herein.

transaction was not a loan but rather a joint speculation in stocks, it was “plain that the defendant’s purpose was not to borrow money, but to deal in stocks. There [was] no proof or claim in the record that he ever applied to the plaintiff for a loan. He did apply to him for the purpose of entering into a joint transaction to speculate in property” (157 NY 657, 661-662 [1899]).

Here, Adar Bays is a lender, GeneSYS a borrower, and the parties executed a traditional loan instrument—the note—constituting a promise by GeneSYS to repay the loaned principal, plus interest, in some form, by a maturity date. The transaction, at its inception, was plainly a loan (*see Seidel*, 79 NY2d at 744; *Hall*, 151 App Div at 823). The presence of a floating-price conversion option does not transform a loan into an equity investment. The conversion option was an intrinsic part of the consideration Adar Bays received for the loan (Adar Bays first amended complaint at 3, available at 2017 WL 11414354 [(t)he conversion feature was essential to AB purchasing the Note]). Moreover, through the floating-price conversion option, Adar Bays avoided the sort of share-price risk an equity investor or joint venturer would bear: at the instant that Adar Bays exercises its conversion option, it will always receive more stock than the converted principal could have purchased on the open market at the current trading price because of the 35% discount calculated from the lowest trading price in the 20-day period preceding the notice of conversion.⁷ Additionally, our holding in *Seidel* supports a determination that floating-price convertible notes are loans (79 NY2d at 744). In *Seidel*, the lender had the option to transform some of the debt into ownership in the borrower’s cooperative (*id.* at 738). We held that the transaction was nevertheless a loan, and the “mere presence of a unilateral option in favor of Herbst—in lieu of \$75,000 of the bond face amount—did not transform the lender into a joint venturer” (*id.* at 744). Loans with the option of repayment in property (including stock) rather than cash remain loans—not equity investments.

In an action to recover on a note, usury is an affirmative defense and the party seeking to void the loan agreement bears

7. GeneSYS asserts, and Adar Bays does not dispute, that the 35% discount on the trading price of the stock would yield to Adar Bays a 54% nominal gain relative to the principal converted whenever the conversion option is exercised, without accounting for any further gain in value related to the 20-day look-back period used to determine the conversion rate.

the burden of proving usury (*Brown v Robinson*, 224 NY 301, 314-315 [1918]). “There is no presumption that a contract is illegal or criminal. The illegality, if alleged, must be established by proof” (*Meaker*, 145 NY at 170). Usurious intent is “an essential element of usury” and “where usury does not appear on the face of the note, usury is a question of fact” (*Freitas v Geddes Sav. & Loan Assn.*, 63 NY2d 254, 262 [1984]).

In determining whether a loan is usurious, “interest” is construed broadly. From colonial times to present, the legislature has defined interest to include the value of all goods and promises exchanged in consideration for a loan in the usury analysis. The earliest usury prohibition in the colony of New York set out the modern and broad language prohibiting the “direct[] or [i]ndirect[]” taking of usurious interest (1 Colonial Laws of NY at 909). The 1837 usury law further established that the taking of “any greater sum, or greater value” of “any money, goods or other things in action . . . shall be void” (L 1837, ch 430). Today’s usury statutes define “interest” to include all collateral exchanges of money or property, regardless of whether the usury is raised as a defense in a civil action (as occurred here) or the issue arises in a criminal prosecution. For example, General Obligations Law § 5-501 (2) requires:

“No person or corporation shall, directly or indirectly, charge, take or receive any money, goods or things in action as interest on the loan or forbearance of any money, goods or things in action at a rate exceeding the rate above prescribed. The amount charged, taken or received as interest shall include any and all amounts paid or payable, directly or indirectly, by any person, to or for the account of the lender in consideration for making the loan or forbearance” (*see also* Penal Law § 190.40 [“money or other property (charged) as interest on the loan”]; 3 NYCRR 4.2 [b]).

Not surprisingly then, our cases involving criminal usury show strict attention to additional fees exacted sometimes creatively through loan instruments (*see e.g. Hammelburger*, 54 NY2d at 594 [remanding for further fact-finding as to the status of a \$2,100 fee, charged in addition to 24% interest on a loan, and that the lender argued was a finder’s commission]; *Freitas*, 63 NY2d at 257 [affirming a factual determination that a \$290 bank charge should not be included in the usury calculus]). Exchanges of other forms of property, substituted

for money, are equally germane to the calculation (see *Schermerhorn v American Life Ins. & Trust Co.*, 14 Barb 131, 147 [NY Sup Ct 1852] [“it is evident that the things substituted for, and loaned as money, must be truly estimated and valued at their money value”], *mod on other grounds sub nom. Schermerhorn v Talman*, 14 NY 93 [1856]).

Indeed, our decision in *Dry Dock* holds that all consideration to be paid in exchange for a loan should be valued when determining if a transaction is usurious:

“Where however the object of the parties is a loan of money, and something else under the form of an exchange or sale is substituted for it, the principle of the loan, and consequently of the debt contracted by the nominal vendee, will be the value in money of the substitute received by him; and any consideration paid or secured to the vendor beyond that will in general be considered as interest for its forbearance” (3 NY at 359).

Because floating-price conversion options have intrinsic value that is bargained for in these loans, they should be treated as a component of interest. Indeed, this remains true even though it is possible that the conversion right may never be exercised because the usury laws are implicated “when a lender stipulates for a contingent benefit” that, if exercised or triggered, has the potential to cause interest to accrue in amounts greater than the legal limit (*Browne v Vredenburgh*, 43 NY 195, 197 [1870]; see *Diehl v Becker*, 227 NY 318, 326 [1919]). The federal district court decisions do not contest that proposition; indeed, they implicitly recognize the option’s value but often dismiss it as too speculative, finding it difficult to imagine how such a valuation could be carried out (see e.g. *Union Capital LLC v Vape Holdings Inc.*, 2017 WL 1406278, *5, 2017 US Dist LEXIS 60445, *12-13 [SD NY, Mar. 31, 2017, No. 16 Civ 1343 (RJS)]; *Adar Bays, LLC v GeneSYS ID, Inc.*, 341 F Supp 3d 339, 355 [SD NY 2018]). However, our case law provides guidance as to the valuation of future contingent payments in the usury context. In *Hartley v Eagle Ins. Co. of London, England*, we considered whether a loan whose interest rate depended on the life expectancy of a third party exceeded the legal rate, ultimately remanding for more fact-finding as to the actuarial tables used to calculate the probable life span (and interest) at the time of the loan (222 NY 178 [1918]). In *Brown v Robinson*, the Court similarly reviewed loans whose repay-

ment, and corresponding interest rates, depended on actuarial tables and several other considerations, including the value of a right of redemption and the purchase of insurance against certain risks (224 NY 301).

Hartley and *Brown* establish several principles for assessing a criminal usury defense when a lender has bargained for both a stated interest rate and a contingent future option. First, an “agreement to pay an amount which may be more or less than the legal interest, depending upon a reasonable contingency, is not *ipso facto* usurious, because of the possibility that more than the legal interest will be paid” (*Hartley*, 222 NY at 184). Thus, the mere fact that a fixed-price future conversion option may be exercised at a future usurious rate does not render the loan usurious on its face. Indeed, in *Hammelburger*, we made clear that usurious intent in such situations is a question of fact, not a matter of law (54 NY2d at 594). However, neither does the contingent nature of the option’s exercise remove the loan from the scrutiny of the usury law (see *Browne*, 43 NY at 197; *Diehl*, 227 NY at 326). Rather, *Dry Dock*, *Hartley* and *Brown* require us to assess the overall value of the conversion option at the time of the bargain.

We leave the determination of appropriate valuation methods for convertible options to factfinders. However, certain principles from our case law should be taken into account. *Brown* establishes that the valuation of a contingent future payment must be tailored to the risks involved in a particular investment and therefore should exclude contingencies or risks that are part of any loan transaction and, as such, are already taken into account by the usury statutes. For example, a borrower may go bankrupt or otherwise cease doing business and be unable to repay a loan. That risk, however, exists whether the loan is purely repayable in cash or in a mix of cash and securities (contingent or otherwise); that risk is fully built into the maximum interest rate allowable by law. Consequently, the value of the conversion option should not be discounted based on that risk (see *Colton v Dunham*, 2 Paige Ch 267, 273 [NY 1830]). Likewise, if a lender has contractually protected itself in the loan instrument against other risks, those risks also should not be used to discount the value of the conversion option (see *Brown*, 224 NY at 316 [“Under these circumstances . . . the (lender) must be charged with . . . having eliminated this contingency”]). Here, for example, the note provides that if GeneSYS is delisted, the interest rate jumps to 24%, or just

under the legal limit, so Adar Bays has protected itself against the risk of delisting. Consequently, that risk should not be used to discount the value of the conversion option. Additionally, the risk of a borrower refusing conversion should not affect the value of the option: in the event the borrower refuses, the lender, as Adar Bays did in this instance, can sue to enforce the contract so long as it is not usurious. Ordinary contract remedies exist to protect against this contingency and it neither renders the loan uncertain nor affects the value of the consideration exchanged. The situation would be no different were a borrower to refuse to pay monies due under any loan having no conversion option: the statutory usury cap allows for the possibility of litigation costs.

The dissent incongruously criticizes our decision as either rendering notes containing floating-price conversion options presumptively void or inappropriately increasing litigation of fact questions concerning whether particular transactions are usurious. Neither is accurate. Our analysis is consistent with the long-standing principle that, because a “usurer usually seeks to conceal the usury, and to accomplish [the] purpose by indirect methods” (*Meaker*, 145 NY at 169), questions of usurious intent and whether a transaction is a “cover for usury” are typically “question[s] of fact” (*Hammelburger*, 54 NY2d at 594; *Beals v Benjamin*, 33 NY 61, 67 [1865]). Our decision today does nothing to alter the borrower’s burden of establishing usury as a defense in a civil action. Rather, we answer only that which the Second Circuit has asked: stock conversion options should be considered when determining the interest charged on a loan transaction and usurious loans to corporations are wholly void under the General Obligations Law.

We have not been asked how to determine the value of stock conversion options here and do not endorse any particular methodology. Nonetheless, we are confident that convertible options are not so speculative that, as a matter of law, they cannot be valued.⁸ The valuation of options is widespread and is the foundation on which hedge funds operate (*see e.g.* John

8. In fact, one incongruity of Adar Bays’s argument that floating-price convertible options are too uncertain as to be valued is that Adar Bays demanded and was awarded expectancy damages. Adar Bays maintains that the volatility of GeneSYS’s stock prices, particularly in the three-day window in which the conversion would take place, renders the convertible option’s value uncertain because, due to such fluctuation, it would be “far from a guarantee that [Adar Bays] would see any value from a conversion” (brief for respondent at 17). Under New York law, expectancy damages, which “give[]

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D. Finnerty & Mengyi Tu, *Valuing Convertible Bonds: A New Approach*, 36 Bus Valuation Rev 85 [2017] [describing an evolving body of literature in which models have been developed since the 1970s to value contingent claims]).⁹ Floating-price options may be considerably more simple to value than fixed-price conversion options, which are more dependent on changing market values (see Krishna Ramaswamy & Suresh M. Sundaresan, *The Valuation of Floating-Rate Instruments: Theory and Evidence*, 17 J Fin Econ 251, 252 [1986] [(t)hese floating rate instruments' value is more stable than that of fixed rate investments"]). Although courts may be faced with the task of deciding which of two dueling valuation models is superior, the resolution of conflicting evidence, even expert evidence, is the bread and butter of trial courts. If trial courts could not resolve such disputes, the frequently conflicting expert testimony in psychiatry, forensics, and other areas of evidence would similarly result in exclusion of reliable and important evidence.

This is not to say that expert testimony will be required in all cases. Lenders themselves may have done modeling and analysis to justify or evaluate the expected returns from their loans containing floating-price conversion options, which may provide evidence going directly to usurious intent and valuation at the time the loan was entered into (see *Meaker*, 145 NY at 170 [“The contract may be illegal in its nature, or may be

force to the provisions of a contract by placing the aggrieved party in the same economic position it would have been in had both parties fully performed” are required to be proved with “reasonable certainty” (*Bausch & Lomb Inc. v Bressler*, 977 F2d 720, 728-729 [1992]; *Kenford Co. v County of Erie*, 67 NY2d 257, 261 [1986]; *Union Car Adv. Co. v Collier*, 263 NY 386, 401 [1934])). Although expectancy damages are calculated and subject to certainty at the time of breach and usury must be calculated at the time of contract formation, Adar Bays is arguing inconsistently about the three-day period implicated in both analyses. On the one hand Adar Bays argues the GeneSYS stock price fluctuates so much during even the three-day period between a conversion demand and actual conversion as to render any profit uncertain (when attempting to defeat a usury defense), yet claims its measure of expectancy damages is “reasonably certain.”

9. Models for convertible bond pricing first appeared in the 1970s, most notably including the Black Scholes model, which won its developers the Nobel Prize (Finnerty & Tu at 86). Models have continued to be developed with increasing levels of sophistication since. Today, the single-factor binomial lattice model, in which different predictive factors are combined to calculate the risk of default so as to isolate a single factor (the firm's stock price), predominates (*id.* at 86). In all the models described in the Finnerty & Tu literature review, the error rate of model predictions does not exceed 10% (*id.* at 87).

shown to be so by extrinsic facts”)). Indeed, in this case, Adar Bays stated at oral argument that it had conducted a valuation of the convertible option before entering into the loan agreement; its complaint pleads that the option was “essential” to the note. Alternatively, as is the case in many commercial lawsuits, discovery reveals projections made by one or both parties as to the expected profits or range of profits, assumptions of likelihood of future events, or negotiation history that imputes equivalence to certain of the negotiated terms, all of which might be used to construct a reasonable valuation of an investment having a contingent component (see e.g. *Custom Chrome, Inc. v Commissioner of Internal Revenue*, 217 F3d 1117, 1123-1126 [9th Cir 2000] [rejecting argument that options were too speculative to value at time of issuance and pointing to lender’s internal projections as data on which a valuation could rest]). A final example of extrinsic evidence that could establish usury is the prior performance of similarly structured floating-price convertible loans made by a lender.¹⁰ Past performance evidence is sometimes offered to determine expectancy damages in contract.¹¹

Finally, the possibility that Adar Bays may have never exercised the conversion option and may have simply chosen to receive eight percent interest on its loan does not require the conclusion that the value of the conversion option is too uncertain as to be counted as interest. Under New York law, if a lender will receive something of value in exchange for a loan based on a contingency, that contingent payment may consti-

10. Although Adar Bays’s actual profit on this loan cannot be used to determine that the loan was in fact usurious at the time it was entered into, a track record of grossly excessive returns could provide evidence in a future case.

11. See e.g. *Abraham v Leigh*, 471 F Supp 3d 540, 564 (SD NY 2020) (reviewing expert testimony as to the previous business endeavors of one of the parties); *RMLS Metals, Inc. v International Bus. Machs. Corp.*, 874 F Supp 74, 76 (SD NY 1995) (introducing “historic operating costs for processing” a similar product to the one at issue to estimate lost profits when the deal did not go through, although the comparison was found to be too dissimilar in that instance); *Ashland Mgt. v Janien*, 82 NY2d 395, 406 (1993) (upholding a damages award based on a company’s projections based on “extensive[]” back-testing over a number of years of operation); *Care Travel Co., Ltd. v Pan Am. World Airways, Inc.*, 944 F2d 983, 994 (2d Cir 1991) (upholding damages calculated based on the plaintiff’s analysis of the defendant’s profit records in the disputed air travel service areas); *Contemporary Mission, Inc. v Famous Music Corp.*, 557 F2d 918, 927 (2d Cir 1977) (holding it was error to exclude evidence regarding a musical record’s prior performance on the market as relevant to its likelihood to continue to succeed).

tute interest for purposes of the usury statutes. For example, in *Diehl v Becker* (227 NY 318 [1919]), the Court held that the right of a lender to receive additional payment if the borrower sold or leased certain patent rights could be considered interest for usury purposes, despite the fact that the borrower might not sell the patents (*see id.* at 325-326; *see also Browne v Vredenburg*, 43 NY 195 [1870]; *Blue Wolf Capital Fund II, L.P. v American Stevedoring, Inc.*, 105 AD3d 178, 183 [1st Dept 2013] ["If an instrument provides that the creditor will receive additional payment in the event of a contingency beyond the borrower's control, the contingent payment constitutes interest within the meaning of the usury statutes"]; *Moore v Plaza Commercial Corp.*, 9 AD2d 223, 225 [1st Dept 1959] ["Where a borrower surrenders contingent rights to profits in addition to a promise to pay principal and lawful interest, the transaction is usurious"], *affd* 8 NY2d 813 [1960]). For all these reasons, the value of floating-price options, measured at the time of the agreement, should be included when determining the rate of interest for purposes of the usury statutes, to the extent such valuation can be proved by reasonable methods.

More generally, a technical concern about valuation methods and the certainty of these options should not facilitate evasion of the usury laws. Our Court has recognized for more than a century that the economy changes and with it, the ability of lenders to extract unlawful interest rates through novel and increasingly sophisticated instruments, noting: "The usurer usually seeks to conceal the usury, and to accomplish his purpose by indirect methods; but no matter what the disguise, if the court can see that the real transaction was the loan or forbearance of money at usurious interest, its plain and imperative duty is to so declare" (*Meaker*, 145 NY at 169-170; *Quackenbos v Sayer*, 62 NY 344, 346 [1875]). Indeed, a common tool of lenders in the 1800s to avoid enforcement of usury law penalties—civil or criminal—was to disguise the loan as a "sale of choses in action" exempted from the law (62 NY at 346). We noted then that "[t]he shifts and devices of usurers to evade the statutes against usury, have taken every shape and form that the wit of man could devise, but none have been allowed to prevail" (*id.*). Again, as discussed above, in the 1960s, the legislature—in response to the "vacuum" in the law that failed to deter the usurious exploitation of corporations by criminal syndicates—ended the practice by limiting the corporate exception (Mem of Administration, L 1965, ch 328, 1965 NY Legis

Ann at 48, 50). If misused, the floating-price convertible option may constitute another form of usury cloaked in novel form.

The dissent worries, essentially, that usurers making loans of less than \$2.5 million with floating-price conversion options will move their operations to other states, and perhaps some legitimate lenders of such loans who are close to the edge will do likewise. If so, that result is in harmony with our legislature's unbroken intent over many centuries: the strict protection of more vulnerable borrowers from extortionate rates. As it has done before, our legislature can freely adjust the usury laws if the dissent's parade of horrors turns out to be something more than phantasm.

Accordingly, following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance by this Court pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.27), certified questions should be answered in the affirmative.

GARCIA, J. (dissenting in part). The certified questions call upon us to examine the relationship between criminal usury and a corporate loan that provided the lender with a discounted stock conversion option. I agree with the majority that contracts found to charge more than the 25% interest rate set out in the criminal usury statute are void. The fact that this "harsh penalty" applies, however, makes critical the proper application of the borrower's heavy burden of proving, by clear and convincing evidence, that the transaction is usurious (*see Freitas v Geddes Sav. & Loan Assn.*, 63 NY2d 254, 261 [1984 plurality]). Because I believe the majority's answer to the second certified question, making this type of discounted stock option a per se interest rate, shifts that burden to the lender, effectively voiding all commercial loans like the one at issue here, I dissent.

The majority presents the facts and procedural history of this case in detail (majority op at 324-325). A few additional points are noted for context. GeneSYS, a closely held microcap medical-supply company with shares traded on the over-the-counter market,¹ borrowed \$35,000 from lender Adar Bays. In

1. "The term 'microcap stock' applies to companies with low or 'micro' capitalizations, meaning the total value of the company's stock. A typical definition would be companies with a market capitalization of less than \$250 or \$300 million" (*see* U.S. Securities and Exchange Commission, Microcap Stock: A Guide for Investors [Sept. 18, 2013], <https://www.sec.gov/reportspubs/>

(n. cont'd)

exchange, GeneSYS executed a convertible promissory note with an 8% interest rate together with a securities purchase agreement. The note contained an option that allowed Adar Bays to convert the outstanding principal to GeneSYS stock at a fixed discount. That option could not be exercised until 180 days after the date of issuance.²

If Adar Bays elected to convert any part of the loan to equity, it was required to deliver a “Notice of Conversion” to GeneSYS or its transfer agent.³ The price of the shares delivered to Adar Bays was set at 65% of the lowest trading price of the stock for the 20 prior trading days, including the day the notice of conversion was received. The company then had three days to deliver the shares to Adar Bays. No conversion could take place if it would result in Adar Bays and its affiliates owning more than 9.9% of the outstanding shares of GeneSYS. Any conversion was to occur by means of GeneSYS’s transfer agent, and GeneSYS was to issue irrevocable instructions to the transfer agent reserving sufficient shares to cover any conversion made pursuant to the terms of the note. From October 2015 through January 2016, GeneSYS entered into at least seven similar agreements, borrowing more than \$400,000 from various lenders. Nearly three months before Adar Bays submitted its notice of conversion, GeneSYS terminated its transfer agent with the goal of preventing conversion for any of these loans.

Turning now to the certified questions in the order set out in the majority opinion, I would answer the first question in the affirmative. I would reformulate the second question and answer in the negative.

I.

“If the interest charged on a loan is determined to be criminally usurious under N.Y. Penal Law § 190.40, whether the

investor-publications/investorpubsmicrocapstockhtm.html). The over-the-counter (OTC) market is where most microcap stocks are traded, for example on the OTC Bulletin Board, “an electronic inter-dealer quotation system that displays quotes, last-sale prices, and volume information for many OTC equity securities that are not listed on a national securities exchange” (*id.*).

2. This 180-day mandatory holding period is related to certain requirements for trading unregistered stock under federal securities law (*see* Securities & Exchange Comm’n rule 144 [d], 17 CFR 230.144).

3. “[C]ompanies that have publicly traded securities typically use transfer agents to issue stock certificates” (*LG Capital Funding, LLC v One World Holding, Inc.*, 2018 WL 3135848, *8, 2018 US Dist LEXIS 107369, *23 [ED NY, June 27, 2018, 15-CV-698 (SJ)(JO)]).

contract is void ab initio pursuant to N.Y. Gen. Oblig. Law § 5-511" (962 F3d 86, 94 [2d Cir 2020]).

The "proscription against usury" is indeed "deeply rooted in the jurisprudence of New York" (*Freitas*, 63 NY2d at 257-258; *see generally Curtiss v Teller*, 157 App Div 804 [4th Dept 1913], *affd* 217 NY 649 [1916]). But we need not go back 300 years to perform what is, in my view, a matter of straightforward statutory interpretation.

New York law provides that no person or corporation can charge interest on a loan above a rate of 16% (General Obligations Law § 5-501 [1], [2]). Any contract that "reserve[s] or take[s] . . . any greater sum, or greater value, for the loan or forbearance of any money . . . than is *prescribed* in section 5-501, shall be void" (General Obligations Law § 5-511 [1] [emphasis added]). Adar Bays argues that the import of this section is that "contracts 'prescribed in § 5-501, shall be void' " or, in other words, "that loans found to violate 'section 5-501, shall be void.'" This is a mischaracterization of the operation of the statute. "Prescribe" as used in section 5-511 means "as established by" section 5-501 (*see Black's Law Dictionary* 1431 [11th ed 2019] [defining "prescribe" as "(t)o dictate, ordain, or direct; to establish authoritatively (as a rule or guideline)"]). The difference is important: rather than the consequence flowing from a violation of section 5-501, it is tied solely to the interest rate established by that statute—*any* contract with a rate above that authorized by section 5-501 is void.

Corporations are prohibited from interposing a defense of usury in any action (General Obligations Law § 5-521 [1]), but this bar does not apply to the defense of criminal usury as defined in Penal Law § 190.40 (General Obligations Law § 5-521 [3]). Accordingly, a corporation may raise the defense where the contract provides for an interest rate greater than 25%. If the corporate borrower meets its burden of establishing criminal usury, the contract necessarily provides for a greater rate of interest than the 16% rate "prescribed" by section 5-501, and the contract is void.

On that basis, I concur with the majority's decision to answer what is now question 1 in the affirmative.

II.

"Whether a stock conversion option that permits a lender, in its sole discretion, to convert any outstanding balance to shares

of stock at a fixed discount should be treated as interest for the purpose of determining whether the transaction violates N.Y. Penal Law § 190.40, the criminal usury law” (962 F3d at 94).

The affirmative answer to question 1—contracts with a criminally usurious rate are void—should counsel caution in answering question 2. And this Court has historically been cautious in imposing that penalty (*see Di Nome v Personal Fin. Co. of N.Y.*, 291 NY 250, 253 [1943] [violation of the relevant statute “deprives the lender of all right to collect or receive any principal, interest or charges whatsoever . . . (and) makes the lender guilty of a misdemeanor as well(, and therefore) (a) provision which imposes such a forfeiture should be strictly construed and should not be held to include any alleged violation which is not clearly within the plain intention of the statute”]). The “harsh penalty of forfeiture” has long been mitigated by the weight of the burden placed on a borrower alleging usury (*see Freitas*, 63 NY2d at 261; *Brown v Robinson*, 224 NY 301, 318 [1918]). After today, despite the holdings of numerous courts to the contrary, stock options to convert debt to equity at a fixed discount must be treated as per se interest rates in all cases. While the majority acknowledges that “the mere fact that a fixed-price future conversion option may be exercised at a future usurious rate does not render the loan usurious on its face” (majority op at 338), its approach accepts the discount rate as the interest rate (majority op at 335 n 7) and places the burden on the lender to rebut that “valuation.” At best, this makes the relevant question one of whose valuation model carries the day, not whether the borrower has met its burden. This burden shifting is an invitation to protracted and costly litigation for the lender. And combined with our answer on question 1, borrowers will reap a substantial windfall.

A.

Make no mistake that equating the discount rate with the interest rate is exactly the rule sought by GeneSYS (*see Adar Bays v GeneSYS ID, Inc.*, 341 F Supp 3d 339, 353 [SD NY 2018] [GeneSYS “contends that the Note is usurious on its face”]). As the Second Circuit phrased it, “[t]he first issue presented is whether the Note violates New York’s criminal usury law because it contains a conversion option with a 35% discount that, if treated as interest, raises the interest rate above the statutory maximum” (962 F3d 86, 88 [2d Cir 2020]). The majority, while couching its analysis in the language of a “valua-

tion” of the conversion option as an interest rate, answers that question “yes”—that the option should be “*treated as interest*”—and then makes clear that indeed the presumption of usury applies in all cases where the discount rate is above a certain percent on its face; here, “the 35% discount on the trading price of the stock would yield to Adar Bays a 54% nominal gain” in value (majority op at 323-324, 335 n 7). By doing so, we reverse our long-standing case law, and now place that “heavy burden” of establishing usury on the lender (*see Rosenstein v Fox*, 150 NY 354, 364 [1896] [(W)here usury is pleaded as a defense the presumption is against such a violation of the law, and it must be established by clear and satisfactory evidence by the party pleading it; . . . all the facts constituting usury must be proved with reasonable certainty, and . . . the mere fact that the debtor at various times paid upon the obligation more than the legal rate of interest (is) not sufficient(;). . . it must appear that such payments were made in pursuance of an usurious agreement”]).

The question as presented to us, calling for a yes or no answer as to whether to treat the option as interest, makes it difficult to craft a response that accommodates the burden of proof and the complexities of the marketplace. As always, however, we are free to reformulate the certified question, as the Second Circuit here has expressly invited us to do (962 F3d at 94). Here, I would do so as follows:

Is a contract provision containing a stock conversion option that permits a lender, in its sole discretion, to convert any outstanding balance to shares of stock at a fixed discount sufficient to make that contract usurious on its face?

This question closely comports with the borrower’s allegation that “the Note is usurious on its face because the conversion discount option . . . set the interest rate well above 25%” (341 F Supp 3d at 353). Making this question determinative and answering it in the negative, as I, and the majority, would do (majority op at 338), leaves room for different outcomes depending on the borrower’s ability to meet its burden in the individual case.

B.

It is “the established principle” that “the usury defense must be established by clear evidence as to all the elements essential thereto,” that the court “will not assume that the parties entered into an unlawful agreement,” and that “[o]n the con-

trary when the terms of the agreement are in issue, and the evidence is conflicting, the lender is entitled to a presumption that he did not make a loan at a usurious rate” (*Giventer v Arnou*, 37 NY2d 305, 308-309 [1975] [internal quotation marks omitted]). As the majority acknowledges, and as has long been recognized by our case law, “an agreement to pay an amount which may be more or less than the legal interest, depending upon a reasonable contingency, is not *ipso facto* usurious, because of the possibility that more than the legal interest will be paid” (*Hartley v Eagle Ins. Co. of London, England*, 222 NY 178, 184 [1918]). Moreover, “[t]he defense of usury involving crime and forfeiture cannot be established by mere surmise and conjecture or by inferences entirely uncertain” (*Rosenstein*, 150 NY at 364, quoting *Stillman v Northrup*, 109 NY 473, 478 [1888]). Instead, “[c]lear and convincing evidence, of an act unequivocally exacting a rate of interest in excess of that allowed by law, places a transaction within the plain intent of the usury statute” (*Freitas*, 63 NY2d at 261; *see also Rosenstein*, 150 NY at 364 [“The statute against usury is, like other statutes, to be obeyed, but the rule is well settled that whoever desires its aid through the interference of a court must make out his title to relief by allegations and proof” (citation omitted)]).

Here, with the discount stock conversion option, “[t]here certainly was no specific agreement for the payment of usurious interest” and the contract is not usurious on its face (*Hartley*, 222 NY at 182). As a result, the borrower must establish each element of the usury defense by clear and convincing evidence. The district court held the borrower’s burden unmet: the “conversion right was simply too uncertain at the time of contracting” and therefore GeneSYS “has not carried its burden of showing that the discounted stock price should be considered in the interest calculation” (341 F Supp 3d at 356).

Numerous federal courts have followed this same straightforward approach in assessing a usury defense to contracts incorporating a fixed discount conversion option for shares traded on the OTC market (*see e.g. LG Capital Funding, LLC v Aim Exploration, Inc.*, 2018 WL 4119149, 2018 US Dist LEXIS 147411 [SD NY, Aug. 29, 2018, 17 Civ 3118 (DAB)]; *LG Capital Funding, LLC v PositiveID Corp.*, 2019 WL 3437973, 2019 US Dist LEXIS 126991 [ED NY, July 29, 2019, 17-CV-1297-NGG-SJB]; *EMA Fin., LLC v AIM Exploration, Inc.*, 2019 WL 689237, 2019 US Dist LEXIS 26141 [SD NY, Feb. 19, 2019, 18

Civ 145 (ER)]; *Adar Bays, LLC v Aim Exploration, Inc.*, 285 F Supp 3d 698 [SD NY 2018]; *Union Capital LLC v Vape Holdings Inc.*, 2017 WL 1406278, 2017 US Dist LEXIS 60445 [SD NY, Mar. 31, 2017, No. 16 Civ 1343 (RJS)]; *Blue Citi, LLC v 5Barz Intl. Inc.*, 338 F Supp 3d 326 [SD NY 2018]; *see also LG Capital Funding, LLC v Sanomedics Intl. Holdings, Inc.*, 2015 NY Slip Op 32232[U] [Sup Ct, Kings County 2015]). These cases, addressing the patent uncertainty of any recovery at a usurious rate, acknowledge and adhere to the standard relevant at this stage of review—the “heavy burden [that] rests upon the party seeking to impeach a transaction for usury” (*Hillair Capital Investments, L.P. v Integrated Frgt. Corp.*, 963 F Supp 2d 336, 339 [SD NY 2013]) and the “strong presumption against a finding of usury” (*Zhavoronkin v Koutmine*, 52 AD3d 597, 598 [2d Dept 2008]; *see also Adar Bays, LLC v Aim Exploration, Inc.*, 285 F Supp 3d at 705-706 [“Aim Exploration has not met its heavy burden of showing that the Note is criminally usurious”]). Where recovery above the legal rate of interest is not guaranteed within the four corners of the relevant contracts, these courts found that the parties asserting usury did not meet the heavy burden placed on them. This approach is now foreclosed.

In the majority’s view, these cases represent a failure of imagination (majority op at 337 [describing the federal district court decisions as “finding it difficult to imagine how such a valuation could be carried out”]). But while the majority makes clear what the trial courts cannot do—namely, exactly what they have been doing in case after case—no workable approach is offered in exchange. First, the majority makes a somewhat disturbing foray into the literature on valuation models—noting that hedge funds make a business of valuing options—and invites reliance on the possibility that “[l]enders themselves may have done modeling and analysis to justify or evaluate the expected returns from their loans” or that “discovery [could] reveal[] projections made by one or both parties as to the expected profits or range of profits, assumptions of likelihood of future events, or negotiation history that imputes equivalence to certain of the negotiated terms” (majority op at 340-341).⁴ Next, the majority makes the startling claim that a “*track record of*

4. The majority suggests that Adar Bays’s calculation of its “expectancy damages” is inconsistent with its argument that the value of the convertible option is too uncertain to be considered as an aspect of the usury analysis (majority op at 339-340 n 8). Of course, it is well settled that expectation

(n. cont’d)

grossly excessive returns could provide evidence in a future case,” suggesting that returns earned on unrelated contracts may be used to establish the defense of usury to enforcement of a later agreement entered into by the same lender (majority op at 341 n 10 [emphasis added]). No citation for using such “propensity” evidence to establish the defense of criminal usury is provided. Lastly, the majority assures trial courts that their ability to resolve conflicting expert testimony in “psychiatry, forensics, and other areas of evidence” (majority op at 340) will serve them well in addressing any “technical concern[s]” with valuation methods (majority op at 342). But that confidence, and a nod to the “single-factor binomial lattice model” (majority op at 340 n 9), is no substitute for the practical approach crafted by trial courts.

On the other hand, reformulating the question would, while maintaining the proper allocation of the burden of proof, leave room for the case where a lender can meet that burden with respect to a contract containing a discounted stock option (*see e.g. Hort v Devine*, 1 AD3d 266, 266 [1st Dept 2003] [denying summary judgment because “(h)ere, usury does not appear on the face of the note, and defendant’s usury argument depends on evidence that is extrinsic to the note”]). And we would avoid overturning the reasonable approach taken by courts in treating these options—involving delayed exercise of a conversion option in a potentially illiquid market that may produce significant short-term price swings—as too “uncertain” to be considered interest at all (*see e.g. Adar Bays, LLC v Aim Exploration, Inc.*, 285 F Supp 3d at 702 [the stock was “not necessarily fully liquid and it cannot always be disposed (of) immediately” and “there is no guarantee that (the lender) could realize a fixed profit by reselling the stock since it is possible that the price of the stock would decrease immediately following submission of a notice of conversion”]).⁵

damages are determined using the fair market value of an asset at the time of the breach (*see Sharma v Skaarup Ship Mgt. Corp.*, 916 F2d 820, 825 [2d Cir 1990]); as the majority affirms numerous times, whether the contract is usurious is to be determined as of the time it was entered into (*see* General Obligations Law § 5-501 [4]; majority op at 334, 337, 338, 340, 341 n 10, 342). That the rate of return is uncertain and speculative at the time of contracting but damages are quantifiable after a breach is hardly “incongruous.”

5. As noted above, GeneSYS has three days from receipt of notice to deliver the shares, and the conversion price is calculated looking back 20 days from the date of the borrower’s receipt of the notice.

C.

This Court has, in the past, been attuned to the need to preserve “a delicate balance [in the usury laws] by both enforcing legitimate business obligations and by protecting impoverished debtors from improvident transactions” (*Schneider v Phelps*, 41 NY2d 238, 243 [1977]). While the legislature has determined that “the prescribed *consequences* are necessary to deter the evils of usury” (*Seidel v 18 E. 17th St. Owners*, 79 NY2d 735, 740-741 [1992] [emphasis added]), those harsh consequences were, previously, counterbalanced by the heavy burden borne by any party asserting a usury defense.

Today the majority declares the fixed discount equity conversion option in all cases an interest rate, and upsets this carefully calibrated structure—at the behest of a corporation well “aware of the potential risk” (*Schneider*, 41 NY2d at 243; see also *Seidel*, 79 NY2d at 740 [describing corporations as “generally the antithesis of the ‘desperately poor people’”]; *Butterworth v O’Brien*, 23 NY 275, 276 [1861] [noting that prior to the ban on corporations interposing a usury defense, a corporation could “avail() itself of the statutes to prohibit usury, for the purpose of relieving itself from its contracts”]). As the Second Circuit described the circumstances here:

“GeneSYS, advised by counsel, agreed to the 35% discount rate, executed the Note and pocketed the loan proceeds. When Adar Bays attempted to exercise the conversion option, GeneSYS revealed it had already terminated its transfer agent and refused to deliver any shares or repay any of the outstanding debt. Should the Note now be declared void, GeneSYS will walk away with the entirety of the loan—achieving what could be viewed as a ‘total windfall’ at the expense of Adar Bays” (962 F3d at 93).

That windfall extends well beyond this loan—or even the other similar agreements that provided this borrower with \$400,000 in funding—to any such contracts made subject to New York law. All are now presumptively void. For the future, we can anticipate that New York, traditionally the “preeminent commercial center in the United States,” is off limits for this type of lending (*159 MP Corp. v Redbridge Bedford, LLC*, 33 NY3d 353, 359 [2019]).

Choice of law is just that—a choice. Rather than providing “strict protection of more vulnerable borrowers from extortion-

ate rates” (majority op at 343), today’s holding will cause commercial borrowers and lenders to decamp (see *Crown Bridge Partners, LLC v Sunstock, Inc.*, 2019 WL 2498370, *1, 2019 US Dist LEXIS 93393, *1 [SD NY, June 3, 2019, 18 Civ 7632 (CM)] [acknowledging an effort to “exploit() choice-of-law clauses to avail (parties to these transactions) of jurisdictions (to which they otherwise have no connection) that do not have laws prohibiting usury”]).⁶ Our courts will lose oversight, our law relevance.

Chief Judge DiFIORE and Judges RIVERA, FAHEY, SINGAS and CANNATARO concur; Judge GARCIA dissents in part in an opinion.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified questions answered in the affirmative.

6. The majority’s answer is that New York is well rid of these “usurers,” yet adds they may feel welcome to return should the legislature change the law (majority op at 343).

[179 NE3d 635, 157 NYS3d 822]

HECTOR ORTIZ, as Temporary Administrator of the Estate of
VICKY ORTIZ, Deceased, Individually and on Behalf of All
Others Similarly Situated, Appellant, v CIOX HEALTH LLC,
as Successor in Interest to IOD, INC., et al., Respondents.

Argued October 6, 2021; decided November 18, 2021

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review a question certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following question was certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “Does Section 18(2)(e) of the New York Public Health Law provide a private right of action for damages when a medical provider violates the provision limiting the reasonable charge for paper copies of medical records to \$0.75 per page?”

HEADNOTE

Records — Access to Records — Implied Private Right of Action under Public Health Law Section Capping Reasonable Charge for Paper Copies of Medical Records

No private right of action lies for violations of Public Health Law § 18 (2) (e), which limits the reasonable charge for paper copies of medical records to \$0.75 per page. In New York, where a statute does not make express provision for a private remedy, such a remedy may be had only if a legislative intent to create such a right of action is fairly implied in the statutory provisions and their legislative history. In evaluating whether the legislative intent favors such implied private rights of action, the relevant factors are whether the plaintiff is one of the class for whose particular benefit the statute was enacted, whether recognition of a private right of action would promote the legislative purpose, and whether creation of such a right would be consistent with the legislative scheme. Plaintiff, who made a written request to defendant for paper copies of her medical records and was billed \$1.50 per page, was clearly part of a class that section 18 was designed to protect, as the original law and its subsequent amendment were intended to increase patient access to medical records and prevent medical providers from overcharging patients for copies of their medical records. Even assuming the second factor is satisfied, enforcement mechanisms already exist for section 18 in the form of the Commissioner of Health and the Attorney General’s ability to impose substantial fines and seek injunctive relief, and an individual patient’s ability to commence a CPLR article 78 proceeding to enforce the law’s provisions. The legislature affirmatively provided mechanisms for enforcing other related provisions of the Public Health Law, but did not for section 18. A plenary private right of action would be inconsistent with the

statutory scheme surrounding the \$0.75 cap. Therefore, the requisite legislative intent for an implied private right of action is not present.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Depositions and Discovery § 164.

McKINNEY'S, Public Health Law § 18 (2) (e).

NY JUR 2d Records and Recording § 34.

ANNOTATION REFERENCE

See ALR Index under Copies; Medical Records.

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action

POINTS OF COUNSEL

Reese LLP, New York City (*Sue J. Nam* and *Michael R. Reese* of counsel), for appellant. Public Health Law § 18 (2) (e) affords a private right of action. (*Feder v Staten Is. Hosp.*, 304 AD2d 470; *Carter v CIOX Health, LLC*, 260 F Supp 3d 277; *Cruz v TD Bank, N.A.*, 22 NY3d 61; *Sheehy v Big Flats Community Day*, 73 NY2d 629; *Haar v Nationwide Mut. Fire Ins. Co.*, 34 NY3d 224; *Matter of Stray from the Heart, Inc. v Department of Health & Mental Hygiene of the City of N.Y.*, 20 NY3d 946; *McLean v City of New York*, 12 NY3d 194; *Uhr v East Greenbush Cent. School Dist.*, 94 NY2d 32; *Doe v Roe*, 190 AD2d 463; *Sterling v Ackerman*, 244 AD2d 170.)

Kirkland & Ellis LLP, New York City (*Jay P. Lefkowitz*, *Gilad Bendheim* and *Alec Webley* of counsel), and *Hodgson Russ LLP*, Buffalo (*Jodyann Galvin* of counsel), for Ciox Health, LLC, respondent. I. A private right of action to enforce Public Health Law § 18 (2) (e) would frustrate the legislative purpose. (*Metz v State of New York*, 20 NY3d 175; *Cynthia B. v New Rochelle Hosp. Med. Ctr.*, 60 NY2d 452; *Wheeler v Commissioner of Social Servs. of City of N.Y.*, 233 AD2d 4; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Matter of Casillo v St. John's Episcopal Hosp., Smithtown*, 151 Misc 2d 420; *Colon v City of New York*, 285 AD2d 523; *Matter of Mental Hygiene Legal Serv. v Daniels*, 33 NY3d 44; *Mark G. v Sabol*, 93 NY2d 710; *Fumarelli v Marsam Dev.*, 92 NY2d 298.) II. A

private right of action to enforce Public Health Law § 18 (2) (e) would be inconsistent with the legislative scheme. (*Burns Jackson Miller Summit & Spitzer v Lindner*, 59 NY2d 314; *Goldman v White Plains Ctr. for Nursing Care, LLC*, 9 Misc 3d 977; *Matter of Mougiannis v North Shore-Long Is. Jewish Health Sys., Inc.*, 25 AD3d 230; *Matter of Legal Aid Socy. v New York State Dept. of Correctional Servs.*, 88 AD3d 793; *Hammer v American Kennel Club*, 1 NY3d 294; *Matter of Newton v Town of Middletown*, 31 AD3d 1004; *Rhodes v Herz*, 84 AD3d 1; *Matter of Gross v Perales*, 72 NY2d 231; *Health Care Plan v Bahou*, 61 NY2d 814; *Matter of Adams v Welch*, 272 AD2d 642.) III. *Feder v Staten Is. Univ. Hosp.* (Sup Ct, NY County, Nov. 30, 1999, Cohen, J., index No. 601049/98, *affd without op* 273 AD2d 155 [1st Dept 2000]) is wrongly decided. (*Rubman v Osuchowski*, 163 AD3d 1471; *Bellikoff v Eaton Vance Corp.*, 481 F3d 110; *Brian Hoxie's Painting Co. v Cato-Meridian Cent. School Dist.*, 76 NY2d 207; *Matter of Diegelman v City of Buffalo*, 28 NY3d 231; *Medicare Beneficiaries Defense Fund v Memorial Sloan-Kettering Cancer Ctr.*, 159 Misc 2d 442; *Sterling v Ackerman*, 244 AD2d 170; *Doe v Roe*, 190 AD2d 463; *Varela v Investors Ins. Holding Corp.*, 81 NY2d 958; *People v Grasso*, 42 AD3d 126, 11 NY3d 64.) IV. No reliance interests militate in favor of an implied right of action to enforce Public Health Law § 18 (2) (e). (*Paramount Pictures Corp. v Allianz Risk Transfer AG*, 31 NY3d 64; *Henry v Isaac*, 214 AD2d 188; *Whitman v American Trucking Assns., Inc.*, 531 US 457; *People v Smith*, 33 NY3d 454.)

Epstein Becker & Green, P.C., New York City (John Houston Pope of counsel), for New York and Presbyterian Hospital, respondent. I. Public Health Law § 18 does not support the implication of a private right of action. (*Burns Jackson Miller Summit & Spitzer v Lindner*, 59 NY2d 314; *Sheehy v Big Flats Community Day*, 73 NY2d 629; *Feder v Staten Is. Hosp.*, 304 AD2d 470; *Brian Hoxie's Painting Co. v Cato-Meridian Cent. School Dist.*, 76 NY2d 207; *Cynthia B. v New Rochelle Hosp. Med. Ctr.*, 60 NY2d 452; *Wheeler v Commissioner of Social Servs. of City of N.Y.*, 233 AD2d 4; *Boltja v Southside Hosp.*, 186 AD2d 774; *Haar v Nationwide Mut. Fire Ins. Co.*, 34 NY3d 224; *Cruz v TD Bank, N.A.*, 22 NY3d 61; *Flagstar Bank, FSB v State of New York*, 114 AD3d 138.) II. Appellant's nonstatutory reasons for implying a private right of action merit no serious consideration by this Court. (*Anheuser-Busch, Inc. v Abrams*, 71 NY2d 327; *Murray v Brancato*, 290 NY 52; *Kuwait Airways Corp. v Ogden Allied Aviation Servs.*, 726 F Supp 1389; *Hub-*

bell v Trans World Life Ins. Co. of N.Y., 50 NY2d 899; *Halpin v Prudential Ins. Co. of Am.*, 48 NY2d 906; *Royal Globe Ins. Co. v Chock Full O’Nuts Corp.*, 86 AD2d 315; *Rocanova v Equitable Life Assur. Socy. of U.S.*, 83 NY2d 603; *Avena v Ford Motor Co.*, 85 AD2d 149; *Desrosiers v Perry Ellis Menswear, LLC*, 30 NY3d 488; *Matter of Pratt v Goord*, 20 AD3d 827.)

Manatt, Phelps & Phillips, LLP, New York City (Ronald G. Blum, Robert D. Belfort and Julian Polaris of counsel), for Greater New York Hospital Association and another, amici curiae. I. Robust remedies guarantee patients access to medical records. (*Matter of Weg v DeBuono*, 269 AD2d 683; *McLean v City of New York*, 12 NY3d 194; *Cruz v TD Bank, N.A.*, 22 NY3d 61; *Stewart v Parkview Hosp.*, 940 F3d 1013; *Sheehy v Big Flats Community Day*, 73 NY2d 629; *Negrin v Norwest Mtge.*, 263 AD2d 39.) II. The legislature knows how to define private remedies when it perceives a need for private enforcement. (*Carpenter v Blake*, 50 NY 696; *Dray v Staten Is. Univ. Hosp.*, 160 AD3d 614; *Gutierrez v Mount Sinai Health Sys., Inc.*, 188 AD3d 418; *Burkhart v People, Inc.*, 129 AD3d 1475; *Brian Hoxie’s Painting Co. v Cato-Meridian Cent. School Dist.*, 76 NY2d 207; *McLean v City of New York*, 12 NY3d 194.) III. Class action litigation such as that proposed here would threaten the already-precarious finances of New York’s health care providers. (*Cruz v TD Bank, N.A.*, 22 NY3d 61.)

Goldberg Sagalla LLP, Buffalo (Christopher J. Belter and James D. Macri of counsel), for Association of Health Information Outsourcing Services, amicus curiae. I. Recognition of a private right of action under Public Health Law § 18 would negate the legislature’s purposeful balance of interests that limited the burden imposed on health care providers. (*Uhr v East Greenbush Cent. School Dist.*, 94 NY2d 32; *Davis v Citibank, N.A.*, 116 AD3d 819; *Matter of Halio v IOD Inc.*, 32 Misc 3d 593; *Matter of Casillo v St. John’s Episcopal Hosp., Smithtown*, 151 Misc 2d 420.) II. An implied private right of action under Public Health Law § 18 would greatly expand the Public Health Law’s scope in contradiction to the legislative scheme. (*Cruz v TD Bank, N.A.*, 22 NY3d 61; *McLean v City of New York*, 12 NY3d 194; *Matter of Mougiannis v North Shore-Long Is. Jewish Health Sys., Inc.*, 25 AD3d 230.)

Holwell Shuster & Goldberg LLP, New York City (Daniel M. Sullivan, Vincent Levy and Meredith J. Nelson of counsel), for Chamber of Commerce of the United States of America, amicus

curiae. I. The U.S. Supreme Court has increasingly declined to imply private rights of action. (*Cort v Ash*, 422 US 66; *Alexander v Sandoval*, 532 US 275; *J. I. Case Co. v Borak*, 377 US 426; *Burns Jackson Miller Summit & Spitzer v Lindner*, 59 NY2d 314; *Touche Ross & Co. v Redington*, 442 US 560; *Transamerica Mortgage Advisors, Inc. v Lewis*, 444 US 11; *Middlesex County Sewerage Authority v National Sea Clammers Assn.*, 453 US 1; *Armstrong v Exceptional Child Ctr., Inc.*, 575 US 320; *Suter v Artist M.*, 503 US 347; *Karahalios v Federal Employees*, 489 US 527.) II. Recent decisions from state high courts similarly caution against implying private rights of action. III. This Court should consider the growing consensus against implying private rights of action where a statute sets forth clear alternative remedies. (*Haar v Nationwide Mut. Fire Ins. Co.*, 34 NY3d 224; *Cruz v TD Bank, N.A.*, 22 NY3d 61; *Halliburton Co. v Erica P. John Fund, Inc.*, 573 US 258.)

OPINION OF THE COURT

SINGAS, J.

The United States Court of Appeals for the Second Circuit has asked this Court whether an implied private right of action for damages exists for violations of Public Health Law § 18 (2) (e), which limits the reasonable charge for paper copies of medical records to \$0.75 per page. Applying our well-settled test for evaluating implied rights of action, we conclude that there is no such private remedy, and answer that question in the negative.

I.

In October 2016, original plaintiff Vicky Ortiz (Ortiz)¹ made a written request to defendant The New York and Presbyterian Hospital (NYPH) for paper copies of her medical records. The request stated that, pursuant to Public Health Law § 18 (2) (e), NYPH was required to provide these records at a reasonable charge not to exceed \$0.75 per page. Nonetheless, NYPH's contractor, defendant Ciox Health LLC's predecessor in interest, billed Ortiz \$1.50 per page for the medical records, which she allegedly paid under protest.

Ortiz subsequently filed a complaint in New York State court alleging, as relevant here, violations of section 18 (2) (e). After defendants removed the action to the United States District

1. Ortiz passed away while this litigation was pending and was substituted by the temporary administrator of her estate.

Court for the Southern District of New York, they ultimately moved for judgment on the pleadings. They argued, among other things, that there is no express private right of action under Public Health Law § 18 (2) (e), and that implying a right of action would be improper. The District Court agreed that no private right of action existed and granted defendants' motions to dismiss (386 F Supp 3d 308, 319 [SD NY 2019]).

On plaintiff's appeal, the Second Circuit concluded that, as to the private right of action issue, there was "insufficient precedent from other New York courts to predict how the Court of Appeals would resolve the issue" (961 F3d 155, 159 [2d Cir 2020]). The court additionally found that the plain language of section 18 did not resolve the issue and that the result turned on a "policy determination that the Court of Appeals is best suited to make" (*id.*). The court accordingly certified the following question: "Does Section 18(2)(e) of the New York Public Health Law provide a private right of action for damages when a medical provider violates the provision limiting the reasonable charge for paper copies of medical records to \$0.75 per page?" (*Id.* at 160.) We accepted the certification (35 NY3d 1001 [2020]).

II.

Public Health Law § 18 was enacted in 1986 and governs "[a]ccess to patient information" (L 1986, ch 497). Before 1986, "most physicians, hospitals and other health care facilities [did] not permit a patient to inspect or obtain copies of records" because these records were "treated as the exclusive property of the provider" (Assembly Introductor's Mem in Support, Bill Jacket, L 1986, ch 497 at 12). The 1986 bill was intended to end this practice, giving "qualified persons" broad, but not unlimited, access to their medical records.² Section 18 accordingly gave patients the legal right to examine and obtain copies of their medical records, tempered by the medical provider's right to refuse access if it would cause substantial harm or if the requested material consisted of the provider's personal notes (*id.*; see Public Health Law § 18 [2]-[3]). Section 18 (2) (e) required medical providers to impose only a *reasonable* charge

2. The original section 18 defined "qualified person" to include various parties who were the subject of the requested medical records or their representatives, and was expanded by a 1992 amendment to include "an attorney representing or acting on behalf of the subject or the subject's estate" (see L 1992, ch 277, § 8; see also Public Health Law § 18 [1] [g]).

for paper copies of medical records but did not dictate a statutory maximum. The allowance of a reasonable charge “mitigate[d] the burden of patient access to provider records” (Mem of NY St Dept of Social Servs, Bill Jacket, L 1986, ch 497 at 27) by imposing “[t]he cost of providing copies of documents [on] the patient” (Assembly Introductor’s Mem in Support, Bill Jacket, L 1986, ch 497 at 13).

The \$0.75 per page maximum charge was added in 1991, and that provision remains in the statute’s current form (*see* L 1991, ch 165, § 49; *see also* Public Health Law § 18 [2] [e]). As a minor amendment in an extensive package of bills designed “to save the State money through structural reform of Medicaid” and other state programs, the \$0.75 ceiling passed without specific legislative commentary beyond the stated purpose of “limit[ing] to seventy-five cents per page the charge that physicians, hospitals, or mental health facilities may impose for copying medical records” (Senate Introductor’s Mem in Support, Bill Jacket, L 1991, ch 165 at 15-16, 18). Neither the 1986 nor the 1991 bill provided any express specific remedy for violations of the reasonable charge requirement.

The Public Health Law does, however, contain overarching enforcement mechanisms for its provisions. Section 12 provides that “any person who violates . . . any term or provision of this chapter . . . for which a civil penalty is not otherwise expressly prescribed by law, shall be liable to the people of the state for a civil penalty of not to exceed two thousand dollars for every such violation” (Public Health Law § 12 [1] [a]).³ This penalty can be “recovered by an action brought by the [C]ommissioner [of Health] in any court of competent jurisdiction” (*id.* § 12 [2]). A matter can also be referred to the Attorney General who may impose the fines detailed in subdivision (1) and, “upon the request of the [C]ommissioner,” must “bring an action for an injunction against any person who violates . . . any term or provision of” the Public Health Law (*id.* § 12 [5]). Finally, the Department of Health, a local board of health, or an individual may file a CPLR article 78 proceeding to enforce

3. At the time Public Health Law § 18 was enacted, a \$1,000 fine was the only available penalty under this subdivision (*see* former Public Health Law § 12 [1]). After the amount of the fine was increased to \$2,000 in 1990, section 12 (1) was amended in 2008 to provide for increased fines for repeated violations and violations resulting in serious physical harm to a patient (*see* L 1990, ch 190, § 268; L 2008, ch 58, § 1, part A, § 16), and is otherwise unchanged.

“[t]he performance of any duty or the doing of any act enjoined, prescribed or required by” the Public Health Law (*id.* § 13).

In addition to these enforcement mechanisms, the legislature has created tailored remedial schemes throughout the Public Health Law. Section 18 itself provides for special proceedings to resolve disputes regarding whether a valid basis exists for a medical provider to deny access to a patient’s medical records (*see id.* § 18 [3] [f]; *see also* § 18 [3] [d]-[e]). Moreover, in another provision enacted the year before the \$0.75 limit, the legislature specifically required physicians who overcharged Medicare patients to refund “the amount collected in excess of the limitations” on physician’s services (*see id.* § 19 [4]; L 1990, ch 572).

III.

As both the District Court and the Second Circuit observed, the Public Health Law contains no express private plenary action for violations of section 18 (2) (e). In New York, where a statute does not make express provision for a private remedy, such a remedy may be had “only if a legislative intent to create such a right of action is ‘fairly implied’ in the statutory provisions and their legislative history” (*Brian Hoxie’s Painting Co. v Cato-Meridian Cent. School Dist.*, 76 NY2d 207, 211 [1990]). To evaluate whether the legislative intent favors such implied private rights of action, we have identified three relevant factors: “(1) whether the plaintiff is one of the class for whose particular benefit the statute was enacted; (2) whether recognition of a private right of action would promote the legislative purpose; and (3) whether creation of such a right would be consistent with the legislative scheme” (*Sheehy v Big Flats Community Day*, 73 NY2d 629, 633 [1989], citing *CPC Intl. v McKesson Corp.*, 70 NY2d 268, 276-277 [1987], and *Burns Jackson Miller Summit & Spitzer v Lindner*, 59 NY2d 314, 329-331 [1983]). “Critically, all three factors must be satisfied before an implied private right of action will be recognized” (*Haar v Nationwide Mut. Fire Ins. Co.*, 34 NY3d 224, 229 [2019]).

The third factor is the most important and typically turns on the legislature’s choice to provide one particular enforcement mechanism to the exclusion of others—a choice that should be respected by the courts (*see Cruz v TD Bank, N.A.*, 22 NY3d 61, 70-71 [2013]; *Sheehy*, 73 NY2d at 636). In that vein, we have held that “public and private avenues of enforcement do not always harmonize with one another. . . . Both may

ultimately, at least in theory, promote statutory compliance, but they are born of different motivations and may produce a different allocation of benefits owing to differences in approach” (*Uhr v East Greenbush Cent. School Dist.*, 94 NY2d 32, 40 [1999]).

Indeed, the presence of alternative enforcement mechanisms is frequently determinative. In *CPC Intl. v McKesson Corp.*, we considered whether General Business Law § 352-c, which criminalizes fraudulent and deceptive practices in connection with the distribution and sale of securities, contained an implied right of action (*see* 70 NY2d 268). Citing the Attorney General’s broad authority to enforce the General Business Law’s provisions on behalf of the State by investigating, obtaining civil damages and injunctive relief, creating a receivership, subpoenaing witnesses, and instituting criminal prosecution (*see* General Business Law §§ 352, 353, 353-a, 354, 358) we held that “the specific purpose of the statute was to create a statutory mechanism in which the Attorney-General would have broad regulatory and remedial powers to prevent fraudulent securities practices” (*CPC Intl.*, 70 NY2d at 277). Accordingly, even though we agreed that a private right of action could “act as a further deterrent” by “reducing the expectancy of reaping illicit profits from fraudulent securities practices,” we concluded that a private right of action was “not consistent with the legislative scheme” (*id.* at 276-277).

In *Sheehy v Big Flats Community Day*, at issue was a putative implied private right of action for violating the Penal Law provisions prohibiting the sale of alcohol to minors (*see* 73 NY2d at 631). We concluded that the first two factors were satisfied. As to the third, however, we explained that a related statute provided for civil liability in many cases of injury caused by the negligent or unlawful dispensation of alcohol. Noting that this latter provision had been long held not to authorize recovery in favor of the individual whose intoxication resulted from the unlawful sale, we explained that when the legislature has “made express provision for civil remedy, albeit a narrower remedy than the plaintiff might wish, the courts should ordinarily not attempt to fashion a different remedy, with broader coverage, on the basis of a different statute . . . address[ing] the same wrong” (*id.* at 636). Therefore, we concluded that no private right of action on behalf of the intoxicated individual could be implied.

More recently, in *Cruz v TD Bank, N.A.*, we considered whether a law limiting the restraint of private bank account

funds contained an implied private right of action (*see* 22 NY3d at 65-68). The parties in *Cruz* agreed that the first two *Sheehy* factors were satisfied (*id.* at 71-72). Nonetheless, we concluded that the existence of other remedies, namely that the account holder could bring a special summary proceeding to adjudicate disputes over the ownership of property, demonstrated that “there is no basis to suppose that the legislature expected that injured judgment debtors would commence complicated and lengthy plenary proceedings to vindicate their rights” (*id.* at 77). Relying on the third factor, we thus held that the statute did not create a private right of action (*see id.* at 78-79).

We have consistently reached the same conclusion in cases presenting similar circumstances: where a statutory scheme contains private or public enforcement mechanisms, this demonstrates that the legislature considered and decided what avenues of relief were appropriate (*see e.g. Schlessinger v Valspar Corp.*, 21 NY3d 166, 171 [2013] [concluding that the legislature intended to leave enforcement of law limiting termination of maintenance agreements to the government where provision provided for civil penalties recoverable by the Attorney General]; *Metz v State of New York*, 20 NY3d 175, 180-181 [2012] [law providing for criminal penalties and fines on vessel owners demonstrated intent not to impose private right of action]; *McLean v City of New York*, 12 NY3d 194, 200-201 [2009] [statute governing child care licensing requirements did not create private right of action where statute provided for suspension of licenses and registrations for violations and imposed civil penalties for such violations]).

IV.

Applying the *Sheehy* factors here, we conclude that no private cause of action exists for violations of Public Health Law § 18 (2) (e). The first factor is satisfied. Ortiz is clearly part of a class that section 18 was designed to protect. The original law and its subsequent amendment were intended to increase patient access to medical records, and prevent medical providers from overcharging patients for copies of their medical records (*see* Assembly Introducer’s Mem in Support, Bill Jacket, L 1986, ch 497 at 12; Senate Introducer’s Mem in Support, Bill Jacket, L 1991, ch 165 at 18). NYPH’s argument that section 18 balances protections for both medical providers and patients alike does not change that the \$0.75 cap, at issue here, was meant to limit costs to patients for paper copies of their medical records.

Turning to the second factor, it is unclear whether a private right of action would promote the legislative purpose. “The second prong is itself a two-part inquiry. We must first discern what the Legislature was seeking to accomplish when it enacted the statute, and then determine whether a private right of action would promote that objective” (*Uhr*, 94 NY2d at 38, citing *Burns Jackson*, 59 NY2d at 330). As the legislative history reveals, the purpose of section 18 was to increase patient access to medical records (Assembly Introducer’s Mem in Support, Bill Jacket, L 1986, ch 497 at 12). On one hand, an individual plenary right of action would not directly advance this legislative goal because such an action would only arise when a patient has already overpaid and obtained access to the medical records. Indeed, where an overcharge actually prevents a patient from obtaining their medical records, the patient may bring an article 78 proceeding to enforce the Public Health Law’s mandate (see Public Health Law § 13; see also e.g. *Matter of Halio v IOD Inc.*, 32 Misc 3d 593 [Sup Ct, Nassau County 2011] [petition to compel medical records at no more than \$0.75 per page]). On the other hand, the threat of private litigation could indirectly serve the legislative goal by acting as a deterrent to medical providers and vendors from overcharging in the first instance, thereby increasing access without the need to bring an article 78 proceeding to enforce a reasonable charge (cf. *Sheehy*, 73 NY2d at 634). But given the substantial fines the Commissioner and the Attorney General can impose, the additional deterrent effect of a private right of action is difficult to ascertain.⁴

Even assuming the second factor is satisfied, though, the final factor—consistency with the legislative scheme—is clearly

4. The concurrence’s proposed inquiry—whether the legislature intended to create or deny the argued-for remedy (concurring op at 367-368)—is the ultimate question that each factor in the three-prong test seeks to evaluate and would therefore subsume the other factors, each of which examines a distinct “indication[] of the legislature’s intent” (concurring op at 369; see *Brian Hoxie’s Painting Co.*, 76 NY2d at 211). Moreover, the concurrence cites (concurring op at 367-368) but disregards decades of this Court’s jurisprudence consistently analyzing the second factor (see e.g. *Haar*, 34 NY3d at 231 [second factor not satisfied because it “would likely undermine the statutory purpose of (encouraging reporting of unprofessional conduct) by increasing reporters’ exposure to liability”]; *Uhr*, 94 NY2d at 39-40 [second factor satisfied because “risk of liability for failure to screen” students for scoliosis would promote early detection of that condition]; *Sheehy*, 73 NY2d at 634 [second factor satisfied because “permitting civil damage suits . . . would . . . further (the statute’s) deterrent goal”]).

not. As in *CPC Intl.*, *Sheehy*, and *Cruz*, enforcement mechanisms already exist for section 18. First, the Commissioner and Attorney General's ability to impose substantial fines against providers that overcharge for copies of records acts as a deterrent (see *Uhr*, 94 NY2d at 40; see also *Mark G. v Sabol*, 93 NY2d 710, 720 [1999]). Second, the Attorney General's duty to seek injunctive relief upon the request of the Commissioner provides a legal mechanism for ending any widespread practices violating section 18. Finally, an individual patient's ability to commence an article 78 proceeding to enforce the law's provisions provides recourse for individual patients who are unable to access their records due to illegally high costs.

Additionally, the legislature affirmatively provided mechanisms for enforcing other related provisions of the Public Health Law, but did not here. For example, to ensure access to medical records pursuant to section 18, the legislature detailed a robust enforcement mechanism involving an appeal to a special panel from a provider's denial of access to records, and a subsequent article 78 proceeding to dispute the panel's determination (Public Health Law § 18 [3] [e], [f]). Furthermore, in section 19, which imposed reasonable limits for charges for services to Medicare patients and was enacted almost contemporaneously with the \$0.75 cap, the legislature explicitly provided for a refund in the case of an overcharge (*id.* § 19 [4]). That the legislature chose not to provide a similar remedy for overcharging in section 18 is further evidence that it believed that the Public Health Law's existing remedies would be adequate.

A plenary private right of action would be inconsistent with the statutory scheme surrounding the \$0.75 cap (*cf.* *CPC Intl.*, 70 NY2d at 276-277). Therefore, the third *Sheehy* factor is not satisfied, and the requisite legislative intent for an implied private right of action is not present.

We thus conclude that no private right of action lies for violations of Public Health Law § 18 (2) (e). Accordingly, the certified question should be answered in the negative.

WILSON, J. (concurring). I concur in the majority's answer to the certified question and in most of the majority's analysis, but write separately to clarify the proper analysis under the second factor—"whether recognition of a private right of action would promote the legislative purpose"—in the three-factor test we use to consider whether a statute contains an implied private right of action (*Sheehy v Big Flats Community Day*, 73

NY2d 629, 633 [1989]). In our case law, “promote the legislative purpose” is shorthand for “what indications there are in the statute or its legislative history of an intent to create (or conversely to deny) such a remedy” (*Burns Jackson Miller Summit & Spitzer v Lindner*, 59 NY2d 314, 325 [1983]; *CPC Intl. v McKesson Corp.*, 70 NY2d 268 [1987]). The majority’s analysis creates slippage in the meaning of the second factor, which, although not meaningful for resolving this appeal, will be in some case, someday. We must “be very careful to guard against” legal analysis “so loosely applied . . . as to threaten the integrity of the rule itself” (*Stowell v Greenwich Ins. Co.*, 163 NY 298, 305 [1900]).

I.

A brief review of the history of the three-factor test in our jurisprudence reveals that an inquiry into “what indications there are in the statute or its legislative history of an intent to create (or conversely to deny) such a remedy” is the proper analysis under the second *Sheehy* factor.

Our three-factor test was derived from the seminal case of *Cort v Ash* (422 US 66 [1975]). In that case, the Court announced that four factors are relevant for “determining whether a private remedy is implicit in a [federal] statute not expressly providing one”:

“First, is the plaintiff ‘one of the class for whose *especial* benefit the statute was enacted,’—that is, does the statute create a federal right in favor of the plaintiff? *Second, is there any indication of legislative intent, explicit or implicit, either to create such a remedy or to deny one?* Third, is it consistent with the underlying purposes of the legislative scheme to imply such a remedy for the plaintiff? And finally, is the cause of action one traditionally relegated to state law, in an area basically the concern of the States, so that it would be inappropriate to infer a cause of action based solely on federal law?” (*id.* at 78 [citations omitted and emphasis added]).

When conducting the analysis under the second factor, the Court looked to the “legislative history” for whether there was any “indication” of an “intention to create a private cause of action,” noting that “an explicit purpose to deny such cause of action would be controlling” (*id.* at 82 [emphasis omitted]).

Although the “legislative history of a statute that does not expressly create or deny a private remedy will typically be equally silent or ambiguous on the question,” the inquiry under the second factor is to search for “an intention to create a private cause of action” (*Cannon v University of Chicago*, 441 US 677, 694 [1979] [emphasis omitted], quoting *Cort*, 422 US at 82; see also 13A Wright & Miller, Federal Practice and Procedure § 3531.6 [3d ed] [“Under that former view, courts thought they must provide any remedies necessary to make effective a statute’s purpose. *Cort v Ash*, however, abandoned that view”]).

In 1983, we adopted the first three factors from *Cort v Ash* in a case called in *Burns Jackson Miller Summit & Spitzer v Lindner* (59 NY2d 314 [1983]). (The fourth *Cort* factor—whether the issue is one relegated to state law—is irrelevant to a state court’s decision about a state statute.) Citing *Cort v Ash* for each of the three factors, we wrote:

“Whether a private cause of action was intended will turn in the first instance on whether the plaintiff is ‘one of the class for whose especial benefit the statute was enacted’ (*Motyka v City of Amsterdam*, 15 NY2d 134, 139; *Cort v Ash*, 422 US 66, 78; *Texas & Pacific Ry. Co. v Rigsby*, 241 US 33, 39). But the inquiry does not, as plaintiffs suggest, end there, for to do so would consider but one of the factors involved in the Legislature’s determination. Important also are *what indications there are in the statute or its legislative history of an intent to create (or conversely to deny) such a remedy* and, most importantly, the consistency of doing so with the purposes underlying the legislative scheme (*Cort v Ash*, *supra*, at p 78 . . .)” (59 NY2d at 325 [emphasis added]).

At issue in *Burns Jackson* was whether the Taylor Law contained a private right of action for damages actions brought by persons injured by strikes by public employees (*id.* at 324). When analyzing the Taylor Law under the second factor, we considered Taylor Committee reports and found that the legislature had “explicitly directed” that, when assessing penalties, the Public Employment Relations Board and the courts must “consider the union’s ability to pay” and “refused to enact” a deterrent provision that would have allowed for the decertification of unions as a penalty (*id.* at 330). Given this

legislative history, we determined that “the Legislature must be deemed to have negated the unlimited liability, not only to third parties but to public employers as well, and the consequent demise of public employee unions, that would result from recognition of a new statutory cause of action” (*id.* at 330-331).

Four years later, in *CPC Intl. v McKesson Corp.*, we again analyzed whether to find an implied right of action—this time, in a provision of a federal statute, section 17 (a) of the Securities Act of 1933 (70 NY2d 268 [1987]). We considered the “difficult analytical problem . . . presented by the second *Cort v Ash* inquiry: whether there is ‘any indication of legislative intent, explicit or implicit, either to create such a remedy or to deny one’ under section 17 (a)” (*id.* at 281). Based on the legislative history—which contained “explicit indications that it was not intended to create a private cause of action”—and the structure of the Securities Act of 1933—which “contains express civil remedies . . . in specific sections”—we concluded that Congress had not intended to create a private right of action (*id.* at 281-282).

Then, two years later in *Sheehy v Big Flats Community Day* (73 NY2d 629 [1989]), we summarized our prior decisions in *Burns Jackson* and *CPC Intl.* as follows:

“Of central importance in this inquiry is the test set forth in *Burns Jackson Miller Summit & Spitzer v Lindner* (59 NY2d 314; *see also*, *CPC Intl. v McKesson Corp.*, 70 NY2d 268). Under that test, the essential factors to be considered are: (1) whether the plaintiff is one of the class for whose particular benefit the statute was enacted; (2) *whether recognition of a private right of action would promote the legislative purpose*; and (3) whether creation of such a right would be consistent with the legislative scheme (*CPC Intl. v McKesson Corp.*, *supra*, at 276-277; *Burns Jackson Miller Summit & Spitzer v Lindner*, *supra*, at 329-331)” (73 NY2d at 633-634 [emphasis added]).

Although we used the shorthand of “promote the legislative purpose,” we did not purport to overrule our prior precedents or alter them in any way. The analysis remained the same. Under that factor, we considered the legislature’s intention to create or deny the argued-for remedy: “[i]n making the provision of alcohol to individuals under the legal purchase age a

crime, the Legislature plainly *intended* to create a deterrent for those who might, intentionally or carelessly, engage in the proscribed conduct. Obviously, permitting civil damage suits for injuries arising from the same conduct would also further this deterrent goal” (*id.* at 634 [emphasis added]).

II.

The *Sheehy* formulation of the language we use to describe the second factor has carried through to today, but the analysis has always remained that originally announced in *Burns Jackson* and *CPC Intl.* (e.g. *Uhr v East Greenbush Cent. School Dist.*, 94 NY2d 32, 38 [1999] [“The second prong is itself a two-part inquiry. We must first discern what the Legislature was seeking to accomplish when it enacted the statute, and then determine whether a private right of action would promote that objective”], citing *Burns Jackson*; *Haar v Nationwide Mut. Fire Ins. Co.*, 34 NY3d 224, 230-231 [2019] [“Regarding the second factor . . . nothing in either the text or legislative history evinces legislative concern that (the Office of Professional Medical Conduct) was receiving too many reports”]). Both *Cort v Ash* and our subsequent case law embracing *Cort* expressly state that the analysis under the second *Cort/Sheehy* factor is to search the legislative history for an explicit or implicit indication as to whether the legislature intended to create a private right of action (*Cort*, 422 US at 78; *CPC Intl.*, 70 NY2d at 281). An intention to create a private cause of action may be explicit in the legislative history, even if it is not explicit in the statutory text itself (see e.g. *Cannon v University of Chicago*, 441 US 677, 699-701 [1979] [“The language of this provision explicitly presumes the availability of private suits to enforce Title VI in the education context. For many such suits, no express cause of action was then available; hence Congress must have assumed that one could be implied under Title VI itself. That assumption was made explicit during the debates on § 718” (footnotes omitted)]). An intention to deny a private right of action could also be explicit (see e.g. *Middlesex County Sewerage Authority v National Sea Clammers Assn.*, 453 US 1, 17-18 [1981] [“(T)he Reports and debates provide affirmative support for the view that Congress intended the limitations imposed on citizen suits to apply to all private suits under these Acts. . . . Where, as here, Congress has made clear that implied private actions are not contemplated, the courts are not authorized to ignore this legislative judgment”]).

The majority, however, rather than examining the legislative history and text for specific indications of the legislature's intent, conducts a high-level discussion of the legislature's goal of increasing patient access to medical records in enacting of Public Health Law § 18 (2) (e) and whether "an individual plenary right of action" would advance that goal (majority op at 363). That analysis is problematic for two reasons. First, the majority's new formulation of the analysis under factor two blends with the analysis under factor three—"whether creation of such a right would be consistent with the legislative scheme" (*Sheehy*, 73 NY2d at 633)—so as to render factor three redundant. Second, the majority discards our well-settled analysis under factor two without explanation, but "[w]e do not overrule important authorities *sub silentio*" (*Pratt Inst. v City of New York*, 183 NY 151, 161 [1905]). The majority's complaint that my approach to the second factor would "subsume the other factors" (majority op at 363 n 4) is puzzling, because that approach is precisely the test from *Cort v Ash*, adopted unchanged by our Court, and intelligible to the more than 2,000 federal decisions that have managed to understand it (*see* 13A Wright & Miller, Federal Practice and Procedure § 3531.6).

III.

In this case, it is unclear whether a private right of action would "promote the legislative purpose" (*Sheehy*, 73 NY2d at 633). Neither the statute itself nor the legislative history contains an "explicit statement as to either exclusivity or intent to create a private cause of action" (*Burns Jackson*, 59 NY2d at 325). Likewise, the legislative history contains no indication that the legislature intended to create a private right of action or that claims based on the statute could or could not be brought under existing common or statutory law. Absent a clearer demonstration of a legislative intent, I would conclude that the second factor does not cut either way (which is where the majority winds up, albeit via a different analysis). Given that even a proper analysis under factor two is not dispositive, the majority's misstatement of the law does not affect the outcome here. Nevertheless, I write separately to emphasize the correct understanding of the second factor as announced in *Cort*, *Burns Jackson* and *CPC Intl.* and to note the slippage in today's opinion, so that the proper test, not the loose shorthand, will be outcome determinative when material to a future case.

Judges RIVERA, FAHEY and CANNATARO concur; Judge WILSON concurs in result in an opinion; Chief Judge DiFIORE and Judge GARCIA took no part.

Following certification of a question by the United States Court of Appeals for the Second Circuit and acceptance of the question by this Court pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and record submitted, certified question answered in the negative.

[179 NE3d 646, 157 NYS3d 833]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v WIL-
LIAM A. WILKINS, Also Known as MUGSY, Appellant.

Argued April 28, 2021; reargued November 17, 2021; decided December 14, 2021

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered August 22, 2019. The Appellate Division modified, on the law, a judgment of the Supreme Court, Monroe County (Francis A. Affronti, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree, robbery in the first degree (three counts) and attempted robbery in the first degree (two counts). The modification consisted of directing that the sentence imposed on count one of the indictment shall run concurrently with the consecutive sentences imposed on the remaining counts. The Appellate Division affirmed the judgment as modified.

People v Wilkins, 175 AD3d 867, affirmed.

HEADNOTE

Crimes — Right to be Present at Trial — Voir Dire Sidebars — Waiver

In a criminal prosecution, defendant was not entitled to a new trial based on his absence from a sidebar conference involving a prospective juror who was ultimately struck when codefendant exercised a peremptory strike, where defendant explicitly waived his right pursuant to *People v Antommarchi* (80 NY2d 247 [1992]) to be present at sidebars in the middle of the voir dire and acquiesced to the continued voir dire of the prospective juror in open court after his waiver. In determining whether attendance at sidebar requires a defendant's presence the court's consideration centers on whether the defendant might have provided valuable input regarding their attorney's discretionary decision to excuse venire members or consent to their excusal. The *Antommarchi* violation was addressed by the court at a time when any error in the ongoing proceeding as to the juror was easily curable. Defendant immediately and explicitly waived his *Antommarchi* rights, a demonstration that he trusted his attorney to convey to him the information imparted at that sidebar without requiring his presence. He made no protest as to his absence from the pre-waiver sidebar conference with the juror, despite being informed of the right and invited to object. Defendant was indisputably present as the court and then his counsel conducted further voir dire of the juror, giving defendant ample opportunity to assess her demeanor and provide meaningful input as to his view of her suitability, satisfying the fundamental objective of the holding in *Antommarchi*. Defendant was then given the opportunity to provide meaningful input when he convened privately with his counsel, his codefendant and codefendant's counsel to discuss any challenges to the jury panel. The core purpose of *Antommarchi*

was fulfilled and the proceedings required no further remedy by the trial court.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Criminal Law §§ 978, 980, 984; AM JUR 2d Estoppel and Waiver § 203.

CARMODY-WAIT 2d Selection and Impanelment of Jury § 55:32; CARMODY-WAIT 2d Conduct of Trial, in General §§ 190:120–190:122, 190:124, 190:134, 190:137.

LAFAVE, ET AL., CRIMINAL PROCEDURE (4th ed) §§ 22.3, 24.2.

NY JUR 2d Criminal Law: Procedure §§ 2541, 2547–2548, 2557, 2559; NY JUR 2d Jury § 89.

ANNOTATION REFERENCE

Validity of jury selection as affected by accused's absence from conducting of procedures for selection and impaneling of final jury panel for specific case. 33 ALR4th 429.

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Query: (present /s trial /p waiv!) & ("voir dire" /p sidebars)

POINTS OF COUNSEL

Easton Thompson Kasperek Shiffrin LLP, Rochester (Brian Shiffrin of counsel), and *Timothy P. Donaher, Public Defender*, Rochester (*David R. Juergens* of counsel), for appellant. I. William A. Wilkins's absence from a substantive, sidebar conference with prospective juror CK violated his right to be present for all material stages of the trial and requires reversal because the record establishes that CK was excused by a shared, defense peremptory challenge, *not* by an independent strike controlled solely by counsel for the jointly-tried codefendant. (*People v Sprowal*, 84 NY2d 113; *People v Morales*, 80 NY2d 450; *People v Mitchell*, 80 NY2d 519; *People v Antommarchi*, 80 NY2d 247; *People v Maher*, 89 NY2d 318; *People v Roman*, 88 NY2d 18; *People v Sloan*, 79 NY2d 386; *People v Velasquez*, 1 NY3d 44; *People v Moyer*, 292 AD2d 793; *People v Cook*, 156 Misc 2d 140.) II. The right-to-be-present violation for prospective juror CO became reversible error when, at the end of the sidebar conference, CO was excused "on consent" rather than

“for cause.” (*People v Velasquez*, 1 NY3d 44; *People v Maher*, 89 NY2d 318; *People v Feliciano*, 88 NY2d 18; *People v Davidson*, 89 NY2d 881; *People v Wilson*, 88 NY2d 363; *People v Chambers*, 97 NY2d 417; *People v Cohen*, 302 AD2d 904.) III. The trial court’s initial delivery of an unrequested, “no adverse inference” instruction violated the clear mandate of CPL 300.10 (2) and became *per se* reversible error when the trial court, *over defense objection* (two mistrial motions), repeated the unwanted instruction for a second time during jury selection and for a third time during final jury instructions. (*People v DeGina*, 72 NY2d 768; *People v Sterling*, 210 AD2d 358; *People v Boyd*, 53 NY2d 912; *People v Koberstein*, 66 NY2d 989; *People v Travis*, 134 AD2d 868; *People v Vereen*, 45 NY2d 856; *People v Finch*, 23 NY3d 408; *People v Payne*, 3 NY3d 266; *People v Damiano*, 87 NY2d 477; *People v Britt*, 43 NY2d 111.) IV. During jury selection, the trial court should have granted defense counsel’s request for a mistrial based upon its erroneous, sua sponte decision to inform the prospective jurors that William A. Wilkins, despite appearing in street clothes, was actually an incarcerated inmate. (*People v Roman*, 35 NY2d 978; *People v Jenkins*, 88 NY2d 948; *Estelle v Williams*, 425 US 501; *People v Connor*, 137 AD2d 546; *People v Machicote*, 251 AD2d 684; *People v Gonzalez*, 55 AD2d 656; *People v Randolph*, 18 AD3d 1013; *People v Estevez*, 155 AD3d 650; *People v Mercado*, 157 Misc 2d 1; *People v Balkum*, 149 AD2d 976.)

Sandra Doorley, District Attorney, Rochester (Scott Myles of counsel), for respondent. I. The defendant’s absence from sidebar conferences during jury selection does not require a new trial. (*People v Antommarchi*, 80 NY2d 247; *People v Vargas*, 88 NY2d 363; *People v Spotford*, 85 NY2d 593; *People v Anderson*, 223 AD2d 547; *People v Roman*, 88 NY2d 18; *People v Camacho*, 90 NY2d 558; *People v Drake*, 138 AD3d 1396.) II. The trial court did not commit reversible error when it gave the jury a “no adverse inference” instruction. (*People v Crimmins*, 36 NY2d 230; *People v Koberstein*, 66 NY2d 989; *People v Flocker*, 223 AD2d 451; *People v Robinson*, 1 AD3d 985.) III. The trial court informing the jury of the defendant’s custody status did not deprive him of a fair trial. (*People v Gamble*, 18 NY3d 386; *People v Vargas*, 88 NY2d 363; *People v Harper*, 47 NY2d 857; *People v Spears*, 140 AD3d 1629; *People v Pressley*, 156 AD3d 1384; *People v Crimmins*, 36 NY2d 230; *People v Clyde*, 18 NY3d 145.)

OPINION OF THE COURT

Chief Judge DiFiore.

When a defendant is not present at a sidebar conference wherein the court actively solicits answers from a prospective juror which relate to issues of bias or hostility, *People v Antomarchi* (80 NY2d 247 [1992]) requires a new trial in the absence of defendant's waiver of the right to be present. Defendant's protest in the trial court is generally not required. The purpose of the *Antomarchi* rule, as derived from CPL 260.20, is to provide defendant the opportunity to personally assess the juror's facial expressions and demeanor in order to provide meaningful input on the prospective juror's retention or exclusion from the jury. The question presented on this appeal is whether defendant, having explicitly waived his *Antomarchi* right to be present at sidebars in the middle of the voir dire proceeding involving a prospective juror who was ultimately struck when codefendant exercised a peremptory strike, is entitled to a new trial based on his absence from a pre-waiver sidebar conference with that same prospective juror. We conclude that the claimed error, under these unique circumstances, required defendant's protest in the trial court given his acquiescence in the post-waiver voir dire of the prospective juror after being invited to express any objection that he may have had regarding the pre-waiver sidebar conference. We therefore affirm.

I.

Early one morning in August 2012, a group of customers formed a line outside a retail store to purchase newly released sneakers. Defendant and codefendant, armed with a gun, approached the line of waiting customers and robbed the victims of their wallets, keys, cellphones and jewelry. One person resisted the robbers' efforts and was shot and killed during the ensuing struggle. The assailants fled the scene. Defendant and codefendant were subsequently arrested and charged by indictment with murder in the second degree, three counts of robbery in the first degree and two counts of attempted robbery in the first degree for their participation in the crimes. They proceeded to a joint trial.

During jury selection, the court conducted a voir dire in open court of each of the first 14 prospective jurors, including juror 8, hereinafter referred to as CK. Before a recess and in response to the court's query whether any of the prospective

jurors had anything to add to the proceedings, CK asked to approach the bench. It is undisputed that defendant had a right to be present at the sidebar with prospective juror CK, wherein she related that her nephew was a defendant in a federal drug prosecution and the court made inquiry of her general bias or hostility with regard to her nephew's unrelated criminal case. Defendant, although represented by counsel, was not present during this sidebar conference, remaining seated at counsel table. At the conclusion of the sidebar conference with counsel, CK was returned to the jury panel for the continuation of the court's voir dire.

The prospective jurors exited the court for a lunch recess and defendant's counsel moved for a mistrial and for a new jury panel on two grounds. He first argued that defendant was prejudiced by the court's instruction that the jurors should not draw any adverse inference regarding his client's right not to testify because he did not request that instruction. He also objected to the court instructing the panel not to speculate as to the presence of sheriff's deputies sitting at the defense table. The court denied the motion and recessed for lunch.

After the luncheon recess, the People alerted the court that it had failed to advise defendant and codefendant of their *Antommarchi* rights and obtain a waiver of their right to be present at the sidebars. The People requested that the court review the right with both defendants and ask them if they were willing to waive their presence at the conferences, offering to give brief details of what had occurred at the prior sidebar conferences. The court, with both defendants present, advised the following:

"I always give them the opportunity to appear with their clients, if they wish. On the other hand, if they wish to waive their right to be present then you can do that, as well. As to the four separate bench conferences,¹ the defendants remained at the counsel table with the prosecutors and the

1. Four sidebar conferences were held before the court advised defendant of his *Antommarchi* rights. The court conducted sidebars with prospective jurors LD and CO before conducting the sidebar with CK. After speaking with CK, the court conducted a final sidebar with prospective juror MC. These sidebar discussions focused on the qualifications of each prospective juror relative to certain personal issues they raised. During their respective sidebars, both LD and CK unequivocally stated that they could be fair and unbiased and both were returned to the panel. Eventually, the People

(n. cont'd)

defense attorneys present. Is that still the intention of each of the clients, [defense counsel]?”

After conferring with defendant, counsel acknowledged that the court had accurately described what had taken place thus far and explicitly waived defendant’s right to be present at any sidebar unless the court was notified otherwise. Defendant confirmed the waiver. At that juncture, the prospective jurors returned to the courtroom and jury selection resumed with the attorneys conducting the voir dire, each asking their own questions collectively and individually of the prospective jurors, including CK. Defense counsel even constructed a hypothetical that incorporated CK.

At the conclusion of the voir dire of this first panel, defendant, his counsel, codefendant and codefendant’s counsel retired to a separate room to discuss their joint use of peremptory challenges (CPL 270.25 [3]). Upon their return to open court, codefendant’s counsel peremptorily challenged prospective juror CK and defendant did not object. During the remainder of jury selection, defendant never requested to be present at any sidebars. Defendant was convicted as charged.²

On appeal, the Appellate Division modified the sentence and, as modified, affirmed the judgment, with one Justice dissenting (175 AD3d 867 [4th Dept 2019]). The Court rejected defendant’s claim that his *Antommarchi* rights were violated due to his absence from the sidebar conference with respect to prospective juror CK, finding that “the record establishe[d] that the court directed each defense counsel to independently exercise peremptory challenges, without input from the other defense counsel,” a violation of CPL 270.25 (3), and codefendant’s “counsel exercised a peremptory challenge to the second prospective juror [CK], before defendant’s defense counsel had any opportunity to consider whether to challenge that prospec-

peremptorily challenged LD and codefendant peremptorily challenged CK. Jurors CO and MC were excused by the court for cause and on consent of the attorneys. On this appeal, defendant also takes issue with his absence from the sidebar with CO but no *Antommarchi* violation occurred in that instance. CO, who presented a conflict of interest, was excused by the court for cause and, thus, defendant’s absence had no impact on that result (see *People v Roman*, 88 NY2d 18, 28 [1996]).

2. Codefendant’s conviction was reversed on appeal (*People v McKenzie-Smith*, 187 AD3d 1668 [4th Dept 2020]) and the People’s application for leave to appeal to this Court was denied with leave to renew within 30 days of our decision in this case (36 NY3d 1099 [2021]).

tive juror” (175 AD3d at 868-869). Defendant’s remaining arguments were rejected.³

The dissenting Justice voted to reverse and grant a new trial based on defendant’s absence from the sidebar conference involving CK. The dissent observed that there was no support in the record for the majority’s conclusion that CPL 270.25 (3) was not followed at trial—instead, the jointly tried defendants shared peremptory challenges which could be exercised only by majority vote. Because defendant was entitled to have input into codefendant’s peremptory challenge of CK, the dissent concluded that the *Antommarchi* error was prejudicial, and warranted a new trial (*see* 175 AD3d at 871-872). The dissenting Justice granted defendant’s application for leave to appeal to this Court.

II.

In New York, defendants have a statutory right to be personally present at sidebar conferences involving the voir dire “of prospective jurors concerning their ability to weigh the evidence objectively” (*People v Davidson*, 89 NY2d 881, 882 [1996]; *Antommarchi*, 80 NY2d at 250). A defendant’s presence at sidebar discussions involving prospective jurors on certain subjects is “critical” because it allows a defendant the opportunity “to assess the jurors’ facial expressions, demeanor and other subliminal responses as well as the manner and tone of their verbal replies so as to detect any indication of bias or hostility” (*People v Sloan*, 79 NY2d 386, 392 [1992]). In determining whether attendance at sidebar requires a defendant’s presence, the court’s consideration centers on whether the “defendant might have provided valuable input regarding his attorney’s discretionary decision to excuse” venire members or consent to their excusal (*Davidson*, 89 NY2d at 883). However, the statutory right to be present alongside defense counsel at a sidebar conference can be waived “by a voluntary, knowing and intelligent choice” (*People v Vargas*, 88 NY2d 363, 375-376 [1996]), and the waiver can be either express or

3. We agree with the Appellate Division that any error regarding the trial court’s unrequested instruction to the jury to draw no adverse inference from defendant’s choice not to testify (*see* CPL 300.10 [2]) was harmless. We further agree that defendant’s claim that he was prejudiced by the court’s instruction to draw no adverse inference from the deputies sitting at the defense table was meritless (*see People v Gamble*, 18 NY3d 386, 396-397 [2012]).

implied (see *People v Spotford*, 85 NY2d 593 [1995]; *People v Flinn*, 22 NY3d 599 [2014]). The form of the waiver is “flexible” and can be made by counsel (see *Flinn*, 22 NY3d at 602; *Vargas*, 88 NY2d at 376).

The right conferred by *Antommarchi* is not predicated upon defendant’s constitutional right to confront witnesses (see *People v Mitchell*, 80 NY2d 519, 527-528 [1992]) or to be present during proceedings that involve factual matters for which the defendant possesses peculiar knowledge of the salient facts, such as *Sandoval* or *Ventimiglia* hearings (*People v Dokes*, 79 NY2d 656, 661 [1992]; *Spotford*, 85 NY2d at 597). Nor is there any constitutional infirmity in the exclusion of a defendant from a sidebar conference (see *Mitchell*, 80 NY2d at 527). Rather, the right is statutory, contained in CPL 260.20, and ensures a defendant’s right to personal presence during jury selection for the purpose of assessing a prospective juror’s demeanor in order to have meaningful input about that juror’s bias or hostility. Our holding in *Antommarchi* “represented a dramatic shift away from [the] customary and established procedure” of having defense counsel appear alone at sidebars and, as a result, was held not to be retroactive (80 NY2d at 524-525). However, prospectively, *Antommarchi* violations generally may be raised on appeal even absent an objection in the trial court (see 80 NY2d at 527-528).

Here, defendant argues that his absence from the sidebar conference with CK—a conference that was preceded by open-court voir dire of CK by the court and followed by defendant’s explicit waiver of his *Antommarchi* rights as well as open-court voir dire of CK by the attorneys—requires a new trial. We reject that argument based on the unique circumstances of the waiver given in this particular case.

Pivotaly, the *Antommarchi* violation was addressed by the court at a time when any error in the ongoing proceeding as to CK was easily curable. To be sure, the court apprised defendant of his *Antommarchi* rights in the middle of the voir dire of CK. Defendant immediately and explicitly waived those rights, a demonstration that he trusted his attorney to convey to him the information imparted at that sidebar without requiring his presence. He made no protest as to his absence from the pre-waiver sidebar conference with CK, despite being informed of the right and invited to object. Defendant was indisputably present as the court and then his counsel conducted further voir dire of CK, giving defendant ample opportunity to assess

her demeanor and provide meaningful input as to his view of her suitability, satisfying the fundamental objective of the holding in *Antommarchi* (see *People v Roman*, 88 NY2d 18, 28 [1996]; *Davidson*, 89 NY2d at 883). Defendant's failure to object after being given the opportunity to do so is entirely consistent with his express waiver of the right to be present at such sidebars, trusting his counsel to act on his behalf while he personally witnessed the court's and his counsel's voir dire of CK in open court. Defendant was then given the opportunity to provide meaningful input when he convened privately with his counsel, his codefendant and codefendant's counsel to discuss any challenges to the jury panel.⁴ Under the circumstances presented here, defendant's continued participation in the post-waiver voir dire proceeding of CK was nothing less than acquiescence to that proceeding as a whole. The core purpose of *Antommarchi* was fulfilled and the proceedings required no further remedy by the trial court.

This case is, in some ways, similar to *People v Narayan* (54 NY2d 106 [1981]). There, the trial court twice instructed the defendant and his attorney not to discuss the defendant's ongoing testimony when the court recessed, implicating the constitutional right to counsel. Defense counsel did not object on either occasion. The following day, defense counsel asked to confer with his client and the court denied the request. At that point, defense counsel objected and later, he was permitted to speak with his client. On appeal, the defendant argued that his right to the assistance of counsel had been interfered with by the instructions of the trial court.

We held that "in light of counsel's *acquiescence* at a time when correction was possible, defendant could not, in disregard of the statutory requirement of timely protest, thereafter secure appellate review of what transpired when counsel stood mute" (54 NY2d at 113 [emphasis added]). When the trial court was apprised of the error while the very proceeding affected by the right to counsel violation was ongoing, the court rescinded the violation without the defendant registering an objection to the antecedent violation, thereby effectively curing the error. The defendant's assent to the continuation of the proceedings in light of the cure was fatal to the belated claim on appeal.

4. To the extent that the Appellate Division concluded that the CPL 270.25 (3) procedure was not followed, nothing in the record supports that conclusion.

Likewise, in *People v Garay*, the trial court stated, on the record but in the absence of defense counsel, that it was going to replace a sick juror with an alternate juror, noting that the court had discussed the matter with counsel earlier that morning (25 NY3d 62, 66 [2015]). After counsel had entered the courtroom and the jurors were seated, the court instructed the alternate juror to take the missing juror's seat. Defense counsel made no objection to the replacement of the sworn juror and continued on with the trial (*see* 25 NY3d at 66). We held that "[i]f counsel had any objection to the replacement of the juror, . . . [i]t was incumbent upon him to raise an objection at that time . . . when the trial court had the opportunity to change course" (25 NY3d at 68). Just as in *Narayan*, the acquiescence of counsel in *Garay* to continued proceedings left the issue of any violations prior to the cure unreviewable by this Court (*see also People v Nealon*, 26 NY3d 152 [2015] [departure from the *O'Rama* procedure required an objection when counsel had sufficient notice in trial court to cure the error by objection]; *People v Anderson*, 223 AD2d 547 [1996], *lv denied* 88 NY2d 980 [1996]).

In sum, under the circumstances presented, defendant's acquiescence to the continued voir dire of prospective juror CK in open court, after he explicitly waived his *Antommarchi* rights and failed to object to his pre-waiver absence from the brief sidebar with CK despite being invited to object, renders his claim unavailing.

Accordingly, the order of the Appellate Division should be affirmed.

FAHEY, J. (dissenting). Criminal defendants have "a fundamental right to be present during any material stage of the trial," which includes sidebar discussions with prospective jurors regarding their "backgrounds and their ability to weigh the evidence objectively" (*People v Antommarchi*, 80 NY2d 247, 250 [1992], *rearg denied* 81 NY2d 759 [1992]). "[B]ecause [a] defendant ha[s] a fundamental right to be present" at such sidebar conferences with prospective jurors, a defendant's "failure to object to being excluded from the side-bar discussions is not fatal to [that] claim" (*id.*).

That has been the law since the *Antommarchi* case was decided, nearly 30 years ago. We have since reaffirmed that "the right to be present at sidebar questioning need not be preserved by objection" (*People v Velasquez*, 1 NY3d 44, 47

[2003]). Today, however, the Court holds that because defendant did not object when he was informed about an *Antommarchi* violation that had already occurred, and he then participated in additional voir dire regarding that prospective juror, he effectively “acquiesced” in or “cured” the violation. There is no functional distinction between this holding and a holding that a defendant is required to preserve a claim regarding an *Antommarchi* violation for appellate review. This holding is contrary to our established case law. It will impair a defendant’s fundamental right to be present at material stages of the trial.

I respectfully dissent.

I.

There is no dispute on this appeal that an *Antommarchi* violation occurred. Prospective juror CK approached the bench in defendant’s absence and discussed with the court and the attorneys an issue that related to her possible bias or hostility. The majority acknowledges that defendant had the right to be present at this sidebar discussion with CK (majority op at 375). The People conceded before this Court that this sidebar discussion with prospective juror CK constituted an *Antommarchi* violation because defendant was not present and had not yet waived his right to be present.¹ Indeed, the record demonstrates that the court did not mention to defendant or his codefendant that they had the right to be present at such sidebar conferences until after four such sidebar conferences had already occurred.² The only dispute on this appeal is whether defendant was entitled to reversal and a new trial for the conceded

1. The People further conceded before this Court that there was no record support for the Appellate Division’s conclusion that the *Antommarchi* violation with respect to CK did not require reversal because the trial court had violated CPL 270.25 (3) by instructing each defense counsel to independently exercise peremptory challenges. As explained by the dissenting Justice at the Appellate Division, the trial court instructed that peremptory challenges would be exercised by the defendants collectively and kept count of those exercised challenges collectively (*see* 175 AD3d 867, 871 [4th Dept 2019, Curran, J., dissenting]). The record therefore demonstrates that the trial court adhered to the requirements of CPL 270.25 (3).

2. As the majority explains (majority op at 375-376 n 1), defendant does not challenge two of those sidebar conferences on this appeal. With respect to the other sidebar conference that defendant does challenge regarding prospective juror CO, I agree with the majority that CO was excused for cause and therefore that defendant’s absence from that sidebar conference does not require reversal (*see People v Roman*, 88 NY2d 18, 28 [1996], *rearg denied* 88 NY2d 920 [1996]).

Antommarchi violation. The People contend that because defendant did not object when he was subsequently informed of the *Antommarchi* violation that had already occurred, he impliedly and retroactively waived the prior *Antommarchi* violation.

The majority does not expressly adopt the People's position of implied retroactive waiver, which would constitute a drastic expansion of our jurisprudence on the implied waiver of the right to be present. A defendant may waive the right to attend sidebar conferences with prospective jurors, and may do so impliedly, but we have held that an implied waiver has occurred only when the defendant has *previously* been informed of the right to attend sidebar conferences and then, by remaining at counsel table, chooses not to attend those sidebar conferences (see *People v Flinn*, 22 NY3d 599, 601-602 [2014], *reargued* 23 NY3d 940 [2014]; *People v Williams*, 15 NY3d 739, 740 [2010]; *People v Keen*, 94 NY2d 533, 538-539 [2000]; see also *People v Spotford*, 85 NY2d 593, 597-599 [1995] [holding that the defendant waived his right to be present at a *Ventimiglia* hearing where the defendant was informed of his right to attend the hearing, expressly requested that his attendance at the hearing be waived, and thereafter did not attend the hearing]).

That application of implied waiver comports with our traditional understanding of what constitutes a "waiver" of the right to be present. "In order to effect a voluntary, knowing and intelligent waiver, the defendant must, at a minimum, be informed in some manner of the nature of the right to be present" (*People v Parker*, 57 NY2d 136, 141 [1982]). Criminal defendants cannot implicitly waive a right that they do not know they have. To waive the right to attend sidebar conferences with prospective jurors, a defendant must be informed that the right to attend exists.

Moreover, nothing defendant or his counsel said after the prior *Antommarchi* violation was brought to their attention constituted an express waiver of the *Antommarchi* violation that had already occurred. Defendant and his counsel merely confirmed that defendant was waiving his right to be present at sidebar conferences with prospective jurors that might occur in the future, and even then, defendant reserved his right to approach on a case-by-case basis.

Instead, the majority concludes that because CK remained on the panel after the *Antommarchi* violation occurred, and de-

fendant had the opportunity to assess her demeanor during the remainder of voir dire, the “fundamental objective of the holding in *Antommarchi*” was satisfied (majority op at 378-379). That position is illogical. If the opportunity to assess a prospective juror’s demeanor during voir dire in open court is sufficient to satisfy the fundamental objectives of the *Antommarchi* holding, then why does a defendant’s *Antommarchi* right to attend sidebar conferences with prospective jurors exist? *Antommarchi* itself answers that question:

“The court may not, however, explore prospective jurors’ backgrounds and their ability to weigh the evidence objectively unless defendant is present. Defendants are entitled to hear questions intended to search out a prospective juror’s bias, hostility or predisposition to believe or discredit the testimony of potential witnesses and the venire person’s answers so that they have the opportunity to assess the juror’s facial expressions, demeanor and other subliminal responses” (*Antommarchi*, 80 NY2d at 250 [internal quotation marks omitted]).

Prospective jurors may reveal more information and speak more freely during sidebar conferences than they would in front of the entire panel of prospective jurors. There is, after all, usually a reason that prospective jurors ask to speak with the court privately at a sidebar conference. The ability to view the prospective juror’s demeanor in open court is no substitute for the defendant’s right to attend such sidebar conferences, a right that, although based in statute (*see People v Vargas*, 88 NY2d 363, 375 [1996]), we have nevertheless deemed “fundamental” (*Antommarchi*, 80 NY2d at 250; *see Velasquez*, 1 NY3d at 48).

Moreover, this Court has previously concluded, absent a waiver, that an *Antommarchi* violation does not require reversal and a new trial because the defendant was not prejudiced by the violation in only two situations: (1) where, “because of the matter then at issue before the court or the practical result of the determination of that matter, the defendant’s presence could not have afforded him or her any meaningful opportunity to affect the outcome,” such as where the prospective juror is excused for cause or challenged peremptorily by the People; or (2) where the trial court essentially replicates the sidebar conference “de novo” in the defendant’s presence (*Roman*, 88 NY2d at 26, 28-29). We have never held, before

today, that the defendant's absence from a sidebar conference with a prospective juror may be cured, and the defendant will not be prejudiced, because the defendant otherwise had the opportunity to observe the prospective juror's demeanor in open court during the remainder of jury selection.

II.

The majority's alternative rationale that defendant "acquiesced" in the *Antommarchi* violation with respect to CK because defendant did not object after the *Antommarchi* violation was called to his attention is equally inconsistent with our precedent. It is merely a preservation requirement by another name.

Indeed, the cases cited by the majority to support its "acquiescence" rationale all make clear that the Court in those cases was holding that the error was required to be preserved for appellate review and was not. In *People v Narayan* (54 NY2d 106 [1981]), the Court held that "protest was required to preserve the issue for appellate review as a question of law" (*id.* at 113). In *People v Garay* (25 NY3d 62 [2015], *cert denied* 577 US 985 [2015]), we stated that the "preservation rule that we applied in *Narayan*" applied equally to that case (*id.* at 68). And in *People v Nealon* (26 NY3d 152 [2015]), we held that the trial court's failure to discuss a jury note with counsel outside the presence of the jury before reading it verbatim into the record in the presence of the jury was "not a mode of proceedings error, and the preservation rule therefore applies" (*id.* at 154).

Each of the "acquiescence" cases cited by the majority is, in fact, a preservation case. Yet the majority does not expressly phrase its holding in terms of a preservation requirement. Perhaps that is because to do so would expressly conflict with our precedent declining to impose a preservation requirement for an *Antommarchi* violation (*see Antommarchi*, 80 NY2d at 250; *Velasquez*, 1 NY3d at 47). But there is another problem with the majority's reluctance to call its newly-imposed preservation requirement by its name: if defendant was required to preserve the *Antommarchi* violation for appellate review and did not, this Court would be required to remit to the Appellate Division for that Court to consider whether to review the issue in an exercise of its interest-of-justice jurisdiction (*see e.g. Nealon*, 26 NY3d at 163; *Narayan*, 54 NY2d at 114). This Court unanimously rejects the rationale the Appellate Division *did* provide for holding that the *Antommarchi* violation did not require reversal, i.e., that the trial court conducted jury selec-

tion in a manner that violated CPL 270.25 (3). Notably, the Appellate Division reversed the codefendant's judgment and granted him a new trial on the very same *Antommarchi* violation at issue here (see *People v McKenzie-Smith*, 187 AD3d 1668, 1669-1670 [4th Dept 2020], *lv denied with lv to renew* 36 NY3d 1099 [2021]). The majority's refusal to phrase its holding in terms of a preservation requirement deprives defendant of that additional possibility for appellate review.

III.

It is the court's obligation to protect a defendant's fundamental right to be present at the material stages of trial. By previously declining to impose a preservation requirement for *Antommarchi* violations, we have placed the onus squarely on the courts to ensure that a defendant's right to attend this material stage of trial is protected, and, if possible, to correct a violation of that right once it has occurred.

Here, as in other situations where the trial court has mistakenly conducted sidebar conferences with prospective jurors without first obtaining an *Antommarchi* waiver from the defendant, the trial court was not without options. The court could have obtained an express, retroactive waiver from defendant on the record, confirming that defendant was waiving the *Antommarchi* violation that had already occurred before he was informed of his right to attend sidebar conferences (see e.g. *People v Moyer*, 292 AD2d 793, 794 [4th Dept 2002]). That did not occur here, and the People do not contend otherwise. Alternatively, the trial court could have recreated the sidebar conference with CK for defendant's benefit in his presence (see *Roman*, 88 NY2d at 29; *People v Anderson*, 223 AD2d 547, 548 [2d Dept 1996], *lv denied* 88 NY2d 980 [1996]). Defendant did not request that remedy, but he was not required to, because we do not require defendants to preserve claims of *Antommarchi* violations for appellate review. The record does not support the majority's assertion that defendant was "invited to object" to the *Antommarchi* violation that had already taken place.³

The Court's holding today violates our precedent regarding preservation of *Antommarchi* claims, dilutes the fundamental

3. After the *Antommarchi* violation was called to its attention by the prosecutor, the trial court stated as follows:

"The court did not inquire of defense counsel an *Antommarchi* ruling or request of defense counsel. I always give them the opportunity to appear with their clients, if they wish. On the other hand, if they wish to waive their right to be present then you

(n. cont'd)

right to be present for sidebar conferences articulated in that case, and will no doubt be extended to other violations of a defendant's fundamental right to be present at material stages of trial, despite the majority's insistence that this is a "unique" case. Criminal defendants should be on notice that unless the legislature or a future Court corrects the majority's error, defendants, rather than the courts, are now expected to protect their *Antommarchi* rights, and to object to *Antommarchi* violations of which they are made aware in order to preserve their claims for appellate review.

Judges GARCIA, SINGAS and CANNATARO concur; Judge FAHEY dissents in an opinion, in which Judges RIVERA and WILSON concur.

Order affirmed.

can do that, as well. As to the four separate bench conferences, the defendants remained at the counsel table with the prosecutors and the defense attorneys present. Is that still the intention of each of the clients, [defense counsel]?"

Thus, the court merely noted that defendant and his codefendant had remained at the counsel table during the four sidebar conferences that had already taken place, and then asked defense counsel if that was "still [their] intention," i.e., whether defendants planned to remain at counsel table during future sidebar conferences. Counsel for defendant and defendant himself confirmed that if defendant "feels the need to approach he would like to," but that defendant would review that decision "on each occasion." The court did not expressly invite defendant to object to the *Antommarchi* violations that had already occurred, and defendant merely waived his right to attend future sidebar conferences with prospective jurors, even then reserving the right to attend if he wished.

[180 NE3d 537, 159 NYS3d 373]

In the Matter of the Claim of FRANCES VERNEAU, Claimant, v
CONSOLIDATED EDISON COMPANY OF NEW YORK, INC., et al.,
Respondents, and SPECIAL FUND FOR REOPENED CASES, Ap-
pellant. WORKERS' COMPENSATION BOARD, Appellant.

In the Matter of the Claim of KRISTEN REXFORD, Administratrix
of the Estate of REGINALD RADLEY, Deceased, Claimant, v
GOULD ERECTORS & RIGGERS, INC., et al., Respondents, and
SPECIAL FUND FOR REOPENED CASES, Appellant. WORKERS'
COMPENSATION BOARD, Appellant.

Argued October 7, 2021; decided November 23, 2021

SUMMARY

APPEALS, in the first above-entitled proceeding, by permis-
sion of the Court of Appeals, from an order of the Appellate
Division of the Supreme Court in the Third Judicial Depart-
ment, entered July 3, 2019. The Appellate Division (1) reversed
a decision of the Workers' Compensation Board which had
ruled, among other things, that liability for workers' compensa-
tion death benefits under Workers' Compensation Law § 25-a
did not apply and the Special Fund for Reopened Cases was
not responsible for the claim; and (2) remitted the matter to
the Workers' Compensation Board for further proceedings not
inconsistent with the Appellate Division's decision.

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the Workers' Compensation Board for further proceedings not
inconsistent with the Appellate Division's decision.

Matter of Verneau v Consolidated Edison Co. of N.Y., Inc.,
174 AD3d 1022, reversed.

Matter of Rexford v Gould Erectors & Riggers, Inc., 174 AD3d
1026, reversed.

HEADNOTES**Workers' Compensation — Special Funds — Special Fund for Reopened Cases — Liability for Death Benefits**

1. Workers' Compensation Law § 25-a (1-a) forecloses transfer of liability for a death benefits claim submitted after January 1, 2014, to the Special Fund for Reopened Cases, where liability for the worker's original disability benefits claim had been transferred to the Special Fund prior to the statutory filing deadline. The plain text of Workers' Compensation Law § 25-a (1-a) expressly provides that the statutory cutoff forecloses transfer of liability for "a claim." The legislature's choice of the singular indefinite article—"a" claim—means the liability to be transferred is for a single claim at the time of application. Thus, the statute prohibits the transfer of liability for any claim that has accrued on or after the cutoff date. Liability for a death benefits claim cannot have been transferred along with liability for the disability claim because the cause of action for death benefits could not accrue prior to the death, irrespective of when liability for the disability claim was transferred to the Special Fund. Further, liability for death benefits is not automatic upon a finding of liability for disability benefits. The language of Workers' Compensation Law § 25-a (1-a) does not controvert the long-standing precedent establishing that death benefits are separate claims. Interpreting the statute as foreclosing transfer of liability for death benefits that accrue after the cutoff date minimizes costs and avoids the windfall for insurance carriers that the statute was expressly intended to eliminate.

Workers' Compensation — Special Funds — Special Fund for Reopened Cases — Liability for Death Benefits

2. In a workers' compensation proceeding in which claimant, the surviving spouse of an employee who had been receiving lifetime workers' compensation benefits paid by the Special Fund for Reopened Cases, applied for a death benefits award after the cutoff date in Workers' Compensation Law § 25-a (1-a) for the transfer of liability for a death benefits claim to the Special Fund, the Appellate Division's determination that the cutoff date did not apply because there was no formal, written "application" by the employer or insurance carrier for transfer of liability in the record was without merit. The statute imposes no such requirement on applications for transfer of liability, and, under longstanding Workers' Compensation Board practice, an application will be deemed to have been made when any party raises liability under Workers' Compensation Law § 25-a at a hearing, as occurred here.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Workers' Compensation § 24.

McKINNEY'S, Workers' Compensation Law § 25-a (1-a).

NY JUR 2d Workers' Compensation §§ 793, 796, 1131.

ANNOTATION REFERENCE

See ALR Index under Workers' Compensation.

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reopened /s transferred & cut-off

POINTS OF COUNSEL

Letitia James, Attorney General, Albany (Allyson Levine, Patrick A. Woods, Barbara D. Underwood and Andrea Oser of counsel), for New York State Workers’ Compensation Board, appellant in the first above-entitled action. Death benefits claims accruing on or after January 1, 2014, cannot be transferred to the Special Fund for Reopened Cases. (Matter of Amorosi v South Colonie Ind. Cent. School Dist., 9 NY3d 367; Matter of Zechmann v Canisteo Volunteer Fire Dept., 85 NY2d 747; Matter of Hroncich v Con Edison, 21 NY3d 636; El-Dehdan v El-Dehdan, 26 NY3d 19; Pajak v Pajak, 56 NY2d 394; Matter of Misquitta v Getty Petroleum, 150 AD3d 1363; Matter of Fitzgerald v Berkshire Farm Ctr. & Servs. for Youth, 87 AD3d 353; Matter of De Mayo v Rensselaer Polytech Inst., 74 NY2d 459; Carlson v American Intl. Group, Inc., 30 NY3d 288; American Economy Ins. Co. v State of New York, 30 NY3d 136.)

Stockton, Barker & Mead, LLP, Troy (Matthew Robert Mead of counsel), for Special Fund for Reopened Cases, appellant in the first above-entitled action. I. Transfer of liability to the Special Fund for Reopened Cases can occur only after specific statutory criteria are met. (American Economy Ins. Co. v State of New York, 30 NY3d 136; Matter of Kaplan v Wirth & Birnbaum, 301 NY 121; Matter of Ryan v American Bridge Co., 243 App Div 496; Matter of Vleck v Parry, 245 App Div 416; Matter of Pankiw v Eastman Kodak Co., 123 AD3d 1388; Matter of Casey v Hinkle Iron Works, 299 NY 382; Matter of Giansante v Seneca Cayuga ARC, 137 AD3d 1450; Matter of Riley v Aircraft Prods. Mfg. Corp., 40 NY2d 366.) II. The Special Fund for Reopened Cases was closed to new claims on or after January 1, 2014. (American Economy Ins. Co. v State of New York, 30 NY3d 136.) III. A claim for death benefits is a new claim. (Matter of Zechmann v Canisteo Volunteer Fire Dept., 85 NY2d 747.) IV. The decision of the Appellate Division is contrary to the plain language of Workers’ Compensation Law § 25-a (1-a) and thwarts the intent of the legislature to close the Special Fund for Reopened Cases. (American Economy Ins. Co. v State of New York, 30 NY3d 136; Matter of De Mayo v Rensselaer Polytech Inst., 74 NY2d 459; Matter of Fitzgerald v Berkshire Farm Ctr. & Servs. for Youth, 87 AD3d 353; Matter of Riccardi v Dellwood Dairy Co., 38 AD2d 666; Vleck.v Parry, 245 App Div 416;

Matter of Misquitta v Getty Petroleum, 150 AD3d 1363; *Matter of Rexford v Gould Erectors & Riggers, Inc.*, 174 AD3d 1026.) V. The Appellate Division decision is contrary to its own ruling and reasoning in *Matter of Connolly v Consolidated Edison* (124 AD3d 1167 [3d Dept 2015]).

Cherry, Edson & Kelly, LLP, Tarrytown (David W. Faber and Ralph E. Magnetti of counsel), for respondents in the first above-entitled action. I. The plain language in Workers' Compensation Law § 25-a (1-a) has no application to a consequential death claim where the underlying disability claim was found to fall within the provisions of Workers' Compensation Law § 25-a. (*Matter of Belmonte v Snashall*, 2 NY3d 560; *Matter of De Mayo v Rensselaer Polytech Inst.*, 74 NY2d 459; *Matter of Krausa v Totales Debevoise Corp.*, 84 AD3d 1545; *Matter of Connolly v Consolidated Edison*, 124 AD3d 1167; *Matter of LaCroix v Syracuse Exec. Air Serv., Inc.*, 8 NY3d 348.) II. Death related to an established workers' compensation claim is not a new injury or accident, but rather a new claim consequential to the original injury. (*Matter of Zechmann v Canisteo Volunteer Fire Dept.*, 85 NY2d 747; *Commissioners of State Ins. Fund v Hallmark Operating, Inc.*, 61 AD3d 1212; *Matter of De Mayo v Rensselaer Polytech Inst.*, 74 NY2d 459; *Matter of Fitzgerald v Berkshire Farm Ctr. & Servs. for Youth*, 87 AD3d 353.) III. "[W]here, as here, liability for a claim has already been transferred from the carrier to the Special Fund and the employee thereafter dies for reasons causally related to the original claim, the Special Fund remains liable for the claim for death benefits." (*Matter of Misquitta v Getty Petroleum*, 150 AD3d 1363, 1365 [3d Dept 2017].) (*American Economy Ins. Co. v State of New York*, 139 AD3d 138; *Matter of Fitzgerald v Berkshire Farm Ctr. & Servs. for Youth*, 87 AD3d 353; *Matter of Zechmann v Canisteo Volunteer Fire Dept.*, 85 NY2d 747; *Matter of Riccardi v Dellwood Dairy Co.*, 38 AD2d 666; *Matter of Connolly v Consolidated Edison*, 124 AD3d 1167; *Matter of Goutremout v Advance Auto Parts*, 134 AD3d 1194.) IV. The Appellate Division's decision is consistent with the plain language of Workers' Compensation Law § 25-a (1-a) and the intent of the legislature. (*American Economy Ins. Co. v State of New York*, 139 AD3d 138; *Matter of Rexford v Gould Erectors & Riggers, Inc.*, 174 AD3d 1026.)

Letitia James, Attorney General, Albany (Allyson Levine, Patrick A. Woods, Barbara D. Underwood and Andrew Oser of counsel), for appellant in the second above-entitled action.

Death benefits claims accruing on or after January 1, 2014, cannot be transferred to the Special Fund for Reopened Cases. (*Matter of Amorosi v South Colonie Ind. Cent. School Dist.*, 9 NY3d 367; *Matter of Zechmann v Canisteo Volunteer Fire Dept.*, 85 NY2d 747; *Matter of Hroncich v Con Edison*, 21 NY3d 636; *El-Dehdan v El-Dehdan*, 26 NY3d 19; *Pajak v Pajak*, 56 NY2d 394; *Matter of Misquitta v Getty Petroleum*, 150 AD3d 1363; *Matter of Fitzgerald v Berkshire Farm Ctr. & Servs. for Youth*, 87 AD3d 353; *Matter of De Mayo v Rensselaer Polytech Inst.*, 74 NY2d 459; *Matter of Connolly v Consolidated Edison*, 124 AD3d 1167; *Carlson v American Intl. Group, Inc.*, 30 NY3d 288.)

Stockton, Barker & Mead, LLP, Troy (Matthew Robert Mead of counsel), for Special Fund for Reopened Cases, appellant in the second above-entitled action. I. Transfer of liability to the Special Fund for Reopened Cases can occur only after specific statutory criteria are met. (*American Economy Ins. Co. v State of New York*, 30 NY3d 136; *Matter of Kaplan v Wirth & Birnbaum*, 301 NY 121; *Matter of Ryan v American Bridge Co.*, 243 App Div 496; *Matter of Vleck v Parry*, 245 App Div 416; *Matter of Pankiw v Eastman Kodak Co.*, 123 AD3d 1388; *Matter of Casey v Hinkle Iron Works*, 299 NY 382; *Matter of Giansante v Seneca Cayuga ARC*, 137 AD3d 1450; *Matter of Riley v Aircraft Prods. Mfg. Corp.*, 40 NY2d 366.) II. The Special Fund for Reopened Cases was closed to new claims on or after January 1, 2014. (*American Economy Ins. Co. v State of New York*, 30 NY3d 136.) III. A claim for death benefits is a new claim. (*Matter of Zechmann v Canisteo Volunteer Fire Dept.*, 85 NY2d 747.) IV. The decision of the Appellate Division is contrary to the plain language of Workers' Compensation Law § 25-a (1-a) and thwarts the intent of the legislature to close the Special Fund for Reopened Cases. (*Matter of De Mayo v Rensselaer Polytech Inst.*, 74 NY2d 459; *Matter of Fitzgerald v Berkshire Farm Ctr. & Servs. for Youth*, 87 AD3d 353; *Matter of Riccardi v Dellwood Dairy Co.*, 38 AD2d 666; *Matter of Vleck v Parry*, 245 App Div 416; *Matter of Misquitta v Getty Petroleum*, 150 AD3d 1363; *Matter of Verneau v Consolidated Edison Co. of N.Y., Inc.*, 174 AD3d 1022; *Matter of Rexford v Gould Erectors & Riggers, Inc.*, 174 AD3d 1026.) V. The Appellate Division decision is contrary to its own ruling and reasoning in *Matter of Connolly v Consolidated Edison* (124 AD3d 1167 [3d Dept 2015]).

Walsh and Hacker, Albany (Glenn D. Chase of counsel), and *New York State Insurance Fund*, Albany (Tanisha Edwards of counsel), for respondents in the second above-entitled action. I.

The Appellate Division properly found that Workers' Compensation Law § 25-a (1-a) does not discharge the Special Fund for Reopened Cases under section 25-a as liability for the disability claim had previously been transferred to the Special Fund pursuant to section 25-a (1) (2). (*American Economy Ins. Co. v State of New York*, 30 NY3d 136; *Matter of Riccardi v Dellwood Dairy Co.*, 38 AD2d 666; *Matter of Zechmann v Canisteo Volunteer Fire Dept.*, 85 NY2d 747; *Commissioners of State Ins. Fund v Hallmark Operating, Inc.*, 61 AD3d 1212; *Matter of Fitzgerald v Berkshire Farm Ctr. & Servs. for Youth*, 87 AD3d 353; *Matter of Misquitta v Getty Petroleum*, 150 AD3d 1363; *Matter of Mace v Owl Wire & Cable Co.*, 284 AD2d 672.) II. The Appellate Division decision is not inconsistent with the plain language of Workers' Compensation Law § 25-a (1-a) nor with the intent of the legislature. (*Matter of De Mayo v Rensselaer Polytech Inst.*, 74 NY2d 459; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *Matter of Fitzgerald v Berkshire Farm Ctr. & Servs. for Youth*, 87 AD3d 353; *Matter of Amorosi v South Colonie Ind. Cent. School Dist.*, 9 NY3d 367.) III. The Appellate Division, Third Department decision in *Matter of Connolly v Consolidated Edison* (124 AD3d 1167 [3d Dept 2015]) is not inconsistent as it pertains to an entirely unrelated statutory scheme. (*American Economy Ins. Co. v State of New York*, 30 NY3d 136; *Matter of House v International Talc Co.*, 261 AD2d 687.) IV. The Appellate Division, Third Department's interpretation of Workers' Compensation Law § 25-a (1-a) in *Matter of Verneau v Consolidated Edison Co. of N.Y., Inc.* (174 AD3d 1022 [3d Dept 2019]) is not mistaken.

OPINION OF THE COURT

RIVERA, J.

Under Workers' Compensation Law § 25-a (1-a), no liability for claims submitted on or after January 1, 2014, may be transferred to the Special Fund for Reopened Cases (the Special Fund). The common issue presented in these appeals is whether Workers' Compensation Law § 25-a (1-a) forecloses the transfer of liability for a death benefits claim submitted on or after the cutoff, regardless of the prior transfer of liability for a worker's disability claim arising out of the same injury. Based on the plain statutory language, which broadly applies to all claims submitted after the deadline, and our established precedent that a death benefits claim accrues at the time of death and "is a separate and distinct legal proceeding" from the worker's original disability claim (*Matter of Zechmann v Canis-*

teo Volunteer Fire Dept., 85 NY2d 747, 751 [1995]), we conclude that liability for the death benefits claims at issue here could not be transferred to the Special Fund.

I.

A. *Matter of Verneau v Consolidated Edison*

Francis Verneau suffered from several asbestos-related conditions caused by his work activities. He was awarded workers' compensation benefits effective June 1, 2000. In December 2011, liability for the claim was transferred, pursuant to Workers' Compensation Law § 25-a, from his employer, Consolidated Edison of New York (ConEd), to the Special Fund, which then remained responsible for payment of those lifetime benefits. Verneau died in January of 2017. Claimant, his surviving spouse, applied for a death benefits award, contending that Verneau's death was attributable to his work-related injury. The Workers' Compensation Board indexed the claim against ConEd, as the employer. At a hearing before a Workers' Compensation Law Judge (WCLJ), ConEd, through its third-party administrator, disputed liability, in part for an alleged lack of causation. The WCLJ determined the death was causally related to the work-related injury and designated the Special Fund as responsible for the death benefits claim. The Special Fund administratively appealed, contesting its liability under Workers' Compensation Law § 25-a. The Board modified, holding that under Workers' Compensation Law § 25-a (1-a), the claim was time-barred, as it was submitted after the January 1, 2014 deadline. The employer appealed.

The Appellate Division reversed and, relying on its prior precedent, held that the Special Fund was responsible for death benefits claims arising from an injury for which the decedent had obtained a disability benefits award because liability for the disability claim had previously been transferred to the Special Fund before the statutory cutoff (see *Matter of Verneau v Consolidated Edison Co. of N.Y., Inc.*, 174 AD3d 1022, 1024-1026 [3d Dept 2019], citing *Matter of Misquitta v Getty Petroleum*, 150 AD3d 1363 [3d Dept 2017]). In the alternative, the Court held that the cutoff date did not apply because the record contained no application by the employer or insurance carrier for transfer of liability to the Special Fund (*Verneau*, 174 AD3d at 1024).

B. Matter of Rexford v Gould Erectors & Riggers

Reginald Radley suffered a work-related heart attack in 1987, while employed by Gould Erectors & Riggers (Gould), and was awarded workers' compensation benefits for which Gould's insurance carrier, the State Insurance Fund, was initially responsible. In 1997, liability for that claim was transferred, pursuant to Workers' Compensation Law § 25-a, to the Special Fund. Radley died in 2016, and his daughter filed a claim for death benefits, alleging that her father's death was attributable to the injury for which he received workers' compensation benefits during his lifetime. The Workers' Compensation Board initially indexed the death benefit claim against the Special Fund. The Special Fund contested liability, arguing that the claim was a new claim for benefits made after January 1, 2014, and could not be transferred. Thus, the Special Fund argued, liability for the claim remained with the State Insurance Fund, the carrier on risk. This point was contested at the hearing before a WCLJ, who subsequently found that the State Insurance Fund was responsible for payment of death benefits. The Board affirmed, and the State Insurance Fund appealed. The Appellate Division reversed, deciding the appeal with *Verneau* and applying the same analysis to conclude that the Special Fund was liable for the consequential death claim (see *Matter of Rexford v Gould Erectors & Riggers, Inc.*, 174 AD3d 1026, 1027 [3d Dept 2019]).

We granted the Board and Special Fund leave to appeal in both matters (*Matter of Verneau v Consolidated Edison Co. of N.Y., Inc.*, 34 NY3d 912 [2020]; *Matter of Rexford v Gould Erectors & Riggers, Inc.*, 34 NY3d 912 [2020]). For the reasons discussed below, we agree with appellants that the statute compels reversal.

II.

[1] These appeals present a question of pure statutory interpretation: Does Workers' Compensation Law § 25-a (1-a) foreclose transfer of liability for a death benefits claim submitted after January 1, 2014, to the Special Fund, where liability for the worker's original disability benefits claim had been transferred to the Special Fund prior to the statutory filing deadline? We conclude that it does.

The Special Fund was established in 1933, primarily to ensure benefits for claimants in cases of insurance carrier

insolvency, employer inability to pay benefits, or upon the reopening of a long-closed matter (see *American Economy Ins. Co. v State of New York*, 30 NY3d 136, 141 [2017]; *Matter of Tipton v Lang's Bakery, Inc.*, 250 App Div 696, 698-699 [3d Dept 1937], *aff'd* 275 NY 572 [1937]). Under Workers' Compensation Law § 25-a, liability for a claim could be transferred from the employer or carrier to the Special Fund once certain statutory conditions had been satisfied (see e.g. Workers' Compensation Law § 25-a [1] [requiring, inter alia, seven years to have passed since the date of injury and requiring three years to have passed since the last payment of compensation]). Following transfer, "the insurance carrier ha[d] no further interest in payment of *the claim*" (*Matter of De Mayo v Rensselaer Polytech Inst.*, 74 NY2d 459, 462 [1989] [emphasis added]).

This statutory scheme continued until 2013, when the legislature amended the law by adding Workers' Compensation Law § 25-a (1-a) and thereby closed the Special Fund to all new claims. Section 25-a (1-a) provides, in relevant part,

"No application by a self-insured employer or an insurance carrier for transfer of liability of a claim to the fund for reopened cases shall be accepted by the board on or after the first day of January, two thousand fourteen except that the board may make a finding after such date pursuant to section twenty-three of this article upon a timely application for review."

In resolving the question before us, we apply our well-established rule that "[t]he primary consideration of courts in interpreting a statute is to 'ascertain and give effect to the intention of the Legislature'" (*Riley v County of Broome*, 95 NY2d 455, 463 [2000], quoting McKinney's Cons Laws of NY, Book 1, Statutes § 92 [a] at 177). To that end, "the plain meaning of the statutory text is the best evidence of legislative intent" (*People v Cahill*, 2 NY3d 14, 117 [2003], citing *Riley*, 95 NY2d at 463).

Here, the plain text of Workers' Compensation Law § 25-a (1-a) expressly provides that the statutory cutoff forecloses transfer of liability for "*a claim*" (emphasis added). The legislature's choice of the singular indefinite article—"a" claim—means the liability to be transferred is for a *single claim at the time of application*. Thus, the statute prohibits the

transfer of liability for any claim that has accrued on or after the cutoff date.¹

In *Matter of Zechmann v Canisteo Volunteer Fire Dept.*, decided nearly two decades prior to the enactment of Workers' Compensation Law § 25-a (1-a), the Court concluded that “the accrual date” of a death benefits claim “necessarily must be the date of the death giving rise to [the] claim” (85 NY2d at 753). Critically, *Zechmann* also held that “a claim for death benefits . . . is a separate and distinct legal proceeding brought by the beneficiary’s dependents and is not equated with the beneficiary’s original disability claim” (*id.* at 751). We noted that the distinction between the two types of claims “has been recognized since the early days of workers’ compensation law” (*id.*). We assume the legislature acts with knowledge of this Court’s decisions (see *Matter of Amorosi v South Colonie Ind. Cent. School Dist.*, 9 NY3d 367, 373 [2007] [(“T)he Legislature is presumed to be aware of the law in existence at the time of an enactment”]).² Indeed, the language of Workers’ Compensation Law § 25-a (1-a) in no way controverts our long-standing prece-

1. The dissent contends that, because “‘claim’ is not synonymous with ‘liability’” (dissenting op at 401-402), when the statute uses the phrase “transfer of liability,” it is necessarily referring to “liability for costs associated with the original claim, including the cost of a related death benefits claim” (*id.*). But nowhere does the statute suggest that a death benefits claim is merely an associated cost of a disability claim. Rather, a death benefits claim “is a separate and distinct legal proceeding” (*Zechmann*, 85 NY2d at 751). At bottom, the dissent cannot evade the plain import of the statutory text: “No application . . . for transfer of liability of a claim to the fund . . . shall be accepted . . . after [January 1, 2014]” (Workers’ Compensation Law § 25-a [1-a] [emphasis added]). The dissent does not—nor can it—explain how the statute’s reference to the transfer of liability for “a” claim somehow also encompasses any and all “related claims for death benefits” (dissenting op at 405).

2. While recognizing this principle, the dissent also insists that the “law in existence at the time” the legislature enacted Workers’ Compensation Law § 25-a (1-a) must be understood to include the Third Department’s implicit holding in *Matter of Fitzgerald v Berkshire Farm Ctr. & Servs. for Youth* (87 AD3d 353 [3d Dept 2011]) that the transfer of liability for a disability claim necessarily transfers any subsequent claim for death benefits (dissenting op at 401, 402-404). This argument fails for multiple reasons. First, it improperly casts the intermediate appellate court as the arbiter of New York law, when, in fact, it is “*this* Court’s duty to say what the law is” (*Campaign for Fiscal Equity v State of New York*, 100 NY2d 893, 940 [2003] [Smith, J., concurring] [emphasis added]; see also *Anheuser-Busch, Inc. v Abrams*, 71 NY2d 327, 334 [1988] [noting that the Court of Appeals is “the final arbiter of questions of State law”]). To the extent that *Fitzgerald* contradicts our holding in *Zechmann*, the former obviously cannot displace the latter’s affirmation of a principle that “has been recognized since the early days of work-

(n. cont’d)

dent establishing that death benefits are separate claims. And we have continued to treat death benefits as such, including mere months after the legislature enacted Workers' Compensation Law § 25-a (1-a), when, in *Matter of Hroncich v Con Edison*, we cited *Zechmann*, reaffirming that “a claim for death benefits by an employee’s survivors is *entirely separate* from the employee’s claim for compensation benefits” (21 NY3d 636, 646 [2013] [emphasis added]).

Contrary to respondents ConEd’s and Gould’s arguments, liability for a death benefits claim cannot have been transferred along with liability for the disability claim because, “[c]learly, the cause of action for death benefits could not accrue prior to the death” (*Zechmann*, 85 NY2d at 753), irrespective of when liability for the disability claim was transferred to the Special Fund. Further, liability for death benefits is not automatic upon a finding of liability for disability benefits. Rather, liability for death benefits claims—“often, as here, involving the quite different question of whether the injury was causally related to the death” (*Zechmann*, 85 NY2d at 751)—must be established and, in fact, causal relation was disputed by respondents in their respective administrative proceedings. Put another way, respondents argued before the WCLJ and the Board that there was no causal connection between the work-related injury that was the basis for the transfer of liability for the disability claim during each worker’s lifetime. Moreover, respondents’ argument is further belied by the statutory structure and its intended purpose, which treat disability benefits as entirely distinct from death benefits (*compare* Workers’ Compensation Law § 15 [“Schedule in case of disability”], *with id.* § 16 [“Death benefits”]; *see also Hroncich*, 21 NY3d at 647). Thus, respondents’ contention that the transfer of liability for the original disability claim must be understood as including the transfer of *all* consequential claims is unsupportable given the unambiguous language the legislature used, the law

ers’ compensation law” (*Zechmann*, 85 NY2d at 751). Moreover, *Fitzgerald* is in conflict with even other pre-amendment Third Department cases (*see e.g. Commissioners of State Ins. Fund v Hallmark Operating, Inc.*, 61 AD3d 1212, 1213 [3d Dept 2009] [“Nor is death a new injury, but rather a *new claim* consequentially related to the original injury”] [emphasis added]). Thus, there is simply no merit to the dissent’s contention that the legislature must have enacted Workers’ Compensation Law § 25-a (1-a) in conformance with the unstated holding of a single Third Department case, which contradicted not only that Court’s other precedents but also ran afoul of this Court’s holding in *Zechmann*.

in existence at the time of amendment, and the overall statutory scheme.

Our interpretation of Workers' Compensation Law § 25-a (1-a) furthers the legislature's goal in amending Workers' Compensation Law § 25-a. The memorandum in support of the amendment explained that the Special Fund was originally intended "to provide [insurance] carriers relief in a small number of cases where liability unexpectedly arises" in long-closed cases (Mem in Support, 2013-2014 NY St Executive Budget, Public Protection and General Government Article VII Legislation at 29, available at https://www.budget.ny.gov/pubs/archive/fy1314archive/eBudget1314/fy1314artVIIbills/PPGG_ArticleVII_MS.pdf, cached at http://www.nycourts.gov/reporter/webdocs/PPGG_Article_VIIMS.pdf). Perversely, carriers reaped financial gains over the years by collecting premiums for liabilities they no longer shouldered. To that end, Workers' Compensation Law § 25-a (1-a) was enacted to "prevent[] a windfall for [insurance] carriers" whose liability for claims that "unexpectedly arise[] after a case has been closed for many years" was transferred to the Special Fund, even though "the premiums they . . . charged already cover this liability" (*id.*). Given this background, we have explained that "closing the [Special] Fund would save New York businesses hundreds of millions of dollars in assessments every year. . . . Delaying the Fund's closure," however, "would . . . delay[] this intended legislative benefit to New York businesses and employers for years, if not decades" (*American Economy*, 30 NY3d at 158-159).³

Adopting the Appellate Division's reasoning—that, once liability for disability benefits has been transferred to the Special Fund, the employer and carrier are thereby divested of all liability for future death benefits claims arising from the same injury—would be in contravention of the statutory text and our

3. The dissent invokes the legislature's decision to allow for "an approximately nine-month grace period during which the Board would consider new applications" after the effective date of Workers' Compensation Law § 25-a (1-a), which the dissent asserts is proof that the legislature did not really intend for the expeditious closure of the Special Fund (dissenting op at 406, citing *American Economy*, 30 NY3d at 143). On the contrary, the mere existence of a grace period constitutes a tacit recognition of the otherwise harsh outcome the legislature intended. In any event, a grace period of less than a year is hardly incontrovertible evidence that the legislature must have intended the fund to remain open to new claims "for years, if not decades" (*American Economy*, 30 NY3d at 159).

conclusions in *Zechmann* and *Hroncich* that a death benefits claim is separate from the original disability claim and would also result in leaving the Special Fund open for years, continuing the windfall to carriers that the amendment was expressly intended to eliminate.⁴

In contrast, interpreting Workers' Compensation Law § 25-a (1-a) as foreclosing transfer of liability for death benefits that accrue after the cutoff date minimizes costs and avoids the windfall that animated the amendment's passage. Further, there is no danger that reversal here would leave a decedent's survivor without benefits, as the legislature explicitly contemplated and addressed such a situation in other sections of the statute (*see e.g.* Workers' Compensation Law § 107 [establishing the workers' compensation security fund "to assure to persons and funds entitled thereto the compensation and benefits provided by this chapter for employments insured in insolvent carriers"]; Workers' Compensation Law § 50 [3] [requiring self-insured employers to furnish security]).

[2] Finally, the Appellate Division's alternative ground for its decision in *Verneau*—that the statute does not apply here because there was no formal, written "application" for transfer of liability in the record—is wholly without merit. The statute imposes no such requirement on applications for transfer of liability, and, under long-standing Board practice, an application will be deemed to have been made when "any party rais[es] liability under WCL § 25-a at a hearing," as occurred here (*see Employer: Del Labs*, 2009 WL 193434, *6, 2009 NY Wrk Comp LEXIS 4054, *16 [WCB No. 2940 8739, Jan. 14, 2009]).

4. According to the Board, there are currently more than 9,000 lifetime claims that have been previously transferred to the Special Fund where the claimant is still alive. The Appellate Division's rule would permit liability for death benefits claims to be transferred to the Fund for each of those claims, as long as the death was causally related to the injury underlying the disability claim. Even assuming, conservatively, that only 10% of those claims resulted in a finding of liability for consequential death benefits, that would mean the Special Fund would remain open to pay those additional 900 claims—in an amount up to two thirds of the decedent's average wages (*see e.g.* Workers' Compensation Law § 16 [2]). That is a large figure by any count, but it becomes even harder to square with the legislature's intent to expeditiously close the Fund when one considers that death benefits claims may potentially be paid out, in some cases, for the entire lifetime of the decedent's surviving beneficiaries (as when the decedent has a permanently disabled child) (*id.*).

III.

Accordingly, in each matter, the Appellate Division order should be reversed, with costs, and the decision of the Workers' Compensation Board reinstated.

GARCIA, J. (dissenting). The relevant amendment to the Workers' Compensation Law provides that "[n]o application . . . for transfer of liability of a claim to the fund for reopened cases shall be accepted" after January 1, 2014 (Workers' Compensation Law § 25-a [1-a]). In my view, we must determine when the transfer of "liability of a claim" occurs to properly apply the law. In these two appeals, the cost of liability for the related disability claims was assigned to the Special Fund for Reopened Cases years before the January 1, 2014 deadline for new transfers. I agree with the Appellate Division that, at that same time, responsibility for all benefits on a reopened case, including those costs associated with a future claim for death benefits causally related to the injury underlying the previously assigned disability case, transferred to the Special Fund. In these appeals, no liability for payment of death benefits needed to be transferred to the Special Fund after the 2014 deadline. Therefore, I dissent from the majority's contrary holding absolving the Special Fund of responsibility for payment.

"Workers' compensation insurance is a heavily regulated area of the law," and the consequences of any modification to that law can be far-reaching, affecting both past and future allocation of risk and liability (*American Economy Ins. Co. v State of New York*, 30 NY3d 136, 140 [2017]). There can be no doubt that the law closing the Special Fund had such an impact (*id.* at 148-158). The legislature worked this change as follows:

"No application by a self-insured employer or an insurance carrier for *transfer of liability of a claim to the fund* for reopened cases shall be accepted by the board on or after the first day of January, two thousand fourteen except that the board may make a finding after such date pursuant to section twenty-three of this article upon a timely application for review." (Workers' Compensation Law § 25-a [1-a] [emphasis added]; *see also* L 2013, ch 57, § 1, part GG, § 13).

In these two appeals, it is undisputed that the obligation to pay benefits on the underlying disability claims transferred to

the Special Fund before the January 1, 2014 deadline. The insurance carriers argue that this, in turn, conferred responsibility on the Special Fund for any future claims for death benefits causally related to the original injury. In *Verneau*, the costs of the liability for Robert Verneau's underlying claim for disability benefits transferred to the Special Fund in 2011. Verneau died in 2017 and his widow subsequently filed a claim for death benefits. In *Rexford*, the costs related to Reginald Radley's disability benefits claim transferred to the Special Fund in 1997. Radley died in 2016, and his daughter filed a claim for death benefits in 2017. Despite the transfer of liability for the underlying disability claim before the cutoff date, the Special Fund and the Workers' Compensation Board argue, and the majority agrees, that the amendment prohibits assignment of liability of "new" claims for death benefits to the Special Fund after January 1, 2014.

This case involves application of our well-settled rules of statutory interpretation, and the "starting point" for that analysis "must be the plain meaning of the statutory language" (*Leader v Maroney, Ponzini & Spencer*, 97 NY2d 95, 104 [2001]). When performing that textual analysis, "meaning and effect should be given to every word of a statute" (*id.*). Moreover, as the majority emphasizes, "[t]he [l]egislature is presumed to be aware of the law in existence at the time of an enactment" (*Matter of Amorosi v South Colonie Ind. Cent. School Dist.*, 9 NY3d 367, 373 [2007]; see majority op at 396). Here, in the complex and highly-specialized area of Workers' Compensation Law, it is crucial that the Court consider the relevant legal framework at the time of the statute's enactment in 2013—including the allocation of claims, costs, and liabilities—and the operation of the amendment within that established framework.

The law provides that "[n]o application . . . for transfer of liability of a claim to the fund for reopened cases shall be accepted by the board on or after the first day of January, two thousand fourteen" (Workers' Compensation Law § 25-a [1-a]). The majority assumes that because the causally related claims for death benefits are "new claims," liability for costs associated with those claims cannot be transferred after January 1, 2014 (see majority op at 398 n 3). But "claim" is not synonymous with "liability," and we must give effect to the intent of the legislature as expressed through the language it used. I would hold instead, as did the Court below, that liability for

costs associated with the original claim, including the cost of a related death benefits claim, transferred with the original disability claim.

The majority's review of statutory context begins and ends with this Court's 1995 decision in *Matter of Zechmann v Canis-teo Volunteer Fire Dept.* (85 NY2d 747 [1995]), a case "decided nearly two decades prior to the enactment of Workers' Compensation Law § 25-a (1-a)" (majority op at 396). The lesson the majority takes from *Zechmann* is that a claim for death benefits is a "separate and distinct legal proceeding brought by the beneficiary's dependents and is not equated with the beneficiary's original disability claim" (*see id.*, quoting *Zechmann*, 85 NY2d at 751). Given the majority's reading of the statute to bar the transfer of "new claims" after January 1, 2014, and given that *Zechmann* establishes that a claim for death benefits is a "new claim," the majority reasons that the statute bars transfer of these claims for death benefits (*see* majority op at 396-398). Moreover, according to the majority, divesting the employer and carrier of "all liability for future death benefits claims arising from the same injury" as the previously transferred disability claim "would . . . result in leaving the Special Fund open for years, continuing the windfall to carriers that the amendment was expressly intended to eliminate" (*id.* at 398-399). Each step of this analysis is flawed.

Zechmann considered only "whether a claim by a surviving spouse for death benefits traceable to a 1951 injury suffered by a workers' compensation beneficiary [was] time-barred" (85 NY2d at 750). In rejecting several arguments that the filing of a death benefits claim was a "reopening of a closed case," we held that the claim for disability benefits was instead a "new claim" (*id.* at 753). But the sole issue in *Zechmann* was timeliness of the claim (*id.* at 750). We had no occasion to address whether liability for any future causally related death benefits claim was properly assigned to the Special Fund at the time liability for the underlying disability benefits claim transferred.

That issue was considered by the Appellate Division 16 years later in *Matter of Fitzgerald v Berkshire Farm Ctr. & Servs. for Youth* (87 AD3d 353 [3d Dept 2011]). In that case, the Workers' Compensation Board held that because disability benefits had been paid within three years of the death benefits claim, albeit by the Special Fund, the time requirements for shifting liability found in Workers' Compensation Law § 25-a (1) had not been satisfied with respect to the causally related claim for

death benefits and therefore liability for that claim remained with the employer and its carrier (*Fitzgerald*, 87 AD3d at 354). The Third Department disagreed, holding that once the requirements for transfer of a “stale claim” had been satisfied, the Special Fund stepped into the shoes of the carrier and was liable for a subsequent causally related claim for death benefits whenever it accrued (*id.* at 355; *see also Matter of Riccardi v Dellwood Dairy Co.*, 38 AD2d 666 [3d Dept 1971]). This 2011 holding was never appealed by the Special Fund and was controlling in 2013 when the legislature amended Workers’ Compensation Law § 25-a (1-a).

Not surprisingly, after enactment of the 2013 amendment, the Appellate Division applied the *Fitzgerald* rule to hold that the Special Fund remained responsible for a “consequential death claim” even though the original claimant’s death occurred after the January 1, 2014 cutoff date (*Matter of Misquitta v Getty Petroleum*, 150 AD3d 1363, 1364 [3d Dept 2017]). The court acknowledged that the “[t]he Special Fund is correct that ‘a claim for death benefits . . . is a separate and distinct legal proceeding brought by the beneficiary’s dependents and is not equated with the beneficiary’s original disability claim’ ” (*id.* at 1365, quoting *Zechmann*, 85 NY2d at 751), and specifically noted that separate statutory provisions apply for disability and death benefits (*id.*, citing Workers’ Compensation Law §§ 15, 16; *see also* majority op at 397). Nevertheless, the Court held that “where, as here, liability for a claim has already been transferred from the carrier to the Special Fund and the employee thereafter dies for reasons causally related to the original claim, the Special Fund remains liable for the claim for death benefits” (*Misquitta*, 150 AD3d at 1365). “[U]nder these circumstances, claimant need not obtain another transfer of liability to the Special Fund upon decedent’s death, as liability had already been transferred” (*id.*).

The majority’s response to these carefully considered opinions is to instruct that this “intermediate appellate court” is not the “arbiter of New York law” and to cast the cases as being in “conflict” with this Court’s holding in *Zechmann* and with the Third Department’s own precedent (majority op at 396-397 n 2). But the lesson is gratuitous and the conflict illusory.

By law, an appeal of a decision of the Workers’ Compensation Board must be taken to the Appellate Division, Third Department (Workers’ Compensation Law § 23). “The rationale behind this provision is to create a court with a specific expertise to

deal with the complexity of the appeals that are generated in this area” (*Matter of Empire Ins. Co. v Workers’ Compensation Bd.*, 201 AD2d 425, 426 [1st Dept 1994]). So, while it is true the Third Department is not the final “arbiter” of New York law, it plays a unique role in developing the law of workers’ compensation. And, as discussed, no appeal to this Court was taken from the Third Department’s decision in either *Fitzgerald* or *Misquitta*.

Nor is there any conflict between *Fitzgerald* and *Misquitta* and this Court’s holding in *Zechmann*. In *Misquitta*, the Third Department cited to *Zechmann*’s rule that “a claim for death benefits . . . is a separate and distinct legal proceeding . . . and is not equated with the beneficiary’s original disability claim” (*Misquitta*, 150 AD3d at 1365, quoting *Zechmann*, 85 NY2d at 751). Nevertheless, because of the earlier transfer of responsibility for payment on the underlying disability claim, that Court held that the Special Fund “remains liable for the claim for death benefits” (*id.*). There is simply no conflict between our holding concerning the accrual date of a claim for death benefits and the Third Department’s holdings that responsibility for paying such a claim transfers to the Special Fund at the same time as the transfer of responsibility for payment of a causally related claim for disability benefits.

The majority also concludes that in *Fitzgerald* and *Misquitta*, the Third Department somehow “contradicted” its own precedent (majority op at 396-397 n 2, quoting *Commissioners of State Ins. Fund v Hallmark Operating, Inc.*, 61 AD3d 1212, 1213 [3d Dept 2009] [echoing *Zechmann*, “[n]or is death a new injury, but rather a new claim consequentially related to the original injury”]). *Hallmark* concerned a dispute between a carrier and an insured over which policy covered a claim for death benefits—the policy in effect when the original disability occurred or the policy effective at the time of the employee’s death (61 AD3d at 1212-1213). The Court held that the death benefits claim was payable under the earlier policy (*id.* at 1213). If anything, the holding that the earlier accident date “was the actual date of loss for both the original injury and the causally related death,” and therefore the earlier policy was the operative one (*id.*), supports the later holdings in *Fitzgerald* and *Misquitta* that responsibility for claims related to the earlier injury, including the resulting death, transferred to Special Fund with the disability claim. In any event, the purported “conflict” between *Hallmark* and *Fitzgerald*/

Misquitta rests on the same faulty premise underlying the majority's assertion that those holdings conflict with *Zechmann*—namely, the view that because the claim for death benefits is a “new claim,” responsibility for paying that potential future claim can never be assigned to the Special Fund before accrual. But of course, the cases are perfectly consistent. In fact, the Third Department specifically acknowledged the holdings in both *Zechmann* and *Hallmark* in reaching its conclusion that the Special Fund “remain[ed] liable for the claim or death benefits” causally related to the previously transferred disability claim (see *Misquitta*, 150 AD3d at 1365 [citing both cases]).

Moreover, whatever the majority's current view of the holdings in *Fitzgerald* and *Misquitta*, no appeal to this Court was taken in either case, and the rulings by the Third Department were binding on the Workers' Compensation Board.* Even if the majority now disagrees with the holdings in *Fitzgerald* and *Misquitta*, it still must overcome a more fundamental issue of statutory interpretation: we must assume the legislature was aware of the *Fitzgerald* rule requiring the Special Fund to pay causally related death benefits once the underlying disability claim was properly transferred to the Special Fund (see *Amorosi*, 9 NY3d at 373). In this case, we must assume the legislature was aware that the agency was operating consistently with the binding decisions of the Third Department, making “transfer” of related claims for death benefits unnecessary after responsibility for payment of the underlying disability claim had transferred to the Special Fund. Enacted against this framework, no “transfer of liability”—of “‘a’ claim” or any claim (see majority op at 396 n 1)—needs to take place in such a case, and therefore the deadline is no bar to the Special Fund's responsibility for payment.

The majority is concerned with undermining the “purpose” of the statute (see majority op at 398-399 and n 4), but that concern is misaligned with the balanced approach taken by the legislature. By far the most effective way of achieving the goal of “prevent[ing] a windfall for [insurance] carriers” and closing off future liability would have been to close the Special Fund to any new “claims” effective immediately (see *American Economy*

* The Workers' Compensation Board clearly understood what *Fitzgerald* required. In the decision appealed by the Special Fund in *Misquitta*, both the Workers' Compensation Law Judge and the Board held that the Special Fund was liable for the death claim even though it “accrued” after January 1, 2014 (*Misquitta*, 150 AD3d at 1364).

Ins. Co., 30 NY3d at 144, quoting Mem in Support, 2013-2014 NY St Executive Budget, Public Protection and General Government Article VII Legislation at 29). Rather than a hard stop, however, the 2013 law included “an approximately nine-month grace period during which the Board would consider new applications” (*id.* at 143). The legislature also kept the Fund “open to administer reopened cases previously assigned to the Fund” (*id.*). An analysis that considers the existing state of the law with respect to “transfer” of claims for death benefits related to previously assigned disability claims, and the agency’s practice in applying that law, furthers the legislature’s careful balancing of the interests of all those affected by such a substantial change in the Workers’ Compensation Law. As with liability for reopened cases previously assigned to the Special Fund, liability for death claims causally connected to previously assigned disability claims rested with the Special Fund and there it was intended to remain.

Accordingly, I would affirm the order of the Appellate Division and hold that because no separate “transfer” of liability to the Special Fund for the costs of the causally related death benefits claims was required, Workers’ Compensation Law § 25-a (1-a) does not relieve the Special Fund of responsibility for these claims.

In each case: Order reversed, with costs, and decision of the Workers’ Compensation Board reinstated.

Opinion by Judge RIVERA. Chief Judge DiFIORE and Judges WILSON, SINGAS and CANNATARO concur; Judge GARCIA dissents and votes to affirm in an opinion, in which Judge FAHEY concurs.

[180 NE3d 516, 159 NYS3d 352]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v TYRONE
WORTHAM, Appellant.

Argued October 7, 2021; decided November 23, 2021

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 5, 2018. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Charles H. Solomon, J., at suppression hearing; Richard D. Carruthers, J., at jury trial and sentencing), which had convicted defendant, upon a jury verdict, of criminal possession of a weapon in the second degree, criminal possession of a weapon in the third degree (two counts), criminal possession of a controlled substance in the third degree, criminal possession of a controlled substance in the seventh degree, criminally using drug paraphernalia in the second degree (two counts), and endangering the welfare of a child (two counts).

People v Wortham, 160 AD3d 431, reversed.

HEADNOTES

Crimes — Confession — Pedigree Exception to *Miranda* Requirement — Disguised Attempt at Investigatory Interrogation

1. The pedigree exception to the *Miranda* requirement will not apply even if the pedigree question is reasonably related to police administrative concerns where, under the circumstances of the case, a reasonable person would conclude based on an objective analysis that the pedigree question was a disguised attempt at investigatory interrogation. Pedigree questions must be reasonably related to the police's administrative concerns for the pedigree exception to *Miranda* to apply, and whether the information gathered turns out to be incriminating in some respect does not, by itself, alter that general rule. To the extent that *People v Rodney* (85 NY2d 289, 294 [1995]) suggested otherwise when it stated that questions "reasonably likely to elicit an incriminating response" would not qualify for the pedigree exception, the Court of Appeals clarified that simply because a pedigree question elicits an incriminating response does not preclude the application of the pedigree exception to *Miranda*. Further, the suppression court may consider the subjective intent of the officer in assessing whether the pedigree exception applies, but the inquiry itself must be objective. The proper inquiry is whether the police used pedigree questions as a guise for improperly conducting an investigative inquiry without first providing *Miranda* warnings.

Crimes — Confession — Statements Made in Response to Pedigree Question

2. In a criminal prosecution arising out of execution of a search warrant during which defendant was handcuffed and questioned upon police entry

into an apartment, the question posed to defendant regarding where he lived fell within the pedigree exception to the *Miranda* requirement because it was reasonably related to the police's administrative concerns and was not a disguised attempt at investigatory interrogation. The detective's testimony during the suppression hearing established the administrative purpose for seeking pedigree information from any adults found at a location where a search warrant was to be executed: the police must know whom they have in custody. The People thereby established the threshold basis for the pedigree exception to apply. The police asked defendant his name, date of birth, and where he lived immediately after their entry to the apartment, before the apartment had been searched and before any contraband had been found. The detective further testified that it was standard practice for all adults found at a location where a search warrant is executed to be handcuffed and asked those pedigree questions, regardless of whether contraband was found during the search. That defendant's response ultimately turned out to be incriminating did not alter the conclusion that, at the time it was asked, the question was not a disguised attempt at investigatory interrogation by the police.

Crimes — Harmless and Prejudicial Error — Denial of Motion for *Frye* Hearing on Admissibility of Evidence Derived from Forensic Statistical Tool

3. In a criminal prosecution, Supreme Court's abuse of its discretion in denying defendant's motion for a *Frye* hearing with respect to the admissibility of statistical evidence derived from the New York City Office of Chief Medical Examiner's (OCME) forensic statistical tool (FST) on a multiple-source DNA sample was not harmless, where the evidence of defendant's guilt was not overwhelming without the DNA evidence, and there was a significant probability that the admission of that evidence contributed to the verdict. The FST is a proprietary program exclusively developed and used by OCME and has not been subjected to independent outside validation. The approval of the DNA Subcommittee of the New York State Commission on Forensic Science was no substitute for the scrutiny of the relevant scientific community. The FST should be supported by those with no professional interest in its acceptance. The statistical DNA evidence derived from use of the FST was the strongest evidence tying defendant to the contraband found in the apartment. The People's remaining evidence consisted of proof that defendant either lived at or was frequently present at the apartment itself and did not link him directly to the contraband. Moreover, the People emphasized the DNA evidence as proof of defendant's possession of the contraband.

Crimes — Appeal — Remittitur — Conditional Remand for *Frye* Hearing on Admissibility of Evidence Derived from Forensic Statistical Tool

4. In a criminal prosecution in which Supreme Court abused its discretion in denying defendant's motion for a *Frye* hearing with respect to the admissibility of statistical evidence derived from the New York City Office of Chief Medical Examiner's forensic statistical tool (FST) on a multiple-source DNA sample, the Court of Appeals' conditional remand to Supreme Court for a *Frye* hearing was not inappropriate or unconstitutional. The Court of Appeals and the intermediate appellate courts are authorized to "take or direct such corrective action as is necessary and appropriate both to rectify any injustice to the appellant . . . and to protect the rights of the respondent" (CPL 470.20). The error was the trial court's failure to exercise its gatekeeping role under *Frye* to determine the admissibility of the evidence generated by the FST. It was unknown whether the DNA evidence was improperly

admitted at trial because a *Frye* hearing was not held. The appropriate remedy was a remittal to the trial court for a *Frye* determination. In the absence of that threshold determination, appellate review of the admissibility of the evidence and, concomitantly, whether the evidence was improperly admitted during trial, could not be performed.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Appellate Review §§ 705, 706; AM JUR 2d Criminal Law §§ 895, 899; AM JUR 2d Evidence §§ 703, 710, 737, 741, 743, 744, 989, 994, 1013.

CARMODY-WAIT 2d Confessions; Privilege Against Self-Incrimination §§ 176:20, 176:35–176:37, 176:61; CARMODY-WAIT 2d Particular Types of Evidence §§ 194:200, 194:209; CARMODY-WAIT 2d Appeals in Criminal Cases §§ 207:184, 207:254.

LAFAVE, ET AL., CRIMINAL PROCEDURE (4th ed) §§ 6.6, 6.7, 24.4.

McKINNEY'S, CPL 470.20.

NY JUR 2d Criminal Law: Procedure §§ 578, 579, 589, 1635, 1646, 2247, 2248, 2264, 3747, 3756.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Confessions and Admissions; Custodial Interrogation; DNA; Expert and Opinion Evidence; Forensic Science; Miranda Warnings.

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POINTS OF COUNSEL

Janet E. Sabel, The Legal Aid Society, New York City (Angie Louie, William B. Carney, Andrew C. Fine and Terri S. Rosenblatt of counsel), for appellant. I. The lower courts failed to apply the governing objective standard for determining whether the interrogating detective violated *Miranda* by asking appellant where he lived, during his detention inside his girlfriend's apartment as police were executing a search warrant, since the questioning did not take place during a conventional station-house booking process and the detective should have known that his custodial question was likely to elicit an incriminating response. (*Miranda v Arizona*, 384 US 436; *People v Rodney*,

85 NY2d 289; *Rhode Island v Innis*, 446 US 291; *Pennsylvania v Muniz*, 496 US 582; *United States v Parra*, 2 F3d 1058; *United States v Doe*, 878 F2d 1546; *United States v Gonzalez-Sandoval*, 894 F2d 1043; *United States v Disla*, 805 F2d 1340; *United States v Mata-Abundiz*, 717 F2d 1277; *United States v Pacheco-Lopez*, 531 F3d 420.) II. The court denied appellant his right to a fair trial when it refused to grant defense counsel's motion for severance, even after it was revealed that counsel for co-defendant was going to raise an antagonistic defense and co-counsel then argued at length that appellant, not codefendant Shawana Harrison, was responsible for bringing the contraband into the apartment. (*People v Mahboubian*, 74 NY2d 174; *People v Burrelle*, 21 NY2d 265; *People v Cardwell*, 78 NY2d 996; *People v McGuire*, 148 AD3d 1578; *People v Lessane*, 142 AD3d 562; *People v Nixon*, 77 AD3d 1443; *People v Kyser*, 26 AD3d 839.) III. The court deprived appellant of due process of law when it refused to grant a *Frye* hearing on the issue of whether the methodology employed in the Office of Chief Medical Examiner's novel Forensic Statistical Tool (FST) program was generally accepted in the scientific community, despite no other court having held such a hearing, and allowing expert testimony on the FST and its results, despite the people failing to meet their burden of proof showing a consensus agreeing with their methodology. (*People v Wesley*, 83 NY2d 417; *People v Foster-Bey*, 158 AD3d 641, 32 NY3d 937; *People v Williams*, 158 AD3d 471, 32 NY3d 942.)

Cyrus R. Vance, Jr., District Attorney, New York City (David M. Cohn and Alan Gadlin of counsel), for respondent. I. Defendant's suppression motion was properly denied. (*Miranda v Arizona*, 384 US 436; *People v Rodney*, 85 NY2d 289; *Pennsylvania v Muniz*, 496 US 582; *Rhode Island v Innis*, 446 US 291; *People v Flagg*, 149 AD3d 513; *People v Watts*, 309 AD2d 628; *People v Velazquez*, 33 AD3d 352; *People v Acevedo*, 258 AD2d 140; *People v McMillian*, 240 AD2d 184; *United States v Gaston*, 357 F3d 77.) II. The trial court properly denied defendant's eve-of-trial severance motion. (*People v Lawrence*, 64 NY2d 200; *People v Johnson*, 60 AD3d 484; *People v Mahboubian*, 74 NY2d 174; *People v Bornholdt*, 33 NY2d 75; *People v Martin*, 154 AD2d 554; *People v Jones*, 224 AD2d 334; *People v Cardwell*, 78 NY2d 996; *People v Boddie*, 226 AD2d 120.) III. The trial court properly denied defendant's request for a *Frye* hearing. In any event, any error was harmless. (*People v Williams*, 35 NY3d 24; *People v Foster-Bey*, 35 NY3d 959; *People v LeGrand*, 8 NY3d 449; *People v Frumusa*, 29 NY3d 364; *People*

v Scarola, 71 NY2d 769; *People v Taylor*, 75 NY2d 277; *People v Oddone*, 22 NY3d 369; *People v Wesley*, 83 NY2d 417; *People v Middleton*, 54 NY2d 42; *Matter of Lahey v Kelly*, 71 NY2d 135.)

OPINION OF THE COURT

FAHEY, J.

On this appeal, we are first asked to determine whether a police officer's question to defendant regarding where he lived falls within the "pedigree exception" to the *Miranda* requirement. We conclude that it does. We nevertheless reverse and remit because no *Frye* hearing was held (*see Frye v United States*, 293 F 1013 [DC Cir 1923]) on the admissibility of statistical evidence generated by the forensic statistical tool (FST) developed by the New York City Office of Chief Medical Examiner (OCME), where it is alleged that defendant was a contributor to a multiple-source DNA profile.

I.

In May 2011, police officers executed a search warrant at an apartment in Brooklyn. When the officers entered the apartment, defendant and his two young children were inside. Pursuant to police department policy, defendant was handcuffed. While still inside the apartment, a detective asked defendant his name, date of birth, address, height, and weight. Defendant stated that his children's mother let him stay at the apartment, motioning toward a bed in the living room. No *Miranda* warnings were given to defendant before those questions were asked. The detective asked defendant for his pedigree information before any contraband was found in the apartment. After defendant's departure from the apartment, the officers recovered weapons, drugs, and drug paraphernalia from a back bedroom. Defendant and a codefendant were jointly indicted and tried on several counts related to the possession of the firearms and controlled substances.

The admissibility of defendant's statement that he lived at the apartment was the subject of a pretrial suppression hearing. During that hearing, the detective who asked defendant for his "pedigree" information testified that it was the policy of the New York City Police Department to handcuff all adults found inside a location where a search warrant was to be executed, pat them down for weapons, ask them certain questions for identification purposes, and then transport them from the

search warrant location to the precinct or central booking. The questions typically included the person's name, date of birth, address, height, and weight. The detective testified that all adults found inside a searched location were asked those pedigree questions, regardless of whether contraband was ultimately found during the search, and the information was entered into the online booking system. If the individual was later arrested, the police would have pedigree information for the person under arrest. If that person was not later arrested, the information would still be entered into the online booking system in order to document that the individual had been in police custody at one point. The detective further testified that he followed this procedure with defendant. After the hearing, the suppression court ruled that defendant's statement that he lived in the apartment was admissible because it fell within the scope of the pedigree exception to the *Miranda* requirement.

Before trial, defendant moved to preclude expert testimony regarding the probability that he was a contributor to a multiple-source DNA sample, a statistic derived from the use of the FST, or, in the alternative, for a *Frye* hearing. The court denied defendant's motion without a *Frye* hearing. Defendant also moved for a severance on the eve of trial, which motion was denied. After a jury trial, defendant was convicted on all counts.

The Appellate Division affirmed the judgment (160 AD3d 431 [1st Dept 2018]). The Court concluded that the pedigree exception to *Miranda* applied and that the trial court properly denied defendant's motion to suppress his statement (*see id.* at 431). The Appellate Division further concluded that defendant's severance motion and his motion for a *Frye* hearing were properly denied (*see id.* at 432).

A Judge of this Court granted defendant leave to appeal (34 NY3d 940 [2019]). We now reverse.

II.

We first address defendant's contention that his suppression motion should have been granted because the pedigree exception to *Miranda* did not apply.

A.

Miranda warnings (*see Miranda v Arizona*, 384 US 436 [1966]) are required before a person in custody is subjected to

interrogation by the police (see *Rhode Island v Innis*, 446 US 291, 297-302 [1980]; *People v Paulman*, 5 NY3d 122, 129 [2005]).¹ “The term “interrogation” under *Miranda* refers not only to express questioning, but also to any words or actions on the part of the police (other than those normally attendant to arrest and custody) that the police should know are reasonably likely to elicit an incriminating response” (*Paulman*, 5 NY3d at 129, quoting *People v Ferro*, 63 NY2d 316, 322 [1984], *cert denied* 472 US 1007 [1985]; see *Innis*, 446 US at 300-302).

Pedigree questions, also sometimes referred to as “booking questions,” typically ask a suspect for identifying information such as name, date of birth, and address. These questions constitute custodial interrogation when they are posed to a suspect in custody (see *People v Rodney*, 85 NY2d 289, 292 [1995], citing *Pennsylvania v Muniz*, 496 US 582, 601-602 [1990 plurality]). Nevertheless, we have recognized an exception to *Miranda* for pedigree questions (see *Rodney*, 85 NY2d at 292; *People v Rodriguez*, 39 NY2d 976, 978 [1976]; *People v Rivera*, 26 NY2d 304, 309 [1970]). We explored the genesis and scope of the pedigree exception in *Rodney*. “The exception derives from the essential purpose of *Miranda*—to protect defendants from self-incrimination in response to questions posed as part of the investigation of a crime, as distinguished from noninvestigative inquiries” (*Rodney*, 85 NY2d at 292). Pedigree questions are an exception to *Miranda*—that is, a defendant’s response to such questions is “not suppressible even when obtained in violation of *Miranda*”—when the questions are “‘reasonably related to the police’s administrative concerns’” (*id.* at 292-293, quoting *Muniz*, 496 US at 601-602).

[1] As a threshold matter, pedigree questions must be reasonably related to the police’s administrative concerns for the pedigree exception to *Miranda* to apply (see *id.*). The exception may not apply in certain situations, however, even if the question is reasonably related to police administrative concerns. As we stated in *Rodney*, “the mere claim by the People that an admission was made in response to a question posed solely as an administrative concern does not automatically qualify that admission for the pedigree exception to *Miranda* or exempt the People from the necessity of supplying a CPL 710.30 notice” (*id.* at 293).

1. The People do not dispute that defendant was in police custody at the time he was questioned.

Our decision in *Rodney* has engendered some confusion regarding when the pedigree exception will apply. In that decision, the Court stated that the pedigree exception would not apply “if the questions, though facially appropriate, are likely to elicit incriminating admissions because of the circumstances of the particular case,” or, stated another way, if the question is “reasonably likely to elicit an incriminating response from [the] defendant” (*id.* at 293-294). We also stated in *Rodney*, however, that the pedigree exception applied in that case because the question was “not a disguised attempt at investigatory interrogation” (*id.* at 294). *Rodney* requires clarification.

We agree with the Second Circuit’s view that “[w]hether the information gathered turns out to be incriminating in some respect does not, by itself, alter the general rule that pedigree questioning” does not require *Miranda* warnings (*Rosa v McCray*, 396 F3d 210, 221 [2d Cir 2005], *cert denied* 546 US 889 [2005]). If the biographical questions are reasonably related to police administrative concerns, and thereby meet the threshold requirement for the pedigree exception to apply, the fact that the response given by the defendant may ultimately turn out to be incriminating at trial does not alter the analysis. To the extent that *Rodney* suggested otherwise when it stated that questions “reasonably likely to elicit an incriminating response” would not qualify for the pedigree exception (*see id.* at 294), we now clarify that simply because a pedigree question elicits an incriminating response does not preclude the application of the pedigree exception to *Miranda*.

We further conclude that the subjective intent of the officer may be relevant but is not dispositive. In other contexts, we have “acknowledge[d] the difficulty, if not futility, of basing the constitutional validity of searches or seizures on judicial determinations of the subjective motivation of police officers” (*People v Garvin*, 30 NY3d 174, 186 [2017] [internal quotation marks omitted]). The suppression court may consider the subjective intent of the officer in assessing whether the pedigree exception applies, but the inquiry itself must be objective (*see United States v Doe*, 878 F2d 1546, 1551 [1st Cir 1989] [“The question is an objective one; the officer’s *actual* belief or intent is relevant, but it is not conclusive”]).

The primary purpose of *Miranda* is “to protect defendants from self-incrimination in response to questions posed as part of the investigation of a crime” (*Rodney*, 85 NY2d at 292). The police are “entitled to make a reasonable inquiry as to the

identity of the person they have taken into custody” (*Rivera*, 26 NY2d at 309; *see Rodney*, 85 NY2d at 292 [distinguishing “non-investigative inquiries”]). As a result, when a defendant challenges the application of the pedigree exception, the proper inquiry for the suppression court is whether the police used pedigree questions as a guise for improperly conducting an investigative inquiry without first providing *Miranda* warnings.

We hold that the pedigree exception will not apply even if the pedigree question is reasonably related to police administrative concerns where, under the circumstances of the case, a reasonable person would conclude based on an objective analysis that the pedigree question was a “disguised attempt at investigatory interrogation” (*Rodney*, 85 NY2d at 294). Confining the scope of the pedigree exception to police inquiries that are “directed solely to administrative concerns” (*id.* at 293), but precluding application of the pedigree exception where an objective analysis demonstrates that the police are using the cover of pedigree questions to improperly conduct an investigative inquiry without *Miranda* warnings, is consistent with both our decision in *Rodney* and the policies underlying the *Miranda* rule.

B.

[2] Applying those principles to the case before us, we conclude that the pedigree exception applied and that defendant’s suppression motion was properly denied. The detective’s testimony during the suppression hearing established the administrative purpose for seeking pedigree information from any adults found at a location where a search warrant is to be executed: the police must know whom they have in custody (*see Rivera*, 26 NY2d at 309). The People thereby established the threshold basis for the pedigree exception to apply, i.e., the questions were reasonably related to the police’s administrative concerns (*see Rodney*, 85 NY2d at 292).

We further agree with the People that the pedigree questions were not a disguised attempt at investigatory interrogation (*see id.* at 294). Notably, the police asked defendant his name, date of birth, and where he lived immediately after their entry to the apartment, before the apartment had been searched and before any contraband had been found. The detective further testified that it is standard practice for *all* adults found at a location where a search warrant is executed to be handcuffed

and asked these pedigree questions, regardless of whether contraband is found during the search. That defendant's response ultimately turned out to be incriminating does not alter the conclusion that, at the time it was asked, the question was not a disguised attempt at investigatory interrogation by the police (*see id.*).

We have previously observed that “[a]sking a suspect for his name and address is neither intended nor likely to elicit information of a criminal nature” (*Rivera*, 26 NY2d at 309). Although there may be some circumstances where asking a suspect for core identifying information such as name, date of birth, and address will not qualify for the pedigree exception to *Miranda*, those circumstances will be rare. Here, the question posed to defendant regarding where he lived was reasonably related to the police's administrative concerns, and, under the circumstances, was not a disguised attempt at investigatory interrogation (*see Rodney*, 85 NY2d at 292-294). The pedigree exception to *Miranda* applied, and no *Miranda* warnings were required before police asked defendant for this information. Defendant's suppression motion was properly denied.

III.

[3] We nevertheless hold that reversal is warranted because the court abused its discretion when it denied defendant's motion for a *Frye* hearing with respect to the admissibility of evidence derived from the FST on a multiple-source DNA sample.

People v Williams (35 NY3d 24 [2020]) and its companion case, *People v Foster-Bey* (35 NY3d 959 [2020]), control here and require reversal.² There, we held under nearly identical circumstances that the trial courts had abused their discretion as a matter of law in admitting the results of DNA analysis conducted using the FST without first holding a *Frye* hearing (*see Williams*, 35 NY3d at 30; *Foster-Bey*, 35 NY3d at 961). We upheld the defendants' convictions on those appeals only because we concluded that the error was harmless (*see Williams*, 35 NY3d at 42-43; *Foster-Bey*, 35 NY3d at 961).

Williams contains our reasoning on the *Frye* issue with respect to the FST. In *Williams*, no *Frye* hearing had yet been held on the FST at the time of the underlying motion practice (*see Williams*, 35 NY3d at 35). In support of his motion, the de-

2. *Williams* and *Foster-Bey* were not yet decided when the trial court declined defendant's request for a *Frye* hearing.

fendant in *Williams* argued that the FST was a proprietary program developed and used only by OCME and had not been subjected to independent outside validation (*see id.* at 33). The People opposed the motion primarily by arguing that the FST was based on generally accepted mathematical formulas and had been approved by the DNA Subcommittee of the New York State Commission on Forensic Science (*see id.* at 34-35).

We agreed with defendant that the trial court was required to hold a *Frye* hearing. We observed that the “FST is a proprietary program exclusively developed and controlled by OCME,” and that the approval of the DNA Subcommittee was “no substitute for the scrutiny of the relevant scientific community” (*id.* at 41). The Court concluded that the defendant’s papers had “adequately showed that OCME’s secretive approach to the FST was inconsistent with quality assurance standards within the relevant scientific community” (*id.* at 41). In addition, we stated that the FST “should be supported by those with no professional interest in its acceptance” (*id.* at 42).

Williams and *Foster-Bey* are controlling here, and the People’s attempt to distinguish this case is unavailing. Although low copy number (LCN) DNA evidence was at issue in those cases, we held, independently, that a *Frye* hearing was required with respect to *both* LCN DNA evidence and statistical DNA evidence derived from the FST (*see id.* at 38-42). The People’s contention that the defendant’s motion papers in *Williams* were more robust than defendant’s motion papers here is without merit (*see id.* at 41-42).

Unlike *Williams* and *Foster-Bey*, the error here was not harmless. The statistical DNA evidence derived from use of the FST was the strongest evidence tying defendant to the contraband found in the apartment. The People’s remaining evidence consisted of proof that defendant either lived at or was frequently present at the apartment itself and did not link him directly to the contraband. Moreover, the People emphasized the DNA evidence as proof of defendant’s possession of the contraband. The evidence of defendant’s guilt was not overwhelming without the DNA evidence, and there was a significant probability that the admission of that evidence contributed to the verdict (*cf. id.* at 42-43).

[4] Inasmuch as Supreme Court abused its discretion in failing to hold a *Frye* hearing, we remit to that court for a *Frye* hearing. If the court determines, after a *Frye* hearing, that the

DNA evidence derived from the use of the FST is not admissible, defendant is entitled to a new trial. If the court determines after a *Frye* hearing that the evidence is admissible, defendant may challenge that determination on direct appeal.

We respectfully disagree with our dissenting colleague that this remedy is inappropriate or unconstitutional. As Judge Wilson concedes, we have employed a similar remedy on prior occasions (*see e.g. People v Bilal*, 27 NY3d 961, 961-962 [2016]; *People v Clermont*, 22 NY3d 931, 932-934 [2013]; *People v Hightower*, 85 NY2d 988, 990 [1995]; *People v Williamson*, 79 NY2d 799, 801 [1991]; *People v Millan*, 69 NY2d 514, 521-522 [1987]; *People v Coleman*, 56 NY2d 669, 671 [1982]).³

This Court and the intermediate appellate courts are authorized to “take or direct such corrective action as is necessary and appropriate both to rectify any injustice to the appellant . . . and to protect the rights of the respondent” (CPL 470.20; *see* 470.40 [1]). Consistent with that directive, we have ordered different corrective actions, including a conditional remand for a hearing by the trial court, based on the legal error at issue and the circumstances presented in each case (*see People v Carmona*, 37 NY3d 1016, 1017-1018 [2021]; *People v Edwards*, 95 NY2d 486, 496 [2000]; *People v Serrano*, 93 NY2d 73, 78-79

3. Cases cited by our dissenting colleague where the People failed to establish the proper foundation for the admission of evidence during trial are distinguishable. “The *Frye* inquiry is separate and distinct from the admissibility question applied to all evidence—whether there is a proper foundation—to determine whether the accepted methods were appropriately employed in a particular case” (*People v Brooks*, 31 NY3d 939, 941 [2018] [internal quotation marks omitted]). The People’s failure to establish, during trial, the foundation for the admission of evidence is not subject to a pretrial judicial determination. If the People fail to establish the proper foundation for the admission of evidence during trial, the remedy must be a new trial at which the People may, if they so choose, attempt to establish the proper foundation. *People v Freeland* (68 NY2d 699 [1986]) falls into this category, as do many of the other New York State cases and cases from other jurisdictions cited by Judge Wilson.

By contrast, here, the error was the denial of defendant’s request to hold a pretrial *Frye* hearing on the admissibility of the statistical DNA evidence derived from the use of the FST. At that pretrial hearing, it will be the People’s burden to demonstrate the general acceptance of the FST by the relevant scientific community (*see Williams*, 35 NY3d at 40). The motion court will apply the same standard to evaluate that issue upon remittal as it would have applied had a pretrial *Frye* hearing previously been held.

[1999]).⁴ Here, the error was the trial court’s failure to exercise its gatekeeping role under *Frye* to determine the admissibility of the evidence generated by the FST. We do not yet know whether the DNA evidence was improperly admitted at trial because a *Frye* hearing was not held. The appropriate remedy in this case is a remittal to the trial court for a *Frye* determination. In the absence of that threshold determination, appellate review of the admissibility of the evidence and, concomitantly, whether the evidence was improperly admitted during trial, cannot be performed.

We agree with the Appellate Division that the trial court did not abuse its discretion in denying defendant’s motion for a severance.

Accordingly, the order of the Appellate Division should be reversed and the case remitted to Supreme Court for further proceedings in accordance with this opinion.

RIVERA, J. (dissenting in part). I agree with the majority that the detective’s question to defendant asking where he lived constituted an interrogation without *Miranda* warnings (see *Miranda v Arizona*, 384 US 436 [1966]). Statements obtained from individuals in custody before informing them of their constitutional rights to remain silent and to have an attorney appointed if they cannot afford counsel cannot be used by the prosecution and are thus subject to suppression (see *id.* at 447). However, the majority is incorrect that the question falls within a “routine booking question exception” to *Miranda* as recognized by a plurality of the United States Supreme Court in *Pennsylvania v Muniz* (496 US 582, 601-602 [1990] [internal quotation marks omitted]) and acknowledged, under existing state precedent, by this Court in *People v Rodney* (85 NY2d 289, 293 [1995]). That exception is limited to questions that are intended solely for administrative purposes and not reasonably likely to elicit an incriminating statement under the circumstances of the case.

Here, during the execution of a warrant authorizing a search of an apartment for guns and drugs, a dozen officers forced the front door open and found defendant and his two children inside. Any person found in the apartment—whether the owner or someone with dominion and control over the area where the

4. Courts in other jurisdictions have also recognized that the remedy ordered must be tailored to the circumstances presented in each particular case (see e.g. *United States v Bacon*, 979 F3d 766, 769-770 [9th Cir 2020]).

contraband was found—would be subject to prosecution for illegal possession (*see* Penal Law § 10.00 [8]; *People v Manini*, 79 NY2d 561, 573 [1992]). Nevertheless, upon entry to the apartment, one of the officers immediately handcuffed defendant and asked a series of questions, including where defendant lived. If the officer had asked defendant, “Do you live in this apartment where we are looking for drugs and guns?” the question undoubtedly would violate *Miranda*, rendering any response subject to suppression and inadmissible. The question actually put to defendant is the functional equivalent and demanded the same self-incriminating answer.

It was error not to suppress the statement, which allowed the prosecutor to argue at defendant’s trial that the statement further established defendant’s unlawful possession. Under the facts of this case, the error was not harmless, as the statement was directly contradictory to defendant’s claim that the contraband was not his and that he had no control over the room where it was found. The majority misinterprets *Rodney* as applied here and adopts a rule focused on the police officer’s malintent, rather than on the likelihood that the question would elicit an incriminating answer. I dissent from this rewriting of *Rodney* and, based on the rule as announced in that case, I would reverse the conviction and order a new trial (*see People v Thomas*, 22 NY3d 629 [2014]).¹

In *Rhode Island v Innis*, the United States Supreme Court concluded that *Miranda* warnings were required in advance of the use of “any words or actions on the part of the police (other than those normally attendant to arrest and custody) that the police should know are reasonably likely to elicit an incriminating response from the suspect” (446 US 291, 301 [1980]). The Court further clarified that such questioning “focuses primarily upon the perceptions of the *suspect*, rather than the intent of the police” (*id.* [emphasis added]). However, the officer’s knowledge is not irrelevant and may be an additional factor in determining whether the police violated an individual’s

1. I agree, for the reasons discussed by the majority, that the lower court abused its discretion as a matter of law in denying defendant’s request for a *Frye* hearing (*see* majority op at 416, citing *People v Williams*, 35 NY3d 24 [2020]). However, because that is not the sole error in this appeal, I have no occasion to opine on the proper remedy, as I conclude defendant is entitled to reversal and a new trial based on the suppression error. Nor is it necessary that I address the merits of defendant’s severance claim, as this challenge is rendered academic by the fact that defendant cannot be retried with the original codefendant.

rights (*see id.* at 302 n 8). In *Muniz*, a plurality of the Court explained that *Innis* leads to the inexorable conclusion that custodial interrogation includes words or actions that the officer “knows or reasonably should know are likely to have the force of a question on the accused and therefore be reasonably likely to elicit an incriminating response” (496 US at 601 [internal quotation marks, citation, and alteration omitted]). The plurality determined that “routine booking questions”—questions seeking biographical information, including a suspect’s name and address—asked while detaining a suspect are custodial interrogation because, as explained in *Innis*, interrogation is assessed from the suspect’s perspective (446 US at 301). Nevertheless, the plurality concluded that, because the state court had determined that questions posed to Muniz “were requested for record-keeping purposes only, and therefore the questions appear[ed] reasonably related to the police’s administrative concerns” (496 US at 601-602 [internal quotation marks and citation omitted]), the questions fell within the routine booking exception.

In *Rodney*, this Court considered whether the People were required to give notice pursuant to CPL 710.30 of their intent to admit the defendant’s statements in response to police questioning during booking (*see* 85 NY2d at 291).² In analyzing the specific question and circumstances of that case, the Court reaffirmed its prior recognition of an exception to the requirements of *Miranda* for “routine booking questions” and further noted that the United States Supreme Court and the federal circuits have limited the exception to questions “reasonably related to the police’s administrative concerns” (*id.* at 292, citing *Muniz*, 496 US at 601-602, *United States v McLaughlin*, 777 F2d 388, 391-392 [8th Cir 1985], and *United States v Sims*, 719 F2d 375, 378 [11th Cir 1983]). The Court acknowledged that “[t]he exception derives from the essential purpose of *Miranda*—to protect defendants from self-incrimination in response to questions posed as part of the investigation of a crime, as

2. In *Rodney*, the Court noted that “the purpose of CPL 710.30 is to inform a defendant that the People intend to offer evidence of a statement to a public officer at trial so that a timely motion to suppress the evidence may be made,” including on the ground that the statement was “obtained in violation of defendant’s constitutional rights” (85 NY2d at 291-292). Thus, the Court’s analysis in *Rodney* focused on defendant’s “assertion that the questions posed during the booking process violated his constitutional right against self-incrimination and that he was therefore entitled to pretrial notice so that he could seek suppression” (*id.* at 292).

distinguished from noninvestigative inquiries” (*id.* at 292 [citations omitted]). Thus, where routine booking questions serve only their intended administrative purpose, “defendant lacks a constitutional basis upon which to challenge the voluntariness of [their] statement” (*id.* at 293). Accordingly, “[s]tatements made in response to questions which are not directed solely to administrative concerns are subject to the requirements of CPL 710.30” (*id.*). “Similarly, the People may not rely on the pedigree exception if the questions, though facially appropriate, are likely to elicit incriminating admissions because of the circumstances of the particular case” (*id.*).

The majority does not merely “clarify” *Rodney* (majority op at 414). Instead, the majority reinterprets *Rodney* and limits that holding to situations where “the police are using the cover of pedigree questions to improperly conduct an investigative inquiry without *Miranda* warnings” (*id.* at 415). This reinterpretation departs from the explicit language of *Rodney*, which is concerned with questions likely to *elicit* incriminating responses—that is, questions that are, irrespective of the intention of the questioner, likely to provoke an incriminatory answer. The majority jettisons this language from *Rodney* and confines that case’s holding only to those questions that are “disguised attempt[s] at investigatory interrogation” (majority op at 416, citing *Rodney*, 85 NY2d at 292-294). In other words, the majority improperly rewrites *Rodney* to focus only on incriminating answers affirmatively *solicited* by the authorities.

The majority’s rule ignores the boundaries of the pedigree exception as expressly articulated in *Rodney*. But we are not free to avoid our precedent simply because the current majority disagrees with the rule as previously articulated (*see People v Bing*, 76 NY2d 331, 338 [1990] [“The doctrine (of stare decisis) . . . rests upon the principle that a court is an institution, not merely a collection of individuals, and that governing rules of law do not change merely because the personnel of the court changes”]; *Matter of Brooke S.B. v Elizabeth A.C.C.*, 28 NY3d 1, 23 [2016] [“(I)n the rarest of cases, we may overrule a prior decision if an extraordinary combination of factors undermines the reasoning and practical viability of our prior decision”]; *People v Taylor*, 9 NY3d 129, 148 [2007] [“It is well settled that ‘(s)tare decisis is the preferred course because it promotes the evenhanded, predictable, and consistent development of legal principles, fosters reliance on judicial decisions, and contributes to the actual and perceived integrity of the judicial process’ ”],

quoting *Payne v Tennessee*, 501 US 808, 827 [1991]). Neither party has argued that the *Rodney* rule is unworkable or confusing. Indeed, *Rodney* did not hold that the police cannot ask these questions. If law enforcement wishes to use incriminating statements obtained from a person in custody, they merely need to spend a few seconds providing *Miranda* warnings. This straightforward procedure avoids litigation over whether a question—which the majority and the federal courts all acknowledge is interrogation in the first instance—falls within the booking questions exception.

The two-part rule announced in *Rodney* is clear: first, the booking question must be intended for administrative purposes only; second, when considered in context, the question cannot be likely to elicit an incriminating statement. Critical to defendant's challenge in this case, the Court in *Rodney* explained that “the mere claim by the People that an admission was made in response to a question posed solely as an administrative concern does not automatically qualify that admission for the pedigree exception to *Miranda*” (85 NY2d at 293). The applicability of the exception must be assessed based on the question and the circumstances of the case.

Here, the interrogating detective made perfectly clear that his question was *not* “directed solely to administrative concerns” (*id.*). When asked how the police use pedigree information, he explained that “[i]t’s used to put into the On-Line Booking System, you know, their names, dates of birth, where they live, *for prosecution*” (emphasis added). The majority nonetheless asserts, contrary to the detective’s explanation, that his “testimony during the suppression hearing established the administrative purpose for seeking pedigree information” (majority op at 415).³ But as the detective’s testimony establishes, the question here cannot fall within the exception, even as

3. The detective’s suppression hearing testimony reveals that his question, far from being directed “solely” to administrative concerns, was indeed designed to obtain information “for prosecution.” The detective’s trial testimony was even more specific. When asked, “What is the reason for taking somebody’s pedigree?”, the detective’s first response was, “It’s what we use to enter into the online booking system to *draw up formal charges and for prosecution*” (emphasis added). When asked to explain what “the online booking system” is, he continued, “It’s the NYPD computer database that we use to enter their names, their addresses, their date of births *so the prosecution has the chance to prosecute*” (emphasis added). That is a far cry from “questions to secure the biographical data necessary to complete booking or pretrial services” (*Muniz*, 496 US at 601 [internal quotation marks and citation omitted]). While the majority purports to “[c]onfin[e] the scope of the

(n. cont’d)

redefined by the majority, because the officer admitted that the question was also intended for prosecutorial purposes.

Even assuming, for the sake of argument, that the question was intended for administrative purposes, the circumstances in which defendant was asked where he lived still constituted interrogation that is not exempt from *Miranda*. The question was not asked during booking but rather as part of what the detective, an investigator in the narcotics division, described as a policy of “cuff and toss,” where, “during the execution of the search warrant,” police “cuff[] people inside the location and toss[] them” into the “P van,” that is, a vehicle that “transports prisoners to and from the location and/or the precinct to Central Booking.”⁴ At the suppression hearing, the interrogating detective testified that he had participated in thousands of narcotics-related arrests and hundreds of search warrant executions throughout his career. He therefore undoubtedly knew the purpose of the search warrant—i.e., to seize evidence of contraband relevant to the narcotics division, pursuant to a search warrant authorized after a judicial determination of probable cause—and, we must assume, understood the elements of the crime of unlawful possession, including on a theory of constructive possession. Moreover, after the police forcibly entered the apartment, they encountered defendant, who was dressed only in athletic shorts and was the only adult supervising two young children. The detective’s extensive background in executing narcotics-related search warrants coupled with defendant’s seeming familiarity with the apartment are precisely the kind of circumstances “likely to elicit incriminating admissions” (*Rodney*, 85 NY2d at 293).⁵ That is, asking a defendant, who appeared to be at least somewhat at home in the target apartment, “Where do you live?” is, under the circumstances, functionally equivalent to asking him, “Do

pedigree exception to police inquiries that are ‘directed *solely* to administrative concerns’” (majority op at 415 [emphasis added], citing *Rodney*, 85 NY2d at 293), its conclusion here that the detective’s question was purely administrative in nature is irreconcilable with his unambiguous admissions in the record that, when he asked the question, the detective had full knowledge that the statement might well be used to prosecute defendant.

4. Defendant does not challenge the lawfulness of this policy apart from the admissibility of the statement regarding his living arrangements.

5. Indeed, the detective must have been aware of the particularly high likelihood of eliciting an incriminating admission because, as the prosecutor informed the suppression court at a sidebar conference, the detective had previously executed a search warrant at the apartment and was therefore familiar with the premises.

you live in this apartment where we are looking for drugs and weapons?” Both are likely to elicit responses that would provide evidence in a prosecution for illegal possession. Accordingly, the prosecution could not rely on defendant’s response, and it should have been suppressed.

WILSON, J. (dissenting). I agree with the majority that “the court abused its discretion when it denied defendant’s motion for a *Frye* hearing with respect to the admissibility of statistical DNA evidence derived from the FST” (majority op at 416). I further agree that, “[u]nlike *Williams* and *Foster-Bey*, the error here was not harmless” (*id.* at 417). What do those two holdings, taken together, mean? They mean that Tyrone Wortham was convicted based on material evidence as to which the People failed to demonstrate admissibility. The inexorable conclusion is that there is, at present, no basis to sustain his conviction or subject him to the consequences of it. (Although Mr. Wortham was sentenced to nine years of incarceration, so much time has elapsed between his conviction and this appeal that he has served his term of imprisonment and is now on postrelease supervision.)

I concur in Judge Rivera’s dissent but write separately because, for reasons completely unrelated to Judge Rivera’s dissent, I disagree with the majority’s remedy. The majority remits this case to the trial court to hold a *Frye* hearing and says that Mr. Wortham is entitled to a new trial only if, at the forthcoming *Frye* hearing, the trial court determines that the DNA evidence linking him to the pistol is inadmissible. Mr. Wortham is not entitled to having his conviction vacated today, the majority writes, because “[w]e do not yet know whether the DNA evidence was improperly admitted at trial because a *Frye* hearing was not held” (*id.* at 419). This is my point exactly. We know the evidence was improperly admitted, because no proper foundation for it was established. We do not know whether the People will be able to establish, post hoc, a justification for its admission. Under the majority’s holding, Mr. Wortham remains convicted of a crime as to which we “do not know” whether there was a valid basis for conviction; when a conviction was obtained based on material evidence lacking a basis for admission at the time of trial, the remedy is not to continue to enforce the erroneously obtained conviction while giving the People a freestanding chance to demonstrate admissibility. The conviction should be vacated, after which the People should be free to retry Mr. Wortham and, during the course of that new prosecu-

tion, attempt to demonstrate the admissibility of the DNA evidence in a *Frye* hearing should they choose to do so. We have no basis on which to enforce—even for a minute—Mr. Wortham’s improperly obtained conviction pending the scheduling of a *Frye* hearing.

Put simply, because Mr. Wortham was convicted based on evidence admitted in error, what legal basis do we have to continue to enforce that conviction? It is true that this court has, without analysis or explanation, occasionally engaged in that practice previously,¹ but that does not render it constitutional.

I.

Our system of criminal law rests on two foundational principles. First, that “there is a presumption of innocence in favor of the accused is the undoubted law, axiomatic and elementary, and its enforcement lies at the foundation of the administration of our criminal law” (*Estelle v Williams*, 425 US 501, 503 [1976], quoting *Coffin v United States*, 156 US 432, 453 [1895]). Second, the People bear the burden of proving a defendant’s guilt beyond a reasonable doubt, and “courts must carefully guard against dilution of the principle that guilt is to be established by probative evidence and beyond a reasonable doubt” (*id.*).

During any criminal trial, the People try to prove a defendant’s guilt by offering incriminating evidence. That evidence comes in many forms—physical evidence, forensic evidence, testimonial evidence—but all evidence that is admitted at trial must meet certain criteria established by the rules of evidence. Those rules governing admissibility are our way of trying to make sure that all the evidence that a jury sees is reliable enough to be a basis for its verdict.

The rules of evidence are complicated, and the fast-paced nature of criminal trials demands that judges make many decisions very quickly. Mistakes are made. (If trial courts never made mistakes, we appellate judges would be out of business.) Sometimes the mistake is harmless. When a reviewing court determines that certain trial evidence was erroneously admitted, but concludes that, based on all of the other evidence offered during the trial, the “defendant’s guilt is overwhelming

1. See *People v Bilal*, 27 NY3d 961, 962 (2016); *People v Clermont*, 22 NY3d 931, 934 (2013).

and that there is no significant probability that the jury would have acquitted defendant had it not been for these errors” (*People v Williams*, 35 NY3d 24, 42-43 [2020]), the error does not require reversal of the conviction. But in other cases, such as this one, the mistake is not harmless. In those cases, the reviewing court finds there is “a significant probability” that the erroneously admitted evidence “contributed to the verdict” (majority op at 417, citing *Williams*, 35 NY3d at 42-43). I agree with the majority’s conclusion that the erroneously admitted DNA evidence “was the strongest evidence tying defendant to the contraband found in the apartment” (*id.* at 417).

How then, after finding that erroneously admitted evidence contributed to Mr. Wortham’s conviction, can the majority say that the existing conviction remains valid? There is no legal or constitutional basis for such a holding. With the foundational evidence knocked out from under it, Mr. Wortham’s conviction falls and we return to square one: the People have not discharged their burden to prove Mr. Wortham’s guilt beyond a reasonable doubt with admissible evidence, and Mr. Wortham is entitled anew to the presumption of innocence.

II.

It is wholly within our power to vacate Mr. Wortham’s conviction; we have granted that remedy many times before. For example, in *People v Johnson*, we reversed the defendant’s conviction of rape, sodomy, and endangering the welfare of a child because the trial court erroneously admitted the victim’s grand jury testimony without first holding a pretrial *Sirois* hearing (93 NY2d 254 [1999]). We held:

“Here, it cannot be said that the evidence before the trial court so overwhelmingly established witness-tampering as to satisfy the clear and convincing standard and render a *Sirois* hearing superfluous. There was evidence of the victim’s refusal to testify at trial, and evidence of the defendant’s misconduct in attempting to silence her. On this record, however, defendant should have been afforded an opportunity to test the causal link between those two elements, as he requested, at a separate hearing. . . .

“At a *Sirois* hearing, defendant would have had an opportunity to challenge the People’s evidence by

raising questions as to defendant's role in securing the victim's unavailability at trial. The People contend that a hearing was unnecessary because the record as it stands establishes that defendant was responsible for procuring the victim's silence. . . .

"On these facts, we agree with the Appellate Division that the constitutionally guaranteed truth-testing devices of confrontation and cross-examination should not have been cast aside and the Grand Jury testimony admitted without a hearing or waiver by defendant" (*id.* at 258-259).

Accordingly, we affirmed the Appellate Division order "revers[ing] defendant's conviction" (*id.* at 257-258). We did not remit for a freestanding *Sirois* hearing while leaving the conviction undisturbed.

Similarly, in *People v Freeland*, we reversed a defendant's conviction of driving while intoxicated because the trial court admitted breathalyzer logs for which no proper foundation had been laid (68 NY2d 699, 701 [1986]). We held that "it was error to admit the [breathalyzer] test results and a new trial is required" (*id.*).

In each of these cases, we² reversed the challenged convictions because they were based on evidence that had been

2. Supreme Court and the Appellate Division also routinely grant this remedy (see *e.g. People v Vanhoesen*, 31 AD3d 805, 808 [3d Dept 2006] ["Reversal is also required because the detective introduced hearsay testimony when he testified as to the drug-related meanings of terms and actions. . . . More information was required to establish a basis for the detective's specialized knowledge regarding how most drug transactions occur . . . (N)o foundation for this testimony was introduced" (citations omitted)]; *People v Singer*, 236 NYS2d 1012, 1014 [Suffolk County Ct 1962] ["The qualifications of the police officer, Detective Dührberg, who performed the blood alcohol test, are questionable, to say the least. . . . (N)o proper foundation was laid for either the results of the test or for the expression of the witness' opinion as to blood alcohol content. . . . (T)he erroneous admission of the blood test result require(s) that defendant be afforded a new trial"]; *People v Davidson*, 5 Misc 2d 699, 702-703 [Monroe County Ct 1956] ["It may be that the use of the 'Drunkometer' will become so widespread that practical knowledge of its operation will become the portion of every person, but until it can be said that legally the accuracy and reliability of this device has become established and recognized, a reasonable and proper foundation for the use of its proof must be furnished. . . . Since the finding of guilty was predicated upon all of the evidence received at the trial of this action it cannot be said that the receipt of the improper evidence did not affect the outcome. The judgment of conviction is reversed, the fine remitted, and a new trial ordered"]).

admitted at trial without a proper foundation having first been laid. We did not merely remit for hearings that could potentially cure the error by establishing post hoc that the evidence was in fact admissible.

Here, vacating Mr. Wortham's conviction is the proper remedy. Moreover, the People have waived any argument to the contrary. Before the Appellate Division, Mr. Wortham requested that his conviction be vacated. The People did not, in the Appellate Division, dispute the proposition that if the trial court erred by refusing to hold a *Frye* hearing, reversal was required, nor did they make any mention of remittal until oral argument before our Court. Their argument is unpreserved.

III.

By declining to vacate Mr. Wortham's conviction, we part ways with many of our sister state courts and a majority of federal circuit courts.³

3. See e.g. *United States v Kaplan*, 490 F3d 110, 114 (2d Cir 2007) ("For the reasons set forth below, we agree that Kaplan's conviction on Counts One through Five must be vacated because the district court erred in admitting, without adequate foundation, lay opinion testimony regarding Kaplan's knowledge of the fraud and testimony regarding others' knowledge of the fraud, and that at least the first of these errors was not harmless"); *United States v Pelullo*, 964 F2d 193, 221-222 (3d Cir 1992) ("The district court erred in admitting numerous documents as well as the summaries prepared by Agent Wolverton. The documents were hearsay and the Government did not comply with the foundation requirements of Rule 803[6], the business records exception. . . . We conclude that these errors were not harmless and therefore we must reverse the convictions on all counts except count 54"); *United States v Garcia*, 752 F3d 382, 391-392 (4th Cir 2014) ("Despite the district court's careful attention to Agent Dayton's credentials as a decoding expert, however, we hold that the agent's testimony was fraught with error . . . [including] her failure to state on the record an adequate foundation for very many of her specific interpretations. . . . [W]e are constrained to hold that these flaws deprived Garcia of a fair trial, i.e., that the missteps were not harmless, and thus require vacatur of Garcia's convictions"); *United States v Baker*, 538 F3d 324, 332, 334 (5th Cir 2008) ("In light of the record as a whole, we conclude that the district court erred by admitting Exhibit 8 over Baker's objection that no foundation or predicate was offered. . . . For the foregoing reasons, we REVERSE Baker's conviction"); *United States v Freeman*, 730 F3d 590, 597, 600 (6th Cir 2013) ("Agent Lucas failed to explain the basis of his interpretations—what experience he had that the jurors themselves did not have—and therefore failed to lay a foundation under Rule 701. . . . Because it does not appear beyond a reasonable doubt that the error complained of did not contribute to the verdict obtained, we vacate the conviction" [alteration, internal quotation marks, and citation omitted]); *United States v Le*, 272 F3d 530, 531 (8th Cir 2001 per curiam) ("We need only consider one aspect of defendants' appeal in order to reverse each of

The Supreme Courts of California, Delaware, and New Mexico have reversed defendants' convictions for driving under the influence of alcohol when the trial courts admitted evidence relating to a novel field sobriety test, called the horizontal gaze nystagmus (HGN) test, without first holding a *Frye* hearing (or its local equivalent). The Supreme Court of California affirmed the reversal of the defendant's conviction because the trial court erroneously declined to hold a *Kelly* hearing on whether HGN was generally accepted within the relevant scientific community (*People v Leahy*, 8 Cal 4th 587, 592, 882 P2d 321, 323 [1994]). Although the court found that a limited remand for a *Kelly* hearing was the appropriate remedy, it nevertheless affirmed the judgment reversing the defendant's conviction:

"We accept, however, the People's suggestion that an entire retrial of the case may be unnecessary. Instead, we will direct the Court of Appeal to reverse defendant's conviction and remand the case to the trial court for a *Kelly* hearing in accordance with our opinion. If, at the conclusion of the hearing, the trial court concludes there is sufficient basis to admit the HGN testimony previously presented, the court should reinstate the judgment without reintroducing such testimony. If the trial court determines the HGN evidence is inadmissible under *Kelly*, the court should order a new trial if the People so elect. If the judgment of conviction is reinstated, or a new trial ordered, appellate review will be available to the respective parties regarding the trial court's ruling, limited to any new issues not resolved in this opinion" (8 Cal 4th at 610, 882 P2d at 335).

their convictions and remand for further proceedings. Each defendant claims his conviction should be reversed, because the district court improperly admitted a drug laboratory report, absent the proper foundation. Their argument is well taken"); *United States v Mouzin*, 785 F2d 682, 693 (9th Cir 1986) ("In reviewing the government's foundation for the admission of this evidence under Federal Rule of Evidence 801[d][2][E], we cannot but note the similarities between the foundational deficiencies for the ledger and for the computer printout. . . . [W]e find the improper admission of the ledger and printout to be prejudicial error. . . . Accordingly, we reverse the defendant's convictions on these two counts based on the improper admission of the ledger and computer printout" [citations omitted]).

Although the California Supreme Court remitted for a *Kelly* hearing, it did so *after* affirming the intermediate court's reversal of the defendant's conviction, which the intermediate court did without qualification. Thus, the difference between the remedy in *Leahy* and the remedy in this case is that the defendant was not subject to an improperly obtained conviction pending the ordered *Kelly/Frye* hearing.

The Supreme Court of Delaware also reversed a defendant's conviction, holding that the trial court "prejudicially erred by considering the HGN test without sufficient scientific medical expert foundation," and "[b]ecause the error was not harmless, . . . reverse[d] the appellant's conviction . . . and remand[ed] the case for a new trial" (*Zimmerman v State*, 693 A2d 311, 313, 317 [Del 1997]). The Supreme Court of New Mexico likewise held that because "the HGN testimony should not have been admitted at trial because it lacked the necessary *Alberico—Daubert* foundation," the defendant was "entitled to a new trial" (*State v Torres*, 127 NM 20, 36-37, 976 P2d 20, 36-37, 1999-NMSC-010, ¶¶ 54-55 [1999]).

The Supreme Court of Nebraska reversed a defendant's conviction for driving under the influence of alcohol because it was based on evidence from another field test, an Intoxilyzer breath test, for which no proper foundation had been laid (*State v Baue*, 258 Neb 968, 975, 607 NW2d 191, 198 [2000]). In that case, "[t]estimony adduced by the State established that when operating properly, the testing device generates both a digital readout and a printed test record card reflecting the alcohol content of the breath sample" (258 Neb at 974, 607 NW2d at 198). But when the officer administered the test on the defendant, "he obtained a digital readout . . . but no printout on the test record card" (258 Neb at 974, 607 NW2d at 198). The Supreme Court of Nebraska held that "[b]ecause the State did not prove that the testing device was working properly at the time the . . . result was obtained, foundation for the result was not established, and the trial court erred in receiving the result in evidence over [the defendant's] objection" (258 Neb at 974-975, 607 NW2d at 198). The court held that this issue was "dispositive of the appeal" and that it was "required to reverse [the defendant's] conviction and remand the cause for a new trial" (258 Neb at 977, 607 NW2d at 199).

The Supreme Court of Utah reversed a defendant's conviction of forcible abuse, rape, forcible sodomy, and incest because "the trial judge erred in admitting certain testimony by expert

witnesses called on behalf of the prosecution” (*State v Rimmasch*, 775 P2d 388, 389 [Utah 1989], superseded by rule on other grounds in *State v Maestas*, 2012 UT 46, ¶ 121 n 134, 299 P3d 892, 930 n 134 [2012]). The Supreme Court of Utah found that

“[t]hroughout the testimony of these key experts, which consumed almost two-thirds of the trial, little foundation was offered or demanded by the court as to the scientific basis for the profile of the typical sexually abused child, the ability of the profile to sort the abused from the nonabused with any degree of accuracy, or the ability of the experts to judge whether the daughter was telling the truth during the interviews” (775 P2d at 395).

Because no “adequate foundation was laid for a determination that the evidence was reliable,” and because “the improperly admitted testimony had a substantial impact on the verdict,” the court held that the defendant’s “conviction must be reversed and the matter remanded for retrial” (*id.* at 403, 408). Similarly, the Supreme Court of Oregon reversed a defendant’s conviction of sexual abuse and attempted sodomy (*State v Henley*, 363 Or 284, 310, 422 P3d 217, 231 [2018]). In that case, “the trial court permitted a forensic interviewer to testify about defendant’s behavior that may have constituted ‘grooming’ of the victim for sexual abuse if defendant had the requisite intent, without the state first establishing that the testimony about grooming was scientifically valid and reliable” (363 Or at 286, 422 P3d at 219). For that reason, the court found that it “must reverse defendant’s conviction and remand the case to the trial court for further proceedings” (363 Or at 310, 422 P3d at 231).

Finally, earlier this year, the Supreme Judicial Court of Massachusetts reversed a defendant’s conviction of armed assault with intent to murder and related charges (*Commonwealth v Davis*, 487 Mass 448, 450, 168 NE3d 294, 299 [2021]). In that case, the defendant was on probation on a federal drug charge and wearing a GPS ankle monitor, which placed him in the vicinity of a shooting that took place when an unidentified man fired multiple shots through the window of a moving sedan (487 Mass at 449, 168 NE3d at 298-299). The Supreme Judicial Court of Massachusetts held that the trial judge “abused his discretion in admitting the speed evidence, where the [GPS ankle monitor’s] ability to measure speed had never been formally

tested” and “[b]ecause this error was prejudicial,” it “reverse[d] the defendant’s convictions” (487 Mass at 450, 168 NE3d at 299).

IV.

Any argument that remittal is the proper remedy because our Court has not yet determined whether the admission of the DNA evidence was erroneous is meritless. Such an argument looks at the issue from the wrong vantage point. The error warranting vacating Mr. Wortham’s conviction occurred the moment the DNA evidence was admitted without foundation into his trial. Whether a proper foundation *could* have been laid for that evidence is another matter entirely, one that is subsequent to the fatal error here.

For virtually all evidence erroneously admitted for lack of foundation, whether testimonial, forensic or documentary, it is always theoretically possible that a better foundation could be laid if the People are given a second chance. That second chance does not come by sustaining the conviction pending a freestanding showing by the People that they have better foundational evidence than what they presented at trial; it comes by vacating the conviction and allowing the People to retry the defendant, at which time they may present their better foundational evidence (*see People v Price*, 29 NY3d 472, 480 [2017] [(A)dmision of the photograph here lacked a proper foundation and, as such, constituted error as a matter of law. Furthermore, on the facts of this case, we cannot conclude that the error was harmless. Accordingly, the order of the Appellate Division should be reversed and a new trial ordered” (citations omitted)]; *People v Quevas*, 81 NY2d 41, 42, 45-46 [1993] [“The sole issue on this appeal is whether the prosecutor laid a proper foundation for the introduction of identification testimony through a police officer. . . . The proper foundation was not laid Accordingly, the order of the Appellate Division should be reversed and a new trial ordered”]; *People v Ely*, 68 NY2d 520, 527 [1986] [“Because the foundation for the tapes was not sufficiently established, there must be a reversal and a new trial”]; *People v Kennedy*, 68 NY2d 569, 571 [1986] [“This appeal presents a novel application of the business records exception to the hearsay rule (CPLR 4518): two miniature pocket diaries, identified by the People’s retained expert as the master records of a loanshark kept in the regular course of his business, were received in evidence in a prosecution against

defendant to establish that he was the loanshark's silent partner. We agree with the Appellate Division that a sufficient foundation for those records was not established, and there must be a new trial"). There is no reason that expert testimony as to which the People have failed to demonstrate the foundation necessary for admissibility should be treated any differently than any other form of evidence.

There is also no meaningful legal distinction between a lack of foundation demonstrated pretrial and a lack of foundation demonstrated during trial (majority op at 418 n 3). Why would a constitutional deprivation warranting a new trial occur when material foundationless evidence is erroneously admitted during trial but not when it is erroneously deemed admissible pretrial?

Setting aside constitutional arguments, the Criminal Procedure Law also cuts against the meaningfulness of such a distinction. CPL 710.70 (3) provides that a pretrial motion to suppress is the "exclusive method of challenging the admissibility of evidence upon the grounds specified in section 710.20"; CPL 710.20 does not include *Frye* or lack of foundation for testimony of any kind (including expert testimony), but rather concerns evidence that might be excludable because of police taint (e.g., unlawful search and seizure, unlawful wiretapping, coerced confessions). The necessary conclusion is that all other types of foundational objections may be made either by a pretrial motion in limine or during trial. Thus, the CPL contemplates that an objection to a lack of general scientific acceptance could be made before or during trial. The majority's distinction, albeit dicta, means that if a defendant's meritorious challenge to a lack of foundation is raised pretrial, the People will get a freestanding do-over to establish foundation, whereas if the meritorious challenge is made during trial, the People will have to retry the entire case. Fundamentally, the majority's distinction is incompatible with the presumption of innocence and the People's burden to prove guilt beyond a reasonable doubt because it maintains a criminal conviction where an appellate court has determined the People, at trial, failed to prove the foundation necessary to admit evidence material to the defendant's conviction. Whether the error occurred pretrial or mid-trial is of no constitutional moment.

As shown by our decisions, and the decisions of our sister state courts and federal circuit courts, vacating Mr. Wortham's conviction is the proper remedy, and it should be an uncontro-

versial one. The trial court's error in admitting the DNA evidence without a *Frye* hearing deprived Mr. Wortham of his right to a fair trial (NY Const, art I, § 2; US Const 6th, 14th Amends). In the face of that error, there is no lawful basis to maintain his conviction—even in some interim period pending a *Frye* hearing. Having determined that material incriminating evidence was improperly admitted at trial, the failure to vacate his conviction immediately is, quite simply, unconstitutional.

Chief Judge DiFiore and Judges Garcia, Singas and Cannataro concur; Judge Rivera dissents in part in an opinion, in which Judge Wilson concurs in a separate dissenting opinion.

Order reversed and case remitted to Supreme Court, New York County, for further proceedings in accordance with the opinion herein.

[180 NE3d 549, 159 NYS3d 385]

In the Matter of LARRY HALLOCK, an Attorney, Appellant. GRIEVANCE COMMITTEE FOR THE TENTH JUDICIAL DISTRICT, Respondent.

In the Matter of MARY SHEILA MALERBA, an Attorney, Appellant. GRIEVANCE COMMITTEE FOR THE TENTH JUDICIAL DISTRICT, Respondent.

Argued November 16, 2021; decided December 14, 2021

SUMMARY

APPEAL, in the first above-entitled proceeding, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered February 13, 2020. The Appellate Division ordered that, pursuant to 22 NYCRR 1240.13, based on misconduct underlying discipline imposed by an order of the United States District Court, Southern District of New York, respondent be suspended from the practice of law for one year.

APPEAL, in the second above-entitled proceeding, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered February 13, 2020. The Appellate Division ordered that, pursuant to 22 NYCRR 1240.13, based on misconduct underlying discipline imposed by an order of the United States District Court, Southern District of New York, respondent be suspended from the practice of law for six months.

Matter of Hallock, 181 AD3d 125, reversed.

Matter of Malerba, 182 AD3d 91, reversed.

HEADNOTE

Attorney and Client — Disciplinary Proceedings — Reciprocal Discipline

In two related attorney disciplinary proceedings, the Appellate Division abused its discretion in imposing reciprocal discipline pursuant to 22 NYCRR 1240.13 on respondents based upon orders of censure by the United States District Court for the Southern District of New York arising from the filing of a fraudulent client affidavit by an associate of respondents' law firm, as the Appellate Division's findings that respondents acted dishonestly in their dealings with the federal court were not supported by the record. The federal judge reasoned that one respondent, who drafted an affidavit in which the associate took responsibility for the fraudulent client affidavit, "had serious reason to doubt" the associate's account of the drafting of the client affidavit and should have sought to verify the associate's account with the client

before filing the attorney affidavit. However, the judge explicitly noted that the record in the federal proceeding was not sufficient to support a finding of actual knowledge on the part of that respondent of the falsity of the attorney affidavit. The judge did not mention any participation by the other respondent in the filing of either affidavit or any personal dishonesty by either respondent. Nevertheless, in the findings and conclusions section of each opinion, the Appellate Division noted that each attorney engaged in “dishonest” conduct. A finding of personal dishonesty goes beyond a failure to supervise or to prevent dishonest conduct by an employee, and such a finding with respect to respondents was not supported by the record of the federal court proceedings.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d Attorneys at Law §§ 37, 38, 44, 114.
CARMODY-WAIT 2d Officers of Court §§ 3:257, 3:260, 3:341.
22 NYCRR 1240.13.
NY JUR 2d Attorneys at Law §§ 367, 369, 383, 509–513,
515, 534.

ANNOTATION REFERENCE

See ALR Index under Appellate Review; Attorneys; Discipline and Disciplinary Actions.

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POINTS OF COUNSEL

Scalise & Hamilton, PC, Scarsdale (*Deborah A. Scalise* and *Annette G. Hasapidis* of counsel), for Larry Hallock, appellant in the first above-entitled proceeding. I. Larry Hallock was denied due process when the Appellate Division explicitly relied upon the evidence adduced in *Matter of Smolyar* (165 AD3d 74 [2d Dept 2018]) without affording Mr. Hallock notice of such action and an opportunity to impeach the evidence and cross-examine the witnesses in the *Matter of Smolyar*. (*In re Ruffalo*, 390 US 544; *Matter of Dondi*, 63 NY2d 331; *Matter of McBarnette v Sobol*, 190 AD2d 229, 83 NY2d 333; *People ex rel. Rosenfeld v Sposato*, 87 AD3d 665.) II. Larry Hallock was denied due process when the Appellate Division imposed reciprocal discipline and a sanction based on a charge of misconduct that was not raised in the district court, without affording Mr. Hallock

notice and an opportunity to be heard. (*In re Ruffalo*, 390 US 544.) III. The charge of misconduct that was not raised in the district court, without affording Larry Hallock notice and an opportunity to be heard should be dismissed because it led to the imposition of a sanction against Mr. Hallock which was too severe. A lesser sanction—censure—is warranted. (*Matter of Galasso*, 19 NY3d 688; *Matter of Ponzini*, 268 AD2d 478; *Matter of Dittakavi*, 155 AD3d 10; *Matter of Nudo*, 132 AD3d 170; *Matter of Sokoloff*, 95 AD3d 254; *Matter of Cohen*, 72 AD3d 251; *Matter of Gruen*, 55 AD3d 88; *Matter of Raskind*, 46 AD3d 129; *Matter of Holtzman*, 78 NY2d 184.)

Scalise & Hamilton, PC, Scarsdale (*Deborah A. Scalise and Annette G. Hasapidis* of counsel), for Mary Malerba, appellant in the second above-entitled proceeding. I. Mary Malerba was denied due process when the Appellate Division explicitly relied upon the evidence adduced in the *Matter of Smolyar* (165 AD3d 74 [2d Dept 2018]) without affording Ms. Malerba notice of such action and an opportunity to impeach the evidence and cross-examine the witnesses in the *Matter of Smolyar*. (*In re Ruffalo*, 390 US 544; *Matter of Dondi*, 63 NY2d 331; *Matter of McBarnette v Sobol*, 190 AD2d 229, 83 NY2d 333; *People ex rel. Rosenfeld v Sposato*, 87 AD3d 665.) II. Mary Malerba was denied due process when the Appellate Division imposed reciprocal discipline and a sanction based on a charge of misconduct that was not raised in the district court, without affording Ms. Malerba notice and an opportunity to be heard. (*In re Ruffalo*, 390 US 544.) III. The charge of misconduct that was not raised in the district court, without affording Mary Malerba notice and an opportunity to be heard should be dismissed because it led to the imposition of a sanction against Ms. Malerba which was too severe. A lesser sanction—censure—is warranted. (*Matter of Galasso*, 19 NY3d 688; *Matter of Ponzini*, 268 AD2d 478; *Matter of Dittakavi*, 155 AD3d 10; *Matter of Nudo*, 132 AD3d 170; *Matter of Sokoloff*, 95 AD3d 254; *Matter of Cohen*, 72 AD3d 251; *Matter of Gruen*, 55 AD3d 88; *Matter of Raskind*, 46 AD3d 129; *Matter of Holtzman*, 78 NY2d 184.)

NYS Grievance Committee for the Tenth Judicial District, Hauppauge (*Rona I. Kugler, Catherine A. Sheridan and Elizabeth A. Grabowski* of counsel), for respondent in the first and second above-entitled proceedings. I. The Appellate Division properly imposed reciprocal discipline upon Larry Hallock and Mary Malerba based upon the underlying misconduct in the foreign jurisdiction. The Court relied solely upon evidence in

the records of their respective proceedings and considered only the charges of misconduct raised in federal court. (*Matter of Barbara*, 81 AD3d 127; *Matter of Schwartz*, 176 AD3d 57.) II. The Appellate Division properly imposed one-year and six-month suspensions, respectively, upon respondent-appellants. (*Matter of Kelly*, 23 NY2d 368; *Matter of Hawes*, 217 NY 602; *Matter of Goodman*, 199 NY 143; *Matter of Machado*, 161 AD3d 132; *Matter of Anonymous*, 74 NY2d 938; *Matter of Baker*, 28 NY2d 977; *Matter of Del Bello*, 19 NY2d 466; *Matter of Axtell*, 257 NY 210; *Matter of Flannery*, 212 NY 610; *Matter of Munroe*, 89 AD3d 1.)

OPINION OF THE COURT

Per Curiam.

The Appellate Division imposed reciprocal discipline on appellants Larry Hallock and Mary Malerba for misconduct committed before a federal district court judge, suspending Hallock for one year and Malerba for six months. We hold that the record from the foreign jurisdiction did not support the Appellate Division's finding that appellants acted dishonestly and, accordingly, we reverse and remit in both cases.

I.

Hallock & Malerba, P.C., appellants' law firm, along with associate Oleg Smolyar, represented plaintiff Sheri Luscier in a personal injury case before Judge P. Kevin Castel in the Southern District of New York. In opposition to defendants' summary judgment motion, the firm submitted an affidavit purportedly signed by Luscier and notarized by Smolyar (the Luscier Affidavit). During her trial testimony, however, Luscier disavowed any knowledge of the Luscier Affidavit.

Judge Castel subsequently ordered the firm to explain how the Luscier Affidavit was drafted and executed. In his unsworn "Attorney's Affidavit," Smolyar took responsibility for drafting the Luscier Affidavit and claimed Luscier was involved in its preparation but admitted that he signed her name and falsely attested to the administration of the oath. After Judge Castel issued an order to show cause why all three attorneys and the law firm should not be sanctioned under the Federal Rules of Civil Procedure rules 56 and 11 for the false signature and attestation, Smolyar admitted that indeed most of the Attorney's Affidavit was false and that he never contacted Luscier about the affidavit, but instead unilaterally drafted and signed the

Luscier Affidavit. He maintained that this was an “isolated . . . incident.”

Hallock and Malerba denied involvement in drafting the Luscier Affidavit and argued they had no reason to know of Smolyar’s dishonesty. They also disclosed the discovery of an unrelated client affidavit that Smolyar falsely signed less than three weeks after the Luscier Affidavit. Although Hallock and Smolyar agreed that Hallock drafted the Attorney’s Affidavit, they disagreed about whether Hallock spoke to Smolyar before drafting it and whether he sought Smolyar’s input before submission.

Judge Castel sanctioned Smolyar individually for the Luscier Affidavit under Federal Rules of Civil Procedure rules 56 (h) (the submission of affidavit or declaration in bad faith) and 11 (b) (sanctions for bad faith submission to the court requiring actual knowledge of lack of evidentiary support). Judge Castel found that Smolyar, as an associate at the firm, signed and submitted the Attorney’s Affidavit with knowledge of its falsity (*Luscier v Risinger Bros. Transfer*, 2015 WL 5638063, *10-11, 2015 US Dist LEXIS 129640, *27-30 [SD NY, Sept. 17, 2015, No. 13-cv-8553(PKC)]). By contrast, Judge Castel imposed sanctions under Federal Rules of Civil Procedure rule 11 (c) on the law firm not “because of [the firm’s] misfortune of having employed a lone wolf, bad actor” but rather because Hallock “was a direct participant in the preparation and filing” of the Attorney’s Affidavit (2015 WL 5638063, *12, 2015 US Dist LEXIS 129640, *34-35). Judge Castel reasoned that Hallock “had serious reason to doubt” Smolyar’s account of the drafting of the Luscier Affidavit and should have sought to verify Smolyar’s account with the client before filing the Attorney’s Affidavit (2015 WL 5638063, *12, 2015 US Dist LEXIS 129640, *35-36). Moreover, the discovery of Smolyar’s unrelated misconduct demonstrated “[t]he ease with which . . . Smolyar’s lie could have been exposed” (2015 WL 5638063, *13, 2015 US Dist LEXIS 129640, *37). Nevertheless, Judge Castel concluded that the record did not support a finding that Hallock knew that the Attorney’s Affidavit was false (2015 WL 5638063, *12, 2015 US Dist LEXIS 129640, *37). As a result, the law firm was jointly and severally liable for the submission of the Attorney’s Affidavit but neither Hallock nor Malerba was sanctioned under Federal Rules of Civil Procedure rule 11 (b).

The Grievance Committee for the Southern District of New York (SD NY Committee) charged Hallock and Malerba with

violations of various New York Rules of Professional Conduct (see SD NY & ED NY Joint Local Civ Rule 1.5 [b] [5]). Both attorneys consented to censure and admitted they failed to supervise Smolyar in violation of Rules of Professional Conduct (22 NYCRR 1200.0) rules 5.1 (b) (1) (requiring lawyers in a firm with managerial responsibility to make “reasonable efforts” to ensure supervised attorneys follow the rules); 5.1 (b) (2) (same for lawyers with direct supervisory authority); 5.1 (d) (2) (ii) (rendering law firm partner vicariously responsible for a violation of the rules by an employee where the partner should have known of the employee’s misconduct); and 8.4 (h) (prohibiting a lawyer from engaging in “conduct that adversely reflects on the lawyer’s fitness as a lawyer”). The SD NY Committee made no additional factual findings and censured appellants.

Pursuant to 22 NYCRR 1240.13, the Appellate Division ordered Hallock and Malerba to show cause why reciprocal discipline should not be imposed “based on the misconduct underlying the discipline imposed” by the SD NY Committee. Before the Appellate Division, both attorneys admitted the same disciplinary rule violations with respect to their failure to supervise Smolyar, offered mitigation, and requested a sanction no more severe than censure. Neither gave any indication in their response that they knew beforehand about Smolyar’s misconduct or that they personally engaged in any dishonest conduct.

The Appellate Division suspended Hallock for one year (*Matter of Hallock*, 181 AD3d 125 [2d Dept 2020]). The Court determined that Hallock’s “misconduct extended beyond a mere failure to supervise” because Judge Castel found that he was a direct participant in the preparation of the Attorney’s Affidavit (*id.* at 129-130). The Court noted that “[f]ailure by attorneys to adhere to basic standards of honesty in their representations to the courts seriously compromises the ability of the courts to render the appropriate disposition in matters brought before them” (*id.* at 130). Malerba was suspended for six months (*Matter of Malerba*, 182 AD3d 91 [2d Dept 2020]). Even though she was “less culpable” than Hallock, the Court found that Malerba’s “dishonest conduct merits a suspension from the practice of law” (*id.* at 95). Hallock and Malerba appealed to this Court as of right pursuant to CPLR 5601 (b) (1).

II.

An attorney disciplinary proceeding is an “adversary proceeding[] of a quasi-criminal nature” and the lawyer charged with misconduct is “entitled to procedural due process, which includes fair notice of the charge” and an opportunity to be heard (*In re Ruffalo*, 390 US 544, 550-551 [1968]; *see also Matter of Dondi*, 63 NY2d 331, 339-340 [1984]). Sanctions imposed in disciplinary proceedings “may have serious consequences resulting in impairment of repute, loss of clientele, or, in the case of disbarment, loss of license to practice a profession which is their very source of livelihood” (*see Matter of Anonymous Attorneys*, 41 NY2d 506, 508 [1977]). In a reciprocal disciplinary proceeding, “[a]fter the respondent has had an opportunity to be heard, and upon review of the order entered by the foreign jurisdiction, and the record of the proceeding in that jurisdiction,” the Court may impose discipline for the underlying misconduct committed in the foreign jurisdiction (22 NYCRR 1240.13 [c]). In reviewing the disciplinary determination of the Appellate Division, this Court “possesses no power to rule upon the facts, in the absence of an abuse of discretion as matter of law, or to determine the severity of the punishment” (*Matter of Del Bello*, 19 NY2d 466, 472 [1967]).

Hallock and Malerba claim that the Appellate Division improperly relied on evidence from Smolyar’s reciprocal disciplinary proceeding.¹ We disagree. The Court did not explicitly rely on evidence from Smolyar’s proceeding in either opinion. While there are cross-references to the *Matter of Smolyar* order in each decision, the references were intended only to incorporate the Court’s prior summary of Judge Castel’s findings (*see Hallock*, 181 AD3d at 126; *Malerba*, 182 AD3d at 92) or to identify specific facts within that summary (*see Hallock*, 181 AD3d at 127).

We do, however, hold that the Appellate Division’s findings that Hallock and Malerba acted dishonestly in their dealings with the federal court were not supported by the record and, therefore, constituted an abuse of discretion (*see Matter of Brandes*, 28 NY3d 1041, 1043 [2016]). As an initial matter, the

1. The Appellate Division, after holding a mitigation hearing, suspended Smolyar for one year, finding that he was “not entirely to blame for the false statements” because both offending documents were “prepared while under the supervision of his employer” (*Matter of Smolyar*, 165 AD3d 74, 83 [2d Dept 2018]). Smolyar’s reciprocal disciplinary proceeding was concluded prior to the commencement of the proceedings at issue here.

only record at issue here was “the record of the proceeding in [the foreign] jurisdiction” (22 NYCRR 1240.13 [c]). And in that proceeding, Judge Castel explicitly noted, “the record before this Court is not sufficient to support a finding of actual knowledge on the part of Mr. Hallock of the falsity of the ‘Attorney’s Affidavit’ ” (*Luscier*, 2015 WL 5638063, *12, 2015 US Dist LEXIS 129640, *37). Judge Castel did not mention any participation by Malerba in the filing of either Affidavit or any personal dishonesty by either Hallock or Malerba. Nevertheless, in the “Findings and Conclusion” section of each opinion, the Appellate Division noted that each attorney engaged in “dishonest” conduct (*see Hallock*, 181 AD3d at 130; *Malerba*, 182 AD3d at 95). A finding of personal dishonesty—such as knowingly filing a false affirmation—goes beyond a failure to supervise or to prevent dishonest conduct by an employee, and such a finding with respect to Hallock or Malerba is not supported by the record of the federal court proceedings.²

It is crucial, given the stakes involved, that the Appellate Division makes clear that whatever sanction is imposed is grounded in the record of the federal court proceedings. We take no position on the appropriate penalty for that misconduct. Nor do we minimize the serious violations of the disciplinary rules that admittedly occurred here. Accordingly, on each appeal, the order of the Appellate Division should be reversed, with costs, and matter remitted to that Court for further proceedings in accordance with this opinion.

In each case: Order reversed, with costs, and matter remitted to the Appellate Division, Second Department, for further proceedings in accordance with the opinion herein.

Opinion Per Curiam. Judges FAHEY, GARCIA, WILSON, SINGAS and CANNATARO concur. Chief Judge DiFIORE and Judge RIVERA took no part.

2. In light of our holding, we do not address appellants’ due process claims with respect to the Appellate Division’s findings of dishonesty.

[180 NE3d 1043, 159 NYS3d 743]

CANDY ANDERSON, Respondent, v JACK E. ANDERSON, Appellant.

In the Matter of WILLIAM F. KOEGEL, Also Known as WILLIAM FISHER KOEGEL, Deceased. JOHN B. KOEGEL, as Executor of the Estate of WILLIAM F. KOEGEL, Also Known as WILLIAM FISHER KOEGEL, Deceased, Respondent; IRENE LAWRENCE KOEGEL, Appellant.

Argued November 18, 2021; decided December 16, 2021

SUMMARY

APPEAL, in the first above-entitled action, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered August 20, 2020. The Appellate Division, with two Justices dissenting, had (1) reversed, on the law, insofar as appealed from, so much of an order of the Supreme Court, Chautauqua County (Stephen W. Cass, A.J.), as had denied plaintiff's motion for summary judgment; and (2) granted that part of plaintiff's motion seeking summary judgment on the complaint.

APPEAL, in the second above-entitled proceeding, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered June 17, 2020. The Appellate Division affirmed an order of the Surrogate's Court of Westchester County (Brandon R. Sall, S.), which had granted petitioner's motion for summary judgment on the petition. The appeal brings up for review a prior nonfinal order of that Appellate Division, entered February 7, 2018, which had affirmed an order of the Surrogate's Court of Westchester County (Thomas E. Walsh II, A.S.) denying respondent's motion to dismiss the petition.

Anderson v Anderson, 186 AD3d 1000, affirmed.

Matter of Koegel, 184 AD3d 764, affirmed.

Matter of Koegel, 160 AD3d 11, affirmed.

HEADNOTES

Marriage — Postnuptial Agreement — Acknowledgment Requirement — Timing of Acknowledgment

1. An acknowledgment must be executed contemporaneously, although not necessarily simultaneously, with the party's signing of a nuptial agreement in order to comply with Domestic Relations Law § 236 (B) (3). Such an approach does not preclude execution in counterparts and accounts for a rea-

sonable delay between signing and acknowledgment, which might be occasioned by circumstances unrelated to a party's knowing delay or intent to gain leverage over the other party. Because a nuptial agreement is not enforceable until both parties have signed and their signatures have been duly acknowledged, a significant delay between a signature and acknowledgment calls into question whether there was a shared understanding of the relevant circumstances. When there is an excessive delay rendering an acknowledgment ineffective and the agreement therefore unenforceable, the parties are free to reaffirm their agreement, again based on the information available to them at that time. To comply with Domestic Relations Law § 236 (B) (3), reaffirmation would require that both parties must again sign and acknowledge the agreement.

Marriage — Postnuptial Agreement — Acknowledgment Requirement — Timing of Acknowledgment

2. Defendant husband's acknowledgment of his signature on the parties' nuptial agreement nearly seven years after it was signed and acknowledged by plaintiff wife, and shortly before defendant commenced a divorce action, was ineffective and the nuptial agreement was unenforceable. An acknowledgment must be executed contemporaneously, although not necessarily simultaneously, with the party's signing of a nuptial agreement in order to comply with Domestic Relations Law § 236 (B) (3). Because a nuptial agreement is not enforceable until both parties have signed and their signatures have been duly acknowledged, a significant delay between a signature and acknowledgment calls into question whether there was a shared understanding of the relevant circumstances. While plaintiff believed she was entering into a contract based on a shared understanding of the relevant facts, that understanding was essentially lacking as the circumstances were quite different seven years later when defendant finally attempted to formalize the agreement by acknowledging his signature. Thus, it was evident that one of the purposes of the acknowledgment requirement—to impose a measure of deliberation and impress upon the signer the significance of the document—had not been fulfilled.

Marriage — Prenuptial Agreement — Acknowledgment Requirement — Defect in Certificate of Acknowledgment

3. A defect in the certificate of acknowledgment accompanying a nuptial agreement occasioned by the notary's or other official's error and not by a flaw in the parties' actual signing and acknowledgment may be overcome with adequate evidence that the statutory requirements of Domestic Relations Law § 236 (B) (3) were met. This limited remedy avoids invalidating a nuptial agreement when the parties have done all that the Domestic Relations Law requires of them. Decedent's executor, who sought to enforce the surviving spouse's waiver of her elective share rights in the nuptial agreement she and decedent had executed approximately one month before their marriage, submitted adequate evidence to overcome the defect in the certificates of acknowledgment, which was that the parties' lawyers had failed to include in the respective certificates the undisputed fact that the signer was personally known to them at the time of signing. The executor submitted affidavits from those attorneys in which they recalled acknowledging their client's signature and explained the basis of their knowledge of their client's identity. The affidavits—which were not rebutted—showed that the parties' attempt to comply with the acknowledgment requirement was defective due to no fault of their own because the signatories did everything they were supposed to do and complied with the formalities, even though the acknowledg-

ment certificates failed to articulate that compliance in writing. Allowing proof of the personal knowledge of the signers merely allowed the executor to conform the certificates to reflect the fact of the actual events.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Acknowledgments §§ 9, 88, 89; AM JUR 2d Divorce and Separation §§ 18, 81, 90, 972.
 CARMODY-WAIT 2d Acknowledgments §§ 5:4, 5:10, 5:16;
 CARMODY-WAIT 2d Separation §§ 117:8.
 MCKINNEY'S, Domestic Relations Law § 236 (B) (3).
 NY JUR 2d Acknowledgments, Affidavits, Oaths, Notaries,
 and Commissioners §§ 12, 15–20, 33, 34; NY JUR 2d Do-
 mestic Relations §§ 156, 157, 163–165.
 NEW YORK MATRIMONIAL LAW AND PRACTICE § 10:36.

ANNOTATION REFERENCE

See ALR Index under Acknowledgments; Antenuptial Agreements; Divorce and Separation.

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POINTS OF COUNSEL

Erickson Webb Scolton & Hajdu, Lakewood (*Lyle T. Hajdu* and *Paul V. Webb, Jr.* of counsel), for appellant in the first above-entitled action. Domestic Relations Law § 236 (B) (3) does not require the acknowledgment on a nuptial agreement to be contemporaneous with the parties' signature or be mutually reaffirmed to be enforceable. (*Matisoff v Dobi*, 90 NY2d 127; *Galetta v Galetta*, 21 NY3d 186; *Filkins v Filkins*, 303 AD2d 934; *Arizin v Covello*, 175 Misc 2d 453; *D'Elia v D'Elia*, 14 AD3d 477; *Anonymous v Anonymous*, 253 AD2d 696; *Bloomfield v Bloomfield*, 97 NY2d 188; *Matter of Sunshine*, 51 AD2d 326; *Pulver v Pulver*, 40 AD3d 1315.)

Law Office of Barbara A. Kilbridge, Buffalo (*Barbara A. Kilbridge* of counsel), for respondent in the first above-entitled action. I. In order to enter into a contract to deviate from the maintenance and equitable distribution provisions of Domestic Relations Law § 236 (B) by agreement, the signature and

acknowledgment provisions of Domestic Relations Law § 236 (B) (3) must be strictly followed. (*Matisoff v Dobi*, 90 NY2d 127.) II. The certificate of acknowledgment on a marital agreement must be contemporaneous with the parties' entering into the agreement. (*Filkins v Filkins*, 303 AD2d 934; *D'Elia v D'Elia*, 14 AD3d 477; *Leighton v Leighton*, 46 AD3d 264; *Galetta v Galetta*, 21 NY3d 186.)

Himmel & Bernstein, LLP, New York City (*Andrew D. Himmel* of counsel), for appellant in the second above-entitled proceeding. I. The certificate of acknowledgment was materially defective. (*Galetta v Galetta*, 21 NY3d 186.) II. No statute empowers the courts to allow cures of material defects in certificates of acknowledgments. (*Matter of Dorcinvil v Annucci*, 186 AD3d 1853; *Ruffin v Lion Corp.*, 15 NY3d 578; *Tenney v Oswego County Bd. of Elections*, 70 Misc 3d 680; *Matter of Balberg v Board of Elections in the City of N.Y.*, 109 AD3d 910; *Matter of 427 W. 51st St. Owners Corp. v Division of Hous. & Community Renewal*, 3 NY3d 337; *Matter of Goldstein v New York State Urban Dev. Corp.*, 13 NY3d 511; *Sokoloff v Schor*, 176 AD3d 120; *I.T.K. v Nassau Boces Educ. Found., Inc.*, 177 AD3d 962.) III. Courts properly decline to redraft legislation in the exercise of their judicial function. (*Matisoff v Dobi*, 90 NY2d 127; *Patrolmen's Benevolent Assn. of City of N.Y.*, 41 NY2d 205; *Matter of Chemical Specialties Mfrs. Assn. v Jorling*, 85 NY2d 382; *Henry Modell & Co. v Minister; Elders & Deacons of Ref. Prot. Dutch Church of City of N.Y.*, 68 NY2d 456; *Matter of Doe*, 16 Misc 3d 714; *Matter of Daniel C.*, 99 AD2d 35, 63 NY2d 927.) IV. Policy reasons argue against allowing cures of materially defective marital agreements governed by Domestic Relations Law § 236 (B) (3) or EPTL 5-1.1-A (e) (2). (*Carolan v Yoran*, 104 App Div 488; *Paolillo v Faber*, 56 App Div 241; *Moran v Stader*, 52 Misc 385; *Matter of Larchmont Pancake House v Board of Assessors and/or the Assessor of the Town of Mamaroneck*, 33 NY3d 228.)

Law Office of Susan Phillips Read, West Sand Lake (*Susan Phillips Read* of counsel), for respondent in the second above-entitled proceeding. I. Legislative history and the weight of precedent support the validity and enforceability of a spousal waiver where a notary knew the signer, and witnessed the signing of and subscribed his or her name to the waiver. (*Terwilliger v Terwilliger*, 103 Misc 2d 371; *Matter of McGlone*, 171 Misc 612; *Irving Trust Co. v Day*, 314 US 556; *Matter of Maul*, 176 Misc 170; *Matter of Stoeger*, 30 Misc 2d 1090; *Matter of*

Stegman, 42 Misc 2d 273; *Matter of Beckford*, 280 AD2d 472; *Matter of Saperstein*, 254 AD2d 88; *Matter of Palmeri*, 75 Misc 2d 639, 45 AD2d 726, 36 NY2d 895; *Matter of Henken*, 150 AD2d 447.) II. The *Galetta v Galetta* (21 NY3d 186 [2013]) dicta. (*People ex rel. Sayville Co. v Kempner*, 49 App Div 121.) III. Respondent's proposed bright-line rule is bad public policy. IV. Considering extrinsic evidence of substantive compliance is not judicial overreach. (*Galetta v Galetta*, 21 NY3d 186; *Pouch v Prudential Ins. Co. of Am.*, 204 NY 281.) V. In the event the Court of Appeals holds the waiver to be invalid and unenforceable, this case must be remitted to Surrogate's Court for adjudication of the executor's other defenses to respondent's notice of election.

OPINION OF THE COURT

RIVERA, J.

In these appeals, we are presented with two permutations of the central issue of whether noncompliance with the signature acknowledgment requirements of Domestic Relations Law § 236 (B) (3) renders a nuptial agreement irrevocably unenforceable. *Anderson* presents the question left open in *Matisoff v Dobi* (90 NY2d 127 [1997]), specifically whether the acknowledgment must be contemporaneous with the signing of the agreement in order to comply with Domestic Relations Law § 236 (B) (3). We conclude that the signature must be acknowledged contemporaneously within a reasonable time of signing. Because in *Anderson* the wife signed and acknowledged the agreement the month after the wedding, while the husband delayed nearly seven years before acknowledging his signature and did so shortly before he commenced a divorce action, the husband's acknowledgment is ineffective and the nuptial agreement unenforceable. The only remedy under the circumstances was for the parties to reaffirm the agreement's terms, which did not occur in this case.

In *Matter of Koegel*, the acknowledgments of each party were made contemporaneously with the signing of the nuptial agreement, but the certificates of acknowledgment were defective. The parties' lawyers failed to include in the respective certificates the undisputed fact that the signer was personally known to them at the time of signing. Where, as here, the signatories have satisfied the prerequisites for a valid certificate of acknowledgment—i.e., the defect in the certificate of acknowledgment is occasioned by the notary's or other official's error and not by a flaw in the parties' actual signing and acknowledg-

ment—a reaffirmation of the agreement terms is unnecessary. Thus, this defect in the certificate may be overcome, as here, with extrinsic evidence of the official’s personal knowledge or proof of identity of the signer.

I.

Domestic Relations Law § 236 (B) (3) provides that “[a]n agreement by the parties, made before or during the marriage, shall be valid and enforceable in a matrimonial action if such agreement is in writing, subscribed by the parties, and acknowledged or proven in the manner required to entitle a deed to be recorded.” As the Court has previously explained, Real Property Law §§ 292, 303, and 306 “must be read together to discern the requisites of a proper acknowledgment” (*Galetta v Galetta*, 21 NY3d 186, 192 [2013]) for the purposes of Domestic Relations Law § 236 (B) (3). Specifically, section 292 “requires that the party signing the document orally acknowledge to the notary public or other officer that [they] in fact signed the document” (*id.*), section 303 requires that the notary or other officer taking the acknowledgment “knows or has satisfactory evidence[] that the person making it is the person described in and who executed such instrument” (*id.*, quoting Real Property Law § 303), and section 306 “compels the notary or other officer to execute ‘a certificate . . . stating all the matters required to be done, known, or proved’ and to endorse or attach that certificate to the document” (*id.*, quoting Real Property Law § 306).

“Generally, acknowledgment serves to prove the identity of the person whose name appears on an instrument and to authenticate the signature of such person” (*Matisoff*, 90 NY2d at 133). The acknowledgment also “necessarily imposes on the signer a measure of deliberation in the act of executing the document” (*Galetta*, 21 NY3d at 192). And because “[m]arital agreements within [Domestic Relations Law §] 236 (B) (3) encompass important personal rights and family interests[,] . . . the formality of acknowledgment underscores the weighty personal choices to relinquish significant property or inheritance rights, or to resolve important issues concerning child custody, education and care” (*Matisoff*, 90 NY2d at 136). Put another way, a couple’s decision to be bound by the terms of a nuptial agreement is necessarily based on their understanding of each other’s respective economic status and their future as a couple at the time they sign the agreement, and the formalities

are intended to impress upon the signatories the consequences at the moment of affirmation. To serve their intended purpose, these formalities must be completed close in time to when each party weighs the consequences of their respective decisions and signs.

The parties' compliance must be confirmed in a manner adequate under the law. The certificate of acknowledgment establishes that the "signer made the oral declaration compelled by Real Property Law § 292" and the "notary or other official either actually knew the identity of the signer or secured 'satisfactory evidence' of identity ensuring that the signer was the person described in the document" (*Galetta*, 21 NY3d at 192). Thus, a properly executed certificate is the means by which the parties document that past events comply with the statutory requirements.¹

II.

Anderson v Anderson

Timely Acknowledgment Ensures the Consequences of the Agreement are Meaningfully Impressed upon the Signatories

A.

Candy Anderson signed and acknowledged a nuptial agreement with Jack Anderson the month after their wedding. It is undisputed that regardless of when Jack signed the agreement, his signature was not acknowledged until nearly seven years later, shortly before he commenced a divorce action and in anticipation of Candy's divorce filing. With full knowledge that Candy intended to end the marriage, and after his attorney informed him that his signature had not been acknowledged as required by Domestic Relations Law § 236 (B) (3), Jack at last attempted to validate the agreement and appeared before a notary public where he orally acknowledged that the signature on the agreement was his. Jack commenced formal divorce proceedings five days later.

Candy then filed for divorce and, in an ancillary action, moved for summary judgment to set aside the nuptial agreement. Supreme Court denied the motion. On Candy's appeal, a

1. Because both *Anderson* and *Koegel* involve solely the acknowledgment procedure as set forth in the Real Property Law, we limit our analysis here to that methodology and its requirements.

majority of the Appellate Division reversed and concluded that because Jack's signature had not been contemporaneously acknowledged and the parties had not reaffirmed the agreement when the signature was acknowledged, the agreement was invalid and unenforceable (*see Anderson v Anderson*, 186 AD3d 1000, 1002-1003 [4th Dept 2020]). Two Justices would have held that because Domestic Relations Law § 236 (B) (3) is silent on this question, the Court was without authority to impose such requirements (*id.* at 1003 [Curran and Troutman, JJ., dissenting]).

Jack appeals as of right based on the dual dissent below (*see* CPLR 5601 [a]) and contends that Domestic Relations Law § 236 (B) (3) requires only that an agreement be signed and acknowledged in the manner required to record a deed, regardless of when this is done. In his view, since there is no dispute that the nuptial agreement was acknowledged before the commencement of the divorce proceeding, the acknowledgment complies with the statutory requirements. In response, Candy asserts that the acknowledgment here was ineffective and that, in *Matisoff* (90 NY2d 127), we held that an unacknowledged nuptial agreement is not valid and that Domestic Relations Law § 236 (B) (3) recognizes no exceptions to its requirements. She further argues that requiring contemporaneous acknowledgment places couples and their legal advisors on clear notice of the prerequisites to ensure a valid nuptial agreement.

B.

A court is not at liberty to permit a post hoc remedy to an unacknowledged nuptial agreement. The legislature has expressed the mandatory nature of the acknowledgment requirement by “the unambiguous statutory language of section 236 (B) (3), its history and related statutory provisions” (*Matisoff*, 90 NY2d at 135). Moreover, the acknowledgment requirement is “onerous” and “more exacting than the burden imposed when a deed is signed” because, unlike an unrecordable, unacknowledged deed, which may be enforced against the grantor and grantee, an unacknowledged nuptial agreement is unenforceable against the parties to the agreement, “even when the parties acknowledge that the signatures are authentic and the agreement was not tainted by fraud or duress” (*Galetta*, 21 NY3d at 192, citing *Matisoff*, 90 NY2d at 134-135).

While the complete absence of an acknowledged signature is a fatal defect rendering a nuptial agreement ineffective and

unenforceable, in *Matisoff* we noted that “Domestic Relations Law § 236 (B) (3) and the Real Property Law do not specify when the requisite acknowledgment must be made [in relation to the party’s signature]. It is therefore unclear whether acknowledgment must be contemporaneous with the signing of the agreement” (*Matisoff*, 90 NY2d at 137). That open question is squarely presented in *Anderson*.

As is obvious from our reservation of the question in *Matisoff*, our view then, as it is now, is that statutory silence is not dispositive of the timing question. Thus, we must apply our well-established rules of interpretation to resolve the issue. “In matters of statutory interpretation, our primary consideration is to discern and give effect to the Legislature’s intention” (*Rodriguez v City of New York*, 31 NY3d 312, 317 [2018] [internal quotation marks and citation omitted]; see also McKinney’s Cons Laws of NY, Book 1, Statutes § 92). Given the purpose of the signing and acknowledgment requirements, the Domestic Relations Law’s “obvious spirit and intent” must be understood to require an acknowledgment that is reasonably close temporally to the period when the signing parties have considered the consequences of the nuptial agreement and decided to be bound by its terms (*Matisoff*, 90 NY2d at 133, quoting *Chamberlain v Spargur*, 86 NY 603, 606 [1881]; see also McKinney’s Cons Laws of NY, Book 1, Statutes §§ 71, 96). Indeed, the legislature intended to allow only those nuptial agreements that contained terms that were “Fair and Reasonable” (Assembly Mem in Support, Bill Jacket, L 1980, ch 281). The affirmation solemnizes the consequences of signing the nuptial agreement. Thus, a rule recognizing a reasonable time frame for compliance with the acknowledgment requirement furthers that purpose. Because a nuptial agreement is not enforceable until both parties have signed and their signatures have been duly acknowledged, a significant delay between a signature and acknowledgment calls into question whether there was a shared understanding of the relevant circumstances.

[1] We therefore hold that an acknowledgment must be executed contemporaneously, although not necessarily simultaneously, with the party’s signing of the agreement. Otherwise, the document must be treated as legally and functionally unacknowledged. Requiring that signatures and acknowledgments be formalized within a reasonable time period does not force an acknowledgment to occur at the moment that a party

signs the document or at the same time the other party signs and acknowledges the document. While necessary to effectuate the legislative purposes of the acknowledgement requirement, this approach does not preclude execution in counterparts and accounts for a reasonable delay between signing and acknowledgment, which might be occasioned by circumstances unrelated to a party's knowing delay or intent to gain leverage over the other party. For example, a brief lapse in time between the signing and the acknowledgment before a notary or other official is reasonable when the official is not immediately available, such as during holidays and vacations or a party suffers from an illness or is unable to obtain time off from work.

A document that depends on an untimely acknowledgment is the legal and functional equivalent of an unacknowledged document. However, in a case involving such a document, the parties are not without a remedy. When there is an excessive delay rendering an acknowledgment ineffective and the agreement therefore unenforceable, the parties are free to reaffirm their agreement, again based on the information available to them at that time. To comply with Domestic Relations Law § 236 (B) (3), reaffirmation would require that both parties must again sign and acknowledge the agreement. The rule thus places the parties on a fair and equal footing in deciding whether to be bound by the agreement—either initially or at some future date if the agreement is unenforceable because of the delay.

Contrary to Jack's claims, this rule is not at odds with the statute. If we adopted the rule advocated by Jack, we would encourage a party to withhold acknowledgment and would allow that party to wait until they can reassess the terms based on changed economic standing and unanticipated events. Permitting Jack's unreasonably delayed commitment would be at odds with the purpose of an antenuptial agreement under which both parties consider terms that are designed based on their respective personal and professional lives at the time of execution and their predictions of their future together, and not on actual events that transpire years into the marriage, including later economic success or failure.

Nor are we persuaded by Jack's argument that a temporal limitation is unworkable and creates confusion. We need not set forth the outer boundaries of the time in which the signature must be acknowledged. In those cases where an acknowledgment is challenged as too late to be compliant with Domestic Relations Law § 236 (B) (3), and the parties have not

reaffirmed the agreement, resolution of the challenge requires the same exercise of judicial decisionmaking as with any other disputed issue presented to a court. In such cases, a court may consider as relevant factors in its determination the length of the delay, whether the signer or a third party caused the delay, and whether the signer is motivated to comply with the statutory mandates because of changed circumstances in the marriage or an impending divorce action. These factors are not exhaustive, but represent the type of considerations that evince a strategic or unreasonable delay, rather than delay due to unintended circumstances.

[2] Applying this rule to the facts of *Anderson*, at the time the parties attempted to execute their nuptial agreement—the month after their marriage—only Candy had signed and had her signature acknowledged by a notary public. Jack did not have his signature acknowledged until after Candy informed him that she was filing for divorce, and shortly before he made it to the courthouse before her to file his own divorce action. Thus, when the parties were considering the “weighty personal choices to relinquish significant property or inheritance rights” and the various issues concerning familial arrangements (*Mattisoff*, 90 NY2d at 136) based on what they knew one month into their marriage, only Candy had gone through the formalities that she believed bound her. By failing to timely acknowledge his signature, Jack was able to revisit the agreement years later and thereby delay his decision whether to be bound by it, a decision he was then able to make with the benefit of hindsight and full knowledge of the parties’ respective economic positions shortly before filing for divorce.

Indeed, by retaining unilateral power to validate the agreement years later if he so chose, Jack sought the benefit of what he and Candy did not bargain for—an option without time limit and which he alone could exercise, including shortly before the commencement of a divorce action (*see Anderson*, 186 AD3d at 1002; *see also Stein v Stein*, 14 Misc 3d 453 [Sup Ct, Kings County 2006]).² Put another way, while Candy believed she was entering into a contract based on a shared

2. In *Stein*, Supreme Court similarly reasoned that “[g]iven that the intent of the parties, as reflected within the ‘four corners’ of the agreement itself, was to create an enforceable *bilateral agreement*, and not one only enforceable upon the exercise of an option by a putative optionee, the enforcement of such agreement, in the absence of a contemporaneous certificate of acknowledgment by plaintiff, would run counter to the ‘insistence upon the

(n. cont’d)

understanding of the relevant facts, that understanding was essentially lacking as the circumstances were quite different seven years later when Jack finally attempted to formalize the agreement by acknowledging his signature. Thus, “it is evident that one of the purposes of the acknowledgment requirement—to impose a measure of deliberation and impress upon the signer the significance of the document—has not been fulfilled” (*Galetta*, 21 NY3d at 196).

Under these circumstances, the acknowledgment failed to comply with the requirements of Domestic Relations Law § 236 (B) (3). Therefore, the Appellate Division properly concluded that the nuptial agreement is invalid and unenforceable, and that Candy was entitled to summary judgment.

III.

Matter of Koegel

A Defective Certificate of Acknowledgment is Not Always Fatal

A.

Irene and William Koegel executed a nuptial agreement approximately one month before their marriage. The agreement provided that neither party would claim any part of the other’s estate and that they both waived their respective elective or statutory share. They further confirmed that they entered the agreement with knowledge of the “approximate extent and probable value of the estate of the other” (*Matter of Koegel*, 160 AD3d 11, 13 [2d Dept 2018], *lv dismissed* 32 NY3d 948 [2018]). Both parties signed the agreement, and their signatures were acknowledged—in the case of Irene by her lawyer and in the case of William by his law firm partner. The certificates of acknowledgment followed the statutory requirements in all but one respect: both lawyers failed to attest that the signer was known to them, although that was undeniably the case.

William passed away during the marriage. His son John filed a petition to probate William’s last will and testament, which provided that the parties had entered the antenuptial

formalities mandated by the Legislature . . . that the parties have contemporaneously demonstrated the deliberate nature of their agreement’ ” (*Stein*, 14 Misc 3d at 461 [emphasis added and omitted], quoting *Schoeman, Marsh & Updike v Dobi*, 264 AD2d 572, 573 [1st Dept 1999]).

agreement, that “[t]he bequests to and other dispositions for the benefit of [Irene] contained in this Will [we]re made by [him] in recognition of and notwithstanding said antenuptial agreement,” and that the will controlled in case of any inconsistencies, but in all other respects the “antenuptial agreement shall be unaffected by this Will.”

Irene invoked her surviving spouse elective share pursuant to Estates, Powers and Trusts Law § 5-1.1-A. In turn, John, as executor of William’s estate, filed a petition to invalidate Irene’s election and for a declaration that she was not entitled to the statutory share based, in part, on her express waiver of her elective rights in the antenuptial agreement. Irene objected and responded that although she had signed the agreement and acknowledged her signature before a lawyer known to her based on his prior representation of her in an unrelated matter, neither her nor William’s signature was acknowledged in accordance with the statutory requirements. Therefore, the agreement was unenforceable, and she was entitled to her elective share. Irene also moved to dismiss the petition to set aside her notice of election pursuant to CPLR 3211 (a) (1) and Domestic Relations Law § 236 (B) (3).

In support of his opposition to Irene’s motion, John argued, as relevant here, that the antenuptial agreement complied with the then-applicable EPTL 5-1.1³ requirements and substantially complied with the other relevant statutory mandates. He also submitted separate written affidavits from the lawyers who had acknowledged the signing. Irene’s lawyer stated that he recalled taking her acknowledgment of her signature and that she did not need to provide proof of identification because she was known to him at the time based on their prior professional relationship; William’s lawyer stated the same with respect to William and his signature, and also explained the basis of his professional knowledge of William’s identity. Surrogate’s Court denied Irene’s motion.

On appeal, the Appellate Division upheld the decision of Surrogate’s Court and concluded that the defect here could be and was cured by the executor’s submissions (*see Koegel*, 160 AD3d at 27). Surrogate’s Court thereafter granted John’s motion for summary judgment and the Appellate Division affirmed, based

3. After Irene and William signed the agreement, EPTL 5-1.1 was superseded by and renumbered EPTL 5-1.1-A. EPTL 5-1.1-A applies in the case of decedents dying after August 31, 1992 (*see* L 1992, ch 595, § 10) and thus applies here since William died in 2014.

on its prior decision under the law of the case doctrine (*see* 184 AD3d 764 [2d Dept 2020]). We granted Irene’s motion for leave to appeal (36 NY3d 905 [2021]), which brings up for review the Appellate Division’s prior nonfinal order (*see* CPLR 5501 [a] [1]; 5602 [a] [1] [i]).

In support of her claim that the waiver of her elective share set forth in the antenuptial agreement is unenforceable, Irene argues, as she did below, that the certificate of acknowledgment was materially defective because the acknowledgment omitted mandatory language attesting that the notary public knew the signer or ascertained through some form of proof that the signer was the person described. According to Irene, there is no legislative authorization to permit a cure of minor or technical defects, let alone a material defect. John counters that *Galetta* strongly suggested that extrinsic evidence should be admissible to show that “the prerequisites of an acknowledgment occurred but the certificate simply failed to reflect that fact” (21 NY3d at 197), and such is the case here as established by his proof.

B.

EPTL 5-1.1-A provides that the waiver of the surviving spouse’s elective share must “be in writing and subscribed by the maker thereof, and acknowledged or proved in the manner required by the laws of this state for the recording of a conveyance of real property” (EPTL 5-1.1-A [e] [2]). Given the similarity in language between Domestic Relations Law § 236 (B) (3) and the EPTL, and the respective conditions that the nuptial agreement and spousal waiver accord with the recording statutes, our analysis of Domestic Relations Law § 236 (B) (3) applies with equal force to Irene’s appeal. However, the different context in which the signatures here were acknowledged is dispositive and leads us to conclude the antenuptial agreement and its statutory spousal share waiver are enforceable.

Unlike *Anderson*, *Koegel* involves defective written certificates of acknowledgment. As we have previously stated, “New York courts have long held that an acknowledgment that fails to include a certification . . . is defective” (*Galetta*, 21 NY3d at 193, citing *Fryer v Rockefeller*, 63 NY 268 [1875] [holding, under prior Real Property Law § 303, that acknowledgment of the deed that did not establish signer’s identity and relationship to document was invalid] [remaining citations omitted]). In *Galetta* we noted that the lack of an acknowledgment means

that the intended purpose, “to impose a measure of deliberation and impress upon the signer the significance of the document[,] . . . has not been fulfilled” (21 NY3d at 196). This failure thus justifies the “sound” rule “precluding a party from attempting to cure the absence of an acknowledgment through subsequent submissions” (*id.*). In dicta, *Galetta* raised the possibility that a defective, as opposed to an absent, acknowledgment could be cured, recognizing the compelling argument that in a case “where the signatures on the prenuptial agreement are authentic, there are no claims of fraud or duress, and the parties believed their signatures were being duly acknowledged but, due to no fault of their own, the certificate of acknowledgment was defective or incomplete” (*id.*), the agreement should be upheld. Resolution of Irene’s appeal requires that we answer the question hypothesized in *Galetta*: whether a defective acknowledgment may be overcome by proof of the occurrence of the events anticipated by the statutory mandates.

[3] We now adopt the reasoning posited in *Galetta* and hold that the defect identified there and presented in this appeal may be overcome with adequate evidence that the statutory requirements were met, even if the acknowledgment is not properly documented in the first instance. This limited remedy avoids invalidating a nuptial agreement when the parties have done all that the Domestic Relations Law requires of them. In other words, the signature and acknowledgment may satisfy the statutory mandates if extrinsic evidence supports “that the acknowledgment was properly made in the first instance” even if the certificate fails to “include the proper language” due to the notary’s or other official’s error (*Galetta*, 21 NY3d at 196-197).

Permitting the parties to overcome this defect is not prohibited by the Domestic Relations Law, and, in fact, furthers the legislative purpose behind New York’s nuptial agreement formalities by holding parties to their agreements when they signed and had their signature acknowledged before a person who knows them or who has proof of their identification. Contrary to counsel’s suggestion, we do not devalue the certification requirement, nor will parties be able to avoid the statutory mandates. We hold that only in those limited cases where the parties signed and properly acknowledged the agreement can they later seek to present evidence of their prior timely compliance. Moreover, since 1997, New York has provided an acknowledgment form that ensures compliance when followed,

meaning the specific defect identified in this appeal should appear infrequently (see Real Property Law § 309-a; *Galetta*, 21 NY3d at 193 n 1).

Here, Irene's and William's respective acknowledgments were defective, as opposed to absent. The affidavits of the notaries who actually witnessed the signatures—which were not rebutted—showed that the parties' attempt to comply with the acknowledgment requirement was defective “due to no fault of their own” (*Galetta*, 21 NY3d at 196), because the signatories did everything they were supposed to do and complied with the formalities, even though the acknowledgment certificates failed to articulate that compliance in writing. In this instance, allowing proof of the personal knowledge of the signers merely allows John “to conform the certificate to reflect th[e] fact” (*Galetta*, 21 NY3d at 197) of the actual events. Since Irene admitted that the lawyer to whom she acknowledged her signature was known to her because he had previously represented her, and the lawyer's affidavit confirmed that she was known to him based on their professional relationship, the evidence overcame the noncompliance with the statutory mandates. Therefore, the Appellate Division properly concluded that the nuptial agreement was enforceable, as was the waiver of her elective share found therein.

IV.

In *Anderson*, the order of the Appellate Division should be affirmed, with costs.

In *Koegel*, the order of the Appellate Division appealed from and the prior Appellate Division order brought up for review should be affirmed, with costs.

In *Anderson v Anderson*: Order affirmed, with costs.

Opinion by Judge RIVERA. Chief Judge DiFIORE and Judges FAHEY, GARCIA, WILSON, SINGAS and CANNATARO concur.

In *Matter of Koegel*: Order appealed from and prior Appellate Division order brought up for review affirmed, with costs.

Opinion by Judge RIVERA. Chief Judge DiFIORE and Judges FAHEY, GARCIA, WILSON, SINGAS and CANNATARO concur.

[181 NE3d 537, 160 NYS3d 182]

ESTATE OF MARGARET KAINER et al., Appellants, v UBS AG et al., Respondents, et al., Defendants.

Argued November 17, 2021; decided December 16, 2021

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered August 6, 2019. The Appellate Division order, insofar as appealed from, affirmed so much of an order of the Supreme Court, New York County (Marcy S. Friedman, J.; op 2017 NY Slip Op 32316[U] [2017]), as had granted the motions by defendants UBS AG, UBS Global Asset Management (Americas), Inc., Norbert Stiftung, formerly known as Norbert Levy Stiftung, and Edgar Kircher to dismiss the complaint against them on forum non conveniens grounds.

Estate of Kainer v UBS AG, 175 AD3d 403, affirmed.

HEADNOTES

Courts — Forum Non Conveniens — Personal Jurisdiction

1. In an action involving a dispute over ownership of the proceeds from the sale of a painting that had been stolen by the Nazi regime, Supreme Court did not abuse its discretion in presuming personal jurisdiction over defendants and addressing the merits of their forum non conveniens arguments. The Court of Appeals, in stating in *Ehrlich-Bober & Co. v University of Houston* (49 NY2d 574, 579 [1980]) that “the doctrine [of forum non conveniens] has no application unless the court has obtained in personam jurisdiction of the parties,” did not hold that a court invariably must resolve any outstanding personal jurisdiction issue prior to addressing forum non conveniens.

Courts — Forum Non Conveniens — Special Circumstances

2. In an action involving a dispute over ownership of the proceeds from the sale in New York of a painting stolen by the Nazi regime from decedent, a former resident of Germany who lived as a refugee in Switzerland during World War II and then relocated to and died in France, Supreme Court did not abuse its discretion in granting defendants’ motion to dismiss on forum non conveniens grounds. Where there are special and unusual circumstances favoring acceptance of a suit between nonresident parties based on an out-of-state claim, it is error of law for the courts below to exclude consideration of such circumstances in deciding whether to exercise their discretion in favor of accepting or of rejecting jurisdiction. Nevertheless, special circumstances that impact even compelling state interests do not mandate retention of a case with only a tenuous connection to New York. Special circumstances were present here, as the origins of plaintiffs’ claims lay in the unique and horrific circumstances of World War II and the Holocaust. It has long been the public policy of the United States that steps should be taken expeditiously to achieve a just and fair solution to claims involving such art that has not been

restituted if the owners or their heirs can be identified. In addition, New York has a compelling interest in protecting the integrity of its art market and preventing the illicit trafficking of stolen art in the state. However, the record reflected that the courts below considered the relevant factors, including the public policies at issue, and determined that the balance of factors militated in favor of dismissal. The relevant factors favoring dismissal included the substantial burden on New York courts in determining which foreign law was applicable and applying that law, the potential availability of Switzerland as an alternative forum given that all of the plaintiffs were litigating against one of the defendants there, the substantial nexus of plaintiffs' claims to Europe, and that none of the plaintiffs and only two of the defendants resided in or were located in New York.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Courts §§ 109–116, 124.

CARMODY-WAIT 2d Courts and Their Jurisdiction §§ 2:82, 2:84, 2:85, 2:88, 2:89, 2:96, 2:98.

NY JUR 2d Courts and Judges §§ 678, 679, 682, 700, 702.

SIEGEL, NY PRAC §§ 28, 58.

ANNOTATION REFERENCE

See ALR Index under Forum Non Conveniens.

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Query: "forum non conveniens" /s dismiss /p jurisdiction
/3 person! & special /2 circumstance

POINTS OF COUNSEL

Friedman Kaplan Seiler & Adelman LLP, New York City (*Robert S. Smith* of counsel), and *Krauss PLLC*, New York City (*Geri S. Krauss* of counsel), for appellants. I. This Court should not remand the forum non conveniens determination, but should outright deny the motions to dismiss this case on forum non conveniens grounds as a matter of law and/or as an abuse of discretion. (*Mashreqbank PSC v Ahmed Hamad Al Gosaibi & Bros. Co.*, 23 NY3d 129.) II. The Appellate Division improperly dismissed this case on forum non conveniens grounds even though it acknowledged that there may not be any adequate alternative forum. (*Islamic Republic of Iran v Pahlavi*, 62 NY2d 474; *Gowen v Helly Nahmad Gallery, Inc.*, 60 Misc 3d 963, 169 AD3d 580; *Highgate Pictures v De Paul*, 153 AD2d 126;

Varkonyi v S.A. Empresa De Viacao Airea Rio Grandense [Varig], 22 NY2d 333.) III. The Appellate Division erred as a matter of law by failing to consider the public policies that mandate a denial of the motions. (*Reif v Nagy*, 61 Misc 3d 319, 175 AD3d 107, 35 NY3d 986; *Maestracci v Helly Nahmad Gallery, Inc.*, 155 AD3d 401; *Philipp v Federal Republic of Germany*, 894 F3d 406; *Menzel v List*, 49 Misc 2d 300, 28 AD2d 516, 24 NY2d 91; *Solomon R. Guggenheim Found. v Lubell*, 77 NY2d 311; *Bakalar v Vavra*, 619 F3d 136.) IV. A proper analysis of traditional forum non conveniens factors requires that dismissal be denied. (*Gulf Oil Corp. v Gilbert*, 330 US 501; *Varkonyi v S.A. Empresa De Viacao Airea Rio Grandense [Varig]*, 22 NY2d 333; *Bata v Bata*, 304 NY 51; *Banco Ambrosiano v Artoc Bank & Trust*, 62 NY2d 65; *Travelers Cas. & Sur. Co. v Honeywell Intl. Inc.*, 48 AD3d 225; *Bank Hapoalim [Switzerland] Ltd. v Banca Intesa S.P.A.*, 26 AD3d 286; *Maestracci v Helly Nahmad Gallery, Inc.*, 155 AD3d 401; *Schoeps v Andrew Lloyd Webber Art Found.*, 66 AD3d 137; *Perkow v Frank W. Winne & Sons, Inc.*, 36 AD3d 1189; *Scottish Air Intl., Inc. v British Caledonian Group, PLC*, 81 F3d 1224.) V. The appropriate corrective action is denial of the motions to dismiss. VI. The Appellate Division improperly failed to determine jurisdiction before addressing forum non conveniens. (*Ehrlich-Bober & Co. v University of Houston*, 49 NY2d 574; *Caribbean Constr. Serv. & Assoc. v Zurich Ins. Co.*, 244 AD2d 156; *Sinochem Int'l Co. v Malaysia Int'l Shipping Corp.*, 549 US 422; *Prime Props. USA 2011, LLC v Richardson*, 145 AD3d 525; *Flame S.A. v Worldlink Intl. [Holding] Ltd.*, 107 AD3d 436; *Wyser-Pratte Mgt. Co., Inc. v Babcock Borsig AG.*, 23 AD3d 269; *Edelman v Taittinger, S.A.*, 298 AD2d 301; *Sanchez v Major*, 289 AD2d 320; *I.F.S. Intl. v S.L.M. Software*, 174 AD2d 811; *Cliffstar Corp. v California Foods Corp.*, 254 AD2d 760.)

Gibson, Dunn & Crutcher LLP, New York City (*Marshall R. King* of counsel), for UBS AG and another, respondents, and *Franzino & Scher LLC*, New York City (*William M. Barron* of counsel), for Norbert Stiftung and another, respondents. I. The lower courts properly exercised their discretion in dismissing this case under the forum non conveniens doctrine. (*Martin v Mieth*, 35 NY2d 414; *Silver v Great Am. Ins. Co.*, 29 NY2d 356; *Belachew v Michael*, 59 NY2d 1004; *Mollendo Equip. Co. v Sekisan Trading Co.*, 43 NY2d 916; *Irrigation & Indus. Dev. Corp. v Indag S. A.*, 37 NY2d 522; *Westwood Assoc. v Deluxe*

Gen., 53 NY2d 618; *Hadjioannou v Avramides*, 40 NY2d 929; *Shin-Etsu Chem. Co., Ltd. v ICICI Bank Ltd.*, 9 AD3d 171; *Peters v Peters*, 101 AD3d 403; *First Union Natl. Bank v Paribas*, 135 F Supp 2d 443.) II. The lower courts did not commit any legal error in their forum non conveniens analysis. (*People v Walker*, 265 AD2d 192; *People v Hofler*, 64 AD2d 656; *Dalton v Educational Testing Serv.*, 87 NY2d 384; *Sidaoui v Aboumrad*, 104 AD3d 573; *Finance & Trading Ltd. v Rhodia S.A.*, 28 AD3d 346; *Humphrey v State of New York*, 60 NY2d 742; *National Bank & Trust Co. of N. Am. v Banco De Vizcaya, S.A.*, 72 NY2d 1005; *Varkonyi v S.A. Empresa De Viacao Airea Rio Grandense [Varig]*, 22 NY2d 333; *Hinton v Village of Pulaski*, 33 NY3d 931; *Primus Pac. Partners 1, LP v Goldman Sachs Group, Inc.*, 175 AD3d 401.) III. The lower courts properly followed the reasoning of the U.S. Supreme Court in *Sinochem Int'l Co. v Malaysia Int'l Shipping Corp.* (549 US 422 [2007]) in dismissing based on forum non conveniens before determining personal jurisdiction. (*Ehrlich-Bober & Co. v University of Houston*, 49 NY2d 574; *Gulf Oil Corp. v Gilbert*, 330 US 501; *Wyser-Pratte Mgt. Co., Inc. v Babcock Borsig AG.*, 23 AD3d 269; *Prime Props. USA 2011, LLC v Richardson*, 145 AD3d 525.)

Edward McGlynn Gaffney, Los Angeles, California, of the District of Columbia bar, admitted pro hac vice, for Raoul Wallenberg Centre for Human Rights and others, amici curiae. I. The Holocaust Expropriated Art Recovery Act of 2016 (Pub L 114-308, 130 US Stat 1524) mandates greater coherence between state law governing property rights and long-standing federal policy condemning wartime looting, including Nazi expropriation. (*Bernstein v N.V. Nederlandsche-Amerikaansche*, 173 F2d 71; *Republic of Austria v Altmann*, 541 US 677.) II. This Court should mandate review of all claims for restitution of Nazi-looted art by this state's courts in the light of the major shift of understanding commended by the Holocaust Expropriated Art Recovery Act of 2016 (Pub L 114-308, 130 US Stat 1524), establishing a general principle favoring decisions on the merits of such claims. (*Guaranty Trust Co. v York*, 326 US 99; *Marsich v Eastman Kodak Co.*, 244 App Div 295; *Conergics Corp. v Dearborn Mid-W. Conveyor Co.*, 144 AD3d 516; *Merrill Lynch, Pierce, Fenner & Smith v McLeod*, 208 AD2d 81; *Solomon R. Guggenheim Found. v Lubell*, 77 NY2d 311; *Menzel v List*, 49 Misc 2d 300, 28 AD2d 516, 24 NY2d 91; *DeWeerth v Baldinger*, 836 F2d 103; *Bakalar v Vavra*, 619 F3d 136; *Matter of Flamenbaum*, 22 NY3d 962.)

OPINION OF THE COURT

CANNATARO, J.

On this appeal, plaintiffs ask us to hold that defendants' motions to dismiss the complaint on forum non conveniens grounds must be denied as a matter of law. We conclude, however, that Supreme Court did not abuse its discretion in granting defendants' motions to dismiss and therefore affirm.

This action involves a dispute over ownership of the proceeds of sale of an Edgar Degas painting entitled *Danseuses* that was stolen from Margaret Kainer by the Nazi regime in the 1930s. After she was dispossessed of her extensive art collection, Kainer, a former resident of Germany, lived as a refugee in Switzerland during World War II, and then relocated to France where she died in 1968. Plaintiffs are Kainer's estate and 11 putative heirs who allege that Kainer's estate passed to them under French intestacy law. Defendant Norbert Stiftung, previously known as the Norbert Levy Stiftung (hereinafter referred to as the Foundation) is a foundation allegedly provided for in the 1927 will of Kainer's father, to be established in the event that she died without children or grandchildren. Plaintiffs assert that, after Kainer's death, the predecessor of defendants UBS AG and UBS Global Asset Management (Americas) created the Foundation as a Swiss public entity under UBS's direction and control, and improperly obtained all of Kainer's assets. Plaintiffs further allege that the Swiss Canton of Vaud and the City of Pully were determined—based on false claims that Kainer was domiciled in these localities at the time of her death and had no heirs—to be sole legal heirs to Kainer's estate under a Swiss certificate of inheritance. A prior action in Germany between the Foundation and the Swiss localities resulted in a settlement dividing Kainer's estate among those parties.

In 2000, the Foundation, allegedly acting in its capacity as heir, registered the painting as stolen in lost and looted art databases. In 2009, defendant Christie's Inc. contacted the Foundation seeking to facilitate a private sale of the painting by a Japanese gallery. The Foundation entered into a restitution settlement agreement with the gallery in which it renounced its rights to the painting in exchange for 30% of the proceeds from its sale. Christie's then arranged a private sale of the painting in Japan from which the Foundation received \$1.8 million. A few days after the private sale, Christie's offered the painting at public auction in New York where it sold for \$10.7 million.

Plaintiffs commenced this action in Supreme Court in January 2013, asserting numerous claims against the Foundation defendants, the UBS defendants and Christie's including conversion, unjust enrichment, and conspiracy based on the 2009 sale of the painting and seeking damages. Defendants moved to dismiss the complaint on forum non conveniens grounds. In the alternative, all defendants except Christie's and the American arm of UBS moved for dismissal based on lack of personal jurisdiction.¹ While the motions were pending, Congress enacted the Holocaust Expropriated Art Recovery Act of 2016 (HEAR Act) (*see* Pub L 114-308, 130 US Stat 1524 [114th Cong, 2d Sess, Dec. 16, 2016]) which extended state statutes of limitations in civil actions to recover artwork "that was lost [from 1933 through 1945] because of Nazi persecution" (Pub L 114-308, § 5 [a], 130 US Stat 1526). Supreme Court allowed supplemental briefing with respect to the HEAR Act but plaintiffs did not address or preserve any specific argument regarding the Act's applicability to the propriety of a forum non conveniens dismissal in an action seeking damages.

Supreme Court granted the motions of the Foundation defendants and the UBS defendants to dismiss the complaint on forum non conveniens grounds, partially granted Christie's motion to the extent of dismissing certain causes of action against it for failure to state a claim, and stayed the remainder of the action against Christie's with leave to restore if plaintiffs obtained a final favorable determination on the question of ownership rights from the European courts (2017 NY Slip Op 32316[U] [Sup Ct, NY County 2017]). The court declined to address the issue of personal jurisdiction over the Foundation and UBS defendants as a threshold matter, relying upon the U.S. Supreme Court's decision in *Sinochem Int'l Co. v Malaysia Int'l Shipping Corp.* (549 US 422 [2007]). Instead, the court presumed personal jurisdiction over defendants and addressed the merits of their forum non conveniens arguments, concluding that the relevant factors "weigh heavily in favor of [a forum non conveniens] dismissal" (2017 NY Slip Op 32316[U], *9). Upon plaintiff's appeal, the Appellate Division unanimously affirmed (175 AD3d 403 [1st Dept 2019]). This Court granted plaintiffs' motion for leave to appeal as against the Foundation

1. Notably, plaintiffs did not request that Supreme Court condition any forum non conveniens dismissal on the European courts reaching the merits in the pending proceeding, thereby failing to preserve any argument in that regard.

and UBS defendants but dismissed the motion for leave as against Christie's for nonfinality (*see* 35 NY3d 997 [2020]).

[1] As a preliminary matter, plaintiffs assert that the courts below should not have addressed forum non conveniens without first resolving—and rejecting—certain defendants' claims that the court lacked personal jurisdiction over them. Plaintiffs rely upon a statement in this Court's decision in *Ehrlich-Bober & Co. v University of Houston* (49 NY2d 574, 579 [1980]) that "the doctrine [of forum non conveniens] has no application unless the court has obtained in personam jurisdiction of the parties." Plaintiffs' reliance on this statement for the proposition that personal jurisdiction must be resolved before a forum non conveniens argument can be considered is misplaced.² This procedural issue was not presented to either the Appellate Division or this Court in *Ehrlich-Bober*, where Supreme Court had, in fact, addressed and credited both grounds for dismissal, concluding that personal jurisdiction was lacking and the action should be dismissed on forum non conveniens grounds. The statement on which plaintiffs rely appears in the procedural history portion of our decision and was simply a description of the Appellate Division decision—in concluding that a forum non conveniens dismissal was not warranted and dismissing on an unrelated ground, the Appellate Division implicitly disagreed with the conclusion of Supreme Court that personal jurisdiction was lacking. We did not hold in *Ehrlich-Bober* that a court invariably must resolve any outstanding personal jurisdiction issue prior to addressing forum non conveniens, decline to adopt such a rule in this case, and conclude that the court here did not abuse its discretion in that regard (*see Sinochem*, 549 US at 432).

With respect to forum non conveniens, we reject plaintiffs' arguments that the motions to dismiss should have been denied as a matter of law. CPLR 327 (a) provides that "[w]hen the court finds that in the interest of substantial justice the action should be heard in another forum, the court, on the motion of any party, may stay or dismiss the action in whole or in part

2. Plaintiffs have partially abandoned the argument, contending in a self-contradictory fashion that although Supreme Court abused its discretion by declining to first determine whether it had personal jurisdiction over defendants before considering whether dismissal on forum non conveniens grounds was appropriate, this Court should not reach the procedural issue unless we first consider and reverse the determination of the courts below on the forum non conveniens issue.

on any conditions that may be just.” Generally, “a decision to grant or deny a motion to dismiss on forum non conveniens grounds is addressed to a court’s discretion” (*Mashreqbank PSC v Ahmed Hamad Al Gosaibi & Bros. Co.*, 23 NY3d 129, 137 [2014]) and, if the courts below considered the various relevant factors in making such a determination, “there has been no abuse of discretion reviewable by this [C]ourt,” even if we would have weighed those factors differently (*Islamic Republic of Iran v Pahlavi*, 62 NY2d 474, 479 [1984], *cert denied* 469 US 1108 [1985]). However, “where there are special and unusual circumstances favoring acceptance of a suit between nonresident parties based on an out-of-state [claim], it is error of law for the [courts below] to exclude consideration of such circumstances in deciding whether to exercise [their] discretion in favor of accepting or of rejecting jurisdiction” (*Varkonyi v S.A. Empresa De Viacao Airea Rio Grandense [Varig]*, 22 NY2d 333, 338 [1968] [internal quotation marks omitted]). Nevertheless, special circumstances that impact even compelling state interests do not mandate retention of a case with only a tenuous connection to New York (*see Mashreqbank*, 23 NY3d at 137 [New York’s compelling state interest in protecting the integrity of its banks in the face of a foreign national’s alleged \$150 million fraudulent transaction moved through a New York bank insufficient to warrant retention of jurisdiction]). Moreover, although “the availability of another suitable forum is a most important factor,” it is not “a prerequisite for applying the *conveniens* doctrine” or a “precondition to dismissal” (*Pahlavi*, 62 NY2d at 481).

[2] Here, the motion court did not abuse its discretion in dismissing the action against the Foundation and UBS defendants on forum non conveniens grounds, and the Appellate Division did not err in affirming. To be sure, special circumstances are present: the origins of plaintiffs’ claims lie in “[t]he unique and horrific circumstances of World War II and the Holocaust” (Pub L 114-308, § 2 [6], 130 US Stat 1525). As explained in the congressional findings accompanying the HEAR Act, “[i]t is estimated that the Nazis confiscated or otherwise misappropriated hundreds of thousands of works of art and other property throughout Europe as part of their genocidal campaign against the Jewish people and other persecuted groups” (Pub L 114-308, § 2 [1], 130 US Stat 1524). It has long been the public policy of the United States that “steps should be taken expeditiously to achieve a just and fair solution to claims involving

such art that has not been restituted if the owners or their heirs can be identified” (Pub L 114-308, § 2 [3], 130 US Stat 1524 [internal quotation marks omitted]). In addition, as plaintiffs point out, New York has a compelling interest in protecting the integrity of its art market and preventing the illicit trafficking of stolen art in the state (*Solomon R. Guggenheim Found. v Lubell*, 77 NY2d 311, 320 [1991]). Contrary to plaintiffs’ argument, however, the record reflects that the courts below painstakingly considered the relevant factors, including the public policies at issue, and determined that the balance of factors militated in favor of dismissal.³ Thus, plaintiffs’ argument that this is one of the “relatively uncommon” cases in which forum non conveniens can be resolved, and denied, as a matter of law ultimately fails (*Mashreqbank*, 23 NY3d at 138). Inasmuch as the courts below considered the various relevant factors, “there has been no abuse of discretion reviewable by this [C]ourt” (*Pahlavi*, 62 NY2d at 479).

Accordingly, the order insofar as appealed from should be affirmed, with costs.

FAHEY, J. (dissenting). Justice is the only meaningful goal in the resolution of any lawsuit. The law may not always be just, but it does provide a path to justice.

Before us is a dispute over ownership of an Edgar Degas painting entitled *Danseuses*, stolen from Margaret Kainer by the Nazis. It is estimated that during their occupation of Europe, the Nazis “pulled off the ‘greatest theft in history,’ seizing and transporting more than five million cultural objects to the Third Reich” (Robert M. Edsel, *The Monuments Men* xiv [2009]). This crime was part of the Holocaust, during which the Nazis perpetrated a systematic, state-sponsored mass murder of approximately six million innocent Jewish people. The Nazis looted or destroyed hundreds of thousands, if not millions, of pieces of artwork as one of their many crimes against humanity. This has been called the “‘greatest displacement of art in human history’” (*Von Saher v Norton Simon Museum of*

3. Apart from the public policies implicated here, the relevant factors favoring dismissal include the substantial burden on New York courts in determining which foreign law is applicable and applying that law, the potential availability of Switzerland as an alternative forum given that all of the plaintiffs are currently litigating against the Foundation there, the substantial nexus of plaintiffs’ claims to Europe, and that none of the plaintiffs and only two of the defendants reside in or are located in New York.

Art at Pasadena, 592 F3d 954, 957 [9th Cir 2010], quoting Michael J. Bazyler, *Holocaust Justice: The Battle for Restitution in America's Courts* 202 [NYU Press 2003]; *see also* Senator Chuck Grassley, Chair, Comm on Judiciary, Holocaust Expropriated Art Recovery Act of 2016, S Rep 114-394, 114th Cong, 2d Sess at 2 [2016]). For decades, the theft of many of these artworks was covered up, and the looted artwork displayed in museums and private collections with no restitution offered to the original owners or their heirs. More recently, efforts have been made to acknowledge and account for the Nazi theft of these precious items, including efforts by the United States government.

The majority concludes that we must apply our precedent regarding forum non conveniens, including the factors that we previously have articulated as relevant to that analysis. The Court further concludes that the lower courts did not abuse their discretion in dismissing plaintiffs' complaint on that ground. Yet CPLR 327 (a) allows a court to dismiss on forum non conveniens grounds "[w]hen the court finds that in the interest of substantial justice the action should be heard in another forum," and then only on "any conditions that may be just." Justice, then, is the prevailing consideration in any forum non conveniens analysis. That analysis requires a court to assess not only the potential inconvenience to the parties of litigating in New York, but also whether the "interest of substantial justice" will be impaired if we conclude that they may not litigate in New York (*id.*). The factors that we have previously articulated as relevant to a forum non conveniens dismissal are simply inadequate when we are in the realm of the devastating aftermath of one of the greatest crimes in human history.

Against this uniquely horrifying backdrop, I cannot agree that the dismissal on forum non conveniens grounds is consistent with the "interest of substantial justice" (*id.*). I do not dispute that the majority arrives at a reasonable conclusion that is based upon our precedent regarding forum non conveniens and the Court's limited abuse-of-discretion standard of review. In my view, however, this is a unique circumstance for which our precedent does not adequately account. If the looting of the property of victims of the Holocaust is not included in the idea of what is meant by substantial justice, I am unsure what is.

I respectfully dissent.

I.

Plaintiffs are the estate of Margaret Kainer and her purported heirs who are seeking either to recover the painting or restitution for its theft. They allege that defendants UBS AG, UBS Global Asset Management (Americas, Inc.) (together, UBS), Norbert Stiftung (hereinafter, the Foundation), and Edgar Kircher conspired to create a sham foundation in order to divert Kainer's assets from her lawful heirs. Plaintiffs allege that the Nazis stole over 400 works of art from Kainer.

Plaintiffs further allege that, while falsely representing to defendant Christie's Inc. that it was the legitimate heir to Kainer's estate, the Foundation entered into a "Restitution Settlement Agreement" with Christie's in 2009, whereby the Foundation would renounce its claims of ownership in the Degas painting in order to make it marketable for sale in exchange for 30% of the proceeds of the sale. With that restitution settlement agreement in place, Christie's then facilitated the sale of the painting twice in a matter of days, first in a private sale for approximately \$6 million, then less than a week later at public auction in New York for \$10.7 million. Plaintiffs, who assert that they were unaware of defendants' activities, the restitution settlement agreement, or the sale of the painting until 2011 or 2012, have not received any compensation from the sale of the painting.

In 2012, plaintiffs obtained a French "certificate of inheritance," or COI, identifying them as the lawful heirs to Kainer's estate. A different COI issued in Germany in 1972 identifying the Foundation as the heir to three-quarters of the estate of Kainer's father was nullified in Germany in 2017. Plaintiffs assert that defendants are not currently challenging the French COI in any proceeding or otherwise currently challenging their status as heirs to Kainer's estate.

Plaintiffs commenced the present action in 2013 alleging numerous causes of action against defendants, including breach of fiduciary duty, conversion, unjust enrichment, and conspiracy, all centered around the restitution settlement agreement and the 2009 sale of the painting in New York. Defendants moved to dismiss, as relevant here, on *forum non conveniens* grounds, asserting, among other things, that Switzerland was a suitable alternative forum. While those motions were still pending, the United States Congress enacted the Holocaust Expropriated Art Recovery Act of 2016 (HEAR Act), and that

bill was signed into law by the President. The HEAR Act extends the statute of limitations, under certain circumstances, for a cause of action to recover artwork appropriated by the Nazis to six years from the actual discovery by the claimant of the claimant's possessory interest in the artwork and the identity and location of the artwork (*see* Pub L 114-308, § 5 [a], 130 US Stat 1526). Supreme Court allowed supplemental briefing on the HEAR Act. The court thereafter granted defendants' motions to dismiss on forum non conveniens grounds (*see* 2017 NY Slip Op 32316[U] [Sup Ct, NY County 2017]),* and the Appellate Division affirmed (175 AD3d 403 [1st Dept 2019]).

II.

The rationale articulated by the lower courts for the forum non conveniens dismissal was based on their consideration of the factors that we have articulated are generally relevant to that analysis. Specifically, the courts reasoned that none of the plaintiffs resided in New York; that litigating in New York would present hardships for defendants; that New York courts would be required to apply foreign law to determine the parties' rights as heirs and concomitant ownership interests in the painting, which would be a significant burden; and that plaintiffs had commenced proceedings in Switzerland in which they sought determination of their claims regarding their rights as Kainer's heirs, and therefore Switzerland was a suitable alternative forum (*see* 2017 NY Slip Op 32316[U], *17-25; 175 AD3d at 405-406).

These are the factors this Court has articulated as relevant to a forum non conveniens analysis (*see Islamic Republic of Iran v Pahlavi*, 62 NY2d 474, 479 [1984], *cert denied* 469 US 1108 [1985]). The lower courts cannot be faulted for applying those factors as we have articulated them. Nevertheless, we have also instructed that the "great advantage of the rule of *forum non conveniens* is its flexibility based on the facts and circumstances of each case" (*id.*). We have also placed the burden upon the defendant "challenging the forum to demonstrate relevant private or public interest factors which militate against accepting the litigation" (*id.*).

* Supreme Court granted Christie's motion to dismiss on forum non conveniens grounds, but only to the extent of staying the action against Christie's with leave to plaintiffs to restore the action against Christie's if plaintiffs obtained a "favorable final determination in the European court(s) that they have rights as heirs to an ownership interest in the Painting" (2017 NY Slip Op 32316[U], *26). Christie's is not a party to this appeal.

It is undisputed that “where there are special and unusual circumstances favoring acceptance of a suit between nonresident parties based on an out-of-state tort,” the courts must consider those circumstances in a *forum non conveniens* analysis (*Varkonyi v S.A. Empresa De Viacao Airea Rio Grandense [Varig]*, 22 NY2d 333, 338 [1968] [internal quotation marks omitted]). The majority concedes that such special circumstances are present in this case (*see* majority *op* at 467-468). Nevertheless, the Court concludes that those special circumstances do not warrant the conclusion that the lower courts abused their discretion. I respectfully disagree.

The factors that we have articulated as relevant to a *forum non conveniens* dismissal are not exclusive. The unique circumstances of each case must be considered, and the interests of substantial justice are paramount (*see* CPLR 327 [a]). The special circumstances present here, as well as the interests of substantial justice, warrant retention of this action in New York.

It is the established public policy of New York, with a “worldwide reputation as a preeminent cultural center,” to protect the true owners of stolen artwork and to reject legal doctrines or policies that “encourage illicit trafficking in stolen art” (*Solomon R. Guggenheim Found. v Lubell*, 77 NY2d 311, 320 [1991]). This is not only the public policy of New York; it is the public policy of the United States. In 1998, the United States, along with 43 other participating nations, approved the Washington Conference Principles on Nazi-Confiscated Art, which include encouraging Holocaust victims and their heirs to “come forward and make known their claims to art that was confiscated by the Nazis and not subsequently restituted,” and to take steps “to achieve a just and fair solution” in such cases (U.S. Department of State, Office of the Special Envoy for Holocaust Issues, *Washington Conference Principles on Nazi-Confiscated Art*, Dec. 3, 1998, available at <https://www.state.gov/washington-conference-principles-on-nazi-confiscated-art/> [last accessed Dec. 7, 2021]; *see* S Rep 114-394 at 3). Also in 1998, Congress enacted the Holocaust Victims Redress Act, which expressed Congress’s sense that

“all governments should undertake good faith efforts to facilitate the return of private and public property, such as works of art, to the rightful owners in cases where assets were confiscated from the

claimant during the period of Nazi rule and there is reasonable proof that the claimant is the rightful owner” (Pub L 105-158, § 202, 112 US Stat 17-18 [1998]).

The HEAR Act of 2016 is further evidence of the public policy of the United States that claims of Nazi-looted art be determined on the merits. The HEAR Act was borne of a recognition that despite its previous efforts, the United States had “not fulfilled its promise to ensure that claims to art lost in the Holocaust are resolved on their merits” (S Rep 114-394 at 5). One obstacle to resolving such cases on the merits was state statutes of limitations (*see id.*). As noted above, the HEAR Act remedied this problem by enacting a uniform federal limitations period for claims regarding Nazi-looted artwork: six years from the date of actual discovery of the identity and location of the artwork and the claimant’s possessory interest in it (*see* Pub L 114-308, § 5 [a], 130 Stat 1526). The HEAR Act was intended to

“guarantee that the United States fulfills the promises it has made to the world to facilitate just and fair solutions with regard to Nazi-confiscated and looted art and to make certain that claims to recover such art are resolved expeditiously and based on the facts and merits of the claims” (S Rep 114-394 at 5-6 [internal quotation marks omitted]).

The HEAR Act expresses the public policy of the United States, consistent with the public policy of New York, that claims of Nazi-looted art be resolved on the merits, and that the rights of true owners of stolen artwork are protected.

Contrary to the conclusion reached by the lower courts, Switzerland is not a suitable alternative forum for the claims asserted by plaintiffs in this action. As plaintiffs explained in opposition to the motions to dismiss, Christie’s is not subject to jurisdiction in Switzerland, and UBS is not a defendant in the Swiss litigation. Plaintiffs’ action filed in New York centered around the alleged conspiracy among the defendants, including Christie’s and UBS, to facilitate the sale of the painting in New York in 2009. For that reason, I further disagree with my colleagues in the majority that plaintiffs’ action has only a “tenuous connection to New York” (majority op at 467). All of the causes of action in the complaint are based upon the 2009 restitution settlement agreement and the sale of this particular painting in New York in 2009. As the lower courts observed,

resolution of the issue of whether the Foundation had the authority to represent itself as the heir to Kainer's estate in order to enter into the restitution settlement agreement with Christie's necessarily requires inquiry into the underlying issues of heirship and ownership, which will likely involve application of foreign law. But the New York courts are surely up to that task.

Moreover, defendants have asserted procedural defenses in the Swiss proceedings, including the statute of limitations, that may prevent the Swiss courts from ever reaching a determination on the merits of plaintiffs' claims to heirship. Granted, plaintiffs could have provided further information to the motion court about the limitations of the Swiss proceedings, including an explanation of the Swiss limitations period. Courts have recognized, however, that "Swiss law places significant hurdles to the recovery of stolen art, and almost 'insurmountable' obstacles to the recovery of artwork stolen by the Nazis from Jews and others during World War II and the years preceding it" (*Bakalar v Vavra*, 619 F3d 136, 140 [2d Cir 2010], citing *In re Holocaust Victim Assets Litig.*, 105 F Supp 2d 139, 159 [ED NY 2000] [observing that Switzerland "has been described as a country to which buyers of stolen art flock in order to claim Swiss law's protection of buyers" (internal quotation marks omitted)]). Indeed, the Swiss statute of limitations may present such an insurmountable bar to resolving plaintiffs' claims on the merits in that jurisdiction (*see Bakalar*, 619 F3d at 145 n 3).

The majority asserts that the availability of an alternative forum is not a precondition to dismissal on forum non conveniens grounds (*see* majority op at 467). That is consistent with our statements in *Pahlavi*, but we also recognized in that case that "the availability of another suitable forum is a *most important factor* to be considered in ruling on a motion to dismiss" (*Pahlavi*, 62 NY2d at 481 [emphasis added]). Coupled with the public policy of New York and the United States in resolving claims of Nazi-looted art on the merits, as well as the overarching concern of substantial justice in a forum non conveniens dismissal, the barriers that Swiss law places on resolving such claims on the merits and defendants' invocation of those barriers in the Swiss proceedings weigh heavily against dismissal.

Plaintiffs did not ask the motion court to condition any forum non conveniens dismissal on the defendants' waiver of procedural defenses in the Swiss proceedings, nor did plaintiffs

specifically ask the motion court to consider the policies espoused in the HEAR Act as relevant to the forum non conveniens dismissal. I question, however, whether either specific request was necessary when the primary obligation of the courts in assessing a forum non conveniens dismissal is to consider the “interest of substantial justice” (CPLR 327 [a]), and plaintiffs generally requested that the court consider public policy in opposing the dismissal. One of the stated purposes of Congress in enacting the HEAR Act was “[t]o ensure that laws governing claims to Nazi-confiscated art and other property further United States policy as set forth in the Washington Conference Principles on Nazi-Confiscated Art [and] the Holocaust Victims Redress Act” (Pub L 114-308, § 3 [1], 130 US Stat 1525-1526). As explained, that policy includes the resolution of claims involving Nazi-looted art expeditiously and on the merits.

Plaintiffs have waited a decade for resolution of their claims regarding the unlawful 2009 sale of the Degas painting on the merits. It has been almost a century since the Nazis stole and sold Margaret Kainer’s art collection. A forum non conveniens dismissal does not comport with either substantial justice or the public policy of New York and the United States.

I respectfully dissent.

Chief Judge DiFiore and Judges Garcia, Wilson and Singas concur; Judge Fahey dissents in an opinion; Judge Rivera took no part.

Order insofar as appealed from affirmed, with costs.

[182 NE3d 1028, 162 NYS3d 235]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v HOWARD POWELL, Appellant.

Argued March 23, 2021; reargued October 5, 2021; decided November 18, 2021

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered November 7, 2018. The Appellate Division affirmed (1) a judgment of the Supreme Court, Queens County (Ira H. Margulis, J.), which had convicted defendant, upon a jury verdict, of robbery in the first degree; and (2) a judgment of that Supreme Court which had convicted defendant, upon his plea of guilty, of robbery in the first degree.

People v Powell, 166 AD3d 660, affirmed.

HEADNOTES

Crimes — Witnesses — Expert Witness — Relevancy of Expert Testimony

1. In a criminal prosecution, the trial court did not abuse its discretion in precluding the testimony of defendant's proffered expert witness on false confessions after holding *Frye* and *Huntley* hearings, where the speculative nature of the testimony and the lack of relevance to the particular circumstances of defendant's custodial interrogation presented the risk that the jury might have been confused or misled, rather than aided, by the testimony. The expert's testimony at the *Frye* hearing revealed her difficulty in linking her research on the possible causes of false confessions to the case at hand. While she presumed that the Reid technique was used in defendant's interrogation, actual evidence that it was used is a necessary predicate for any opinion to be probative evidence on that subject. She also emphasized situational factors that did not exist in this case, and the trial court was well within its province to determine that, since neither witness's account at the *Huntley* hearing presented circumstances supporting the conclusion that the police used the outlined psychological tactics, any expert testimony on that score would be speculative and delivered in a factual vacuum. Moreover, defendant's substance abuse was not linked to the circumstances of the confession, as there was no evidence that he was either intoxicated or in withdrawal at the time he was questioned. Nor did defendant's testimony provide any indication that he was psychologically tricked or induced to believe he had committed the robberies and admitted same. The trial court properly recognized that proving false confessions occur is not the equivalent of accepting the expert's broad, unmoored testimony on the science of false confessions and given her difficulty in explaining the external validity of the studies, her imprecise testimony was insufficient to sustain the burden of establishing general acceptance of the psychological principles she was advocating.

Crimes — Identification of Defendant — Expert Testimony on Reliability of Eyewitness Identifications

2. In a prosecution for a robbery involving a single-witness identification, made after a brief encounter with an armed stranger of a different race, the trial court did not abuse its discretion in denying defendant's motion to admit expert testimony to explain factors affecting the reliability of eyewitness identification. The evidence against defendant at trial did not turn solely on the accuracy of the witness's identification but was corroborated by the surveillance video and defendant's statements.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Evidence §§ 703, 740; AM JUR 2d Expert and Opinion Evidence §§ 24, 138, 275, 276.
CARMODY-WAIT 2d Pretrial Motions § 189:278; CARMODY-WAIT 2d Particular Types of Evidence §§ 194:180, 194:185–194:187, 194:200–194:203.
LAFAYE, ET AL., CRIMINAL PROCEDURE (4th ed) § 24.4.
NY JUR 2d Criminal Law: Procedure §§ 1665, 1666, 2247, 2248, 2261, 2265, 2267.

ANNOTATION REFERENCE

Admissibility of Expert Testimony Regarding False Confessions. 11 ALR7th Art. 6.

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POINTS OF COUNSEL

Paul Skip Laisure, Appellate Advocates, New York City (Kendra L. Hutchinson of counsel), for appellant. I. Because the court contravened *People v Bedessie* (19 NY3d 147 [2012]), and the phenomenon of false confession is generally accepted in the relevant scientific community, appellant was deprived of his right to present a defense by the exclusion of expert testimony on this issue, which was relevant to appellant and his interrogation. (*Crane v Kentucky*, 476 US 683; *Arizona v Fulminante*, 499 US 279; *Bruton v United States*, 391 US 123; *Atkins v Virginia*, 536 US 304; *People v Joyce*, 233 NY 61; *Hall v Florida*, 572 US 701; *Miranda v Arizona*, 384 US 436; *People v Evans*, 141 AD3d 120; *People v Days*, 131 AD3d 972; *People v LeGrand*, 8 NY3d 449.) II. Given the weaknesses of the purportedly corroborating confessions and video surveillance,

the court deprived appellant of due process and the right to present a defense by denying his motion to introduce expert testimony about factors that can affect identification accuracy. (*People v LeGrand*, 8 NY3d 449; *People v Boone*, 30 NY3d 521; *People v Abney*, 13 NY3d 251; *People v McCullough*, 27 NY3d 1158; *People v Santiago*, 17 NY3d 661; *People v Young*, 7 NY3d 40; *People v Drake*, 7 NY3d 28.) III. If this Court reverses the judgment and remands the trial conviction for a new trial, it should also reverse and remand the judgment of conviction from the plea. (*People v Fuggazzatto*, 62 NY2d 862; *People v Taylor*, 80 NY2d 1.)

Melinda Katz, District Attorney, Kew Gardens (Christopher Blira-Koessler, Danielle M. O'Boyle and John M. Castellano of counsel), for respondent. I. A *Frye* hearing was warranted in this case to establish whether the false confession principles about which the defense expert proposed to testify were generally accepted in the scientific community. When defendant failed to meet his burden at the hearing, the trial court properly precluded such testimony. (*People v Bedessie*, 19 NY3d 147; *People v Hill*, 85 NY2d 256; *People v Cronin*, 60 NY2d 430; *People v LeGrand*, 8 NY3d 449; *People v Wesley*, 83 NY2d 417; *People v Lee*, 96 NY2d 157; *People v Young*, 7 NY3d 40; *People v Abney*, 13 NY3d 251; *People v Santiago*, 17 NY3d 661; *People v Crimmins*, 36 NY2d 230.) II. The trial court properly precluded the defense from presenting expert testimony on the reliability of eyewitness identification. (*People v McCullough*, 27 NY3d 1158; *People v Lee*, 96 NY2d 157; *People v LeGrand*, 8 NY3d 449.) III. If this Court reverses defendant's trial conviction, it must also vacate his subsequent guilty plea. (*People v Pichardo*, 1 NY3d 126; *People v Fuggazzatto*, 62 NY2d 862.)

Steptoe & Johnson LLP, New York City (James L. Brochin, Jason E. Meade, Julie Amadeo and Daniel W. Podair of counsel), and Innocence Project, Inc., New York City (Lauren Gottesman of counsel), for Innocence Project, Inc., amicus curiae. I. Expert testimony regarding false confessions and eyewitness misidentification safeguards against the injustice of wrongful conviction. (*People v Bedessie*, 19 NY3d 147; *Watkins v Sowders*, 449 US 341; *United States v Brownlee*, 454 F3d 131; *People v Santiago*, 17 NY3d 661; *People v LeGrand*, 8 NY3d 449.) II. Scientific studies published since *People v Bedessie* (19 NY3d 147 [2012]) should move the Court to clarify that false confession expert testimony is relevant whenever a dispositional or situational risk factor is involved. (*People v*

Days, 131 AD3d 972; *People v Evans*, 141 AD3d 120; *People v Churaman*, 184 AD3d 852; *People v Jeremiah*, 147 AD3d 1199; *People v Powell*, 166 AD3d 660; *People v Boone*, 30 NY3d 521.) III. Eyewitness identification expert testimony should be admitted if estimator and/or system variables are implicated. (*People v LeGrand*, 8 NY3d 449; *People v McCullough*, 27 NY3d 1158; *People v Fish*, 125 NY 136.) IV. The expert testimony in this case was erroneously precluded as “irrelevant” and because of improper reliance on purportedly “corroborative” evidence. (*People v Powell*, 166 AD3d 660; *Dennis v Secretary, Pennsylvania Dept. of Corr.*, 834 F3d 263; *People v Holley*, 26 NY3d 514; *People v Thomas*, 22 NY3d 629.)

Robert S. Dean, Center for Appellate Litigation, New York City (Matthew Bova of counsel), Caprice R. Jenerson, Office of the Appellate Defender, New York City, and Leanne G. Lapp, Chief Defenders Association of New York, Canandaigua, for Center for Appellate Litigation and others, amici curiae. A court lacks legal authority to bar relevant expert testimony on the grounds that the expert lacks personal knowledge of the underlying facts or will not provide an opinion on the ultimate issue. (*People v Bedessie*, 19 NY3d 147; *People v Jeremiah*, 147 AD3d 1199; *People v Boone*, 146 AD3d 458; *People v Oliver*, 45 Misc 3d 765; *People v Wesley*, 83 NY2d 417; *People v Taylor*, 75 NY2d 277; *De Long v County of Erie*, 60 NY2d 296; *People v Allweiss*, 48 NY2d 40; *Daubert v Merrell Dow Pharmaceuticals, Inc.*, 509 US 579; *People v Evans*, 141 AD3d 120.)

OPINION OF THE COURT

Chief Judge DiFiore.

False confessions elicited during custodial interrogations do exist. In *People v Bedessie* (19 NY3d 147, 161 [2012]), we recognized that the phenomenon of false confessions during custodial interrogation is common knowledge, and we opined that expert psychological testimony relevant to the defendant and the custodial interrogation at issue could be admissible “to educate a jury about those factors of personality and situation that the relevant scientific community considers to be associated with false confessions.” The admissibility and limits of the expert’s testimony lie primarily in the sound discretion of the trial judge, and the expert may not render an opinion as to the truthfulness or falsity of the confession. The primary issue presented in this case is whether the trial court, in denying defendant’s *Bedessie* application, erred in precluding the testi-

mony of defendant's proffered expert witness on false confessions after holding *Frye* and *Huntley* hearings. On this record, the trial court's determination was not an abuse of discretion as a matter of law.

I.

Defendant was charged with having committed two elevator robberies over the course of three days. During the first incident on February 23, 2010, HT was robbed at knifepoint in an elevator of a building in the Queensbridge Housing Complex. Two days later, a second individual, EY, was robbed by a man displaying what appeared to be a box cutter, in an elevator of the same housing complex. EY first encountered the robber, whom she described as a six-foot-tall, light-skinned black male in his 30s, carrying an umbrella, when he asked her to light his cigarette as she exited a local grocery store at about 3:00 p.m. on the afternoon of February 25. As EY walked back to her nearby apartment, the same man followed her into her building. The two entered the elevator and, when the doors closed, the man physically attacked the victim. The robbery, including a face-to-face struggle between the victim and her assailant that lasted more than two minutes, was captured on the building's video surveillance system. Although the perpetrator's face is not clearly visible to the viewer of the video, the film depicts a tall man wearing a hooded, dark-colored coat and hat, carrying a large black umbrella with a curved handle.

EY's assailant fled with her electronic benefits transfer (EBT) card. Surveillance footage from a nearby deli, recorded at approximately 4:00 p.m., depicts a tall man similar in build and appearance to the man who committed the robbery—wearing the same type of clothing and carrying a large umbrella—attempt to use the stolen EBT card a short time after the robbery. The card was declined and the man then attempted to use it in the ATM. The surveillance footage from the well-lit store shows portions of the man's face from multiple angles. By interviewing witnesses and matching photographs with the surveillance footage, the police identified defendant as a suspect.

On March 1, 2010, defendant was arrested on the fifth floor of a building in the Queensbridge Housing Complex for possession of crack cocaine and was transported to the local precinct. There, he was interviewed about the robberies that took place on February 23 and 25. The following day, defendant made the

two statements that are in issue here. The first statement, elicited during the morning hours, was handwritten by defendant. Without providing any detail, defendant admitted to having committed robberies, claimed to have been under the influence of drugs and indicated he wanted to help the police.¹ The second statement was elicited in the afternoon, after defendant had been identified in lineups by both victims. The statement prepared and typewritten by the detective assigned to the case summarized defendant's detailed oral statement, in which he admitted following the victim (EY), who was carrying groceries, and robbing her of her EBT card after a struggle in the elevator. Defendant again claimed to have been "messed up on drugs" and that he wanted to help the police.² He signed the statement on the second page, which contained no factual allegations.

Defendant was indicted for two counts of robbery in the first degree.³ Prior to trial, defendant served a CPL 250.10 notice of intent to introduce psychiatric evidence for the purpose of demonstrating that he was suffering from psychiatric conditions that "adversely affected the voluntariness and reliability of the interrogations conducted." In support of his position, defendant submitted medical records of his history of a seizure disorder, depression, and schizophrenia, as well as a forensic psychological report prepared by Sanford L. Drob, Ph.D., who conducted a clinical evaluation of defendant. Dr. Drob characterized de-

1. The terse first statement read: "Was using drugs for two weeks and was doing really bad. I did a few robbery [sic] and I am very sorry please forgive me I want to help N.Y.P.D. but only you can help me with this, I was really MESSED UP on DRUGS and I am sorry if Ive hurt any one."

2. The second statement read:

"Sometime toward the end of last week I followed this oriental girl from the 40 side of 10 Street into her building. She was carrying groceries. I went into the building and then into the elevator with her where I robbed her. This one gave me a fight for my money and tried to push me away. I kept pushing her but I didn't try to hurt her. I usually keep a razor knife in my pocket but didn't think I had time to get it out. The only thing I got from her was an EBT card with no numbers on it.

"I was using drugs for two weeks and was doing really bad. I did a few robberies and I am very sorry. Please forgive me. I want to help the NYPD but only you can help me with this. I was really messed up on drugs and I am sorry if I've hurt anyone."

3. Defendant also confessed to the robbery of HT, but that typewritten statement was suppressed based on the People's failure to provide a separate CPL 710.30 notice. Defendant's motion for severance of the two robbery counts was granted prior to trial.

fendant's intellectual function to be within the "borderline range," with an IQ of 78. He concluded that defendant had several mental health issues, including possible paranoid ideation and substance abuse issues. Dr. Drob opined that the combination of attendant factors, including defendant's mental illness and cognitive deficits, "could make him vulnerable to suggestion in a custodial setting."

Huntley Hearing

Defendant moved to suppress the two noticed statements. At the *Huntley* hearing, Detective Grinder and defendant testified to contradictory narratives of the circumstances surrounding the custodial interrogation.⁴ Each version is summarized here, as is necessary to evaluate the trial court's *Bedessie* determination.

Detective Grinder testified that defendant was arrested at about 2:20 p.m. on March 1. While defendant was held in the precinct's interrogation room, one of his hands was handcuffed to the wall. Grinder, who arrived at the precinct about two hours after the arrest, advised defendant of his *Miranda* rights later that same evening at about 6:30 p.m. Defendant signed and initialed the *Miranda* card, waiving his rights, but did not make any admissions on March 1. When told his arrest was made in connection with robberies committed in the Queensbridge Housing Complex, defendant became visibly agitated and denied any involvement. The detective, who intended to conduct lineups the next day, ended the interview. Upon defendant's request, Detective Grinder traveled to defendant's friend's home, where he retrieved four bottles of medication prescribed to defendant. The detective returned to the precinct and vouchered the medications. He could not recall whether defendant took the medication. Shortly thereafter, at about 11:50 p.m., defendant was transported to central booking for lodging that night.

On the morning of March 2, at approximately 9:30 a.m., Detective Grinder and another detective transported defendant from central booking back to the precinct. Defendant was given breakfast—coffee and a bagel. Defendant's demeanor was now calm, and he agreed to speak with detectives. *Miranda* warn-

4. Defendant's motion to suppress the identification evidence was denied and no issue is raised on appeal as to the validity of the lineup identifications.

ings were not reissued, nor was the interview recorded. At about 10:00 a.m., the detectives began discussing the charges and informed defendant that he would be required to participate in lineup identification procedures. Detective Grinder supplied defendant with pen and paper and left him alone in the room where he handwrote the first statement.

Two lineups, each with six participants, were conducted on March 2 at 12:30 p.m. and both victims identified defendant. Shortly after the lineups were conducted, and while in the interrogation room with the two detectives at about 1:00 p.m., defendant asked the detectives if he had been identified by the victims. The detectives informed him that he had been identified by both victims and asked if he wanted to make any further statements. Defendant then admitted that he had committed four robberies, including the two charged here.⁵ He asked Grinder to write out the confessions for him, as he was not a good writer, and proceeded to give the second statement orally. Grinder, who did not take any notes, later typed up the confession, which defendant signed on the blank, second page. Detective Grinder testified that he spoke with defendant on-and-off “the whole day” on March 2 and that he provided defendant a meal from Burger King. He further testified that defendant did not request any medical assistance and did not appear to be experiencing any type of drug withdrawal. At about 8:30 p.m. that night, defendant was returned to central booking.

Testifying on his own behalf, defendant gave a very different version of the interrogation events. As to his background, he testified that he had low intelligence, suffered from seizures, and had a history of schizophrenia, depression and substance abuse. He had been prescribed various medications for those conditions but the last time he took his medications was at about 8:00 p.m. the night before his arrest (February 28). On the morning of March 1, defendant ingested heroin and crack cocaine. After his arrest that afternoon, he was feeling paranoid and scared and, later that day, at some time between 4:00 and

5. The police investigated but were unable to match his confession to the other two robberies with any known complaints and, in the absence of corroboration of the confession, no typewritten statements were prepared. This evidence of new information does not support the claim in the proffered expert report that defendant’s statements evidenced a classic element associated with false confession cases—the absence of any “new information unbeknownst to the police.”

5:00 p.m., while he was handcuffed to the wall in the precinct interrogation room, he had a seizure and urinated on himself. He asked Detective Grinder for his medication and Grinder told him that he would not get the medication or medical treatment unless defendant cooperated. Further, according to defendant's testimony, Grinder threatened that if he asked to go to the hospital again, Grinder would make sure defendant did not go before a judge for four or five days. Grinder then left defendant to go to an outside location to retrieve defendant's medication at approximately 9:00 p.m. When he returned, Grinder placed the medication at the end of the table in the room, out of defendant's reach. Defendant claimed he received the medication the next day (March 2), but only after he gave the police the handwritten statement, which he denied was truthful. Defendant testified that he only wrote the statement to appease the detective because he was deprived of his medication and food and was scared that he would have another seizure.

On cross-examination, defendant alleged that, on the night of March 1, between 7:00 and 8:00 p.m., while in the interrogation room, Detective Grinder hit him in the head four or five times. Later that night, when he was brought back to central booking for lodging, he saw medical personnel but, other than providing basic history, he did not mention anything about his mental health or seizures because he did not feel that he could tell them what was going on. Defendant, when shown the exhibit of the typewritten, signed confession, repeatedly denied that he made those admissions or that he had ever "seen or heard th[o]se statements." He testified that, after the lineups, he simply signed the blank second page. Notwithstanding his concession that it was his signature and initials on the *Miranda* card, he claimed that he did not receive *Miranda* warnings until about 6:00 p.m. on March 2, after he signed the second page of the typewritten statement, which contained no factual allegations.

The hearing court credited defendant's testimony only to the extent it did not conflict with Grinder's and denied the motion to suppress the statements.

Frye Hearing

Citing to *People v Bedessie*, defendant moved to admit the testimony of Allison Redlich, Ph.D., as an expert witness "to educate the jury" on factors that were generally accepted in the

relevant scientific community as associated with false confessions. Defendant attached a 12-page report from the highly credentialed Dr. Redlich based on her review of the *Huntley* hearing testimony, police reports, and Dr. Drob's report. In order to resolve the conflicting witness accounts of the custodial interrogation in her report, Dr. Redlich credited defendant's account, which she found "more telling." To demonstrate general acceptance in the field of false confession research, attached to the motion were several publications, including some that were co-authored by Dr. Redlich.⁶

The trial court ordered a *Frye* hearing to address the admissibility and scope of the proposed testimony.⁷ At the hearing, Dr. Redlich was found to be an expert in the field of false confession studies. As stated in her report, and mirroring the expert testimony proffered in *Bedessie*, Dr. Redlich set forth the three types of false confessions: voluntary (not coerced—could be offered to protect another or attain notoriety), coerced compliant (where the suspect's will is overborne) and internalized (through deceptive interrogation techniques, the suspect comes to believe he or she is guilty). She also set forth the paradigm of a series of dispositional and situational factors that have been recognized as contributing to the risk of false confessions. Relevant to the facts of this case, Dr. Redlich identified three dispositional factors that defendant displayed, based on his medical reports: mental illness, intellectual disability and substance abuse. As to situational factors, Dr. Redlich found that defendant was in custody and questioned intermittently for over 24 hours, that his statements evidenced minimization by the reference to his drug abuse, and that the statements admitting to the crimes charged did not provide any information that was not already known to the police. Related to these situational factors she focused primarily on the Reid technique, a nine-step method of police interrogation based on psychological principles, which she opined was widely used. As part of the Reid technique, the suspect is isolated and confronted with the interrogator's alleged knowledge of his

6. One of these publications was a 2009 "white paper" approved by the American Psychology Law Society—one of only two such papers published in the history of that division of the American Psychological Association (see Saul M. Kassin et al., *Police-Induced Confessions: Risk Factors and Recommendations*, 34 L & Hum Behav 3 [2010]).

7. The motion court initially held that the expert's testimony would be permitted, but left "[a]ny limitations on the scope" of the testimony to the trial court.

guilt. The interrogator then engages in tactics like presentation of false evidence, minimizing the suspect's responsibility for the crime, or theme development, making the suspect more compliant in offering a confession that mitigates his role. Dr. Redlich opined that these techniques could produce a false confession when employed on innocent individuals—especially where other dispositional or situational risk factors were present.

On cross-examination, Dr. Redlich conceded that she was unaware of the type of training, if any, members of the New York City Police Department received in interrogation techniques, but that, even if they were not specifically trained in the Reid technique, “all interrogations . . . pretty much follow the same model.” She also testified that, in her role as a research psychologist, she analyzed videos of actual interrogations, placed reliance on self-reporting from subjects and reviewed legal cases. When queried as to laboratory studies in her field, she identified a study in which her team interviewed defendants in the criminal justice system, including inmates in the Santa Clara County Jail who had confessed to crimes—whether truly or falsely, based on their self-reporting—about their experiences with interrogation. The subjects all had mental illness and 86% of them “had a known serious mental disorder.” They were paid for their cooperation and, without the presence of counsel, were asked whether they had ever confessed to or pleaded guilty to a crime they did not commit. No measure was taken to ascertain if their self-reports were true or false. She also testified to two additional studies—the “Alt Key Paradigm” and the “cheating paradigm”—that attempted to use deceptive tactics to induce false confessions in a laboratory-like environment. She conceded that the “Alt Key” study was flawed and no longer used and that the “cheating paradigm” was distinguishable from police interrogation. Dr. Redlich noted that laboratory studies in the field of false confessions are not akin to the analysis done in other scientific fields, such as DNA evidence, where the tests conducted pursuant to an accepted methodology can be replicated to achieve the same results. Laboratory studies in the field of false confessions are likewise distinct from studies done in the field of misidentification, as there are practical difficulties and ethical considerations in recreating the circumstance of a real-life custodial interrogation in a laboratory setting. She further acknowledged that, as to the laboratory studies in her field, there are issues of

external validity and the ability to translate the results to the criminal justice system.

Following the hearing, the court denied defendant's request to call Dr. Redlich as a witness at trial, finding that, based on the evidence presented, defendant failed to meet his burden of establishing that Dr. Redlich's testimony in the area of false confessions was "readily acceptable in the scientific community" (53 Misc 3d 171, 178 [Sup Ct, Queens County 2014]). The court deemed the showing that the phenomenon of false confessions exists and that interrogation tactics may increase the likelihood of same insufficient to sustain this burden. The court found Dr. Redlich's testimony "in many respects . . . unpersuasive" and noted her failure to establish a known or potential rate of error and her lack of personal knowledge of the circumstances of defendant's confessions (*id.* at 179). The court also referenced Dr. Redlich's "strong" reliance on the three laboratory studies to form her opinions, noting that the "Alt Key" study had been discredited and that the "cheating study" was inapplicable (*id.* at 174). Significantly, the court observed that defendant failed to establish that his statement was induced by any of the factors outlined in *Bedessie*. However, recognizing that defendant may possess the dispositional characteristics identified in *Bedessie*, the court left open the possibility that a different expert could testify—one who had personal knowledge of defendant's medical history and the circumstances of the case that may have led to a false confession.

At the next appearance, the court explained that it did not dispute that "the science may be there with respect to false confessions," but that it did not think Dr. Redlich was the proper witness to educate the jury about the phenomenon, given, in part, her testimony that some of the studies on which she relied had since been disavowed. The court clarified that its decision was based on its determination that Dr. Redlich lacked the necessary expertise, rather than the fact that she had not interviewed defendant. Defense counsel then advised the court that he did not intend to call Dr. Drob, the psychiatric examiner whose report on defendant's dispositional factors was relied upon by Dr. Redlich, because defendant was competent to testify at trial as to his own mental conditions.

At trial, defendant's testimony as to the circumstances of his custodial interrogation was consistent with the testimony he

gave at the *Huntley* hearing.⁸ He testified that his first handwritten statement, which contained no detail linking him to any particular robbery, was coerced—given by him in an attempt to escape the interrogation and get his medication. He testified that he never made the second detailed, typewritten statement and maintained it was wholly manufactured by Detective Grinder. He further claimed all the statements were elicited before he was advised of his *Miranda* rights.⁹

The victim, EY, testified at trial and identified defendant as the robber. During cross-examination, defendant elicited inconsistencies between the description she provided to police and his physical appearance—in particular, he was six feet, four inches tall as opposed to six feet, and was significantly older than her description of the perpetrator. Defendant also testified that he was missing 12 teeth in 2010, a circumstance that was not noted by the victim. The surveillance footage from the elevator and the deli were admitted into evidence and played for the jury.

As required by constitutional law in cases where the voluntariness of a statement is placed in issue at the trial (see *Jackson v Denno*, 378 US 368 [1964]; CPL 60.45, 710.70; *People v Graham*, 55 NY2d 144, 147 [1982]), the jury was instructed that, before they could consider defendant's statement as evidence, they had to find the People proved beyond a reasonable doubt that it was voluntarily made. This instruction required the jury to find that defendant received, understood, and waived his *Miranda* rights, or the statement must be disregarded. The jury was further instructed that they must determine whether any statement was obtained by "improper conduct or undue pressure," factoring in such dispositional factors as defendant's intelligence and his physical and mental

8. Defendant added at trial that he did not have his prescription glasses at the time of his arrest. In rebuttal, the People introduced a booking photograph into evidence purportedly depicting eyeglasses hanging from defendant's shirt and testimony of defendant's possession of eyeglasses during the interrogation.

9. We agree with the dissent that ascertaining the timing of when defendant received his *Miranda* warnings required a credibility determination (see dissenting op at 502 n 3). That quintessential issue of fact was decided against defendant by the *Huntley* court, which denied his motion to suppress the statement, and the jury, who convicted defendant after being properly instructed that statements elicited in violation of *Miranda* must be disregarded as evidence. This credibility determination is not within the province of the proffered expert, as she had no personal knowledge of this factual issue.

condition, as well as situational considerations such as the length of time defendant was questioned and the treatment he received from the police during that time. The court also gave the jury an expanded eyewitness identification charge, including a charge on cross-race effect (*see People v Boone*, 30 NY3d 521 [2017]).

The jury convicted defendant of robbery in the first degree. Defendant then pleaded guilty to an additional count of first-degree robbery to resolve the count of the indictment involving the robbery of HT, which had previously been severed. The Appellate Division affirmed, holding that it was a provident exercise of discretion for Supreme Court to deny defendant's motion to present expert witness testimony on the phenomenon of false confessions because defendant failed to demonstrate the proposed testimony was relevant to the circumstances of his case (166 AD3d 660, 661 [2d Dept 2018]). A Judge of this Court granted defendant leave to appeal (33 NY3d 980 [2019]).

II.

The admissibility and scope of expert testimony are subject to the discretion of the trial court (*see People v Lee*, 96 NY2d 157, 162 [2001]), limiting our scope of review to whether the determination to exclude the proffered expert testimony was an abuse of that discretion as a matter of law. Here, the court was required to determine, under *Frye v United States* (293 F 1013 [DC Cir 1923]), whether the proposed expert opinion testimony was based on principles and methodologies generally accepted within the relevant scientific community. In addition, even where based on reliable principles and methods, an expert's opinion may be precluded if it presents "too great an analytical gap between the data and the opinion proffered" (*Cornell v 360 W. 51st St. Realty, LLC*, 22 NY3d 762, 781 [2014] [citation and internal quotation marks omitted]).

It is well-settled that the inquiry under *Frye* "is separate and distinct from the admissibility question applied to all evidence—whether there is a proper foundation—to determine whether the accepted methods were appropriately employed in a particular case" (*People v Brooks*, 31 NY3d 939, 941 [2018], quoting *Parker v Mobil Oil Corp.*, 7 NY3d 434, 447 [2006]). Further, particularly "in the social science arena, we have measured the reliability of novel hypotheses and theories—not just methodologies—against the *Frye* standard" (*Cornell*, 22 NY3d

at 781). And, under *Bedessie*, in addressing the phenomenon of false confessions, the trial court must also determine whether the same proffered testimony was “relevant to the defendant and interrogation before the court” (*Bedessie*, 19 NY3d at 161). “It is for the trial court in the first instance to determine when jurors are able to draw conclusions from the evidence based on their day-to-day experience, their common observation and their knowledge, and when they would be benefited by the specialized knowledge of an expert witness” (*Lee*, 96 NY2d at 162, quoting *People v Cronin*, 60 NY2d 430, 433 [1983]). We have otherwise characterized this determination as an evaluation of whether the testimony “‘would aid a lay jury in reaching a verdict’” (96 NY2d at 162, quoting *People v Taylor*, 75 NY2d 277, 288 [1990]).

As we recognized in *Bedessie* in 2012, awareness of the phenomenon of false confessions has evolved to the point of “common knowledge, if not conventional wisdom” (19 NY3d at 156).¹⁰ This, however, does not mean that expert testimony on the theories behind the reasons for false confessions is rendered unnecessary. Certain aspects of the scientific study of the phenomenon might well be outside the ken of the typical juror (*see* 19 NY3d at 156; *Lee*, 96 NY2d at 162). The proffered psychological expert testimony here is, in certain respects, similar to the expert psychological testimony on rape trauma syndrome addressed in *People v Taylor* (75 NY2d 277). That is, the testimony is not addressed to a particular scientific technology or procedure that, when properly performed, generates results that are generally accepted as reliable in the scientific community and are admitted into evidence to demonstrate an evidentiary fact (*see e.g. People v Wesley*, 83 NY2d 417, 422 [1994]). Rather, it is meant to be used as an informational tool to educate the jury on the causal connection between relevant factors and false confessions outside their ken, and to do so without opining on the particular facts of the case. In *Taylor*, and the companion case of *People v Banks*, for example, we held that the expert testimony was admissible to dispel common misperceptions regarding recognized patterns of posttraumatic behavior on the part of rape victims (*Taylor*), but not to prove that the victim’s behavior was aligned with a common percep-

10. As in *Bedessie*, the existence of false confessions was broached by counsel during voir dire and the prospective jurors were generally familiar with the existence of same, with one prospective juror citing as an example the case of the Central Park Five.

tion that a rape occurred (*Banks*). Indeed, the latter is akin to an improper bolstering of credibility. Here, the proffered testimony would not have been admissible for the purpose of establishing that a false confession occurred, but to educate the jury about the science of the association between psychological risk factors occurring in a particular custodial interrogation and the making of a false confession, in order to address common misconceptions about a person making a false admission of criminal conduct.

[1] On this record, the trial court did not abuse its discretion in finding that the proffered testimony would not have aided the jury. Although Dr. Redlich is an impressively credentialed researcher, properly qualified by the trial court as an expert in her field, the trial court found that her testimony at the *Frye* hearing revealed her difficulty in linking her research on the possible causes of false confessions to the case at hand. Despite her review of the witnesses' testimony at the *Huntley* hearing, she did not explain how her testimony was at all relevant to the circumstances presented by defendant's interrogation, even by crediting defendant's account of the events over Detective Grinder's.¹¹ For instance, defendant flatly denied ever making the second, more detailed, confession—so, expert testimony regarding dispositional and situational factors that create a risk of a false confession has no relevance to the oral or written version of that statement. Moreover, defendant maintained that the first handwritten statement was the product of outright coercion—including a physical assault the night before and the deprivation of food and medicine—rather than resulting from psychological coercion of police interrogation that creates the risk of false confession, consistent with a recondite theory of which Dr. Redlich would have testified. There is a difference between the classically, inherently coercive interrogation that produces an involuntary confession—an issue that the jury is well-equipped to understand (see e.g. *Blackburn v Alabama*, 361 US 199, 206 [1960]; *People v Anderson*, 42 NY2d 35, 37-38 [1977])—and the phenomenon of false confessions involving the interplay of situational and dispositional factors that produce a coercive compliant false confession from an innocent suspect, an occurrence that the jury may find counterintuitive.

11. She conceded at the hearing that, “[i]f the defendant is not contesting that he made a false confession,” her testimony would not be relevant.

Dr. Redlich's written report and her hearing testimony covered a broad spectrum of situational factors, some of which required no explanation to a jury, and others of which had no relevance to defendant or the totality of the circumstances of his interrogation. Dr. Redlich did not anchor her testimony to a possible version of the custodial interrogation as set forth in the *Huntley* hearing testimony. Rather, she broadly stated that the basic tool of psychological tactics inherent in an interrogation is employed in all human interactions to obtain compliance, a statement entirely consistent with the commonsense ability of the jury to discern the effects of the interaction between defendant and the police, absent some extraordinary factor. She then focused heavily on the nine-step Reid technique, which she presumed was used in the case. As the opinion in *Miranda v Arizona* makes unequivocal with its detailed exploration of the Reid technique, our law has long recognized these specific stratagems may compel the suspect to "merely confirm[] the preconceived story the police seek to have him describe" (384 US 436, 455 [1966]). At bottom, actual evidence that the Reid technique was used in the interrogation is a necessary predicate for any opinion to be probative evidence on that subject. Dr. Redlich also emphasized situational factors that did not exist in this case, such as sleep deprivation, lying to innocent suspects, presenting false evidence to convince the suspect it is no use to deny culpability, and contamination—where the police, and not the defendant, are the source of the information set forth in the confession.¹² Here, the trial court was well within its province to determine that, since neither witness's account at the *Huntley* hearing presented circum-

12. We note that, despite the witness's emphasis on certain situational factors, defendant does not allege that the phenomenon of a coerced internalized false confession occurred here—that he became convinced of his own guilt and confessed after the police confronted him with false information (see e.g. *Warney v State of New York*, 16 NY3d 428 [2011]; *People v Leonard*, 59 AD2d 1 [2d Dept 1977]). Further, the implication that the jury would view an unrecorded confession as the most reliable piece of evidence—or a "gold standard"—seems anachronistic in today's criminal justice world, given the common knowledge of wrongful convictions despite a confession, the import of single source DNA evidence and the ubiquity of surveillance video. Indeed, the 2018 study on which the dissent relies opined that contemporary potential jurors appear more accepting of the possibility of false confession and aware of the coercive nature of certain interrogation methods, and that "researchers should no longer assume that jurors automatically presume guilt in the presence of a confession" (see dissenting op at 517-518 n 18, citing Amelia Mindthoff et al., *A Survey of Potential Jurors' Perceptions of Interrogations and Confessions*, 24 Psych Pub Pol'y & L 430, 446 [2018]).

stances supporting the conclusion that the police used these outlined psychological tactics, any expert testimony on that score would be speculative and delivered in a factual vacuum. Notably, no evidence elicited at trial changed this equation to provide any basis for a renewal of the proffer.

Dr. Redlich's report stated that the failure of the police to record the interrogation resulted in her uncertainty as to situational factors that may have been present. Video of a past event can certainly enhance the ability of any trier of fact to determine what occurred and video of a custodial interrogation is a boon to the truth. However, as we have recognized, "the neglect to record is not a factor or circumstance that might induce a false confession" (*Bedessie*, 19 NY3d at 158).¹³ With respect to defendant's isolation, Dr. Redlich believed it was "quite hard to discern" the length of the interrogation, asserting that defendant was under custodial arrest for more than 24 hours and that the majority (80%) of proven false confessions had interrogations lasting six or more hours. Despite the witness's conflation of the period of arrest and the period of interrogation, under either scenario posited by the police or defendant, defendant was concededly noncompliant the night of his arrest, was then lodged overnight at central booking for eight hours and was not the subject of continuous interrogation while at the precinct on March 2; nor did he experience the associated risk factor of sleep deprivation.

As to certain dispositional risk factors particular to defendant, Dr. Redlich identified cognitive impairment, mental illness and substance abuse.¹⁴ The defense chose to not call the CPL 250.10-noticed psychiatric examiner as a witness. Instead, defendant himself testified at trial to the presence of these dispositional factors and was subject to cross-examination, "display[ing] no sign" that he was particularly compliant, that he lacked understanding of the circumstances of the interroga-

13. After an extensive study of wrongful convictions, including a review of the white paper coauthored by Dr. Redlich, the New York State Justice Task Force recommended the electronic recording of interrogations—a recommendation that was codified in CPL 60.45 (3) in 2017 (*see* New York State Justice Task Force, *Recommendations Regarding Electronic Recording of Custodial Interrogations*, <http://www.nyjusticetaskforce.com/ElectronicRecordingOfCustodialInterrogations.pdf> [last accessed Nov. 16, 2021]).

14. To the extent the trial court opinion can be read as requiring the expert to have personal knowledge of defendant in order to qualify as a witness, that determination was in error (*see People v Miller*, 91 NY2d 372, 379 [1998]; *People v Aphaylath*, 68 NY2d 945, 947 [1986]).

tion or that he was impacted by the above dispositional factors (see *Bedessie*, 19 NY3d at 159). In any event, defendant's substance abuse was not linked to the circumstances of the confession, as there was no evidence that he was either intoxicated or in withdrawal at the time he was questioned. Nor did defendant's testimony provide any indication that he was psychologically tricked or induced to believe he had committed the robberies and admitted same. As to the factor of mental illness, Dr. Redlich testified that there was "some evidence" that there was a link between depression or anxiety and susceptibility to false confessions but then conceded that the "evidence is not entirely clear on that." She then went on to suggest that "anybody can be rendered vulnerable in the police interrogation situation" and an individual did not need to have any identified dispositional characteristic in order to render a false confession.

The thrust of Dr. Redlich's testimony was that the presence of dispositional factors may be causally linked to false confessions because they may make a vulnerable individual more susceptible to a wide variety of situational factors in the inherently coercive setting of the interrogation. Relying on the research in her field, the witness noted there is no prevalence rate in the millions of cases where a confession occurred, but approximated that 15% to 20% of the 1,300 documented wrongful conviction cases involved a false confession. In addition, a study in the "white paper," analyzing 125 proven false confession cases in the United States between 1971 and 2002, found that 63% involved defendants who were under the age of 25 (see 34 Law & Hum Behav at 5), a dispositional factor of substantial import. Yet, the witness did not account for defendant's age (51) or his criminal history in relaying these percentages, despite the need at the hearing to demonstrate causative factors in false confession cases she studied. Underscored by *nisi prius*, her own testimony expressed significant uncertainty as to the applicability of laboratory-like studies to real-life custodial interrogation and was not particularly probative of what actually occurred in this case. Although Dr. Redlich's testimony may have been informative, the speculative nature of the testimony and the lack of relevance to the particular circumstances of defendant's interrogation presented the risk that the jury might have been confused or misled, rather than aided, by the testimony (see e.g. *People v Cefaro*, 23 NY2d 283, 288 [1968] [the jury should not be "encouraged to make a de-

termination in a factual vacuum, i.e., without evidentiary basis whatsoever”]; *United States v Redlightning*, 624 F3d 1090 [9th Cir 2010], *cert denied* 563 US 1026 [2011] [expert testimony on false confession generally should not be permitted in the absence of evidence that interrogation techniques likely to extract a false confession were employed]). The trial court properly recognized that proving false confessions occur is not the equivalent of accepting Dr. Redlich’s broad, unmoored testimony on the science of false confessions and given her difficulty in explaining the external validity of the studies, her imprecise testimony was insufficient to sustain the burden of establishing general acceptance of the psychological principles she was advocating.¹⁵ Contrary to the dissent’s suggestion that the *Frye* hearing curbs the court’s discretionary power in allowing an expert to provide educational background to help the jury better understand the risk factors associated with a psychological phenomenon (*see* dissenting op at 513), as we held in *Bedessie*, the trial court may not abdicate its responsibility to determine the relevancy of the proffered educational testimony to the particulars of the individual case, to wit, defendant and the interrogation before the court. Further our precedent is clear that a *Frye* hearing is not the end of the court’s determination and the admissibility of social science evidence is a question for the trial court.

We do not equivocate as to the existence of the phenomenon of false confessions or the “evils” that can result from the “interrogation atmosphere” (*Miranda*, 384 US at 456). Nonetheless, the scientific principles involve more complexity than the general conclusion that false confessions do occur, and the expert is supposed to articulate those principles so a jury can apply the information to the actual evidence in the case—not merely speculate in the absence of that evidence. We therefore hold that there is no abuse of discretion when the trial court disallows expert psychological testimony as to false confessions when it is not relevant to the circumstances of the custodial interrogation in the case at hand.

15. Although the dissent repeatedly refers to “the science of false confessions,” the determination before the trial court was more nuanced. As demonstrated in our holding in *People v LeGrand* (8 NY3d 449 [2007]), even where there is general acceptance for a particular phenomenon—there, factors influencing the reliability of eyewitness identification—that does not mean that all evidence related to that field will be admissible. The court still has a gatekeeping function to perform in determining whether specific research areas relating to that field are generally accepted.

III.

The remaining issue for our review is whether it was an abuse of discretion for the trial court to deny defendant's motion to admit expert testimony in the area of eyewitness identification. Prior to trial, defendant sought to admit the testimony of Nancy Franklin, Ph.D., to explain factors affecting the reliability of eyewitness identification, as both robberies involved single-witness identifications, made after a brief encounter with an armed stranger of a different race. The court granted the use of an identification expert in the severed trial relating to the robbery against HT but denied the request in the trial of the robbery here at issue, because the identification by EY was corroborated by defendant's statements as well as the surveillance footage.¹⁶

[2] There was no abuse of discretion in the court's determination. The evidence against defendant at trial did not "turn[] solely on the accuracy of the witness[s] identification" but was corroborated by the surveillance video and defendant's statements (see *LeGrand*, 8 NY3d at 457). In light of our determination, it is unnecessary to reach defendant's remaining argument.

Accordingly, the order of the Appellate Division should be affirmed.

RIVERA, J. (dissenting). At issue on appeal is whether the denial of defendant's motion to present expert testimony at trial on false confessions or on cross-racial identifications violated his right to present a defense relating to his innocence.

16. The dissent suggests that the trial court may have been susceptible to bias in determining the corroborative value of the confession and surveillance videos depicting the robber because it found defendant's confession admissible after the *Huntley* hearing (see dissenting op at 529-530). This proposition is inconsistent with our authority recognizing that a trial court is fully capable of making objective legal determinations, even if it is aware of information that is inadmissible before the finder of fact (see *People v Moreno*, 70 NY2d 403, 406 [1987]). Further, the dissent's point of view that there is "no evidence for the factfinder to weigh until trial" (dissenting op at 529), would entirely vitiate the purpose of pretrial judicial determinations outside the ken of the jury in favor of allowing the jury to hear all evidence, regardless of relevance, reliability, or any prejudice to either party (see *People v Geraci*, 85 NY2d 359 [1995]; *People v Sandoval*, 34 NY2d 371 [1974]; *People v Molineux*, 168 NY 264 [1901]). The law is to the contrary as, "[e]ven where technically relevant evidence is admissible, it may still be excluded by the trial court in the exercise of its discretion if its probative value is substantially outweighed by the danger that it will unfairly prejudice the other side or mislead the jury" (*People v Scarola*, 71 NY2d 769, 777 [1988]).

The majority misapprehends our precedent and the role of the court in determining the admissibility of expert testimony. The proffered false-confession testimony satisfied the standards for admissibility under both *People v Bedessie* (19 NY3d 147 [2012]) and *Frye v United States* (293 F 1013 [DC Cir 1923]) because defendant established, through an extensive record, that the science of false confessions was generally accepted in the relevant scientific community.¹ The lower courts—and the majority—should have ended the analysis there, rather than focusing on questions of foundation, the fit between the proffered testimony and the facts of the case, and the methodologies used by social sciences researchers—none of which are relevant at a *Frye* hearing. Given our Court’s recognition that false confessions occur and that expert testimony on this phenomenon would aid a jury in assessing the voluntariness of a defendant’s incriminating statements, the majority unjustifiably delays our inevitable determination that there is general acceptance within the scientific community that there are situational and dispositional factors that lead to false confessions.

The trial court also abused its discretion in denying defendant’s request to present expert testimony on eyewitness identifications. The testimony satisfied the test for admission under *People v LeGrand* (8 NY3d 449 [2007]) because it would have aided the jury in reaching a verdict, given that there were three factors present in defendant’s case which the scientific community considers affect the accuracy of eyewitness identifications. The majority’s holding that the confession and the video footage corroborated the victim’s identification strays from our holding in *LeGrand* and gives courts license to make findings of fact before evidence has been tested through the adversarial process.

Since defendant asserted his innocence of the crime and presented evidence of how his face and build did not match the victim’s description, preclusion of the experts’ testimony was not harmless. Defendant is entitled to a new trial where the jury can assess the evidence and his defense with the aid of

1. Defendant’s burden at the *Frye* hearing was to prove that the science on false confessions was generally accepted at that point in time. My usage of the past tense reflects that temporal burden and not that the science of false confessions is no longer generally accepted. Indeed, more recent research makes clear that particular factors associated with false confessions have general acceptance in the field (see Saul M. Kassin et al., *On the General Acceptance of Confessions Research: Opinions of the Scientific Community*, 73 Am Psych 63 [2018]).

the false-confession and misidentification expert evidence. I dissent.

I.

Defendant Howard Powell was charged with first-degree robbery for separate robberies of complainants HT and EY. The facts underlying the robberies are not disputed, only whether defendant was the perpetrator of the crimes. Defendant's confessions were central to the prosecution's case, and in turn, the circumstances of the interrogation under which those confessions were extracted were central to defendant's claim of innocence. Defendant moved to suppress his statements to the police and the victims' pretrial identifications of defendant. The majority's description of the conflicting accounts of the interrogation provided by the investigating detectives and defendant at the hearing lacks sufficient context and detail. I write to clarify and highlight those parts of the record that shed proper light on defendant's legal challenges.

According to Detective Grinder, defendant was arrested at 2:00 p.m. on March 1, 2010, for unrelated crimes of trespass and drug possession; at the time, he was in possession of crack cocaine and a "crack pipe." Detective Grinder testified that, around 6:30 p.m., defendant was taken to an interrogation room at the precinct, where his arm was handcuffed to the wall. According to the detective, defendant was "aggravated" and "angry," his "eyes were crossed," the "tone of [his] voice was loud," and he was cursing. Defendant waived his *Miranda* rights, and when asked about a recent spate of neighborhood robberies, defendant denied any involvement.

At around midnight, Detective Grinder transported defendant to Queens Central Booking. Shortly beforehand, the detective retrieved prescription medication that defendant told the officers he needed. The detective could not recall whether defendant informed him why he needed the medication, and he was unable to remember whether he allowed defendant to take any of it. Other testimony established that an officer must fill out a form when a prescription is given to a person in custody. Detective Grinder did not fill out the form and denied knowledge of this policy.

Defendant was returned to the precinct at 9:30 a.m. the following morning and placed in the interrogation room, handcuffed. Defendant was calm and, according to Detective Grinder, he appeared "somewhat jovial." Defendant was given

a bagel and coffee. The detective informed defendant of “some of the charges that were being leveled against him” and that he would be put in a lineup. Defendant explained that he had been “very messed up on drugs,” but when he was not forthcoming about the robberies, he was left alone in the interrogation room with pen and paper. Defendant wrote the following statement at around 10:00 a.m.:

“Howard Powell,

“Was using drugs for two weeks and was doing really bad. I did a few robbery [sic] and I am very sorry please forgive me I want to help N.Y.P.D. but only you can help me with this, I was really MESSED UP on DRUGS [sic] and I am sorry if Ive [sic] hurt any one.”

In separate lineups, EY and HT identified defendant. At approximately 1:00 p.m., Detective Grinder told defendant that both complainants had identified him. Defendant then confessed to the robberies of EY and HT as well as another two robberies, neither of which the police could verify. According to the detective, when asked to write a statement, defendant explained that “he didn’t have the capacity or he wasn’t a good writer,” so the detective typed up two separate police reports, one relating to each robbery, describing defendant’s accounts.² The entirety of the robbery descriptions are contained on the first page of each respective report. The EY report states, in relevant part, that defendant followed an Asian female:

“from the 40 side of 10 Street into her building. She was carrying groceries. I went into the building and then into the elevator with her where I robbed her. This one gave me a fight for my money and tried to push me away. I kept pushing her but I didn’t try to hurt her. I usually keep a razor knife in my pocket but didn’t think I had time to get it out. The only thing I got from her was an EBT card with no numbers on it.”

The HT report states that defendant also followed a Latina:

2. The majority contends that “defendant flatly denied ever making the second, more detailed, confession” (majority op at 491). The majority’s argument is an attempt at misdirection. Defendant handwrote the first statement, admitted to the robberies, and then signed blank pages of the written statements that Detective Grinder admitted were his summary of defendant’s confessions to both crimes.

“from 12 or 10 Street into a building. I tried not to be too close to her and when I saw what building she was going to I called to her and asked her to hold the door for me. I got into the elevator with her and asked her what floor she was going to, and pressed five when she answered. I robbed her with a steak knife by the time we reached the third floor and at the fifth floor I told her to ride it back down and I ran out the stairs.”

The final paragraph of each report is identical and substantially similar to defendant’s handwritten statement:

“I was using drugs for two weeks and was doing really bad. I did a few robberies and I am very sorry. Please forgive me. I want to help the NYPD but only you can help me with this. I was really messed up on drugs and I am sorry if I’ve hurt anyone.”

Defendant’s signature is on the second, blank page of these forms.

Defendant was provided some fast food that afternoon. At 8:30 p.m., defendant was transported back to Queens Central Booking. The detective testified that he knew defendant had been in possession of drugs, but at no time after defendant was picked up did defendant say he was experiencing withdrawal symptoms or ask to go to the hospital.

Defendant testified that he did not voluntarily confess to the crimes and described an interrogation that materially differed from the detectives’ version. Defendant stated that he had been using crack cocaine and heroin on the day he was arrested. At the precinct, he was scared, depressed, and paranoid, and asked for his medicine, which he had not taken in over a day. While in the interrogation room, handcuffed to a “pole,” defendant “went into convulsions.” He had a seizure, urinated on himself, and came to consciousness partially on the floor, partially in a chair. When Detective Grinder discovered defendant, he hit him on the head for urinating on the floor and hit him on the head an additional four or five times later that evening. After the seizure, defendant repeated his request for his medication. Defendant explained to the detective that he takes medication and needed it because he “wasn’t feeling well.” He also testified that he was afraid he might die if he suffered another seizure. In response, the detective told defendant that

“he wouldn’t help me unless I helped him . . . He said if you cooperate I will think about going to get your medication for you.” When defendant asked to be taken to the hospital, the detective told him that if he went to the hospital, he would not see a judge for four to five days. Although defendant “couldn’t think straight,” and he went to the hospital after every previous seizure he had had, he desisted. At around 9:00 p.m., the detective retrieved defendant’s medicine and an unsoiled pair of trousers. Upon returning to the precinct, the detective placed the medicine at the end of the table but never gave it to defendant. Defendant testified that he refused to confess because he “really didn’t know what kind of statement to give them” and he “was scared to give them a statement to something that I didn’t do.” Defendant was transferred to Queens Central Booking, where officers accompanied him to his visit with the medical personnel there. The officers told defendant that if he told the medical personnel that he had had a seizure or that anything else was wrong, he would be brought to the hospital by the officers, who would have to work overtime, and that he “was going to pay for it.” Defendant did not eat at Central Booking because he missed dinner and slept through breakfast.

By the second day of interrogation, it had been over 24 hours since defendant had taken his medication, and he began to feel “very, very uncomfortable.” Defendant described feeling anxious and hungry and that he was experiencing a panic attack. He was worried he would have another seizure and finally capitulated because he “had to do something to get [his] medication.” Defendant clarified his physical and mental state, testifying, “I wanted my medication so bad I just did anything,” and “just wanted to go home because I know I didn’t do anything.” The detective told defendant “if you work with us, we [sic] get you up out of here.” Then the detective told defendant what to write in a statement. Defendant supplied some of the text because he wanted to give the detective “something that he would be pleased with,” without expressly incriminating himself in the two robberies that the detective was investigating. It was only after he confessed that he received his medication and food.

Defendant further testified that the detectives never provided him with *Miranda* warnings on either day of his questioning. He signed the *Miranda* form after 6:00 p.m. on the second day

only because he had not eaten, he was stressed, and he was without his medication. Defendant provided a statement shortly before he signed the *Miranda* warnings and testified, “I wrote that [statement] because I was afraid, I wanted to eat, I wanted my medication.”³

After hearing these conflicting accounts, the court granted defendant’s motion in part to the extent of suppressing the typed statement containing defendant’s confession to the HT robbery for lack of proper notice, and otherwise denied the motion, including defendant’s request to suppress HT’s identifications of defendant.

II.

A. The *Frye* Hearing and the Court’s Rejection of Defendant’s False Confession Expert Testimony

Defendant’s theory of the case was that he was innocent and that the detective coerced a confession by withholding food, medication, and medical care, and used interrogation techniques particularly effective on people with psychiatric and intellectual disabilities. Therefore, he sought to introduce expert testimony at trial on false confessions, specifically on the voluntariness and reliability of confessions provided under certain scenarios present in his case.

First, defendant moved to present psychiatric evidence, including defendant’s medical records and the report of a forensic psychologist concerning defendant’s psychiatric diagnoses and substance abuse history, and the psychologist’s clinical evaluation of defendant. The report recounts defendant’s long history of psychiatric treatment, both in adulthood and as a child while in custody in various institutional settings.

3. The majority again improperly weighs the evidence here, suggesting that “[n]otwithstanding his concession that it was his signature and initials on the *Miranda* card,” defendant “claimed that he did not receive *Miranda* warnings until” after his confession (majority op at 484). Whether or not defendant’s account was credible or in conflict with his signature on the *Miranda* card was a question for the factfinder, not this Court. Contrary to the majority’s rejoinder, the lower court’s determination of that “quintessential issue of fact” (*id.* at 488 n 9) was only relevant on the ultimate legal question of whether defendant’s inculpatory statements should have been suppressed. Moreover, that the trial court instructed the jury to disregard statements obtained in violation of *Miranda* undermines the majority’s argument that an expert was not necessary to explain false confessions to the jury (*see id.*).

Likewise, defendant had a history of severe substance abuse that began in early adolescence and continued throughout his adult life. The psychologist also administered a battery of tests that revealed defendant's significant deficits in intellectual and cognitive functioning. The causes of these deficits—which may have been a function of a lifelong learning disability, defendant's history of substance abuse, potential brain injuries, mental health issues, or a combination of one or more of these factors—could not be determined. However, the psychologist concluded that defendant's chronic mental health issues, poor processing speed, deficits in reality testing, and impaired thinking were “factors that could make him vulnerable to suggestion in a custodial setting.”

Second, defendant moved to introduce the testimony of Alison Redlich, Ph.D. as an expert on false confessions.⁴ Based on Dr. Redlich's review of the hearing testimony, the psychologist's report, police reports, and the scientific literature, she was prepared to opine on the dispositional and situational factors that the relevant scientific community had associated with false confessions. In her report, submitted as part of defendant's motion, Dr. Redlich explained that dispositional factors relate to the “disposition” of the purported confessor, including considerations such as mental health conditions, impairments, and substance abuse. Situational factors concern the “situational” circumstances of the interrogation itself, such as physical isolation, the length of the interrogation, the use of deceptive tactics, and promises of leniency. In addition to this report, which discussed the science of false confessions generally and in relation to defendant's case specifically, and Dr. Redlich's 22-page *curriculum vitae*, defendant also submitted in support of his motion the psychologist's report; minutes from the detective's hearing testimony about his interrogation of defendant; defendant's hearing testimony; the three inculpatory statements attributed to defendant; two police reports containing the complainants' initial accounts of the robberies; a police voucher listing defendant's medications, dated the day after defendant signed the confessions; the police logbook for the day defendant was arrested; and a selection of nine publications as evidence of the scientific consensus supporting the proffered testimony, including the brief for amicus curiae American

4. In the alternative, defendant requested a *Frye* hearing.

Psychological Association (APA) in *Warney v State of New York* (16 NY3d 428 [2011]).^{5, 6}

Initially, the court granted defendant's request to introduce this expert testimony with the proviso that any limitations on the scope of such testimony would be determined at trial. Thereafter, a different judge assigned to the case ruled that a *Frye* hearing was required to "establish the applicability, parameters, and relevance of this [expert] testimony."

At the *Frye* hearing, Dr. Redlich testified that she was a tenured professor and Executive Director of the Hindelang Center at the University at Albany's School of Criminal Justice. Over the course of 15 years studying police interrogations, she had authored numerous peer-reviewed articles, literature reviews, and book chapters, presented over 100 lectures on the subject, and, to her knowledge, "review[ed] all of the literature" of the field. Dr. Redlich sat on the editorial boards of *Law and Human Behavior*; *Psychology, Public Policy, and Law*; *Behavioral Sciences of Terrorism and Political Aggression*; *Journal of the Society for Terrorism Research*; and the *Albany Law Review* for its annual issue, *Miscarriages of Justice*. She was the principal investigator on two surveys and the co-principal researcher on a study sponsored by the Federal Bureau of

5. The other eight publications are: Allison D. Redlich et al., *Comparing True and False Confessions Among Persons with Serious Mental Illness*, 17 *Psych, Pub Pol'y & L* 394 (2011); Allison D. Redlich et al., *Self-Reported False Confessions and False Guilty Pleas Among Offenders with Mental Illness*, 34 *Law & Hum Behav* 3 (2010); Saul M. Kassin et al., *Police-Induced Confessions: Risk Factors and Recommendations*, 34 *Law & Hum Behav* 3 (2010) (hereinafter White Paper); Saul M. Kassin & Gisli H. Gudjonsson, *The Psychology of Confessions: A Review of the Literature and Issues*, 5 *Psych Sci Pub Int* 33 (2004); Linda A. Henkel et al., *A Survey of People's Attitudes and Beliefs about False Confessions*, 26 *Behav Sci & L* 555 (2008); Mark Costanzo et al., *Juror Beliefs about Police Interrogations, False Confessions, and Expert Testimony*, 7 *J Empirical Legal Stud* 231 (2010); Gisli H. Gudjonsson, *The Psychology of Interrogations and Confessions: A Handbook* (2003); and brief for amicus curiae American Psychological Association in *People v Rivera*, 2011 IL App (2d) 091060, 962 NE2d 53 (2011).

6. The *Warney* Court reinstated a claim under the Unjust Conviction and Imprisonment Act (Court of Claims Act § 8-b), holding that the claimant—who, at the time of his false confession, had cognitive impairments, a low level of education, and AIDS-related dementia—was not required to provide documentary evidence that his confession was false at the pleading stage of the claim (see 16 NY3d at 434-435). The Court held that the lower court "inappropriately made credibility and factual findings, dismissing Warney's claim without giving him the opportunity to prove his detailed allegations that he did not cause or bring about his conviction" (*id.* at 437).

Investigation's High-Value Detainee Interrogation Group, which "studies the effectiveness of interrogation approaches and techniques" and commissions studies to fill research gaps (FBI, *What We Investigate, High-Value Detainee Interrogation Group*, <https://www.fbi.gov/investigate/terrorism/high-value-detainee-interrogation-group> [last accessed Oct. 19, 2021]). One study required that she review, code, and analyze video-recorded police interrogations from police departments across the United States. She also was the recipient of research grants from the MacArthur Foundation, the National Institute of Justice, and the National Science Foundation. She also worked for six years at a private research firm studying the intersection of mental health and the criminal justice system. She had been qualified as an expert in all seven previous cases where she was called as a witness, and she had previously been found competent to testify in a New York local criminal court, before the defendant took a plea deal. She was precluded from testifying in some other cases because those courts had determined that, at that time—approximately 10 years prior to the hearing—"the science [was] not sufficiently proven."

According to Dr. Redlich, 15% to 20% of proven wrongful convictions involve a false confession. She explained that the number was likely higher because most verified false confessions are recorded after DNA exonerations, which comprise only 10% of cases and are mainly related to murder and rape trials. On cross-examination, she acknowledged that she did not know the number of false confessions in the "entire population of confessions."

Dr. Redlich explained that, as relevant here, a "coerced compliant" confession is the result of a person's will being overborne in the interrogation room either from "a variety of techniques or because of [the person's] dispositional characteristics." In coerced compliant confession cases, people give false confessions "in order to escape the situation" of interrogation. She explained that people with mental health issues or "cognitive limitations" are more likely to give a false confession because they are more vulnerable and less capable of withstanding "psychologically oriented interrogation techniques." Dr. Redlich testified that people with mental illness and cognitive disabilities "could be more prone to confusion, they have concentration problems," and are less able to weigh short- and long-term benefits. She admitted, however, that the evidence was "not entirely clear" with respect to whether any one mental

health issue makes a false confession more likely, but explained that evidence suggests that depression and anxiety are associated with false confessions. Dr. Redlich also discussed the steps of the Reid technique, a psychologically-based interrogation method, including theme development, implied promises of leniency, and minimization, and outlined factors common to confirmed cases of false confession, including prolonged interrogations, no new evidence resulting from the confession, and the use of false promises. She testified that the Reid technique is the foundation of modern interrogation techniques and that “people who study interrogation techniques are very familiar with” it. Dr. Redlich explained that the Reid technique marked a turning point in the 1960s, when the “third degree” and physical means of interrogation were “outlawed” and it became necessary for law enforcement to develop new methods of interrogation.⁷ Dr. Redlich explained that other interrogation methods are “all very similar to the [Reid] technique” because “[t]hey rely on psychological techniques. They rely on principles of social influence.” On cross-examination, she confirmed that she did not know whether the New York City Police Department trained its officers on the Reid technique specifically. However, Dr. Redlich reiterated that, based upon her own research and her knowledge of the literature, “all interrogation methods are like [Reid]” because “[a]ll interrogations are psychologically oriented using principles of . . . psychological influence or social influence.”

Dr. Redlich also testified regarding research she had conducted. In one study, she interviewed inmates at the Santa Clara Jail, some of whom had histories of mental health is-

7. The Reid technique itself built on earlier techniques, and was developed in the 1940s by former police officer John E. Reid, an expert in polygraphy (the very technique deemed inadmissible in *Frye*), and then commercialized through paid trainings and publication of an influential manual in 1962, which has been “used by law enforcement agencies themselves as guides” (*Miranda v Arizona*, 384 US 436, 449 and n 9 [1966]; see also *id.* at 448-456 [describing “representative samples of interrogation techniques” and noting that “the very fact of custodial interrogation exacts a heavy toll on individual liberty and trades on the weakness of individuals”]; White Paper at 6 [“By the middle of the 1960s, police interrogation practices had become entirely psychological in nature”]; Miriam S. Gohara, *A Lie for a Lie: False Confessions and the Case for Reconsidering the Legality of Deceptive Interrogation Techniques*, 33 Fordham Urb LJ 791, 808-813 [2006]; Douglas Starr, *The Interview*, New Yorker, Dec. 9, 2013 at 42, available at <https://www.newyorker.com/magazine/2013/12/09/the-interview-7> [last accessed Oct. 7, 2021]). Reid’s manual, *Criminal Interrogations and Confessions*, is currently in its fifth edition, published in 2011.

sues, about their experiences with police interrogations. Some inmates self-reported that they had falsely confessed to crimes. Although on cross-examination she acknowledged that she had not attempted to corroborate these self-reported false confessions, she also testified that self-reporting is a generally accepted social research methodology. She additionally testified about two other studies, each representing a paradigm for laboratory research in the field. In the Alt Key study, researchers instructed test subjects not to touch the alt key on a keyboard, or else the computer would crash. Then, without touching the key, the computer would crash. One hundred percent of test subjects confessed to touching the alt key when accused of doing so—“kind of akin to presenting false evidence or lying to suspects.” The Cheating Paradigm, Dr. Redlich testified, entails a group of students engaged in independent study. A student who is in on the study suggests to another student that they cheat together. Forty-one percent of subjects who refused the suggestion nonetheless signed a false confession.

On cross-examination, Dr. Redlich explained that both studies represented the early stages of laboratory research in the field, and that they had faced some criticism regarding their methodologies and their applicability to criminal cases. Although the Alt Key study was no longer employed, the Cheating Paradigm was still used in the field. Dr. Redlich noted that, in general, “there are limitations to every single scientific method that you employ,” including laboratory studies, which sometimes have issues with external validity, “but that’s why you employ many different methods.”

Apart from her individual research, Dr. Redlich was a coauthor of an American Psychology-Law Society (AP-LS) White Paper on false confessions research.⁸ Dr. Redlich explained that “in the 45-year history of the American Psychology Law Society there have been two white paper scientific consensus papers,” and that the one that she had coauthored was the second. Dr. Redlich explained that

“in order for . . . white papers to come about, there has to be a sufficient body of evidence that has ac-

8. The AP-LS is a multidisciplinary organization that was founded in 1968 and “is both a free-standing organization” and a division of the APA (AP-LS, *Membership Details*, <https://ap-ls.org/membership> [last accessed Oct. 22, 2021]). The APA was founded in 1892 and is “the leading scientific and professional organization representing psychology in the United States” (*About APA*, <https://www.apa.org/about> [last accessed Nov. 1, 2021]).

crued and amassed[.] . . . [I]n my mind[,] to general acceptance, it really decides the issue because these scientific white papers represent the American Psychology Law Society. They don't represent the author's opinions. They have to be sponsored by the organization. They have to agree in the first place that there is a sufficient body [of evidence]. Then once it's written, they have to approve it. The entire organization has the chance to view it and weigh in on it, and . . . then it goes through a peer review process again, and it will be published."

Dr. Redlich testified that she was a researcher and not a clinician, and that she had never personally examined defendant. She explained that her testimony about dispositional factors was based on defendant's documented mental-health diagnoses and the psychologist's examination. The purpose of her testimony was to inform the jury about the general science of false confessions and to educate the jury about the dispositional and situational risk factors that create an increased risk of false confession. Dr. Redlich noted that there had been "several studies looking at the weight of confession[s] in jurors' minds," which found that "confessions are very weighty." She noted that researchers and practitioners often call confessions "the gold standard of evidence." She also testified that "false confessions are very counterintuitive" because it is "very hard for someone to understand that . . . people would admit to committing a crime that they didn't commit." She pointed to research finding that "very few people will admit that they would ever give a false confession themselves."

The Assistant District Attorney did not call an expert or introduce evidence at the hearing. Nevertheless, in a post-hearing submission, the Assistant District Attorney argued that Dr. Redlich's proposed expert testimony was neither relevant to defendant's case under *Bedessie* nor beyond the ken of the average juror. The Assistant District Attorney further argued that Dr. Redlich's proposed testimony was not generally accepted in the relevant scientific community and that it would be within the court's discretion to preclude this testimony in its entirety.

The court denied that branch of the motion which was to permit Dr. Redlich to testify (*see* 53 Misc 3d 171 [Sup Ct, Queens County 2014]). Although the court found that Dr. Redlich was an expert in the field of false confessions, the court

concluded that she did not establish “that expert testimony on false confessions is readily acceptable in the scientific community” (*id.* at 178). Also, Dr. Redlich “did not convince th[e] court that an expert’s testimony on the issue of false confessions is scientifically reliable” (*id.*). The court held that “[i]t is insufficient under *Frye* that researchers agree that the phenomenon of false confessions exists and that interrogation tactics will likely increase the risk of law enforcement obtaining a false confession” (*id.*) According to the court, “researchers . . . differ on their opinions as to why and as to which tactics present a danger of obtaining these false confessions” (*id.*). Moreover, citing *Daubert v Merrell Dow Pharmaceuticals, Inc.* (509 US 579 [1993]), the court concluded that Dr. Redlich “failed to establish that her expertise is generally accepted in the scientific community” and whether “there was a known or potential rate of error in her methods of research” (53 Misc 3d at 179). The court also faulted Dr. Redlich for her lack of “personal knowledge of the circumstances under which this particular defendant confessed” and noted that there was no proof that the police used the Reid technique (*id.*).⁹ Moreover, Dr. Redlich failed to convince the court that the technique induces or produces false confessions (*see id.*). The court clarified that counsel could call a qualified expert with personal knowledge of the defendant and the circumstances of the interrogation that may have affected whether defendant falsely confessed (*see id.* at 180).

The day before trial for the EY robbery,¹⁰ again on the topic of the false confession expert testimony, the same judge stated that, although Dr. Redlich could not assure him “that science properly does exist and could be an aid to the jury,” counsel could call “a psychiatrist or some psychologist properly qualified to testify about [defendant’s] medical conditions, and how

9. The majority finds it “significant[]” that “the court observed that defendant failed to establish that his statement was induced by any of the factors outlined in *Bedessie*” (majority op at 487). I agree that this observation is significant but not for the reason suggested by the majority—as an accurate description of Dr. Redlich’s testimony—but because the statement shows how obviously the *Frye* court erred. As the record makes clear, defendant provided ample proof of several situational and dispositional factors which the scientific literature had recognized may lead to a false confession, including psychiatric evidence of defendant’s mental illness and intellectual capacity, as well as evidence of coercive custodial interrogation tactics, such as theme development, implied promises of leniency, and minimization (*see infra* at 519-523).

10. Defendant successfully moved to sever the counts.

that could lead to a false confession in this case.” Counsel stated he could not find a psychologist who could present both the clinical evaluation and the research-based testimony as required by the court.

B. The Court’s Rejection of Defendant’s Witness Identification Expert, the Trial, and the Plea

In addition to false-confession expert testimony, defendant also sought to present testimony by an expert on factors affecting witness identification. Defendant argued that the testimony was central to his misidentification defense because the robber and victims were strangers and of a different race, the robber was armed, and the identification was in part based on the highly stressful interactions during the robbery. Defendant proffered the testimony of Nancy Franklin, Ph.D.,¹¹ to opine on the factors affecting the reliability of eyewitness memory identification, including, among other topics, general principles of how memory works, the effect of high stress on memory of faces, weapon focus, and cross-race effect or own-race bias. In the alternative, defendant sought a *Frye* hearing. The court denied the motion on the ground that the testimony was unnecessary because surveillance videos and defendant’s statement to the police corroborated the victim’s identification.

At trial, EY described the robbery, testified to her pretrial identification of defendant, and identified him in court as the robber. EY also testified that she did not report the assailant’s facial features when she called 911 after the robbery. The Assistant District Attorney presented surveillance video from the elevator where the robbery occurred, as well as from the deli, where a person had attempted to use EY’s stolen EBT card. In the deli video, the alleged robber is wearing a driving cap, which, combined with the camera angled downward from above and the poor image quality, obscures a clear view of the person’s face. In the elevator footage, the person has their coat hood

11. Dr. Franklin, now a Professor Emeritus at Stony Brook University is, like Dr. Redlich, an accomplished researcher in the field of cognition, who has testified in over 500 cases on eyewitness identifications across the nation, and has been qualified as an expert several times in New York courts (see e.g. *People v Norstrand*, 35 Misc 3d 367, 372 [Sup Ct, Monroe County 2011] [noting that “(Dr. Franklin) is well credentialed and earlier this year another trial court, following a *Frye* hearing, found her to be qualified to testify as an expert in the field of memory and to offer opinions with respect to ‘event stress, exposure time, event violence weapon focus, and cross-racial identification’ ”], quoting *People v Abney*, 31 Misc 3d 1231[A], 2011 NY Slip Op 50919[U], *1-2 [Sup Ct, NY County 2011]).

pulled over their head, which nearly totally obstructs the view of their face. Over defendant's objection, the court admitted the elevator video into evidence and admitted the deli video even though the court acknowledged that the video images do not clearly depict the robber's face—"That's correct, you can't actually see the face of the person."¹² The deli owner confirmed the events depicted in the video and testified that the person who attempted to use the EBT card was a regular customer, but he did not identify the defendant as that person in court.

The detective's testimony was similar to that presented at the pretrial hearing. Defendant's handwritten statement and the typed police report containing the confession to the EY robbery were admitted into evidence.

Defendant testified on his own behalf, denying that he had voluntarily and knowingly confessed to the crimes. In further support of his innocence and misidentification defense, he stated that he had 12 missing teeth—including three front teeth—just as he did the day of the crime. The record further reveals that at the time of his arrest, defendant was 51 years old, six-foot, four-inches tall, and weighed 200 pounds. Defendant also presented his medical records and evidence from his optometrist that he wore glasses and would have difficulty reading without them. On cross-examination, he admitted that during the interrogation he denied his involvement in two other robberies for which he was not charged.

As requested by defendant, the court instructed the jury that it could consider the confessions if the jury found them to be voluntary beyond a reasonable doubt. The court also gave an expanded eyewitness charge, including a cross-racial identification instruction (*see* CJI2d[NY] Statements [Admissions, Confessions]—Custodial Statements; CJI2d[NY] Statements [Admissions, Confessions]—Traditional Involuntariness; CJI2d[NY] Identification—One Witness)). During deliberations, the jury requested to see the videos. Thereafter, the jury returned a guilty verdict on the sole count of first-degree robbery.

Subsequently, defendant pleaded guilty to the severed count of first-degree robbery of HT, with a promise from the court that the sentences on the robbery counts would run concur-

12. The majority thus mischaracterizes the video evidence when it describes it as "show[ing] portions of the man's face from multiple angles" (majority op at 480).

rently. The court and the prosecutor also agreed that the plea would be vacated if the trial conviction were reversed. The court sentenced defendant as a persistent felony offender to concurrent prison terms of 25 years to life on the trial conviction and 20 years to life on the plea.

The Appellate Division affirmed both judgments, concluding that “defendant failed to establish that his proffered expert testimony was relevant to the specific circumstances of this case” (166 AD3d 660, 661 [2d Dept 2018]). The Court did not reach defendant’s remaining claims. As I discuss, it was reversible error to deny defendant’s requests to present expert testimony on false confessions and eyewitness misidentification.

III.

Under the standards set forth in *Bedessie* and *Frye*, defendant should have been allowed to present Dr. Redlich’s expert testimony on factors associated with false confessions, which he alleged were present in his case. Contrary to the District Attorney’s arguments and the majority’s conclusion that Dr. Redlich would not have provided useful testimony for the jury, her proffer established that the phenomenon of false confessions was generally accepted in the relevant scientific community, as were the dispositional and situational factors associated with false confessions. Additionally, the court should have permitted expert testimony on factors impacting the accuracy of eyewitness identification. The victim’s identification was not sufficiently corroborated: defendant’s confession was contested and could not serve as corroboration, and the video evidence did not clearly show the alleged robber. The court abused its discretion as a matter of law in precluding the testimony of the proffered experts. Because the case turned on eyewitness testimony and defendant’s confession, the preclusion was not harmless as it denied his ability to present a defense. Defendant was entitled to have the jury determine the validity of the confessions and the reliability of the eyewitness identification with the assistance of expert testimony. Therefore, I would reverse the Appellate Division’s affirmance of the trial conviction. And because, as defendant argues, and the District Attorney concedes, the court informed defendant that the plea would be vacated if the trial conviction was reversed, I would also reverse the Appellate Division’s affirmance of the plea conviction.

A. False Confession Expert Testimony

The admissibility of expert testimony is a matter of discretion entrusted to the court (*see De Long v County of Erie*, 60 NY2d 296, 307 [1983], citing *Selkowitz v County of Nassau*, 45 NY2d 97, 102 [1978]). Thus, a court's decision to preclude expert testimony after a *Frye* hearing is reviewed for abuse of discretion (*see LeGrand*, 8 NY3d at 452). "Expert testimony is admissible if the analysis involved is beyond the ken of the typical juror and the results would be relevant to an issue in the case" (*People v Allweiss*, 48 NY2d 40, 50 [1979]). "[I]n recognition that expert testimony . . . may involve novel scientific theories and techniques, a trial court may need to determine whether the proffered expert testimony is generally accepted by the relevant scientific community" (*People v Lee*, 96 NY2d 157, 162 [2001]). New York has adopted the test under *Frye v United States* (293 F 1013 [1923]), which asks "whether the accepted techniques, when properly performed, generate results accepted as reliable within the scientific community generally" (*Parker v Mobil Oil Corp.*, 7 NY3d 434, 446 [2006], quoting *People v Wesley*, 83 NY2d 417, 422 [1994]). "While the *Frye* test turns on acceptance by the relevant scientific community, we have never insisted that the particular procedure be 'unanimously indorsed' by scientists rather than 'generally acceptable as reliable'" (*Cornell v 360 W. 51st St. Realty, LLC*, 22 NY3d 762, 780 [2014], quoting *Wesley*, 83 NY2d at 423).

This Court's *Frye* jurisprudence is clear that the only matter for consideration at a *Frye* hearing is the general acceptance of the science presented. Critically, "[t]he *Frye* inquiry is separate and distinct from the admissibility question applied to all evidence—whether there is a proper foundation—to determine whether the accepted methods were appropriately employed in a particular case" (*Parker*, 7 NY3d at 447, citing *Wesley*, 83 NY2d at 429; *People v Wernick*, 89 NY2d 111, 115-116 [1996]). The Court has explained that "matters going to trial foundation or the weight of the evidence" are "not properly addressed in the pretrial *Frye* proceeding" (*Wesley*, 83 NY2d at 426). Rather, questions pertaining to foundation should be addressed by a motion in limine (*see People v Brooks*, 31 NY3d 939, 941 [2018]), and questions of weight and credibility are reserved for the factfinder. Likewise, whether the "scientific analysis must 'fit' the facts of the case" is a distinct question from general acceptance (1 Kenneth S. Broun et al., McCormick on Evidence § 203.3 [8th ed & Jan. 2020]; *see also* David H. Kaye et al., *The New Wigmore: Expert Evidence* § 8.3.1 [c] [3] [2021]).

Here, the *Frye* court inappropriately relied on the United States Supreme Court's decision in *Daubert* (509 US 579), which announced the federal standard. *Frye*'s general acceptance test is different from the multifactor validity and reliability standard of *Daubert*, adopted in rule 702 of the Federal Rules of Evidence. In *Daubert*, the Supreme Court announced a test of "scientific validity," which focuses on the reliability and relevancy of evidence (see *The New Wigmore: Expert Evidence* §§ 8.3.1 [b]; 8.3.2). *Daubert* explained that the federal approach is intended to be more flexible than the *Frye* standard and places more responsibility on the judge (see 509 US at 588-589). Under the federal test, general acceptance in the scientific community is but one factor for a court to consider. More pointedly, *Daubert*'s "emphasis is different from *Frye*'s and its impact depends on how the concepts of validity and fit are applied" (*The New Wigmore: Expert Evidence* § 8.3.2 [footnote omitted]). The Supreme Court clarified *Daubert*'s holding as to the "fit" of testimony in *General Elec. Co. v Joiner* (522 US 136 [1997]). In rejecting respondent's argument that, under *Daubert*, "the 'focus, of course, must be solely on principles and methodology, not on the conclusions that they generate,'" the Court explained that "conclusions and methodology are not entirely distinct from one another" (*id.* at 146, quoting *Daubert*, 509 US at 595). Thus, under the federal standard, in determining whether expert testimony should be admitted, "[a] court may conclude that there is simply too great an analytical gap between the data and the opinion proffered" (*id.*).¹³ In contrast, under *Frye*, a court determines only whether the scientific community has generally accepted the results as reliable, not the appropriateness and soundness of the scientific methodology. "The general acceptance test operate[s] as a surrogate for reliability" (Daniel J. Capra, *The Daubert Puzzle*, 32 Ga L Rev 699, 703 [1998]), while questions of "fit" might go to the foundation and scope of testimony (see *Brooks*, 31 NY3d at 941; *Wesley*, 83 NY2d at 426) or to the weight of the evidence, questions New York entrusts to the trier of fact.

13. In *Cornell*, we explained that "[w]e have sometimes expressed this precept in terms of the general foundation inquiry applicable to all evidence" (22 NY3d at 781). In that case, however, the "analytical gap" turned on a narrow question of whether the expert adhered to methodologies that have gained general acceptance in the field to prove specific causation between mold and the plaintiff's illnesses (see *id.* at 783-785). We separately concluded that the expert failed to prove general acceptance in the field that there was a general causal link between "molds" and the plaintiff's "adverse health effects" (*id.* at 783).

The majority, like the *Frye* court below, misconstrues the applicable legal standards (see majority op at 494-495, citing *United States v Redlightning*, 624 F3d 1090, 1111 [9th Cir 2010] [“The district court identified the correct legal standard for determining the admissibility of expert testimony: Federal Rule of Evidence 702 and the Supreme Court’s decision in *Daubert* (509 US 579)”], *cert denied* 563 US 1026 [2011]).¹⁴ Instead of determining solely whether Dr. Redlich’s testimony and the additional documentary evidence established acceptance within the scientific community of the dispositional and situational factors that lead to false confessions, the majority assesses matters of foundation and fit, which would be appropriate under *Daubert*, but not under our *Frye* standard. The majority also goes further, and like the *Frye* court, usurps the jury’s role by weighing the evidence and assessing whether Dr. Redlich was credible.

“False confessions that precipitate a wrongful conviction manifestly harm the defendant, the crime victim, society and the criminal justice system” (*Bedessie*, 19 NY3d at 161). In *Bedessie*, this Court noted that the phenomenon of false confessions has “moved from the realm of startling hypothesis into that of common knowledge, if not conventional wisdom” (*id.* at 156), and thus held that, “in a proper case expert testimony on . . . false confessions should be admitted” (*id.* at 149). The Court recognized not only that false confessions occur, but that there was research purporting to show situational and dispositional factors associated with false confessions, and that those situational and dispositional factors are beyond the ken of the average juror (see *id.* at 159). However, the Court concluded that none of the factors proffered by the expert were present in the defendant’s case (see *id.* at 161). Thus, no *Frye* hearing was required and it was not an abuse of discretion to preclude the testimony (see *id.*). Nevertheless, the Court emphasized that “there is no doubt that experts in such disciplines as psychiatry and psychology or the social sciences may offer valuable testimony to educate a jury about those factors of personality and situation that the relevant scientific

14. *Redlightning* is also distinguishable on the facts. In that case, unlike the circumstances here but similar to those noted by this Court in *Bedessie*, the District Court “excluded the evidence [on false confessions] after [the proffered expert] himself testified that there was nothing in the record to support his theory that the interrogation techniques used in this case raised a risk of a false confession” (*Redlightning*, 624 F3d at 1110).

community considers to be associated with false confessions” (*id.* at 161). In contrast, as the majority recognizes, “the expert may not testify as to whether a particular defendant’s confession was or was not reliable, [and] the expert’s proffer must be relevant to the defendant and interrogation before the court” (*id.*; *accord* majority op at 479 [(“T)he expert may not render an opinion as to the truthfulness or falsity of the confession”]). Thus, under *Bedessie*, a court should permit expert testimony on the dispositional and situational factors generally accepted within the scientific community as associated with false confessions where the factors are suggested by the circumstances of the defendant’s case (*see Bedessie*, 19 NY3d at 159-161).¹⁵

The majority does not seriously dispute that the field of false confessions research had gained general acceptance in the relevant scientific community at the time of the *Frye* hearing. Instead, the majority concludes that Dr. Redlich’s testimony would not have assisted the jury in reaching a verdict based on its evaluation of the voluntariness and reliability of defendant’s confession because Dr. Redlich had “difficulty in linking her research on the possible causes of false confessions to the case at hand” (majority op at 491).¹⁶ In doing so, the majority conflates the “beyond the ken” analysis with *Frye*’s focus on general acceptance. The majority faults Dr. Redlich for “not explain[ing] how her testimony was at all relevant to the circumstances presented by defendant’s interrogation” (*id.* at 491; *see also id.* at 495 [(“T)he scientific principles involve more complexity than the general conclusion that false confessions do occur, and the expert is supposed to articulate those principles so a jury can apply the information to the actual evidence in the case”])). Dr. Redlich can hardly be at fault here; indeed, she attempted to testify as to the facts of defendants’

15. Since *Bedessie*, the First and Second Departments of the Appellate Division have reversed convictions based on the denial of a defendant’s request to present false confessions expert testimony (*see People v Evans*, 141 AD3d 120 [1st Dept 2016] [rejecting the District Attorney’s argument that there is no general acceptance within the scientific community on the science of false confessions]; *People v Days*, 131 AD3d 972, 979 [2d Dept 2015] [clarifying that “psychological studies bearing on the reliability of a confession” are beyond “the ken of the typical juror” (internal quotation marks omitted)]).

16. The majority holds that “the trial court did not abuse its discretion in finding that the proffered testimony would not have aided the jury” (majority op at 491). The court made no such finding; the court’s decision after the *Frye* hearing purported to solely address whether the research that Dr. Redlich described had gained general acceptance in the relevant field.

case, but was repeatedly stopped from doing so by the prosecution's persistent objections, most of which were properly sustained by the *Frye* court (see *Bedessie*, 19 NY3d at 161; majority op at 479). In any event, it was not Dr. Redlich's role at the *Frye* hearing to apply the science to the facts of the case; "matters going to trial foundation or the weight of the evidence" are "not properly addressed in the pretrial *Frye* proceeding" (*Wesley*, 83 NY2d at 426).¹⁷

The majority also implies that the jurors in this case had sufficient knowledge of false confessions such that Dr. Redlich's testimony was unnecessary. The majority points to voir dire in this case, and notes that most jurors "were generally familiar with" the concept of false confessions, including one juror who cited the Central Park Five case (majority op at 490 n 10). As Dr. Redlich testified, confessions are the "gold standard," the strongest pieces of evidence that a prosecutor can present at trial.¹⁸ As she also noted, even the average juror who is generally aware of false confessions does not understand the situ-

17. The majority also notes that, on top of not explaining the relevance of her testimony, Dr. Redlich "even . . . credit[ed] defendant's account of the events over Detective Grinder's," and that she "conceded" that her testimony would be irrelevant if defendant had not asserted that his confession was false (majority op at 491 and n 11). It is unclear what bearing this has under *Frye*. Dr. Redlich would not have been allowed to testify as to whether she believed defendant at trial because whether the confession was false or not was an ultimate question of fact for the jury (see *Bedessie*, 19 NY3d at 161). Further, it is a truism that Dr. Redlich's testimony would be irrelevant in a case where the defendant did not dispute the validity of the confession. Indeed, in the context of rape trauma syndrome, the majority correctly points out that expert testimony "is meant to be used as an informational tool to educate the jury on the causal connection between relevant factors and false confessions outside their ken, and to do so without opining on the particular facts of the case" (majority op at 490; see also *People v Taylor*, 75 NY2d 277, 288 [1990]).

18. The majority again disagrees with Dr. Redlich's expert opinion—which was based on a review of the relevant scientific literature—that juries perceive confessions as the "gold standard" of evidence, and labels her opinion as "anachronistic" (majority op at 492 n 12). But it is the majority view that is anachronistic as it ignores the scientific consensus on false confessions based upon the majority's (incorrect) view of today's "criminal justice world" (*id.*). At the time of the *Frye* hearing in this case, studies had made clear that notwithstanding knowledge of the phenomenon of wrongful convictions, potential jurors nonetheless afforded heavy weight to confessions and had limited knowledge of the situational and dispositional factors affecting false confessions (see *e.g.* Costanzo et al. at 244 ["(P)otential jurors significantly underestimate the power of a false confession"]). And, today, "even though potential jurors are generally more knowledgeable [about false confessions] than they once were, their knowledge is still far from perfect" (Amelia Mind-

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ational or dispositional factors that might lead to one (*see* Henkel et al. at 560-563, 570; *see also* Mindthoff et al. at 442 [noting that notwithstanding increasing awareness of false confessions, jurors still view confessions as strong evidence of guilt and “still generally believe that they themselves are relatively unlikely to falsely confess”]). Indeed, in the Central Park Five case, the supervising prosecutor—who certainly has general knowledge of false confessions—continues to maintain that the prosecution was not improper and that the confessions were not coerced (*see* Linda Fairstein, *Netflix’s False Story of the Central Park Five*, Wall Street J, June 11, 2019, § A at 19, available at <https://www.wsj.com/articles/netflixs-false-story-of-the-central-park-five-11560207823>). If even an experienced prosecutor adheres to the reliability of a confession in the face of evidence to the contrary, we cannot expect that the average juror will comprehend the dynamic factors that lead to false confessions.

That expectation is borne out by research, which confirms that even potential jurors who know that false confessions occur believe that having expert testimony would be helpful to their deliberative process (*see e.g.* Mindthoff et al. at 440

thoff et al., *A Survey of Potential Jurors’ Perceptions of Interrogations and Confessions*, 24 Psych, Pub Pol’y & L 430, 446 [2018]). To be sure, “relative to potential jurors of the past, contemporary potential jurors generally appear to be more accepting of the possibility that false confessions can occur,” and “researchers should no longer assume that jurors automatically presume guilt in the presence of a confession” (*id.*; *but cf. id.* [(“C)onsidering that discrepant findings have emerged, further research on the topic is needed so that researchers can better assess what contemporary jurors know and how they apply their knowledge” (citation omitted)]). However, notwithstanding that more potential jurors today have knowledge that false confessions occur and are open to hearing evidence on that question, potential jurors still afford significant weight to confessions at trial (*see id.* at 441 table 10), and a large plurality of potential jurors misunderstand the relevant situational and dispositional factors that contribute to false confessions (*see id.* at 438-439 tables 7, 8). Indeed, out of 2,883 exonerations tracked by the National Registry of Exonerations, 359 (12%) involved false confessions (% *Exonerations by Contributing Factor*, National Registry of Exonerations, <https://www.law.umich.edu/special/exoneration/Pages/ExonerationsContribFactorsByCrime.aspx> [last accessed Nov. 1, 2021]).

The majority’s assertion that DNA evidence and surveillance videos are now the “gold standard” of evidence (*see* majority op at 492 n 12) is not relevant to how jurors view confessions, and also ironically ignores debates over the reliability of those two forms of evidence (*see e.g. People v Williams*, 35 NY3d 24, 48-49 [2020, DiFiore, Ch. J., concurring] [concurring in majority holding that it was an abuse of discretion when court denied *Frye* hearing to address “credible dispute among scientists in the relevant scientific community” over DNA evidence]).

[“78.3% of the overall (study) sample agreed (that) . . . having an expert testify about how and why false confessions occur would be useful for making a verdict decision in a disputed confession case”]). Here, Dr. Redlich would have aided the jury by testifying to dispositional and situational factors that the scientific community had found were associated with false confessions. Her expert opinion as to those factors and their general acceptance was not speculative but based on her scholastic and professional bona fides, including her tenured professorship and extensive publishing of book chapters and in peer-reviewed journals, as well as her participation in high-profile studies and professional organizations and her comprehensive knowledge of the scientific literature in the field of false confessions and precipitating factors.

That testimony is precisely the evidence the *Bedessie* Court anticipated would be admissible. First, the *Frye* court concluded that Dr. Redlich was an expert in the field of false confession studies. Second, as established by her testimony and the scientific studies admitted at the hearing, there was agreement in the scientific community on the phenomenon of false confessions as well as the dispositional and situational factors associated with false confessions (*see e.g.* Redlich et al., *Comparing True and False Confessions*; Redlich et al., *Self-Reported False Confessions*; Costanzo et al.). Indeed, Dr. Redlich referenced the AP-LS White Paper, which she coauthored, and which demonstrated that an overwhelming scientific consensus existed on the topic sufficient to warrant the AP-LS’ imprimatur; it was only the second white paper in the 45-year history of the AP-LS.

Dr. Redlich’s testimony would have assisted the jury in determining whether to believe defendant’s version of the interrogation and whether defendant falsely confessed based on the circumstances as he described them. Dr. Redlich discussed modern psychologically-based interrogation methods based on the Reid technique, including, as relevant here, the role of theme development, implied promises of leniency, and minimization. The *Frye* court’s conclusion that this testimony was irrelevant because Dr. Redlich could not testify that the interrogators or even the NYPD employed the Reid technique, and because the court was not convinced that the Reid technique produced false confessions, is unpersuasive. Dr. Redlich testified to interrogation tactics that defendant claimed he was subjected to, including withholding of food and medicine,

lengthy interrogation, and promises that Detective Grinder would “help” defendant if defendant “helped” him. Whether those tactics were labeled the Reid technique is irrelevant. This myopic focus on the Reid technique also ignores Dr. Redlich’s testimony that there was a general consensus that all modern forms of interrogation are based, at least in part, on the Reid technique and similar methods.

Moreover, the White Paper discloses that there is a “strong consensus” that individuals with cognitive impairments or psychological disorders are particularly susceptible to false confession under pressure (White Paper at 30; *see also* Redlich et al., *Self-Reported False Confessions* [discussing false confessions among people with mental health problems]; Redlich et al., *Comparing True and False Confessions* [comparing true and false confessions among people with serious mental illness]). The White Paper also concludes that a voluminous body of research supports that people make choices to “maximize their well-being given the constraints they face” (White Paper at 15). With respect to responses to interrogation, the cost-benefit analysis tends to favor outcomes that are immediate rather than delayed (*see id.*).

The majority calls Dr. Redlich’s testimony “speculative,” “broad, unmoored,” and “imprecise” (majority op at 494-495) because she also testified to various other situational factors, including methods consistent with the Reid technique, such as sleep deprivation and the use of false evidence, that were not present in this case (*see id.* at 492). The majority misunderstands Dr. Redlich’s testimony and the purpose of the *Frye* hearing. Dr. Redlich’s testimony was “broad” because she was providing the court with sufficient information to evaluate whether the science of false confessions is generally accepted in the scientific community. Dr. Redlich was not suggesting that all of the factors she discussed were present in defendant’s case, nor was she suggesting that she would testify as to those factors before a jury. That Dr. Redlich was overinclusive points to her thoroughness and professional acumen, not to her alleged inability to remain “moored” to the topic at hand or “precise” in her analysis. Moreover, that some of the situational factors Dr. Redlich referred to were not present in defendant’s case goes to the scope of the testimony, not acceptance within the scientific community of those factors. The proper action

here was for the court to limit the testimony to the factors present in the case.¹⁹

The majority concludes that, because there was an overnight break in questioning and the written confession occurred less than four hours after his return to the precinct on the second day, the interrogation was not lengthy or coercive (*see id.* at 493). The majority again misunderstands the distinction between fact and law, jury and judge. It is beyond the ken of the jury to understand that, even under those conditions, the interrogation could be coercive for someone with defendant's mental and physical conditions. That Dr. Redlich described uninterrupted interrogations somewhat longer in length again goes to the weight of the evidence, not whether the situational factor of the duration of the interrogation is recognized by the scientific community. Indeed, after weighing the evidence, the jury might have disagreed with Dr. Redlich's expert opinion that even an interrogation that has been broken up into discrete periods can prove coercive, just as the jury might have disagreed with Dr. Redlich that Detective Grinder used methods similar to the Reid technique. But, then again, the jury might have found Dr. Redlich's testimony persuasive. At a minimum, the testimony would have been helpful to the jury in assessing the evidence. Put another way, it is firmly within the jury's province to evaluate the evidence—in this case, the conflicting accounts of defendant and the police, the written confession, and the typewritten confession—and expert testimony should be admitted when it will aid the jury in that role. As the Court has repeatedly emphasized, the admissibility of expert testimony is determined first at a *Frye* hearing. Questions of relevance and foundation should be resolved separately, generally by pretrial motions in limine or through objections at trial (*see Brooks*, 31 NY3d at 941; *Parker*, 7 NY3d at 447; *Wesley*, 83 NY2d at 426).²⁰

19. Indeed, the first judge to consider defendant's request took that view.

20. To the extent the *Frye* court precluded the testimony because Dr. Redlich did not personally evaluate defendant, that was a misapplication of the legal standard, which the majority concedes (*see* majority op at 493 n 14). As Dr. Redlich explained, she was testifying as a researcher about the factors generally recognized as associated with false confessions; she is not a clinician. Nothing in our case law precludes such testimony, so long as it is relevant and will assist the jury in evaluating the evidence and reaching a verdict (*see Bedessie*, 19 NY3d at 161; *LeGrand*, 8 NY3d at 452). To the contrary, *Bedessie* prohibits what the lower court here mandated: expert testimony “as to

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The majority unpersuasively reasons that defendant's confessions to another two unconfirmed robberies undermined Dr. Redlich's expert conclusion that defendant's case exhibited a "classic element associated with false confession cases," specifically that defendant did not provide "any 'new information unbeknownst to the police'" (majority op at 483 n 5). Even if that were true, determining that this fact undermines the expert's conclusion requires evaluating and weighing the evidence, which is the province of the jury, not the *Frye* court. However, it can hardly be said that defendant's confession to two apparently nonexistent robberies is "new information." Indeed, such a "confession" points towards *all* of the confessions being false.

The majority also contends that Dr. Redlich's opinions were unreliable because she was "imprecise" in setting out the factors that were relevant to defendant's case (*id.* at 494-495). The record belies this argument. It is uncontested that defendant has an intellectual impairment and that such cognitive impairments were generally accepted as relevant dispositional factors within the relevant scientific community (*see e.g.* White Paper at 20-21; Kassin & Gudjonsson at 53 ["People who are intellectually impaired are also disproportionately represented in databases of actual false confessions"]).²¹

Further, and contrary to the majority's assertion, Dr. Redlich did not testify that it is "not entirely clear" whether mental illness is a dispositional factor (majority op at 494). She expressly stated that mental illness, in general, is a well-known factor

whether [this] particular defendant's confession was or was not reliable" (19 NY3d at 161).

21. The majority asserts that this dispositional factor is not relevant because defendant "displayed no sign" (*Bedessie*, 19 NY3d at 159) when testifying "that he was impacted by the . . . dispositional factors" identified by Dr. Redlich, including cognitive impairment (majority op at 493-494). This claim is incredible for several reasons. First, the majority assumes that people with cognitive impairments present in a particular way (*see* Elizabeth F. Emens, *Framing Disability*, 2012 U Ill L Rev 1383, 1402 [2012] ["Outside perspectives on disability tend to hold disability at arm's length, to try to create distance from it, both physically and psychologically"]). Second, it is impossible to discern from a written record whether a person "displayed" any "signs." That is why this Court should not reach such credibility determinations and leave such findings to the factfinder—the jury. Finally, even if this Court could reach whether defendant displayed any "signs" of his cognitive impairment, such a finding would be irrelevant. The relevant question is whether defendant's cognitive impairment affected him at the time of the interrogation, not while he was testifying, presumably after taking his medication and being prepared by counsel.

because people with mental illness are “more prone to confusion” and “have concentration problems” (see e.g. Redlich et al., *Comparing True and False Confessions* at 398 [“Mental impairment is a commonly recognized risk factor for true and false confessions”]). The White Paper referenced by Dr. Redlich and submitted in support of defendant’s request to present this expert testimony holds the same view (see White Paper at 21-22). Dr. Redlich also candidly acknowledged that the “evidence is not entirely clear” as to the effects of *specific* mental illnesses but that there is “some evidence that people with depression and symptoms of anxiety” are more likely to falsely confess (see e.g. Gisli H. Gudjonsson et al., *Custodial Interrogation, False Confession and Individual Differences: A National Study among Icelandic Youth*, 41 *Personality & Individual Differences* 49, 55-57 [2006]). Dr. Redlich’s alleged equivocation as to mental illness should have been grist for cross-examination at trial. Indeed, such a cross-examination might have effectively undermined the weight of her opinion with the jury. But it could not serve as a basis to conclude that she was not qualified to testify on the matter. Again, the majority substitutes its own weight and credibility determinations for what should have been a determination by the finders of fact.

The majority also points to additional factors that Dr. Redlich did not explicitly address in her testimony and that might have undermined defendant’s claim that his confession was coerced, including that the bulk of false confessions discussed in one study cited in the White Paper were by people who were 25 years old or younger and that defendant had a prior criminal history (see majority op at 494, citing White Paper at 5). It was not defendant’s burden to address each and every dispositional factor that could conceivably affect the likelihood of a false confession. As with the mental illness factor, the prosecution could have cross-examined Dr. Redlich, or proffered the testimony of a rebuttal expert, to explain why defendant’s prior criminal history and age undermined his claim of a false confession.

Dr. Redlich made clear that research methodologies used in the field—such as self-reporting studies—are generally accepted. That there is “no prevalence rate” for false confessions, as the majority notes (*id.* at 494), is irrelevant. Not every field of scientific inquiry can produce prevalence rates with certainty, nor is a “prevalence rate” necessary to determine scientific validity (see APA Dictionary of Psychology, validity [<https://>

dictionary.apa.org/validity] [“Validity has multiple forms, depending on the research question and on the particular type of inference being made”). Likewise, the *Frye* court’s conclusion that social sciences methodologies lack an error rate might be relevant under *Daubert* (see e.g. *United States v Begay*, 497 F Supp 3d 1025, 1076-1077 [D NM 2020] [finding, under *Daubert* standard, that false confession research has an “unacceptably high rate of error”]), but not under *Frye*.

If all this were not enough to lay bare the deficiencies in the majority’s analysis, the assertion that Dr. Redlich “expressed significant uncertainty as to the applicability of laboratory-like studies to real-life custodial interrogation” (majority op at 494) reveals a further misunderstanding of the *Frye* standard. Presumably, the majority is referring to the *Frye* court’s conclusion that Dr. Redlich’s Alt Key and Cheating Paradigm studies were unpersuasive. The limitations on these earlier studies did not undermine the evidence presented on dispositional and situational factors generally recognized by the scientific community. The early studies are an example of the evolution of the science, not evidence that the identified factors have been rejected as factors present in false confessions. Indeed, they are paradigms in laboratory research, not the culmination of the current scientific literature. Moreover, as Dr. Redlich testified, while laboratory studies might not be generalizable to the field in all circumstances, researchers engage a variety of methods to ensure that they can produce generalizable results (see generally Alan Bryman, *Social Research Methods* 41 [4th ed 2012] [(C)hoices of research strategy, design, or method have to be dovetailed with the specific research question being investigated]). In any case, the Court has emphasized that some disagreement in the relevant scientific community does not itself support preclusion of the expert testimony (see *Cornell*, 22 NY3d at 780; *Wesley*, 83 NY2d at 423; *People v Middleton*, 54 NY2d 42, 49 [1981]).

In sum, the evidence at the *Frye* hearing established Dr. Redlich’s undisputed credentials and standing in the field of false confessions research, including on situational and dispositional factors. The evidence also established that, at the time of the hearing, the phenomenon of false confessions was generally accepted in the relevant scientific community; there was scientific consensus in the literature on the situational and dispositional factors that increase the likelihood of false confession; the general public did not fully understand the fac-

tors that result in a false confession; and several of those factors were present in defendant's case. The *Frye* court abused its discretion in denying the motion to present such expert testimony to the jury, and the Appellate Division erroneously concluded that the testimony was not relevant to the circumstances of defendant's case. The majority takes a different approach, decoupling and cabining each of the situational and dispositional factors and explaining why each, on its own, might not be good enough evidence of a false confession. That is the job of the jury, not this Court.

Preclusion of Dr. Redlich's testimony was not harmless beyond a reasonable doubt (*see People v Foster-Bey*, 35 NY3d 959, 961 [2020] [applying harmless error in the *Frye* context]). The evidence was not overwhelming. Indeed, defendant presented strong evidence of his innocence based on the differences in his age and his physical and facial appearance compared to the victim's description of the robber. He also presented medical evidence of his mental and physical condition. The confession was critical to the prosecution, and powerful evidence of defendant's guilt, even if, and perhaps especially if, the jury doubted the accuracy of the eyewitness identification. Defendant disputed the detective's description of the interrogation and defendant's statements. Thus, the expert testimony would have assisted the jury in reaching a verdict by providing specialized knowledge on false confessions and the factors associated with that phenomenon as they applied to defendant's case. Under the circumstances, and by any measure, it cannot be said that the error was harmless (*see generally People v Crimmins*, 36 NY2d 230, 237-238 [1975]; *People v Rouse*, 34 NY3d 269, 281 [2019]).

B. Eyewitness Identification Expert Testimony

The trial court also erred in denying defendant's request to present expert testimony on cross-racial eyewitness identification. In *LeGrand*, this Court held that "it is clear that expert testimony regarding the factors that affect the accuracy of eyewitness identifications, in the appropriate case, may be admissible in the exercise of a court's discretion. Moreover, there are cases in which it would be an abuse of a court's discretion to exclude expert testimony on the reliability of eyewitness identifications" (8 NY3d at 456).

Recently, in *People v Boone*, we reaffirmed the fact that "[m]istaken eyewitness identifications are the single greatest

cause of wrongful convictions in this country, responsible for more wrongful convictions than all other causes combined” (30 NY3d 521, 527 [2017] [internal quotation marks and ellipsis omitted]). We explained that the “cross-race effect” contributes to misidentifications to a troubling degree:

“Social scientists have found that the likelihood of misidentification is higher when an identification is cross-racial. Generally, people have significantly greater difficulty accurately identifying members of other races than members of their own race. According to a meta-analysis of 39 psychological studies of the phenomenon, participants were ‘1.56 times more likely to falsely identify a novel other-race face when compared with performance on own-race faces’ ” (*id.* at 528, quoting Christian A. Meissner & John C. Brigham, *Thirty Years of Investigating the Own-Race Bias in Memory for Faces: A Meta-Analytic Review*, 7 Psych, Pub Pol’y & L 3, 15 [2001]).

The Court has announced a broad concern regarding “the potential for misidentification when a person observes an assailant—usually a stranger—for the first time in a highly stressful environment” (*People v Muhammad*, 17 NY3d 532, 546 [2011], citing *People v Santiago*, 17 NY3d 661 [2011] [decided on the same day]; see also *People v Abney*, 13 NY3d 251, 268-269 [2009] [distinguishing *Abney*’s companion case, *Allen*, in which the “defendant was not a stranger” to the robbery victims]). The cross-race effect and an eyewitness’ familiarity with a suspect, as well as the degree of event stress, are all factors that have been identified by this Court as being counterintuitive to a jury’s understanding of human behavior and memory (see e.g. *Santiago*, 17 NY3d at 672; *Abney*, 13 NY3d at 268; *Lee*, 96 NY2d at 162; cf. e.g. *Norstrand*, 35 Misc 3d 367; *People v Williams*, 14 Misc 3d 571 [Sup Ct, Kings County 2006]; *People v Radcliffe*, 196 Misc 2d 381 [Sup Ct, Bronx County 2003]). They are also factors generally recognized within the scientific community as potentially affecting eyewitness identification accuracy, which are not well understood by the general public, and therefore the proper subject of expert testimony (see e.g. Jules Epstein, *The Great Engine That Couldn’t: Science, Mistaken Identifications, and the Limits of Cross-Examination*, 36 Stetson L Rev 727 [2007]; Richard S. Schmechel et al., *Beyond the Ken? Testing Jurors’ Understand-*

ing of Eyewitness Reliability Evidence, 46 *Jurimetrics J* 177 [2006]; Charles A. Morgan III et al., *Accuracy of Eyewitness Memory for Persons Encountered during Exposure to Highly Intense Stress*, 27 *Int'l JL & Psychiatry* 265 [2004]; Peter N. Shapiro & Steven Penrod, *Meta-Analysis of Facial Identification Studies*, 100 *Psych Bull* 139 [1986]). Defendant's proffer clearly met the standard articulated in *LeGrand*. The identification was by a stranger, EY, who was of a different race than defendant and based, in part, on observations of the robber made under stressful conditions involving a weapon.

The trial court denied defendant's request, not because the expert testimony was unreliable or jury instructions would suffice, but because, in the court's assessment, the surveillance video and defendant's confessions corroborated the identification. In *LeGrand* the Court held that "the admissibility of such evidence would . . . depend upon the existence of sufficient corroborating evidence to link defendant to the crime. In the event that sufficient corroborating evidence is found to exist, an exercise of discretion excluding eyewitness expert testimony would not be fatal to a jury verdict convicting defendant" (8 NY3d at 459). Assuming that the expert evidence is otherwise admissible, "it is an abuse of discretion to deny a motion for expert testimony on eyewitness identifications in a case that depends solely on the accuracy of eyewitness testimony if there is no corroborating evidence connecting the defendant to the commission of the charged crime" (*Muhammad*, 17 NY3d at 545-546).

Here, the trial court manifestly abused its discretion as a matter of law. Contrary to the majority's conclusion, the surveillance video, while "well-lit" (majority op at 480), does not clearly depict the robber's face or other dispositive identification characteristics.

To the extent that the District Attorney contends that the jurors were able to compare the video images to their in-person observations of defendant as part of their fact-finding role, this argument ignores the potential effect of cross-racial identification on the jury's deliberations. In other words, like an eyewitness, jurors are subject to the same difficulties in discerning physical characteristics of a person of a different race (see CJI2d[NY] Implicit Bias—Final Instructions ["We all develop and hold unconscious views on many subjects. Some of those unconscious views may come from stereotypes and attitudes about people or groups of people that may impact on a person's

thinking and decision-making without that person even knowing it”)].²²

Nor can the defendant’s confessions corroborate the eyewitness identification where defendant disputes the voluntariness of those confessions. Indeed, the CPL instructs that “a written or oral confession, admission, or other statement made by a defendant with respect to [the defendant’s] participation . . . in the offense charged, may not be received in evidence against [the defendant] in a criminal proceeding if such statement was involuntarily made” (CPL 60.45 [1]). And, as I have discussed (*see supra* at 525), the error was not harmless (*see Crimmins*, 36 NY2d at 241-242).

The error here is an example of how the case law has strayed from the justification for the corroboration prong of *LeGrand*. The majority has missed an opportunity to clarify the law and instead leads us further down a wrong path. Arguably, corroboration is an appropriate factor where there has been a trial and the identification evidence has gone through “the traditional truth-testing devices of the adversary process” (*Harris v New York*, 401 US 222, 225 [1971]). As the Court clarified in *People v McCullough*:

“The decision to admit or exclude expert testimony concerning factors that affect the reliability of eyewitness identifications rests within the sound discretion of the trial court. When the motion is considered during the People’s case-in-chief, the trial court performs this function by weighing the request to introduce such testimony ‘against other relevant factors, such as the centrality of the identification issue and the existence of corroborating evidence’ ” (27 NY3d 1158, 1161 [2016] [citation omitted], quoting *Lee*, 96 NY2d at 163; *see also LeGrand*, 8 NY3d at 459).

“Courts reviewing such a determination simply examine

22. This Criminal Jury Instruction was recently adopted following the recommendation of the Special Adviser on Equal Justice to the Unified Court System (*see Report from the Special Adviser on Equal Justice in the New York State Courts* at 84 [“We recommend that OCA request that a new or standing committee, such as the Committee on Criminal Jury Instructions, develop model jury instructions on implicit bias for both civil and criminal cases”], available at <https://nycourts.gov/whatsnew/pdf/SpecialAdviserEqualJusticeReport.pdf>). The majority undermines the import of this new instruction (*see* n 24, *infra*).

whether the trial court abused its discretion in applying the ‘standard balancing test of prejudice versus probative value’ ” (27 NY3d at 1161, quoting *People v Powell*, 27 NY3d 523, 531 [2016]). But on a pretrial motion, as here, a court cannot consider whether the identification is corroborated by proffers of hotly-contested evidence that turns on credibility issues and fact determinations because those matters may only be resolved by the jury after the evidence is admitted at trial. Indeed, because there is no evidence for the factfinder to weigh until trial, what appears a proffer of strong evidence of guilt may wither once subjected to cross-examination.²³

The Innocence Project in its amicus brief persuasively argues that research indicates that the notion of corroboration “rests upon an unscientific assumption” that corroborating evidence itself is not subject to what is known as “forensic confirmation bias” (see e.g. Karl Ask et al., *The ‘Elasticity’ of Criminal Evidence: A Moderator of Investigator Bias*, 22 Applied Cognitive Psych 1245 [2008]). Like all people, forensic analysts exhibit cognitive biases, including confirmation bias, whereby they credit evidence that supports their conclusions, and discount evidence that is inconsistent with their preconceived beliefs (see e.g. Saul M. Kassin et al., *The Forensic Confirmation Bias: Problems, Perspectives, and Proposed Solutions*, 2 J Applied Rsch Memory & Cognition 42, 45-48 [2013]; Itiel E. Dror et al., *Context Management Toolbox: A Linear Sequential Unmasking [LSU] Approach for Minimizing Cognitive Bias in Forensic Decision Making*, 60 J Forensic Sci 1111 [2015] [outlining

23. The majority’s reliance on *People v Scarola* (71 NY2d 769, 777 [1988]) is misplaced (see majority op at 496 n 16). *Scarola* resolved two appeals in which the respective defendants challenged the denial at trial of evidence proffered in support of their claims of misidentification, not a pretrial determination on whether there was corroboration of the eyewitness’ identification. On the question actually at issue in *Scarola*, after “[c]onsidering the inherent lack of trustworthiness of defendants’ proposed exemplars and the difficulty of testing the authenticity of any alleged speech impediment they displayed” (*Scarola*, 71 NY2d at 777), the Court concluded that the trial courts did not abuse their discretion in rejecting the proffers. According to the Court “voice exemplar evidence . . . is relatively easy to feign” (*id.* at 778). *Scarola* merely states black-letter law: admissible evidence may be excluded if it is more prejudicial than probative. Contrary to the majority’s characterization of my analysis here, I do not maintain that all evidence must be admitted at trial (see majority op at 496 n 16). I merely explain what should be obvious from our prior case law, that a court cannot in a pretrial context decide that evidence to be proffered at trial corroborates eyewitness testimony when the jury alone must make that very same determination as part of its fact-finding and credibility determinations.

taxonomy of cognitive biases that affect forensic examiners]; Daniel C. Murrie et al., *Perceptions and Estimates of Error Rates in Forensic Science: A Survey of Forensic Analysts*, 302 *Forensic Sci Int'l* 109887 [2019] [discussing forensic analysts' wrongful perceptions of low false positive rates]). Amicus notes that these cognitive biases also infect how courts interpret evidence, creating "an 'investigative echo chamber' " or "bias snowball effect" whereby misinterpreted evidence compounds and affects how courts evaluate corroboration (Kassin et al., *The Forensic Confirmation Bias* at 45, 46). In this appeal, for example, if the trial court had assumed that defendant's confession was not false, it would have been predisposed to view the surveillance footage as corroborative of the eyewitness identification, and likewise for the converse. Thus, even after the adversarial process, a court might be susceptible to the same biases in evaluating whether evidence is corroborative under *LeGrand* and *McCullough*.²⁴

C. Defendant's Convictions Must be Reversed

For the reasons I have discussed, the Appellate Division order affirming defendant's conviction, upon a jury verdict, of first-degree robbery should be reversed and a new trial ordered. The order affirming the conviction upon defendant's plea to first-degree robbery of the second victim should also be reversed and the case remitted for further proceedings on the indictment. Prior to entering his plea, the court informed defendant that the sentences would run concurrently and that the court and the People agreed that the plea judgment would be "reversed . . . and restored to its original state" if the trial judgment were reversed. Given the court's representations, the appeal from the guilty plea count is contingent on resolution of the appeal from the trial judgment. As such, because the trial

24. The majority states that "a trial court is fully capable of making objective legal determinations, even if it is aware of information that is inadmissible before the finder of fact" (majority op at 496 n 16, citing *People v Moreno*, 70 NY2d 403, 406 [1987]). The majority bypasses the discussion here entirely. The trial court here did not make an objective legal determination but rather determined matters of credibility against defendant and in doing so exceeded the court's authority by invading the province of the jury. Put differently, defendant's confession and the video could only corroborate the eyewitness' identification if the confession was found to be truthful and the video had been determined as clearly depicting defendant's image—determinations that were solely within the province of the jury. Even if that were not the case, implicit bias training for lawyers and judges is now commonplace, putting to rest any suggestion that legal professionals are immune to this well-documented and relatively automatic human behavior.

conviction should be reversed, the plea conviction cannot stand (see *People v Williams*, 17 NY3d 834, 836 [2011], citing *People v Fuggazzatto*, 62 NY2d 862, 863 [1984]).

IV.

Defendant sought to establish his innocence with the aid of two highly credentialed and respected researchers, who would have informed the jury how various factors that have gained general acceptance in their respective fields might have contributed to a false confession and a misidentification, thus aiding the jury in its assessment of the evidence. In my view, the court erred in concluding that the science on false confessions was not generally accepted and that the identification was corroborated by the confession and the videos. The error in denying defendant's requests to call both experts was not harmless. We are long past equivocating about the reality of false confessions and eyewitness misidentification, giving a wink and a nod to science all the while affirming convictions where experts are precluded from testifying. It's time to put this research before those who hold a person's liberty in their hands so that they may judge for themselves.

Judges GARCIA, SINGAS and CANNATARO concur; Judge RIVERA dissents in an opinion, in which Judges FAHEY and WILSON concur.

Order affirmed.

[182 NE3d 1068, 162 NYS3d 276]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v DONOVAN
BUYUND, Respondent.

Argued October 6, 2021; decided November 23, 2021

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered November 13, 2019. The Appellate Division modified, on the law, a judgment of the Supreme Court, Kings County (Ruth Shillingford, J.), which had (1) convicted defendant, upon a plea of guilty, of burglary in the first degree as a sexually motivated felony; (2) sentenced defendant, as a second felony offender, to a determinate term of imprisonment of 11 years followed by 10 years of postrelease supervision; and (3) certified defendant as a sex offender pursuant to the Sex Offender Registration Act (SORA). The modification consisted of vacating the requirements that defendant register as a sex offender pursuant to SORA and pay the \$50 sex offender registration fee. The Appellate Division affirmed the judgment as modified.

People v Buyund, 179 AD3d 161, reversed.

HEADNOTE

Crimes — Appeal — Preservation of Issue for Review — Illegal Sentence Exception — Sex Offender Certification

The illegal sentence exception to the preservation requirement did not apply where defendant first raised on intermediate appeal a challenge to the legality of his certification as a sex offender subject to the requirements of the Sex Offender Registration Act (SORA) (Correction Law art 6-C). Sex offender certification is effectuated by the court pursuant to Correction Law § 168-d and is not addressed in either the Criminal Procedure Law or title E of the Penal Law, which governs sentencing and comprehensively addresses sentencing alternatives. SORA is a remedial civil statute and not punitive in nature. Pursuant to Correction Law § 168-d, the certification and the inclusion thereof in the order of commitment for a defendant who receives a prison sentence constitutes the beginning of a statutory procedure that involves Division of Criminal Justice Services and culminates in a SORA hearing and risk determination, which in turn is subject to a civil appeal process. Any attempt to isolate the consequences of the component parts of SORA—certification, registration, risk-level determination, and notification requirements—and deem the court's initial certification to be part of the sentence would be impracticable and unworkable.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Criminal Law §§ 735, 831, 834.

CARMODY-WAIT 2d Appeals in Criminal Cases §§ 207:5, 207:65, 207:146, 207:156.

LAFAVE, ET AL., CRIMINAL PROCEDURE (4th ed) §§ 26.3, 27.5.

McKINNEY'S, Correction Law § 168-d.

NY JUR 2d Criminal Law: Procedure §§ 3508, 3556, 3577, 3711, 3721.

ANNOTATION REFERENCE

Validity, Construction, and Application of State Sex Offender Registration Statutes Concerning Level of Classification—Initial Classification Determination. 65 ALR6th 1.

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Query: certification /p sex /s offender /p appeal

POINTS OF COUNSEL

Eric Gonzalez, District Attorney, Brooklyn (Julian Joiris and Leonard Joblove of counsel), for appellant. I. Defendant's claim regarding his certification as a sex offender pursuant to the Sex Offender Registration Act is unpreserved for appellate review, because defendant did not assert that claim in the Supreme Court, and because the claim does not fall within the illegal-sentence exception to the preservation requirement. (*People v Nieves*, 2 NY3d 310; *People v Hernandez*, 93 NY2d 261; *People v Gravino*, 14 NY3d 546; *People v Lisle-Cannon*, 31 AD3d 467; *People v Smith*, 15 NY3d 669; *People v Vere*, 44 AD3d 690; *People v Perez*, 35 NY3d 85; *People v Stevens*, 91 NY2d 270; *People v Coss*, 19 AD3d 943; *People v Brooks*, 308 AD2d 99.) II. Defendant's conviction of burglary in the first degree as a sexually-motivated felony subjects him to registration pursuant to the Sex Offender Registration Act. (*People v Santi*, 3 NY3d 234; *People v Mills*, 11 NY3d 527; *Matter of Roballo v Smith*, 63 NY2d 485; *Matter of Branford House v Michetti*, 81 NY2d 681; *People v Hernandez*, 61 Misc 3d 534; *People v Lawrence*, 56 Misc 3d 752.)

Paul Skip Laisure, Appellate Advocates, New York City (Ava C. Page of counsel), for respondent. The Appellate Division correctly held that, under the plain language of Correction Law § 168-a (2) (a), first-degree burglary as a sexually-motivated

felony is not a registerable offense because it is not an enumerated sex offense. (*Matter of New York County Lawyers' Assn. v Bloomberg*, 19 NY3d 712; *State of New York v Patricia II.*, 6 NY3d 160; *People v Anonymous*, 34 NY3d 631; *People v Roberts*, 31 NY3d 406; *People v Robinson*, 95 NY2d 179; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *People v Tychanski*, 78 NY2d 909; *People v Finnegan*, 85 NY2d 53; *People v Jackson*, 87 NY2d 782; *Matter of Jose R.*, 83 NY2d 388.)

OPINION OF THE COURT

CANNATARO, J.

On this appeal, we are asked to determine whether the illegal sentence exception to the preservation requirement applies when a defendant first raises on intermediate appeal a challenge to the legality of his certification as a sex offender subject to the requirements of the Sex Offender Registration Act (SORA) (Correction Law art 6-C). We conclude that the statutory question reached by the Appellate Division was not properly preserved and that the illegal sentence exception does not apply, and therefore reverse.

I.

In June 2014, defendant Donovan Buyund entered the apartment of the victim while she slept. Defendant placed his hand over her mouth and his forearm on her chest, obstructing her breathing. Defendant exposed his penis and attempted to insert it into her vagina and mouth. As the victim tried to flee, she struggled with defendant and fell down a staircase.

Defendant was charged by indictment with burglary in the first degree as a sexually motivated felony (Penal Law §§ 130.91, 140.30 [2]), burglary in the first degree (Penal Law § 140.30 [2]), attempted rape in the first degree (Penal Law §§ 110.00, 130.35 [1]), and other related offenses. Defendant thereafter pleaded guilty to the top count of the indictment—burglary in the first degree as a sexually motivated felony—in exchange for a promised prison term of 11 years followed by 10 years of postrelease supervision. Most notably for present purposes, the court also advised defendant that he would have to register pursuant to SORA upon his release from prison. The People objected to the sentence as being too lenient. Defendant purportedly waived his right to appeal as part of the plea bargain.

Supreme Court thereafter sentenced defendant to the promised prison term and postrelease supervision requirement.

As required by Correction Law § 168-d, the court also certified defendant as a sex offender as that term is used in Correction Law § 168-a and informed him that he would be required to register with the Division of Criminal Justice Services (DCJS) before his release from prison. The certification was included in the order of commitment. Defendant did not object to his certification as a sex offender during the plea or at sentencing.

On appeal to the Appellate Division, defendant argued for the first time that his certification as a sex offender was unlawful because his crime of conviction is not an enumerated registerable sex offense under Correction Law § 168-a (2) (a). The People countered that defendant's argument was unpreserved and, in any event, meritless because Correction Law § 168-a (2) (a) (iii) includes sexually motivated felonies as defined in Penal Law § 130.91 among its list of registerable sex offenses.

The dispute at the Appellate Division focused on a 2007 amendment to the Correction Law, enacted as part of the Sex Offender Management and Treatment Act (SOMTA) (L 2007, ch 7, as amended) in order "to enhance public safety by allowing the State to continue managing sex offenders upon the expiration of their criminal sentences" (*see* Governor's Program Bill Mem, Bill Jacket, L 2007, ch 7 at 5, 2007 NY Legis Ann at 7; Senate Introducer's Mem in Support, Bill Jacket, L 2007, ch 7 at 15). As relevant here, the legislature amended the definition of a SORA-registerable "sex offense" in Correction Law § 168-a (2) to read as follows:

"(a) (i) a conviction of or a conviction for an attempt to commit any of the provisions of sections 120.70, 130.20, 130.25, 130.30, 130.40, 130.45, 130.60, 230.34, 230.34-a, 250.50, 255.25, 255.26 and 255.27 or article two hundred sixty-three of the penal law, or section 135.05, 135.10, 135.20 or 135.25 of such law relating to kidnapping offenses, provided the victim of such kidnapping or related offense is less than seventeen years old and the offender is not the parent of the victim, or section 230.04, where the person patronized is in fact less than seventeen years of age, 230.05, 230.06, 230.11, 230.12, 230.13, subdivision two of section 230.30, section 230.32, 230.33, or 230.34 of the penal law, or section 230.25 of the penal law where the person prostituted is in fact less than seventeen years old, or (ii) a convic-

tion of or a conviction for an attempt to commit any of the provisions of section 235.22 of the penal law, or (iii) a conviction of or a conviction for an attempt to commit any provisions of the foregoing sections committed or attempted as a hate crime defined in section 485.05 of the penal law or as a crime of terrorism defined in section 490.25 of such law *or as a sexually motivated felony defined in section 130.91 of such law*" (emphasis added).

The 2007 amendment added the phrase "or as a sexually motivated felony defined in section 130.91 of such law," which is the language at the heart of the parties' dispute below.¹ Defendant argued that the added language limits the SORA-registerable crime of a sexually motivated felony to only those specified felonies that are both defined in section 130.91 and one of the "foregoing sections" of the Penal Law cited in subparagraphs (i) and (ii) of Correction Law § 168-a (2) (a). This reading would exclude approximately 20 specified sexually motivated felonies listed in Penal Law § 130.91 from being SORA-registerable offenses, including burglary in the first degree as a sexually motivated felony.²

The Appellate Division agreed with defendant that under the "clear and unambiguous" language of Correction Law § 168-a (2) (a) "burglary in the first degree as a sexually motivated felony is not a registerable sex offense under SORA" (179 AD3d 161, 169 [2d Dept 2019]). Rejecting the People's contention that the legislature made clear its intent that the purpose of amending the list of SORA-registerable crimes under Correction Law § 168 was "so that a defendant convicted of a Sexually Motivated Felony will be required to register under Megan's Law [SORA]" (Governor's Program Bill Mem, Bill Jacket, L 2007, ch 7 at 6), the Court nonetheless concluded that, although "it may have been the intent of the legislature to require those individuals convicted of all the specified of-

1. The 2007 enactment also amended the Penal Law by adding a new crime under section 130.91 entitled "[s]exually motivated felony," which is committed "when [a person] commits a specified offense for the purpose, in whole or substantial part, of his or her own direct sexual gratification" (Penal Law § 130.91 [1]). The specified offenses include burglary in the first degree as defined in Penal Law § 140.30 (*see* Penal Law § 130.91 [2]). The amendment to the Correction Law discussed herein expressly references sexually motivated felonies as defined in Penal Law § 130.91.

2. Notwithstanding the holding below, these offenses are still defined in Penal Law § 130.91 as sexually motivated felonies and therefore require sentencing as felony sex offenses pursuant to Penal Law § 70.80.

fenses under Penal Law § 130.91 (2) to register under SORA, the language of Correction Law § 168-a (2) (a) as amended did not effectuate that intent” (179 AD3d at 170).

Only after its statutory analysis did the Appellate Division address preservation. As to preservation, the Court stated that defendant’s certification and the requirement that he register as a sex offender “violated his right to be sentenced as provided by law” (*id.*, citing *People v Fuller*, 57 NY2d 152, 156 [1982]), thereby impliedly holding that SORA certification is part of the sentence. The Court modified the judgment by vacating the requirements that defendant register as a sex offender and pay the sex offender registration fee, and otherwise affirmed (*id.* at 171).

A Judge of this Court granted the People leave to appeal (35 NY3d 1043 [2020]).

II.

Before this Court, the People assert that defendant failed to preserve his claim that he was not subject to certification as a sex offender under SORA. They argue that certification pursuant to SORA is not part of the sentence and, thus, a challenge to certification does not fall within the illegal sentence exception and, moreover, does not survive a valid waiver of the right to appeal.

“Because this Court’s jurisdiction is limited to review of issues of law, our first task is to assess whether the arguments raised on appeal present questions that were preserved by specific objection in the trial court” (*People v Nieves*, 2 NY3d 310, 315 [2004]). “We have recognized ‘a narrow exception to the preservation rule’ where a court exceeds its powers and imposes a sentence that is illegal in a respect that is readily discernible from the trial record” (*id.* [citation omitted], quoting *People v Samms*, 95 NY2d 52, 56 [2000]; see *People v Santiago*, 22 NY3d 900, 903-904 [2013]). However, “not all claims arising during a sentencing proceeding fall within the exception” (*Nieves*, 2 NY3d at 315).

The applicability of the exception here depends on whether SORA certification is part of the sentence. In *People v Hernandez*, we held that certification as a sex offender was appealable

as part of the judgment of conviction (93 NY2d 261, 267 [1999]).³ We reasoned that certification is “rendered in open court, together with other elements of disposition” and “form[s] an integral part of the conviction and sentencing” (*id.*). Moreover, we observed that SORA certification is effected by operation of law upon conviction, is pronounced at sentencing, and must be included in the order of commitment for those defendants sentenced to prison, “making the SORA certification an inescapable part of the *conviction*” and “definitionally incorporated within the judgment itself” (*id.* at 269 [emphasis added]). Noting that the issue presented was “the appealability, *as part of the judgment of conviction*, of [defendant’s] certification as a ‘sex offender’ ” (*id.* at 265 [emphasis added]), we left open the question of whether certification was part of a defendant’s sentence, stating that, “[e]ven assuming that SORA certifications were deemed not a part of the *sentence*, we are satisfied that they are certainly part of the *judgment*” (*id.* at 268).

The Court revisited *Hernandez* in *People v Smith*, which established that registration and notice requirements under New York City’s Gun Offender Registration Act (GORA) “cannot be deemed a technical or integral part of a defendant’s sentence nor be incorporated into the judgment of conviction” (15 NY3d 669, 674 [2010]).⁴ Both *Hernandez* and *Smith* state that a convicted defendant can appeal their SORA certification as a component of the judgment of conviction. In dicta contained in a footnote, the *Smith* Court further stated that certification as a sex offender under SORA “comprises part of a sentence” (15 NY3d at 674 n 2). This observation, however, was an overly expansive interpretation of the holding in *Hernandez* that certification as a sex offender is appealable as part of the *judgment of conviction*. In any event, the dicta in *Smith*, in addition to being unnecessary for resolution of the issues in *Smith*, did not expand upon the holding of *Hernandez*.

People v Nieves, involving orders of protection, is also instructive on the question of which claims fall within the illegal

3. The SORA issue in *Hernandez* was preserved for appellate review, so no reviewability issue was present in that case (93 NY2d at 266).

4. While the dissent perceives a lack of parallelism with our prior decisions discussing nonpunitive consequences of a conviction that can take place at sentencing, such as orders of protection, there can be no doubt that the dissent fully embraces *Smith*, a case involving New York City’s gun registration law. As to *Smith*, the dissent improperly elevates dicta in that decision to the status of a central tenet of our jurisprudence on what constitutes part of a criminal sentence.

sentence exception. In *Nieves*, we concluded that, “[l]ike the SORA certification at issue in *Hernandez*, . . . orders of protection issued at sentencing are part of the final adjudication of the criminal action involving defendant” and may be challenged on direct appeal from the judgment of conviction (2 NY3d at 315). We unanimously held that, although orders of protection issued at sentencing are “appealable as part of the judgment” (*id.* at 312), they are nevertheless “not a part of the sentence imposed” (2 NY3d at 316). In reaching this conclusion, we explained that the Criminal Procedure Law does not characterize orders of protection as a component of the sentence and that the relevant statutory scheme and legislative history indicate that the primary intent of orders of protection is non-punitive (*see id.* at 316). As further indication of the nonpunitive nature of orders of protection, we observed that title E of the Penal Law, which governs sentencing and “comprehensively addresses sentencing alternatives,” makes no mention of orders of protection as a permissible sentence (*id.*). Therefore, we held that the illegal sentence exception could not be applied to challenges to orders of protection.

Similarly, here, sex offender certification is effectuated by the court pursuant to Correction Law § 168-d and is not addressed in either the Criminal Procedure Law or title E of the Penal Law. Certification for a defendant sentenced to a term of imprisonment, as here, is the initial step in a procedure under the SORA statutory scheme that is handled by prison officials, DCJS, and the Board of Examiners of Sex Offenders. Moreover, we have repeatedly stated that SORA and SOMTA are remedial civil statutes and not punitive in nature (*see People v Harnett*, 16 NY3d 200, 206 [2011]; *Matter of North v Board of Examiners of Sex Offenders of State of N.Y.*, 8 NY3d 745, 752 [2007]; *People v Windham*, 10 NY3d 801, 802 [2008]; *Doe v Pataki*, 120 F3d 1263 [2d Cir 1997]; *see also Smith v Doe*, 538 US 84 [2003] [concluding that retroactive application of a sex offender registration requirement survived an Ex Post Facto Clause challenge as the regulatory scheme was nonpunitive]). Following our reasoning in *Nieves*, then, SORA certification is not part of a sentence and the illegal sentence exception to the preservation requirement does not apply to challenges to certification as a sex offender.

Our conclusion is supported by *People v Gravino*, in which we held that SORA registration and the terms and conditions of probation are collateral, rather than direct, consequences of

a guilty plea, such that the court's failure to mention SORA during a plea proceeding does not render the defendant's guilty plea involuntary (14 NY3d 546, 559 [2010]). In *Gravino*, we explained that direct consequences are component elements of a sentence that have "a definite, immediate and largely automatic effect on [a] defendant's punishment" whereas collateral consequences "are peculiar to the individual and generally result from the actions taken by agencies the court does not control" (*Gravino*, 14 NY3d at 553-554 [internal quotation marks and citations omitted]). We contrasted postrelease supervision, which under the Penal Law is a component of a sentence of imprisonment and an integral part of the punishment, to SORA registration, which we reiterated is a nonpenal consequence of a remedial statute intended to prevent future crime (*see id.* at 556). In addition, we observed that SORA risk-level determinations are not part of a defendant's sentence but rather are collateral consequences of a conviction for a sex offense, which depend on actions taken by an independent administrative agency and are unknown at the time the court accepts the guilty plea (*id.*; *see Windham*, 10 NY3d at 802).

From the foregoing, it is evident that the entire SORA statutory scheme is designed to have a remedial and nonpenal effect. Significantly, SORA and its resultant obligations are not characterized as components of sentencing in the Criminal Procedure Law or referred to in title E of the Penal Law as a permissible sentence. Moreover, under Correction Law § 168-d (1) (a), a court's "[f]ailure to include the certification in the order of commitment or the judgment of conviction shall not relieve a sex offender of the obligations imposed by [SORA]." Indeed, it is plain under Correction Law § 168-d that the certification and the inclusion thereof in the order of commitment for a defendant who receives a prison sentence constitutes the beginning of a statutory procedure that involves DCJS and culminates in a SORA hearing and risk determination, which in turn is subject to a civil appeal process. Defendant's attempt to isolate the consequences of the component parts of SORA—certification, registration, risk-level determination, and notification requirements—and deem the court's initial certification to be part of the sentence is impractical and unwork-

able.⁵ The consequences of SORA, as a whole, have already been determined to be collateral and nonpenal in this context. Thus, we conclude that SORA certification is not a part of a defendant's sentence. As such, defendant's statutory claim regarding the applicability of Correction Law § 168-a (2) (a) to the crime of burglary in the first degree as a sexually motivated felony does not fall within the illegal sentence exception to the preservation requirement and is therefore unreviewable in this Court. The Appellate Division may have authority to take corrective action in the interest of justice based upon defendant's unpreserved challenge to the legality of his certification as a sex offender, which it could also undoubtedly exercise in the rather unlikely event that a check-bouncer finds themselves certified as a sex offender as postulated by the dissent. However, this Court does not have that authority and, thus, unlike the dissent, which determines that defendant's interpretation of the statute is correct, we do not consider the merits of defendant's argument.

Accordingly, the order insofar as appealed from should be reversed and the case remitted to the Appellate Division, Second Department for further proceedings in accordance with the opinion herein.

WILSON, J. (dissenting). The criminal laws itemize impermissible conduct and specify the consequences, sometimes quite serious, for violations. When a defendant is convicted of a crime, the court prescribes a sentence, constrained by what the legislature has specified. If a defendant's sentence is not within the bounds set out by the legislature, that defendant has a right to correction on appeal.

Donovan Buyund pleaded guilty to burglary in the first degree as a sexually-motivated felony. The legislature has not included that crime among those listed as requiring certification under the Sex Offender Registration Act (SORA). Nevertheless, at sentencing the court certified Mr. Buyund as a sex

5. The Supreme Court of the United States' determination that sex offender registration and notification laws are nonpunitive "civil regulatory schemes" whose "retroactive application do[] not violate the *Ex Post Facto* Clause" furthers this point (*Smith*, 538 US at 105-106; see *Doe v Cuomo*, 755 F3d 105 [2d Cir 2014]). SORA registration and notification are not punishments such as incarceration, fines, or probation—they are imposed after the designated punishment and intended to protect the public (see *Pataki*, 120 F3d at 1283-1285). It follows that certification also would not violate the *Ex Post Facto* Clause and is not part of a defendant's sentence.

offender. Mr. Buyund's counsel did not object to that certification. On appeal, Mr. Buyund contends that, because the crime of conviction is not one to which SORA applies, that portion of the court's judgment is erroneous and should be stricken. The majority holds that Mr. Buyund cannot raise that issue on direct appeal because his counsel did not object at sentencing. The majority's logic would mean that someone convicted of, for example, passing a bad check and erroneously certified as a sex offender has no recourse unless that person objects at sentencing. That makes no sense and, as I explain later, is not consistent with our prior case law holding that the SORA *certification* (which occurs at sentencing) is part of a sentence—not to be confused with the SORA *registration* and *risk level determination*, which typically occur shortly before an incarcerated individual is released.

Several things have gone wrong in this case. Those are not good reasons to evade stare decisis:

- Mr. Buyund broke into his victim's home and attempted to rape her; she was able to fight him off. Should that crime be registerable under SORA? Probably—but that's not our job. For whatever reason—deliberate choice or inadvertence or careless drafting—the statutory language is quite clear that the crime of sexually-motivated burglary is not statutorily specified as a crime to which SORA applies.
- Mr. Buyund was charged not just with the non-certifiable crime of sexually-motivated burglary, but also with, among other things, attempted rape in the first degree (Penal Law §§ 110.00, 130.35 [1]) and attempted criminal sexual act in the first degree (Penal Law §§ 110.00, 130.50 [1]), both of which are crimes that require SORA certification. Had the People offered a plea to one of those crimes, instead of (or in addition to) sexually-motivated burglary, and Mr. Buyund accepted, this appeal would not exist. Mr. Buyund could have received the same exact sentence had he pleaded to either of those crimes, and his SORA certification would be unquestioned.
- Nothing in the record suggests that the People, defense counsel or the sentencing court recognized that the crime to which Mr. Buyund pleaded was not subject to SORA.

- The People intimate that they did not want to offer Mr. Buyund this plea, and that the court pressured them to accept it (the implication being that, even though the People did not realize that the crime of conviction was not SORA-certifiable, they would have required him to stand trial or plead to other crimes that, as luck would have had it, were SORA-certifiable).
- Mr. Buyund does not want his entire plea vacated—he just wants the SORA certification stricken.

In these highly unusual circumstances (but not in the bad check circumstance), the proper way to resolve this appeal is to disregard Mr. Buyund's preference for vacating just his SORA certification, and instead vacate his plea entirely. That would permit the People to re-prosecute him and seek a conviction, by plea or trial, to a SORA-certifiable crime with which he was charged. The proper remedy should not be determined by Mr. Buyund's wishes. If, on the other hand, Mr. Buyund means that he would rather withdraw his appeal than have his entire plea vacated, we should simply treat his appeal as withdrawn.

Instead, the majority disposes of the case on a preservation theory that both misinterprets our prior case law and throws the erroneously sentenced bad-check passer under the preservation steamroller. Because SORA registration is part of the sentence, if it has been unlawfully attached to a crime to which SORA does not apply, the sentence is illegal and appealable without preservation.

I.

Mr. Buyund was unlawfully certified as a sex offender because the crime to which he pleaded guilty—burglary in the first degree as a sexually-motivated felony—is not among the exclusive list of crimes that require sex offender certification. SORA defines as a “sex offender” any person who is convicted of a “sex offense” or a “sexually violent offense” as those terms are defined by the statute (Correction Law § 168-a [1]-[3]). As relevant here, the definition of “sex offense” in Correction Law § 168-a (2) (a) includes three subparagraphs. Subparagraphs (i) and (ii) enumerate various Penal Law provisions and state that when a defendant is convicted of violating them or convicted of attempting to violate them, those convictions constitute sex offenses. Next, in subparagraph (iii), the statute

includes in the definition of “sex offense” a “conviction of or a conviction for an attempt to commit any provisions of the foregoing sections committed or attempted as a hate crime . . . or as a crime of terrorism . . . or as a sexually motivated felony defined in section 130.91 of [the Penal Law]” (Correction Law § 168-a [2] [a] [iii] [emphasis added]). The clause “of the foregoing sections” limits the sexually-motivated felonies that count as registerable sex offenses to those specifically enumerated in subparagraphs (i) and (ii) of the statute.

The People offer an interpretation of the Correction Law that would remove the statutory limit on the kinds of sexually-motivated felonies that count as registerable sex offenses. To arrive at the People’s interpretation, one would need to add a “(iv)” and strike “as” before “a sexually motivated felony.” That is not how the statute reads.

Neither the People nor this Court can redraft the unambiguous provisions in the Correction Law; that is the legislature’s job. As the Appellate Division unanimously concluded, the statute is not ambiguous. The plain meaning of the words in the statute is that “a conviction of or a conviction for an attempt to commit any provisions of the foregoing sections” (i.e., subparagraphs [i] and [ii]) “committed . . . as a sexually motivated felony” is a “sex offense” for SORA purposes. When a statute is clear and unambiguous, courts must give effect to its plain meaning (*People ex rel. Negron v Superintendent, Woodbourne Corr. Facility*, 36 NY3d 32 [2020]; *People v Finnegan*, 85 NY2d 53, 58 [1995]). The statutory text is the clearest indicator of legislative intent and must be the starting point for any case of legislative interpretation (*Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653, 660 [2006]). When the words of a statute have a “definite meaning, which involves no absurdity or contradiction, then there is no room for construction and courts have no right to add or take away from that meaning” (*People v Roberts*, 31 NY3d 406, 418 [2018]).

Mr. Buyund pleaded to burglary in the first degree as a sexually-motivated felony, but because burglary in the first degree is not enumerated in subparagraphs (i) or (ii), his sexually-motivated felony does not constitute a “sex offense” that requires him to register as a sex offender. The majority avoids the statute’s plain language by holding that Mr. Buyund cannot raise the error on direct appeal because he failed to object to it at sentencing.

II.

Mr. Buyund argues that he was improperly certified as a sex offender and that the improper certification constitutes an unlawful sentence, triggering the exception to the general preservation rule. The majority holds that Mr. Buyund’s claim does not fall under the unlawful sentence exception to the general preservation rule because it believes certification as a sex offender, though part of a defendant’s judgment of conviction, is not part of a defendant’s sentence.¹ I disagree.

Generally, questions of law regarding rulings or instructions of a criminal court must be preserved for our Court to decide them. A defendant preserves a question of law “when a protest thereto was registered, by the party claiming error, at the time of such ruling or instruction or at any subsequent time when the court had an opportunity of effectively changing the same” (CPL 470.05 [2]).

The preservation rule, however, is not absolute; we have identified a variety of important exceptions to the rule, recognizing that certain arguments and claims must have an ear in appellate courts even if they were not properly objected to in criminal court. One exception, relevant here, is triggered when the alleged error “involve[s] the ‘essential nature’ of the right to be sentenced as provided by law” (*People v Samms*, 95 NY2d 52, 56 [2000], quoting *People v Letterlough*, 86 NY2d 259, 263 n 1 [1995]; see also *People v Fuller*, 57 NY2d 152, 156 [1982]). Thus, when a defendant claims a criminal sentence imposed is unlawful, that claim—a pure claim of law—requires no preservation (*id.*).

Our precedent makes clear that certification as a sex offender under SORA is part of a defendant’s sentence. The cases cited by the majority for its determination that SORA certification is not part of the sentence demonstrate the opposite.

We have previously explained that the initial certification as a sex offender by the criminal court upon conviction “comprises

1. Under the Criminal Procedure Law, “[a] judgment is comprised of a conviction and the sentence imposed thereon and is completed by imposition and entry of the sentence” (CPL 1.20 [15]). The Criminal Procedure Law defines “sentence” as the “imposition and entry of sentence upon a conviction” (CPL 1.20 [14]). Thus, a “judgment” includes both a conviction and the sentence for a defendant. The majority’s determination that SORA certification is part of the judgment but not the sentence means that it believes certification is part of a defendant’s (judgment of) conviction and not part of the defendant’s sentence.

part of a sentence,” a holding “clearly articulated in *People v Hernandez*” (*People v Smith*, 15 NY3d 669, 674 n 2 [2010] [citations omitted]). The majority dismisses this unequivocal language in *Smith*, offering that *Smith* is both dicta and “an overly expansive interpretation of the holding in *Hernandez*” (majority op at 538). *Smith* correctly understood *Hernandez*; the majority does not.²

In *People v Hernandez*, we held that certification under SORA is appealable and reviewable on direct appeal (93 NY2d 261, 267 [1999]). The majority misreads *Hernandez* as “le[av- ing] open the question of whether certification was part of a defendant’s sentence” (majority op at 538). In *Hernandez*, we recognized that the SORA certification “was treated and deemed by the [criminal] court as part of the plenary adjudication of defendant’s conviction and sentence” (93 NY2d at 268). The People advanced two arguments to justify their position that SORA certification was not appealable; we rejected both as follows:

“The People, on the other hand, characterize SORA certification as a nonsentence consequence of the conviction, a feature they also refer to as merely regulatory. The People additionally urge that appellate review of the dispositions prescribed under the Penal Law is distinguishable from what occurred here. This argument is unavailing because that formalistic regimentation would categorically preclude authorization for appellate review of SORA certifications merely as a result of their being prescribed within the Correction Law. We conclude that these positions and the reasons urged for them are not supportable in these circumstances” (*id.*).

In rejecting the People’s argument that SORA certification is a nonsentence consequence of the conviction, we necessarily held that it is part of the sentence; no other interpretation is possible.

2. The majority argues that this dissent “elevates dicta in [*Smith*] to the status of a central tenet of our jurisprudence on what constitutes part of a criminal sentence” (majority op at 538 n 4). I am not, however, relying on *Smith* for any holding; rather, as I discuss below, I rely on *Hernandez* itself for the holding that SORA certification is part of the criminal sentence. I discuss *Smith* because this Court in that decision, admittedly in unanimous dicta, properly describes the holding of *Hernandez*.

Without mentioning that holding, the majority instead calls attention to a subsequent passage in *Hernandez*, which the majority quotes as, “[e]ven assuming that SORA certifications were deemed not a part of the *sentence*, we are satisfied that they are certainly part of the *judgment*” (majority op at 538, citing 93 NY2d at 268). The majority argues that *Hernandez* left open whether certification is part of a defendant’s sentence, relying on that quote. The quote, however, demonstrates that *Hernandez* was merely emphasizing that *even if* one adopted the People’s argument—which the Court had emphatically rejected as “not supportable”—the SORA certification would nevertheless be appealable. Far from keeping an issue open, the statement relied on by the majority is one in which the Court, having already rejected the People’s argument, stated that the People would lose even if the Court had not rejected the People’s principal argument.³ *Smith*, therefore, and not the majority, correctly states the holding in *Hernandez*.⁴

III.

We have distinguished between SORA’s certification and its other requirements, and that distinction is key to understanding what our prior decisions say about which aspects of SORA are part of a criminal sentence. SORA’s registration and risk-level determination requirements are not part of a sentence; SORA certification is.

The SORA process has different components. First, a defendant convicted of a crime that is a registerable SORA offense is “certified” as a sex offender by the court upon conviction (Correction Law § 168-d). Then, that person must register as a sex offender (Correction Law § 168-f). A risk level is attributed to the person (Correction Law § 168-n), and the person is also subject to certain notification requirements. We drew a distinc-

3. The grammar of the quote in *Hernandez* shows that this Court believed SORA certification to be part of the sentence. The quote employs the subjunctive tense, which is “characteristically associated with subordinate clauses with a non-factual interpretation” (Rodney Huddleston & Geoffrey K. Pullum, *The Cambridge Grammar of the English Language* 88 [2002]). The quote uses the word “were” in the subjunctive tense, a use that is called “ir-realis”—“a general term applying to verb moods associated with unreality (i.e. where the proposition expressed is, or may well be, false)” (*id.*; see also Doug Coulson, *More Than Verbs: An Introduction to Transitivity in Legal Writing*, 19 *Scribes J Legal Writing* 81, 109-113 [2020]).

4. For those at home keeping score, Judge Ciparick, the author of *Smith*, was in the (unanimous) majority in *Hernandez*.

tion between SORA certification and its other components in *Hernandez*, when we distinguished the case's holding from an earlier case, *People v Stevens* (91 NY2d 270 [1998]). In *Stevens*, we held that the SORA risk-level determinations are not part of a person's sentence (93 NY2d at 270 [discussing *People v Stevens*, 91 NY2d at 277, 279]). We distinguished *Stevens* by observing that certification, not subsequent risk-level determinations, were at issue in *Hernandez*. We emphasized that difference in *People v Smith*:

“[t]he distinction between SORA registration and notice requirements, which we have held to be not part of a judgment of conviction and thus not appealable, and the initial certification as a sex offender by the trial court upon conviction, which we have held comprises part of a sentence, is clearly articulated in *People v Hernandez*” (15 NY3d at 674 n 2 [citation omitted]).

The distinction between certification and the other requirements under SORA is further evident in cases that followed *Hernandez*. In *People v Gravino*, we held that “because they are collateral rather than direct consequences of a guilty plea, Sex Offender Registration Act (SORA) registration and the terms and conditions of probation are not subjects that a trial court must address at the plea hearing” (14 NY3d 546, 550, 558 [2010]). The majority uses the *Gravino* holding to argue that “the entire SORA statutory scheme is designed to have a remedial and nonpenal effect,” rendering all of SORA, including certification, separate from a defendant's sentence (majority op at 540).⁵ Even putting aside that *Gravino* involved a completely different question—how much a defendant had to

5. The majority also relies on *People v Nieves* (2 NY3d 310 [2004]) for its argument that SORA's “remedial” nature indicates that sex offender certification is not a sentence (majority op at 538-539). In *Nieves*, the defendant contended that the orders of protection were unlawfully lengthy because, after the sentencing court entered them with fixed expiration dates based on the defendant's anticipated release date, the Department of Corrections and Community Supervision (then called the Department of Correctional Services) credited him with additional jail time, rendering the orders above the statutory maximum. He also contended that because he was acquitted of the assault charges, his shooting witnesses were not victims, but rather witnesses entitled to less protection from the court. We held that the challenges he raised to the protective orders could be raised on direct appeal, but needed to be preserved. As to preservation, we noted that an exception to the preservation rule exists “where a court exceeds its powers and imposes a sentence that is illegal in a respect that is readily discernible from the trial record” (2

(n. cont'd)

know about SORA to render a guilty plea valid—even as to that issue, *Gravino* discussed knowledge of the collateral consequences of registration and risk-level determinations that occur when a defendant nears release from prison—not certification itself, which takes place at sentencing:

“The extent and nature of the conditions imposed on a SORA registrant—i.e., the consequences of SORA registration—turn upon the risk classification. . . . These consequences are not known at the time a court accepts a guilty plea, and therefore cannot have a ‘“definite, immediate and largely automatic effect on [a] defendant’s punishment”’” (14 NY3d at 556, citing *People v Catu*, 4 NY3d 242, 244 [2005], quoting *People v Ford*, 86 NY2d 397, 403 [1995]).

The same year as *Gravino*, we reemphasized the distinction between SORA certification and its other components in *People v Smith* (15 NY3d 669 [2010]). In *Smith*, we held that the registration and notice requirements of the Gun Offender Registration Act (GORA) were not “part of [a] defendant’s sentence or subsumed within the judgment of conviction” (*id.* at 673). In reaching that decision, we specifically compared the GORA registration and notice requirements to those requirements in the SORA context, highlighting “[t]he distinction between SORA registration and notice requirements,” which are not appealable, and “the initial certification as a sex offender,” which is (*id.* at 674 n 2).

The majority deems “impractical and unworkable” any “attempt to isolate the[se] . . . component parts of SORA—certification, registration, risk-level determination, and notification requirements—and deem the court’s initial certification to be

NY3d at 315). Unlike the clear error here, evident from the unmistakable statutory language in the Correction Law, neither error in *Nieves* would fall within the preservation exception. Further, as the Court noted, “appeal is neither the only nor the most desirable means for resolving [a protective order] expiration date issue” (*id.* at 317). We observed that the “better practice . . . is for a defendant seeking adjustment of such an order to request relief from the issuing court in the first instance” (*id.*). Here, the majority does not suggest any avenue by which someone wrongly certified as subject to SORA could timely challenge that determination—however wrong it was—if the problem was not recognized and objected to at sentencing. *Nieves*, of course, does not control this case, because it does not involve SORA, and it lacks parallelism relevant to our preservation doctrine inasmuch as a sentencing court can modify, on motion, a protective order, but may not have the ability to do so as to a SORA certification.

part of the sentence” (majority op at 540-541). That distinction between certification and the other components of SORA, however, is exactly what we have recognized in our past decisions. The distinction is neither impractical nor unworkable; instead, it is the established law of our state. No one could colorably claim it impractical or unworkable to have appellate review of whether SORA applies to a particular crime. If courts cannot readily do that, we should get out of the statutory interpretation business entirely. Here, the Appellate Division had no such difficulty.

IV.

It can be easy to lose track of the stakes at hand when our decisions, as this one, conclude an issue is unpreserved—even though all that is involved here is the interpretation of a statute that is quite clear on its face. The legislature has clearly and unambiguously itemized an exclusive list of offenses that are registrable sex offenses (Correction Law § 168-a [2] [a]). The crime Mr. Buyund pleaded guilty to was not on that list, but he was nevertheless certified as a sex offender by the criminal court.⁶

No one at sentencing appears to have realized that the crime to which Mr. Buyund pleaded did not subject him to SORA. In a way, this case asks on whom that burden should fall. The majority says it should fall on Mr. Buyund. At least equally plausible, though, is that it should fall on the People: if they want a defendant to be subject to SORA, they should not agree to a plea to a crime that does not provide for SORA registration. Or perhaps the burden should fall on the sentencing court, to make sure that the crime of conviction is SORA-registerable if the plea agreement depends on that. A plea agreement is, essentially, a contract, though one with constitutional provisions built in to protect the defendant. Even in an ordinary contract, when all the parties operate under a mutual mistake, the contract is voided and the parties are placed back in their pre-contract positions. That—rather than deciding that the defend-

6. For the majority, the solution for people like Mr. Buyund and the hypothetical bad-check writer who are improperly certified as sex offenders and fail to object at sentencing is for the Appellate Division to exercise its interest of justice authority to correct the error. Although heartwarming to see the majority encourage our colleagues in the Appellate Division to exercise that power, that power does not affect what the law clearly states or what this Court may hear on appeal.

ant alone has the responsibility to know what the law permits and must suffer the consequences—is not just the result required by *Hernandez* and *Smith*, but also the just result.

Chief Judge DiFIORE and Judges FAHEY, GARCIA and SINGAS concur; Judge WILSON dissents in an opinion, in which Judge RIVERA concurs.

Order insofar as appealed from reversed and case remitted to the Appellate Division, Second Department, for further proceedings in accordance with the opinion herein.

[183 NE3d 443, 162 NYS3d 851]

J.P. MORGAN SECURITIES INC. et al., Appellants, v VIGILANT INSURANCE COMPANY et al., Respondents.

Argued and submitted October 6, 2021; decided November 23, 2021

SUMMARY

APPEAL, by permission of the Court of Appeals, from a judgment of the Supreme Court, New York County (Jennifer G. Schechter, J.), entered September 23, 2019. The Supreme Court judgment, insofar as appealed from, dismissed the amended complaint in its entirety as against defendants National Union Insurance Company of Pittsburgh, Pa.; Liberty Mutual Insurance Company; Certain Underwriters at Lloyd's, London; and American Alternative Insurance Corporation. The appeal brings up for review so much of a prior nonfinal order of the Appellate Division of the Supreme Court in the First Judicial Department, entered September 20, 2018. The Appellate Division order, insofar as brought up for review, had (1) reversed, on the law, a judgment of that Supreme Court (Charles E. Ramos, J.), which had awarded plaintiffs sums of money, including prejudgment interest, as against defendant insurers Vigilant Insurance Company, The Travelers Indemnity Company, Federal Insurance Company, National Union Fire Insurance Company of Pittsburgh, Pa., and Liberty Mutual Insurance Company; and had been entered upon a prior order of that Supreme Court (op 52 Misc 3d 171 [2017]) granting plaintiffs' motion for summary judgment and denying defendants' motions for summary judgment, amended by a subsequent order of that Supreme Court (op 2017 NY Slip Op 31690[U] [2017]) awarding plaintiffs prejudgment interest; (2) denied plaintiffs' motion for summary judgment; (3) granted defendants' motions for summary judgment declaring that plaintiffs were not entitled to coverage for the Securities and Exchange Commission (SEC) disgorgement payment at issue; and (4) declared that plaintiffs were not entitled to coverage for the SEC disgorgement payment.

J.P. Morgan Sec., Inc. v Vigilant Ins. Co., 166 AD3d 1, reversed.

HEADNOTE

Insurance — Business Insurance — Disgorgement Payment to Securities and Exchange Commission Not Insurable Penalty

In an action arising from defendant insurers' denial of coverage for the disgorgement component of a settlement between the insured securities brokers-

dealers and the Securities and Exchange Commission under a wrongful act professional liability insurance policy providing coverage for “loss” in connection with any civil proceeding or governmental investigation into violations of laws or regulation, defendants failed to establish that the disgorgement payment fell within the policy exclusion for “penalties imposed by law.” The term “penalty” is commonly understood to reference a monetary sanction designed to address a public wrong that is sought for purposes of deterrence and punishment rather than to compensate injured parties for their loss. Where a sanction has both compensatory and punitive components, it should not be characterized as punitive in the context of interpreting insurance policies. Under relevant New York law, penalties have consistently been distinguished from compensatory remedies, damages, and payments otherwise measured through the harm caused by wrongdoing. Thus, at the time the parties contracted, a reasonable insured would have understood the term “penalty” to refer to non-compensatory, purely punitive monetary sanctions. Inasmuch as it was derived from estimates of ill-gotten gains and harm flowing from the improper trading practices, and was intended, at least in part, to compensate those injured by the wrongdoing allegedly facilitated by the insured, the disgorgement payment could not fairly have been understood as a “penalty” in the context of the policy.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Insurance § 713.

COUCH ON INSURANCE (3d ed) § 172:77.

NY JUR 2d Insurance §§ 1710, 1711.

ANNOTATION REFERENCE

See ALR Index under Fines, Penalties, and Forfeitures;
Insurance.

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POINTS OF COUNSEL

Proskauer Rose LLP, New York City (*Steven E. Obus*, *Seth B. Schafner*, *Francis D. Landrey* and *Matthew J. Morris* of counsel), for appellants. I. The Appellate Division decision should be reversed because it contradicts this Court's prior holding in this case and improperly alters New York law. (*Messersmith v American Fid. Co.*, 232 NY 161; *Biondi v Beekman Hill House Apt. Corp.*, 94 NY2d 659; *Home Ins. Co. v American Home Prods. Corp.*, 75 NY2d 196; *White v Continental Cas. Co.*, 9 NY3d 264; *People v Greenberg*, 27 NY3d 490; *Telaro v Telaro*, 25 NY2d 433; *In re Del-Val Fin. Corp. Sec. Litig.*, 868 F Supp 547; *New*

England Mut. Life Ins. Co. v Caruso, 73 NY2d 74; *Public Serv. Mut. Ins. Co. v Goldfarb*, 53 NY2d 392.) II. Appellants' loss arising from their disgorgement payment is insured under the policies. (*Matter of Viking Pump, Inc.*, 27 NY3d 244; *Thomas J. Lipton, Inc. v Liberty Mut. Ins. Co.*, 34 NY2d 356; *Firefighters v Cleveland*, 478 US 501; *Navigators Ins. Co. v Sterling Infosystems, Inc.*, 145 AD3d 630; *McGroarty v Great Am. Ins. Co.*, 36 NY2d 358; *Continental Cas. Co. v Rapid-American Corp.*, 80 NY2d 640; *Life & Casualty Ins. Co. of Tenn. v McCray*, 291 US 566; *Borden v 400 E. 55th St. Assoc., L.P.*, 24 NY3d 382; *Securities & Exch. Commn. v First Jersey Sec., Inc.*, 101 F3d 1450; *Dolman v United States Trust Co. of N.Y.*, 2 NY2d 110.) III. The Appellate Division erred by reversing the award of coverage for the separate class action settlement. IV. The primary and excess policy insurers' other defenses are without merit. (*Servidone Constr. Corp. v Security Ins. Co. of Hartford*, 64 NY2d 419; *PepsiCo, Inc. v Continental Cas. Co.*, 640 F Supp 656; *Matter of Oberle v Caracappa*, 133 AD2d 202; *Matter of Bergstein v Board of Educ., Union Free School Dist. No. 1 of Towns of Ossining, New Castle & Yorktown*, 34 NY2d 318; *Smokes 'N' Sweets v West Lake Assoc.*, 227 AD2d 757; *Twin City Fire Ins. Co. v Country Mut. Ins. Co.*, 23 F3d 1175; *People v Giordano*, 50 AD3d 467; *Cassano v Hagstrom*, 5 NY2d 643; *Pioneer Tower Owners Assn. v State Farm Fire & Cas. Co.*, 12 NY3d 302; *Belt Painting Corp. v TIG Ins. Co.*, 100 NY2d 377.)

Holwell Shuster & Goldberg LLP, New York City (*Daniel M. Sullivan, James M. McGuire and Gregory Dubinsky* of counsel), and *DLA Piper LLP (US)*, New York City (*Joseph G. Finnerty III, Megan Shea Harwick, Eric S. Connuck and Marc A. Silverman* of counsel), for Vigilant Insurance Company and another, respondents, and *Kaufman, Borgeest & Ryan LLP*, New York City (*Scott A. Schechter, Andrew E. Oldis and Matthew Mawby* of counsel), for Liberty Mutual Insurance Company, respondent. I. The Appellate Division correctly held that appellants cannot obtain coverage for the \$140 million portion of their disgorgement. (*Global Reins. Corp. of Am. v Century Indem. Co.*, 30 NY3d 508; *Zurich Ins. Co. v Shearson Lehman Hutton*, 84 NY2d 309; *Matter of Campagna v Shaffer*, 73 NY2d 237; 191 *Chrystie LLC v Ledoux*, 82 AD3d 681; *Friedman v Connecticut Gen. Life Ins. Co.*, 9 NY3d 105; *Matter of Sipal Realty Corp. [Dankers]*, 8 NY2d 319; *People v Cummings*, 31 NY3d 204; *Aridas v Caserta*, 41 NY2d 1059; *Platek v Town of Hamburg*, 24 NY3d 688; *Burlington Ins. Co. v NYC Tr. Auth.*, 29 NY3d 313.) II. In the alternative, this Court should remand for further

proceedings on the grounds of (i) the reasonableness of appellants' settlement with the Securities and Exchange Commission and (ii) the public policy prohibiting indemnification of intentionally harmful conduct. (*Luria Bros. & Co., Inc. v Alliance Assur. Co., Ltd.*, 780 F2d 1082; *Olin Corp. v Insurance Co. of N. Am.*, 221 F3d 307; *Deutsche Bank Trust Co. of Ams. v Tri-Links Inv. Trust*, 74 AD3d 32; *Servidone Constr. Corp. v Security Ins. Co. of Hartford*, 64 NY2d 419; *PepsiCo, Inc. v Continental Cas. Co.*, 640 F Supp 656; *Wausau Underwriters Ins. v United Plastics Group*, 512 F3d 953; *Copart Indus. v Consolidated Edison Co. of N.Y.*, 41 NY2d 564; *Union Carbide Corp. v Affiliated FM Ins. Co.*, 101 AD3d 434; *City of Amsterdam v Daniel Goldreyer, Ltd.*, 882 F Supp 1273.) III. The question of appellants' \$14 million class action settlement is not properly before this Court. (*Hain v Jamison*, 28 NY3d 524; *Sokoloff v Harriman Estates Dev. Corp.*, 96 NY2d 409; *Sontag v Sontag*, 66 NY2d 554.)

Clyde & Co US LLP, New York City (*Edward J. Kirk, Gabriela Richeimer* and *Scott Schwartz* of counsel), for Certain Underwriters at Lloyd's London, respondent, and *BatesCarey LLP*, Chicago, Illinois (*Kristi S. Nolley, R. Patrick Bedell* and *Lindsey D. Dean* of the Illinois bar, admitted pro hac vice, of counsel), and *Landman Corsi Ballaine & Ford P.C.*, New York City (*William Ballaine* of counsel), for American Alternative Insurance Corporation, respondent. I. The term "any officer" in the prior knowledge exclusion of the subject excess professional liability insurance policies is unambiguous and refers to any officer that appellants deemed to be an officer rather than a handful of top management as argued by appellants. (*Greenfield v Philles Records*, 98 NY2d 562; *White v Continental Cas. Co.*, 9 NY3d 264; *Government Empls. Ins. Co. v Kligler*, 42 NY2d 863; *In re Ambassador Group, Inc. Litig.*, 738 F Supp 57; *Lo-blaw, Inc. v Employers' Liab. Assur. Corp.*, 85 AD2d 880; *Moshiko, Inc. v Seiger & Smith*, 137 AD2d 170, 72 NY2d 945; *Gluck v Executive Risk Indem., Inc.*, 680 F Supp 2d 406; *Shapiro v American Home Assur. Co.*, 584 F Supp 1245; *Cornellier v American Cas. Co.*, 389 F2d 641; *Aleynikov v Goldman Sachs Group, Inc.*, 765 F3d 350.) II. Respondents Certain Underwriters at Lloyd's, London and American Alternative Insurance Corporation met their burden to show that the prior knowledge exclusion applies to appellants' claim. (*Executive Risk Indem. Inc. v Pepper Hamilton LLP*, 13 NY3d 313; *Liberty Ins. Underwriters Inc. v Corpina Piergrossi Overzat & Klar LLP*, 78 AD3d 602; *Coregis Ins. Co. v Baratta & Fenerty, Ltd.*, 264 F3d 302;

Vigilant Ins. Co. v Credit Suisse First Boston Corp., 10 AD3d 528; *Vigilant Ins. Co. v Bear Stearns Cos., Inc.*, 34 AD3d 300, 10 NY3d 170; *Millennium Partners, L.P. v Select Ins. Co.*, 24 Misc 3d 212, 68 AD3d 420; *CPA Mut. Ins. Co. of Am. Risk Retention Group v Weiss & Co.*, 80 AD3d 431.)

Faegre Drinker Biddle & Reath LLP, New York City (Marsha J. Indyk of counsel), for Travelers Indemnity Company, respondent. I. The profit or advantage exclusion of the excess professional liability insurance policies bars coverage for appellants' claim. (*Vigilant Ins. Co. v Bear Stearns Cos., Inc.*, 10 NY3d 170; *Country-Wide Ins. Co. v Excelsior Ins. Co.*, 147 AD3d 407, 30 NY3d 905; *Maroney v New York Cent. Mut. Fire Ins. Co.*, 5 NY3d 467; *Aetna Cas. & Sur. Co. v Liberty Mut. Ins. Co.*, 91 AD2d 317; *TIG Specialty Ins. Co. v Pinkmonkey.com Inc.*, 375 F3d 365; *Alstrin v St. Paul Mercury Ins. Co.*, 179 F Supp 2d 376; *Jarvis Christian Coll. v National Union Fire Ins. Co. of Pittsburgh, PA.*, 197 F3d 742; *Lend Lease [US] Constr. LMB Inc. v Zurich Am. Ins. Co.*, 28 NY3d 675.) II. The Court should not address prejudgment interest, but if it does it should hold that the Supreme Court erred by awarding interest against the excess insurers. (*Matter of Merson v McNally*, 90 NY2d 742; *Duane Reade, Inc. v St. Paul Fire & Mar. Ins. Co.*, 600 F3d 190; *Seward Park Hous. Corp. v Greater N.Y. Mut. Ins. Co.*, 43 AD3d 23; *Caiati of Westchester v Glens Falls Ins. Co.*, 265 AD2d 286; *Delcomyn v Westchester Fire Ins. Co. of N.Y.*, 284 App Div 1055; *Spodek v Park Prop. Dev. Assoc.*, 279 AD2d 467, 96 NY2d 577; *Kesco Textile Co. v Coit Intl.*, 41 AD2d 828; *Love v State of New York*, 78 NY2d 540; *Gelco Bldrs. v Simpson Factors Corp.*, 60 Misc 2d 492; *JP Morgan Chase & Co. v Indian Harbor Ins. Co.*, 98 AD3d 18.)

Selendy & Gay PLLC, New York City (Caitlin J. Halligan and Shomik Ghosh of counsel), for National Union Fire Insurance Company of Pittsburgh, Pa., respondent. The known wrongful act exclusion precludes appellants from receiving coverage from National Union Fire Insurance Company of Pittsburgh, Pa. (*Westchester Resco Co., L.P. v New England Reins. Corp.*, 648 F Supp 842; *Springer v Allstate Life Ins. Co. of N.Y.*, 94 NY2d 645; *Employers Commercial Union Ins. Co. of N.Y. v Firemen's Fund Ins. Co.*, 45 NY2d 608; *Matter of Seiderman v Perla, Inc.*, 268 NY 188.)

Covington & Burling LLP, Washington, D.C. (Mitchell F. Dolin of the District of Columbia bar, admitted pro hac vice, and

Dustin Cho of counsel) and New York City (*Jordan S. Joachim* of counsel), for Securities Industry and Financial Markets Association, amicus curiae. I. Plaintiffs' loss is not an uninsurable penalty. (*Zurich Ins. Co. v Shearson Lehman Hutton*, 84 NY2d 309; *Hartford Acc. & Indem. Co. v Village of Hempstead*, 48 NY2d 218; *Soto v State Farm Ins. Co.*, 83 NY2d 718; *Home Ins. Co. v American Home Prods. Corp.*, 75 NY2d 196; *Continental Cas. Co. v Rapid-American Corp.*, 80 NY2d 640; *Pioneer Tower Owners Assn. v State Farm Fire & Cas. Co.*, 12 NY3d 302; *Holy Props. v Cole Prods.*, 87 NY2d 130; *Matter of Walker*, 64 NY2d 354; *Hollis v Drew Theol. Seminary*, 95 NY 166; 159 MP Corp. v Redbridge Bedford, LLC, 33 NY3d 353.) II. New York courts should not create an extracontractual exclusion that would override insurers' contractual promises to insure claims for disgorgement and settlement. (*AXIS Reinsurance Co. v Northrop Grumman Corp.*, 975 F3d 840; *Slayko v Security Mut. Ins. Co.*, 98 NY2d 289; *Indian Harbor Ins. Co. v Dorit Baxter Skin Care, Inc.*, 430 F Supp 2d 183; *Denburg v Parker Chapin Flattau & Klimpl*, 82 NY2d 375; *Matter of Civil Serv. Bar Assn., Local 237, Intl. Bhd. of Teamsters v City of New York*, 64 NY2d 188; *O'Brien v Lodi*, 246 NY 46.) III. New York does not prohibit insurance for "intentional conduct," only for a narrow category of such conduct intended to cause injury that is not implicated here. (*Public Serv. Mut. Ins. Co. v Goldfarb*, 53 NY2d 392; *Messersmith v American Fid. Co.*, 232 NY 161; *Automobile Ins. Co. of Hartford v Cook*, 7 NY3d 131.)

Dewey Pegno & Kramarsky LLP, New York City (*Thomas E.L. Dewey* and *Christopher P. DeNicola* of counsel), for James Corcoran and others, amici curiae. Public policy bars coverage where insureds act with substantial certainty that harm will result. (*Town of Massena v Healthcare Underwriters Mut. Ins. Co.*, 98 NY2d 435; *Austro v Niagara Mohawk Power Corp.*, 66 NY2d 674; *City of Johnstown, N.Y. v Bankers Std. Ins. Co.*, 877 F2d 1146; *AUSA Life Ins. Co. v Ernst & Young*, 206 F3d 202; *Matter of Andre D.*, 182 AD2d 1108; *Union Carbide Corp. v Affiliated FM Ins. Co.*, 101 AD3d 434; *Bank of N.Y. v Neumann*, 216 AD2d 189; *Continental Ins. Co. v Colangione*, 107 AD2d 978; *Vumbaca v Terminal One Group Assn. L.P.*, 859 F Supp 2d 343; *United States v Flanders*, 491 F3d 1197.)

OPINION OF THE COURT

Chief Judge DiFiore.

This appeal involves a dispute between the insured securi-

ties broker-dealers and certain excess insurers concerning the availability of coverage under a “wrongful act” liability policy for funds the insureds “disgorged” as part of a settlement with the Securities and Exchange Commission. We conclude that the settlement payment in question was not excluded from insurance coverage as a “penalt[y] imposed by law” under the policies at issue and therefore reverse.

In 2000, The Bear Stearns Companies purchased a primary insurance policy from defendant Vigilant Insurance Company providing coverage for “wrongful acts” of the Companies and its subsidiaries. The Bear Stearns Companies also purchased various excess insurance policies from defendants The Travelers Indemnity Company, Federal Insurance Company, National Union Fire Insurance Company of Pittsburgh, Pa., Liberty Mutual Insurance Company, Certain Underwriters at Lloyd’s, London, and American Alternative Insurance Corporation or their predecessor entities that followed form to the policy issued by Vigilant. As relevant here, the policies provided coverage for “loss” that Bear Stearns became liable to pay in connection with any civil proceeding or governmental investigation into violations of laws or regulations, defining “loss” as including various types of damages—including compensatory and punitive damages (“where insurable by law”)—but not “fines or penalties imposed by law.”

In 2003, the Securities and Exchange Commission (SEC) and other regulatory agencies began investigating Bear, Stearns & Co. Inc. and Bear, Stearns Securities Corporation—securities broker-dealers that processed and cleared trades for clients (collectively, Bear Stearns). The investigation concerned allegations that, between 1999 and 2003, Bear Stearns had facilitated late trading and deceptive market timing practices¹ by its customers in connection with the purchase and sale of shares of mutual funds. Bear Stearns notified the insurers of the pend-

1. “Late trading is the practice of placing orders to buy, redeem or exchange mutual fund shares after the 4:00 p.m. close of trading, but receiving the price based on the net asset value set at the close of trading,” which practice “allows traders to obtain improper profits by using information obtained after the close of trading” (*J.P. Morgan Sec. Inc. v Vigilant Ins. Co.*, 21 NY3d 324, 330 n 1 [2013]). Market timing is the practice of “frequent buying and selling of shares of the same mutual fund or the buying or selling of mutual fund shares to exploit inefficiencies in mutual fund pricing”; although this is “not per se improper, it can be deceptive if it induces a mutual fund to accept trades it otherwise would not accept under its own market timing policies” (*id.*).

ing investigation, but the insurers effectively disclaimed coverage (151 AD3d 632, 633 [1st Dept 2017]). Eventually, the SEC informed Bear Stearns that it intended to commence a civil action or administrative proceeding charging violations of federal securities laws and that it would seek, among other things, \$720 million in monetary sanctions. Although Bear Stearns disputed the proposed charges, in early 2006 it settled with the SEC.

Pursuant to the settlement order, the SEC censured Bear Stearns and ordered it to cease and desist from any future securities law violations. Among other “findings,” the administrative settlement order stated that Bear Stearns “facilitated late trading” and “the deceptive market timing activity” of certain clients. “[W]ithout admitting or denying the findings” and “[s]olely for the purpose of these proceedings,” Bear Stearns agreed to a \$160 million “disgorgement” payment and a \$90 million payment for “civil money penalties.” Both payments were to be deposited in a “Fair Fund” to compensate mutual fund investors allegedly harmed by the improper trading practices (*see* 15 USC § 7246). Further, “[t]o preserve the deterrent effect of the civil penalty,” the settlement order directed that the \$90 million payment—but not the disgorgement payment—was ineligible to offset any sums owed by Bear Stearns to private litigants injured by the trading practices. Bear Stearns was also required to treat the \$90 million payment as a penalty for tax purposes. Following the settlement, Bear Stearns transferred the \$160 million disgorgement and \$90 million penalty payments to the SEC. Bear Stearns also eventually settled a series of class actions brought on behalf of injured private investors based on similar late trading and market timing allegations.

Plaintiffs, Bear Stearns’ successor companies,² subsequently commenced this action alleging that the insurers had breached the insurance contracts and seeking a declaration of coverage for the disgorgement payment, private settlement, and various other defense costs and expenses. The insurers moved to dismiss the complaint arguing, among other things, that the disgorgement component of the SEC settlement was not insur-

2. In 2008, The Bear Stearns Companies merged with a subsidiary of JPMorgan Chase & Co. and became plaintiff The Bear Stearns Companies LLC. After the merger, Bear, Stearns & Co. Inc. became plaintiff J.P. Morgan Securities Inc. and Bear, Stearns Securities Corporation became plaintiff J.P. Morgan Clearing Corp.

able as a matter of public policy. Supreme Court denied the motions to dismiss (2010 NY Slip Op 33799[U] [Sup Ct, NY County 2010]), but the Appellate Division reversed and granted the motions (91 AD3d 226 [1st Dept 2011]). On Bear Stearns' appeal, we reinstated the complaint, concluding that the insurers were not entitled to dismissal because the disgorgement payment, allegedly "calculated in large measure on the profits of others," was not clearly uninsurable as a matter of public policy (21 NY3d 324, 336 [2013]).

Following additional motion practice, Bear Stearns moved for summary judgment, seeking dismissal of the insurers' various defenses to coverage and arguing that \$140 million of the disgorgement payment represented disgorgement of its clients' gains, as compared with Bear Stearns' own revenue, and was an insurable "loss" under the policies.³ In support of this argument, Bear Stearns proffered evidence from the SEC settlement negotiations that \$140 million of the disgorgement payment reflected an estimate of the profits gained by Bear Stearns' clients as a result of the late trading and deceptive market timing practices. The insurers opposed and cross-moved for summary judgment, arguing that the \$140 million did not represent client gains and relying on various policy exclusions and public policy-based arguments against indemnification. Supreme Court denied the insurers' motions and granted summary judgment to Bear Stearns, concluding that the disgorgement of \$140 million in client gains constituted an insurable loss (57 Misc 3d 171, 179-183 [Sup Ct, NY County 2017]). Supreme Court subsequently amended its order to award Bear Stearns prejudgment interest (2017 NY Slip Op 31690[U], *5 [Sup Ct, NY County 2017]) and entered judgment in Bear Stearns' favor. The insurers appealed.

The Appellate Division, among other things, reversed, denied Bear Stearns' motion for summary judgment, and granted the insurers' motions for summary judgment declaring that Bear Stearns was not entitled to coverage for the SEC disgorgement payment (166 AD3d 1 [1st Dept 2018]). Relying on the intervening decision of the United States Supreme Court in *Kokesh v SEC* (581 US —, —, 137 S Ct 1635, 1639 [2017]), the Appellate Division determined that the relevant portion of the disgorge-

3. Bear Stearns did not seek coverage for the remaining \$20 million of the \$160 million disgorgement payment, representing the revenues it received from clients in connection with its processing of the challenged trades.

ment payment was a “penalty” and, as such, was not an insurable loss under the language of the policies (166 AD3d at 8). On remand, Supreme Court dismissed the amended complaint as to certain excess insurers and severed the remaining claims as to defendant insurers Vigilant, Travelers, and Federal. We granted Bear Stearns’ motion for leave to appeal as against four of the excess insurers, bringing up for review the prior nonfinal Appellate Division order (34 NY3d 1196, 1197 [2020]).⁴

Bear Stearns argues that the \$140 million disgorgement for which it seeks coverage was derived from estimates of client gain and investor harm and, therefore, the insurers failed to meet their burden of establishing that the payment was not a covered loss because it was a “penalty imposed by law.” We agree that the payment is not a “penalty” within the meaning of the policy.

Whether the \$140 million SEC-ordered disgorgement constitutes a “penalt[y] imposed by law” such that it is not recoverable as a “loss” under the relevant insurance policies is a question of contract interpretation. As we have often stated, insurance contracts are subject to the general rules of contract interpretation. Like other agreements, insurance contracts are typically “‘enforced as written’”; absent a violation of public policy, “‘parties to an insurance arrangement may generally contract as they wish and the courts will enforce their agreements’” (*Matter of Viking Pump, Inc.*, 27 NY3d 244, 257 [2016] [some internal quotation marks omitted], quoting *J.P. Morgan Sec. Inc.*, 21 NY3d at 334). In determining a coverage dispute, we look to the specific language used in the relevant policies (see *Jin Ming Chen v Insurance Co. of the State of Pa.*, 36 NY3d 133, 138 [2020]; *Roman Catholic Diocese of Brooklyn v National Union Fire Ins. Co. of Pittsburgh, Pa.*, 21 NY3d 139, 148 [2013]), which “must be interpreted according to common speech and consistent with the reasonable expectation of the average insured” at the time of contracting, with any ambiguities construed against the insurer and in favor of the insured (*Dean v Tower Ins. Co. of N.Y.*, 19 NY3d 704, 708 [2012])

4. We granted Bear Stearns’ motion for leave as against National Union Fire Insurance Company of Pittsburgh, Pa., Liberty Mutual Insurance Company, Certain Underwriters at Lloyd’s, London, and American Alternative Insurance Corporation. Bear Stearns’ motion for leave as against the remaining insurers was dismissed on the ground that the order sought to be appealed from did not finally determine the action as against those insurers. Nevertheless, all of the insurers have submitted briefing and arguments to this Court.

[internal quotation marks and citation omitted]; see *Lend Lease [US] Constr. LMB Inc. v Zurich Am. Ins. Co.*, 28 NY3d 675, 682 [2017]; *Evans v Famous Music Corp.*, 1 NY3d 452, 458 [2004]).

While an insured must establish coverage in the first instance, the insurer bears the burden of proving that an exclusion applies to defeat coverage (see *Consolidated Edison Co. of N.Y. v Allstate Ins. Co.*, 98 NY2d 208, 218 [2002]). “Indeed, before an insurance company is permitted to avoid policy coverage, it must satisfy the burden . . . of establishing that the exclusions or exemptions apply in the particular case, and that they are subject to no other reasonable interpretation” (*Seaboard Sur. Co. v Gillette Co.*, 64 NY2d 304, 311 [1984] [citations omitted]; see *Cragg v Allstate Indem. Corp.*, 17 NY3d 118, 122 [2011]). This standard may be implicated even when an insurer relies on “limiting language in the definition of coverage” instead of “language in the exclusions section of the policy” because, in some circumstances, that limiting language functions as an exclusion (*Planet Ins. Co. v Bright Bay Classic Vehs.*, 75 NY2d 394, 400 [1990]).

This dispute turns on the proper interpretation of various components of the coverage provision, particularly the definition of “loss.” Under the relevant policies, the insurers agreed to pay all “loss” which Bear Stearns became legally obligated to pay as the result of any claim—defined as including any civil proceeding or governmental investigation—for any wrongful act, which encompassed any actual or alleged act, error, omission, misstatement, neglect, or breach of duty by Bear Stearns and its employees while providing services as a securities broker and dealer. The policies defined “loss” to include compensatory damages, punitive damages where insurable by law, multiplied damages, judgments, settlements, costs, and expenses resulting from any claim and, further, “loss” expressly encompassed “costs, charges and expenses or other damages incurred in connection with any investigation by any governmental body.” However, an exception in the definition of “loss” provided that “loss” shall not include “fines or penalties imposed by law.” This language is at the core of this appeal.

Here, although the policy limitation on the definition of “loss” as exempting “penalties imposed by law” is contained in the coverage section, the carve out excepting certain “penalties” from coverage amounts to an exclusion because, absent that language, the definition of loss would otherwise encompass such payments (see *Planet Ins. Co.*, 75 NY2d at 400). Thus, the

question is whether the insurers demonstrated that a reasonable insured purchasing this wrongful act policy in 2000 would have understood the phrase “penalties imposed by law” to preclude coverage for the \$140 million SEC disgorgement payment. The insurers have not met this burden.

The phrase “penalties imposed by law” is not defined in the insurance policies. However, the term “penalty”—the focus of the parties’ arguments here—is commonly understood to reference a monetary sanction designed to address a public wrong that is sought for purposes of deterrence and punishment rather than to compensate injured parties for their loss. We have explained that, in the context of statutory penalties, “the word penalty . . . does not apply to actual damages” but, rather, exacts sums from a wrongdoer that “exceed the injured party’s actual damages” (*Borden v 400 E. 55th St. Assoc., L.P.*, 24 NY3d 382, 396 [2014] [internal quotation marks and citations omitted]). This view is consistent with dictionary definitions in effect around the time the policies were issued, describing a “penalty” as a monetary punishment “distinguished from compensation for the injured party’s loss” and determined “without reference to any actual damages suffered” (Black’s Law Dictionary 1168 [8th ed 2004] [defining “penalty” and “statutory penalty”]). Still today, a penalty is often characterized as a monetary “recovery without reference or regard to the actual damage sustained” that “is not designed to compensate anyone” (36 Am Jur 2d, Forfeitures and Penalties § 2; *see* 60 NY Jur 2d, Forfeitures and Penalties § 124). This is in accord with our long-standing view, in the liquidated damages context, that a contractual provision imposes an unenforceable “penalty” when it requires, in the event of a breach, the payment of a sum that is grossly disproportionate to any reasonable estimate of actual damages (*see Truck Rent-A-Ctr. v Puritan Farms 2nd*, 41 NY2d 420, 424 [1977]). In other words, a penalty is distinct from a compensatory remedy and a penalty is not measured by the losses caused by the wrongdoing.

Before the insurance contracts were issued here, we had determined that, where a sanction has both compensatory and punitive components, it should not be characterized as punitive in the context of interpreting insurance policies. In *Zurich Ins. Co. v Shearson Lehman Hutton*, the insurer asserted it had no duty to indemnify its insured for punitive damages awarded in two out-of-state actions because, in New York, public policy precludes indemnification for punitive damages (*see*

84 NY2d 309, 312-313 [1994]). We explained “that the purpose of punitive damages is solely to punish the offender and to deter similar conduct” and “not . . . to compensate or reimburse” an injured party (*id.* at 316). Addressing one of the awards in that case, we held that the insurer was obligated to provide coverage because, under the applicable out-of-state law, the jury could have awarded the damages in question for either deterrence purposes or as additional compensation for the plaintiff’s injury and, thus, the damages award was not solely punitive so as to preclude indemnification (*see id.* at 316-317). *Zurich* did not directly address the meaning of the term “penalty.” Our analysis nonetheless indicates that a reasonable insured purchasing a wrongful act policy would expect an award or settlement payment that has compensatory purposes and is measured by an injured party’s losses and third-party gains to fall within its coverage grant and, concomitantly, not be deemed a penalty.⁵

Simply stated, under relevant New York law, penalties have consistently been distinguished from compensatory remedies, damages, and payments otherwise measured through the harm caused by wrongdoing. Thus, at the time the parties contracted, a reasonable insured would likewise have understood the term “penalty” to refer to non-compensatory, purely punitive monetary sanctions. In this case, the question therefore distills to whether the disputed \$140 million settlement payment meets that standard.

In that regard, although the insurers argue otherwise, Bear Stearns demonstrated the absence of any material question of fact as to what the \$140 million payment represented. Bear Stearns submitted evidence regarding its communications with the SEC throughout the negotiation process indicating that, at

5. Contrary to the dissent’s contention, our interpretation of *Zurich* does not conflict with *Sperry v Crompton Corp.* (8 NY3d 204 [2007]). In *Sperry*, we held that a statutory damages provision authorizing a successful antitrust plaintiff to recover three times the actual damages sustained constituted a penalty such that a class action for a treble damages award was not permitted under CPLR 901 (*see Sperry*, 8 NY3d at 209). The dissent here overlooks that, in *Sperry*, we were not interpreting the term “penalty” in an insurance policy where it must be given a narrow interpretation in accordance with the principles governing insurance contracts (*see Seaboard Sur. Co.*, 64 NY2d at 311). Moreover, we subsequently clarified in *Borden* that the “penalty” component of a statutory treble damages sanction is only that part which exceeds actual damages (24 NY3d at 396-397). Thus, the dissent’s assertion that a treble damages award necessarily constitutes a penalty in its entirety under *Sperry* is inaccurate.

the direction of the SEC, Bear Stearns undertook various valuations of its customers' gains and the corresponding injury suffered by investors⁶ as a consequence of the challenged trading practices. In particular, the correspondence—taken together with other corroborating testimonial and documentary evidence—supported its contention that, after negotiations regarding the appropriate valuation method, Bear Stearns estimated third party gains to approximate \$140 million and Bear Stearns ultimately agreed with the SEC to incorporate that amount into the settlement as representative of client gains and the concomitant investor losses.⁷ Thus, Bear Stearns demonstrated that the \$140 million disgorgement payment was calculated based on wrongfully obtained profits as a measure of the harm or damages caused by the alleged wrongdoing that Bear Stearns was accused of facilitating. This can be contrasted with the \$90 million payment denominated a “penalty,” which was not derived from any estimate of harm or gain flowing from the improper trading practices.

In opposition, the insurers failed to submit any evidence rebutting this proof. Contrary to the dissent's suggestion, that the SEC originally sought a higher sanction and negotiated with Bear Stearns to accept the settlement figures proffered as representative of third-party gains/injured investor losses (\$140 million) and Bear Stearns' own revenues (approximately \$20 million) supports, rather than contradicts, Bear Stearns' proof regarding the nature of the disgorgement payment. Moreover, the SEC's press release—referencing a settlement that required Bear Stearns to disgorge its own gains—cannot be said to raise a material question of fact as to whether the entire disgorgement payment constituted Bear Stearns' gains where, as here, it is conceded that Bear Stearns did, in fact, disgorge its own

6. Along with evidence indicating that data evincing client gain was used to determine the resulting losses incurred by the harmed investors, Bear Stearns' expert report explaining the methodologies used in the underlying SEC negotiations asserted that the SEC viewed “the gain” earned through market timing and late trading as “the same amount as the loss to the other mutual fund shareholders” inasmuch as the timing practices “achiev[ed] gains at the expense of long-term shareholders by ‘diluting’ the value of their shares.”

7. The insurers' contention that Bear Stearns' evidence should have been disregarded as inadmissible hearsay lacks merit. The evidence of the SEC negotiations was admitted, not for its truth—i.e., to prove that actual amount of loss or gain—but, rather, to show the intent underlying the settlement agreement (*see generally People v Salko*, 47 NY2d 230, 239 [1979]).

revenue—approximately \$20 million—as part of the settlement, as reflected in the press release.

Further, the \$140 million payment served a compensatory goal. While the settlement directs that both the disgorgement payment and the monetary penalty be placed in a fund to compensate the injured parties, Bear Stearns was required to treat the \$90 million penalty, but not the disgorgement, as a penalty for tax purposes. In addition, although the \$90 million civil penalty funds were ineligible to be used to offset a private claim against Bear Stearns, the same was not true of the disgorgement payment.⁸ To be sure, neither the label assigned to the payment by the SEC and Bear Stearns, nor the mere fact that injured parties may ultimately receive the funds, is dispositive (*see generally Zurich Ins. Co.*, 84 NY2d at 317). But, in determining whether Bear Stearns’ “disgorgement” of client gains was a “penalty” within the meaning of the insurance policies, such factors must be taken together with the fact that the payment effectively constituted a measure of the investors’ losses. Inasmuch as it was derived from estimates of the ill-gotten gains and harm flowing from the improper trading practices, and was intended—at least in part—to compensate those injured by the wrongdoing allegedly facilitated by Bear Stearns, the \$140 million disgorgement payment could not fairly have been understood as a “penalty” in the context of this wrongful act professional liability insurance policy (*see Zurich*, 84 NY2d at 316-317).⁹

8. Documentation relating to the negotiations between Bear Stearns and the SEC also indicates that it was contemplated that Bear Stearns would not seek insurance coverage for the civil penalty, presumably to prevent Bear Stearns from avoiding that aspect of the settlement that was designed purely to punish Bear Stearns’ wrongdoing.

9. Our reliance on *Zurich*—decided just a few years before these insurance contracts were entered and addressing insurance coverage where a payment may constitute both compensation for injured parties and a punishment or deterrent for the wrongdoer—is far more apt than the dissent’s reliance on cases addressing discrete questions of whether certain statutes imposing liability for corporate debts on officers of corporations imposed “penalties” for purposes of statutes of limitation and the court’s jurisdiction (*see Merchants’ Bank v Bliss*, 35 NY 412, 416 [1866]; *Bird v Hayden*, 1 Robt 383, 388, 2 Abb Prac [NS] 61, 65-66 [Super Ct 1863]; *see also Dabney v Stevens*, 2 Sweeny 415, 40 How Pr 341 [Super Ct 1870], *mod* 46 NY 681 [1871]). Such cases neither stand for the general proposition that joint and several liability or disgorgement of third-party gains constitutes a “penalty,” nor involved interpretation of insurance contracts. Thus, these cases do not answer the question presented here—whether a disgorgement payment

(n. cont’d)

Indeed, in considering the expectations of a reasonable insured purchasing this type of policy, we are mindful that the policies in question were purchased to cover liability arising from “wrongful acts” relating to Bear Stearns’ business as a securities broker and dealer subject to regulatory oversight by the SEC, and the policies expressly covered settlements and other sums related to investigations by a governmental regulator. At the relevant time, the SEC’s primary enforcement remedies were injunctive relief, disgorgement, and monetary penalties. While, in New York, the term “disgorgement” typically refers only to “the return of wrongfully obtained profits” (*People v Greenberg*, 27 NY3d 490, 497 [2016] [internal quotation marks omitted]), when the parties entered these insurance contracts, the SEC believed it had the power—as an equitable remedy—to require an entity that facilitated wrongdoing to “disgorge” profits wrongfully obtained by third parties and courts authorized that remedy (*see Securities & Exch. Commn. v Contorinis*, 743 F3d 296, 304 [2d Cir 2014]; *Securities & Exch. Commn. v Warde*, 151 F3d 42, 49 [2d Cir 1998]; *Securities & Exch. Commn. v Clark*, 915 F2d 439, 454 [9th Cir 1990]). The dissent makes much of the fact that the SEC lacked authority to seek compensatory relief and that compensation of injured parties is only a secondary goal, not the primary purpose, of disgorgement (*see Securities & Exch. Commn. v Fischbach Corp.*, 133 F3d 170, 175 [2d Cir 1997]). However, under the regulatory climate in effect at the time these insurers agreed to provide coverage for losses arising from governmental investigations, disgorgement payments—including some comparable to the one at issue here—were nevertheless viewed by the SEC, the primary regulator of securities broker-dealers, as an equitable remedy and not a monetary penalty (*see e.g. Securities & Exch. Commn. v Lorin*, 869 F Supp 1117, 1122 [SD NY 1994]; *see also Securities & Exch. Commn. v Warde*, 151 F3d at 49). Were we to now conclude that payments of that nature constitute an excluded penalty, indemnity for loss arising from otherwise covered governmental investigations would be substantially curtailed in a manner arguably inconsistent with an average insured’s reasonable expectations.

For all of these reasons, we are unpersuaded by the insurers’ argument, credited by the Appellate Division, that the \$140

derived from estimates of harm and which has some compensatory aims is a “penalty” within the meaning of an insurance policy exclusion.

million SEC-ordered disgorgement must be considered a penalty within the meaning of the policies as a result of the 2017 United States Supreme Court decision in *Kokesh v SEC* (581 US at —, 137 S Ct at 1639). There, rejecting the SEC’s position that there was no applicable statute of limitations for SEC actions seeking disgorgement, the Supreme Court held, as a matter of statutory interpretation, that the five-year limitations period for actions to enforce a “penalty” (28 USC § 2462) encompassed “disgorgement” claims (*see Kokesh*, 581 US at —, 137 S Ct at 1639). In reaching that conclusion, the Supreme Court determined that SEC-ordered disgorgement is a “penalty” because it is imposed to vindicate a public, rather than a private, wrong and is used to deter future wrongdoing even though it may have compensatory purposes (*see* 581 US at —, 137 S Ct at 1643).

The insurers argue that a payment requiring Bear Stearns to disgorge profits that it never actually received fits within the Supreme Court’s characterization of a penalty. But, *Kokesh* does not control here. Initially, the Supreme Court was not interpreting the term “penalty” in an insurance contract (much less one governed by New York law) and, as we have cautioned, the meaning of that term may vary based on context (*see Sperry*, 8 NY3d at 213). Indeed, the Supreme Court has since clarified that SEC-ordered disgorgement is not always properly characterized as a penalty insofar as the SEC may seek “disgorgement” of a defendant’s net gain for compensatory purposes as “equitable relief” in civil actions (*see Liu v SEC*, 591 US —, —, 140 S Ct 1936, 1940 [2020]).¹⁰ Moreover, *Kokesh*—decided nearly two decades after the parties executed the relevant insurance contracts—could not have informed the parties’ understanding of the meaning of the term “penalty.”¹¹ Thus, *Kokesh* does not mandate that the \$140 million disgorgement payment be considered a “penalt[y] imposed by law” under the insurance policies at issue here. To the contrary, *Kokesh* and *Liu* demonstrate that whether SEC disgorgement is a penalty for various federal purposes has been a matter of much debate

10. *Liu* suggests, but does not definitively hold, that SEC “disgorgement” that exceeds a party’s net profits and is not distributed to injured investors may transform the “disgorgement” into a punitive sanction beyond the SEC’s then-existing equity powers.

11. Indeed, it is telling that the insurers did not emphasize the argument that the \$140 million represented a penalty under the policy until after *Kokesh* was decided.

and confusion. While the dissent posits that *Kokesh* merely applied well-settled law to conclude that disgorgement is a penalty, this is belied by the Supreme Court's grant of certiorari in that case specifically to resolve disagreement among the Circuit Courts over whether disgorgement claims in SEC proceedings constitute a "penalty" for statute of limitations purposes.

Under long-standing principles of insurance contract interpretation, these policies must be construed in a manner consistent with the expectations of a reasonable insured at the time of contracting, with the "penalty" exclusion given a "strict and narrow construction" (*Seaboard Sur. Co.*, 64 NY2d at 311). Although we do not condone the conduct alleged in the underlying investigation,¹² applying that standard and our precedent concerning the meaning of "penalty," the insurers failed to establish that the \$140 million "disgorgement" payment—a component of the SEC settlement that serves compensatory purposes and was measured by the profits wrongfully obtained and losses caused by the alleged wrongdoing—clearly and unambiguously falls within the policy exclusion for "penalties imposed by law." Therefore, the Appellate Division erred in granting summary judgment to the insurers on that basis.

The parties raise additional arguments that were not reached by the Appellate Division due to its resolution of the penalty issue, including additional defenses to coverage proffered by the insurers as alternative grounds for affirmance. Under the circumstances presented here, "the preferable, more prudent corrective action is remittal" to permit the Appellate Division to address those issues in the first instance (*Schiavone v City of New York*, 92 NY2d 308, 317 [1998]; see *Salinas v World Houseware Producing Co., Ltd.*, 34 NY3d 925, 926 [2019]).

Accordingly, the judgment insofar as appealed from and so much of the Appellate Division order brought up for review should be reversed, with costs, and the case remitted to the Appellate Division for further proceedings in accordance with the opinion herein.

RIVERA, J. (dissenting). The Securities and Exchange Com-

12. The dissent's suggestion that our holding undermines the SEC's ability to deter future violations of securities laws ignores that the SEC agreed to settle the investigation and, had it so chosen, the SEC could have negotiated a greater civil monetary penalty rather than, or in addition to, pursuing disgorgement.

mission (SEC) ordered Bear Stearns to pay millions of dollars in sanctions for violations of federal securities laws and regulations. Appellants claim that they are entitled to indemnification from respondent insurers for the portion paid as disgorgement because that category of sanction constitutes an insurable loss under the relevant insurance policy language. The claim is wholly without merit, as the sanction paid by way of disgorgement here is a nonrecoverable penalty. As long recognized by courts and the SEC, the primary purpose of disgorgement is to deter wrongdoing, by depriving the wrongdoer of fraudulently obtained profits—their own or those of another party—and thus punish the wrongdoer.

The majority erroneously concludes that the disgorgement amount constitutes the SEC's estimate of harm, which it demanded to compensate victims and, therefore, cannot be a penalty imposed on Bear Stearns (majority op at 565-566). This analysis is belied by the record below, which makes clear that SEC disgorgement of ill-gotten gains is not a compensatory form of relief authorized by federal securities law and that the SEC's primary goal here was to prosecute Bear Stearns for a public wrong, not to make unknown shareholder victims whole. The majority's conclusion that the disgorged funds are recoverable from the insurers is contrary to the insurance policy language and undermines both federal regulation of illegal conduct in the securities market and the SEC's efforts to discourage future violations. I dissent.

I.

The SEC Investigation of Federal Securities Violations by Bear Stearns and its Hedge Fund Clients

After an extensive investigation into mutual fund trading abuses, the SEC found that Bear Stearns, through its own acts and those of its subsidiary, willfully violated federal securities laws and regulations by facilitating fraudulent market trading practices by its hedge fund customers.¹ The SEC found that Bear Stearns and the hedge funds made millions in profits through this fraud. In accordance with a negotiated settlement between the SEC and Bear Stearns, the SEC issued an order in 2006, "deem[ing] it appropriate and in the public interest

1. The investigation was against Bear, Stearns & Co., Inc. and its subsidiary Bear, Stearns Securities Corp. For ease of reference, I refer to both entities as "Bear Stearns."

that public administrative and cease-and-desist proceedings be, and hereby are, instituted pursuant to the [federal securities laws] against [Bear Stearns].”

According to the SEC’s factual findings contained in the order, from 1999 to 2003 Bear Stearns “facilitated illegal mutual fund trading by knowingly processing large numbers of late trades . . . and by helping market timing hedge funds evade detection by mutual funds that did not want market timing business.” Bear Stearns’s “conduct benefited their customers . . . by enabling those customers to generate hundreds of millions of dollars in profits from these trading tactics at the expense of mutual fund shareholders.” Bear Stearns neither admitted nor denied these findings.

The order imposed extensive “remedial undertakings designed to improve [Bear Stearns’s] compliance structure” (Press Release, SEC, *SEC Settles Fraud Charges with Bear Stearns for Late Trading and Market Timing Violations: Firm to Pay \$250 Million in Disgorgement and Penalties* [Mar. 16, 2006], available at <https://www.sec.gov/news/press/2006-38.htm>). Specifically, Bear Stearns was required to: (1) “cooperate fully with the [SEC] in any and all investigations, litigations or other proceedings relating to or arising from the matters” described in the order; (2) retain and reimburse independent compliance consultants and institute their recommended changes to Bear Stearns’s policies and practices; (3) train and educate directors, officers, and employees to minimize possible future violations of securities laws and rules; (4) maintain and implement a compliance and oversight infrastructure, as described in the order; (5) establish a compliance hotline and appoint a compliance officer to respond to employee complaints and inquiries regarding business practices and ethical issues; and (6) preserve records of compliance with the order for six years. By way of sanctions, the SEC censured Bear Stearns, mandated that it cease and desist from all current and future violations of the securities laws and rules, and imposed \$250 million in sanctions—\$160 million in disgorgement and \$90 million in civil penalties.²

According to the SEC press release announcing the settlement and order,

2. According to respondents, the New York Stock Exchange initiated an investigation that led to similar findings, censure of Bear Stearns, and a \$250 million sanction, which the NYSE deemed satisfied by the payment of the SEC settlement.

“For years, Bear Stearns helped favored hedge fund customers evade the systems and rules designed to protect long-term mutual fund investors from the harm of market timing and late trading. As a result, market timers profited while long term investors lost. This settlement will not only deprive Bear Stearns of the gains it reaped by its conduct, but also require Bear Stearns to put in place procedures to prevent similar misconduct from recurring” (Press Release, SEC, *SEC Settles Fraud Charges with Bear Stearns for Late Trading and Market Timing Violations: Firm to Pay \$250 Million in Disgorgement and Penalties* [Mar. 16, 2006], available at <https://www.sec.gov/news/press/2006-38.htm>).

Bear Stearns was “the hub that connected the many spokes of market timing and late trading hedge funds, brokers and the mutual funds” (*id.*). As the SEC described, “two roles played by Bear Stearns that were fundamental to mutual fund trading abuses” were that “Bear Stearns made it easier for the hedge funds and the brokers to engage in market timing, and harder for the mutual funds to detect and stop it” (*id.*).

The SEC also settled with several of Bear Stearns’s hedge fund customers, owners, and managers, entering similar orders, both before and after the settlement with Bear Stearns. These orders imposed a total of \$313,601,430.60 in disgorgement; \$8,091,030.22 in prejudgment interest, and \$61,675,000 in penalties.³ The SEC publicly described the first of these settlements as “demonstrat[ing] the [SEC]’s commitment to

3. The settlements imposed the following monetary sanctions: Millennium Partners, LP and its feeder funds were required to pay \$121.4 million in disgorgement; Millennium Management, LLC, and Millennium International Management were required to pay, jointly and severally, \$26.6 million in disgorgement; the managing member of Millennium Management and of Millennium International Management and the largest beneficial owner in Millennium Partners was required to pay \$1 in disgorgement and a \$30 million penalty; the chief operating officer and vice chair of the Millennium entities was required to pay \$1 dollar in disgorgement and a \$2 million penalty; Millennium’s general counsel was required to pay \$1 in disgorgement and a \$25,000 penalty; a trader at Millennium associated with both Millennium Management and Millennium International Management was required to pay \$1 in disgorgement and a \$150,000 penalty; Veras Capital Master Fund, VEY Partners Master Fund, Veras Investment Partners, LLC (VIP), two owners and managing members of VIP were required to pay, jointly and severally, \$35,554,903 in disgorgement and \$645,585 in prejudgment interest, and both owners were each required to pay a \$750,000 penalty; Ritchie

(n. cont’d)

prosecute vigorously all the wrongdoers involved in fraudulent market timing practices, not just mutual fund managers and broker-dealers, but also the hedge funds and other entities that profited so handsomely from the fraud” (Press Release, SEC, *SEC Charges Millennium Partners, L.P., Israel Englander, and Others for Engaging in Fraudulent Market Timing Scheme: Respondents to Pay over \$180 Million in Disgorgement and Penalties* [Dec. 1, 2005], available at <https://www.sec.gov/news/press/2005-170.htm>). In addition to structural changes to their business practices ordered by the SEC,⁴ the settlement imposed over \$180 million in disgorgement and penalties on the various parties. As emphasized by the SEC, “[t]he substantial disgorgement and civil penalties imposed on the respondents underscore how seriously the [SEC] views hedge funds’ roles in deceptive market timing schemes and demonstrate to the investing public that beneficiaries of market timing fraud will not be permitted to retain their ill-gotten gains” (*id.*).⁵

Capital Management, LLC, and Ritchie Multi-Strategy Global Trading, Ltd. were required to pay, jointly and severally, \$30 million in disgorgement and \$7,441,966.82 in prejudgment interest; Ritchie Capital Management, LLC, and its chief executive officer, jointly and severally were required to pay a \$2.5 million penalty and the CEO was also required to pay \$1 in disgorgement; the person in charge of oversight and supervision of mutual fund trading at Ritchie Capital was required to pay \$1 in disgorgement and a \$250,000 penalty; and Canadian Imperial Holdings Inc. and CIBC World Markets Corp. were required to pay, jointly and severally, \$100 million disgorgement and prejudgment interest and a \$25 million penalty.

In addition, the SEC settled with brokerage firms Kaplan & Co. Securities, Inc. and Brean Murray & Co., Inc. Kaplan & Co. and its CEO were required to pay, jointly and severally, \$46,521.60 in disgorgement and \$3,478,40 in prejudgment interest, and each was also required to pay a \$50,000 penalty. Brean Murray & Co., Inc. was required to pay a \$150,000 penalty.

4. For example, the SEC prohibited certain named high-level officials from “serving or acting as an employee, officer, director, member of an advisory board, investment adviser or depositor of, or principal underwriter for, a registered investment company or affiliated person of such investment adviser, depositor, or principal underwriter for a period of three years” (Press Release, SEC, *SEC Charges Millennium Partners, L.P., Israel Englander, and Others for Engaging in Fraudulent Market Timing Scheme: Respondents to Pay over \$180 Million in Disgorgement and Penalties* [Dec. 1, 2005], available at <https://www.sec.gov/news/press/2005-170.htm>).

5. See also Press Release, SEC, *SEC Charges Veras Capital Master Fund, VEY Partners Master Fund, Veras Investment Partners, LLC, Kevin D. Larson, and James R. McBride in Fraudulent Market Timing and Late Trading Scheme: Respondents to Pay over \$35 Million in Disgorgement* [Dec. 22, 2005], available at <https://www.sec.gov/news/press/2005-182.htm>; Press Release, SEC, *SEC Charges Ritchie Capital Management, CEO and Other Employees for Illegal Late Trading Scheme: Chicago-Area Hedge Fund*

(n. cont’d)

In total, Bear Stearns and its customers paid over half a billion dollars in monetary sanctions to settle and end the SEC investigation into their market trading practices.

II.

Appellants' Indemnification Claims

Appellants initiated the underlying action against respondent insurers for indemnification of \$140 million of the disgorgement funds paid by Bear Stearns in satisfaction of the SEC order. Appellants maintain that these monies are a covered loss insured by respondents. The relevant policy language states that respondents would reimburse losses that the insured Bear Stearns “shall become legally obligated to pay as a result of any Claim or Claims first made against the Insured” for its “Wrongful Act.”⁶ A recoverable loss includes “compensatory damages, multiplied damages, punitive damages where insurable by law, judgments, settlements, . . . costs, charges and expenses or other damages incurred in connection with any investigation by any governmental body or self-regulatory organization” but does not include “fines or penalties imposed by law.”

The question on this appeal distills to whether the disgorgement sanction in the SEC order is a penalty within the meaning of the policy language, as respondents argue, or compensatory relief, as appellants claim and the majority concludes. The majority is correct that the insurance policy language must be interpreted in accordance with the law of contract. Thus, “[a]nalysis of the claims in this action begins with the basic principle that insurance contracts, like other agreements, will ordinarily be enforced as written” (*J.P. Morgan Sec. Inc. v Vigilant Ins. Co.*, 21 NY3d 324, 334 [2013]). Under that principle, “unambiguous provisions of an insurance contract must be given their plain and ordinary meaning, and the interpretation of such provisions is a question of law for the court” (*Vigilant Ins. Co. v Bear Stearns Cos., Inc.*, 10 NY3d 170, 177 [2008] [internal quotation marks omitted], quoting *White v Continental Cas. Co.*, 9 NY3d 264, 267 [2007]). “Freedom of contract

Adviser to Pay \$40 Million in Settlement [Feb. 5, 2008], available at <https://www.sec.gov/news/press/2008/2008-10.htm>.

6. In turn, “Wrongful Act” is defined as “any actual or alleged act, error, omission, misstatement, misleading statement, neglect or breach of duty by” the insured.

prevails in an arm's length transaction between sophisticated parties such as these, and in the absence of countervailing public policy concerns there is no reason to relieve them of the consequences of their bargain" (*Oppenheimer & Co. v Oppenheim, Appel, Dixon & Co.*, 86 NY2d 685, 695 [1995]).

The policy clearly applies to losses incurred in connection with the SEC investigation, which was an action undertaken by a government regulatory entity that oversees compliance with federal securities laws and regulations. The policy signatories are sophisticated parties who, we must assume, understood both the law and the SEC's enforcement authority at the time they entered into their contracts. Thus, resolution of the interpretive question here requires an understanding of the SEC's authority to seek disgorgement for securities violations when the parties agreed to the policy language providing that penalties were not recoverable.

III.

SEC Enforcement Authority and Disgorgement as a Tool to Deter Wrongdoing

As a creature of Congress, the SEC only has those powers granted by legislation (*see Louisiana Pub. Serv. Comm'n v FCC*, 476 US 355, 374 [1986]). Although the SEC has always had injunctive authority (15 USC § 78a *et seq.*), it has no authority to seek compensatory damages and it was not until the 1990s that Congress expressly granted the SEC the power to seek disgorgement and civil penalties (*see e.g.* 15 USC § 77h-1 [e], added by Pub L 101-429, 104 US Stat 931 [101st Cong, 2d Sess, Oct. 15, 1990] ["In any cease-and-desist proceeding under subsection (a), the Commission may enter an order requiring accounting and disgorgement"]; 15 USC § 77t [d], added by Pub L 101-429, 104 US Stat 931 [101st Cong, 2d Sess, Oct. 15, 1990] ["Whenever it shall appear to the Commission that any person has violated any provision . . . the (SEC) may bring an action in a United States district court to seek . . . a civil penalty to be paid by the person who committed such violation"]; *see also Kokesh v SEC*, 581 US —, —, 137 S Ct 1635, 1640 [2017]). Thus, when the insurance policies were signed, the SEC could not demand compensatory relief but regularly sought—and the courts granted—disgorgement of a wrongdoer's ill-gotten gains as a tool to deter securities violations.

Federal courts have long understood that "the primary purpose of disgorgement is not to compensate investors. Unlike

damages, it is a method of forcing a defendant to give up the amount by which [they were] unjustly enriched” (*Securities & Exch. Commn. v Commonwealth Chem. Sec., Inc.*, 574 F2d 90, 102 [2d Cir 1978]; see also *Securities & Exch. Commn. v Texas Gulf Sulphur Co.*, 446 F2d 1301, 1308 [2d Cir 1971] [“Restitution of the profits on these transactions merely deprives the appellants of the gains of their wrongful conduct”]; John D. Ellsworth, *Disgorgement in Securities Fraud Actions Brought by the SEC*, 1977 Duke LJ 641, 641 and n 1; *Securities & Exch. Commn. v Huffman*, 996 F2d 800, 802 [5th Cir 1993] [Disgorgement “is an equitable remedy meant to prevent the wrongdoer from enriching (themselves) by (their) wrongs. Disgorgement does not aim to compensate the victims of the wrongful acts, as restitution does. Thus, a disgorgement order might be for an amount more or less than that required to make the victims whole” (citations omitted)]; *Securities & Exch. Commn. v First City Fin. Corp. Ltd.*, 890 F2d 1215, 1232 n 24 [DC Cir 1989] [“(I)n the context of an SEC enforcement suit, . . . deterrence is the key objective”]; *Official Comm. of Unsecured Creditors of WorldCom, Inc. v Securities & Exch. Commn.*, 467 F3d 73, 83 [2d Cir 2006, Sotomayor, J.] [“(T)he SEC’s purpose in seeking disgorgement of ill-gotten profits has always been deterrence,” not the compensation of victims]).

At the time Bear Stearns purchased its wrongful acts insurance coverage from respondents, it was further well-established that “[a]lthough disgorged funds may often go to compensate securities fraud victims for their losses, such compensation is a distinctly secondary goal” (*Securities & Exch. Commn. v Fischbach Corp.*, 133 F3d 170, 175 [2d Cir 1997]). Indeed, “the measure of disgorgement need not be tied to the losses suffered by defrauded investors” (*id.* at 176).⁷ As early as 1987, the United States Supreme Court, in another government enforcement action context, had referred to disgorgement as a “limited form of penalty” (*Tull v United States*, 481 US 412, 424 [1987]).⁸

Shortly before the SEC commenced its investigations into Bear Stearns, Congress passed the Sarbanes-Oxley Act of 2002,

7. Black’s Law Dictionary similarly defined disgorgement as “[t]he act of giving up something (such as profits illegally obtained) on demand or by legal compulsion” (Black’s Law Dictionary 480 [7th ed 1999]), without mention of compensation to victims.

8. Contrary to the majority’s suggestion (majority op at 567), the fact that the SEC has interpreted its authority as encompassing the power to seek third-party disgorgement in no way alters that the SEC has always understood the primary purpose of this remedy is punishment.

which codified, in part, the existing judicial practice of placing civil penalties and disgorgement into a fund.⁹ However, those funds might never be distributed. Instead, they will be added to the Federal Treasury when victims cannot be identified or, as provided by SEC rules,

“[w]hen, in the opinion of the [SEC] or the hearing officer, the cost of administering a plan of disgorgement relative to the value of the available disgorgement funds and the number of potential claimants would not justify distribution of the disgorgement funds to injured investors, the plan may provide that the disgorgement funds and any civil penalty shall be paid directly to the general fund of the United States Treasury” (17 CFR 201.1102 [b]).

Unsurprisingly, given the statutory framework and judicial holdings, the SEC has, on numerous occasions, represented in court that disgorgement is not compensatory.¹⁰ As the SEC has consistently explained,

“the fact that disgorged funds generally are used to compensate investors does not mean that restitution for investors is the purpose of the remedy. That the purpose is to remove ill-gotten gains from wrongdoers, and deter future violations, is made clear by the fact that in those instances where the funds cannot be used to compensate investors, and

9. The act provides that

“[i]f, in any judicial or administrative action brought by the [SEC] under the securities laws, the [SEC] obtains a civil penalty against any person for a violation of such laws, or such person agrees, in settlement of any such action, to such civil penalty, the amount of such civil penalty shall, on the motion or at the direction of the [SEC], be added to and become part of a disgorgement fund or other fund established for the benefit of the victims of such violation” (15 USC § 7246 [a]).

10. When Congress imposed a five-year statute of limitations on the SEC’s enforcement of civil penalties in 28 USC § 2462, the SEC took the position that disgorgement was not subject to this limitations period. Thus, the SEC relied on its authority to seek disgorgement outside the five-year period. For example, between 2013 and 2016, disgorgement payments jumped 25%, as against only a 9% increase in penalties (*compare* SEC, Select SEC and Market Data, Fiscal 2016 at 2, available at <https://www.sec.gov/reportspubs/select-sec-and-marketdata/secstats2016.pdf> [disgorgement of \$2.809 billion and penalties of \$1.273 billion], *with* SEC, Select SEC and Market Data, Fiscal 2013 at 2, available at <https://www.sec.gov/reportspubs/selectsec-and-market-data/secstats2013.pdf> [disgorgement of \$2.257 billion and penalties of \$1.167 billion]).

the money reverts to the Treasury—a use which clearly is not restitutionary since the Treasury is not being restored money taken from it” (brief for appellant in *Securities & Exch. Commn. v AMX Intl., Inc.*, 7 F3d 71 [5th Cir 1993], available at 1992 WL 12127856, *13).

Therefore, the “purpose of disgorgement . . . is . . . not satisfying creditors or repaying investors,” but “depriving wrongdoers of their ill-gotten gains” (brief for appellee in *Securities & Exch. Commn. v Custable*, 796 F3d 653 [7th Cir 2015] [emphasis, brackets and internal quotation marks omitted], available at 2015 WL 3383280, *24). Specifically, and “[i]n contrast to the compensatory purpose of damages in private actions, *i.e.*, compensation for the harm suffered by the plaintiff, the purpose of disgorgement in [SEC] actions is to prevent unjust enrichment and to deter future violations” (brief for appellee in *Securities & Exch. Commn. v Smyth*, 420 F3d 1225 [11th Cir 2005], available at 2004 WL 4802488, *41). In fact, the “loss sustained by the victims . . . is irrelevant to the calculation of disgorgement in an SEC enforcement action” (brief for appellee in *Securities & Exch. Commn. v Smith*, 646 Fed Appx 42 [2d Cir 2016] [brackets and internal quotation marks omitted], available at 2015 WL 7185051, *32). “Compensation to injured investors is a distinctly secondary goal” (brief for respondent in *Martin v United States Sec. & Exch. Commn.*, 734 F3d 169 [2d Cir 2013] [internal quotation marks omitted], available at 2012 WL 8126225, *4).

Notably, in a previous unrelated appeal between Bear Stearns and insurers Vigilant Insurance Company and Federal Insurance Company—two of the respondents here—the SEC filed an amicus brief with our Court vehemently opposing the same argument Bear Stearns asserts in the instant appeal, namely that disgorgement funds are the equivalent of compensatory damages (*see* brief for amicus curiae in *Vigilant Ins. Co. v Bear Stearns Cos., Inc.*, 10 NY3d 170 [2008], available at 2007 WL 5024287). The SEC emphasized that “compensatory damages . . . [are] a form of relief that is not permitted in [SEC] actions under the federal securities laws, rather than disgorgement of ill-gotten gains, which is a permitted form of relief” (2007 WL 5024287, *1-2). “The purpose of disgorgement is to deprive wrongdoers of ill-gotten gains. Once funds are disgorged, there remains the separate issue of what to do with the money, and it is within the court’s discretion to determine how and to whom the money will be distributed” (*id.* at *10-11

[internal quotation marks and citation omitted]). “Compensation of injured investors . . . does not transform the payment into compensatory damages” (*id.* at *11).¹¹ The same holds true here.

Bear Stearns’s own expert—former SEC Chair and the originator and principal draftsman of the distribution fund provision of the Sarbanes-Oxley Act, Harvey Pitt—acknowledged in his expert report in this case that

“[t]he SEC’s Enforcement Program is not designed to make injured investors whole, since the SEC was not intended, and lacks the resources, to become a ‘collection agency.’ Nor is the program designed solely to confiscate a securities violator’s ‘ill gotten’ gains, although the program endeavors to prevent those who engage in misconduct from keeping any such ‘ill gotten gains’—the classic, but by no means the sole, definition of ‘disgorgement.’ SEC enforcement actions also have a far broader purpose—namely, to discourage any person from ‘facilitating’ the violative conduct of others that is detrimental to the interests of investors and the integrity and fairness of this Country’s capital markets.”

He further expounded that,

“[b]y achieving that broader purpose, the SEC fulfills its tri-partite mission—to protect investors; assure fair, orderly and efficient securities trading markets; and facilitate corporate capital formation. For that reason, the SEC has successfully pursued equitable remedies—like disgorgement—despite the absence of express authority to do so, virtually from its inception, at first in settled administrative actions, subsequently by invoking judicial equitable powers, and finally pursuant to express statutory authority. The SEC’s theory has always been that persons and entities acting improperly should be subject to a variety of remedies and sanctions that

11. *Vigilant Ins. Co. v Bear Stearns Cos., Inc.* involved an insurance dispute in which Bear Stearns “breached a policy provision obligating it to obtain the consent of its liability carriers before settling claims in excess of \$5 million” (*Vigilant Ins. Co.*, 10 NY3d at 174). In reaching this conclusion, the Court did not address the insurers’ alternative argument “that the \$25 million disgorgement payment was uncollectible either as a matter of public policy or under contract interpretive principles” (*id.* at 176).

will discourage them, as well as others similarly situated, from engaging in similar conduct” (see also SEC, Report Pursuant to Section 308[c] of the Sarbanes Oxley Act of 2002 at 3 n 2 [2003] [“Restitution is intended to make investors whole, and disgorgement is meant to deprive the wrongdoer of their ill-gotten gain. Defendants in Commission enforcement actions, especially in issuer financial fraud and offering fraud cases, may cause investor losses that are larger than any profit disgorgeable by them”]).

As the Supreme Court reaffirmed in *Kokesh*, “[s]anctions imposed for the purpose of deterring infractions of public laws are inherently punitive because ‘deterrence [is] not [a] legitimate nonpunitive governmental objectiv[e]’ ” (*Kokesh*, 581 US at —, 137 S Ct at 1643, quoting *Bell v Wolfish*, 441 US 520, 539 n 20 [1979]). Moreover,

“SEC disgorgement sometimes exceeds the profits gained as a result of the violation. Thus, for example, ‘an insider trader may be ordered to disgorge not only the unlawful gains that accrue to the wrongdoer directly, but also the benefit that accrues to third parties whose gains can be attributed to the wrongdoer’s conduct.’ Individuals who illegally provide confidential trading information have been forced to disgorge profits gained by individuals who received and traded based on that information—even though they never received any profits. . . . In such cases, disgorgement does not simply restore the status quo; it leaves the defendant worse off” (581 US at —, 137 S Ct at 1644-1645 [citations omitted], quoting *Securities & Exch. Commn. v Contorinis*, 743 F3d 296, 302 [2d Cir 2014], and citing *Securities & Exch. Commn. v Warde*, 151 F3d 42, 49 [2d Cir 1998], and *Securities & Exch. Commn. v Clark*, 915 F2d 439, 454 [9th Cir 1990]).

The majority erroneously discounts the significance of *Kokesh*. First, the majority reasons that *Kokesh* was decided after the parties executed the insurance contracts (majority op

at 568-569).¹² This basis for ignoring Supreme Court precedent is easily dispensed with because the part of the *Kokesh* analysis that is relevant here relies on case law that predates the insurance policy in this case. Put another way, *Kokesh* resolved the open legal question of whether disgorgement was subject to the five-year statute of limitations applicable to SEC civil penalties by reliance on well-established, undisputed, case law that disgorgement inflicts punishment as a means to deter a public rather than a private harm to any individual (*Kokesh*, 581 US at —, 137 S Ct at 1642 [“A ‘penalty’ is a ‘punishment, whether corporal or pecuniary, imposed and enforced by the State, for a crime or offense against its laws’ ”], quoting *Huntington v Attrill*, 146 US 657, 667 [1892]; see also *Brady v Daly*, 175 US 148 [1899]; *Meeker v Lehigh Valley R. Co.*, 236 US 412 [1915]). Thus, contrary to the majority view (majority op at 569), the Supreme Court’s interpretation of the statute did not disturb prior judicial understanding of disgorgement as punishment. The majority’s second reason for disregarding *Kokesh* is similarly unavailing. According to that part of the majority analysis, *Kokesh* must be understood as limited to the statute of limitations question because in the subsequent case of *Liu v SEC* (591 US —, 140 S Ct 1936 [2020]), the Court clarified that in other contexts disgorgement could serve a compensatory purpose (majority op at 568-569). *Liu* held that it is within the SEC’s authority to award equitable relief to seek disgorgement of less than the wrongdoer’s profits, which are in turn awarded to victims (591 US at —, 140 S Ct at 1940). *Liu* did not turn on whether disgorgement is a penalty, and *Liu* did not backtrack from *Kokesh*. Instead, *Liu* decided the question left open by *Kokesh*—whether a court has equitable

12. Although the majority appears to question the insurers’ argumentation here because they “did not emphasize the argument that the \$140 million represented a penalty under the policy until after *Kokesh* was decided” (majority op at 568 n 11) the insurers have never taken a contrary position. Indeed, since at least 2013, the insurers have challenged the very argument raised here. In *J.P. Morgan Sec. Inc.* (21 NY3d 324), the insurers maintained that “there is no basis for Bear Stearns’ assertion that its disgorgement payment is somehow not disgorgement but more akin to compensatory damages because it did not reflect Bear Stearns’ own gains, but rather the ‘gains the SEC alleged were received by Bear Stearns customers’ ” (brief for defendants-respondents in *J.P. Morgan Sec. Inc. v Vigilant Ins. Co.*, 21 NY3d 324 [2013]). The insurers cautioned that calling the disgorgement in this case compensatory could raise questions about whether the SEC is seeking relief that is outside its authority—the same concern that obviously motivated the prior SEC amicus filing in our Court (brief for amicus curiae in *Vigilant Ins. Co.*, 10 NY3d 170).

power to award disgorgement as a penalty in an SEC enforcement action (*see* 591 US at —, 140 S Ct at 1941). The Court concluded that Congress did not authorize an equitable remedy in excess of a defendant's net profits from wrongdoing (*see* 591 US at —, 140 S Ct at 1946). But a decision on the scope of the SEC's equitable remedies and a court's authority to impose a disgorgement amount in excess of a wrongdoer's gains is not a rejection of the long-standing principle that disgorgement is a deterrent because it penalizes the wrongdoer.

Indeed, enforcement of disgorgement against Bear Stearns is not at issue here. The SEC instituted a civil proceeding against Bear Stearns under 15 USC § 77h-1 (e), which provides that the SEC can seek disgorgement in a cease-and-desist proceeding under subsection (a) of that section. The SEC accepted Bear Stearns's offer of settlement, and Bear Stearns consented to the SEC order requiring disgorgement. Unlike the petitioners in *Liu*, Bear Stearns did not challenge the SEC's authority to seek disgorgement in court, and for good reason since Bear Stearns argues before us that the disgorgement amount reflects exactly the amount it proposed in settlement negotiations with the SEC. Rather than controvert the SEC's authority to seek the amount it offered, Bear Stearns paid the entire sanction only to now demand indemnification of the \$140 million portion of the total disgorgement sum.

The majority accepts appellants' claim that the \$140 million in disgorged funds represents not Bear Stearns's own ill-gotten profits but those of its customers (majority op at 564-565). It is true that, at times, the SEC has required a wrongdoer to disgorge third-party ill-gotten gains, even if the wrongdoer "ultimately . . . lost" money (*Securities & Exch. Commn. v First Pac. Bancorp*, 142 F3d 1186, 1192 and n 6 [9th Cir 1998]). Even if that were the case here—and for reasons I discuss in section IV. *infra*, Bear Stearns failed to establish this fact—it would provide an even stronger basis for concluding that disgorgement is a penalty under the policy language. The inherently punitive character of having one wrongdoer pay for the illicit gains of another wrongdoer, maximizes the deterrent effect of disgorgement by increasing the economic disincentive for future wrongdoing. As the Supreme Court has recognized, in these situations, unlike disgorgement of one's own profits, third-party profit "disgorgement does not simply restore the status quo; it leaves the defendant worse off" (*Kokesh*, 581 US at —, 137 S Ct at 1645).

IV.

The Disgorged Funds are a Penalty under New York Law

As discussed (*see* section III., *supra*), under federal law at the time the parties signed their contract, disgorgement would not have been understood as a compensatory payment. Rather, the law at the time made clear that disgorgement was a penalty that served the primary purpose to discourage federal securities violations. However, even if the majority were correct that the meaning of “penalty” turns solely on New York law, the result would be the same.

Our Court has recognized that punishment for violations of public laws and deterrence of such behavior are “the traditional purposes of penalties” (*Sperry v Crompton Corp.*, 8 NY3d 204, 214 [2007]). And, at the time Bear Stearns signed the insurance policies, it was well established in our case law that the underlying purpose of the action determines the nature of the relief sought. For example, in *Sicolo v Prudential Sav. Bank of Brooklyn, N.Y.* (5 NY2d 254, 258 [1959]), this Court considered whether the plaintiff’s complaint seeking monetary relief under the General Municipal Law for injury suffered while working as a New York City firefighter was an action for a penalty. The Court concluded it was not because “[i]t is the intrinsic nature of the exaction that counts” and the General Municipal Law action “is essentially one for compensation to a person injured through a defendant’s fault” (*id.* at 258). As the Court explained, “the true test” applied by New York courts is whether the exactions are “imposed for punishment or for redress of injury to an individual” (*id.*).

As for disgorgement of third-party ill-gotten gains, since the 1800s New York courts have held that requiring a wrongdoer to account for payments owed by others is punitive (*see Merchants’ Bank v Bliss*, 35 NY 412, 416-417 [1866] [holding that a statute imposing joint and several liability on officers for debts of the company “impose(s) a penalty”]; *Dabney v Stevens*, 2 Sweeny 415, 424, 10 Abb Prac [NS] 39, 44 [1870] [same]; *Bird v Hayden*, 1 Robt 383, 388, 22 Abb Prac [NS] 61, 65-66 [NY Super Ct 1863] [holding that a statute imposing liability on officers for corporation’s debts for neglecting duty “is in the nature of a penalty, and was designed as a punishment”]). The majority places undue emphasis on *Zurich Ins. Co. v Shearson Lehman Hutton* (84 NY2d 309 [1994]), as instructive on the question presented here. In *Zurich*, insurers sought a declara-

tory judgment that a comprehensive general liability policy did not cover *punitive damages* in two separate out-of-state slander actions (*see id.* at 312-313). The Court identified the question presented as “whether New York’s public policy precluding indemnification for punitive damages should prevail over the public policies of the [foreign] judgment States, which allow indemnification” (*id.* at 313). The Court explained “that the purpose of punitive damages is solely to punish . . . and . . . deter” and further stated that those damages “are not *intended* to compensate or reimburse the plaintiff” (*id.* at 316 [emphasis added]). The majority deletes the word “intended” when quoting *Zurich* and thus ignores that the point of the sentence is the historic focus on the underlying purpose of the award—the *intention to punish* versus the *intention to compensate*. But that distinction of purpose is crucial to the analysis in *Zurich*. The Court held that,

“under the Georgia statute in effect at the time of the [trial], a jury in a tort action with ‘aggravating circumstances’ could award ‘additional damages to deter the wrongdoer . . . or as compensation for the wounded feelings of the plaintiff’ . . . Inasmuch as the court charged the jury that the punitive damage award could include *both* punitive *and* compensatory elements and there was evidence to support each, the plaintiff must supply coverage” (*id.* at 316-317 [emphasis added and citation omitted], quoting Ga Code Ann § 51-12-5 [a]).

Zurich is thus limited to the facts of that case and the discrete question of whether New York’s public policy barred insurance coverage for a foreign jurisdiction’s jury award that failed to identify and disaggregate “compensation” from “penalty.” In other words, in *Zurich* the intent of the award was unclear. *Zurich* is logically understood as a holding favoring an insured where a court cannot determine whether the award is wholly compensatory or punitive. In such a case, where the concerns animating New York’s public policy against indemnification of penalties are not expressly implicated and the damages are not clearly punitive in character, New York courts should not bar application of the foreign jurisdiction’s policy allowing insurance payment of penalties. *Zurich* avoids an outcome that was unintended by the parties’ contract and against our public policy: denial of bargained-for coverage to an insured for an award that might be compensatory, which as a consequence,

allows the insurer to escape payment based solely on the uncertainty of the award. The majority's reading of *Zurich* places its holding in the instant appeal at odds with the Court's decision in *Sperry*, which concluded that the total damages awarded under the Donnelly Act was a penalty, even though "one-third unquestionably compensates a plaintiff for actual damages" (8 NY3d at 214). Notably, *Sperry* "had consistently sought treble damages throughout his litigation and ha[d] not previously attempted to waive them to pursue only actual damages" (*id.* at 215). In contrast, the \$140 million portion at issue here is approximately 88% of the total disgorgement sanction.¹³ Under the majority's reading, absent some other ground to deny indemnification, Bear Stearns is off the hook for almost three times the compensatory amount in *Sperry*. That outcome would undermine the deterrent effect of disgorgement on Bear Stearns and on future securities fraud violators.

Moreover, unlike in *Zurich* and *Borden v 400 E. 55th St. Assoc, L.P.* (24 NY3d 382 [2014]), relied upon by the majority, Bear Stearns has failed to prove that any part of the disgorgement is purely compensatory (*see* section V., *infra*). Therefore, contrary to the majority's assertion (majority op at 565 n 6), we cannot say that the \$140 million "unquestionably compensates a plaintiff for actual damages" (*Borden*, 24 NY3d at 398, citing *Sperry*, 8 NY3d at 214). Simply put, treble damages where one can easily determine that one third of the amount is actual damages is not the same as an SEC disgorgement settlement payment. As Bear Stearns's own lawyer stated, the \$140 million

"does not constitute an admission . . . or constitute revenue[s] earned, advantage obtained, or damage caused by the customer, correspondent or account . . . Nor should the [\$140 million] be construed as an admission that 'fair value' damage is an appropriate methodology or provides an appropriate measure of profitability, harm, or advantage gained as a result of market timing."

The majority's interpretation of *Zurich* also ignores that penalties are regularly paid to an injured party but without rendering the award any less punitive in nature. In fact, the civil

13. Bear Stearns argues that \$20 million of the \$160 million disgorgement, or 12.5% of the total, represents the SEC's calculations of Bear Stearns's own ill-gotten gains and thus Bear Stearns does not seek recovery of that portion.

penalties paid by Bear Stearns were placed into the Fair Fund along with the disgorged funds. The reason is obvious: the focus is on the nature of the action. Where the intent is deterrence of wrongdoing, the secondary benefit to a victim is a *consequence* of the penalty, not its motivating principle.

In summary, SEC disgorgement is a penalty within the meaning of the insurance policy language because it deters violations of public law—federal securities statutes and regulations—rather than compensating violations against a particular aggrieved individual. That some portion of a particular disgorgement may be distributed to an unidentified injured party does not change the essentially punitive character of disgorgement as a tool of deterrence. The majority’s conclusion that disgorgement here is a recoverable compensatory payment may be a welcome outcome for appellants, but it is not a correct reading of the insurance policy language. Taking a view through the lens of the federal securities regulatory framework, the SEC and Congress could not have intended the possible anti-deterrent outcome that if appellants eventually succeed on remittal the insurers will indemnify Bear Stearns for the \$140 million disgorgement sanction that was imposed to prevent their alleged wrongdoing in the securities markets.

V.

Appellants’ Summary Judgment Submissions were Inadequate

Based on Bear Stearns’s argument that it had paid the SEC compensation for third party harm, Bear Stearns moved for summary judgment on the question of whether the \$140 million disgorgement was a recoverable loss under the policy language. As the party moving for summary judgment, Bear Stearns was required to “make a prima facie showing of entitlement to judgment as a matter of law, tendering sufficient evidence to demonstrate the absence of any material issues of fact” (*Jacobsen v New York City Health & Hosps. Corp.*, 22 NY3d 824, 833 [2014]). “This burden is a heavy one and on a motion for summary judgment, facts must be viewed in the light most favorable to the non-moving party” (*id.* [citation omitted]). If the movant fails to meet this burden, the court must deny summary judgment without considering the sufficiency of the opposing papers (*Voss v Netherlands Ins. Co.*, 22 NY3d 728, 734 [2014]). “If the moving party meets this burden, the burden then shifts to the non-moving party to ‘establish

the existence of material issues of fact which require a trial of the action' ” (*Jacobsen*, 22 NY3d at 833, quoting *Vega v Restani Constr. Corp.*, 18 NY3d 499, 503 [2012]). “Since [summary judgment] deprives the litigant of [their] day in court it is considered a drastic remedy which should only be employed when there is *no doubt* as to the absence of triable issues” (*Andre v Pomeroy*, 35 NY2d 361, 364 [1974] [emphasis added]).

Even under the majority’s rule that disgorgement of third-party gains to compensate victims is a penalty within the meaning of the policy language, Bear Stearns failed to establish that the \$140 million disgorgement was based on the SEC’s calculations of victim harm rather than Bear Stearns’s own ill-gotten gains.

Bear Stearns’s in-house counsel admitted that he did not know, or could not recall, any of the discussions with the SEC about the disgorgement and penalty amounts and did not know how they were calculated. When asked if Bear Stearns’s settlement with the SEC reflected Bear Stearns’s own gains from the illegal trading at issue, in house counsel testified, “I can’t tell you what the SEC was thinking, I don’t know.” When asked if he knew how the \$250 million settlement amount was calculated, he responded that he knew “it was a number that was acceptable to both the company and to the SEC staff in the course of the negotiations.” He did not recall whether or not he was ever advised about how the disgorgement and penalty amounts were calculated.

Separately, Bear Stearns’s general counsel could not recall how the \$250 million was calculated or any of the discussions with the SEC about the disgorgement and penalty components of that payment: “I don’t recall specifically any discussions about the components of [the settlement] sitting here today.” The Bear Stearns board members who voted to approve the settlement with the SEC similarly testified that they did not know how the disgorgement amount was calculated.

The only person who could remember the negotiations was outside counsel for Bear Stearns. In his affirmation in support of Bear Stearns’s motion, counsel stated that the SEC advised him that it was not seeking damages from Bear Stearns but was in fact seeking disgorgement of their customers ill-gotten gains and the methods used to calculate those gains. He further affirmed that at the request of the SEC Bear Stearns employed a specific methodology to calculate those gains which

resulted in an estimate of \$519 million. Bear Stearns also employed two other methodologies, one resulting in an estimate of \$306 million and the other \$140 million. According to counsel the SEC informed him that it would use the \$140 million but he did not explain why the SEC rejected an estimate (the \$519 million) that was 270% higher, based on the methodology it had proposed in the first instance, and which was closer to the SEC's initial demand for \$720 million in sanctions. Moreover, counsel admitted that damages are not the same thing as disgorgement, and that the SEC was not authorized to obtain damages from Bear Stearns in this proceeding. Thus, Bear Stearns failed to carry its burden of establishing the basis for the calculations and that the SEC was seeking to compensate victims for losses actually incurred.¹⁴

Indeed, the summary judgment submissions failed to establish that there was no material factual issue regarding whether the \$140 million reflected anything other than Bear Stearns's own ill-gotten gains. Bear Stearns admitted that the SEC first sought \$720 million in sanctions. The \$250 million sanction was accepted only after the SEC agreed to its first two publicly-announced settlements with hedge funds—which imposed over \$148 million in disgorgement. Others followed, approximating another \$130 million in disgorgement. As respondents point out, the SEC's press release describing the Bear Stearns settlement refers only to the companies' own gains and not those of its customers.¹⁵ The same is true for the announcements concerning the hedge fund settlements and other industry players. Thus, the SEC settlement with Bear Stearns must be considered in the context of the SEC's prosecution of the fraud-

14. The majority wrongly concludes that Bear Stearns's evidence of the negotiations is not hearsay (majority op at 565 n 7). The evidence was admitted to establish the truth of the matter submitted, i.e. that the SEC adopted the calculations submitted by Bear Stearns indicating that \$140 million was a proper approximation of their customer's gains. Even if properly before the Court, the evidence is inadequate to satisfy Bear Stearns's burden on summary judgment.

15. The majority mischaracterizes the SEC press release, relying on Bear Stearns's self-serving "concession" that only the \$20 million portion of the disgorgement reflects its "own revenue" (majority op at 565-566). But Bear Stearns has consistently argued that it discussed \$16 million in losses with the SEC and has sought to explain the difference in the settlement amount as a unilateral rounding up by the SEC. How and why the SEC determined it should round up from one even number to another and why it rounded up four million dollars versus any other amount remains an unsolved mystery—or more precisely a factual question that cannot be resolved on summary judgment.

ulent market practices by various entities and individuals and the negotiations that led to these multi-million-dollar settlements. It cannot be concluded on this record that the SEC sought to compensate harm to shareholders by disgorging from Bear Stearns's ill-gotten gains of third-party hedge funds while at the same time demanding that those hedge funds disgorge their profits. Bear Stearns took this very position before the SEC in correspondence explaining its methodology underlying the \$140 million estimate:

“[m]oreover, we believe that many—if not all—mutual fund shareholders have already been or will be fully compensated for an injury they sustained as a result of market timing or late trading by the settlements the [SEC] has reached with market timers themselves and with the mutual funds that permitted market timing.”

VI.

Conclusion

The \$140 million disgorgement is a penalty. First, compensatory damages are not an authorized form of relief in this type of SEC action. Second, disgorgement has long been utilized as a means to deter future violations of the securities laws by depriving a wrongdoer of ill-gotten gains. While disgorgement of the wrongdoer's own profits returns them to their pre-violation status, exaction of another party's ill-gotten gains puts the wrongdoer in a worse position, as they must pay the proceeds wrongfully earned by someone else. Whatever doubts the majority may invent as to the penal nature of the former, the latter is a quintessential penalty that maximizes deterrence. Put another way, it is one thing to risk the consequences of one's own illegality and loss of personal gain and quite another to gamble on paying the additional price of another's fraudulently earned profits. Third, the majority relies on an inapt binary—disgorgement is either penalty or compensation, but cannot be both. This ignores that the purpose of disgorgement is to discourage future illegality and serves to address a public rather than a private harm. Whether a victim is paid from the disgorged funds is irrelevant to those goals. Indeed, disgorgement does not lose its penal character because some of the funds may be distributed to a victim of the securities law violation. If that were the case, under the majority's reasoning,

the civil penalties imposed here and many other civil penalties regularly awarded to injured parties would be “compensatory,” but, of course, that is not the case, notwithstanding the majority decision today.

Judges FAHEY, GARCIA, WILSON, SINGAS and CANNATARO concur; Judge RIVERA dissents and votes to affirm in an opinion.

Judgment insofar as appealed from and so much of the Appellate Division order brought up for review reversed, with costs, and case remitted to the Appellate Division, First Department, for further proceedings in accordance with the opinion herein.

[183 NE3d 1185, 163 NYS3d 467]

PLYMOUTH VENTURE PARTNERS, II, L.P., et al., Appellants, v
GTR SOURCE, LLC, et al., Respondents.

PLYMOUTH VENTURE PARTNERS, II, L.P., et al., Appellants, v
CAPITAL MERCHANT SERVICES, LLC, Respondent.

Argued November 16, 2021; decided December 16, 2021

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review two questions certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “(1) whether a judgment debtor suffers cognizable damages in tort when its property is seized pursuant to a levy by service of execution that does not comply with the procedural requirements of CPLR 5232(a), even though the seized property is applied to a valid money judgment; and, if so (2) whether the judgment debtor can, under these circumstances, bring a tort claim against the judgment creditor or the marshal without first seeking relief under CPLR 5240.”

HEADNOTE

Judgments — Enforcement — Levy upon Personal Property — Violation of CPLR Article 52 Service Requirements

A judgment debtor’s exclusive avenue for relief when its property is seized pursuant to a levy by service of execution that does not comply with the procedural requirements of CPLR 5232 (a) is to bring an appropriate action pursuant to CPLR article 52. CPLR 5240 grants the courts broad discretionary power to control and regulate the enforcement of a money judgment under article 52 to prevent unreasonable annoyance, expense, embarrassment, disadvantage, or other prejudice to any person or the courts. Permitting an action based solely on the violation of requirements established by article 52 to proceed outside the mechanisms provided by article 52 would be inconsistent with the relevant statutory framework. The legislature provided the avenues for relief it deemed warranted in article 52, and empowering a judgment debtor to evade these proceedings, which are, at bottom, designed to protect debtors from improper collection efforts, would eviscerate the purpose of article 52. An article 52 proceeding, brought as it must be within a reasonable time, also serves to limit the injury that might be inflicted by improper use of the enforcement process.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d Executions and Enforcement of Judgments
§§ 128, 169, 171, 182, 285, 289.

CARMODY-WAIT 2d Enforcement of Judgments §§ 64:160, 64:162, 64:460, 64:461.

McKINNEY'S, CPLR 5232 (a); 5240.

NY JUR 2d Enforcement and Execution of Judgments §§ 84, 99, 338, 339.

SIEGEL, NY PRAC §§ 494–496.

ANNOTATION REFERENCE

See ALR Index under Attachment and Garnishment; Executions.

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Query: “judgment debtor” /s serv! /5 execution /5 levy & relief

POINTS OF COUNSEL

White and Williams LLP, New York City (*Shane R. Heskin* and *Stuart J. Wells* of counsel), for appellant. I. A judgment debtor suffers cognizable damages in tort when its property is seized pursuant to a levy by service of execution that does not comply with the procedural requirements of CPLR 5232 (a), even though the seized property is applied to a valid money judgment. (*Paul v Fargo*, 84 App Div 9; *Silberstein v Presbyterian Hosp. in City of N.Y.*, 96 AD2d 1096; *Day v Bach*, 87 NY 56; *Williams v Williams*, 23 NY2d 592; *National Bank of N. Am v International Bhd. of Elec. Workers, Local No. 3, Pension & Vacation Funds*, 69 AD2d 679; *Day v Bach*, 87 NY 56; *Fischer v Langbein*, 103 NY 84; *Iorio v City of New York*, 96 Misc 2d 955; *Ettinger v Wilke*, 79 Misc 2d 387; *Yeh v Seakan*, 119 Misc 2d 681.) II. A judgment debtor can bring a tort claim against either the judgment creditor or the marshal without first seeking relief under CPLR 5240. (*Day v Bach*, 87 NY 56; *Fischer v Langbein*, 103 NY 84; *Gottlieb v Kenneth D. Laub & Co.*, 82 NY2d 457.)

Hodgson Russ LLP, Buffalo (*Ryan K. Cummings* and *James J. Zawodzinski, Jr.* of counsel), for GTR Source, LLC, respondent. I. The first certified question should be answered in the negative because the judgment debtor has no damages proximately caused by an alleged tort. (*Gaines v Gaines*, 109 AD2d 866; *Lieberman v Pobiner, London, Bashian & Buonamici*, 190 AD2d 716; *Benzemann v Citibank N.A.*, 149 AD3d 586; *Paul v*

Fargo, 84 App Div 9; *Silberstein v Presbyterian Hosp. in City of N.Y.*, 96 AD2d 1096; *Williams v Williams*, 23 NY2d 592; *National Bank of N. Am v International Bhd. of Elec. Workers, Local No. 3, Pension & Vacation Funds*, 69 AD2d 679; *Commercial Union Assur. Co. plc v Milken*, 17 F3d 608; *Cuoco v Moritsugu*, 222 F3d 99; *Bam Bam Entertainment LLC v Pagnotta*, 59 Misc 3d 906.) II. The second certified question should be answered in the negative because the judgment debtor has to invalidate the underlying money judgment before bringing a tort claim. (*Silberstein v Presbyterian Hosp. in City of N.Y.*, 96 AD2d 1096; *Gaines v Gaines*, 109 AD2d 866.)

Stein Adler Dabah & Zelkowitz, LLP, New York City (*Christopher R. Murray* of counsel), for Capital Merchant Services, LLC, respondent. I. FutureNet Group Inc. did not suffer cognizable tort damages. (*Day v Bach*, 87 NY 56; *Insurance Corp. of Ireland v Compagnie des Bauxites de Guinee*, 456 US 694; *Gilbert v Burnstine*, 255 NY 348; *Alfred E. Mann Living Trust v ETIRC Aviation S.A.R.L.*, 78 AD3d 137; *Matter of Brunswick Hosp. Ctr. v Hynes*, 52 NY2d 333; *Matter of Sessa v Board of Assessors of Town of N. Elba*, 46 AD3d 1163; *Koehler v Bank of Bermuda Ltd.*, 12 NY3d 533; *Commercial Union Assur. Co., plc v Milken*, 17 F3d 608; *Bam Bam Entertainment LLC v Pagnotta*, 59 Misc 3d 906; *Marc Dev., Inc. v Wolin*, 904 F Supp 777.) II. A judgment debtor cannot recover in tort without first obtaining an order vacating the execution, levy, and demand pursuant to CPLR 5240. (*Day v Bach*, 87 NY 56; *Silberstein v Presbyterian Hosp. in City of N.Y.*, 96 AD2d 1096; *ERA Realty Co. v RBS Props.*, 185 AD2d 871; *Koehler v Bank of Bermuda Ltd.*, 12 NY3d 533; *Cruz v TD Bank, N.A.*, 22 NY3d 61.) III. The appellants' reliance on the separate entity rule is misplaced. (*Motorola Credit Corp. v Standard Chartered Bank*, 24 NY3d 149.)

Cuddy & Feder LLP, White Plains (*Andrew P. Schriever* and *Troy Lipp* of counsel), for Stephen W. Biegel, respondent. I. In the absence of actual damages, a judgment debtor does not suffer cognizable tort damages solely because a judgment enforcement device used to enforce an undisputed, valid state court judgment is served in a procedurally irregular manner. (*Society of Plastics Indus. v County of Suffolk*, 77 NY2d 761; *Allen v Wright*, 468 US 737; *Stark v Goldberg*, 297 AD2d 203; *Bam Bam Entertainment LLC v Pagnotta*, 59 Misc 3d 906; *Cruz v TD Bank, N.A.*, 22 NY3d 61.) II. No express or implied private right of action for damages exists against New York City

marshals under CPLR article 52 or the New York City Civil Court Act. (*Cruz v TD Bank, N.A.*, 22 NY3d 61; *Carrier v Salvation Army*, 88 NY2d 298; *Mark G. v Sabol*, 93 NY2d 710; *Bam Bam Entertainment LLC v Pagnotta*, 59 Misc 3d 906; *Sheehy v Big Flats Community Day*, 73 NY2d 629; *Uhr v East Greenbush Cent. School Dist.*, 94 NY2d 32; *Kerusa Co. LLC v W10Z/515 Real Estate Ltd. Partnership*, 12 NY3d 236.)

Rivkin Radler LLP, Uniondale (*Henry M. Mascia, Cheryl F. Korman and Max Gershenoff* of counsel), for New York State Creditors Bar Association, amicus curiae. I. A judgment creditor does not suffer tort damages from technical defects in a notice of execution and levy of funds used to satisfy an admittedly valid judgment. (*Preston Co. v Funkhouser*, 261 NY 140, 290 US 163; *Ehrenworth v Stuhmer & Co.*, 229 NY 210; *Becker v Schwartz*, 46 NY2d 401; *Wilmot v State of New York*, 32 NY2d 164; *Wordie v Chase Manhattan Bank*, 140 AD2d 435; *AMF, Inc. v Cattalani*, 77 AD2d 779; *I.C.C. Metals v Municipal Warehouse Co.*, 50 NY2d 657; *Day v Bach*, 87 NY 56; *Iazzetti v City of New York*, 94 NY2d 183; *Bam Bam Entertainment LLC v Pagnotta*, 59 Misc 3d 906.) II. A judgment debtor's sole remedy for violations of CPLR article 52 is CPLR 5240. (*Guardian Loan Co. v Early*, 47 NY2d 515; *Viggiano v Viggiano*, 136 AD2d 630.)

OPINION OF THE COURT

GARCIA, J.

In two cases brought in federal court, a judgment debtor asserted tort claims against its judgment creditors and a New York City marshal based upon violations of the CPLR article 52 service requirements allegedly committed in the execution of valid judgments issued by New York courts. Uncertainty as to the viability of such tort claims, particularly with respect to any "damages" the judgment debtor could show in such circumstances, understandably ensued.

As a result, the Second Circuit Court of Appeals certified the following questions to this Court:

"(1) whether a judgment debtor suffers cognizable damages in tort when its property is seized pursuant to a levy by service of execution that does not comply with the procedural requirements of CPLR 5232(a), even though the seized property is applied to a valid money judgment; and, if so

“(2) whether the judgment debtor can, under these circumstances, bring a tort claim against either the judgment creditor or the marshal without first seeking relief under CPLR 5240.” (*Plymouth Venture Partners, II, L.P. v GTR Source, LLC*, 988 F3d 634, 645 [2d Cir 2021].)

We hold that a judgment debtor’s exclusive avenue for relief under these circumstances is to bring an appropriate action pursuant to CPLR article 52. We therefore answer the certified questions accordingly.

I.

FutureNet, a Michigan corporation, borrowed money from defendants. In 2017, the company entered into agreements with GTR Source (GTR) and Capital Merchant Services (CMS), two merchant cash advance (MCA) businesses, for the purchase and sale of future receivables.¹ Pursuant to these agreements, FutureNet received cash at closing and was to arrange for the proceeds of its future receivables to be direct deposited into accounts with Comerica Bank in Michigan, from which GTR and CMS would debit fixed daily payments over the course of 18 weeks. By February 2018, FutureNet had defaulted by blocking GTR and CMS from the Comerica accounts, ending the agreed upon method for repayment of the loans. In response, pursuant to affidavits of confession signed by FutureNet’s CEO as part of the agreements, two judgments were entered in New York courts, one for \$777,957.59 owed to CMS and one for \$120,154.42 owed to GTR.

After judgment was entered, GTR began collection efforts by serving a restraining notice on Comerica Bank in Detroit, Michigan. Upon learning of the restraining notice, FutureNet objected in an email to GTR, stating that Comerica had no presence in New York, that the restraining notice was “tortiously interfering with the superior UCC liens of FutureNet’s senior lenders,” and threatening to file a temporary restraining order. GTR did not withdraw the restraining notice. Instead, days later, GTR issued an execution with notice to garnishee and directed a New York City marshal, Stephen Biegel, to serve Comerica with a notice and levy and demand on Corporate Creations Network, Inc., Comerica’s purported agent for ser-

1. FutureNet’s agreements with GTR and CMS were nearly identical; “[t]he only difference [between the two transactions] was the magnitude of the deal” (*Plymouth Venture Partners, II, L.P. v GTR Source, LLC*, 988 F3d 634, 638 [2d Cir 2021]).

vice of process, in Nyack, New York, which in turn directed Comerica to turn over any of FutureNet's property in its control.

As collection efforts moved forward, FutureNet took a number of steps to vacate the underlying judgment, first moving to vacate on procedural and jurisdictional grounds for failure to comply with CPLR 3218's single county requirement. This motion was denied in March 2018 (*GTR Source, LLC v Futurenet Group, Inc.*, 58 Misc 3d 1229[A], 2018 NY Slip Op 50311[U], *5 [Sup Ct, Orange County 2018]). The following day the marshal's office faxed an amended levy to a Comerica office in Detroit. Shortly thereafter, Comerica complied with the levy, issuing a bank check to Biegel for \$127,082.29, the amount of the judgment plus the marshal's poundage fee, all debited from FutureNet's account. GTR then filed a satisfaction of judgment.

In April 2018, FutureNet filed a complaint against GTR in Supreme Court, Orange County, again seeking vacatur of the judgment and now also seeking restitution under CPLR 5015, breach of contract, wrongful execution, and fraud. Later that month, other creditors of FutureNet began proceedings in Michigan state court for the appointment of a receiver (the Receiver), claiming, among other things, that entering into the two loan agreements at issue here, and allowing the related judgments and restraining orders to be entered, violated the provisions of their loan agreement. The appointment was made and on August 24, 2018, the Receiver voluntarily withdrew the complaint in Supreme Court and, on the same day, moved yet again to vacate the judgment, once more alleging noncompliance with CPLR 3218. This time, the Receiver also claimed that the court lacked subject matter jurisdiction pursuant to Business Corporation Law § 1314, governing proceedings against foreign corporations. Both arguments were rejected and the motion was denied (62 Misc 3d 794, 810 [Sup Ct, Orange County 2018]).

Having now twice been defeated in its efforts to vacate the judgment in Supreme Court—and having voluntarily withdrawn its state court complaint for vacatur of the judgment, wrongful execution, fraud, and breach of contract—the Receiver, acting on behalf of the judgment debtor, filed a tort action in the District Court for the Southern District of New York. The complaint alleged wrongful restraint and execution against GTR, wrongful execution against Marshal Biegel individually, conversion, and trespass to chattels. Judge Koeltl

granted summary judgment to Marshal Biegel and GTR and dismissed the complaint, holding that the Receiver had suffered no harm and so could not recover in tort (*Simon v GTR Source, LLC*, 2019 WL 7283279, *4-5, 2019 US Dist LEXIS 221111, *14-21 [SD NY, Dec. 26, 2019, No. 19cv1471(JGK)]). Specifically, Judge Koeltl held, as to the wrongful execution claim, that “there is no dispute that the funds recovered by the Marshal were used to extinguish the debtor’s valid debt owed under the valid court judgment [and] [t]herefore, the Receiver, who stood in the shoes of the debtor, suffered no damages” (2019 WL 7283279, *4, 2019 US Dist LEXIS 221111, *13). For the same reason, the court held that the Receiver’s claims for conversion and trespass to chattels could not survive “because the Receiver has failed to establish that the Receiver sustained any damages” (2019 WL 7283279, *4-5, 2019 US Dist LEXIS 221111, *14).

CMS’s collection efforts followed a similar course. In February 2018, in Rockland County, CMS served a restraining notice on Comerica’s registered agent in New York (Corporate Creations Network, Inc.), directing Comerica not to transfer any property held on behalf of FutureNet. Upon learning of this restraining notice, FutureNet contacted CMS by letter and email and, as it had with GTR, stated that Comerica had no presence in New York and so was not subject to general jurisdiction in New York, that the restraining notice was “tortiously interfering with the superior UCC liens of FutureNet’s senior lenders,” and threatening to file a temporary restraining order. CMS did not retract the restraining notice. Several months later, CMS delivered to the Sheriff of Rockland County an execution with notice to garnishee directing the Sheriff to levy upon the FutureNet bank accounts controlled by Comerica by delivering the execution to Corporate Creations. The Sheriff issued a levy and demand to Comerica, delivered to Corporate Creations, demanding Comerica transfer property held for FutureNet to the Sheriff. Comerica complied in April 2018, withdrawing the entirety of FutureNet’s Comerica account located in Redford, Michigan, in the amount of \$322,592.59, and providing that amount to the Rockland County Sheriff.²

2. Comerica’s compliance with the executions and levies was in accord with its account agreement with FutureNet, which stated that Comerica would honor any legal process, including any execution or garnishment, that it believed—correctly or incorrectly—to be valid, and would comply with

(n. cont’d)

The Receiver filed a complaint against CMS in the District Court for the Southern District of New York, alleging claims for wrongful restraint and execution, conversion, and trespass to chattels. Judge Failla granted CMS's motion to dismiss, stating that "the Court would agree with the logic of the *GTR Source* decision and conclude that the Receiver has failed to allege that he or FutureNet suffered legally cognizable damages" (*Simon v Capital Merchant Servs., LLC*, 2020 WL 615091, *11-12, 2020 US Dist LEXIS 22831, *32-36 [SD NY, Feb 7, 2020, 19 Civ. 904 (KPF)]).³

An entity described as "two of FutureNet's senior creditors . . . who were assigned [the Receiver's] claims and permitted to substitute into the actions as appellants"⁴ appealed to the Second Circuit and the cases were consolidated (988 F3d at 640). The Second Circuit determined that the question of whether the Receiver's tort claims failed to establish the necessary element of damages should be certified to this Court (*id.* at 643-644). Noting that "neither party identifies a New York Court of Appeals opinion addressing that precise issue," and that, with respect to the issue of cognizable damages, "two recent New York Supreme Court decisions have reached differing results on the topic" (*id.* at 644, citing *Bam Bam Entertainment LLC v Pagnotta*, 59 Misc 3d 906 [Sup Ct, Kings County 2018], and *Silver Cup Funding LLC v Horizon Health Ctr., Inc.*, 70 Misc 3d 1201[A], 2020 NY Slip Op 51529[U] [Sup Ct, Ontario County 2020]), the Second Circuit "conclude[d] that certification of the question to the New York Court of Appeals is preferable to resolving it ourselves" and certified the forego-

legal process served by mail or fax "at any of [its] offices, even if the law requires personal delivery at a specific office."

3. Judge Failla also held that FutureNet was collaterally estopped by Judge Koeltl's opinion in *Simon v GTR Source* from arguing that FutureNet was injured by seizure of the funds and so "necessarily fails to state a plausible claim for relief under the tort doctrines of wrongful restraint and execution, conversion, or trespass to chattels" (2020 WL 615091, *11, 2020 US Dist LEXIS 22831, *31-32, [SD NY, Feb. 7, 2020, 19 Civ. 904 (KPF)]). On appeal, the Second Circuit held that the district court erred in holding that collateral estoppel applied (988 F3d at 642). That issue is not before this Court.

4. To the extent that any part of these actions seeks to vindicate rights held by FutureNet's senior creditors, such efforts are misplaced. The Receiver, and any party substituted for the Receiver, stands only in the shoes of the judgment debtor and may only vindicate rights held by the judgment debtor in the first instance (*see* 988 F3d at 643 n 7; *GTR Source, LLC v FutureNet Group, Inc.*, 62 Misc 3d 794, 807-808 [Sup Ct, Orange County 2018]).

ing questions (*id.* at 644). This Court accepted the certified questions (36 NY3d 1077 [2021]).

II.

FutureNet argues that “the executions and levies at issue in these cases did not comply with the requirements of Article 52 of the CPLR, specifically CPLR 5232(a),” resulting in “‘void or irregular process’” that reduced the executions and levies to “legal nullities” and thereby exposed the defendants to tort liability (988 F3d at 643, quoting *Day v Bach*, 87 NY 56, 60 [1881]). FutureNet seeks to recover the amount taken from the Comerica accounts that was used to satisfy the relevant judgments and “consequential” damages.⁵ GTR and CMS counter that FutureNet suffered no damages from the alleged violation of the statute and that, in any event, under these circumstances FutureNet’s sole remedy was to seek relief under article 52 (*id.* at 643-644). We agree with the final point. There is no need to contort traditional tort claims to accommodate a novel theory by a judgment debtor seeking to recover funds used to satisfy a valid judgment based on alleged violations of our civil procedure law. Instead, CPLR article 52, which provides a mechanism for addressing the “innumerable situations [that] can arise that manifest abuse of the enforcement devices” authorized in that statute, is the exclusive avenue for a judgment debtor seeking relief from the use of an enforcement mechanism that does not comply with article 52’s requirements (Richard C. Reilly, Practice Commentaries, McKinney’s Cons Laws of NY, Book 7B, CPLR C5240:1).

The enactment of CPLR article 52 “effected sweeping changes of both substance and procedure in the law relating to the satisfaction of money judgments” (*Guardian Loan Co. v Early*, 47 NY2d 515, 518 [1979]). The statute regulates the methods of enforcement and satisfaction of money judgments by, for example, exempting certain property, establishing liens and priority rules among creditors, imposing technical requirements for enforcement devices, and providing a flexible array

5. Judge Fahey’s proposed answer to the first question, that no tort claim can survive because the judgment debtor sought damages limited solely to the value of the seized property (Fahey, J., dissenting op at 606-607), would merely serve to motivate the next plaintiff to specify the “consequential” damages that resulted from the improper attachment in any amount greater than that owed to the judgment creditor. The problem is not one of drafting, causation, or damages. Those issues are merely manifestations of the unsuitability of tort law to these circumstances.

of procedures for relief from violations of the statute. Section 5232 (a) governs the process of levy by service of execution, and specifically provides that “service [of a copy of the execution upon the garnishee] shall not be made by delivery to a person authorized to receive service of summons solely by a designation filed pursuant to a provision of law other than rule 318,” and CPLR 318 in turn sets out the requirements for designation of an agent for service of process.⁶

“[G]eneral provisions that permit ‘any interested person’—including a judgment debtor—to secure remedies for wrongs arising under the statutory scheme” are set out in CPLR 5239 and 5240 (*Cruz v TD Bank, N.A.*, 22 NY3d 61, 74 [2013]). CPLR 5239 provides that “[p]rior to the application of property or debt by a sheriff or receiver to the satisfaction of a judgment, any interested person may commence a special proceeding against the judgment creditor or other person with whom a dispute exists to determine rights in the property or debt.” In such a proceeding, “[t]he court may vacate the execution or order, void the levy, direct the disposition of the property or debt, or direct that damages be awarded” (CPLR 5239; *see* Siegel & Connors, NY Prac § 521 at 993 [6th ed 2018] [the court in a CPLR 5239 proceeding can “render judgment . . . for whatever is warranted” and “award damages to any party establishing a legal right to them”]). Section 5240 in turn lays out the court’s power to, “at any time, on its own initiative or the motion of any interested person, and upon such notice as it may require, make an order denying, limiting, conditioning, regulating, extending or modifying the use of any enforcement procedure.” Intended to “replace myriad provisions of the Civil Practice Act which often led to conflicting results, . . . CPLR 5240 grants the courts broad discretionary power to control and regulate the enforcement of a money judgment under article 52 to prevent ‘unreasonable annoyance, expense, embarrassment, disadvantage, or other prejudice to any person or the courts’” (*Guardian Loan*, 47 NY2d at 519, quoting 3d Prelim Rep of Advisory Comm on Prac and Pro, 1959 NY Legis Doc No. 17 at

6. FutureNet has alleged that Corporate Creations does not meet the requirements of CPLR 318, and Judge Wilson opines that, as a result, New York lacked jurisdiction over Comerica despite the in-state service on Corporate Creations. It suffices to observe in response that Comerica willingly complied with the executions and levies in each case—consistent with its account agreement with FutureNet—and never raised any objection to the method of service or the viability of personal jurisdiction in New York.

314). In other words, this provision “center[s] in one place [the] pervasive judicial power to right, on a case by case basis, any wrong in connection with any of the numerous Article 52 procedures” (Siegel & Connors, NY Prac § 522 at 993 [6th ed 2018]).⁷ Accordingly, CPLR 5240 provides courts with the ability to craft flexible and equitable responses to claims that arise with respect to enforcement of valid money judgments.

FutureNet asserts that it was not required to seek relief under CPLR 5240 and that it may, instead, seek to recover for defendants’ alleged failure to strictly follow the procedures of CPLR 5232 through a tort action. Our holding in *Cruz* that a later-enacted provision of article 52—the Exempt Income Protection Act of 2008—does not provide an independent vehicle through which judgment debtors may seek damages for violations of that provision provides a useful framework for addressing this issue (*Cruz*, 22 NY3d at 74-78). Indeed, in *Cruz*, we described the provisions in CPLR article 52 as “permitting the commencement of special proceedings whereby creditors, debtors and ‘any interested person’ can adjudicate disputes over the ownership of income or property (CPLR 5239, 5221)” and empowering the court to “‘make an order denying, limiting, conditioning, regulating, extending or modifying the use of any enforcement procedure’ (CPLR 5240)” (*id.* at 68). We reasoned that “[t]he fact that significant enforcement mechanisms are built into CPLR article 52—and, indeed, predated the EIPA—militates against recognition through implication of a new type of claim . . . falling outside the statutory scheme” and we deemed those existing enforcement mechanisms exclusive (*id.* at 75, 78). We also rejected any claim of a preexisting right to bring a plenary action, noting that “plaintiffs have not cited any persuasive pre-EIPA precedent in which a New York court recognized an account holder’s right to sue a depository bank for a violation of CPLR article 52 outside the special proceedings” provided for in that statute, and that “[p]ermitting a party to seek relief for violation of the statute in a plenary action in some other court would essentially read the venue provisions out of the statute” (*id.* at 74, 77).⁸

7. Venue provisions for such proceedings are set out in section 5221, which establishes where “special proceeding[s] authorized by this article shall be commenced.”

8. In *Cruz*, plaintiffs’ “common law claims arising out of [defendant’s] alleged failure to comply with EIPA” were dismissed because the district courts

(n. cont’d)

That article 52 provides avenues for relief from unlawful restraint against a judgment creditor formed a significant part of our analysis (*id.* at 75-76). Moreover, in *Cruz* we acknowledged that relief under CPLR 5240 is available “even after the assets have been transferred to the judgment creditor,” and “the court could reverse the transfer by issuing an order ‘denying’ the execution and directing restitution by the judgment creditor” (*id.* at 75-76). As we established in *Cruz*, “[p]rovided relief is sought in the appropriate forum in a timely manner,^{19]} the judgment creditor is not entitled to retain . . . funds secured in error” (*id.* at 76). This, of course, holds true beyond the application of the EIPA requirements—CPLR 5240 provides a venue in which judgment debtors can seek redress for violations of article 52, even after assets have been turned over to the judgment creditor.

Our lower courts understand CPLR 5240 to provide this valuable avenue of relief for judgment debtors, using their equitable power under this provision in myriad ways (*see e.g. Kantrowitz, Goldhamer & Graifman, P.C. v Spivack*, 170 AD3d 821, 822 [2d Dept 2019] [after noting that section 5240 “grants the courts broad discretionary power to alter the use of procedures set forth in CPLR article 52,” finding Supreme Court properly applied its equitable powers under CPLR 5240 in denying plaintiff’s motion to compel defendant’s employer to pay outstanding balance due on judgment, where “defendant was making consistent biweekly payments to satisfy the judgment as well as effecting substantial court-ordered maintenance and child support payments to his ex-wife”]; *Matter of Sirotkin v Jordan, LLC*, 141 AD3d 670, 671 [2d Dept 2016] [limiting extent of judgment creditor’s enforcement against judgment debtor pursuant to court’s equitable powers under CPLR 5240]; *Paz v Long Is. R.R.*, 241 AD2d 486, 487 [2d Dept 1997] [judgment debtor “authorized to utilize CPLR 5240 as a procedural vehicle to stay enforcement of the judgment so as to secure satisfaction of its liens”]; *Viggiano v Viggiano*, 136 AD2d 630, 631

determined that plaintiffs’ complaint did not allege the necessary elements of these common-law torts—yet another demonstration of the inapplicability of common-law tort principles to allegations of flawed enforcement of valid money judgments (*Cruz v TD Bank, N.A.*, 855 F Supp 2d 157, 174-179 [SD NY 2012]; *Martinez v Capital One, N.A.*, 863 F Supp 2d 256, 267-268 [SD NY 2012])).

9. There is “no concrete temporal limitation on initiation of a CPLR 5240 proceeding” but “such relief should be pursued within a reasonable time after the injury is incurred” (*Cruz*, 22 NY3d at 76 n 4).

[2d Dept 1988] [granting motion to set aside execution and holding judgment creditor responsible for all fees and poundage due to the sheriff]; *Moskin v Midland Bank & Trust Co.*, 96 Misc 2d 600, 602 [Sup Ct, NY County 1978] [noting that “the exercise of the discretionary power granted by CPLR 5240 requires harmonizing the judgment debtor’s interest in avoiding irreparable . . . harm . . . with the legitimate interest of a creditor in securing payment of a valid debt” (internal quotation marks omitted)]). In *Silver Cup*, a case on which FutureNet heavily relies, the court, pursuant to a CPLR 5240 motion, vacated an execution and levy and granted restitution to a judgment debtor (2020 NY Slip Op 51529[U]).

While FutureNet attempts to characterize its causes of action as tort claims, at bottom, FutureNet seeks to recover for alleged violations of the procedural requirements of article 52 and, as we determined in *Cruz*, permitting an action based solely on the violation of requirements established by article 52 to proceed outside the mechanisms provided by article 52 would be inconsistent with the relevant statutory framework. FutureNet justifies removal of this case from the reach of article 52 by making a largely irrelevant distinction between void and voidable process, relying primarily on nineteenth century cases from this Court. But as with the plaintiffs in *Cruz*, FutureNet fails to provide any persuasive authority for its claim of a preexisting right to bring a tort action in these circumstances. *Day v Bach*, decided in 1881, predates enactment of the CPLR by 81 years—of course, as a result, it is silent as to the appropriate forum or methods of redress for violations of article 52 (87 NY 56 [1881]). Nor does *Day*, or indeed any other case cited by FutureNet, involve freestanding tort claims brought in a different court than that issuing the relevant judgment. *Day* concerns an effort to overturn an attachment (*id.*); both *Tausend v Handlear* (33 Misc 587 [App Term 1901]) and *Loewer’s Gambrinus Brewing Co. v Lithauer* (36 Misc 539 [App Term 1901]) involve efforts to overturn judgments; and *Fischer v Langbein* (103 NY 84, 89-90 [1886]) involves an allegation of wrongful imprisonment. Indeed, the novelty of FutureNet’s claims explains the uncertainty in the federal courts that led to certification. Rather than engage in a “void” versus “voidable” debate here, we hold that an article 52 proceeding is the correct vehicle for resolving claims based on collection efforts that are alleged to violate article 52—a determination we have made with respect to other statutes with internal enforcement

provisions (see *Cruz*, 22 NY3d at 79, cf. *Kerusa Co. LLC v W10Z/515 Real Estate Ltd. Partnership*, 12 NY3d 236 [2009] [prohibiting independent common-law tort claim on the basis of violations of the Martin Act beyond the Martin Act's enforcement provisions]).¹⁰

Policy considerations also counsel this outcome. Our legislature “provided the avenues for relief it deemed warranted” in article 52 (*Cruz*, 22 NY3d at 71), and empowering a judgment debtor to evade these proceedings, which are, at bottom, designed to protect debtors from improper collection efforts (see *Midlantic Natl. Bank/North v Reif*, 732 F Supp 354, 356 [ED NY 1990] [describing section 5240 as “designed to prevent the brutal use of legal procedures against a judgment debtor”]), would eviscerate the purpose of article 52. An article 52 proceeding, brought as it must be within a reasonable time, also serves to limit the injury that might be inflicted by improper use of the enforcement process, for example by making funds available for payroll that might otherwise be seized. Indeed, here FutureNet was aware of the restraining notices and the intent to levy the funds, and although the company objected to the restraint in communications with the judgment creditors, it brought an action solely aimed at overturning the judgment and did not independently challenge the levy at a time when any claimed errors in the executions could potentially have been remedied by the court. FutureNet could also have pursued relief under CPLR 5240 following the execution—our holding in *Cruz* made clear that such an action is permitted even after assets have been transferred to a creditor. FutureNet chose instead to pursue challenges to the validity of the underlying judgments¹¹ and then, after those challenges failed, endeavored to convert its claims into common-law torts.

10. To be sure, that does not mean that no claim can ever be premised upon tortious conduct that occurs during the execution and levy process (see *Cla-Mil E. Holding Corp. v Medallion Funding Corp.*, 6 NY3d 375, 379 [2006]; CCA 1605). But where such claim is grounded in a violation of CPLR 5232 procedures, article 52 provides the appropriate forum for relief.

11. While Judge Wilson asserts that FutureNet “did, in fact, move the court for relief pursuant to CPLR 5240, seeking to vacate ‘any and all enforcement devices issued by GTR’” (Wilson, J., dissenting op at 610 n 5), this request was tied to FutureNet’s challenge to the judgment itself, and even to that extent, such relief was not pursued. Indeed, counsel for FutureNet stated at oral argument that it was “wrong” to characterize its motion as a motion to vacate the enforcement devices under section 5240, and that “it was only . . . to vacate the judgment. And then upon vacating the judgment, it was for restitution.”

While FutureNet argues that a tort action should be permitted here to curtail abusive practices by MCA businesses, this case is not, of course, a referendum on the MCA industry—how the judgment creditor came to obtain what is undisputedly a valid judgment against the debtor is irrelevant in assessing the proper method for adjudicating claims that the judgment was improperly collected.¹² And any rule we articulate here applies to all cases, not solely to the MCA industry. Furthermore, the use of special proceedings specifically endowing courts with broad equitable powers to fashion protective resolutions is at least as valuable to a potentially insolvent debtor as the blunt tool of a later-instituted tort claim for damages.

To hold otherwise—to permit allegations of noncompliance with article 52 in the course of enforcing valid judgments to be recast into common-law tort claims—is not workable (*see e.g. Greene v People's Neighborhood Bank, People's Sec. Bank & Trust Co.*, 190 AD3d 1205, 1207-1208 [3d Dept 2021] [dismissing suit brought by judgment debtor against judgment creditor asserting over 400 causes of action sounding in tort after the judgment creditor served a restraining notice on plaintiff's bank account pursuant to CPLR 5222 (b)], *lv denied* 37 NY3d 913 [2021]). Instead, the better course, and the one we follow today, is to require that such claims be brought pursuant to article 52.

Accordingly, the certified questions should be answered in accordance with this opinion.

FAHEY, J. (dissenting). I would answer the first certified question in the negative and would decline to answer the second certified question. I dissent because I disagree with the majority's answer to the second question.

I.

According to the majority, a judgment debtor may not bring

12. Nor does this case pose the question Judge Wilson answers: “how a judgment creditor holding a New York judgment may levy on assets of the judgment debtor held in another state by an out-of-state garnishee” (Wilson, J., dissenting op at 611). Any questions concerning the applicability of the Uniform Enforcement of Foreign Judgments Act (UEFJA) or our case law concerning statutory enforcement mechanisms provided by other CPLR provisions are not properly before us. None of the parties have litigated or raised issues regarding the UEFJA, CPLR 5225, or CPLR article 62; neither district judge was presented with, or ruled on, these questions; and the Second Circuit did not consider or certify these issues to this court.

a tort claim against a judgment creditor or marshal, asserting that its property was seized pursuant to a levy by service of execution that does not comply with CPLR 5232 (a), without first seeking relief under CPLR 5240. Indeed, the majority goes so far as to describe CPLR article 52 as “a judgment debtor’s exclusive avenue for relief under these circumstances” (majority op at 595). While I agree that CPLR article 52 “is the correct vehicle for resolving claims based on collection efforts that are alleged to violate article 52” (*id.* at 603), I cannot join an opinion making it a prerequisite for bringing a common-law tort action.

The majority conflates two questions: (i) whether CPLR article 52 gives rise to an implied *statutory* private right of action in favor of a person who has been harmed as a result of a violation of CPLR 5232 (a) and (ii) whether a person with such a loss may in principle recover under traditional *common-law* tort principles (*see id.* at 601-602). We have carefully distinguished those questions in past precedents (*see e.g. Sheehy v Big Flats Community Day*, 73 NY2d 629, 631 [1989]), and we should continue to separate them. The majority relies on *Cruz v TD Bank, N.A.* (22 NY3d 61 [2013]), but that decision expressly noted that “common-law tort claims . . . [we]re beyond the scope of the questions certified to this Court” (*Cruz*, 22 NY3d at 69).

“The general rule is and long has been that when the common law gives a remedy, and another remedy is provided by statute, the latter is cumulative, unless made exclusive by the statute” (*Burns Jackson Miller Summit & Spitzer v Lindner*, 59 NY2d 314, 324 [1983] [internal quotation marks and citations omitted]). Moreover, “it is a general rule of statutory construction that a clear and specific legislative intent is required to override the common law” (*Hechter v New York Life Ins. Co.*, 46 NY2d 34, 39 [1978]). Here, CPLR article 52 neither states nor implies that its remedies are exclusive. There is no legal basis for concluding that the failure to seek relief under CPLR article 52 precludes a tort action.

II.

Of course, this does not mean that a tort action will be successful. In the present case, I would answer the first certified question, as reformulated, in the negative. I would hold that a judgment debtor whose property was seized pursuant to a levy by service of execution that does not comply with CPLR 5232 (a) does not state a claim in tort if the seized property is ap-

plied to a valid money judgment, *when the damages sought are limited solely to the value of that seized property*. As a matter of law, any defects in the process of seizing the funds would not be a legal cause of an injury, because the funds constituted a debt pursuant to a valid judgment.

I would decline to answer the second question. The Second Circuit Court of Appeals asks us to answer that question only if we have answered the first question in the affirmative (*see Plymouth Venture Partners, II, L.P. v GTR Source, LLC*, 988 F3d 634, 645 [2d Cir 2021]). While this Court, as always, “is not limited to the questions stated,” and “may modify the certified questions as it sees fit” (*id.*), the first certified question in this case allows for a straightforward and dispositive answer, removing the need to answer the second question.

WILSON, J. (dissenting). From time immemorial, people have refused to pay debts. One function of a legal system is to replace armed self-help debt collection with something more civilized. The fundamentals of New York’s legal system for debt collection are typical: first, get a money judgment from a court; second, ask the judgment debtor to pay it; third, if the judgment debtor refuses, request the appropriate sheriff or marshal to seize assets of the judgment debtor sufficient to pay off the debt—preferably cash, but other marketable property if necessary. That third step does not work, however, when the assets of the judgment debtor you wish to seize are held outside of New York by a third party over whom New York lacks jurisdiction. Then what? Even if you possess a valid judgment against a debtor, the civilized rules of debt collection do not allow you to rob the debtor’s bank to satisfy the judgment.

In this case, two New York based creditors obtained monetary judgments from New York courts against a Michigan-based corporation. They collected the debts by purportedly authorizing a New York marshal and sheriff to execute levies on a Michigan branch of a Michigan bank that had no presence in New York. Because the bank had no presence in New York, the creditors—and New York courts, sheriffs and marshals—lacked jurisdiction to authorize or effectuate a levy on the funds the bank held. Instead, the only way to use the legal system to satisfy the New York judgments by seizing the assets in the Michigan bank was to employ a Michigan court to direct the seizure. By circumventing Michigan’s processes, the New York creditors deprived the Michigan-based corporation (the judg-

ment debtor) certain protections the law affords it. Circumvention of a foreign jurisdiction's process in that manner might proximately cause injury to the judgment debtor, even if the judgments were perfectly valid—for example, if the time allowed by the foreign process would have allowed the judgment debtor to avoid the seizure through reorganization in bankruptcy.

The Second Circuit certified two questions of law for this Court to resolve, sparked by the Michigan-based corporation's tort claims against the allegedly improper judgment execution:

“(1) whether a judgment debtor suffers cognizable damages in tort when its property is seized pursuant to a levy by service of execution that does not comply with the procedural requirements of CPLR 5232(a), even though the seized property is applied to a valid money judgment; and, if so

“(2) whether the judgment debtor can, under these circumstances, bring a tort claim against either the judgment creditor or the marshal without first seeking relief under CPLR 5240” (*Plymouth Venture Partners, II, L.P. v GTR Source, LLC*, 988 F3d 634, 645 [2d Cir 2021]).

Contrary to the majority's opinion, nothing in New York law indicates that our statutory processes for obtaining, enforcing, and challenging judgments for debt—detailed in CPLR article 52—supplants or limits the ability of a person or entity to raise a common-law tort claim against an allegedly improper judgment execution. We should answer the second certified question in the affirmative. Further, when creditors seize property without complying with the procedural requirements in the CPLR—requirements that are meant to apply to entities over which New York has jurisdiction—a debtor might suffer cognizable damages in tort. The answer to the first certified question should be “possibly.”

Because the majority ignores the first certified question entirely and neglects to answer the key issue in the second question—instead stating that an article 52 proceeding is the correct vehicle for resolving claims based on collection efforts that are alleged to violate article 52—I dissent.

I.

FutureNet was a corporation based in Michigan that provided infrastructure services to government and commercial

customers. FutureNet maintained its bank accounts at a branch of Comerica Bank in Michigan. In July 2017, FutureNet entered into a \$5.1 million secured lending facility with Invest Detroit, a \$225 million development fund focused on revitalizing Detroit's blighted areas. Some months later, FutureNet entered into the agreements that ultimately gave rise to this case: an agreement with GTR Source (GTR) by which GTR purchased \$291,800 of FutureNet's future revenue stream for \$200,000 to be paid in daily withdrawals of \$3,999 from FutureNet's account at Comerica Bank in Detroit,¹ and a similar agreement with Capital Merchant Services (CMS) by which CMS purchased \$780,450 of FutureNet's future revenue stream for \$550,000, to be paid for by daily withdrawals of \$8,672 from that same account.²

When FutureNet ceased making the daily payment obligations to GTR and CMS in February 2018, both companies declared defaults and obtained New York judgments against FutureNet by filing confessions of judgment that FutureNet had executed in conjunction with the entry of the agreements. Both GTR and CMS then served a restraining notice against FutureNet's funds: GTR on a Detroit branch of Comerica Bank and CMS on Corporate Creations Network, Inc., which is based in Rockland County, New York and is Comerica's designated agent for service under Business Corporation Law § 305.³ Both restraining notices averred, incorrectly, that Comerica was

1. The daily withdrawals would continue until the amount paid to GTR totaled \$291,800.

2. Although the GTR and CMS agreements are described as "factoring" agreements, they do not bear several of the hallmarks of traditional factoring arrangements, in that FutureNet did not sell any identifiable receivable to GTR or CMS; GTR and CMS did not collect any receivables; GTR and CMS received fixed daily withdrawals from FutureNet's bank account regardless of whether or how much FutureNet collected from or billed to its clients; and GTR and CMS did not bear the risk of nonpayment by any specific customer of FutureNet. The arrangements FutureNet entered with GTR and CMS appear less like factoring agreements and more like high-interest loans that might trigger usury concerns (*see Adar Bays, LLC v GeneSYS ID, Inc.*, 37 NY3d 320 [2021]). Nevertheless, for the purpose of these certified questions, we are asked to assume the judgments rendered on those agreements are valid.

3. Business Corporation Law § 305 allows every domestic corporation or authorized foreign corporation to designate a registered agent in New York upon whom process against that corporation may be served. As we recently held in *Aybar v Aybar*, registration under Business Corporation Law § 305 does not confer personal jurisdiction over the registrant (37 NY3d 274 [2021]).

subject to jurisdiction in New York and warned that Comerica could be sued if it failed to comply.

After serving the restraining notices, GTR directed a New York City marshal to serve a notice and levy and demand on Comerica through Corporate Creations. The Marshal levied on FutureNet's property by serving the execution on Corporate Creations by certified mail. After FutureNet unsuccessfully moved to vacate GTR's judgment pursuant to CPLR 5015 (a) (3) and 3218 (b)⁴ and also sought relief under CPLR 5240,⁵ the Marshal's office faxed an amended execution to the Comerica branch in Detroit where FutureNet's account was held. Comerica then issued a bank check to the Marshal satisfying its judgment against FutureNet and the Marshal's five percent poundage fee (*see* CPLR 8012 [b] [1]).⁶

CMS, in turn, delivered an "Execution with Notice to Garnishee" to the Sheriff of Rockland County, directing him to levy upon FutureNet's Comerica bank account by serving the execution on Corporate Creations. Comerica withdrew all the remaining funds held in FutureNet's account, \$322,592.59, and issued a bank check to the Sheriff, which the Sheriff then remitted to CMS.

On May 7, 2018, the two partners in Invest Detroit obtained an order from a Michigan state court appointing a Receiver for

4. CPLR 5015 (a) (3) provides that a court "may relieve a party" from a judgment "on motion of any interested person with such notice as the court may direct, upon the ground of . . . fraud, misrepresentation, or other misconduct of an adverse party." CPLR 3218 (b) provides that—at any time within three years after an affidavit is executed by a defendant for a judgment by confession—"it may be filed, but only with the clerk of the county where the defendant's affidavit stated that the defendant resided when it was executed or where the defendant resided at the time of filing."

5. CPLR 5240 provides that a court "may at any time, on its own initiative or the motion of any interested person, and upon such notice as it may require, make an order denying, limiting, conditioning, regulating, extending or modifying the use of any enforcement procedure." The majority incorrectly describes FutureNet as not having pursued relief under CPLR 5240 (majority op at 604 ["FutureNet could also have pursued relief under CPLR 5240 following the execution . . . FutureNet chose instead to pursue challenges to the validity of the underlying judgments and then, after those challenges failed, endeavored to convert its claims into common-law torts"]). The record shows that FutureNet did, in fact, move the court for relief pursuant to CPLR 5240, seeking to vacate "any and all enforcement devices issued by GTR"; the court on February 26, 2018 signed an Order to Show Cause for GTR to show why such relief should not be granted.

6. Under New York law, a sheriff or marshal is entitled to a "poundage fee," a set percentage of the money the sheriff or marshal recovers through collection efforts.

FutureNet. Ultimately, the Receiver brought the present action in the United States District Court for the Southern District of New York against GTR and the Marshal, asserting causes of action for wrongful restraint and execution of the Comerica funds, conversion, and trespass to chattels. The Receiver later sued CMS in Federal District Court, contending that CMS's execution and levy were invalid under CPLR 5232 (a), which requires that levies upon personal property held by garnishees be completed in the same manner as summonses, except if service is made by delivery to someone other than the garnishee, that person must be authorized to receive service specifically through CPLR 318. After the Receiver was unsuccessful in both cases and appealed, the United States Court of Appeals for the Second Circuit consolidated the appeals and certified the two questions before us now.

II.

The certified questions ask us to assume that two judgment creditors (GTR and CMS) sought to satisfy valid money judgments from a judgment debtor (FutureNet) by levying execution on a third-party garnishee that held the debtor's money (Comerica Bank). The third-party garnishee was located completely outside of New York State and was not subject to personal jurisdiction in New York. The issue underlying the two certified questions is how a judgment creditor holding a New York judgment may levy on assets of the judgment debtor held in another state by an out-of-state garnishee (in FutureNet's case, Michigan). Thus, before turning to the two certified questions from the Second Circuit, it is important to answer the question I first posed: how are money judgments enforced across state lines?

The U.S. Constitution requires each state to give full faith and credit to the judicial decisions of every other state. Traditionally,

“[a] judgment recovered in one state . . . ‘does not carry with it, into another state, the efficiency of a judgment upon property or persons, to be enforced by execution. To give it the force of a judgment in another state, it must be made a judgment there; and can only be executed in the latter as its laws may permit’” (*Anglo-American Provision Co. v Davis Provision Co.*, 169 NY 506, 513 [1902], quoting *M’Elmoyle v Cohen*, 13 Pet [38 US] 312, 325 [1839]).

A half century later, Congress revised the judicial code to provide a simplified system for execution of judgments of federal courts by federal courts (Rep of Admin Bd of Jud Conf of the State of NY for the Judicial Year July 1, 1966 through June 30, 1967, 1968 Legis Doc No. 90 at 255-256 [hereinafter Report of the Administrative Board]). However, as to judgments issued or enforced by state courts, Congress did not take measures under its Full Faith and Credit Clause power to “prescribe the Manner in which such . . . Proceedings shall be proved, and the Effect thereof” (US Const, art IV, § 1).

To simplify the cumbersome process of commencing a plenary action in a foreign state where a judgment debtor’s assets were held, in 1948 the National Conference of Commissioners on Uniform State Laws finalized the first version of the Uniform Enforcement of Foreign Judgments Act, noting that “[t]he mobility, today, of both persons and property is such that existing procedure for the enforcement of judgments in those cases where the judgment debtor has removed himself and his property from the state in which the judgment was rendered, is inadequate” (Uniform Enforcement of Foreign Judgments Act, Handbook of the National Conference of Commissioners on Uniform State Laws and Proceedings of the Annual Conference Meeting in its Fifty-Seventh Year at 156 [1948]). At the time, the method to enforce an out-of-state judgment against a third-party garnishee was the “same [process] employed among the Colonies before the Revolution”—requiring a new action in the foreign state, in which the validity of the judgment against the judgment debtor would have to be proved (Robert A. Leflar, Act 34 The New Uniform Foreign Judgments Act, 3 Ark L Rev 402, 403-404 [1949]). The Conference’s objective was to provide a somewhat simplified method that complied with the requirements of due process. Although the change to the federal judicial code, as well as procedures used in Britain, Canada, and Australia, dispensed entirely with the requirement of filing a new plenary action (*id.* at 404), the 1948 Conference of Commissioners worried that state legislators would balk at a uniform statute modeled on the new federal registration statute (Report of the Administrative Board at 255-256). To avoid the risk of limited adoption by the states, the Commissioners promulgated a Uniform Act that retained the need to commence a plenary action but allowed for a quick summary judgment proceeding (*id.* at 256). New York’s CPLR already contained processes that were somewhat similar (*id.* at 256, 269-271), and New York did not adopt the 1948 Uniform Act.

Indeed, the 1948 Uniform Act was not widely adopted. Subsequently, however, the “years of experience with the federal registration statute seem[ed] to have laid to rest any lingering fears as to the constitutionality or feasibility of a registration procedure” for the states (*id.* at 256). Therefore, still attempting to address the variability and inefficiency in enforcing foreign judgments, the Conference of Commissioners promulgated a new Uniform Enforcement of Foreign Judgments Act (UEFJA) in 1962. Unlike its predecessor, nearly all 50 states—including Michigan and New York—have adopted the 1962 Act.

The Act provides a template for states. Section (2) of the Act provides a process for states to enforce foreign judgments. No longer would a judgment creditor be required to commence a plenary action in a foreign state. Instead, the judgment creditor may file a properly authenticated foreign judgment in a court of a state where assets of the judgment debtor are located. The receiving clerk must then “treat the foreign judgment in the same manner as a judgment” of a court of the enacting state (*id.* at 281). Under the UEFJA, “[a] judgment so filed has the same effect and [becomes] subject to the same procedures, defenses and proceedings for reopening, vacating, or staying as a judgment” of a court of the enacting state “and [can] be enforced or satisfied in like manner” (*id.*). Section (3) of the Act contains a notice of filing provision; upon filing of the foreign judgment and an affidavit from the judgment creditor, the clerk is required to mail notice of the filing to the judgment debtor (*id.* at 284-285). Section (3) also provides an optional subdivision that states “[n]o execution or other process for enforcement of a foreign judgment filed hereunder shall issue until [] days after the date the judgment is filed”; each state was free to determine the number of days of repose before a registered foreign judgment could be levied on (*id.* at 285, 287). That period of repose was meant to “protect[] the judgment debtor during the interval between filing and receipt of notice” (*id.* at 287).

Under the UEFJA, as adopted in both Michigan and New York, a judgment creditor holding a New York judgment and seeking to levy on assets held by an out-of-state third-party garnishee in Michigan must file the judgment in Michigan. No execution of the judgment could take place until 21 days from the mailing of notice to the judgment debtor (New York’s implementation requires 30 days after filing of proof of service

on the judgment debtor) (Mich Comp Laws § 691.1174; CPLR 5403). In the instant case, because the funds GTR and CMS sought to levy on were held by a Michigan bank, GTR and CMS would have had to file the New York judgment with the clerk of the appropriate Michigan court (Mich Comp Laws § 691.1173) along with an affidavit setting forth the name and address of the judgment debtor (FutureNet) and the judgment creditor (*id.* § 691.1174), and the court would then mail notice to FutureNet. After at least 21 days from mailing of the notice, the Michigan court could enter an order authorizing the turnover of the funds (*id.* § 691.1174).

III.

Thus, a judgment creditor desiring to levy on assets held in a foreign state by a garnishee over which the court issuing the judgment lacks jurisdiction has two avenues: commence a plenary action in the foreign jurisdiction, or use the simplified process of the UEFJA. Both our decisional law and numerous provisions in the CPLR reinforce the conclusion that a New York court cannot authorize a New York sheriff or marshal to levy on property of a garnishee over whom New York lacks personal jurisdiction. Instead, the judgment creditor must employ the process of a court with jurisdiction over the garnishee.

A. CPLR 5225 (b)

CPLR 5225, which governs “[p]ayment or delivery of property of [a] judgment debtor,” distinguishes between property held by the judgment debtor and property belonging to the judgment debtor but held by a third party. Subdivision (b) controls monies held by a third party, and monies held on account in a bank fall within subdivision (b) (CPLR 5225 [b]; *see also* Richard C. Reilly, Practice Commentaries, McKinney’s Cons Laws of NY, CPLR C5225:1).

In *Koehler v Bank of Bermuda Ltd.* (12 NY3d 533 [2009]), on a certified question from the Second Circuit, we explained that an order of garnishment cannot be effective against garnishees over whom New York lacks personal jurisdiction. We stated, “It is well established that, where personal jurisdiction is lacking, a New York court cannot attach property not within its jurisdiction” (*id.* at 538). In *Koehler*, we carefully discussed CPLR 5225. After noting that CPLR 5225 authorizes courts to issue orders requiring the turnover of personal property to a judgment creditor, we explained the fundamental difference between subdivisions (a) and (b):

“CPLR 5225 (a) applies when the property sought is in the possession of the judgment debtor himself. CPLR 5225 (b) applies when the property is not in the judgment debtor’s possession. The most significant difference between the subdivisions is that CPLR 5225 (a) is invoked by a *motion* made by the judgment creditor, whereas CPLR 5225 (b) requires a *special proceeding* brought by the judgment creditor against the garnishee. The reason for this procedural distinction is that the garnishee, not being a party to the main action, has to be independently subjected to the court’s jurisdiction” (*id.* at 540-541).

Two important points follow from that discussion. First, to proceed against any third-party garnishee, a judgment creditor must commence a special separate proceeding naming the garnishee as respondent, pursuant to CPLR 5225 (b). Second, and more importantly, the ability to commence a special separate proceeding against a garnishee necessarily requires that New York have personal jurisdiction over the garnishee. We repeatedly emphasized that point in *Koehler*, saying, for example, “It is well established that, where personal jurisdiction is lacking, a New York court cannot attach property not within its jurisdiction,” or “the key to the reach of the turnover order is personal jurisdiction over a particular defendant” (*id.* at 538, 540). In *Koehler*, we held that the Bank of Bermuda could be the subject of a turnover order under CPLR 5225 (b) because it had “consented . . . to the personal jurisdiction of the court as of the time that [the judgment creditor] had commenced the proceeding” (*id.* at 536).

We reemphasized the basic proposition that personal jurisdiction over a party is necessary for New York courts to compel observance of their decrees for judgments and their execution in *Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce* (21 NY3d 55 [2013]). We wrote that “many cases have held that a turnover order is given effect through a court’s exercise of personal jurisdiction over a party,” and that “[t]hus, ‘[h]aving acquired jurisdiction of the person, the court [] can compel observance of its decrees by proceedings *in personam* against the owner within the jurisdiction’ (*Koehler*, 12 NY3d at 539)” (*id.* at 64). *N. Mariana Is.* was also before this Court on a certified question, asking whether a turnover order served on a bank was effective against its wholly-owned foreign subsidiary; we held it was not. We explained that “[n]o

case supports the . . . attempt to broadly construe *Koehler* and require that a garnishee be compelled to direct another entity, which is not subject to this state's personal jurisdiction, to deliver assets held in a foreign jurisdiction" (*id.* at 64). *N. Mariana Is.* thus underscores that entities that are not under New York's jurisdiction cannot be directed to turn over assets of the judgment debtor held out of state (*see generally* Reilly, Practice Commentaries, CPLR C5225:5 ["(w)hen the person who has possession or control of the money or property is not the judgment debtor, . . . the application takes the form of a special proceeding instead of a motion. This recognizes that jurisdiction has yet to be obtained over the third person"], C5201:13, C5201:14).

The recognition in the CPLR and our case law that a New York court cannot authorize the levy on property held in a sister state by a person or entity over whom New York lacks jurisdiction is the necessary complement to the traditional practice of commencing a plenary action in the sister state or, as simplified in the UEFJA, registering the New York judgment in that state.

B. CPLR 318

Likewise, CPLR 5232 (a) and 318 reflect the inability of New York courts to authorize a New York sheriff or marshal to levy on property held out of state by a garnishee over whom New York lacks personal jurisdiction. CPLR 5232 (a) provides that levies on a garnishee "shall not be made by delivery to a person authorized to receive service . . . solely by a designation filed pursuant to a provision of law other than [CPLR] 318." CPLR 318, in turn, provides that a natural person, corporation or partnership may designate an agent for service and that such designation must be filed with the clerk of the county in which the principal resides or has its principal place of business. By definition, an out-of-state garnishee cannot reside or have its principal place of business in *any* New York county. Because CPLR 5232 (a) does not allow levies to be made when personal jurisdiction is authorized pursuant to any law other than CPLR 318, CPLR 5232 (a) by its terms does not permit a levy to be made on an out-of-state garnishee, because an out-of-state garnishee cannot register under CPLR 318. The levying procedure of CPLR 5232 (a) is structured to apply to persons over whom New York has personal jurisdiction, which is consistent with and compelled by the long-standing understanding that a state cannot compel actors beyond its jurisdiction.

These provisions in the CPLR show that GTR and CMS proceeded in a legally unauthorized manner as they sought to obtain money for their judgment against FutureNet; the CPLR provisions apply to instances where New York has jurisdiction over the garnishee. Instead of improperly instructing a New York marshal or sheriff to levy on a garnishee over which New York lacks jurisdiction, judgment creditors must resort either to the simplified registration process of the UEFJA or the less wieldy process of commencing a plenary action—either way, invoking the process of the foreign court to authorize the appropriate officer of that state to execute the levy.

IV.

The proper process for levying against third-party garnishees out of state—as evident in the UEFJA and the CPLR—provides important context for the two certified questions, to which I now turn.

A. Certified Question 1

The first certified question—avoided by the majority—asks us whether it is possible that a judgment debtor could suffer cognizable damages in tort when its property is seized, in violation of CPLR 5232 (a), and used to satisfy a valid judgment. Because the UEFJA process (or the slower and more elaborate traditional process) provides a delay in enforcement and limited opportunities for either the judgment debtor or other interested parties to intervene and object, there may be instances where a judgment debtor could allege and prove damages proximately caused by the loss of those opportunities. When a question is certified to us, we are answering an abstract question of law, without regard to the facts of the particular case. Considering the certified question in that way, one can imagine situations in which bypassing the procedures set out in the UEFJA through an accelerated and procedurally improper process could proximately cause consequential damages. In Michigan, a foreign judgment filed pursuant to the UEFJA may not be enforced until 21 days after the filing of the foreign judgment is mailed to the judgment debtor (Mich Comp Laws § 691.1174). The UEFJA itself provides a set of defenses that can be raised in the foreign court. Further, during that waiting period, a judgment debtor could seek reorganization in bankruptcy, the feasibility of which could be impaired by the dissipation of assets that otherwise would have remained available in a reorganization. Thus, the answer to the first certified question is

“possibly.”⁷ A judgment debtor is not foreclosed as a matter of law from pleading a tort claim simply because the seized assets were used to satisfy a valid judgment.⁸

B. Certified Question 2

The second certified question asks us whether—if we were to assume all elements of a tort claim have been properly stated—a plaintiff may commence that tort claim without first seeking relief under CPLR 5240. The majority does not answer that question, nor does it reformulate it. Instead, the majority asserts that “[t]here is no need to contort traditional tort claims to accommodate a novel theory by a judgment debtor seeking to recover funds used to satisfy a valid judgment based on alleged violations of our civil procedure law” and that “CPLR article 52 . . . is the exclusive avenue for a judgment debtor seeking relief from the use of an enforcement mechanism that does not comply with article 52’s requirements” (majority op at 599). Regardless, there is no basis in the CPLR or our decisional law to suggest that the procedures available under CPLR article 52 were meant to constitute a prerequisite to filing a tort action, let alone displace a tort action entirely. Therefore, the answer to the second certified question should

7. The majority complains that, by discussing the UEFJA and CPLR 5225, I have answered questions that the Second Circuit did not certify (majority op at 605 n 12). Perhaps I should not have taken the Second Circuit at its word when it instructed: “The Court of Appeals is not limited to the questions stated. Rather, the Court of Appeals may modify the certified questions as it sees fit and may direct the parties to address other issues that it deems relevant to the circumstances presented in this appeal” (*Plymouth Venture Partners*, 988 F3d at 645). I note, also, that the majority answered a question not posed by the Second Circuit (whether CPLR 5420 displaces tort claims) instead of the question that court asked (“whether the judgment debtor can, under these circumstances, bring a tort claim against either the judgment creditor or the marshal without first seeking relief under CPLR 5240” [*id.*]).

8. Although Judge Fahey, who dissents separately, would answer the first certified question “no,” he does so with a qualification that suggests he and I are generally in agreement. Judge Fahey would hold “that a judgment debtor whose property was seized pursuant to a levy by service of execution that does not comply with CPLR 5232 (a) does not state a claim in tort if the seized property is applied to a valid money judgment, *when the damages sought are limited solely to the value of that seized property*” (Fahey, J., dissenting op at 606-607). Absent a claim for consequential damages proximately caused by a judgment creditor’s use of an invalid procedure, I agree that no claim in tort would lie. The language Judge Fahey emphasizes, however, appears to allow for a tort action in exactly the circumstance in which I would allow one. Whether a plaintiff has satisfactorily pleaded such damages in a federal lawsuit is the province of the federal courts.

be “yes”—a plaintiff may assert the tort claim before seeking relief through CPLR 5240.

Although CPLR article 52 includes procedures by which a judgment debtor could seek to vacate orders enforcing a judgment, a statute—even one with several enforcement mechanisms—does not foreclose or impair a common-law claim (as in tort) unless the statute very explicitly says so. We have stated our rule as follows:

“[W]here a remedy existed at common law for the wrong or injury against which a remedial statute is directed, if such statute provides a more enlarged or a summary or more efficient remedy for the party aggrieved, but does not in terms or by necessary implication deprive him of the remedy which existed at common law, the statutory remedy is considered as merely cumulative, and the party injured may resort to either at his election” (*Shuster v City of New York*, 5 NY2d 75, 85 [1958], quoting McKinney’s Cons Laws of NY, Book 1, Statutes § 34, Comment).

In many cases, CPLR article 52 may well provide a more efficient remedy than a common-law tort action for debtors, creditors, and other parties who claim there was a defect in how judgments were created or executed. But it does not purport to displace any common-law tort claim, which means that we must treat it as supplementary. In a similar vein, we have often recognized a “canon disfavoring interpreting statutes so as to overrule the common law” (*Matter of O’Donnell v Erie County*, 35 NY3d 14, 21 [2020]), as well as a principle that “statute[s] in derogation of the common law must be strictly construed” (see *Rust v Reyer*, 91 NY2d 355, 360 [1998]; *Matter of Robert Paul P.*, 63 NY2d 233 [1984]). Under those well-settled rules, CPLR article 52 coexists with a remedy in common-law tort.

The majority relies heavily on *Cruz v TD Bank, N.A.* (22 NY3d 61 [2013]) for its determination that CPLR 5240 is the exclusive remedy for debtors like FutureNet (majority op at 601-603).⁹ However, *Cruz* did not address whether common-law tort claims were preempted or limited by CPLR article 52.

9. Although Judge Fahey would avoid the second question by answering the first question in the negative, I agree with his observations about the second certified question: “[t]he majority conflates two questions: (i) whether CPLR article 52 gives rise to an implied *statutory* private right of action in

(n. cont’d)

Instead, *Cruz* focused on whether plaintiffs can bring plenary actions against banks seeking money damages for certain violations of the CPLR, as amended by the Exempt Income Protection Act. In fact, in *Cruz* we explicitly stated that the common-law tort claims pursued by the plaintiffs were “beyond the scope of the questions certified to this Court” (*Cruz*, 22 NY3d at 65-66, 69). It is important not to conflate *Cruz*’s holding that “a plenary action for injunctive relief and money damages cannot be implied” from certain amendments to the CPLR and that “the statutory mechanisms for relief are exclusive” with any holding about *common-law* claims, which requires a separate inquiry altogether (*id.* at 78-79).

It is also worth pointing out that it is not clear that the CPLR article 52 procedure will always be the most efficient for judgment debtors. Among other things, the possibility of a tort action might provide a powerful incentive for judgment creditors to use the UEFJA process instead of attempting, as here, to instruct a New York sheriff or marshal to levy on property over which New York lacks jurisdiction. Third parties claiming a superior right to those of the judgment creditor may benefit from the commencement of enforcement proceedings in the state in which the assets are held and from the period of repose before a levy can occur.

Because CPLR article 52 cannot be construed to supplant or constrain the common-law remedy, the answer to the second certified question should be in the affirmative: a judgment debtor need not seek relief under CPLR 5240 as a prerequisite to bringing a tort claim.

V.

The certified questions and the cases giving rise to them highlight an important issue: New York creditors (and New York courts) cannot levy judgments for debt against out-of-state garnishees over whom they lack jurisdiction, unless they initiate separate actions in the foreign state or comply with the requirements of the UEFJA. That jurisdictional issue is key. Creditors must respect the laws and jurisdiction of sister states. When creditors holding New York judgments bypass the lawful procedures for satisfying those judgments, judgment

favor of a person who has been harmed as a result of a violation of CPLR 5232 (a) and (ii) whether a person with such a loss may in principle recover under traditional *common-law* tort principles” (Fahey, J., dissenting op at 606).

debtors—and perhaps third parties as well—may lose protections the foreign state or the UEFJA afford them, which loss may give rise to cognizable tort damages. If the procedures used here by GTR and CMS were valid, there would have been no need for the UEFJA, the comparable, earlier-enacted federal provision contained in 28 USC § 1963 or the two centuries of jurisprudence requiring the institution of a plenary action when assets are held by a garnishee in a foreign state.

Chief Judge DiFiore and Judges Singas and Cannataro concur; Judge Fahey dissents in an opinion, in which Judge Rivera concurs; Judge Wilson dissents in a separate dissenting opinion.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and record submitted, certified questions answered in accordance with the opinion herein.

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